

BayernLB 2023

Annual Report and Accounts

Consolidated financial statements

BayernLB Group at a glance

Income statement (IFRS)

EUR million	1 Jan – 31 Dec 2023	1 Jan – 31 Dec 2022	Change in %
Net interest income	2,919	2,137	36.6
Risk provisions	(180)	(70)	>100
Net interest income after risk provisions	2,740	2,067	32.5
Net commission income	473	424	11.6
Gains or losses on fair value measurement	226	67	>100
Gains or losses on hedge accounting	(46)	(177)	(73.9)
Gains or losses on derecognised financial assets ¹	(102)	(3)	>100
Gains or losses on financial investments	(71)	(11)	>100
Administrative expenses	(1,617)	(1,569)	3.1
Expenses for the bank levy and deposit guarantee scheme	(128)	(140)	(8.4)
Other income and expenses	59	356	(83.4)
Gains or losses on restructuring	(92)	108	–
Profit/loss before taxes	1,441	1,122	28.5
Income taxes	(271)	(64)	>100
Profit/loss after taxes	1,170	1,058	10.6
Cost/income ratio (CIR)	46.8%	56.2%	(9.4) pp ²
Return on equity (RoE)	12.7%	10.5%	2.2 pp ²

Balance sheet (IFRS)

EUR million	31 Dec 2023	31 Dec 2022	Change in %
Total assets	273,364	259,343	5.4
Business volume	318,939	305,826	4.3
Credit volume	253,655	240,312	5.6
Total deposits	195,234	184,267	6.0
Securitised liabilities	50,195	45,771	9.7
Subordinated capital	2,812	2,451	14.7
Equity	14,633	13,540	8.1

Banking supervisory capital and ratios under CRR/CRD IV

EUR million	31 Dec 2023	31 Dec 2022	Change in %
Common Equity Tier 1 capital (CET1 capital)	12,424	11,357	9.4
Own funds	15,124	13,919	8.7
Total RWAs	64,532	65,311	(1.2)
Common Equity Tier 1 (CET1) capital ratio	19.3%	17.4%	1.9 pp ²
Total capital ratio	23.4%	21.3%	2.1 pp ²

Employees

	31 Dec 2023	31 Dec 2022	Change in %
Number of employees	8,241	8,491	(2.9)

Current ratings

	Issuer rating	Short term, unsecured	Pfandbriefs ³
Fitch Ratings	A- (stable)	F1	–F
Moody's Investors Service	Aa2 (stable)	P-1	Aaa

¹ For financial assets measured at amortised cost.

² Percentage points.

³ Applies to public Pfandbriefs (Moody's) and mortgage Pfandbriefs (Moody's).

Contents

1

Board of Management and Supervisory Board

Foreword by the Board of Management

Report by the Supervisory Board

2

4 Combined management report 15

4 Foundations of the BayernLB Group 16

6 Report on the economic position 27

Report on the BayernLB Group's financial position and financial performance 44

BayernLB's annual financial statements under HGB 65

Risk report 78

Report on expected developments and opportunities 143

3

The BayernLB Group's consolidated financial statements 158

Statement of comprehensive income 160

Balance sheet 162

Statement of changes in equity 163

Cash flow statement 165

Notes 166

Independent Auditor's Report 303

Responsibility statement by the Board of Management 313

4

Further information 314

Country by country reporting 316

Supplementary information 317

Combined separate non-financial report for 2023 321

Independent Practitioner's Report on a Limited Assurance Engagement on Non-financial Reporting 432

Foreword by the Board of Management

Dear customers, business partners and all readers,

2023 was a financially successful year for the BayernLB Group, with a good profit before taxes of EUR 1,441 million. This result was, of course, largely driven by the interest rate trend in the first half of the year, but it is also due to good operating earnings in all customer segments. BayernLB's positioning as a financier of progress, under the transformation programme we completed in 2023, and DKB's profitable growth strategy are bearing fruit.

Aside from customer business, we concentrated our efforts predominantly on the Group's financial stability, which is reflected in a further increase in our solid capital base. BayernLB reported a CET1 ratio as at 31 December 2023 of 19.3 percent (FY 2022: 17.4 percent). This puts us in a position to share our financial success with our owners, the Free State of Bavaria and the Bavarian savings banks, and pay them a dividend of EUR 350 million (FY 2022: EUR 225 million).

With the economic environment once again posing a challenge in 2023, geopolitical tensions rising sharply and Germany as a financial centre feeling the pinch of its much-needed transformation, especially in the energy sector, we directed our attention to completing the Fokus 2024 transformation programme.

- Under this project, which spanned the past four years, we have honed BayernLB from a universal bank into a specialised lender with a clear product and customer focus, have concentrated systematically on sectors of the future in the Corporates & Markets business area and have reduced administrative expenses and complexity at BayernLB. We have maintained our role as the principal bank for the Free State of Bavaria and central bank for the Bavarian savings banks. In a tough market environment, prudent management of our Real Estate business area has also paid off.
- At the same time, we have accelerated customer growth and increased earnings potential at DKB and positioned DKB as a "geldverbesserer" with a focus on profitable growth.

As part of our transformation, we have revised the IT landscape, established more modern applications and invested around EUR 730 million at DKB in Berlin and at BayernLB in Munich.

Since the transformation programme was such a long-term project, we placed particular importance on improving the way we work on a day-to-day basis. To this end, we have implemented new teamwork models, mainly in the Corporates business, initiated a cultural shift at BayernLB and further improved our corporate culture from its already good starting point. Our employees were heavily involved in BayernLB's transformation in the past few years with a whole host of initiatives, and we are convinced that this laid the foundation for our employees' great commitment when it came realigning the BayernLB Group.

We are continuing steadfastly on this path and this year will devote considerable attention to our corporate values. We witnessed how strongly our employees identify with them in a large Town Hall. Our task now is to engrain these corporate values in the Bank as our DNA.

Another key aspect of our work will be to consolidate the profitability we have achieved, so as to lay the foundation for further growth, investment and dividends. Bearing in mind that economic performance in our core countries is sluggish, we will maintain our strict cost management and push ahead with transforming our IT landscape as well as streamlining and digitalising our processes. At DKB we will continue to concentrate on profitable growth and, under the Fit4Growth efficiency programme, on working more effectively by simplifying and digitalising processes, products and services.

All of this was and is only possible with a highly motivated and dedicated team, which is why developing and retaining our employees is just as important to us as attracting new talent. We would like to thank our employees most sincerely for their great dedication and very fruitful work in the past financial year. Their commitment will be the driving force taking the BayernLB Group forward to a sustainable and successful future.

Our special thanks also goes to you, our customers and business partners, for your trust in the BayernLB Group. We look forward to continuing our working relationship with you in the future.

Sincerely,

Stephan Winkelmeier

Dr Markus Wiegelmann

Marcus Kramer

Gero Bergmann

Johannes Anschott

Report by the Supervisory Board

Dear Reader,

The macroeconomic environment has been undergoing a fundamental change in recent years. Above all, the coronavirus pandemic, the growth in the money supply triggered by central banks, and geopolitical tensions have brought about high inflation and a sharp rise in interest rates. The banking sector has profited to a large degree from the interest rate pivot.

The German economy remained fraught in 2023, not least due to the rise in energy prices. The end of cheap gas supply from Russia as a result of Russia's war of aggression in Ukraine, coupled with the conditions created by the government's energy policy, poses huge challenges for many companies, which banks need to take into account in their business and risk planning.

In addition to the geopolitical and economic challenges, further increases in regulatory requirements are also weighing on the banking sector. The implementation costs relating to ESG (environmental, social and governance) issues are enormous.

In the financial sector, digitalisation is progressing apace and in future will shape business models dramatically. This trend brings with it higher IT and cyber risks, which will continue to force financial institutions to make large investments going forward.

Against this complex background, we advised the Board of Management in its running of the Bank and continually monitored its activities over the past financial year.

BayernLB's Board of Management kept the Supervisory Board and its committees informed of key developments at the Bank and within the Group at regular intervals, both promptly and comprehensively, in writing and orally, during the course of 2023. This included its supervisory duty to disclose deficiencies detected by its internal Audit Division.

We held detailed discussions with the Board of Management on BayernLB's business policy and performance, as well as on fundamental issues relating to corporate planning, especially in its financial, investment and personnel aspects. At the heart of this was BayernLB's strategic realignment, agreed at the end of 2019, which involved focusing on high-growth, promising sectors while reducing the Bank's cost base and thereby improving the Group's profitability. The Board of Management and the Supervisory Board, of course, also factored in the impact of the current geopolitical challenges and the altered interest rate environment on the BayernLB Group's risk situation. With this in mind, we were also briefed about the Group's earnings, expenses, liquidity and capital status, profitability, legal and business relationships, material events and business transactions.

Between meetings, as Chairman of the Supervisory Board, I remained in regular and close contact with BayernLB's Board of Management, particularly its Chairman. The Supervisory Board was notified in writing of important matters in the interim.

The Supervisory Board was involved in key decisions affecting BayernLB and gave its approval where necessary. Between meetings, resolutions were also passed by written circular motion.

As in previous years, meetings were held in 2023 with the Joint Supervisory Team from the ECB and national supervisory authorities, and with the Supervisory Board and committee chairs, to discuss the main issues pertaining to the respective body. These focused on strategic, business

policy and regulatory matters, along with committee affairs, and BayernLB's governance, financial position, performance and risk situation.

Supervisory Board meetings

In the year under review the Supervisory Board convened in a total of six meetings and three training seminars, which were also attended by representatives of legal supervisory authorities and, on one occasion, by representatives of banking supervisory authorities.

The main subjects of all the scheduled Supervisory Board meetings were the Board of Management's status reports on the BayernLB Group's current financial position and performance and the ongoing Fokus 2024 transformation programme (including progress and challenges regarding the changes and improvements made to the Group's IT), which was concluded at the end of the year. The discussions always addressed the latest developments. Besides the detailed reports by the respective committee chairs, regulatory – in particular banking supervisory – issues as well as refinements to the deposit guarantee system of the Savings Banks Finance Group were regular subjects of discussion in the Supervisory Board meetings. The Board of Management also informed us regularly of noteworthy events at the subsidiaries and of current business strategy issues, including with regard to the performance and management of plan and cover assets for pension obligations. Reflecting the growing importance attached to ESG, reports on the latest developments in sustainability were addressed at every regular Supervisory Board meeting. We subjected the Board of Management's reports to critical scrutiny and requested additional information in some cases, which was always immediately provided in full.

Over several meetings, after prior consultation in the relevant committees, we dealt with Board of Management and Supervisory Board matters. For example, in April the Supervisory Board decided to appoint Dr Markus Wiegmann for an additional term as a member of the Board of Management. Then in July came the decision to renew CEO Stephan Winkelmeier's tenure. We furthermore evaluated the Board of Management and the Supervisory Board itself, as required by law, and addressed matters relating to HR, remuneration and business policy. We also set the targets for the Board of Management for the new year and issued our feedback to the Board of Management members on the degree to which they had met the targets for the previous financial year.

Here are the details of each of the Supervisory Board meetings:

The focus of our first meeting, in April 2023, was on the Board of Management's report for financial year 2022, the adoption of the annual financial statements and the approval of the consolidated financial statements. The resolution was based on the recommendations of the Audit Committee and an in-depth discussion with the auditor PricewaterhouseCoopers GmbH Wirtschaftsprüfungsgesellschaft (PwC). In accordance with a proposal by the Audit Committee, the Supervisory Board recommended to the Annual General Meeting that the auditing firm PwC be reappointed to audit the 2023 annual financial statements of BayernLB and the Group, which the Annual General Meeting agreed to. We also addressed the combined separate non-financial report of the BayernLB Group for 2022, the content of which had been subject to a limited assurance engagement by PwC. We followed a further recommendation by the Audit Committee, namely on the appropriation of the distributable profits, and submitted a proposal to the Annual

General Meeting accordingly. We furthermore proposed to the Annual General Meeting that the Board of Management be discharged for 2022. In addition, we looked at issues surrounding the remuneration policy and discussed both Group Audit's annual report and the report on outsourcing, information security and business continuity management.

In a further meeting in April we took a close look at the latest developments in the banking market in the wake of the interest rate increases and their impact, especially on the Group's liquidity situation. We discussed with the Board of Management the progress made thus far on the Bank's project portfolio, as well as the status of the BayernLB Group's legally required resolution planning. We also deliberated on the HR report and issues related to Group IT.

That same month, following new appointments and reappointments of Supervisory Board members as called for by the Statutes, the Supervisory Board held a constituent meeting. This meeting focused on the election of the Chairman and Deputy Chairman of the Supervisory Board and the election of the Chairs and Deputy Chairs of the committees.

The main items on the agenda of our meeting in July 2023 included a further update on key planning parameters and their impact on the medium-term planning. We took note of the report on equity interests and the remuneration monitoring report by the remuneration officers. The Supervisory Board was also notified about the IT strategy for the Group and core Bank.

Among the main topics addressed at our September meeting were various governance-related matters, most of which arising in connection with the implementation of the guidelines issued by the European Banking Authority (EBA).

A key agenda item at the December meeting was the successful, on-schedule completion of the Fokus 2024 transformation programme at the end of 2023. In four years of transformation, sweeping changes were made in the BayernLB Group – to a large extent thanks to the great dedication of all our employees, a disciplined approach to implementing BayernLB's new strategy and an openness to change. The Supervisory Board conveyed its thanks and appreciation to the Board of Management and the employees. In addition, the Group medium-term planning for 2024-2028 was laid out in detail and adopted in the December meeting. We also discussed with the Board of Management the results of this year's Supervisory Review and Evaluation Process (the SREP results) for the Group. We were also updated on the recovery plan pursuant to the German Recovery and Resolution Act (Sanierungs- und Abwicklungsgesetz (SAG)). We agreed to various measures within the bodies charged with formulating remuneration and HR policies.

Supervisory Board committees – an overview

In a total of five meetings, the **Risk Committee** dealt with all the key issues relating to the Risk Strategy agreed by the Board of Management and all aspects of BayernLB's risk situation at both Group and Bank level. The focus in the past financial year was mostly on the current geopolitical developments and the impact of the altered interest rate environment. In this context, detailed discussions took place on the liquidity and deposit situation in the banking market and the developments in the real estate sector. In addition, the Committee dealt with the Board of Management's reports on risk-bearing capacity, approved individual loans requiring authorisation, reviewed whether the terms and conditions in the customer business were in line with the Bank's

business model and risk structure, and discussed the Group-wide risk strategies, which must be updated at least once a year, as well as selected risk-relevant credit exposures. The Risk Committee acknowledged the audit plan put forth by the internal Audit Division, the annual report on reputational risk management and reports on non-financial risk issues.

With an eye to the Fokus 24 transformation programme, the Risk Committee discussed sales and business strategy matters with the Board of Management on a regular basis, considering both risk and profitability. In 2023 as well the Committee took up ESG-related issues, including how they impact the Bank's business policy.

The **Compensation Committee** carried out its legally mandated duties in a total of three meetings. It addressed in particular the Board of Management's reports on the structure of the remuneration systems for employees (focusing partly on their alignment to the Business and Risk Strategy) and on the deliberations as to how to fine-tune them – partly in light of the collective wage agreement reform for 2023 originally planned by the labour negotiators – monitored their suitability and received regular updates on the plan and cover assets for the pension obligations as well as on other issues. It evaluated the impact of the remuneration systems on the Bank's and the BayernLB Group's risk, capital and liquidity situation and deliberated on how the main bonus pool should be calculated and distributed. The Compensation Committee also monitored the process for identifying risk takers and Group risk takers, discussed the report by the remuneration officers on the appropriateness of the staff remuneration systems and was informed about the Bank's activities to increase the proportion of women in management positions and on fair pay issues. Under its area of responsibility, the Compensation Committee also provided advice relating to Board of Management remuneration and submitted data to help inform the Supervisory Board's decisions on this matter.

The Compensation Committee and Risk Committee worked closely together and regularly exchanged information.

The **Executive and Nominating Committee** convened nine times in the reporting period. These meetings centred on preparations for Supervisory Board meetings, particularly in connection with the strategy and transformation programme but also with business, corporate and HR policy deliberations. In the 2023 financial year, the Committee also prepared decisions on Board of Management matters for the plenary session in accordance with its legally mandated duties. Another focus of the Committee's work in 2023 was on evaluating the Board of Management and the Supervisory Board in accordance with the German Banking Act and the ESMA/EBA guidelines on assessing the suitability of members of the management body and holders of key positions. The Committee also supported BayernLB's owners on issues relating to the composition of the Supervisory Board.

In a total of four sessions, the **Audit Committee** dealt with the monitoring of the accounting process and the effectiveness of the risk management system, particularly the internal control system and the Audit Division. The Committee also oversaw the implementation of the audit of the annual financial statements and the consolidated financial statements, particularly with regard to the independence of the auditor and the services it provided, including the approvals needed for non-audit services. The Audit Committee also discussed the combined separate non-financial report of the BayernLB Group for 2022 and the findings of the related audit undertaken by PwC.

Other issues the Committee looked at in detail were the Board of Management's reports on BayernLB's current financial position and performance and on topics related to Group IT and taxation. Especially in light of the altered interest rate environment, the Audit Committee also debated the – in some cases greatly varying – impacts of the market movements on both the value-based and the risk-oriented management of the Group and on accounting. Furthermore, the Audit Division and Group Compliance reported to the Audit Committee on various matters, including their work programmes and their findings in 2023. The Committee conferred with the auditor PwC on the latter's report for financial year 2022 and the Board of Management's regular reports on the Group's financial position and financial performance, and discussed with PwC the focus of the audit of the 2023 accounts. Furthermore, the Committee carried out the assessment of audit quality required by law from the perspective of the audited company.

In its three meetings, in accordance with its legal duties, the **BayernLabo Committee** addressed all matters in respect of BayernLabo on behalf of the Supervisory Board and passed resolutions concerning BayernLabo's affairs for which the Supervisory Board is responsible. It also discussed the Business and Risk Strategy, the medium-term planning for 2024-2027, the internal audits and the planning of personnel with both the Board of Management's segment head and BayernLabo's senior management. The Board of Management's segment head and senior management of BayernLabo, moreover, reported to the Committee on BayernLabo's performance, the conclusion of the project launched to develop the new service portal and the updated housing subsidy regulations.

The Supervisory Board and respective committees carried out the tasks required of them by law, the Statutes and their current Rules of Procedure.

Additional specialist training

Specialists from the Bank, representatives from auditing and consulting firms and external experts held three training events for the Supervisory Board. These seminars covered current developments with regard to regulations, IT/cyber security, sustainability, the impact of the interest rate pivot on retail and universal banks and combating money laundering, and the major challenges resulting from all this for banks and their supervisory bodies, with a focus on BayernLB.

The members of the Supervisory Board also completed courses and advanced training required for their tasks and took advantage in particular of the external seminars offered by auditing companies on current topics in the banking sector and in corporate governance.

Corporate governance

The BayernLB Corporate Governance Principles set out the provisions on corporate management and corporate supervision that apply to BayernLB on the basis of binding and in-house regulations. The Supervisory Board discussed compliance with these Corporate Governance Principles in 2023 in its meeting on 11 April 2024. The Board of Management, Supervisory Board and Annual General Meeting agreed that they were aware of no evidence to indicate these principles had not been observed in financial year 2023.

Changes in the composition of the Supervisory Board and Board of Management

Dr Ute Geipel-Faber left the Supervisory Board as at 19 April 2023; she was succeeded by Ms Sylvia Steinmann.

We would like to thank Dr Geipel-Faber most warmly for her constructive contribution and her cooperation in the challenging times we have faced.

Consolidated financial statements and combined separate non-financial report

The Bank and Group auditor PwC conducted the audit of the Bank's annual financial statements, consolidated financial statements and combined management report for 2023 and issued an unqualified audit opinion. PwC also audited the annual financial statements and management report of BayernLabo, a legally dependent institution of the Bank, and also issued an unqualified audit opinion.

The non-financial statement, stipulated in Sections 289b and 315b of the German Commercial Code (HGB), was published by the Bank in the form of a combined separate non-financial report that is included in this annual report. Within the framework of its auditing obligations, the Supervisory Board exercised the option of having the contents of the non-financial declaration externally audited by PwC as a separate mandate.

The Supervisory Board and BayernLB's BayernLabo Committee each verified the independence of PwC. The financial statements documentation and audit reports were duly presented to all Supervisory Board members.

The BayernLabo Committee and the Audit Committee examined each of the documents forming part of the annual and consolidated financial statements in conjunction with the auditor's report and discussed them in detail with the auditor. Each committee chair reported to the Supervisory Board on this matter.

In its meeting on 9 April 2024, the BayernLabo Committee adopted BayernLabo's submitted annual financial statements and approved the management report on BayernLabo's accounts.

On the recommendation of the Audit Committee, and after examining the auditor's reports and the documentation relating to the annual and consolidated financial statements and non-financial reporting, and discussing these in detail with the auditor, the Supervisory Board in its meeting on 11 April 2024 approved the findings of the audit and concluded that it had no reservations following the conclusion of the audits.

In its meeting on 11 April 2024, the Supervisory Board adopted the annual accounts of the Bank as submitted by the Board of Management and also approved the consolidated financial statements and combined management report.

Furthermore, the Supervisory Board proposed to the Annual General Meeting that the Board of Management be discharged and that the reported distributable profits of EUR 350 million be distributed to the shareholders. The Annual General Meeting gave its approval of both proposals in its meeting on 11 April 2024.

A thank you to the customers, the Board of Management and the staff

The Supervisory Board would like to thank all of the BayernLB Group's customers and business partners for their loyalty over this past financial year. It also wishes to thank all the employees in the Group and the members of both DKB's and BayernLB's Board of Management for their hard, very fruitful work and huge personal contribution in the past year.

Munich, 11 April 2024

On behalf of the Supervisory Board

Dr Wolf Schumacher
Chairman

Management report of the BayernLB Group

15	Combined management report
18	Foundations of the BayernLB Group
27	Report on the economic position
44	Report on the BayernLB Group's financial position and financial performance
65	BayernLB's annual financial statements under HGB
78	Risk report
143	Report on expected developments and opportunities

Combined management report

Bayerische Landesbank Anstalt des öffentlichen Rechts, Munich (hereinafter also referred to as “BayernLB” or “the Bank”), made use of the option under Section 315 para. 5 of the German Commercial Code (HGB) in conjunction with Section 298 para. 2 HGB and combined the management reports of BayernLB and the BayernLB Group. The information on BayernLB is provided in a separate section within the report on the economic position, which includes disclosures under HGB.

Pursuant to Section 315e HGB, BayernLB’s consolidated financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS) as they are required to be applied in the European Union. With the exception of the HGB disclosures in the section on BayernLB’s business performance, all the financial figures in this combined management report, including the comparison figures for the previous year, are reported under IFRS.

The information provided in the combined management report generally relates to the BayernLB Group; if there are material differences with respect to BayernLB, that information is provided separately.

The combined management report includes, in particular in the risk report and the report on expected developments and opportunities, specific statements about the future which are based on current assumptions and forecasts and other information available to this. Various known and unknown risks, uncertainties and other factors may cause the actual results, financial position and the development and performance of the BayernLB Group to deviate significantly from the estimates given here. These risks and opportunities are described in the risk report and the report on expected developments and opportunities, among other publications.

Foundations of the BayernLB Group

Group structure

BayernLB, whose head office is in Brienner Straße 18, 80333, Munich, is the parent company of the BayernLB Group. It is also the parent company of Deutsche Kreditbank Aktiengesellschaft, Berlin (hereinafter “DKB”), BayernInvest Kapitalverwaltungsgesellschaft mbH, Munich (hereinafter “BayernInvest”), Real I.S. AG Gesellschaft für Immobilien Assetmanagement, Munich (hereinafter “Real I.S.”), and other companies. DKB is also the parent company of a group.

Bayerische Landesbodenkreditanstalt Anstalt des öffentlichen Rechts, Munich (hereinafter “BayernLabo”), is a legally dependent institution established under public law of BayernLB that is organisationally and financially independent.

BayernLB has a nominal capital of EUR 2,800,000,000. The nominal capital belongs to BayernLB Holding AG, Munich, the entity entrusted with ownership. Its indirect owners (shareholders) are the Free State of Bavaria, which holds around 75 percent, and the Association of Bavarian Savings Banks, which holds around 25 percent.

The BayernLB Group’s business activities are focused on Germany, but the Group also operates in selected foreign markets. BayernLB’s registered office is in Munich. The BayernLB Group also has offices in other locations in Germany (Berlin, Düsseldorf, Frankfurt am Main, Hamburg, Leipzig and Stuttgart) as well as a branch (Nuremberg). Outside of Germany, it has several branches (New York, London, Paris, Milan and Amsterdam).

Business model and Group strategy

As a streamlined specialised bank, BayernLB is a major investment lender to the Bavarian and German economy. As a commercial bank, central bank to the regional savings banks, principal bank for the Free State of Bavaria and development bank, it is a reliable partner to its customers – companies, savings banks, financial institutions, retail customers, institutional investors and the public sector.

Strategic focus and objectives

By the end of 2023, the BayernLB Group had mostly completed its realignment and transformation process, initiated at the end of 2019, as planned. The overriding aim of the BayernLB Group’s strategic realignment was to achieve consistently profitable growth by building on its own strengths while focusing on customers it could create real added value for, mainly through financing and advisory services. The strategic objectives for the Bank’s Sales units were twofold: firstly, to reduce dependence on the traditional lending business by expanding specific advisory expertise, increasing customer benefits and maintaining and (further) developing long-term customer relationships; and, secondly, to increase regional earnings and risk diversification while seizing growth opportunities in the sectors of the future in high-margin, high-(foreign) growth markets.

As part of the BayernLB Group's regular strategy-setting process, and given the current challenges, especially the changed geopolitical and macroeconomic environment (with emphasis here on the higher interest rates), BayernLB subjected its envisioned strategy to a regular review in the first half of 2023. In July 2023 the Board of Management and Supervisory Board readopted the business strategy of the BayernLB Group and its segments, with only a few isolated adjustments made in some segments, including a shift of weightings between individual business activities. Growth in the commercial real estate business has been temporarily reduced due to the present market environment. At the same time, DKB is adhering to its growth strategy, with more focus placed on maintaining cost discipline in the company by fleshing out and implementing appropriate measures.

The Bank-wide Fokus 2024 transformation programme implemented key parts of the strategic realignment in a multi-year process involving many different, intertwined projects. It was completed on schedule at the end of 2023, except for certain ongoing IT transformation projects. The consolidation of the trading application landscape will conclude when the hypercare phase of the system migration initiated in the first quarter of 2023 is completed in the first quarter of 2024. The project to modernise bank management will still run after the Fokus 2024 transformation programme comes to an end. For details, refer to the section on the BayernLB Group's business performance in the report on the economic position in this management report.

The following strategic goals were pursued once again in 2023 without any changes:

- Focusing business activities squarely on the challenges of tomorrow and optimising the customer experience by building up product and advisory expertise along the value chains
- Achieving target growth in the high-margin core business within the existing risk guidelines, especially in the asset-based, structured financing and real estate businesses
- Improving profitability by systematically leveraging efficiencies in the operating model, sustainably reducing the cost basis, and making targeted investments in the Bank's infrastructure
- Promoting and improving a cooperative and collaborative work environment and selectively digitalising distribution channels, the range of services offered and the operating model

The BayernLB Group, furthermore, is focusing actively on sustainability and has defined a clear vision for the Bank and its subsidiaries for this purpose. To operationalise its Sustainability and Environmental Policy and its Sustainability Strategy, BayernLB has implemented a Sustainability Programme published in its Sustainability Report pursuant to the GRI that entails goals and measures for each relevant issue. It is a key tool for making further improvements to the Bank's sustainability performance.

Over the past four years, BayernLB has successfully positioned itself on the market as a “financier of progress” and steadily transformed its business model from universal bank to streamlined, specialised lender. At the same time, BayernLB achieved its goals to improve profitability and strengthen the Group’s capital base.

BayernLB’s goal for the next few years will be to continue realising its envisioned strategy, taking account of technological progress, market developments and the competition at large.

The BayernLB Group’s operating business segments

The BayernLB Group comprises BayernLB and the subsidiaries over which BayernLB can directly or indirectly exercise a controlling influence. BayernLB is in charge of managing the Group, which comprises the following operating business segments:

- Real Estate & Savings Banks/Financial Institutions, including BayernLabo and the subsidiaries Real I.S. and BayernInvest
- Corporates & Markets
- DKB – comprising the DKB sub-portfolio

Real Estate & Savings Banks/Financial Institutions segment

In the real estate business, BayernLB prioritises commercial real estate financing and services, focusing on Germany and established and stable international markets, with branches in Paris, London, Milan and New York and, from 2023, Amsterdam. In commercial real estate, products include financing for existing real estate assets, project development, housing developers and portfolio funding. In terms of asset classes, the focus is on offices, residential property, logistics, retail and managed real estate in the areas of hotels and social care.

To serve customers more comprehensively under one roof, the Bank makes extensive use of its close working relationship with subsidiaries and equity interests, such as Real I.S., Bayerische Landesbank Immobilien-Beteiligungs-Gesellschaft mbH & Co. KG, Munich (BayernImmo), LB Immobilienbewertungsgesellschaft mbH, Munich (LBImmoWert), Bayerngrund Grundstückbeschaffungs- und -erschließungs GmbH (BayernGrund) and Bayern Facility Management GmbH, Munich (BayernFM). Real I.S.-Gruppe is an asset manager that handles real estate investments for retail and institutional investors, mainly in Germany, Europe and Australia. Along with its real estate services companies, BayernLB offers a coordinated range of products from advising on energy-efficient upgrades, sustainable valuations, green financing products, including the use of subsidies, right through to institutional investments in green assets.

The Bank is a dependable partner to the savings banks and the central bank to the S-Finanzgruppe (Savings Banks Finance Group) in Bavaria. BayernLB performs key tasks in its Association business for the savings banks (especially those from Bavaria), which are an important group of customers and sales partners. In these times of necessary structural change, the Bank helps the savings banks and their customers become more sustainable by offering them a needs-oriented and growing selection of products and services. This working relationship is centred around complementary products and services for the savings banks' own and end-customer business. These include payment services, capital markets business, international business, syndicated business, subsidised loan business, and foreign notes and coins/precious metals activities. Through its broad range of precious metal products, and by expanding its foreign notes and coins and precious metals centre of expertise in Nuremberg, BayernLB has evolved in this segment into one of Germany's market-leading providers. In addition, funding from the savings banks is an important source of refinancing for BayernLB, while also strengthening the common liquidity pool.

BayernLB also acts as a lender and service provider to the public sector, especially in its role as the principal bank for the Free State of Bavaria, as well as to public-law and non-profit institutions.

BayernLB's subsidised loan business for the Free State of Bavaria is assigned to BayernLabo. BayernLabo has a public mandate to provide financial support, as part of housing policy and in conformity with the state aid provisions of the European Community, for measures aimed at improving and strengthening Bavaria's housing and settlement structure. As a municipal bank of the Free State of Bavaria, BayernLabo also provides financing to Bavarian local authorities and public-sector special-purpose associations.

Another focus is on providing services to insurers, (correspondent) banks, building societies and asset managers. In the business with European insurers, BayernLB has a significant volume of letters of credit business. An extensive network of institutional customers provides BayernLB with a broad investor pool. The Bank also supports the development and sales of sustainable financial products and services, and thereby assists customers further in their own sustainable alignment or transformation.

Securities asset management for BayernLB is handled by the subsidiary BayernInvest. This asset management company focuses mainly on advisory services and managing securities investment funds for institutional and private investors.

Corporates & Markets segment

Corporates handles business with large German and selected international companies and the Mittelstand corporate customer business. BayernLB focuses here in particular on providing financing to corporate customers in the growth sectors of the future – mobility, energy, technology, manufacturing & engineering, and construction & basic resources. The Bank's core competencies include traditional and structured credit financing. The product range includes working capital, capex and trade financing, project and export financing, lease financing and asset finance. The Bank also offers a well-developed ESG advisory service, which actively supports sustainable financial solutions.

The range offered by Markets largely comprises money market, interest, foreign currency and CO₂ trading product groups, and assistance for customers in tapping capital markets for their financing needs, especially through bonds or Schuldschein note loans. Its main customers include German and international corporate and Mittelstand customers, real estate customers, savings banks and financial institutions, which are served in the respective business areas. On the sustainability front, BayernLB offers the full range of products in debt capital markets with green, social and sustainable bonds and Schuldschein note loans. It also assists customers with structuring, creating a framework, commissioning a second party opinion and placement.

DKB segment

DKB is an integral part of the BayernLB Group and complements the Group's business model. Its business activities are focused primarily on Germany, with certain activities in Austria, Switzerland and France.

In retail banking, DKB operates as an online bank with a steadily growing customer base and mainly offers account packages, construction financing, private loans and investment products. By making targeted investments in digitalisation, DKB is laying the foundation for significant growth in its retail customer business.

It is also a corporate banking specialist in business with corporate and infrastructure customers, which mainly includes doing business with clients involved with local authorities and social infrastructure, energy and utilities, residential property or property administration. One of DKB's key areas of expertise is financing and investment products in selected and, for the most part, sustainable sectors in Germany: renewable energy, health, social care, education, agriculture and residential property.

In 2023, DKB initiated a Group-wide efficiency programme called Fit4Growth. The goal of the transformation programme, which is set to run until the end of 2025, is to sustainably optimise DKB's operating model, create a basis for further growth and therefore secure profitability for the long term.

Sustainability and combined separate non-financial report

The shared understanding of sustainability at the BayernLB Group rests on the 17 global sustainability goals of the UN Agenda 2030, the climate goals of the Paris Agreement, the Bavarian sustainability strategy, the German government's sustainable strategy and the requirements under the EU Taxonomy Regulation.

In its Sustainability Strategy the Bank pursues a number of goals, including a climate-neutral portfolio, improving its taxonomy alignment and implementing the decarbonisation paths specified in the Climate Protection Act. For this purpose, specific targets and measures, including those pertaining to the individual business areas, are set out in the Sustainability Programme, which operationalises the Sustainability Strategy.

BayernLB set up a Sustainability Board on 1 January 2024. The goal of the Sustainability Board is to provide strategic support for, monitor and continuously develop BayernLB's sustainable focus with regard to ESG topics along the Bank's entire value chain. To do this, material ESG impacts, risks and opportunities are regularly assessed.

To implement regulatory and strategic requirements and market requirements on sustainability aspects, BayernLB launched the ESG project Sustainability in 2021.

BayernLB has implemented an ESG assessment tool to identify on a broad basis sustainability risks and the positive impact of financing on the achievement of climate and sustainability goals in the portfolio.

The BayernLB Group goes into greater detail about the sustainability topics and aspects identified as important for the company in the combined separate non-financial report of the BayernLB Group, which does not form part of the combined management report.

The combined separate non-financial report of the BayernLB Group contains BayernLB's non-financial reporting and the BayernLB Group's non-financial reporting pursuant to Section 315b para. 3 HGB in conjunction with Section 289b para. 3 sentence 2 HGB and disclosures pursuant to Article 8 of the EU Taxonomy Regulation. The BayernLB Group's combined separate non-financial report for 2023 will be submitted to the entity maintaining the company register along with the consolidated financial statements and the Group management report of the BayernLB Group for financial year 2023, and published in the German Federal Gazette. BayernLB's annual financial statements and the BayernLB Group's annual report can also be viewed online at www.bayernlb.com.

Changes to the scope of consolidation

As at the reporting date, the scope of consolidation for the consolidated financial statements comprised, besides the parent company, 15 fully consolidated subsidiaries, the same number as the previous year.

Group management

Internal Group management system

The BayernLB Group's internal management system is based on managing the inter-related variables of profitability, risk, capital and liquidity. One of the main goals of the internal management system is to continuously optimise the resources employed while simultaneously ensuring that the Group's capital and liquidity base is adequate.

The monthly Group management report includes a comprehensive analysis of these performance indicators and informs management as to whether the BayernLB Group is within the target bands of its operational and strategic goals. Operations are managed primarily at segment level as part of the management cycle. This is a continuous process of carrying out annual medium-term planning, producing intra-year detailed target versus actual comparisons and making projections to the year-end.

The Group is managed using sets of financial indicators based on IFRS accounting. Non-financial performance indicators are mainly interpreted from a regulatory perspective in connection with the EU Taxonomy Regulation. BayernLB has published its eligible asset ratio (green asset ratio) since financial year 2021 and its green asset ratio since 31 December 2023 based on the requirements of this Regulation. Please refer to the BayernLB Group's combined separate non-financial report for financial year 2023 for more information.

The table below provides an overview of the most important performance indicators.

Indicators	Content
Profit/loss before taxes	Profit or loss before taxes under IFRS
Return on equity (RoE)	Ratio of profit before taxes to capital, as calculated using a regulatory approach. The average Common Equity Tier 1 (CET1) capital available over the financial year is used at Group level to calculate the return on the capital employed. For all management levels below Group level, the average economic capital employed in the financial year is derived from the risk weightings of the underlying individual transactions (RWAs) specified by regulatory authorities.
Cost/income ratio (CIR)	Ratio of administrative expenses to gross earnings as an indicator of cost efficiency. Gross earnings comprise net interest income, net commission income, gains or losses on fair value measurement, gains or losses on hedge accounting, gains or losses on derecognised financial assets, gains or losses on financial investments and other income and expenses.
Common Equity Tier 1 (CET1) capital ratio	Ratio of Common Equity Tier 1 (CET1) to total risk-weighted assets (RWAs). Common Equity Tier 1 capital comprises subscribed capital plus reserves, the capital contribution of BayernLabo and various supervisory adjustments and deductions.

Indicators	Content
Leverage ratio (LR under Capital Requirements Regulation CRR II/CRD V)	Ratio of core capital to total exposure (leverage exposure in accordance with CRR) as a non-risk-based metric for indebtedness.
Utilisation of economic capital	Percentage of available capital (economic risk capital) utilised to cover unexpected risks.
Liquidity coverage ratio (LCR under DelReg, CRR/CRD IV)	The LCR measures the ratio of available highly liquid assets to the total net cash outflows for the following 30 days under stress conditions.
Net Stable Funding Ratio (NSFR under CRR/CRD IV)	The ratio of the amount of stable funding available to the amount of stable funding required is calculated to determine the NSFR. The amount of stable funding available is the proportion of own and borrowed funds that can be expected to represent a reliable source of funding over a time horizon of one year under persistent stress conditions. The required amount is calculated by aggregating the value of the assets held and off-balance sheet liabilities weighted by one of the factors reflecting the liquidity characteristics.
Non-performing loans (NPLs)	Exposure (GEX) rated by the BayernLB master rating system as in the default categories as at the reporting date. This comprises the following ratings: Rating 22 default (past due >90 days), rating 23 default (credit loss), rating 24 default (insolvency). Due to regulatory requirements, the foreign currency rating is used to calculate the NPL figures if the customer's payment obligations are not solely in local currency.
Non-performing loan ratio (NPL ratio)	NPL ratio in % corresponds to share of rating categories 22 to 24 as a proportion of total gross exposure (GEX)
For information purposes:	
Profit or loss after taxes (HGB)	Net income under German accounting standards (HGB) before appropriation of profits

Compliance with the key financial performance indicators is shown in more detail in the report on the economic position. The key risk management indicators are shown in the risk report section of this management report.

Internal control system with regard to accounting processes

The internal control system (ICS) with regard to accounting processes in the BayernLB Group is tasked with ensuring the accounts have been properly prepared and are reliable. BayernLB's Board of Management has full responsibility for operating a proper business organisation.

When the Bank designed the components of the accounting-related ICS, it took account of internationally recognised frameworks for internal control systems. The system comprises:

- Group-wide guidelines on accounting
- Controls integrated into processes and IT systems
- Principles for segregating duties as organisational measures
- Process-independent monitoring measures

The ICS is continually improved and regularly evaluated for how well it is functioning using central and decentral process analyses, and analyses of data in the finance systems and audit activities. The most important features of the ICS in terms of the accounting process are described below.

The consolidated financial statements of the BayernLB Group must be prepared in accordance with International Financial Reporting Standards (IFRS) as they are required to be applied in the European Union, and in accordance with the provisions under commercial law set out in Section 315e para. 1 HGB, which must be observed in addition. The ICS as applied to accounting processes is also designed to ensure that BayernLB's annual financial statements and the combined management report are prepared in accordance with HGB.

The Finance Division manages the accounting processes and the preparation of the management report. Accounting, measurement and account assignment policies can be viewed on the intranet. Laws, accounting standards and other pronouncements are continually analysed to determine whether and to what extent they are relevant and what impact they have on the accounting process. The relevant requirements are set out and communicated in the (HGB and IFRS) accounting manuals and used, together with the Group-wide instructions for preparing the annual accounts, as the basis for the preparation process. In addition, supplementary procedural instructions are in place to support the process of preparing consolidated financial statements in a uniform and true and fair manner. These cover areas such as standardised reporting formats, IT systems and IT-supported reporting and consolidation processes. If necessary, external service providers are brought in, e.g. to value the BayernLB Group's pension obligations. The Finance Division ensures these requirements are complied with Group-wide.

Controls are integrated into the accounting and Group accounting processes. They follow the principle that duties must be segregated. Controls are also integrated into the most important IT systems relevant for the accounting process in order to perform various functions including preventing the incorrect recording of transactions, ensuring transactions are fully recognised or are measured in line with accounting regulations, and determining whether items have been properly consolidated.

Among the measures to improve the IT systems for accounting processes, these controls are being adapted to new requirements and the greater possibilities offered by information technology.

Clear rules have been laid out governing who is responsible for ensuring the effectiveness of the ICS in the accounting and Group accounting processes. These responsibilities have been assigned to designated managers and process owners. In connection with this, the Group units and divisions involved in the process must monitor and confirm the ICS' effectiveness in their accounting. In addition, the internal Audit Division assesses the effectiveness of the ICS as part of its audit procedures. No significant weaknesses were detected in 2023.

Human resources

Transformation completed and headcount stabilised

In 2023, the work of Human Resources was once again focused on providing ongoing support during the transformation programme. Through Fokus 2024, BayernLB set itself ambitious strategic personnel targets to achieve the cost objectives set out in the vision for 2024. All of the Bank's business areas needed to implement the agreed measures to achieve the various cost objectives on time. The HR management instruments agreed between the Board of Management and the General Staff Council in 2019 for socially responsible workforce reductions and restructuring were concluded in BayernLB Bank¹ under the Fokus 2024 programme when the instruments expired on 30 September 2022. BayernLB successfully completed the downsizing initiated in 2019, on 30 September 2023.

The Fokus 2024 transformation programme was accompanied by intensive change measures, which remain the focus of the programme. The goal is to ensure operational stability, motivate employees who continue to work at BayernLB and steadily improve the culture. Owing to staff departures, in 2023 the Bank pushed a comprehensive targeted transfer of knowledge to the remaining employees and defined this transfer as a clear performance objective as part of the development and performance dialogue. In addition, it is stepping up the process of optimising tasks and processes on an ongoing basis. In 2023, the whole workforce again took part in the "pulse check" employee survey to evaluate and assess the individual steps in the transformation process. The findings were used to draw up targeted measures to make improvements.

Having completed the downsizing measures under Fokus 2024 in September 2023, BayernLB entered a period of stabilisation and consolidation in its workforce. Further staff reductions, particularly through employee-initiated turnover, will be avoided as much as possible or compensated for by recruiting new staff. Accordingly, one of the overriding HR objectives is to consolidate BayernLB's position as an attractive and modern employer for young talent and professionals both internally and externally on the market, while stepping up recruitment activities in a targeted way and based on needs. With a new employer branding campaign, BayernLB wants to respond specifically to the changed market conditions and the new needs of applicants. The initial strategies for this were drawn up at the end of 2023, with the goal of implementing them over the course of 2024.

¹ BayernLB core Bank, comprising BayernLB Bank and its branches (excluding BayernLabo).

BayernLB also initiated other initiatives in 2023 to boost its attractiveness as an employer and improve work-life balance, for example by offering flexible working hours. This included improving yet further the Workation scheme in selected European countries, extending the service agreement for remote working and desk-sharing, providing additional organisational options for co-leadership (filling leadership roles in tandem), and expanding BayernLB's internal leadership development programme (Leadership Academy) to include new learning pathways (e.g. hybrid leadership, leadership in times of change and transformation, feedback culture, empowerment of teams and employee integration, retention and development). In addition, the Bank paid an inflation compensation and health premium in 2023, which helped boost its attractiveness as an employer and took account of the difficult economic conditions.

Changes in the workforce

Headcount at BayernLB Group and BayernLB² level as at 31 December 2023 was:

Headcount

	BayernLB Group		BayernLB	
	31 Dec 2023	31 Dec 2022	31 Dec 2023	31 Dec 2022
Employees	8,241	8,491	2,632	2,904
Proportion of women	4,155	4,285	1,223	1,355
Proportion of men	4,086	4,206	1,409	1,549
Part-time employees	2,087	2,154	735	818
Full-time employees	6,154	6,337	1,897	2,086
Trainees including students on integrated degree programmes	58	61	50	50

Headcount at the BayernLB Group went down largely as a result of BayernLB's staff reduction programme under Fokus 2024, concluded on 30 September 2023.

² BayernLB comprises the branches and BayernLabo.

Report on the economic position

Macroeconomic environment

Economy, inflation and monetary policy

Even though the fighting on the front line in Ukraine appeared to have become increasingly static, the reverberations from Russia's war of aggression had a significant impact on the economy in 2023. In Europe in particular, the energy supply freeze between Russia and the EU, enforced by mutual sanctions, led to a restructuring of the energy supply, which drove up prices. The loss of Russian supplies of gas, coal and crude oil was compensated by reduced consumption, expensive LNG imports and a stepping up of trade with other partners such as Norway and Algeria. A gas shortage was avoided in Europe at the start of the year thanks in part to the mild weather, with energy prices sliding over the course of the year. The surge in inflation had therefore already long since peaked, but, along with a steep rise in base rates, was still a significant drag on the economy. Meanwhile, the global supply chain issues which had caused so many problems in the previous year gradually resolved themselves.

Against this backdrop, sentiment in industry remained subdued throughout the year. The economic downturn hit northern, central and eastern Europe and especially Germany the hardest, while southern European countries such as Italy and Spain expanded slightly more strongly. The latter benefited from the ongoing recovery in the services sector, particularly tourism, following the shock of coronavirus. In the eurozone, real gross domestic product went up by 0.5 percent year on year.³ The US economy was more robust and took surging prices and higher base rates in its stride. Resilient private consumption, a strong labour market and bountiful government support and investment programmes helped it to post strong growth of 2.5 percent in 2023.⁴ In emerging markets, hopes that the global economy would get a significant economic boost were dashed primarily by the anaemic post-Covid recovery in China. Although the country's year-on-year growth target of 5.0 percent for 2023 was exceeded by a modest 0.2 percent⁵, much momentum was lost in the course of the year. The problems confronting the real estate sector remained challenging, with the mainly smaller-scale fiscal programmes launched by the government failing to have any significant effect. Private consumption also softened.

Germany recorded a 0.3 percent fall in real gross domestic product compared with 2023.⁶ Neither industry nor the construction sector made use of the big order backlogs to expand production as had been hoped, although supply chain problems increasingly faded into the background. The already high capacity utilisation and shortage of skilled workers played a large role in this. Nevertheless, companies engaged in a substantial amount of investment activity as a result. Overall, though, economic demand remained generally weak. New order volumes in indus-

3 See Eurostat 2024, <https://ec.europa.eu/eurostat/documents/2995521/18507488/2-14022024-AP-DE.pdf/bcbe5116-b73f-a433-f528-4019e44e0b07>.

4 See U.S. Bureau Of Economic Analysis 2024, <https://www.bea.gov/news/2024/gross-domestic-product-fourth-quarter-and-year-2023-advance-estimate>.

5 See National Bureau of Statistics of China 2024, https://www.stats.gov.cn/english/PressRelease/202401/t20240117_1946605.html.

6 See German Federal Statistical Office 2024, https://www.destatis.de/DE/Presse/Pressemitteilungen/2024/01/PD24_019_811.html.

try plunged in the spring as weak demand from key European sales markets, the US and in particular China, dampened exports. High inflation increasingly became a drag on the retail trade. Consumers' reluctance to spend spread to a good number of sectors and affected car sales, which also suffered as a result of the reduction in state subsidies. Government spending went down too once coronavirus measures were withdrawn or expired. The agreed fiscal austerity measures brought in at short notice after the Federal Constitutional Court vetoed the reallocation of coronavirus relief funds triggered additional uncertainty among companies and consumers at the end of the year.

2023 was a challenging year for companies and private households in the Free State of Bavaria. Supply chain problems increasingly resolved themselves during the first half, so there were only isolated reports of missing input goods such as semi-conductors, with the automotive industry being one example. However, the environment for companies remained challenging, despite these rays of hope. In 2023, the major backlog of orders only produced a modest expansion in industrial output of 0.4 percent.⁷ The increase was driven by engineering and pharmaceuticals, but most strongly by a recovering automotive sector, which sold more vehicles despite the loss of the subsidy for plug-in hybrids at the start of the year and a lethargic Asian business. One of the weakest sectors was the chemical industry, which is very important for Bavaria. This, like other energy-intensive sectors of the economy, was hit by high input prices. Overall, the Bavarian economy dodged the recession in the first half of 2023 after expanding real GDP by half a percentage point compared with the previous year (Germany: -0.3 percent).⁸ Encouraging signs were the almost non-existent rise in unemployment (annual average for 2023: 3.4 percent⁹) and the fall in inflation to 3.4 percent¹⁰ in the Free State of Bavaria in the period ending December 2023.

In 2023, inflation averaged 5.4 percent¹¹ in the eurozone (HICP) and 5.9 percent¹² in Germany (CPI), falling by more than had been expected at the start of the year, but still well above the ECB's target level of 2 percent. Along with food, core inflation increasingly became the driver of rising prices. However, energy prices normalised again after the shock of the previous year and even had a mollifying effect in the second half of 2023. By the end of the year, the rate of inflation had slipped back to 2.9 percent.¹³ The prices in the upstream areas of inputs for production and trade also eased back, pointing to a further lessening of pricing pressure. The labour market

7 See Bayerisches Landesamt für Statistik 2024, https://www.statistik.bayern.de/statistik/wirtschaft_handel/verarbeitendes_gewerbe/index.html#link_3.

8 See German federal and state statistics offices 2024, <https://www.statistikportal.de/de/vgrdl/ergebnisse-laender-ebene/bruttoinlandsprodukt-bruttowertschoepfung/bip#11489>.

9 See Federal Employment Agency 2024, <https://statistik.arbeitsagentur.de/Auswahl/raeumlicher-Geltungsbereich/Politische-Gebietsstruktur/Bundeslaender/Bayern.html>.

10 See Bayerisches Landesamt für Statistik 2024, <https://www.statistik.bayern.de/presse/mitteilungen/2024/pm002/index.html>.

11 See Eurostat 2024, https://ec.europa.eu/eurostat/databrowser/view/prc_hicp_aind/default/table?lang=de.

12 See German Federal Statistical Office 2024, https://www.destatis.de/DE/Presse/Pressemitteilungen/2024/01/PD24_020_611.html.

13 See Eurostat 2024, <https://ec.europa.eu/eurostat/documents/2995521/18343103/2-17012024-AP-DE.pdf/e971fc0f-da0f-6900-7350-bddcb3aaf378>.

proved relatively robust in spite of the recession, although unemployment inched up to 5.9 percent (seasonally adjusted).¹⁴ However, wages underwent significant growth, gaining further momentum by the end of the year. In light of this situation, European monetary policymakers eased up on the pace of rate hikes, but consistently raised rates at every meeting up to September. Since then, base rates have remained unchanged. All in all, the ECB hiked the deposit rate (used for monetary policy) by 200 basis points to 4.0 percent in 2023.¹⁵ This made interest rate policy noticeably more restrictive. The interest rate spread against the Fed, which paused its hikes in June, tightened by 100 basis points.¹⁶ At the end of the year, the Fed was already signalling the first cuts to interest rates in the middle of 2024. The European monetary guardians also made their liquidity policy less accommodative. The ECB gradually discontinued reinvesting in the APP bond purchase programme, and the commercial banks' lucrative tenders in the TLTRO programme expired as scheduled. This led to a considerable fall in the ECB's total assets and a sharp contraction in the amount of money in circulation. In December 2023, the ECB took the decision to gradually scale back reinvestments in the Pandemic Emergency Purchase Programme (PEPP) in 2024.

Financial and real estate markets

Bond markets in the eurozone and the US experienced a high level of volatility in 2023. Yields initially soared in the first quarter before temporarily correcting in March due to the US regional bank crisis. Repeated rises in interest rates by central banks, their signals that rates will stay higher for longer and concerns about an unfavourable constellation of supply versus demand of government bonds owing to persistently high budget deficits occurring at the same time as central banks are unwinding their balance sheets pushed yields higher once again in the period to the autumn. Yields on the 10-year German Bund reached a high for the year at the end of September, when they hit 3.0 percent.¹⁷ Market sentiment changed in the fourth quarter due to positive surprises on inflation, especially from the US, and a slide in commodity prices. Markets were dominated by expectations of rapid and substantial cuts in interest rates in 2024. Faced with this development, government bond yields plunged in the period to the end of 2023. Yields on the 10-year German Bund ultimately closed 2023 on 2.0 percent, compared with just under 2.6 percent at the start of the year, and an annual low of 1.9 percent in Christmas week.¹⁸ The yield curve (2Y/10Y) in the Bund market was significantly inverted for the whole of 2023. At the end of the year, 2-year Bunds (treasury bills) were yielding 2.4 percent, 37 basis points higher than their 10-year counterparts.¹⁹ In the US, yields on 10-year Treasuries were also highly volatile during 2023, moving within a trading range of 3.3 percent to 5.0 percent over the course of the year. At

14 See Federal Employment Agency 2024, <https://statistik.arbeitsagentur.de/Statistikdaten/Detail/202312/arbeitsmarktberichte/monatsbericht-monatsbericht/monatsbericht-d-0-202312-pdf.pdf>.

15 See ECB 2024, https://www.ecb.europa.eu/stats/policy_and_exchange_rates/key_ecb_interest_rates/html/index.en.html.

16 See Federal Reserve System 2024, <https://www.federalreserve.gov/monetarypolicy/fomccalendars.htm>.

17 See 10-year Bund yield, taken from Refinitiv Datastream on 3 January 2024.

18 See 10-year Bund yield, taken from Refinitiv Datastream on 3 January 2024.

19 See 2-year Bund yield, taken from Refinitiv Datastream on 3 January 2024.

the close of the year, they were just under 3.9 percent, compared with 3.8 percent at the start of the year.²⁰

The situation on the German real estate market remained challenging in 2023. The jump in construction interest rates since the start of 2022 caused demand in all asset classes to plunge. This also applied to the residential real estate market, which had been booming for a long period and is sensitive to interest rates. However, supply of residential property remained scarce, especially in metropolitan regions. As a result, prices of residential properties fell by 6.1 percent across the country in the fourth quarter compared with the same quarter of the previous year, according to vdp.²¹ In the top seven cities, the drop was 5.1 percent over the same period.²²

On the commercial real estate market, the fall in prices already observed in previous years gained significant momentum in 2023. Besides the rise in interest rates, the market was weighed down in particular by the gloomy economic situation and the high level of uncertainty concerning future demand for office space. For example, nationwide prices for commercial property sank by 12.1 percent in the fourth quarter of 2023 compared with the same quarter of the previous year, according to vdp.²³ Meanwhile, vacancies rose in office properties in metropolitan areas. For example, the office vacancy rate in Frankfurt am Main stood at 8.7 percent in the fourth quarter of 2023, and therefore 0.6 percent higher than the figure in the fourth quarter of 2022, according to Property Market Analysis (PMA).²⁴ Voids also rose by comparable amounts in the other metropolitan areas. The bricks-and-mortar retail sector remained mired in crisis mode in 2023, with price falls of 9.0 percent compared with the already weak quarter of the previous year, according to vdp.²⁵ Besides the long-term trend towards online retail, bricks-and-mortar retail was also hit by the consequences of falling sales during the pandemic and the slump in consumer sentiment. Due to the uncertainty prevailing on the market, investor demand for German commercial real estate also collapsed. For example, EUR 23.3 billion or 57 percent fewer commercial properties were traded in 2023 than in the previous year, according to BNP Paribas Real Estate.²⁶

While the US housing market was largely stable, the commercial real estate market, especially the office market, experienced a significant correction. For example, prices of US commercial property fell by 5.9 percent on average compared with the same quarter of the previous year, according to RCA. Behind what seems, at first glance, to be comparatively moderate falls in prices across all asset classes, there is a clear bifurcation of the market. While logistics real estate even experienced a rise of 0.5 percent in the fourth quarter compared with the same quarter of the previous year and bricks-and-mortar retail properties recovered with a drop of 5.5 percent, office property and commercial residential real estate posted much heavier falls. For example, prices of US office properties in the fourth quarter of 2023 were down by 16.1 percent compared with the

20 See 10-year Treasury yield, taken from Refinitiv Datastream on 3 January 2024.

21 https://www.pfandbrief.de/site/de/vdp/immobilie/finanzierung_und_markt/vdp-immobilienpreisindex.html.

22 https://www.pfandbrief.de/site/de/vdp/immobilie/finanzierung_und_markt/vdp-immobilienpreisindex.html.

23 https://www.pfandbrief.de/site/de/vdp/immobilie/finanzierung_und_markt/vdp-immobilienpreisindex.html.

24 See Property Market Analysis LLP 2024, <https://www.pma.co.uk/home/>.

25 https://www.pfandbrief.de/site/de/vdp/immobilie/finanzierung_und_markt/vdp-immobilienpreisindex.html.

26 See BNP Paribas 2024, <https://www.realestate.bnpparibas.de/marktberichte/investmentmarkt/deutschland-at-a-glance>.

quarter of the previous year, according to RCA. Most of the price declines related to office properties in central locations, which plunged by no less than 29.2 percent. By contrast, prices of office properties in suburban locations slipped back by only 13.2 percent.

Risk premiums on Pfandbriefs and covered bonds widened during the year, on average by 14 basis points.²⁷ The main reasons for the rising spreads were significantly higher yields across all maturities, at least for temporary periods, and high volumes of new issues. The latter stayed at an extremely high level (benchmark new issues > EUR 500 million higher than EUR 187 billion) and therefore only around 6 percent lower than the record volume of EUR 199 billion in 2022²⁸), as higher interest rates made Pfandbriefs and covered bonds considerably more attractive than unsecured bonds as refinancing instruments for banks. In addition, the ECB decided to wind down its covered bond portfolio, which it had been building up during its covered bond purchase programme, so that no more covered bond purchases have been made by it since July 2023, putting further pressure on spreads.

Spreads on investment-grade bonds tightened from 81 to 78 basis points year-on-year.²⁹ Up until October, spreads moved within a narrow range of 65 to 80 basis points and so were able to navigate events such as the US regional banking crisis and the cessation of CSPP reinvestments in July without too much difficulty. Spreads were supported by low volumes of new issues (see below), falling inflation, a milder recession than forecast (in the eurozone), the US economy remaining buoyant, and high inflows into the investment-grade corporate sector due to generous enough coupons. When the Gaza war broke out, spreads rose and remained above 80 basis points due to geopolitical and inflationary risks. As in the previous year, primary market activity was far less intense than in previous years. Although gross new issue volumes stood at EUR 293 billion and therefore higher than in 2022 (EUR 259 billion),³⁰ this was principally due to higher maturities. However, a distinction must be made between investment grade and high yield. While the investment-grade market grew overall, the market for companies with lower ratings went into retreat for the second year in a row. Higher financing costs made companies take a wait-and-see approach, while recurrently volatile markets also dampened investors' appetites. On top of this this, even risk-free German government bonds were offering positive returns once again, so the risk-return profile of high-yield bonds was unattractive.

²⁷ Markit iBoxx Euro Covered taken from Bloomberg (figures: 31 December 2022 and 31 December 2023).

²⁸ BayernLB Research Covered Bond database based on Bloomberg.

²⁹ See Index iBoxx Euro Non-Financials, taken from Refinitiv Datastream on 3 January 2023.

³⁰ See primary issues of corporate bonds, taken from Bloomberg on 3 January 2023.

In 2023, global issue volumes of ESG-related bonds rose marginally after falling the year before. At USD 936 billion,³¹ global issue volumes were only 1.5 percent higher than the previous year and still well below the level of record year 2021. The growth achieved was partly the result of the largest segment of green bonds, which posted growth of just under 9 percent in 2023 and more than offset the falls in the other market segments (social, sustainability and sustainability-linked). Governments in particular pushed up issue volumes of green bonds, with issue volumes increasing by 49 percent to USD 122 billion,³² as many of them were active in this segment for the first time in order to meet the growing demand for investing in sustainable projects, especially in the area of the energy transformation. Financial companies also contributed to the growth of the segment with growth of 6 percent to USD 195 billion,³³ making them the largest block of issuers. The non-financial companies segment shrank slightly by 3.4 percent to USD 149 billion³⁴ due to the overall drop in issuing activity.

Overall, the dollar depreciated slightly against the euro in 2023, although the weak economy in the eurozone was viewed increasingly pessimistically by markets from the autumn and temporarily proved a stumbling block for the single currency. Ultimately though, the decisive factor was the fact that the Fed indicated in its December meeting that it did not want to cut the base rate too late in 2024, so fuelling expectations of major rate cuts. Meanwhile, the ECB surpassed market expectations in 2023 by hiking rates to 4.0 percent in autumn and was more cautious in its pronouncements until recently about cuts in 2024. Overall, the dollar therefore had retreated by 3.2 percent to EUR-USD 1.104 by the turn of the year.³⁵

Stock markets posted an extremely robust performance in 2023 after the significant price declines in the previous year, with some strong volatility, despite the steady tightening of monetary policy and the weak economy in Europe. Prices soared from the start of the year to the end of July before entering a period of hefty corrections from August to the end of October. A rally in the final two months, largely driven by high interest rate cut expectations moving into focus, finally helped benchmark equity indices in Europe and the US to achieve a very good performance for the year.

31 Bloomberg BNEF data, pursuant to ICMA standards. Use of proceeds bonds with reporting, project selection and management of proceeds. Including sustainability-linked bonds.

32 Bloomberg BNEF data, pursuant to ICMA standards. Use of proceeds bonds with reporting, project selection and management of proceeds. Including sustainability-linked bonds.

33 Bloomberg BNEF data, pursuant to ICMA standards. Use of proceeds bonds with reporting, project selection and management of proceeds. Including sustainability-linked bonds.

34 Bloomberg BNEF data, pursuant to ICMA standards. Use of proceeds bonds with reporting, project selection and management of proceeds. Including sustainability-linked bonds.

35 See EUR-USD exchange rate, taken from Refinitiv Datastream on 3 January 2024.

The German stock market index (DAX), which as a benchmark index includes dividend payments, had climbed by 20.3 percent to 16,752 points by the end of the year.³⁶ The DAX price index (excluding dividends) climbed by 16.5 percent.³⁷ The EURO STOXX 50 as a benchmark index for the eurozone did slightly better than the DAX in 2023, rising by 19.2 percent.³⁸ However, the US stock market, which benefited considerably from above-average price gains of large technology and platform companies, performed significantly better than its European counterparts when measured by the S&P 500, rising by 24.2 percent in local currency terms.³⁹

Sector-related conditions

The banking industry kicked off 2023 with a tailwind thanks to a better outlook for profitability, driven by the rapid and strong rise in short-dated yields and the positive effect this had on net interest income. But it became clear in early March that the rise in the cost of borrowing might prove highly risky for aggressive business models. For example, Silicon Valley Bank, Santa Clara, CA, a regional bank in the US, was unable to make up for the fall in deposits and losses in its bond portfolio and had to be placed in administration by the Federal Deposit Insurance Corporation. This turn of events and the bankruptcy of Signature Bank, New York, NY, which immediately followed, prompted the Fed to take special measures. One outcome of this, however, was that investors and customers in Europe also became more cautious.

The Swiss banking group Credit Suisse Group AG, which had been in crisis for years, became the victim of a loss of confidence despite having good levels of liquidity. It could only be stabilised through a takeover by UBS Group AG facilitated by the state and supervisory authorities at short notice. As a result, entitlements under Additional Tier 1 (AT1) securities issued by Credit Suisse became worthless. This led to distortions in some segments on the capital markets. These lasted only a few weeks, however, as European banks were already in good shape. During this period, refinancing options for banks in the capital market became significantly more restricted. But by the middle of the year, the situation in the banking sector had stabilised again, deposit movements across the sector remained unremarkable and it was even possible to observe issues of regulatory capital on the capital market again.

³⁶ See Deutsche Börse: DAX performance index, taken from Refinitiv Datastream on 3 January 2024.

³⁷ See Deutsche Börse: DAX price index, taken from Refinitiv Datastream 3 January 2024.

³⁸ See STOXX: EURO STOXX 50, taken from Refinitiv Datastream 3 January 2024.

³⁹ See S&P Dow Jones Indices: S&P 500, taken from Refinitiv Datastream 3 January 2024.

In the second half of the year, the banking sector moved into calmer waters. The improvement in operating results, especially interest income, contributed to a further stabilisation. While the share prices of the major listed European banks, as measured by the EURO STOXX Banks Price Index, suffered a significant fall in March, they had regained their peak prices reached in February by the end of the year. This meant prices had gained nearly 25 percent at index level over the course of 2023. Credit spreads, as measured on the iTraxx Europe Senior Financial Index, widened by about 50 bp in early March, but by the end of 2023 were again trading at their lows for the year, last seen at the start of 2022.⁴⁰

After the fall in deposits at Credit Suisse, the focus of attention clearly shifted to the liquidity situation of banks; regulatory ratios did, however, point to a European banking sector still in robust health. While the liquidity coverage ratio at the end of September 2023 was 161 percent (DE: 146 percent) on a weighted average, the net stable funding ratio reached 126 percent on the same reference date (DE: 123 percent).⁴¹ Both indicators show a decline compared with the previous year-end figures, which was due to the gradual reduction in liquidity caused by the actions of the ECB. The already prepared repayments of the ECB's targeted longer-term refinancing operations (TLTRO) led to a return in competition for deposits and a change in the financing mix – the latter was reflected in high new issue volumes on the capital market. This was mitigated by weak growth in credit to the private sector of below 1 percent in 2023.⁴²

While the negative impact of the rise in interest rates on asset quality was only gradually making itself felt on banks' balance sheets, no major repercussions were observed. For example, the non-performing loan ratio (NPL ratio) at European level was still trending sideways as at the end of September 2023 (1.8 percent).⁴³ At the end of September 2023, risk costs in relation to gross loans remained at their average level for the past four quarters. The CET1 ratio (fully loaded) was at a historically high level with a weighted average value of 15.8 percent of risk-weighted assets on the same date.⁴⁴

⁴⁰ See EURO STOXX Banks Price Index and iTraxx Europe Senior Financial Index, both taken from Bloomberg on 24 January 2024.

⁴¹ See EBA Risk Dashboard Q3 2023, https://www.eba.europa.eu/assets/2024/EBA_Prozent20Interactive_Prozent20Dashboard_Prozent20-Prozent20Q3_Prozent202023.xlsm, taken on 24 January 2024.

⁴² See ECB Data Portal, <https://data.ecb.europa.eu/publications/money-credit-and-banking/3031822>, taken on 25 January 2024.

⁴³ See EBA Risk Dashboard Q3 2023, https://www.eba.europa.eu/assets/2024/EBA_Prozent20Interactive_Prozent20Dashboard_Prozent20-Prozent20Q3_Prozent202023.xlsm, taken on 24 January 2024.

⁴⁴ Ibid.

The banking sector's resilience was put to the test in the first half of 2023 in a stress test by the banking supervisory authority. Along with the ECB, the EBA conducted its recurring bank stress test, which examined the performance of institutions in a hypothetical negative scenario for the period 2023-25. The scenario assumed geopolitical tensions would increase and be accompanied by a resurgence of Covid-19, leading to a sharp decline in GDP (broken down into 16 different economic sectors) with persistent inflation, high interest rates and high unemployment. This was the most severe test to date in some respects. With these conditions in place, the results, published at the end of July 2023, were solid. The CET1 ratio of the 70 banks tested went down on average by around 460 basis points to 10.4 percent.⁴⁵ The slightly improved result compared with the stress test of 2021 was due to the improved quality of assets and better earnings following the increase in interest rates.

Regulatory environment

Capital Requirements Regulation (CRR) – update

In December 2023, the Permanent Representatives Committee of the EU Member States adopted the final compromise texts on the EU banking package and therefore on CRR III. CRR III, which is to be applied from 1 January 2025, incorporates major parts of the finalisation of Basel III into European law.

The main revisions to the regulations concern the credit risk standardised approach (CRSA) and the internal ratings-based approach (IRBA). An output floor of 72.5 percent is also being introduced, which will limit the advantages of using the IRBA and link it to the results of the CRSA.

To be able to estimate future capital needs, the European Banking Authority (EBA) again conducted an extensive impact study in the first half of 2023, which expanded the Basel Committee's regular monitoring to include issues specific to the EU.

Sustainability reporting and climate stress test

The Corporate Sustainability Reporting Directive (CSRD) came into effect on 5 January 2023. The CSRD supersedes the previously applicable Non-Financial Reporting Directive (NFRD) and its national implementation in the form of the CSR Directive Implementation Act (CSR-Richtlinie-Umsetzungsgesetz (CSR-RUG)). The new rules must be implemented 18 months later by the member states.⁴⁶

⁴⁵ See EBA 2023 EU-wide stress test results, <https://www.eba.europa.eu/publications-and-media/press-releases/eba-publishes-results-its-2023-eu-wide-stress-test>, taken on 25 January 2024.

⁴⁶ See CSRD dated 16 December 2022, L322/77.

The Delegated Act on the first set of European Sustainability Reporting Standards (ESRS) was passed on 31 July 2023. The adoption into European law took place upon publication in the Official Journal of the European Union on 22 December 2023. With these ESRS taking effect on 1 January 2024, there are now binding standards on sustainability reporting in the EU for the first time which precisely define how companies that are obliged to report on sustainability in accordance with CSRD must structure their non-financial reporting. The set of ESRS currently comprises 12 sector-independent standards, which are divided into two cross-cutting and ten topical standards. Further sector-specific standards are expected to be published in June 2026. The ESRS must be observed by the companies subject to them when implementing the EU Corporate Sustainability Reporting Directive (CSRD). In addition, on 23 December 2023 the European Financial Reporting Advisory Group (EFRAG) published three drafts of implementation guidelines concerning the ESRS on the topics of materiality assessments, value chains and data points. The final version of these guidelines are non-binding. As part of its ESG project Sustainability, BayernLB is preparing for the application of the CSRD/ESRS and reporting for financial year 2024.

As a financial company subject to the NFRD⁴⁷, BayernLB falls under the provisions of the EU Taxonomy Regulation (Delegated Regulation (EU) 2020/852). BayernLB complies with the reporting requirements under Article 8 of the EU Taxonomy Regulation in conjunction with Sections 315b and 315c and Sections 289b and 289e of the German Commercial Code (HGB) in the BayernLB Group's combined separate non-financial report.

In addition, the Bank reports information on sustainable transactions in accordance with Article 449a CRR in conjunction with Article 8 of the EU Taxonomy Regulation in the disclosure report.

In December 2023, data collection for the EBA's One-off Fit-for-55 climate stress test was started, the results of which will be published in February/March 2025.

⁴⁷ NFRD – Non-Financial Reporting Directive.

EBA stress test

The EBA published the results of the bank stress test for 2023 on its website on 28 July 2023.⁴⁸ BayernLB achieved solid scores in this latest stress test.⁴⁹ The stress scenario assumed an increase in geopolitical tensions that exacerbates the deglobalisation of the world economy, along with disruptions to established production chains. It furthermore hypothesised a fresh outbreak of Covid-19 that affects production and logistics without any monetary or fiscal policy responses. BayernLB's capital ratio (CET1 ratio) stood at 9.5 percent in this scenario, which means BayernLB meets the minimum capital requirements even under this scenario.⁵⁰

Harmonisation of internal models (TRIM/EBA repair)

Over the past few years, various ECB audits have also been carried out on the basis of the EBA's new supervisory requirements for internal models. The new EBA requirements are the outcome of Project TRIM (Targeted Review of Internal Models), which was completed in 2020 and aimed at an EU-wide review of models used in the banking sector, as well as new specifications arising in connection with this (the EBA repair programme). The audits conducted have produced requirements which will need to be addressed over the next few years.

Risks from residential real estate financing

With the publication of the final Financial Stability Data Collection Ordinance (FinStabDEV) on 2 February 2021, the foundations were laid for future data requirements by the Bundesbank to improve the analysis of the macroprudential risk situation, with a focus on residential property financing in Germany. Statistical data collection on residential real estate financing (WIFSta) was conducted for the first time for the reporting date of 31 March 2023.

⁴⁸ See EBA 2023 EU-wide stress test results, https://www.eba.europa.eu/sites/default/documents/files/document_library/Risk%20Analysis%20and%20Data/EU-wide%20Stress%20Testing/2023/Results/1061374/2023-EU-wide-stress-test-Results.pdf, taken on 1 August 2023.

⁴⁹ See BayernLB press release July 2023; downloadable from www.bayernlb.com.

⁵⁰ See EBA 2023 EU-wide stress test results, https://www.eba.europa.eu/sites/default/documents/files/document_library/Risk%20Analysis%20and%20Data/EU-wide%20Stress%20Testing/2023/Results/1061374/2023-EU-wide-stress-test-Results.pdf, taken on 1 August 2023.

MaRisk revisions

In 2023, the financial supervisory authority BaFin updated the Minimum Requirements for Risk Management for Banks (MaRisk). These revisions took effect on 29 June 2023. A major part of this was the implementation of the guidelines of the European Banking Authority (EBA) on loan origination and monitoring. These largely focus on processes in the credit business and institutions' risk management models.

In addition, BaFin adapted or integrated for the first time the following key aspects in the MaRisk revision:

- For the first time, the supervisory authority has formulated requirements for how banks should handle the risk management of their own real estate.
- The permissions facilitating securities trading when working from home, which were originally granted due to the pandemic, will continue to apply as long as no deviating standards are adopted internationally.

In addition, this 7th MaRisk revision sets parameters pertaining to sustainability and clarifies that institutions must measure their sustainability risks with the aid of scientifically-based scenarios.

The 8th draft of MaRisk revisions was sent for consultation on 15 February 2024. With the 8th MaRisk revisions, BaFin is exclusively planning to implement new requirements of the European Banking Authority (EBA) on interest rate risks and credit spread risks in the banking book.

Bank levy – target volume reached by 31 December 2023

Under Article 96 para. 1 of the Single Resolution Mechanism Regulation (SRMR), the financial means available to the Single Resolution Fund (SRF) should be at least 1 percent of the amount of covered deposits of all authorised banks held in the participating member states at the end of the eight year initial period, beginning on 1 January 2016 and ending on 31 December 2023. After completing its review of the target level, the Single Resolution Board (SRB) confirmed in its press release on 15 February 2024⁵¹ that the SRF had available financial means of EUR 78 billion as at 31 December 2023. This meant that the defined target level of at least 1 percent of the covered deposits held in the member states participating in the Single Resolution Mechanism was reached. As a result, no regular annual contributions will be levied on the banks for 2024.

⁵¹ See <https://www.srb.europa.eu/en/content/single-resolution-fund-no-expected-contribution-2024-target-level-reached>.

Contributions to the restructuring fund in 2011-2014 period – intended purpose ceases to apply

In total, the banks obligated under the scheme made contributions totalling around EUR 2.3 billion to the German restructuring fund (RStruktF) in the period from 2011 to 2014. The goal was to enable lenders to save funds as a precautionary measure in case the banks ran into difficulties in the future. Since the Single Resolution Fund (SRF) was set up, it should be possible to draw down the funds saved in the RStruktF if a German bank runs into difficulties during the period in which the SRF is being built up and the funds saved in the SRF up to that point are insufficient to perform a rescue. Upon conclusion of the SRF's building-up phase on 31 December 2023 this purpose for the funds saved in the RStruktF as defined in the law ceased to apply. The Federal Ministry of Finance's draft bill for a law on transferring funds from the restructuring fund to the Financial Market Stabilisation Fund (RStruktFÜG) dated 9 January 2024 stipulates that the funds in the RStruktF should be used to partially repay the shortfall in the Financial Markets Stabilisation Fund (FMStF). The FMStF was set up by the federal government in the wake of the financial crisis of 2008 so that the public sector could eliminate disruption to financial markets during the acute phase of the global financial crisis in 2008/2009. BayernLB has decided to apply to BaFin to reopen the administrative proceedings and have the contributions it made to the RStruktF for the years 2011 to 2014 reimbursed.

Deposit protection

The Savings Banks Finance Group has implemented the modifications to the deposit guarantee scheme required by the ECB and BaFin. The relevant amendments to the statutes took effect on 1 January 2024 and include in particular the setting up of an additional guarantee fund for cases requiring support from 2025 to 2032 and improvements to governance in the event of such cases.

The BayernLB Group's business performance

Statement by the Board of Management on business performance in 2023

BayernLB Group generates profit before taxes of EUR 1.4 billion, easily exceeding expectations for financial year 2023

The BayernLB Group closed financial year 2023 with a profit before taxes well above the previous year of EUR 1,441 million (FY 2022: EUR 1,122 million), thereby continuing its business and earnings growth trajectory. Two factors with a major impact on this figure were the ECB's interest rate pivot and a challenging economic environment, especially in the real estate sector.

Net interest income posted by the BayernLB Group rose by 36.6 percent to EUR 2,919 million (FY 2022: EUR 2,137 million). Earnings were boosted by rising credit volumes, strong growth in deposits and interest-rate gains in the credit and money market business. The rise in interest rates also had a positive impact on the higher amortisation amounts from hedge accounting.

Risk provisions rose by EUR 180 million net, an increase on the previous year's figure of EUR 70 million. However, this was in line with expectations and reflected the volatile interest rate environment and difficult economic conditions. The situation on the real estate market was challenging, with the commercial real market in particular experiencing a deterioration. This resulted in lower ratings and credit defaults in the Group portfolio. To take adequate account of the potential risks from the fraught geopolitical situation, high inflation and the challenges on the energy and real estate markets, the BayernLB Group set aside additional risk provisions through a post-model adjustment (PMA). As at the reporting date, the portion of the risk provisions made up by the PMA was EUR 337 million (FY 2022: EUR 362 million).

The BayernLB Group generated a 11.6 percent increase in net commission income and improved its earnings to EUR 473 million (FY 2022: EUR 424 million). Most of this was due to an increase in earnings contributions from DKB's card business and payments (including account management) and BayernLB's credit business thanks to buoyant new business.

Gains or losses on fair value measurement came in at EUR 226 million in the reporting period (FY 2022: EUR 67 million) and were boosted in particular by interest rate-related measurement gains from derivatives positions and structured products. Big earnings contributions included EUR 83 million from the emissions certificates business (FY 2022: EUR 30 million) and EUR 60 million from the foreign notes & coins and precious metals business (FY 2022: EUR 63 million).

In the reporting year, BayernLB divested credit exposures that were no longer part of its core business – specially structured loans ((Lender Option Borrower Option (LOBO) – whose full repayment contributed to a loss on derecognised financial assets of EUR 102 million (FY 2022: loss of EUR 3 million).

Administrative expenses rose by 3.1 percent year on year to EUR 1,617 million (FY 2022: EUR 1,569 million). The principal reason for this was strategically necessary expenditure on expanding and restructuring the IT application landscape, digitalisation and process optimisation and pay and non-pay scale adjustments to wages and salaries.

In financial year 2023, the BayernLB Group once again made sizeable mandatory contributions to the bank levy and deposit guarantee scheme in the amount of EUR 128 million (FY 2022: EUR 140 million).

For financial year 2023, the BayernLB Group posted net restructuring expenses of EUR 92 million (FY 2022: net income of EUR 108 million). The figure for the previous year was distorted by workforce reductions at BayernLB core Bank. In concluding the contractual arrangements for staff departures in the workforce reduction programme, the Bank released the restructuring provisions for Fokus 2024 that had been recognised for this but were no longer needed. The main component in the gains or losses on restructuring item for 2023 was the expenses related to DKB's Fit4Growth efficiency programme of EUR 66 million.

The BayernLB Group posted a consolidated profit of EUR 1,165 million in financial year 2023 (FY 2022: EUR 1,055 million).

As before, the credit and trading business made up a large proportion of the BayernLB Group's net assets. Total assets jumped by EUR 14.1 billion in the reporting period due to higher credit and business volumes.

EUR billion	31 Dec 2023	31 Dec 2022	Change in %
Total assets	273.4	259.3	5.4
Business volume ¹	318.9	305.8	4.3
Credit volume ²	253.7	240.3	5.6

¹ Total assets plus liabilities held in trust, contingent liabilities and other commitments.

² Loans and advances to banks and customers plus contingent liabilities from guarantees and indemnity agreements.

BayernLB's Fokus 2024 transformation programme largely completed as planned at end of 2023 while DKB initiates Group-wide Fit4Growth efficiency programme

BayernLB used the Bank-wide Fokus 2024 transformation programme to implement key parts of the strategic realignment in a multi-year process involving many different, intertwined individual projects, and this was completed on schedule at the end of 2023, except for certain ongoing IT transformation projects.

The consolidation of the trading application landscape will conclude in the first quarter of 2024 when the hypercare phase of the system migration initiated in the fourth quarter of 2023 is completed. The project to modernise bank management will still run in 2024.

In July 2023 the Bank opened a branch in Amsterdam as part of the Immo2024 initiative. The main activity of the new location will be serving commercial real estate customers from the Netherlands.

In the second half of 2023, DKB initiated its Group-wide efficiency programme Fit4Growth. The goal of the transformation programme, which is set to run until the end of 2025, is to sustainably optimise DKB's operating model, create a basis for further growth and secure profitability for the long term.

In addition, DKB successfully launched its new DKB app and new web banking in 2023. The previous DKB bank app was retired from use after a detailed communication was sent out on 11 October 2023.

The BayernLB Group's goals for the next few years will be to continue realising its current strategic vision, taking account of technological progress, market developments and the competitive environment.

Very solid capital base and liquidity

The BayernLB Group still had a very comfortable capital adequacy base and strengthened it on the previous year. Its Common Equity Tier 1 ratio (CET1 ratio) stood at 19.3 percent (FY 2022: 17.4 percent), with risk-weighted assets (RWAs) falling to EUR 64.5 billion (FY 2022: EUR 65.3 billion). This was well above the minimum regulatory level of 9.5 percent (including the combined capital buffers and SREP capital requirements (P2R), excluding the SREP capital recommendation (P2G)).

As at 31 December 2023, the leverage ratio (LR) stood at 4.7 percent and therefore exceeded the regulatory minimum ratio of 3.0 percent.

The liquidity coverage ratio (LCR) rose to 241.4 percent during the reporting period and therefore remained well above the 100.0 percent threshold required by the regulators. The BayernLB Group's liquidity position was comfortable at all times during the period under review. Liquidity outflows were manageable at all times.

The BayernLB Group's risk profile remained largely stable in the financial year. The BayernLB Group had adequate risk-bearing capacity at all times during the reporting period. The stress scenarios conducted also confirmed that adequate capital is held. The BayernLB Group's economic capital was EUR 12.7 billion (FY 2022: EUR 11.6 billion), while BayernLB's was EUR 9.2 billion (FY 2022: EUR 9.1 billion). Of the economic capital including allocation reserves as at 31 December 2023, EUR 10.1 billion was set as the maximum risk appetite (FY 2022: EUR 7.8 billion), of which EUR 8.0 billion (FY 2022: EUR 6.9 billion) was allocated as limits to the individual risk types. The increase was the result of the temporary increase in the market risk limit in response to the inflows of deposits to DKB in the second half of 2023. At BayernLB Bank the maximum risk appetite was EUR 5.6 billion (FY 2022: EUR 5.6 billion), of which EUR 5.4 billion (FY 2022: 5.4 million) was allocated to the individual risk types.

The BayernLB Group's non-performing loan (NPL) ratio rose during the reporting period from 0.6 percent to 0.9 percent. While BayernLB saw a large increase from 0.8 percent to 1.3 percent, DKB posted a small rise from 0.3 percent to 0.4 percent. This development was mainly due to the Commercial Real Estate sub-portfolio, where the non-performing loan ratio leapt from 0.4 percent to 2.2 percent in the reporting period.

Switch to multi-employer trust successfully completed in the financial year

BayernLB secures pension, allowance and death benefit obligations under retirement provision law for active and former employees and their surviving dependants who fall under the guarantee obligation via a contractual trust arrangement (CTA). In financial year 2023, BayernLB decided to fully transfer the funds previously managed by the Bank's own CTA (BayernLB Treuhand e.V., Munich) to the CTA of Allianz Treuhand GmbH, Stuttgart (a multi-employer trust). Even after the transfer, the assets managed by the CTA still qualify as offsettable plan assets (IFRS) or cover assets (HGB) on the balance sheet.

Report on the BayernLB Group's financial position and financial performance

Group performance significantly exceeds expectations while key management indicators beat plan targets

At the time the consolidated financial statements as at 31 December 2022 were being prepared, the ongoing geopolitical risks made it extremely difficult to forecast the severity, length and extent of their impact on the profitability of the BayernLB Group and its performance indicators. The estimates and assumptions relevant for the financial statements that were made or imputed at the time of the planning were based on the knowledge at hand and best available information at the time but subject to a high level of uncertainty.

Comparison of the forecasts for the financial performance indicators for 2023 against actual business performance

Since the BayernLB Group put in a very good earnings performance in the first half of 2023, prompting the expectation that the Group would be in a position to beat the targets set in 2023, BayernLB raised its outlook for financial year 2023.

	Forecast for 2023 (31 Dec 2022)	Adjusted forecast for 2023 (30 Jun 2023)	Results for 2023
Profit/loss before taxes	EUR 600 - 800 m	EUR 1,100 - 1,300 m	EUR 1,441 m
Return on equity (RoE)	>6%	>10%	12.7%
Cost/income ratio (CIR)	<60%	<50%	46.8%
Common Equity Tier 1 (CET1) capital ratio	>15%	>15%	19.3%
Leverage ratio (LR)	>4%	>4%	4.7%

Profit before taxes came in at EUR 1,441 million in 2023 (FY 2022: EUR 1,122 million), which was higher than expected compared even with the adjusted forecast. In the forecast period, the BayernLB Group benefited from a much improved interest rate environment, the systematic implementation of its vision for 2023 and the resulting jump in net interest and net commission income. In addition, the upwards trend on stock markets and lower mandatory contributions to the bank levy had a positive impact on consolidated net profit. As expected, net risk provisions were higher than in the previous year due to turmoil on the real estate markets.

Given the very strong earnings performance in 2023, the BayernLB Group posted an RoE of 12.7 percent (FY 2022: EUR 10.5 percent), which was above the expected ratio of 10 percent.

The CIR was 46.8 percent (FY 2022: 56.2 percent) and therefore below adjusted expectations. Higher income than forecast from net interest income and gains or losses on fair value measurement was offset by administrative expenses in the planned amount.

Based on medium-term planning, the Group forecast RWAs of EUR 69.2 billion and a CET1 ratio of >15 percent for 2023. Compared with the previous year, RWAs fell to EUR 64.5 billion (FY 2022: EUR 65.3 billion) and remained below plan. Better-than-expected ratings and the subdued

growth of new business in real estate financing and retail loans meant the plan value was under-shot in 2023. The CET1 ratio was 19.3 percent (FY 2022: 17.4 percent), above forecast.

The leverage ratio stood at 4.7 percent, above forecast. The regulatory minimum threshold of 3.0 percent was maintained.

The BayernLB Group's results of operations

EUR million	1 Jan – 31 Dec 2023	1 Jan – 31 Dec 2022	Change in %
Net interest income	2,919	2,137	36.6
Risk provisions	(180)	(70)	>100
Net interest income after risk provisions	2,740	2,067	32.5
Net commission income	473	424	11.6
Gains or losses on fair value measurement	226	67	>100
Gains or losses on hedge accounting	(46)	(177)	(73.9)
Gains or losses on derecognised financial assets	(102)	(3)	>100
Gains or losses on financial investments	(71)	(11)	>100
Administrative expenses	(1,617)	(1,569)	3.1
Expenses for the bank levy and deposit guarantee scheme	(128)	(140)	(8.4)
Other income and expenses	59	356	(83.4)
Gains or losses on restructuring	(92)	108	–
Profit/loss before taxes	1,441	1,122	28.5
Income taxes	(271)	(64)	>100
Profit/loss after taxes	1,170	1,058	10.6
Profit/loss attributable to non-controlling interests	(4)	(3)	43.4
Consolidated profit/loss	1,165	1,055	10.5

Rounding differences may occur in the tables. More detailed information can be found in the notes.

Net interest income

EUR million	1 Jan – 31 Dec 2023	1 Jan – 31 Dec 2022	Change in %
Interest income	10,674	5,120	>100
Of which from:			
Credit and money market transactions	6,983	3,459	>100
Financial investments	222	105	>100
Hedge accounting derivatives and derivatives in economic hedges	3,418	1,088	>100
Negative interest	30	452	(93.3)
Other interest income	21	16	25.1
Interest expenses	(7,755)	(2,983)	>100
Of which:			
From liabilities to banks and customers	(3,297)	(1,008)	>100
For securitised liabilities	(1,106)	(431)	>100
For subordinated capital	(82)	(82)	0.6
From hedge accounting derivatives and derivatives in economic hedges	(3,079)	(1,045)	>100
From negative interest	(20)	(374)	(94.5)
Other interest expenses	(171)	(42)	>100
Net interest income	2,919	2,137	36.6

Net interest income jumped by EUR 782 million to EUR 2,919 million in the reporting period (FY 2022: EUR 2,137 million). Of this, EUR 1,897 million (FY 2022: EUR 1,309 million) related to DKB and EUR 1,020 million (FY 2022: EUR 828 million) to BayernLB,⁵²

Interest income increased by EUR 5,554 million to EUR 10,674 million (FY 2022: EUR 5,120 million). A large increase in interest income came from credit and money market transactions, which went up by EUR 3,524 million to EUR 6,983 million. The BayernLB Group benefited mostly from the ECB's big interest rate hikes and the additional volume growth in its strategically-aligned customer business. Within interest income, a counteracting effect was a EUR 422 million decline in negative interest to EUR 30 million due to the withdrawal of the ECB's negative interest rates on deposits.

⁵² Unless otherwise stated, "BayernLB", when referred to in this report on the BayernLB Group's financial position and financial performance, comprises BayernLB Bank and its foreign branches and BayernLabo.

Interest expenses rose by EUR 4,772 million to EUR 7,755 million. This was largely driven by the higher interest rates too. Within this line item, interest expenses from liabilities to banks and customers rose by EUR 2,289 million to EUR 3,297 million, and from securitised liabilities by EUR 675 million to EUR 1,106 million. However, interest expenses from negative interest rates fell by EUR 354 million to EUR 20 million.

The BayernLB Group produced net interest income of EUR 339 million (FY 2022: EUR 43 million) from hedge accounting derivatives and derivatives in economic hedges.

Risk provisions

EUR million	1 Jan – 31 Dec 2023	1 Jan – 31 Dec 2022	Change in %
Additions	(1,479)	(1,178)	25.6
Direct writedowns	(19)	(14)	38.0
Releases	1,207	1,089	10.8
Recoveries on written down receivables	102	26	>100
Income from the writeup of purchased or originated credit-impaired financial assets	11	6	79.4
Risk provisions	(180)	(70)	>100

The BayernLB Group posted net risk provisions of EUR 180 million for financial year 2023 (FY 2022: EUR 70 million). Overall, a large portion of the risk provisions in the credit business was accounted for by an increase in specific loan loss provisions and a small reduction in the post-model adjustment (PMA). The PMA is used by the BayernLB Group as a supplementary instrument for loans in Stages 1 and 2 to take adequate account of potential macroeconomic developments (forward-looking information) when it calculates risk provisions under IFRS 9. In the first half of 2023, the PMA was raised by EUR 33 million and carried to profit or loss due mainly to the negative outlook for real estate prices and financing. During the regular review of the macroeconomic scenarios upon which the calculation of the PMA is based and in light of factors such as the deterioration in credit quality due to negative developments in the real estate sector and a concomitant transfer to Stage 3 in the second half of 2023, it was determined that EUR 58 million of the PMA should be released. As at the reporting date, the PMA share of the risk provisions totalled EUR 337 million (FY 2022: EUR 362 million).

In addition, successful repayments of problem loans had a significant impact on the net risk provisions line item. Recoveries on written down receivables produced a gain for the BayernLB Group of EUR 102 million (FY 2022: EUR 26 million). A significant portion of this came from payments received from HETA Asset Resolution AG, Vienna (EUR 78 million) in connection with the HETA liquidation proceedings under the Austrian Stock Corporation Act.

Net commission income

EUR million	1 Jan – 31 Dec 2023	1 Jan – 31 Dec 2022	Change in %
Fund business	132	130	1.1
Credit business	123	116	5.4
Card business	113	82	38.0
Payments	46	9	>100
Securities business	31	43	(27.4)
Trust transactions	18	17	6.1
Documentary business	6	7	(10.0)
Other net commission income	4	19	(78.9)
Net commission income	473	424	11.6

Net commission income improved by EUR 49 million to EUR 473 million (FY 2022: EUR 424 million). Especially noteworthy was the increase in net income in the card business (EUR +31 million) and from payments (EUR +37 million). DKB accounted for almost all the commission income here. The major factor in the increase was the launch of the debit card and changes to the scope of services for account and card packages.

The contribution to earnings from the fund business was largely split between the asset management companies Real I.S. and BayernInvest. The largest contribution – EUR 83 million (FY 2022: EUR 80 million) – was from Real I.S.

Gains or losses on fair value measurement

EUR million	1 Jan – 31 Dec 2023	1 Jan – 31 Dec 2022	Change in %
Gains or losses on financial assets in the FVPLM category ¹ not held for trading	124	(92)	–
Net trading income	161	109	48.1
Gains or losses on the fair value option category	(60)	50	–
Gains or losses on fair value measurement	226	67	>100

¹ FVPLM – Financial assets mandatorily measured at fair value through profit or loss.

Due to the changed interest rate environment, a large net addition of EUR 159 million was made in this line item to generate a gain of EUR 226 million (FY 2022: gain of EUR 67 million). A key driver of this was the EUR 216 million gain on financial instruments mandatorily measured at fair value, producing a net gain of EUR 124 million. Of this, EUR 66 million (FY 2022: loss of EUR 84 million) related to DKB, which mainly benefited from the price gains recorded in the DKB sustainability fund. Of this amount, EUR 58 million (FY 2022: loss of EUR 7 million) was attributable to BayernLB. This includes price gains from the equity interest in Galintis GmbH & Co. KG, Frankfurt am Main (Galintis) of EUR 61 million (FY 2022: loss of EUR 1 million).

The BayernLB Group generated EUR 161 million (FY 2022 EUR 109 million) in net trading income, almost all of it attributable to BayernLB. The big jump in earnings was mainly due to the earnings contributions from the emissions certificates business of EUR 83 million (FY 2022: EUR 30 million). Earnings from the foreign notes and coins/precious metals business came in at a still high EUR 60 million (FY 2022: EUR 63 million). The BayernLB Group also produced income from interest-related transactions of EUR 55 million (FY 2022: loss of EUR 37 million) and currency-related transactions of EUR 49 million (FY 2022: EUR 57 million). In net trading income, measurement losses on hedge accounting offset the above-mentioned gains in the value of Galintis.

The “fair value option” category produced a loss of EUR 60 million (FY 2022: gain of 50 million). The fall was principally due to a loss of EUR 32 million (FY 2022: gain of EUR 34 million) from the measurement of liabilities to non-Group holders in the DKB sustainability fund.

Gains or losses on hedge accounting

The gains or losses on hedge accounting line item reflects the interest rate-related changes in the value of the hedged items and the offsetting changes in the value of the interest rate derivatives entered into for hedging purposes. The losses on hedge accounting of EUR 46 million (FY 2022: loss of EUR 177 million) were mainly due to DKB and were in connection with much improved net interest income from derivatives used in hedge accounting.

Gains or losses on derecognised financial assets

Gains or losses on derecognised financial assets deteriorated in the financial year by EUR 99 million to a net loss of EUR 102 million, largely due to the repayment of specially structured loans (LOBOs) that are no longer part of BayernLB’s core business in the amount of EUR 97 million. In addition, a net loss of EUR 5 million was recognised due to significant modifications.

Gains or losses on financial investments

Gains or losses on financial investments produced a loss of EUR 71 million (FY 2022: loss of EUR 11 million), significantly lower than in the previous year. This was due to losses on the sale of certain securities.

Administrative expenses

EUR million	1 Jan – 31 Dec 2023	1 Jan – 31 Dec 2022	Change in %
Staff costs	(845)	(837)	0.9
Other administrative expenses	(663)	(636)	4.3
Amortisation and depreciation of property, plant and equipment and intangible assets (not including goodwill)	(109)	(95)	14.4
Administrative expenses	(1,617)	(1,569)	3.1

The BayernLB Group's administrative expenses rose EUR 48 million over the year-before period to EUR 1,617 million (FY 2022: EUR 1,569 million). Of this total amount, EUR 801 million was attributable to DKB (FY 2022: EUR 740 million) and EUR 657 million to BayernLB core Bank⁵³ (FY 2022: EUR 669 million). At DKB, higher costs from building up additional IT expertise and pay and non-pay scale adjustments to salaries were the main reasons for the staff costs increasing by EUR 37 million to EUR 416 million (FY 2022: EUR 379 million) and operating expenses⁵⁴ rising by EUR 26 million to EUR 386 million (FY 2022: EUR 360 million). BayernLB core Bank reduced its staff costs by EUR 25 million to EUR 369 million (FY 2022: EUR 394 million), mainly as a result of lower costs for pensions and other employee benefits (down by EUR 23 million). Strategically necessary expenditure, particularly for expanding and restructuring the IT application landscape, and for digitalisation and process optimisation, coupled with inflation-driven price rises, produced operating expenses of EUR 289 million (FY 2022: EUR 277 million).

Expenses for the bank levy and deposit guarantee scheme

Expenses for the bank levy and deposit guarantee scheme fell by EUR 12 million year on year to EUR 128 million (FY 2022: EUR 140 million). The mandatory contribution to the bank levy went down by EUR 33 million to EUR 70 million; at BayernLB the decrease was from EUR 61 million to EUR 35 million, while at DKB it was from EUR 42 million to EUR 35 million. This was because of the reduction in the target volume of the Single Resolution Fund (SRF). BayernLB and DKB both used the option to provide 22.5 percent of the annual contribution to the bank levy (EUR 20 million) in the form of fully secured irrevocable payment commitments (IPCs), which were not booked to expenses. Meanwhile, the mandatory contribution to the deposit guarantee scheme went up by EUR 22 million to EUR 58 million, with DKB accounting for the full amount. BayernLB met the target volume it has to provide for the guarantee scheme from financial year 2021, so did not have to make any contributions. As at the reporting date, the BayernLB Group had a total of EUR 327 million (FY 2022: EUR 288 million) of irrevocable payment commitments which to date have not been carried through profit or loss. Of this amount, EUR 118 million (FY 2022: EUR 97 million) related to the bank levy and EUR 209 million (FY 2022: EUR 190 million) to the deposit guarantee scheme.

⁵³ BayernLB core Bank – comprises BayernLB Bank and its branches (excluding BayernLabo).

⁵⁴ Operating expenses comprises the other administrative expenses, depreciation of property, plant and equipment, and amortisation of intangible assets line items.

Other income and expenses

Other income and expenses came to a net EUR 59 million (FY 2022: EUR 356 million). The previous year's figure was largely influenced by the EUR 299 million in proceeds from the sale of buildings at the Munich location not needed for business operations.

Gains or losses on restructuring

Gains or losses on restructuring came in at a loss of EUR 92 million overall (FY 2022: gain of EUR 108 million), of which a loss of EUR 66 million (FY 2022: gain of EUR 1.3 million) related to DKB and a loss of EUR 26 million (FY 2022: gain of EUR 104 million) to BayernLB. The principal reason for the increase at DKB were the measures implemented in connection with the Fit4Growth efficiency programme to increase efficiency and to specifically improve, simplify and digitalise many different processes, products and services. As a result, the programme will include a reduction in workforce and related downsizing measures. In connection with this, restructuring provisions were recognised for personnel measures and other consulting costs in connection with the programme. BayernLB's restructuring expenses arose from selected measures to transform the Bank's IT landscape, which had already been addressed in Fokus 2024.

Income taxes

Due to the increase in earnings in 2023, the BayernLB Group reported income tax expenses of EUR 271 million (FY 2022: income tax expenses of EUR 64 million).

Results of operations of the segments

The segment report is based on the monthly internal management reports to the Board of Management and reflects the profitability of the BayernLB Group's segments.

The segment structure of the BayernLB Group was unchanged on the previous year and, as at 31 December 2023, comprised the following three segments under the business strategy:

- Real Estate & Savings Banks/Financial Institutions, including BayernLabo, and the subsidiaries Real I.S. AG Gesellschaft für Immobilien Assetmanagement, Munich (Real I.S.) and BayernInvest Kapitalverwaltungsgesellschaft mbH, Munich (BayernInvest)
- Corporates & Markets
- DKB – comprising the Deutsche Kreditbank Aktiengesellschaft, Berlin (DKB) sub-group

Another component of the BayernLB Group is the Central Areas & Others segment, which also includes the earnings from the Group Treasury Division, the consolidation entries not allocated to the other segments, and the items still remaining in the dissolved Non-Core Unit as at 30 September 2023.

With the Fokus 2024 transformation programme largely completed as planned at the end of 2023, the Non-Core Corporates & Markets Division, previously part of the Corporates & Markets segment and the Non-Core Unit, previously part of the Central Areas & Others segment were dissolved ahead of schedule on 30 September 2023. The activities still taking place in these units were gradually transferred over the course of the year to the core business units now responsible for them. In this context, the S-Plafond portfolio and the customer relationships allocated to

the Non-Core Corporates & Markets Division with selected equity interests were already transferred at the start of financial year 2023 to the Real Estate & Savings Banks/Financial Institutions segment.

When the Non-Core Corporates & Markets Division was dissolved, selected non-core trading portfolios were also transferred to the Central Areas & Others segment. All other activities in the Non-Core Corporates & Markets Division which had not been wound down have been kept in the Corporates & Markets segment. The comparative figures for the previous-year period were not adjusted retrospectively, as the transfer of the aforementioned portfolios between the segments concerned did not have any material impact on the relevant earnings and volume figures or the key management indicators RoE and CIR.

In the case of the Non-Core Unit, HETA Asset Resolution AG was moved from the Central Areas & Others segment to the Real Estate & Savings Banks/Financial Institutions segment on 30 June 2023. As there were no transactions or business activities attributable to HETA Asset Resolution AG in financial year 2022, the comparative figures for the previous-year period did not need to be adjusted for the segments affected by the reclassification.

All other portfolios and activities allocated to the Non-Core Unit until 30 September 2023 and not wound up by the date of dissolution were kept in the Central Areas & Others segment.

The contributions of the individual segments to the profit before taxes of EUR 1,441 million (FY 2022: EUR 1,122 million) are shown below:

EUR million	Real Estate & Savings Banks/ Financial Institutions		Corporates & Markets		DKB		Central Areas & Others (including Consolidation)	
	2023	2022	2023	2022	2023	2022	2023	2022
Profit/loss before taxes	242	287	236	154	1,003	354	(39)	328
Cost/income ratio (CIR)	52.1%	55.2%	51.6%	59.5%	39.6%	62.5%	–	–
Return on equity (RoE)	12.4%	15.0%	8.6%	5.2%	28.0%	9.9%	–	–
RWAs	13,879	13,678	19,893	20,583	25,659	25,623	5,100	5,428

Real Estate & Savings Banks/Financial Institutions segment

- Segment profits before taxes were affected by additional risk provisions in the commercial real estate business and came in below the previous year's figure at EUR 242 million (FY 2022: EUR 287 million) despite an increase in earnings.
- The Real Estate Business Area was weighed down by high additions to risk provisions and subdued new business; this was partly offset by the growth in net interest income.
- The Savings Banks & Financial Institutions Business Area benefited from the current interest rate landscape and significant reduction in risk provisions due to recoveries on written down receivables.
- BayernLabo reported a marked increase in earnings due to the current interest rate environment.

The Real Estate Business Area only achieved a modest pre-tax profit of EUR 4 million in the reporting year (FY 2022: EUR 187 million). The big fall in earnings compared with the previous year was mainly the result of the net increase in risk provisions of EUR 210 million (FY 2022: net increase of EUR 36 million) that reflected the turmoil on the commercial real estate market and largely arose from the additions to Stage 3 risk provisions. The business area's operating profit remained almost unchanged on the previous-year period at EUR 319 million (FY 2022: EUR 317 million). While net interest income went up to EUR 298 million (FY 2022: EUR 274 million) driven by the favourable interest rate environment, net commission income declined to EUR 26 million (FY 2022: EUR 40 million), due to subdued new business as a result of the situation on the market. Gains or losses on fair value measurement were also hurt by measurement losses from the investment portfolio. Earnings were dampened additionally by the rise in administrative expenses of EUR 11 million to EUR 105 million (FY 2022: EUR 94 million) due to higher costs in connection with the growth strategy.

The Savings Banks & Financial Institutions Business Area doubled its profit before taxes to EUR 154 million (FY 2022: EUR 76 million). The main driver for this was the significant fall in net risk provisions of EUR 84 million (FY 2022: fall of EUR 1 million), largely due to recoveries on written down receivables from HETA Resolution AG (EUR 78 million). The earnings side in this business area too benefited from higher net interest income of EUR 88 million (FY 2022: EUR 64 million), due to favourable market interest rates. However, the total amount of EUR 207 million was lower than the previous year's high figure of EUR 216 million. One of the main causes for the lower earnings was a normalisation of conditions in the physical precious metals business, which had benefited in the past few years from high, above-average demand. Administrative expenses contracted to EUR 137 million (FY 2022: EUR 142 million) as the transformation programme was progressively implemented.

BayernLabo posted profit before taxes of EUR 72 million (FY 2022: EUR 25 million). The main reason for the jump in earnings was the rise in net interest income to EUR 101 million (FY 2022: EUR 57 million), due to the positive impact from the current interest rate environment on investments of liquidity at BayernLB, among other factors. The negative impact on earnings from measurement losses on interest rate hedges was more than offset by a EUR 7 million fall in administrative expenses to EUR 50 million (FY 2022: EUR 57 million) due to lower staff costs from wages and salaries and from pension contributions.

Real I.S.'s profit before taxes came in at EUR 27 million (FY 2022: EUR 31 million), EUR 4 million lower than in the previous year. The main reason for this was the difficult situation on the real estate market, causing transaction volumes to fall. However, net commission income rose by EUR 3 million to EUR 83 million (FY 2022: EUR 80 million), due to performance-based remuneration. This, though, was more than offset by higher administrative expenses and lower other income compared with the previous year.

In the financial year, BayernInvest broke even in its profit before taxes (FY 2022: EUR 4 million). The principal reasons for the fall in earnings were expenses from the measurement of equity interests of EUR 2 million (FY 2022: gain of EUR 3 million) and a decline in net commission income of EUR 3 million to EUR 43 million (FY 2022: EUR 46 million) following higher expenditure on brokerage commission. This was partly offset by measurement gains, due to an improved capital market environment.

Corporates & Markets segment

- The Corporates & Markets segment benefited from growth in the operating business and rising earnings thanks to its focus on competitive products and services in the customer business.
- Gains or losses on fair value measurement reflected a good performance in customer business with CO₂ certificates and CVA management.
- Risk provisions down owing to good portfolio quality and releases of specific loan loss provisions for individual exposures.

The Corporates & Markets segment generated a profit before taxes of EUR 236 million (FY 2022: EUR 154 million). The big increase in earnings was due mainly to the further progress made in systematically focusing on competitive products and services in the customer business. An additional boost came from the external market and interest rate environment.

Net interest and net commission income rose from EUR 379 million in 2022 to EUR 408 million in 2023. Besides the very good new corporate customer business, this was due in part to higher income from the deposit business. The increase in gains or losses on fair value measurement to EUR 84 million (FY 2022: EUR 41 million) was largely due to positive earnings contributions from trading in CO₂ certificates and CVA management.

Risk provisions rose by EUR 1 million on a net basis (FY 2022: rise of EUR 17 million), which was smaller than in the previous year, and this was due to good portfolio quality and releases of risk provisions on certain exposures.

Administrative expenses were almost unchanged at EUR 252 million (FY 2022: EUR 250 million).

DKB segment

- Major jump in earnings due to increase in net interest income from higher rates in the market.
- Higher net commission income following improved earnings from payments and card business.
- Gains or losses on fair value measurement benefited from measurement gains in DKB's retail funds following good performance on stock markets.

The DKB segment generated a profit before taxes of EUR 1,003 million, which was well above the previous-year figure (FY 2022: EUR 354 million).

The key driver of the higher earnings was the increase in net interest income of EUR 627 million to EUR 1,937 million (FY 2022: EUR 1,310 million) as DKB benefited from the positive impact of the new interest rate environment on the customer business.

Net commission income came in higher, due to the good performance in the card business and payments, rising by EUR 50 million to EUR 130 million (FY 2022: EUR 80 million).

The gains or losses on fair value measurement line item climbed by EUR 76 million year on year to EUR 31 million (FY 2022: loss of EUR 44 million) as a result of good stock market performance. This was mainly due to the positive performance by the DKB sustainability fund thanks to the general rally on stock markets. The net loss on hedge accounting, which reflected the temporary measurement losses from DKB's interest rate hedging following the jump in interest rates, amounted to EUR 54 million and was much less pronounced than in the previous year (FY 2022: loss of EUR 175 million). The gains or losses on hedge accounting item has to be viewed in conjunction with the interest income from the amortisation of these measurement effects of EUR 102 million (FY 2022: EUR 103 million). The net loss on financial investments of EUR 18 million (FY 2022: net gain of EUR 3 million) was the outcome of losses from the selective sale of securities in custody account A to optimise the Bank's own portfolio, which were only partially offset by gains from the measurement of equity interests.

Although risk provisions of EUR 59 million (FY 2022: EUR 13 million) were higher than in the previous year, this line item continued to benefit from a focused credit portfolio in sectors largely resistant to economic cycles.

DKB's status as Germany's second-largest online bank was further cemented by an increase in retail customer numbers to around 5.6 million (FY 2022: 5.3 million). To safeguard its market position for the long term, additional investments were made in the financial year on building up additional IT expertise, which pushed up administrative expenses to EUR 802 million (FY 2022: EUR 740 million).

Expenses from the bank levy and deposit guarantee scheme went up to EUR 93 million (FY 2022: EUR 79 million). While the charge for the bank levy fell to EUR 35 million (FY 2022: EUR 42 million), the charge for the deposit guarantee scheme was higher at EUR 58 million (FY 2022: EUR 37 million) due to contributions to the voluntary deposit guarantee scheme.

Central Areas & Others segment

- Segment earnings reduced by full repayment of specially structured loans (Lender Option Borrower Option (LOBO)); previous year benefited from one-off gains from sale of buildings not required for operations and the release of restructuring provisions.
- Big jump in earnings at Group Treasury partly due to investments of own funds and money market transactions after the interest rate environment became more favourable.
- Lower bank levy positively impacts earnings.

The Central Areas & Others segment produced a loss before taxes of EUR 39 million (FY 2022: profit before taxes of EUR 328 million). While the previous year's earnings were strongly boosted by high one-off gains of EUR 299 million from the sale of buildings not required for operations at the Munich location and a restructuring gain of EUR 106 million, losses of EUR 104 million from the full winding down of the LOBO loan portfolio in the reporting year resulted in a loss before taxes.

The segment's net interest income was EUR 192 million (FY 2022: EUR 140 million), a marked improvement on the previous year: The EUR 52 million increase was largely due to the Group Treasury Division, which, in particular, increased interest income from the centralised investment of own funds, from the compounding of interest for pension provisions and the CTA, and from money market transactions following rapid and sharp increases in interest rates. Net commission income remained on par with the previous year at a negative EUR 16 million (FY 2022: negative EUR 17 million).

The gains or losses on fair value measurement line item climbed by EUR 79 million to EUR 77 million (FY 2022: loss of EUR 2 million). While the previous year's figure was heavily impacted by measurement losses at Group Treasury following strong market movements, increases in interest rates had a markedly positive effect in the 2023 financial year. This was largely due to the recognition of net interest income in the gains or losses on fair value measurement item during the transition from the banking book to the trading book.

The gains or losses on financial investments item experienced a deterioration of EUR 38 million, resulting in a net loss of EUR 52 million (FY 2022: loss of EUR 14 million). The main cause were realised losses from sales of securities of EUR 44 million at Group Treasury.

Other income and expenses, which in the previous year was buoyed by gains from sales of buildings of EUR 299 million, came in EUR 293 million lower at EUR 71 million (FY 2022: EUR 364 million).

Gains or losses on derecognised financial assets came in at a negative EUR 97 million (FY 2022: EUR 0 million), comprising net expenses from the sale of customer receivables from various UK regional authorities in the wake of the full winding down of the LOBO loan portfolio.

Risk provisions fell by EUR 6 million on a net basis (FY 2022: rise of EUR 6 million) and comprised, among other things, releases of risk provisions assigned to LOBO loan exposures in Stage 2 following the repayment of these loans.

Restructuring losses of EUR 26 million were largely the result of the remeasurement of the need for restructuring provisions in connection with the transformation measures relating to IT (replacement of legacy systems) and interest rate effects from the measurement of existing restructuring provisions. By contrast, the previous year posted gains from the partial reversal of restructuring provisions through profit or loss of EUR 106 million, due to the expiry of the personnel instruments underlying the personnel-related restructuring provisions from the Fokus 2024 transformation programme and a jump in the discount rate.

The hit to earnings from expenses for the bank levy went down year on year by EUR 26 million to EUR 35 million (FY 2022: EUR 61 million) owing to the reduction in the target volume of the Single Resolution Fund (SRF). Expenses for the deposit guarantee scheme had not been incurred from financial year 2022, as BayernLB had already achieved its target volume for the deposit guarantee scheme in financial year 2021.

The BayernLB Group's net assets

Assets

EUR million	31 Dec 2023	31 Dec 2022	Change in %
Cash reserves	1,858	2,151	(13.6)
Loans and advances to banks	69,312	61,438	12.8
Loans and advances to customers	171,069	165,939	3.1
Risk provisions	(1,262)	(1,201)	5.1
Portfolio hedge adjustment assets	(3,216)	(4,651)	(30.9)
Assets held for trading	12,261	11,495	6.7
Positive fair values from derivative financial instruments (hedge accounting)	168	256	(34.5)
Financial investments	18,065	18,035	0.2
Investment property	20	21	(4.6)
Property, plant and equipment	351	415	(15.5)
Intangible assets	266	214	24.5
Tax assets	840	778	7.9
Non-current assets or disposal groups classified as held for sale	32	–	–
Other assets	3,600	4,453	(19.1)
Total assets	273,364	259,343	5.4

Cash reserves and loans and advances to banks

Cash reserves and loans and advances to banks increased by EUR 7.6 billion compared with the end of 2022 to a total of EUR 71.2 billion (FY 2022: EUR 63.6 billion). The volume of cash reserves contracted to EUR 1.9 billion (FY 2022: EUR 2.2 billion) while loans and advances to banks expanded by EUR 7.9 billion to EUR 69.3 billion (FY 2022: EUR 61.4 billion). The portfolio at BayernLB totalled EUR 39.8 billion, slightly higher than in the previous year (FY 2022: EUR 39.2 billion). DKB significantly expanded its portfolio by EUR 7.1 billion to EUR 31.4 billion (FY 2022: EUR 24.3 billion), largely due to the increase in deposit facilities.

Loans and advances to customers

Loans and advances to customers increased by EUR 5.2 billion on the previous year to EUR 171.1 billion (FY 2022: EUR 165.9 billion). The increase was mainly attributable to DKB, where loans and advances to customers rose by EUR 5.6 billion to EUR 94.8 billion (FY 2022: EUR 89.2 billion). At BayernLB, loans and advances to customers fell slightly by EUR 0.4 billion to EUR 76.3 billion (FY 2022: EUR 76.7 billion).

Risk provisions

Risk provisions climbed by EUR 61 million on the previous year to EUR 1,262 million (FY 2022: EUR 1,201 million). The figure as at the end of the reporting period included a post-model adjustment (PMA) of EUR 337 million (FY 2022: EUR 362 million) to reflect potential future risks to the credit portfolio under various macroeconomic scenarios. Of this amount, EUR 183 million (FY 2022: EUR 224 million) related to BayernLB and EUR 154 million (FY 2022: EUR 138 million) to DKB. For further information about the calculation of the PMA, refer to the notes to the consolidated financial statements for 2023.

Risk provisions for loans in Stages 1 and 2 were almost unchanged at EUR 485 million (FY 2022: EUR 484 million). The provision for loans in Stage 3 jumped by EUR 82 million to EUR 739 million in the reporting year (FY 2022: EUR 657 million) due to an increase in additions in the commercial real estate sector. The provision for POCI loans fell to EUR 38 million (FY 2022: EUR 60 million).

Portfolio hedge adjustment

The portfolio hedge adjustment reflects the interest rate-related changes in the value of fixed-interest hedged items for which fair value hedge accounting in the form of portfolio hedges was used. As at the reporting date, the BayernLB Group's portfolio hedge adjustment was lower, falling by EUR 1,435 billion to a negative figure of EUR 3,216 billion (FY 2022: negative EUR 4,651 million). Of this amount, a negative EUR 2,612 million (FY 2022: negative EUR 3,762 million) was attributable to DKB. The interest rate-related changes in the value of the hedged items were offset by changes in the value of hedges. The netted negative amounts of EUR 49 million (FY 2022: EUR 177 million) from both of these were recognised in gains or losses on hedge accounting.

Assets held for trading

Assets held for trading increased by EUR 766 million to EUR 12.3 billion as at the reporting date (FY 2022: EUR 11.5 billion), with receivables from trading activities increasing by EUR 1.8 billion to EUR 3.5 billion (FY 2022: EUR 1.7 billion). The increase was mostly due to receivables from securities repurchase transactions. However, positive fair values of derivatives not serving as collateral fell by EUR 1.3 billion to EUR 6.8 billion (FY 2022: EUR 8.2 billion), primarily due to changes in the fair values of interest-related transactions following changes in interest rates and changes in the holdings of currency-related transactions. The portfolio of bonds, notes and other fixed-income securities increased by EUR 0.3 billion to EUR 1.9 billion (FY 2022: EUR 1.6 billion) due to the ongoing positive trend in bond trading.

The trading portfolio of equities and other non-fixed income securities remained at a low EUR 16 million (FY 2022: EUR 12 million).

Intangible assets

Intangible assets rose by EUR 52 million to reach EUR 266 million as at the end of the year (FY 2022: EUR 214 million). These related to strategically important investments in the IT and process landscape at BayernLB and DKB.

Non-current assets or disposal groups classified as held for sale

As at the reporting date and compared with the previous year, the BayernLB Group recognised EUR 32 million of non-current assets or disposal groups classified as held for sale. Of this, EUR 26 million related to DKB.

Other assets

Other assets shrank significantly by EUR 853 million to EUR 3,600 million (FY 2022: EUR 4,453 million). Within these assets, there was a significant drop in the carrying amount of CO₂ emissions certificates held to EUR 2,113 million (FY 2022: EUR 2,916 million). This was the result of a drop in the number held, by around EUR 9 million to EUR 27 million, and price falls of about EUR 81 per tonne to around EUR 77 per tonne over the course of the year. In addition, there was a EUR 136 million decrease to EUR 289 million in the surplus assets from the offsetting of the present value of defined benefit obligations against earmarked assets.

Liabilities

EUR million	31 Dec 2023	31 Dec 2022	Change in %
Liabilities to banks	51,925	60,964	(14.8)
Liabilities to customers	143,309	123,304	16.2
Securitised liabilities	50,195	45,771	9.7
Liabilities held for trading	8,156	10,931	(25.4)
Negative fair values from derivative financial instruments (hedge accounting)	202	512	(60.6)
Provisions	1,162	1,104	5.2
Tax liabilities	203	118	71.6
Other liabilities	767	647	18.4
Subordinated capital	2,812	2,451	14.7
Equity	14,633	13,540	8.1
Total liabilities	273,364	259,343	5.4

Liabilities to banks

Liabilities to banks stood at EUR 51.9 billion as at the reporting date, a EUR 9.1 billion decrease versus the value as at the end of 2022 (FY 2022: EUR 61.0 billion). The main reduction was in liabilities from call money and term deposits (EUR -9.7 billion). There was a slight drop in liabilities from repurchase agreements (EUR -0.2 billion), issued public Pfandbriefs and issued mortgage Pfandbriefs (EUR -0.1 billion in each case). On the other hand, liabilities from pass-through business and subsidised loans rose (EUR +0.9 billion). Under this item, DKB's liabilities to banks fell by a total of EUR 7.2 billion to EUR 16.0 billion (FY 2022: EUR 23.2 billion) while BayernLB's went down by EUR 1.9 billion to EUR 35.9 billion (FY 2022: EUR 37.8 billion).

Liabilities to customers

Liabilities to customers increased by EUR 20.0 billion to EUR 143.3 billion compared with the end of the previous year (FY 2022: EUR 123.3 billion). While liabilities from call money and term deposits rose markedly (EUR +46.6 billion), liabilities from current accounts fell significantly (EUR -26.2 billion). One key driver here was DKB, whose liabilities to customers went up to EUR 102.3 billion (FY 2022: EUR 85.2 billion) as a result of favourable changes to deposit terms and conditions. BayernLB's volume rose by EUR 2.9 billion to EUR 41.0 billion (FY 2022: EUR 38.1 billion).

Securitised liabilities

Securities liabilities increased by EUR 4.4 billion to EUR 50.2 billion (FY 2022: EUR 45.8 billion). Of this, EUR 45.3 billion (FY 2022: EUR 41.1 billion) related to BayernLB and EUR 4.9 billion (FY 2022: EUR 4.7 billion) to DKB. Holdings of issued bonds and notes stood at EUR 42.4 billion (FY 2022: EUR 38.1 billion). The other securitised liabilities stood at EUR 7.8 billion (FY 2022: EUR 7.7 billion). Within securitised liabilities, the programme for issuing short-term money market instruments had a volume of EUR 7.6 billion (FY 2022: EUR 7.1 billion).

Liabilities held for trading

Liabilities held for trading dropped by EUR 2.7 billion to EUR 8.2 billion (FY 2022: EUR 10.9 billion). This trend was in line with assets held for trading.

Provisions

Provisions climbed by EUR 58 million to EUR 1,162 million (FY 2022: EUR 1,104 million). Of the reported amount of provisions, EUR 506 million (FY 2022: EUR 477 million) related to provisions for pensions and EUR 656 million (FY 2022: EUR 627 million) to other provisions.

The BayernLB Group recognises provisions for pensions after offsetting the present value of the pension obligations against qualifying plan assets. As at the reporting date, the present value of the pension obligations was EUR 3,553 million (FY 2022: EUR 3,097 million). A significant reason for the change in the present value of the pension obligations was the change in the discount rate and the adjustment to financial assumptions of EUR -319 million (FY 2022: EUR -1,315 million), partly due to changes in estimated future salary and medical cost trends. Qualifying plan assets were used for offsetting in the amount of the fair value of the underlying assets of EUR 3,350 million (FY 2022: EUR 3,065 million). Through the CTA at Allianz Treuhand GmbH, BayernLB had the highest amount of plan assets available for offsetting in the amount of EUR 3,097 million (FY 2022: 2,827 million). This was used to fully fund all BayernLB's earmarked pension, allowance and death benefit obligations as at 31 December 2023. The resulting surplus was recognised as net assets in the other assets line item. Reasons for the increase in the value of the CTA plan assets were growth in volumes and the positive measurement effects of interest-rate and exchange-rate sensitive investments such as bond and equity funds.

The other provisions item increased by EUR 29 million to EUR 656 million (FY 2022: EUR 627 million) and comprised restructuring provisions of EUR 361 million (FY 2022: EUR 357 million). These largely comprised liabilities in connection with restructuring and transformation measures at BayernLB of EUR 287 million (FY 2022: EUR 331 million) and, at DKB, of EUR 74 million (FY 2022: EUR 26 million). The decrease at BayernLB was mainly due to pension payments made under the agreements contracted under Fokus 2024. DKB increased its restructuring provisions following the measures implemented under the Fit4Growth programme.

Subordinated capital

To fulfil the rating requirements of Moody's Loss Given Failure (LGF) methodology, subordinated capital was significantly raised by EUR 361 million year on year to EUR 2,812 million (FY 2022: EUR 2,451 million). The main increase was in subordinated liabilities from bearer bonds, with a rise of EUR 322 million to EUR 2,250 million (FY 2022: EUR 1,928 million).

Equity

EUR million	31 Dec 2023	31 Dec 2022	Change in %
Subscribed capital	3,412	3,412	–
Capital surplus	2,182	2,182	–
Retained earnings	8,792	8,101	8.5
Revaluation surplus	(117)	(392)	(70.1)
Foreign currency translation reserve	2	1	92.0
Distributable profit	350	225	55.6
Non-controlling interests	12	11	14.3
Equity	14,633	13,540	8.1

The equity recognised on the balance sheet stood at EUR 14.6 billion as at 31 December 2023, EUR 1.1 billion above the previous year's figure. The retained earnings primarily reflected the BayernLB Group's exceptionally good earnings. The revaluation surplus recovered by EUR 275 million to a negative EUR 117 million, mainly due to the positive effect from the measurement of bonds, notes and other fixed-income securities at fair value through other comprehensive income. More extensive and detailed information on the specific line items of the balance sheet can be found under the notes to the balance sheet and the supplementary disclosures in the notes to the consolidated financial statements for 2023.

Banking supervisory capital and ratios under CRR/CRD IV (as per consolidated financial statements)

The banking supervisory capital under CRR/CRD IV as per the prepared consolidated financial statements as at 31 December 2023 was as follows:

EUR billion	1 Jan – 31 Dec 2023	1 Jan – 31 Dec 2022	Change in %
Common Equity Tier 1 capital (CET1 capital)	12.4	11.4	9.4
Own funds	15.1	13.9	8.7
Total RWAs	64.5	65.3	(1.2)
Common Equity Tier 1 (core tier 1 ratio) (%)	19.3	17.4	1.9 pp ¹
Total capital ratio (%)	23.4	21.3	2.1 pp ¹

¹ Percentage points.

The return on capital pursuant to Section 26a para. 1 KWG⁵⁵ was 0.4 percent (FY 2022: 0.4 percent). Details on country by country reporting, which is also governed by Section 26a para. 1 sentence 4 KWG, can be found below the Auditor's Report, as an appendix to these annual financial statements.

The BayernLB Group's financial position

Liquidity

The BayernLB Group ensured it had sufficient liquidity reserves at all times during financial year 2023 (including under stress scenarios). Further information on refinancing and the liquidity situation is provided in the risk report section of this management report.

	31 Dec 2023	31 Dec 2022	31 Dec 2022
In %	Submitted financial statements	Submitted financial statements	Adopted financial statements
LCR	241.4	175.4	175.4
NSFR	139.0	127.3	127.1

The liquidity coverage ratio (LCR) rose to 241.4 percent during the reporting period and therefore remained well above the 100.0 percent threshold required by the regulators.

The net stable funding ratio (NSFR) in the BayernLB Group stood at 139.0 percent as at the reporting date and therefore far exceeded the 100.0-percent minimum ratio required by the supervisory authorities.

⁵⁵ Ratio of consolidated net income/loss to consolidated total assets.

The BayernLB Group's liquidity management always had the capacity to respond to new market developments in good time. The BayernLB Group has access to the capital market with a broad range of products. Besides unsecured refinancing instruments (preferred and non-preferred senior bonds, Tier 2 subordinated capital and additional Tier 1 capital), the Group can also issue secured funding instruments, in particular mortgage Pfandbriefs and public Pfandbriefs, if it needs to raise financing. Pfandbriefs are an integral part of the mix of refinancing options at its disposal. They provide the BayernLB Group with stable access to long-term funding, and at a lower cost than unsecured sources of funding. Its issues take the form of large-volume benchmark bonds right through to private placements.

Further information on refinancing and the liquidity situation is provided in the risk report section of this management report.

Ratings

The rating agencies Moody's Investors Service (Moody's) and Fitch Ratings (Fitch) assigned the following ratings to BayernLB:

	Moody's	Fitch
Issuer rating	Aa2 (stable)	A– (stable)
Long term, preferred senior unsecured	Aa2 (stable)	A
Long term, non-preferred senior unsecured	A1	A–
Short term, unsecured	P– 1	F1
Public Pfandbriefs	Aaa	–
Mortgage Pfandbriefs	Aaa	–

Overall assessment of the BayernLB Group's financial position and financial performance

The results of operations were exceptionally good in 2023. The BayernLB Group's net assets and financial position were stable in financial year 2023. The Group had comfortable levels of liquidity throughout the reporting period.

BayernLB's annual financial statements under HGB

BayernLB prepares its annual financial statements in accordance with the provisions of the German Commercial Code (HGB), the Ordinance Regulating the Accounting Requirements for Financial Institutions and Financial Service Providers (RechKredV), the provisions of the Pfandbrief Act (PfandBG), the supplementing regulations of the Bayerische Landesbank Act, and the Bank's Statutes.

Statement by the Board of Management on BayernLB's business performance in 2023

The macroeconomic and sector-specific conditions for BayernLB were largely aligned with those of the BayernLB Group and are described in the report on the economic position in the combined management report.

Successful financial year 2023 for BayernLB with net profit of EUR 350 million

BayernLB made good progress on its strategic course and business portfolio by successfully completing the Fokus 2024 personnel and IT transformation measures initiated in 2019, divesting itself of products that are no longer part of the core business and making further necessary investments in future IT infrastructure, digitalisation and business processes.

BayernLB concluded financial year 2023 with a higher operating profit year on year of EUR 331 million (FY 2022: EUR 151 million). The biggest drivers of earnings included persistently high interest rates, the upturn in new business in Corporates & Markets and DKB's earnings contribution, all of which had varying effects on earnings. However, negative factors for earnings were the economic situation and the elevated uncertainty on real estate markets. This was particularly evident in the higher risk provisions.

The net profit stood at EUR 350 million (FY 2022: EUR 225 million) and was therefore above expectations.

The profit for financial year 2023 to be distributed to the shareholders was EUR 350 million (2022: EUR 225 million).

The credit and trading business continued to account for a major part of BayernLB's net assets. Both business and credit volumes and total assets were higher as at the end of financial year 2023.

EUR billion	31 Dec 2023	31 Dec 2022	Change in %
Total assets	154.5	151.0	2.3
Business volume ¹	187.0	183.7	1.8
Credit volume ²	129.9	126.5	2.7

¹ Total assets plus contingent liabilities and loan commitments.

² Loans and advances to banks and customers plus contingent liabilities from guarantees and indemnity agreements.

BayernLB's results of operations

EUR million	1 Jan – 31 Dec 2023	1 Jan – 31 Dec 2022	Change in %
Net interest income ¹	1,178	846	39.2
Net commission income	210	217	(3.2)
Gross profit	1,387	1,062	30.6
Staff costs	(635)	(568)	11.8
Operating expenses	(371)	(383)	(3.1)
Administrative expenses	(1,006)	(951)	5.8
Net income or net expenses of the trading portfolio	151	238	(36.7)
Other operating profit/loss ²	320	2	>100
Risk provisions	(427)	(231)	85
Gains or losses on measurement	(93)	32	–
Operating profit/loss	331	151	>100
Gains or losses from extraordinary items	(14)	65	–
Income taxes	32	9	>100
Net profit	350	225	55.6
Profit brought forward from previous year	–	–	–
Withdrawals from retained earnings	–	–	–
Allocations to retained earnings	–	–	–
Distributable profit	350	225	55.6

Rounding differences may occur in the tables.

1 Including current income and income from profit-pooling agreements, profit transfer agreements and partial profit transfer agreements.

2 Net of the other operating expenses, other operating income and other taxes.

Net interest income

EUR million	1 Jan – 31 Dec 2023	1 Jan – 31 Dec 2022	Change in %
Interest income	6,867	2,735	>100
Interest expenses	(6,031)	(1,936)	>100
Current income from equities and other non-fixed income securities, participations/equity interests and shares in affiliated companies	309	9	>100
Income from profit-pooling agreements, profit transfer agreements and partial profit transfer agreements	32	38	(16.2)
Net interest income	1,178	846	39.2

Net interest income, the difference between interest income and interest expenses – including current income on equities and other non-fixed income securities, participations/equity interests, shares in affiliated companies and profit transfers – went up by EUR 332 million to EUR 1,178 million in financial year 2023 (FY 2022: EUR 846 million).

Interest income increased by EUR 4,132 million to EUR 6,867 million (FY 2022: EUR 2,735 million). This rise was largely due to interest income from loans and advances to banks (EUR 1,213 million), loans and advances to customers (EUR 1,029 million) and interest rate derivatives in the

non-trading portfolio (EUR 1,617 million). BayernLB benefited mostly from the much higher interest rates and the additional volume growth in its strategically-aligned customer business, which was achieved despite the still challenging market environment.

Interest expenses climbed to a lesser degree, by EUR 4,095 million, to EUR 6,031 million (FY 2022: EUR 1,936 million). There were significant increases in interest expenses from liabilities to customers (EUR 1,013 million), from securitised liabilities (EUR 654 million), from liabilities to banks (EUR 441 million) and from interest rate derivatives in the non-trading portfolio (EUR 1,758 million).

In the reporting year, BayernLB divested credit exposures that were no longer part of its core business – specially structured loans (Lender Option Borrower Option (LOBO)) – whose full repayment (including the termination of the associated hedging instruments) resulted in a loss of EUR 122 million.

The positive interest rate environment led to a much lower negative interest income of EUR 15 million (FY 2022: negative EUR 207 million) and negative interest expenses of EUR 21 million (FY 2022: EUR 276 million).

Current income from equities and other non-fixed income securities, participations/equity interests and shares in affiliated companies increased by EUR 300 million to EUR 309 million (FY 2022: EUR 9 million), largely due to a distribution received from DKB in the same period.

The earnings contributions from profit transfers from subsidiaries decreased year on year by EUR 6 million to EUR 32 million (FY 2022: EUR 38 million).

Net commission income

The commission business for financial year 2023 broke down as follows:

EUR million	1 Jan – 31 Dec 2023	1 Jan – 31 Dec 2022	Change in %
Credit business	143	143	(0.5)
Securities business	27	33	(17.2)
Payments/account management	19	18	2.0
Trustee and administered loans	18	17	6.1
Documentary business	3	3	8.4
Gains or losses on diversification	1	1	65.0
Other commissions	(1)	2	–
Net commission income	210	217	(3.2)

Net commission income from the credit business was the same as the previous year, at EUR 143 million. However, net commission income from the securities business went down by EUR 6 million to EUR 27 million. The main reason for this was the year-on-year fall in income from the syndicated loan business.

Administrative expenses

Administrative expenses went up compared with the previous year, to EUR 1,006 million (FY 2022: EUR 951 million). The item consisted of staff costs of EUR 635 million (FY 2022: EUR 568 million) and operating expenses⁵⁶ of EUR 371 million (FY 2022: EUR 383 million).

Of the total amount of the staff costs, EUR 594 million (FY 2022: EUR 526 million) related to BayernLB core Bank and EUR 41 million (FY 2022: EUR 41 million) to BayernLabo. Negative factors for BayernLB core Bank in particular were the higher expenses for pensions and other employee benefits, which went up by EUR 69 million to EUR 273 million (FY 2022: EUR 204 million). This was due to the need to change assumptions about future salary, pension and medical cost trends.

The main reason for the EUR 12 million fall in operating expenses was the EUR 26 million drop in the BayernLB Group's expenses for mandatory contributions for the bank levy to EUR 35 million (FY 2022: 61 million), due to the reduction in the target volume of the Single Resolution Fund (SRF). In 2023, the Bank used the option to provide 22.5 percent of the annual contribution (EUR 10 million) in the form of fully secured irrevocable payment commitments (IPCs), which were not booked to expenses. In the case of the deposit guarantee scheme, BayernLB already achieved its target volume in 2021 and was released from the duty to make contributions in 2022 and 2023. BayernLB also pledged cash collateral, which to date has not been carried to profit or loss, of EUR 61 million (FY 2022: EUR 51 million) for the utilisation of the irrevocable payment commitments in connection with the bank levy and transferred securities of EUR 118 million (FY 2022: EUR 118 million) in connection with the deposit guarantee scheme. The operating expenses left after deducting the expenses for the mandatory contributions for the bank levy were EUR 336 million (FY 2022: EUR 322 million) and therefore higher than the previous year's figure. The main factor here was the planned increase in transformation costs for external programme development and consulting in the area of IT and higher legal and consulting costs.

Net income or net expenses of the trading portfolio

The Bank generated a lower net income from the trading portfolio, EUR 151 million, compared with the previous year (FY 2022: EUR 238 million). The fall was mainly due to interest-related transactions (negative EUR 107 million). The positive contribution to earnings from fixed-income securities, Schuldschein note loans and registered bonds in the trading portfolio of EUR 151 million (FY 2022: negative EUR 151 million) was offset by losses from derivatives concluded for hedging purposes and other interest-rate transactions of EUR 65 million (FY 2022: gain of EUR 343 million). Gains or losses from currency-related transactions rose by EUR 27 million to EUR 44 million (FY 2022: EUR 17 million); income from the precious metals business came in at EUR 52 million (FY 2022: EUR 53 million) and was therefore still at a high level. As at 31 December 2023, an allocation of EUR 17 million (FY 2022: EUR 26 million) was made to the fund for general bank risks pursuant to Section 340g HGB.

⁵⁶ Sum of other administrative expenses and amortisation and depreciation of property, plant and equipment and intangible assets.

Other operating profit

After netting other operating expenses, income and other taxes, the Bank posted a big increase in other operating profit to EUR 320 million in the reporting year (FY 2022: EUR 2 million). This was mainly due to the considerable jump in the value of the assets in the CTA of Allianz Treuhand GmbH used to cover the pension, death benefit and medical cost liabilities. With net income of EUR 370 million (FY 2022: net expense of EUR 295 million), BayernLB benefited mainly from the price gains of the assets in the cover assets.

Risk provisions and gains or losses on measurement

As at 31 December 2023, risk provisions and gains or losses on measurement broke down as follows:

EUR million	1 Jan – 31 Dec 2023	1 Jan – 31 Dec 2022	Change in %
Gains or losses on credit business	(437)	(186)	>100
Gains or losses on liquidity reserve securities	10	(46)	–
Risk provisions	(427)	(231)	84.7
Gains or losses on the measurement of fixed-asset securities and hedging derivatives	(36)	2	–
Gains or losses on participations/equity interests	(57)	30	–
Gains or losses on measurement	(93)	32	–

At EUR 427 million, risk provisions stood far above the previous year's figure of EUR 231 million, which reflected the still challenging interest rate environment and difficult economic conditions, especially in the real estate sector.

The biggest increase took place in the credit business, mainly as a result of the large allocation to the contingency reserves under Section 340f HGB and higher specific loan loss provisions. The risk provisions in the credit business broke down as follows:

EUR million	1 Jan – 31 Dec 2023	1 Jan – 31 Dec 2022	Change in %
Taxed reserves	(297)	73	–
Net gains or losses on single loss allowances	(258)	(80)	>100
Provisions for off-balance sheet loan losses	(9)	(1)	>100
Direct writedowns	(1)	–	–
Other risk provisions in the credit business	14	50	(71.4)
Net gains or losses on general loss allowances	32	(232)	–
Recoveries on written down receivables	81	3	>100
Gains or losses on credit business	(437)	(186)	>100

Net gains or losses on specific loan loss provisions rose markedly as expected owing to the gloomier situation on the real estate market. This was offset by additions to specific loan loss provisions of EUR 444 million (FY 2022: EUR 127 million) and releases of EUR 185 million (FY 2022: EUR 47 million).

Net gains or losses on general loan loss provisions were heavily impacted in the previous year by changes to methodology used to calculate general loan loss provisions. In financial year 2022, BayernLB applied for the first time the new rules on calculating general loan loss provisions under IDW RS BFA 7. To take adequate account of the risks from the fraught geopolitical situation, high inflation and the challenges on the energy and real estate markets, BayernLB, analogously to the risk provision methodology used under IFRS 9, set aside additional risk provisions through a post-model adjustment (PMA). The increasing deterioration in credit quality in the reporting year, particularly in relation to real estate financing, and the resulting increase in specific loan loss provisions led to a decrease in general loan loss provisions to EUR 216 million (FY 2022: EUR 245 million). As at the reporting date, the proportion of the PMA in the risk provisions was EUR 183 million (FY 2022: EUR 224 million).

Gains or losses on liquidity reserve securities rose overall to EUR 10 million (FY 2022: loss of EUR 46 million) and largely comprised measurement gains on equities and investment units and provisions for expected losses.

Measurement losses rose sharply year on year to EUR 93 million (FY 2022: gains of EUR 32 million). The measurement losses on fixed-asset securities and hedging derivatives (EUR 36 million) were largely the result of losses on the targeted sales of bonds. The losses on participations/equity interests item (EUR 57 million) stemmed mainly from changes in the carrying amount of participations/equity interests and shares in affiliated companies.

Gains or losses from extraordinary items

The Bank posted net losses from extraordinary items of EUR 14 million for the 2023 financial year (FY 2022: gains of EUR 65 million). This comprised extraordinary income of EUR 7 million (FY 2022: EUR 90 million) and extraordinary expenses of EUR 21 million (FY 2022: EUR 25 million). The extraordinary income arose from measurement adjustments of HR-related restructuring provisions, which were released due to the ending of the Fokus 2024 staff reduction programme in September 2023. The extraordinary expenses comprised, besides measurement adjustments of HR-related restructuring provisions recognised on the reporting date (EUR 9 million), unavoidable costs (EUR 12 million) for the IT transformation programme, which was initiated within Fokus 2024 and has not been concluded yet.

Income taxes

There was a net gain on income taxes of EUR 32 million (FY 2022: EUR 9 million) comprising the tax expense for the current year of EUR 3 million (FY 2022: EUR 66 million) and tax income for previous years of EUR 35 million (FY 2022: EUR 75 million). Due to negative tax assessment bases, no tax liability arose in the reporting year.

Distributable profits

As at 31 December 2023, the Bank had distributable profits of EUR 350 million (FY 2022: EUR 225 million).

BayernLB's net assets

Assets

EUR million	31 Dec 2023	31 Dec 2022	Change in %
Cash reserves	85	516	(83.5)
Debt instruments issued by public entities and bills of exchange eligible for refinancing with central banks	673	590	14.1
Loans and advances to banks	43,617	39,898	9.3
Loans and advances to customers	74,603	75,111	(0.7)
Bonds, notes and other fixed-income securities	12,317	13,849	(11.1)
Equities and other non-fixed income securities	112	105	6.6
Trading portfolio	9,537	7,388	29.1
Equity interests	340	283	19.9
Shares in affiliated companies	2,990	3,023	(1.1)
Assets held in trust	6,328	6,004	5.4
Intangible assets	137	102	34.8
Property, plant and equipment	223	233	(4.5)
Other assets	3,202	3,543	(9.6)
Prepaid expenses	325	349	(6.7)
Positive difference from asset offsetting	11	11	8.5
Total assets	154,500	151,004	2.3

Cash reserves

As at the end of financial year 2023, BayernLB had a cash reserve of EUR 85 million, far below the previous year's figure of EUR 516 million. The low figure was reporting date-related and included the balance at Deutsche Bundesbank of EUR 52 million (FY 2022: EUR 474 million). The decrease was in favour of the increase in the deposit facility reported under loans and advances to banks.

Debt instruments issued by public entities

In the financial year, purchases of US Treasury bills increased holdings to EUR 673 million (FY 2022: EUR 590 million).

Loans and advances to banks

As at 31 December 2023, loans and advances to banks increased by EUR 3.7 billion to EUR 43.6 billion (FY 2022: EUR 39.9 billion). Loans and advances to domestic banks, comprising in part an increase in deposits at DKB and the Deutsche Bundesbank (deposit facility), went up overall by EUR 5.4 billion to EUR 40.3 billion (FY 2022: EUR 34.9 billion). Loans and advances to foreign banks dropped by EUR 1.7 billion to EUR 3.3 billion (FY 2022: EUR 5.0 billion).

Loans and advances to customers

As at 31 December 2023, loans and advances to customers were down by EUR 0.5 billion to EUR 74.6 billion (FY 2022: EUR 75.1 billion). Loans and advances to foreign customers decreased by a significant EUR 0.5 billion to EUR 26.9 billion (FY 2022: EUR 27.4 billion). This was because of the full repayment of specially structured loans (Lender Option Borrower Option (LOBO)) to local authorities in the United Kingdom. Loans and advances to domestic customers remained at EUR 47.7 billion (FY 2022: EUR 47.7 billion).

Bonds, notes and other fixed-income securities

Bonds, notes and other fixed-income securities dropped by EUR 1.5 billion to EUR 12.3 billion (FY 2022: 13.8 billion) due in particular to scheduled final maturities and selective sales. As at the reporting date, securities in the investment portfolio went down by EUR 1.3 billion to EUR 5.9 billion (FY 2022: EUR 7.2 billion), while securities in the liquidity reserve contracted by EUR 0.3 billion to EUR 6.4 billion (FY 2022: EUR 6.7 billion).

Equities and other non-fixed income securities

As at the reporting date, BayernLB reported increased holdings in equities and other non-fixed income securities of EUR 112 million (FY 2022: EUR 105 million). There were increases in interests in investment funds (EUR +3.8 million) and shareholdings (EUR +3.2 million).

Trading portfolio (assets)

As at the reporting date, the volume of the trading portfolio (assets) was EUR 2,149 million higher, at EUR 9,537 million (FY 2022: EUR 7,388 million). The main reason was the EUR 1,769 million increase in receivables held for trading to EUR 3,738 million (FY 2022: EUR 1,969 million) due to the securities repurchase transactions concluded in the trading portfolio. The Bank's holdings of Schuldschein note loans in the trading portfolio rose by EUR 550 million to EUR 2,259 million (FY 2022: EUR 1,709 million) due to increased trading activity for customers. Positive fair values of derivative financial instruments decreased slightly by EUR 202 million to EUR 3,026 million (FY 2022: EUR 3,228 million). This was mainly due to developments in the interest rate-related business (drop of EUR 129 million) and the currency-related business (drop of EUR 73 million).

Participations/equity interests and shares in affiliated companies

The carrying amount of the participations/equity interests rose by EUR 57 million to EUR 340 million (FY 2022: EUR 283 million). This was mainly due to the increase in the carrying amount of the equity interest in Galintis GmbH & Co. KG, Frankfurt/Main, in which BayernLabo holds a partnership share of 15.9 percent and in which the equity interest in Airbus SE, Leiden, Netherlands, is pooled. The factor resulting in the increase in the carrying amount of the equity interest was the rise in the share price of Airbus SE as at the reporting date, which was offset by the opposing effect from the related hedging transactions. Shares in affiliated companies decreased by EUR 33 million, from EUR 3,023 million to EUR 2,990 million, as a result of writedowns in the carrying amounts of equity interests in the financial year.

Assets held in trust

Assets held in trust rose by EUR 324 million to EUR 6,328 million in the financial year (FY 2022: EUR 6,004 million). This was owing to the still high utilisation of government subsidies, especially from the Free State of Bavaria, which are processed by BayernLabo. As at 31 December 2023, of the assets held in trust EUR 5,998 million (FY 2022: EUR 5,992 million) related to BayernLabo and EUR 330 million (FY 2022: EUR 412 million) to BayernLB.

Intangible assets and tangible assets

Intangible assets rose by EUR 35 million as at the end of the year to EUR 137 million (FY 2022: EUR 102 million), due mainly to strategically important investments within the IT transformation programme. The Bank's tangible assets fell year on year by EUR 10 million to EUR 223 million as at 31 December 2023 (FY 2022: EUR 233 million).

Other assets

Compared with the previous year, other assets sank by EUR 341 million to EUR 3,202 million (FY 2022: EUR 3,543 million). There was a considerable EUR 872 million fall in the carrying amounts of CO₂ emissions certificates held to EUR 2,044 million (FY 2022: EUR 2,916 million). The trigger for this was a reduction of holdings by around EUR 9 million to EUR 27 million, along with as price falls of about EUR 81 per tonne to around EUR 77 per tonne over the course of the year. This was offset by the increase in receivables in connection with the EUR 295 million of earnings from equity interests in the same period to EUR 330 million (FY 2022: EUR 35 million), in particular related to the profit distribution from DKB of EUR 300 million received in the same period. In addition, receivables from the tax authorities jumped by EUR 110 million to EUR 145 million (FY 2022: EUR 35 million) due to higher upfront payments.

Positive difference from asset offsetting

As at 31 December 2023, BayernLB reported a positive difference from asset offsetting of EUR 11 million (FY 2022: EUR 11 million). These surplus assets arose from the results of the off-setting of the cover assets (CTA) held by Allianz Treuhand GmbH, Stuttgart, in BayernLabo's settlement association.

Liabilities

EUR million	31 Dec 2023	31 Dec 2022	Change in %
Liabilities to banks	41,220	40,279	2.3
Liabilities to customers	41,480	38,224	8.5
Securitised liabilities	45,855	45,724	0.3
Trading portfolio	5,392	6,853	(21.3)
Liabilities held in trust	6,328	6,004	5.4
Other liabilities	370	549	(32.5)
Deferred income	282	224	25.9
Provisions	1,215	1,325	(8.3)
Subordinated liabilities	2,916	2,548	14.4
Fund for general banking risks	1,253	1,211	3.5
Equity	8,187	8,063	1.5
Total liabilities	154,500	151,004	2.3

Liabilities to banks

Liabilities to banks increased by EUR 0.9 billion to EUR 41.2 billion (FY 2022: EUR 40.3 billion). While liabilities to domestic banks increased by EUR 0.9 billion to EUR 39.4 billion (FY 2022: EUR 38.5 billion), liabilities to foreign banks remained unchanged at EUR 1.8 billion.

Liabilities to customers

Liabilities to customers increased by EUR 3.3 billion to EUR 41.5 billion (FY 2022: EUR 38.2 billion). With a EUR 4.2 billion increase to EUR 36.6 billion (FY 2022: EUR 32.4 billion), liabilities to domestic customers accounted for the largest share. Liabilities to customers in the public sector rose by EUR 2.4 billion to EUR 14.2 billion (FY 2022: EUR 11.8 billion). Liabilities to domestic retail customers increased by EUR 1.8 billion to EUR 22.4 billion (FY 2022: EUR 20.6 billion).

Securitised liabilities

Holdings of securitised liabilities went up in the reporting year to EUR 45.9 billion (FY 2022: EUR 45.7 billion). To fulfil the rating requirements of Moody's Loss Given Failure (LGF) methodology, holdings of bearer bonds and money market securities were actively increased in the reporting year.

Trading portfolio (liabilities)

The value of the trading portfolio (liabilities) stood at EUR 5.4 billion, which was down on the previous year's figure of EUR 6.9 billion. At EUR 4.2 billion (FY 2022: EUR 5.2 billion) a large proportion of this was attributable to the negative fair values of derivatives in the trading portfolio. The fall in derivatives in the trading portfolio was primarily due to interest-related transactions (decrease of EUR 1.0 billion) and largely a result of changes in fair values in the new interest rate environment. Liabilities in the trading portfolio went down to EUR 1.2 billion (FY 2022: EUR 1.6 billion).

Liabilities held in trust

Liabilities held in trust rose in line with the trust assets by EUR 324 million to EUR 6,328 million (FY 2022: EUR 6,004 million).

Other liabilities

There were other liabilities of EUR 370 million as at the reporting date (FY 2022: EUR 549 million). The main reason for the decline was a decrease in the fair values of forward transactions on CO₂ emissions certificates (decrease of EUR 192 million). Numerous transactions were closed out in the reporting year due to the sharp rise in interest rates.

Provisions

As at the reporting date, the Bank had provisions of EUR 1,215 million (FY 2022: EUR 1,325 million). Of these, EUR 558 million (FY 2022: EUR 602 million) were provisions for pensions, EUR 45 million (FY 2022: EUR 54 million) provisions for tax and EUR 613 million (FY 2022: EUR 669 million) for other provisions.

Liabilities from pensions and other similar obligations amounted to EUR 3,558 million as at the reporting date (FY 2022: EUR 3,335 million). As at 31 December 2023, the earmarked cover assets eligible for offsetting amounted to EUR 3,146 million (FY 2022: EUR 2,875 million), of which EUR 3,097 million (FY 2022: EUR 2,827 million) was attributable to the CTA. After offsetting pension provisions against earmarked cover assets, there were surplus assets of EUR 11 million (FY 2022: EUR 11 million), which were reported under the positive difference from asset offsetting line item.

Other provisions fell by EUR 56 million year on year to EUR 613 million (FY 2022: EUR 669 million). The biggest change arose from the fall in restructuring provisions for downsizing measures of EUR 360 million to EUR 304 million.

Subordinated liabilities

As at 31 December 2023, the Bank reported a EUR 368 million rise in subordinated liabilities to EUR 2,916 million (FY 2022: EUR 2,548 million). To fulfil the rating requirements of Moody's Loss Given Failure (LGF) methodology, subordinated liabilities from bearer bonds were actively increased in the reporting year (jump of EUR 311 million).

Fund for general banking risks

The fund for general bank risks rose to EUR 1,253 million (FY 2022: EUR 1,211 million). Of this amount, EUR 1.0 billion (FY 2022: EUR 1.0 billion) related to BayernLabo and EUR 213 million (FY 2022: EUR 196 million) to BayernLB core Bank. A special item pursuant to Section 340e para. 4 HGB in the amount of EUR 115 million (FY 2022: EUR 98 million) was reported under the fund for general banking risks.

Equity

As at 31 December 2023, the Bank's equity as reported on the balance sheet broke down as follows:

EUR million	31 Dec 2023	31 Dec 2022	Change in %
Subscribed capital	3,412	3,413	–
Capital surplus	2,182	2,182	–
Retained earnings	2,243	2,243	–
Distributable profit	350	225	55.6
Equity	8,187	8,063	1.5

The distributable profits of financial year 2022 were distributed to the shareholders of BayernLB in the amount of EUR 225 million in the reporting year. The distributable profits of EUR 350 million for financial year 2023 will be paid to the shareholders, subject to approval by the Annual General Meeting.

Banking supervisory capital and ratios under CRR/CRD IV (as per consolidated financial statements)

Banking supervisory capital under CRR/CRD IV as per the consolidated financial statements as at 31 December 2023 broke down as follows:

EUR billion	31 Dec 2023	31 Dec 2022	Change in %
Common Equity Tier 1 capital (CET1 capital)	8.7	8.7	(0.2)
Own funds	11.5	11.1	3.5
Total RWAs	43.8	44.4	(1.5)
Common Equity Tier 1 (core tier 1 ratio) (%)	19.8	19.6	0.2 pp ¹
Total capital ratio (%)	26.3	25.1	1.2 pp ¹

¹ Percentage points.

BayernLB's financial position

During financial year 2023, it was ensured that liquidity reserves at BayernLB were adequate, even in stress situations. The liquidity situation is described in the risk report presented in the combined management report. Therefore, no detailed analysis is provided here and readers are referred to the information in the risk report and the notes to the consolidated financial statements and the cash flow statement of the BayernLB Group.

Overall assessment of BayernLB's net assets, financial position and results of operations

BayernLB's results of operations were very good in 2023 and exceeded expectations. BayernLB's net assets and financial position were solid in financial year 2023. The Bank's liquidity was good throughout the reporting period.

Risk report

About this report

This risk report sets out the risk situation of the BayernLB Group and BayernLB as at 31 December 2023. The following explanations refer primarily to risk management in the BayernLB Group. The BayernLB key figures at the individual bank level are shown in addition to those at Group level. A separate explanation is provided where processes and procedures differ.

This risk report was prepared in accordance with the requirements of IFRS 7.31 et seq. on the reporting of risks arising from financial instruments and risks to which the BayernLB Group was exposed as at the end of the reporting period. The presentation of the risks is based principally on information supplied as a basis for risk management and monitoring to the Board of Management and the Risk Committee of the Supervisory Board (management approach).

For information on the inclusion of forbearance exposures in risk-based management, refer to the intensive support, restructuring and workout and forbearance section of the report. The relevant quantitative data can be found in the “Portfolio overview in accordance with IFRS 7.34 a (management approach)” section.

The risk report contains further information required in accordance with German Accounting Standard GAS 20.

Key developments in 2023

- Risk situation stable overall amid difficult market environment
- Risk-bearing capacity maintained at all times
- Liquidity and earnings situation still healthy with support from influx of deposits at DKB

The portfolio was generally stable despite the challenging economic conditions on the back of the global pivot in interest rates, inflation and the recession in Germany, among other factors. Higher interest rates around the world temporarily caused problems for certain banks and cast a long shadow on real estate markets globally, resulting in a decline in transaction volumes. Rising construction and refinancing costs coupled with falling property yields made many building projects increasingly unprofitable, especially in the residential segment. In addition, in the office property market there was a lot of uncertainty regarding fundamental future demand for office space due to the trend towards remote working. The deterioration in the market conditions led to a reduction in new business, especially among residential and commercial property developers and in the US business. In addition, changes in market values resulted in downgrades, with BayernLB being significantly more affected than DKB (which is focused mainly on housing companies).

However, banks benefited from the new interest rate landscape and temporarily increased interest income, as was clearly evident at the subsidiary DKB.

Irrespective of the difficult conditions, the BayernLB Group's risk situation was very robust overall thanks to its forward-looking risk management.

Gross credit volume rose by EUR 15.7 billion to EUR 345.6 billion. A key driver was the Countries/Public Sector/Non-Profit Organisations sub-portfolio, with a contribution of EUR 11.2 billion. The big jump in credit volume in this sub-segment was due to the strong growth in deposits at DKB. Additional growth was achieved in the Corporates sub-portfolio, especially in the target sector of Energy, and in the Financial Institutions and Retail/Other sub-portfolios.

Portfolio quality remained high, even taking into account of the currently fraught general economic situation, with an investment-grade share of 89.3 percent (FY 2022: 89.6 percent).

Risk-bearing capacity was maintained throughout the financial year, as the capital base was solid at all times. In addition, the BayernLB Group had a good supply of liquidity on hand.

In managing pension risks, the Bank took advantage of the increase in interest rates to make further investments and reallocations in the CTA. The resulting hedging effect is expected to improve pension risk management.

ESG risks

The BayernLB Group has been addressing the topic of sustainability for many years. An internal project was launched at BayernLB and DKB back in 2021 to support and monitor the progress of the implementation measures, especially with regard to the requirements of the EU Taxonomy Regulation and disclosure requirements under the CRR. In 2023, the Bank integrated the ESG risk drivers further into the materiality assessments of the risk types. Other focal points in 2023 were the refinement of the ESG risk assessment, its written formulation in framework instructions on ESG risks and the carrying out of various transitory climate stress tests (see section on stress testing).

Internal risk management system

Management structure

The organisation of the boards below the Board of Management reflects the European regulatory structure led by the ECB, involving the Single Supervisory Mechanism (SSM) and Supervisory Review and Evaluation Process (SREP), with the objective of making corporate management more consistent and transparent within the BayernLB Group. In addition, the Sustainability Board was set up on 1 January 2024. However, as it was not yet exercising its functions as at 31 December 2023, it is not included here.

Supervisory Board				
Executive and Nominating Committee	Compensation Committee	Audit Committee	Risk Committee	BayernLabo Committee
Board of Management				
Senior management				
Remuneration Board	Capital Board		Credit Risk Board	
	Project & Investment Board		Product Board	
	NFR Board		Interest Rate Management Board	

Supervisory Board and committees

The Supervisory Board monitors and advises BayernLB's Board of Management. It is assisted in its work by the committees described below:

The Audit Committee monitors the accounting processes, the effectiveness of the risk management system, particularly the internal control system and internal audit activities, as well as addressing open audit findings.

The Risk Committee mainly deals with issues relating to the risk strategies approved by the Board of Management and the risk situation at BayernLB Group and BayernLB levels, and takes decisions on loans requiring approval by the Supervisory Board under the German Banking Act (KWG) and BayernLB's Competence Regulations.

In addition to the above-mentioned committees, the Supervisory Board is supported by the Executive and Nominating Committee, the Compensation Committee and the BayernLabo Committee.

Board of Management

In managing the business and the organisation, the Board of Management is supported by the following boards in particular.

Senior management (boards)

At senior management level, the boards generally act across the segments, without any direct involvement by the Board of Management.

The Capital Board, chaired by the head of the Finance Division, monitors and manages changes in and allocations of risk-weighted assets (RWAs) at BayernLB.

The Credit Risk Board, chaired by the head of the Credit Risk Management Division, is the highest competence holder on credit matters below the Board of Management and deals with sector portfolio, country and product reports and policy issues regarding credit risk management.

The Product Board, chaired by the head of the Group Risk Control Division, deals with the launch of business activities in new products in compliance with MaRisk requirements. It is mainly responsible for the approval of new products and regularly approving the valuation models used and changes to these models.

Other boards set up by the Board of Management include the Remuneration Board, the Project & Investment Board, the Interest Rate Management Board and the NFR (Non-Financial Risk) Board.

Organisation

Besides segregating the duties of the Sales and Risk Office units and the Trading and Settlement units, a proper business organisation must have adequate internal control procedures and mechanisms to manage and monitor key risks.

The Board of Management is chiefly supported in this task by the Risk Office, Financial Office, and Operating Office central areas as well as the Corporate Center unit.

Risk Office

BayernLB's Risk Office (RO) comprises the Group Risk Control, Credit Risk Management and Research divisions.

Group Risk Control independently identifies, evaluates, analyses, communicates, documents and monitors all risk types at an aggregated level. For the purposes of operational management of risk types and risk-bearing capacity, Group Risk Control provides the Board of Management and committees with independent and risk-appropriate reports. In addition, the Group Risk Control Division is also responsible for managing non-financial risks (outsourcing risk, information security risk and business continuity management).

In addition to periodic and ad hoc reporting on the BayernLB Group's risk situation to internal decision-makers, communication also includes external risk reports filed in accordance with legal and supervisory requirements. This includes reports on the performance of the indicators selected in accordance with the Minimum Requirements for the Design of Recovery Plans (MaSan) and the German Recovery and Resolution Act (Sanierungs- und Abwicklungsgesetz (SAG)).

Decisions regarding risk management are made in accordance with the Business Strategy and Group Risk Strategy, which are closely aligned. Credit risk management is a joint responsibility of the Sales units and Risk Office units, with segregation of duties being ensured at all times. In this management process, the Credit Risk Management Division is responsible for analysing, evaluating and managing risk and collateral in respect of the risk-relevant exposures in the core business (the Risk Office role). It takes the lead in setting the Credit Risk Strategy for individual customers, sectors, countries and special products such as leasing, project finance and acquisition finance, is responsible for ongoing credit and transaction analysis and votes on behalf of the Risk Office in the credit approval process. The same applies to DKB. The Division also looks after the recovery and resolution exposures and is responsible for BayernLB's credit portfolio management.

The main responsibilities of the Research Division are observing economic and, insofar as they are relevant for the banking and financial markets, political trends, as well as financial market developments worldwide, particularly in Germany, the eurozone and the US, on an ongoing basis. The Division prepares analyses and forecasts on all macroeconomic topics, on real estate, on financial market trends (money, bond and equity markets) and on megatrends. The Division is also responsible for preparing analyses on the credit market and for issuers, corporate bonds and Schuldschein note loans, for services to support BayernLB's issuing and placing business and for country risk and sector analysis.

Financial Office

Operational implementation of uniform Group-wide accounting standards is the responsibility of the Financial Office Central Area, which ensures that the accounts are properly prepared. It is also responsible for establishing the accounting process and ensuring its effectiveness.

Its key tasks include preparing the annual financial statements, consolidated financial statements and the combined management report of BayernLB and the BayernLB Group, establishing accounting policies, initiating accounting-related projects and providing guidance on national and international developments in accounting.

The Financial Office Central Area also implements the relevant accounting standards and legal requirements on accounting, which are detailed in the directives for preparing the accounts.

In addition, the Financial Office Central Area is responsible for supervisory reporting and the operational implementation of consistent rules across the Group as part of management controlling, and lays down standards for methods and procedures.

Operating Office

The Operating Office Central Area is responsible for BayernLB's operating processes and supporting these in the Operations & Banking Services, Credit Services & Purchasing and Information Technology divisions.

Besides processing payments, Operations & Banking Services deals with the settlement of trading transactions, foreign notes and coins and physical precious metals, and facility management.

The Credit Services & Purchasing Division pools the credit-related tasks, frees up the Sales and Credit Analysis units to concentrate on their primary tasks. With its standardised, lean processes, it makes a key contribution to creating scope for the customer business and achieving the planned business growth. It is also responsible for central purchasing.

The Information Technology Division is responsible for exercising IT governance functions, providing IT services and strategically managing the IT units in all the foreign branches.

Corporate Center

The Compliance Division monitors the implementation and adherence to compliance-relevant legal and regulatory requirements. The Division is also responsible for managing compliance within the BayernLB Group. It does this by establishing uniform minimum standards.

The Sustainability Department supports the Board of Management in reviewing, setting and/or amending sustainability-centric business policies and advises the business areas, central areas and Group units on integrating sustainability aspects into their respective areas of responsibility.

The Audit Division reports directly to the Chairman of the Board of Management (CEO). Under a risk-oriented approach, its auditing activities extend to all activities and processes within BayernLB. The Division's tasks also include auditing important processes and activities outsourced to third parties. As Group internal auditor, the Audit Division also supplements the internal auditing units of the subordinate companies.

The Legal Services & BoM Support and Human Resources & Group Development divisions also report directly to the CEO.

Internal control system in risk management

The internal control and risk management system is governed by the internal written organisational rules (schriftlich fixierte Ordnung (SFO)). The potential impact on control procedures and their intensity in the event of material changes to structures and procedures and IT systems is analysed in accordance with a defined process.

Group and institution-level instructions on risk management are prepared on the basis of the guidelines for the Bank and Group. These rules govern the risk management and controlling processes used for the timely identification, full documentation, measurement and appropriate disclosure of material risks. They are regularly reviewed, updated and published internally.

Risk-oriented management

Group Risk Strategy

Decisions regarding risk management are made in accordance with the Business Strategy and Group Risk Strategy, which are closely aligned.

The Group Risk Strategy, which is based on the Business Strategy and reviewed regularly, is set by the Board of Management and discussed with the Supervisory Board's Risk Committee. Both the overall objectives and guidelines of the Risk Strategy and those laid down for the specific risk types are derived from the Business Strategy.

The Group Risk Strategy encompasses the following main objectives:

- Ensure the appropriateness of the amount and quality of the cover funds from a normative and economic perspective (capital and liquidity adequacy) for the long term
- Ensure solvency at all times
- Ensure the BayernLB Group only takes on risks it is able to assess and manage
- Ensure quality takes priority over quantity when it comes to portfolio growth
- Maintain a risk culture that promotes the identification of and a conscious approach to risks and ensures that decision-making processes produce results which are also balanced from a risk perspective
- Sales and Risk units are jointly responsible for earnings after risk provisions
- In managing the material and significant risks, take ever greater and strategic account of the ESG risk drivers
- The BayernLB Group sets high ethical standards for itself in its business activities and actively aligns its business activities to ESG criteria and sustainability (by adhering to the Sustainability Strategy and guidelines)
- The employee incentive schemes (remuneration system) are consistent with the Business and Risk Strategy

The economic capital available for allocation is based on the long-term capital available. The portion of the available economic capital earmarked to be allocated to the individual risk types for risk limitation was determined within the BayernLB Group in the Risk Strategy, taking account of the Board of Management's risk appetite. The risk appetite is reflected in the total amount of the limits allocated to the risk types plus the allocation reserves.

The basis for setting the Risk Strategy is the risk inventory carried out at least once a year in accordance with MaRisk and the risk-bearing capacity calculation. The risk inventory examines not only BayernLB but also the equity interests and special-purpose entities in the BayernLB Group, regardless of whether they are consolidated under German commercial law or supervisory law. The BayernLB Group's overall risk profile is then presented to the Board of Management. The major risks at the BayernLB Group and BayernLB are credit risk, market risk, liquidity risk, operational risk, risk associated with equity interests and pension basis risk, business and strategic risk and reputational risk. The individual risk types and the significant individual risks they include are discussed below.

Capital management

Capital management is based on a planning process that incorporates strategic, risk-based and regulatory factors into a multi-year operational plan. The Business Strategy is an essential element in the preparation of the Group Risk Strategy and the preparation, intra-year review and updating of the capital planning.

Integrated risk and earnings reporting

Trends in performance, capital, liquidity and risk are combined into a monthly Group management report presented to the Board of Management. As a component of the integrated reporting, the Group management report provides an initial impression of the current situation of the BayernLB Group and the Group units with key figures and ratios. Additional detailed information focused on the four key areas is then presented and commented on (in particular on the Group risk status, which is updated shortly after the end of each month, and the detailed quarterly Group risk report). The Board of Management meetings on the Group management report also include regular reports on specific, current focal topics.

The instruments used to manage and monitor the achievement of Business and Risk Strategy goals are constantly upgraded at Group level.

The processes involved in managing regulatory capital adequacy and economic capital adequacy are described in the sections below.

Regulatory capital adequacy (solvency)

To ensure BayernLB has the proper amount of regulatory capital, the objectives, methods and processes below have been established: The starting point for the allocation of regulatory capital is the BayernLB Group's own funds planning. Own funds are defined as Common Equity Tier 1 capital (CET1), Additional Tier 1 capital and Tier 2 capital. Common Equity Tier 1 capital comprises subscribed capital plus reserves, the capital contribution of BayernLabo and various supervisory adjustments and deductions. No additional Tier 1 capital was issued by BayernLB. Tier 2 capital comprises mostly long-term subordinated liabilities.

Own funds planning is based largely on the internal target Common Equity Tier 1 ratio (ratio of Common Equity Tier 1 capital to RWAs) and the total capital ratio (ratio of own funds to RWAs) for the BayernLB Group. This includes establishing upper limits for credit risks, market risks, credit valuation adjustments (CVAs) and operational risks arising from the business activities in the planning period.

In the planning process, regulatory capital is distributed to each planning unit based on the RWA component. The planning units (Group units) are the defined business areas and divisions of BayernLB, as well as BayernLabo and DKB.

RWAs are allocated to the Group units through a top-down distribution approved by the Board of Management, combined with an internally determined capital ratio. Compliance with the RWA budgets available to each Group unit is continuously monitored. The Board of Management receives monthly reports on current RWA utilisations.

In addition to the CRR, BayernLB is subject to the European Central Bank's Supervisory Review and Evaluation Process (SREP). Due to the SREP findings, BayernLB was assigned a total capital ratio of 10 percent on a consolidated basis.

With a CET1 ratio of 19.3 percent as at 31 December 2023, the BayernLB Group had a very large capital base.

Details on increases or decreases in the Group's supervisory ratios are provided in the report on the economic position in the combined management report. BayernLB publishes additional information in the disclosure report in accordance with Section 26a German Banking Act (KWG). The disclosure report can be found on BayernLB's website under "About us/Investor Relations/Publications/Financial Reports".

Economic capital adequacy (risk-bearing capacity)

The Internal Capital Adequacy Assessment Process (ICAAP) is monitored for both BayernLB and the BayernLB Group. The consolidated risk units comprise BayernLB as well as DKB, which is included in the risk-bearing capacity calculation through a look-through approach. The aim of ICAAP is to ensure that there is sufficient economic capital at all times to fully cover the risks assumed.

The normative and economic perspectives are closely coordinated in keeping with the ECB's guidelines on the design of internal bank processes to ensure that banks maintain an adequate capital base and sufficient liquidity. The capital and the capital components are the starting point for the normative and economic perspectives. Economic capital is based on the normative capital and economically adjusted (e.g. by deducting deferred tax assets).

The planning of economic risks for the risk-bearing capacity calculation and the planning over the next five years are integral parts of the Group planning process described in the regulatory capital adequacy section. The risk assessment is based on the risks that, from an economic perspective, could have a significant economic impact on the capital position. These are identified and reviewed as part of the risk inventory, which ensures that both the normative and economic perspectives of risks are uniformly and consistently monitored.

Stress testing

To produce an in-depth, forward-looking analysis of normative and economic capital adequacy in unexpected scenarios, risk-bearing capacity is supplemented by stress tests. Both scenario and sensitivity analyses are carried out for this purpose. The integration of different divisions in the overarching stress testing core team makes it possible to analyse varying perspectives of the BayernLB Group's risk and earnings situation simultaneously and integrate them into the stress testing in a consistent manner.

The BayernLB Group's stress-testing programme includes both a potential severe economic downturn (global economic crisis) and other market-wide and idiosyncratic scenarios. Even under the assumption of a global property crisis triggered by plunging prices, with contagion effects on other sectors then leading to a global economic crisis (given current geopolitical risks), risk-bearing capacity would be maintained at all times despite a significant increase in economic capital requirements.

The stress tests are performed consistently for both the normative and the economic perspective. Given the increasing relevance of ESG risks, climate stress tests are also performed on physical and transitory risks and incorporated into the stress-testing programme in stages. The BayernLB Group has therefore analysed in various scenarios the transitory risks arising from the transformation into a more sustainable economy and way of living. While in a short-term scenario the impact of a sharp increase in CO₂ prices, stricter energy efficiency requirements and the resulting macroeconomic risks and individual risks on the BayernLB Group were analysed, a long-term scenario (to 2050) focused on the strategic goals of portfolio decarbonisation. All relevant risk types as well as the normative and economic ICAAP perspective and the impact on the Group's liquidity situation were taken into account in this process. Although the risks must be considered in a highly differentiated manner, their overall impact is much lower than with other stress tests. No threats to risk-bearing capacity were detected in the scenarios applied.

The impact of adverse changes in risk factors both on specific risk types and across risk types is analysed using hypothetical scenarios. These have a major role in the analysis of ad hoc scenarios. They also take into account potential threat scenarios for the BayernLB Group that are triggered by external situations (e.g. a cyber attack).

Sensitivity analysis too plays a part in the comprehensive evaluation of risk-bearing capacity by increasing transparency with regard to the impact of potential changes in individual risk factors (such as the implications of changes in interest rates).

Inverse stress tests are conducted at BayernLB Group level as an integral element of the stress-testing programme. Contrary to the logic of conventional stress tests, scenarios that could potentially jeopardise the continued existence of the BayernLB Group's current business model are identified using a retrograde procedure. Inverse stress tests are conducted for both individual risk types and across all risk types.

Current situation

The table below shows year-on-year changes in risk capital requirements at the BayernLB Group and BayernLB (confidence level 99.90 percent).

Risk capital requirements in the BayernLB Group

EUR million	31 Dec 2023	31 Dec 2022
Credit risk	1,771	1,650
Market risk	1,782	1,833
Pension basis risk	278	140
Operational risk	480	438
Risk associated with equity interests	106	121
Business and strategic risk (includes reputational risk)	93	108
Liquidity cost risk	25	26
Total	4,535	4,316

Risk capital requirements at BayernLB

EUR million	31 Dec 2023	31 Dec 2022
Credit risk	1,256	1,202
Market risk	500	951
Pension basis risk	276	139
Operational risk	302	295
Risk associated with equity interests	54	77
Business and strategic risk (includes reputational risk)	375	368
Liquidity cost risk	25	26
From capital provided within the BayernLB Group	610	466
Total	3,398	3,524

The BayernLB Group had adequate risk-bearing capacity at all times, as the provision of economic capital was solid.

With regard to market risk, there were no material changes in economic risk capital requirements at Group level, although there were shifts between BayernLB and DKB. The decline in market risk at BayernLB was the result of a fall in market volatility over the course of the year and shifts in the multi-employer trust/CTA plan assets. However, the risk capital requirements for market risks at DKB rose due to high inflows of deposits in the second half of the year.

The increase in pension basis risk was largely the outcome of the change in the payscale trend. Due to the relatively steep increase in the payscale trend, the Bank adjusted the risk parametrisation for the model in October, leading to a major jump in risk.

The higher risk capital requirements for risks from capital provision within the BayernLB Group were principally due to intragroup funding activities to strengthen DKB's MREL ratio.

The BayernLB Group's economic capital was EUR 12.7 billion (FY 2022: EUR 11.6 billion), while BayernLB's was EUR 9.2 billion (FY 2022: EUR 9.1 billion).

As at 31 December 2023, EUR 10.1 billion of the economic capital, including allocation reserves, was set as the maximum risk appetite (FY 2022: EUR 7.8 billion), of which EUR 8.0 billion (FY 2022: EUR 6.9 billion) was allocated as limits to the individual risk types. The increase was the result of the temporary increase in the market risk limit in response to the inflows of deposits to DKB in the second half of 2023. At BayernLB Bank the maximum risk appetite was EUR 5.6 billion (FY 2022: EUR 5.6 billion), of which EUR 5.4 billion (FY 2022: 5.4 billion) was allocated to the individual risk types.

Recovery plan

The BayernLB Group has a recovery plan in place, in accordance with the German Recovery and Resolution Act (Sanierungs- und Abwicklungsgesetz (SAG)) and the Minimum Requirements for the Design of Recovery Plans (Mindestanforderungen an die Ausgestaltung von Sanierungsplänen (MaSan)), and as required by the supervisory authorities. This sets out the options open to the BayernLB Group to ensure it has sufficient capital and liquidity even in situations of financial stress. Thresholds for one and two-stage indicators are continuously monitored so that early action can be taken to ensure solvency. The status of these indicators is reported to the Board of Management monthly and to the Risk Committee of the Supervisory Board quarterly in the internal risk reporting.

As with the previous year, the 2023 recovery plan simulated four stress scenarios. Besides an idiosyncratic and global scenario, the Bank included a combination scenario of idiosyncratic and market-wide events and a market-wide scenario relating to the current crisis on the real estate market. The Bank has already taken account of the requirements in the new EBA guidelines on overall recovery capacity in recovery planning (EBA/GL/2023/06). It also revised the indicator system, especially with regard to adjusting threshold values. The thresholds for the one and two-stage recovery indicators in the recovery plan, which are set mainly at Group level and are based on the German Recovery and Resolution Act (SAG) and Minimum Requirements for the Design of Recovery Plans (MaSan), all have the status green.

Resolution plan

In EU Regulation No. 806/2014 on a uniform Single Resolution Mechanism (SRM Regulation) and the German Recovery and Resolution Act (Sanierungs- und Abwicklungsgesetz (SAG)), lawmakers directed resolution authorities at European and national level to maintain resolution plans for banks that can be activated in an emergency to avert threats to the financial system, where possible without the need for public money.

Since 2016 the Single Resolution Board (SRB) in Brussels, which works closely together with the national resolution authorities (in Germany's case the Federal Financial Supervisory Authority (BaFin)), has been responsible for the preparation of resolution plans and decisions in connection with the resolution of all institutions directly supervised by the ECB. A group resolution plan has been drawn up for institutions which, like BayernLB, are subject to supervision at consolidated level.

In accordance with its statutory obligations under Section 42 para. 1 SAG, BayernLB once again assisted the responsible resolution authority in the financial year in making further improvements to a resolution plan for the BayernLB Group and taking precautions to ensure its resolvability in compliance with the preferred resolution strategies determined by the authorities.

In respect of the MREL requirements to be complied with at DKB level as from 1 January 2024, MREL instruments (iMREL) were issued over the course of 2023 and purchased by BayernLB.

Credit risk

Definition

BayernLB defines credit risk as the risk of losses (in value) from any transaction giving rise to an actual, possible or contingent claim by the Bank against a borrower, counterparty, obligor or issuer (hereinafter referred to as “borrower” for simplicity’s sake), provided that these losses (in value) result from a default or change in the borrower’s credit rating (migration risks) and/or from a change in the value of collateral provided.

In particular, credit risk also includes the country risk borne of country-specific circumstances (e.g. political or economic crises, or currency restrictions). A distinction is made between transfer risk and country risk in the sense of a credit event caused by the country itself. Transfer risk is the risk of a loss occurring if, due to government transfer restrictions, a borrower is unable to meet its obligations in a foreign currency or the institution is unable to access an amount paid. Country risk as a credit event risk is the risk of a loss resulting from macroeconomic or (socio)political events in a country, in particular as the result of a crisis arising from parallel changes in credit ratings (including a default) of those borrowers that are attributable to that country from a risk perspective.

Organisation

The credit approval process at BayernLB consists of several stages. The Competence Regulations define the authority of the different competence holders based on the loan volume to be approved, the business area it is allocated to and the rating classification.

The decision-making process at DKB is similarly organised. In addition, members of BayernLB's Board of Management sit on DKB's Supervisory Board and its committees.

The Group Risk Control Division is responsible for measuring and monitoring credit risks.

Strategy

The Credit Risk Strategy – which forms part of the comprehensive Risk Strategy – is set by the Board of Management for BayernLB and the BayernLB Group, taking account of risk-bearing capacity considerations.

Measurement

Classification procedure

In accordance with the Internal Ratings-Based approach (IRBA), the BayernLB Group mainly uses rating procedures that are approved by the supervisory authorities. To maintain and refine the rating procedures, BayernLB works chiefly with RSU GmbH & Co. KG, Munich, and Sparkassen Rating und Risikosysteme GmbH, Berlin. All rating procedures are subject to regular validation. Validation includes both quantitative and qualitative analyses of the rating factors and the overall models. The accuracy and calibration of the procedures, and the data quality and the design of the models, are examined using statistical and qualitative analyses and user feedback from daily application. The procedures are regularly modified where necessary.

Due to new supervisory requirements, it was decided in 2020 that in future the parameters probability of default (PD), loss given default (LGD) and credit conversion factor (CCF) will be estimated without a margin of conservatism (best estimate) and that the margin of conservatism will be disclosed separately. This was first implemented in 2020 for the parameters LGD and CCF, as the supervisory review and approval for the parameter PD is currently awaited or pending due to BayernLB's IRBA status. The implementation for the parameter PD took place in 2023 for the project financing and the international commercial real estate rating procedures. The timeframe for full implementation will depend on the supervisory approval processes.

Exposure at default

Exposure at default is the expected claim amount taking account of a potential (partial) draw-down of unutilised lines and contingent liabilities that would negatively impact risk-bearing capacity in the event of a default. For trading transactions, the current fair value is taken as the basis. Any replacement risks are taken account of by means of a premium for future increases in value.

Collateral valuation and loss ratios

The fair value is taken as the starting point for collateral valuation. It is reviewed on both a scheduled and ad hoc basis and adjusted whenever there is a change in valuation-relevant parameters. Based on this individual collateral valuation, the Bank estimates the size of the loss given default for the collateralised portion of a receivable based on the liquidation value determined using models for realisation ratios (average expected proceeds from the realisation of collateral). The Bank calculates the size of the loss for the unsecured portion of the receivable (unsecured loss given default) using the customer segment-specific models. These models are likewise updated and refined mainly in partnership with RSU GmbH & Co. KG, Munich, and using pooled data and internal loss data. All models are regularly validated and checked for their representativeness.

Expected loss

Expected loss per transaction/per borrower is a (risk) ratio which not only takes account of the expected amount of the receivable at the time of default but also the customer's credit rating/assigned probability of default and the estimate of losses upon default. When reviewing a portfolio this ratio can be used as an indicator of its expected risk level.

Furthermore, expected losses are used as a basis for determining standard risk costs and are considered when calculating loss allowances for transactions on and off the balance sheet under IFRS 9 and HGB.

Risk capital requirements

The BayernLB Group calculates risk capital requirements using a simulated credit portfolio model which quantifies default and migration risks as well as the uncertainty in determining loss ratios on a one-year horizon with a confidence level of 99.90 percent. Dependencies among borrowers in the portfolio and risk concentrations are quantified using a country and sector-specific model and through idiosyncratic dependencies (e.g. Group interdependencies). Settlement risks and defaulted positions are additionally taken into account. The risk contributions of individual business partners to the risk capital requirements of the whole portfolio are calculated for risk analysis purposes.

BayernLB manages risk capital requirements using appropriate limits at Group and individual institution levels. This also includes the credit risks of the positions that are built up in connection with the contractual trust arrangement (CTA) to secure risks from pension obligations in the BayernLB Group. In addition, the Bank regularly calculates risk sensitivities with regard to relevant

input parameters (especially default probabilities, loss ratios and dependencies) and supplements them with various stress tests.

Monitoring

The following instruments are used for monitoring and limiting credit risks at the BayernLB Group:

Early risk identification

The aim of the early warning system is to identify negative changes in the risk profile of a business partner at an early stage so as to be able to undertake suitable measures in good time to reduce the risk. To achieve this objective, a list of various risk signals has been established to give an early indication of a deterioration in risk.

The risk signals in the early warning system fall under quantitative signals (e.g. based on market price information about business partners or exposure data from feeder systems) or qualitative signals, which are based on the expert opinion of relationship managers and analysts.

Under the defined, system-driven early warning process the analysts responsible react promptly and appropriately to indicated deteriorations in risk and, if necessary, take measures and input them in the early warning system. As part of this process, the business partner's form of support is reviewed and modified, if necessary.

Credit risk limits for borrowers and borrower units

In keeping with MaRisk, credit risks at borrower and borrower unit level are monitored daily using a limit system. BayernLB and DKB each conduct their own monitoring. The monitoring takes account of various transaction features using different credit limit types (e.g. issuer risk limit). Where the limits within the BayernLB Group add up to at least EUR 400 million per economic borrower unit, a Group-wide limit (Group limit) is required. BayernLB's Group Risk Control Division monitors the Group limit centrally. To limit risk concentrations, the maximum gross credit volume for each economic borrower unit is limited to EUR 400 million Group-wide. The Board of Management or the Risk Committee of BayernLB's Supervisory Board may approve exceptions to this limit in well-founded individual cases (e.g. for reasons having to do with good credit rating, profitability or strategy). These customers are listed individually in the quarterly internal risk report, along with their Group limit and gross credit volume.

Sector and country limits

To manage risk concentrations, limits are set for sectors and countries. Sector and country limits apply Group-wide. Limits are set on gross credit volumes and, in some cases, also on the net credit volume for specific countries. Limits are set by BayernLB's Board of Management or can be delegated by it, based in part on an analysis of the sector, country and portfolio structure – and prepared with a vote taken under the lead of the Credit Risk Management Division. In addition to sector and country limits, additional specific portfolio thresholds and individual transaction terms and conditions can be set to safeguard portfolio quality; these are approved by the Board of Management or according to applicable delegation regulations. Sector and country limits and

portfolio thresholds are monitored centrally by BayernLB's Group Risk Control Division. Compliance with the individual transaction terms and conditions is reviewed in the course of the approval process. Sector and country strategies are reviewed annually. Irrespective of this, strategies can be changed as events arise.

Collateral

Another key way in which risks are limited is by accepting the customary types of bank collateral and valuing them on an ongoing basis. When deciding what collateral is needed, particular account is taken of the type of financing, the borrower's available assets, their value and liquidity and whether the relative costs are reasonable (costs of acceptance and ongoing valuation).

Collateral is processed and valued in accordance with the relevant guidelines, which set out the procedures for valuing the collateral, any discounts to be applied, and how often the valuation must be reviewed. Net risk positions are calculated on the basis of the liquidation value of the collateral.

As part of its IRBA approval, the supervisory authority has granted BayernLB approval to lower its regulatory capital requirements through the use of real estate liens, ship mortgages, registered liens on aircraft, guarantees, financial collateral in the form of securities, cash deposits and credit derivatives.

In derivatives trading, the practice is often to conclude master agreements for the purposes of close-out netting. Furthermore, in many cases there are collateral agreements restricting the current default risk to an agreed maximum and authorising a call for additional collateral should this limit be exceeded. Limits are imposed as part of the generally applicable limitation process for credit risk.

Intensive support, restructuring and workout, and forbearance

Problem exposures are any exposures that require special attention due to their elevated risk situation, i.e. categorised as requiring intensive support or restructuring and workout.

By initiating suitable measures at an early stage as part of an intensive support or restructuring and workout, BayernLB aims to prevent or minimise potential losses.

Within the Credit Risk Management Division at BayernLB, two Credit Consulting departments are responsible for handling problem loans and therefore act as an independent workout unit as defined in the regulatory requirements. At DKB this function is performed by the institution's own Credit Consulting Division.

Forbearance measures are approved as part of restructuring and workout. All exposures where forbearance measures have been agreed are designated as forborne exposures. Such measures aim to enable the borrower to regain the ability to repay their loan or to minimise potential losses. Forbearance measures exist in all cases where concessions have been granted to a borrower in financial difficulties in the form of refinancing/restructuring and/or a modification of the original terms and conditions of the loan agreement (e.g. through a deferral, waiver or standstill agreement).

Exposures cease to be reported as forborne if all of the relevant supervisory criteria are met.

Quantitative data on forborne exposures is shown as renegotiated credits in the "Portfolio overview in accordance with IFRS 7.34 a (management approach)" section.

Risk provisions

Where necessary, due account has been taken of the risks in the credit business through risk provisions. Refer to the default risk section of the notes for details on how risk provisions are calculated.

ESG risks

ESG risks are already factored into various features of the credit risk management process, including the credit approval process, the internal stress test, the risk reports and the risk inventory.

BayernLB analysed and evaluated the potential impact of physical and transitory risks in the risk inventory from a qualitative perspective. For the transitory risks, BayernLB conducted a stress test which observed normative, economic and short and long-term perspectives.

It also intensively analysed and evaluated the transmission channels for the climate and environmental risks in the risk inventory. Over 130 transmission channels were observed for various risks and sub-portfolios, with primarily minor impacts being ascertained. Most of the risks deemed transitory related to political measures. For example, legal requirements or a tightening of CO₂ targets and CO₂ prices might result in increased risks for the Corporates sub-portfolio. Or the Real Estate sub-portfolio may be affected by energy efficiency guidelines. Risks from changes in consumer and/or investor behaviour may also become relevant. By contrast, technological progress would be considered more of an opportunity rather than a risk driver. Physical risks are mainly regarded as related to natural disasters.

The credit approval process includes an analysis of ESG risks in an internal ESG assessment (ESGA), which normally covers all of BayernLB's borrowers. Savings banks, S-Plafond, banks/insurers, regional authorities and non-profit organisations are some of the entities that are excluded. The ESG assessment is carried out for all business partners – that is, all natural persons or legal entities that are party to a credit transaction. These rules do not apply, however, to customers with a default rating of 24.⁵⁷

The ESGA consists of three modules: the ESG risk module, the ESG impact model and the ESG reputational risk module. The ESG risk module of the ESG assessment supports the Sales and Risk Office in their detailed assessment of ESG risks associated with a given business partner. The first step here is to analyse the exposure of the borrower and their business model. As part of the ESG risk module, a distinction is made between three categories that can have an impact on a customer's default risk, creditworthiness and ability to service their debt:

- Environmental/climate risks, which can be broken down further into physical and transitory risks of climate change
- Social risks arising from a disregard for employees or suppliers, as perceived in particular by stakeholders, e.g. violations of human or labour-law rights
- Governance risks arising from deficiencies in a company's structures, policies or processes relating to management functions and their monitoring. These include, for example, corruption and bribery, antitrust violations and balance sheet manipulation.

⁵⁷ The ESG risk assessment is typically carried out at limit entity level ("LimE") – a prudent approach, as business strategy and risk management tend to be homogeneous within a given group. This means that the ESG risk assessment will, as a rule, apply to all business partners subsumed into the LimE. Should the estimated ESG score for the LimE and that for one of its LimE members (i.e. as an individual borrower) differ drastically, or should the group's structure not lend itself to being assessed at this level (e.g. because the transaction involves non-recourse financing or project financing), then the LimE member must be ESG-rated in and of itself.

The analysis findings provide the basis for assessing the customer's ESG risk management and for determining mitigating measures and their effectiveness. The ESGA enables sustainability risks and the positive impact of financing on the achievement of climate and sustainability goals in the portfolio to be identified at an advanced level.

BayernLabo uses the ESG impact module in the BayernLB ESG assessment to assess sustainability opportunities in individual programmes. This ties both environmental sustainability and social equity through the creation of affordable housing for low to moderate-income households to public services of general interest. As regards the ESG Basic and ESG Plus categories, BayernLabo uses the criteria defined by BayernLB analogously. For an appropriate and risk-adjusted representation of the ESG risks arising from BayernLabo's lending business, a process was created to assess the exposures classified as risk-relevant in BayernLabo's own liabilities, based on a procedure established at BayernLB which uses the ESG risk module of the ESG assessment. The resulting findings will be integrated into relevant reports in the future.

DKB takes a portfolio approach when assessing ESG risks. The portfolio is assessed in the categories of low, medium and high ESG risk.

The basis for managing current and future business activities designed for a sustainable economy is the ESG assessment. In addition to sustainability risks, this also records and evaluates sustainability opportunities (impact) using the labels ESG Basic and ESG Plus. A classification to the ESG Basic category is based on the predominant sustainable business purpose of the company in question or directly from the financed measure (e.g. sustainability-linked products), provided that there is no earmarking. Earmarked financing is classified as ESG Basic if it contributes to selected overarching environmental or social objectives or sub-goals and thus embodies a qualitative contribution. If a financing additionally meets the criteria of the EU taxonomy (technical standards (EU) alignment), it is to be classified as ESG Plus and thus embodies a quantitative contribution. Since September 2022, ESG-specific information has been an integral part of the internal Group risk report, which is submitted to the Board of Management and the Risk Committee of the Supervisory Board each quarter. The focus is on the ESG risk assessment of BayernLB and DKB borrowers (ESG risk module) and their future performance.

Both the risk assessments (ESG risk module) and sustainability benefits of the financing (ESG impact module) are integrated in the sector portfolio reports as well. With all ESG tools now available, qualitative and quantitative statements on ESG criteria are now included in all sector portfolio reports.

The assessment of reputational risks in the context of ESG is now a firm part of the ESG assessment (RepRisk module). Each business transaction is reviewed for ecological risks (e.g. high levels of air pollution, high levels of waste generation, CO₂ emissions and high levels of water consumption; the destruction of biodiversity) and negative societal and/or social risks posed by the business activities of a customer or project (e.g. due to inadequate product safety, poor working conditions, human rights violations or adverse impacts on the local population).

Current situation

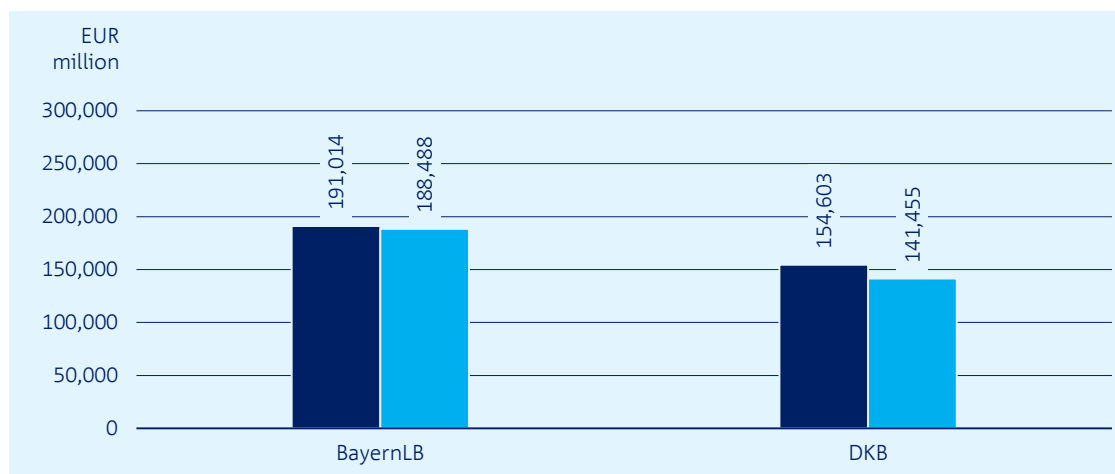
The following presentation of credit risk is based on the figures used for internal reporting to the Board of Management and the Risk Committee of the Supervisory Board (management approach). The figures are, in turn, based on an economic perspective and therefore deviate in some aspects from the rules applicable for accounting purposes (e.g. undrawn internal, externally unavailable current account limits are taken into account).

Portfolio overview in accordance with IFRS 7.34 a (management approach)

The figures for the management approach include BayernLB and DKB.

Compared with 31 December 2022, the BayernLB Group's gross credit volume (GEX)⁵⁸ as at 31 December 2023 rose by EUR 15.7 billion or 4.8 percent to EUR 345.6 billion. It was distributed between BayernLB and DKB as follows:

Gross credit volume by Group unit



■ Total as at 31 Dec 2023: EUR 345,617 million
 ■ Total as at 31 Dec 2022: EUR 329,943 million

⁵⁸ Gross credit volume for credit transactions comprises the gross lending volume – drawdowns plus unutilised commitments – and undrawn overdraft facilities. The gross volume is calculated from fair values, in the case of trading transactions, and, in the case of derivatives transactions, from potential future exposure, with a confidence level of 95 percent.

A key driver of the rise in the gross credit volume was the significant increase in liquidity investments held at the Deutsche Bundesbank (EUR 10.4 billion). Both BayernLB (EUR 3.4 billion) and DKB (EUR 7.0 billion) contributed to this. The increase at DKB was related to the significant inflows into overnight accounts during the reporting period. Excluding the major increase in liquidity investments at the Deutsche Bundesbank, the gross credit volume in the Group rose by EUR 5.3 billion.

The gross credit volume was distributed across the sub-portfolios as follows:

Gross credit volume at the BayernLB Group, BayernLB and DKB by sub-portfolio

EUR million	BayernLB Group			BayernLB		DKB	
	31 Dec 2023	31 Dec 2022	Change (in %)	31 Dec 2023	31 Dec 2022	31 Dec 2023	31 Dec 2022
Countries/Public Sector/ Non-Profit Organisations	106,240	94,999		50,723	48,342	55,517	46,658
Corporates	78,448	76,355		51,347	51,589	27,101	24,766
Commercial Real Estate	66,374	66,992		32,080	32,972	34,294	34,020
Financial Institutions	55,907	54,257		53,630	52,357	2,277	1,900
Retail/Other	38,649	37,339		3,235	3,228	35,414	34,111
Of which Retail	38,545	37,252		3,131	3,141	35,414	34,111
Total	345,617	329,943		191,014	188,488	154,603	141,455

Owing to the fact that most of the credit business is collateralised, there are differences between gross and net credit volumes.⁵⁹ This can be seen in the following table, which shows net credit volumes by sub-portfolio:

⁵⁹ Net credit volume is calculated as gross credit volume less the value of collateral.

Net credit volume at the BayernLB Group, BayernLB and DKB by sub-portfolio

EUR million	BayernLB Group			BayernLB		DKB	
	31 Dec 2023	31 Dec 2022	Change (in %)	31 Dec 2023	31 Dec 2022	31 Dec 2023	31 Dec 2022
Countries/Public Sector/ Non-Profit Organisations	103,149	92,074		48,356	45,997	54,793	46,078
Corporates	66,112	63,877		42,856	42,710	23,256	21,168
Commercial Real Estate	14,246	16,564		7,801	8,846	6,445	7,718
Financial Institutions	53,368	51,601		51,188	49,800	2,180	1,800
Retail/Other	23,849	24,241		259	259	23,590	23,982
Of which Retail	23,750	24,155		160	173	23,590	23,982
Total	260,725	248,358		150,461	147,612	110,264	100,746

With regard to the increase in the Countries/Public Sector/Non-Profit Organisations sub-portfolio (EUR 11.2 billion), refer to the explanations at the beginning on the changes in overall credit volume. The Corporates (EUR 2.1 billion), Financial Institutions (EUR 1.6 billion) and Retail/Other (EUR 1.3 billion) sub-portfolios also each posted increases in gross credit volume, with the rise in the Corporates sub-portfolio mainly taking place in the important target sector of energy (EUR 2.8 billion). The Commercial Real Estate sub-portfolio includes all the BayernLB Group's business with commercial real estate customers, which mainly comprises financing in the residential sector (GEX: EUR 40.0 billion or 60.2 percent) and in the commercial segment (GEX: EUR 26.4 billion or 39.8 percent). In contrast, residential real estate financing for retail customers is allocated to the Retail/Other sub-portfolio as residential construction financing. In the Commercial Real Estate sub-portfolio, gross credit volumes in the reporting period went down slightly (EUR 0.6 billion), bucking the trend of the past few years. This was due to the difficult situation on global real estate markets as a result of the global pivot in interest rates and related plunge in transaction volumes. But not all regions and asset classes were equally affected, so it is necessary here to differentiate. Whereas the coronavirus crisis took a heavy toll on retail and the hotel sector, office real estate and commercial project development were now being most heavily hit. The crisis affecting the US office property market was much more severe and widespread than in places like Germany or France.

The sharp rise in unsecured liquidity investments at the Deutsche Bundesbank in particular led to a significant increase of EUR 12.4 billion in net credit volume.

The collateral volume in the Group grew by EUR 3.5 billion to EUR 84.9 billion. This change was mainly the result of a higher volume of real estate liens (EUR 3.4 billion), which was largely due to the traditionally highly collateralised Commercial Real Estate sub-portfolio and residential construction financing in DKB's Retail/Other sub-portfolio. The volume of credit derivatives also rose in the reporting period (EUR 0.4 billion). This was offset by a small fall of EUR 0.5 billion to EUR 20.3 billion in debt undertakings. In the other types of collateral, there was a modest change in the volume of collateral in the reporting period.

Despite the higher collateral volume over the reporting period, the BayernLB Group's collateral ratio went back down slightly from 24.7 percent to 24.6 percent owing to the increase in unsecured exposures at the Deutsche Bundesbank.

Breakdown by rating

The following tables show the gross credit volume at the BayernLB Group by rating category and sub-portfolio.

Gross credit volume by rating category

31 Dec 2023							
Rating categories	MR	MR	MR	MR	MR	MR	
(EUR million)	0-7	8-11	12-14	15-18	19-21	22-24	Total
Countries/Public Sector/ Non-Profit Organisations	103,597	1,116	907	572	31	16	106,240
Corporates	26,587	33,129	12,493	4,460	369	1,410	78,448
Commercial Real Estate	35,006	22,679	5,758	1,313	165	1,454	66,374
Financial Institutions	52,932	2,595	304	61	1	15	55,907
Retail/Other	19,399	11,473	6,189	1,040	334	214	38,649
BayernLB Group	237,520	70,993	25,650	7,447	900	3,108	345,617
Of which BayernLB	129,507	40,525	14,163	4,024	358	2,437	191,014
Of which DKB	108,012	30,468	11,488	3,423	542	670	154,603

31 Dec 2022							
Rating categories	MR	MR	MR	MR	MR	MR	
(EUR million)	0-7	8-11	12-14	15-18	19-21	22-24	Total
Countries/Public Sector/ Non-Profit Organisations	92,259	1,272	1,009	432	11	17	94,999
Corporates	24,030	35,076	11,051	4,434	289	1,476	76,355
Commercial Real Estate	34,744	24,530	6,475	567	416	260	66,992
Financial Institutions	50,809	3,101	241	52	—	54	54,257
Retail/Other	18,466	11,237	6,178	999	274	184	37,339
BayernLB Group	220,308	75,216	24,954	6,483	990	1,991	329,943
Of which BayernLB	123,436	46,153	13,464	3,656	239	1,540	188,488
Of which DKB	96,872	29,063	11,490	2,828	752	451	141,455

Gross credit volume at the BayernLB Group in the master rating (MR) categories 0-7 jumped by EUR 17.2 billion in the reporting period; the percentage share in these rating categories changed accordingly, moving from 66.8 percent to 68.7 percent. This increase was primarily attributable to the following developments: the Countries/Public Sector/Non-Profit Organisations sub-portfolio went up by EUR 11.3 billion in these rating categories, largely as a result of the increase in gross credit volume at the Deutsche Bundesbank (EUR 10.4 billion). In the Corporates (EUR 2.6 billion), Financial Institutions (EUR 2.1 billion) and Retail/Other (EUR 0.9 billion) sub-portfolios, gross credit volume in the rating categories MR 0-7 increased due to new business, but also to positive net migration from lower rating categories as a result of better ratings. In the Commercial Real Estate sub-portfolio, gross credit volume in the rating categories MR 0-7 increased slightly in the reporting period (EUR 0.3 billion), as the expansion of business with housing companies with top credit ratings and a municipal background more than offset the negative net migration as a result of worse ratings.

In the rating categories MR 8-11, gross credit volume fell back markedly by EUR 4.2 billion owing to a decline in the relative portfolio share from 22.8 percent to 20.5 percent. Corporates (EUR 1.9 billion), Commercial Real Estate (EUR 1.9 billion), Financial Institutions (EUR 0.5 billion) and Countries/Public Sector/Non-Profit Organisations (EUR 0.2 billion) contributed to this decline. Gross credit volume increased slightly during the reporting period only in the Retail/Other sub-portfolio (EUR 0.2 billion). The main reason for the low credit volume in these rating categories was negative net migration of existing business, as rating downgrades predominated in the non-investment-grade segment, especially in the Commercial Real Estate and Corporates sub-portfolios.

Overall, business volume in the investment-grade segment (MR 0-11) rose by EUR 13.0 billion. However, the investment-grade share of the Group portfolio went down slightly from 89.6 percent to 89.3 percent due to the disproportionately large increase in gross credit volume in the non-investment-grade segment, although it still remained very high.

In the non-investment grade segment, gross credit volume went up during the reporting year both in rating categories MR 12-14 (EUR 0.7 billion) and rating categories MR 15-18 (EUR 1.0 billion). Credit volume in rating categories MR 19-21 declined slightly by EUR 0.1 billion. The percentage share in these rating categories changed accordingly, moving from 7.6 percent to 7.4 percent (MR 12-14) and from 2.0 percent to 2.2 percent (MR 15-18); the share of MR 19-21 in the total volume remained unchanged at 0.3 percent. Besides some deterioration in the ratings of corporate customers, the principal driver for the changes in these rating categories was the Commercial Real Estate sub-portfolio, in which developments on the real estate markets in the reporting period led overall to negative effects in the form of deteriorating credit ratings of existing customers, especially in the office, residential property developers and retail asset classes.

The BayernLB Group's non-performing loan (NPL) ratio rose during the reporting period from 0.6 percent to 0.9 percent. While BayernLB saw a large increase from 0.8 percent to 1.3 percent, DKB posted a small rise from 0.3 percent to 0.4 percent. This development was mainly due to the Commercial Real Estate sub-portfolio, where the non-performing loan ratio leapt from 0.4 percent to 2.2 percent in the reporting period.

In summary, the BayernLB Group largely maintained good portfolio quality overall in the reporting period thanks to the very selective and risk-oriented management of new business with a focus on existing customers with good credit ratings. But overarching macroeconomic developments such as the major correction on global real estate markets in the wake of the new period of higher interest rates was clearly reflected in rating downgrades and new defaults in some sub-portfolios (especially US office properties). As a result, the investment-grade share of the portfolio edged down slightly overall; the non-performing loan ratio in the Group rose from 0.6 percent to 0.9 percent. Due to the aforementioned overall economic conditions and the situation on the real estate market, the outlook for 2024 is still highly uncertain.

Renegotiated credits

The definition of renegotiated credits (forbearance pursuant to Art. 47b CRR) remained unchanged from the previous financial year.

Current situation

The increase in renegotiated loans was mainly due to the Commercial Real Estate sub-portfolio and reflected the changed conditions in the real estate market.

From 2024, the definition of renegotiated loans (forbearance) will be broadened so that, in cases where financial difficulties in the sense of the supervisory definition arise, forborne loans too may in future be classed as being in "intensive support". This will not mean any changes to the criteria for classifying customers as being in intensive support or in restructuring and workout. As a result of these changes and the economic environment, the forborne portfolio is expected to continue growing in 2024.

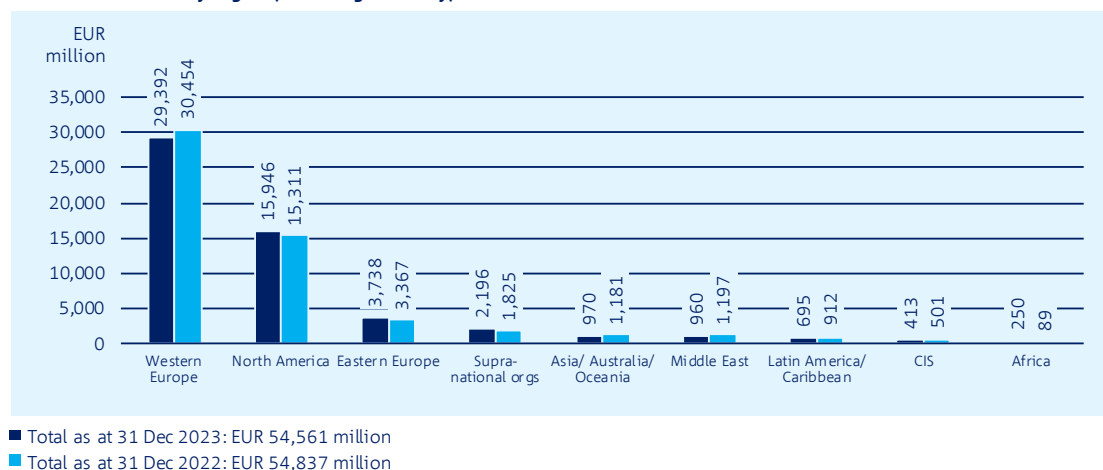
Forbearance exposures

	Renegotiated credits/deferrals		Impairments		Collateral/financial guarantees received	
EUR million	31 Dec 2023	31 Dec 2022	31 Dec 2023	31 Dec 2022	31 Dec 2023	31 Dec 2022
Loans and advances to banks	–	–	–	–	–	–
Loans and advances to customers	1,793.3	1,182.0	(409.4)	(389.7)	507.9	221.0
Financial investments	–	–	–	–	–	–
Credit commitments	121.1	135.8	(23.3)	(19.9)	3.6	3.8
BayernLB Group	1,914.3	1,317.8	(432.6)	(409.6)	511.4	224.7

Breakdown by region

The following table shows gross credit volume by region.

Gross credit volume by region (excluding Germany)



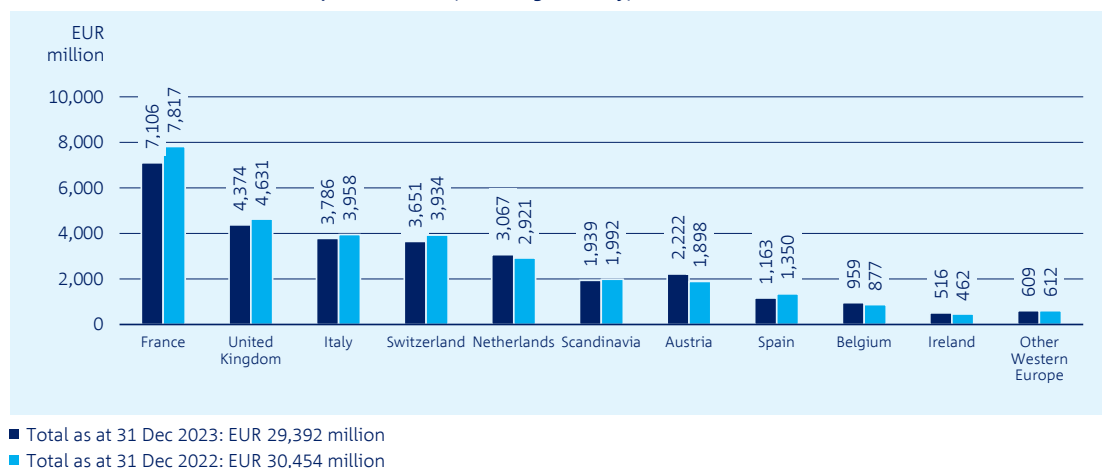
In line with the Business Strategy and the Risk Strategy, Germany accounted for a dominant share of the BayernLB Group's lending at 84.2 percent (FY 2022: 83.4 percent). BayernLB is responsible for the bulk of foreign business. Only a very small proportion of DKB's business is conducted abroad.

Gross credit volume in Germany in the Group rose by EUR 16.0 billion to EUR 291.1 billion (FY 2022: EUR 275.1 billion). This was largely due to the Countries/Public Sector/Non-Profit Organisations (EUR 11.5 billion), Financial Institutions (EUR 2.0 billion), Corporates (EUR 1.4 billion) and Retail/Other (EUR 1.3 billion) sub-portfolios, with the increase in deposits at the Deutsche Bundesbank being a major factor in the marked rise in the first of the sub-portfolios mentioned. This was offset by a slight fall in the Commercial Real Estate sub-portfolio in Germany (EUR 0.3 billion).

Outside Germany, the most significant change in gross credit volume was in the Western Europe (excluding Germany) and North America regions. In Western Europe (excluding Germany), business volumes contracted by EUR 1.1 billion or 3.5 percent. But in North America, volumes went up by EUR 0.6 billion or 4.1 percent. The changes in exposure in the other regions largely evened each other out in the reporting period.

The following table shows the BayernLB Group's gross credit volume in western European countries (excluding Germany).

Gross credit volume in western European countries (excluding Germany)



Gross credit volume in Western Europe (excluding Germany) fell in the reporting period by around EUR 1.1 billion to EUR 29.4 billion (FY 2022: EUR 30.5 billion). Business volumes went down significantly in France (EUR 0.7 billion), Switzerland (EUR 0.3 billion), the United Kingdom (EUR 0.3 billion), Spain (EUR 0.2 billion) and Italy (EUR 0.2 billion). Most of this fall in these countries took place in the countries/public-sector/non-profit organisations, technology and mobility sectors. However, modest growth was posted in Austria (EUR 0.3 billion) and the Netherlands (EUR 0.1 billion).

Gross and net credit volume in the former CIS region

EUR million	Gross		Net	
	31 Dec 2023	31 Dec 2022	31 Dec 2023	31 Dec 2022
Russia	273.7	327.2	50.7	72.2
Azerbaijan	56.2	75.5	2.8	3.7
Ukraine	66.5	72.1	7.9	4.0
Uzbekistan	8.5	14.2	0.7	1.2
Turkmenistan	6.3	7.3	0.3	0.3
Kazakhstan	1.9	3.2	1.9	3.2
Belarus	—	1.5	—	0.3
BayernLB Group	413.1	500.9	64.4	84.9

The majority of the remaining business volume in Russia and Ukraine is protected, inter alia by German Euler-Hermes export insurance. In the reporting period, the net credit volume was further reduced and the business volume in Belarus completely wound down.

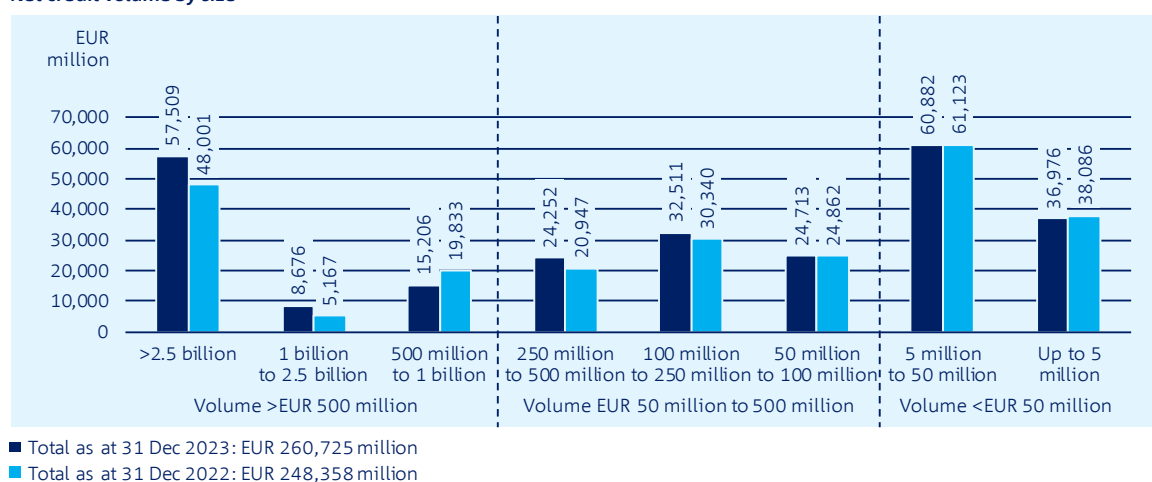
A significant proportion of business volumes in the Middle East region too are backed by collateral cover. Exposure in Israel (EUR 10 million) is largely limited to payments.

Generally speaking, country risks and risk/return ratios in lending abroad continued to be closely managed and monitored given the economic and political uncertainties in various countries.

Breakdown by size category

The following table shows net credit volume by size.

Net credit volume by size



The net credit volume with customers in the more than EUR 2.5 billion category jumped by EUR 9.5 billion to EUR 57.5 billion (FY 2022: EUR 48.0 billion), mainly as a result of an increase in deposits at the Deutsche Bundesbank (EUR 10.4 billion). This size category only contains loans and advances to German and US government entities with a first-class credit score.

Net credit volume in the more than EUR 500 million to EUR 2.5 billion category went down by EUR 1.1 billion to EUR 23.9 billion (FY 2022: EUR 25.0 billion). This was due to a big fall in the Corporates sub-portfolio (EUR 2.1 billion), with countervailing effects in the Countries/Public Sector/Non-Profit Organisations (EUR 0.5 billion) and Financial Institutions (EUR 0.4 billion) sub-portfolios partially offsetting this. These categories predominantly include savings banks, German and international banks and insurers, large DAX companies and government entities. Almost all the individual credit ratings are investment grade, predominantly in the rating categories MR 0-7 (EUR 22.8 billion) and, to a lesser extent, in the rating categories MR 8-11 (EUR 0.6 billion) and MR 12-14 (EUR 0.5 billion). The net credit volume in these size categories over the reporting period was entirely attributable to BayernLB customers.

The size category with a net credit volume of EUR 250 million to EUR 500 million posted an increase of EUR 3.3 billion to EUR 24.3 billion (FY 2022: EUR 20.9 billion) in the reporting period, which was, however, also due to changes in business volumes with existing customers and a corresponding shift from higher and lower size categories. The Corporates (EUR 1.4 billion), Financial Institutions (EUR 1.3 billion) and Countries/Public Sector/Non-Profit Organisations

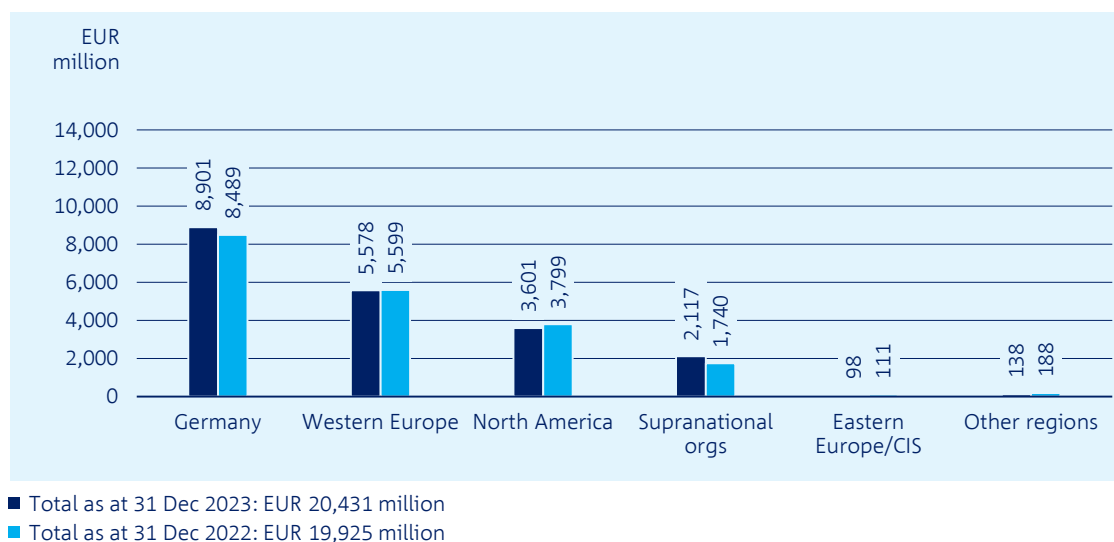
(EUR 0.6 billion) sub-portfolios contributed to the increase in net credit volume in this size category.

Portfolio granularity went down slightly in the reporting period. Although the net credit volume in the up to EUR 250 million categories rose only slightly to EUR 155.1 billion as at the reporting date (FY 2022: EUR 154.4 billion), the percentage share in these size categories contracted to 59.5 percent (FY 2022: 62.2 percent) due to the jump in net credit volume as a result of the significantly increased exposure to the Deutsche Bundesbank in the overall portfolio.

Issuer risk

The following table shows gross issuer risk by region within the BayernLB Group.

Gross issuer risk by region

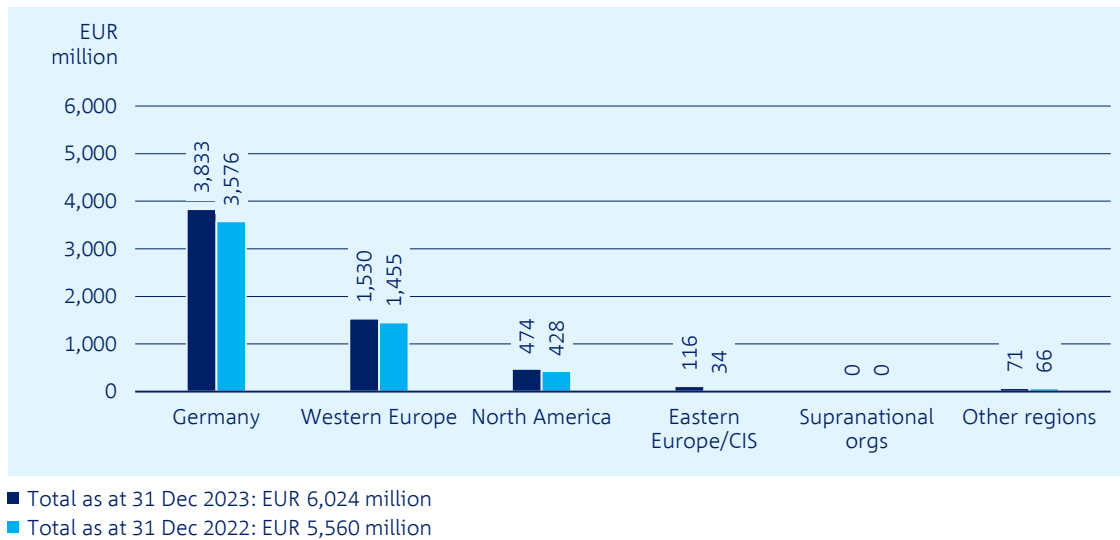


Gross issuer risk rose by around EUR 0.5 billion to EUR 20.4 billion (FY 2022: EUR 19.9 billion) during the reporting period, which is largely attributable to Germany (EUR 0.4 billion) and supranational organisations (EUR 0.4 billion). In contrast, gross issuer risk in North America declined slightly (EUR 0.2 billion). This slight increase in gross issuer risk of 2.5 percent is in line with the normal management of the portfolio.

Replacement risk

The following table shows the BayernLB Group's gross replacement risk by region.

Gross replacement risk by region



Gross replacement risk volume rose in the reporting period by EUR 0.5 billion to EUR 6.0 billion (FY 2022: EUR 5.6 billion). This development occurred partly in connection with elevated market volatility and was attributable mostly to Germany (EUR 0.3 billion) and Western Europe (EUR 0.1 billion), with the United Kingdom (EUR 0.1 billion) the biggest factor.

Countries/Public Sector/Non-Profit Organisations sub-portfolio

Gross credit volume in the Countries/Public Sector/Non-Profit Organisations sub-portfolio rose significantly by EUR 11.2 billion or 11.8 percent to EUR 106.2 billion (31 December 2022: EUR 95.0 billion). Gross credit volume at BayernLB rose by EUR 2.4 billion to EUR 50.7 billion in the reporting period, with a key driver in the sub-portfolio being DKB with volumes rising by EUR 8.9 billion to EUR 55.5 billion. The increase at DKB was largely the result of a major increase of EUR 7.0 billion to EUR 31.1 billion in the position at the Deutsche Bundesbank, itself related to the marked inflows brought in by the 3.5 percent p.a. overnight deposit promotion in the retail customer segment. In addition, DKB's business volumes with the German public sector went up by around EUR 1.3 billion and with foreign and supranational counterparties by EUR 0.5 billion.

The change in the gross credit volume at BayernLB was largely the result of the following movements. The business volume with the Deutsche Bundesbank rose by EUR 3.4 billion to EUR 19.9 billion. In addition, the credit volume with German municipalities and public-sector special-purpose associations also increased (EUR 0.5 billion).

Transactions with German state governments (EUR 0.7 billion) and foreign countries (EUR 0.4 billion) were, however, down in the reporting period. In addition, the early winding down of the UK LOBO portfolios was completed in full (EUR 0.6 billion).

The central bank positions held by BayernLB and DKB are primarily for the purpose of managing liquidity and are therefore subject to considerable fluctuations in value between reporting dates.

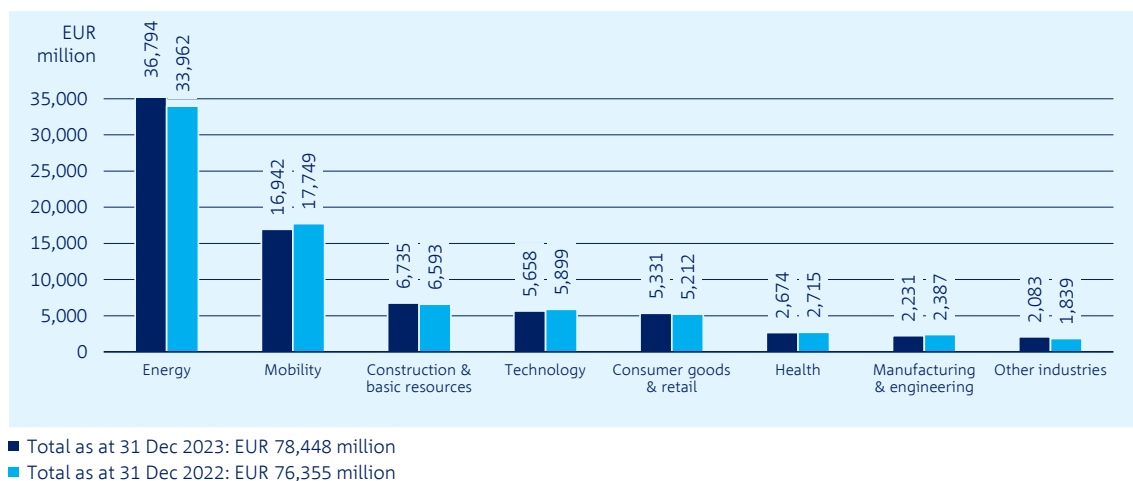
The investment-grade share in the Countries/Public Sector/Non-Profit Organisations sub-portfolio remained virtually constant at a very high 98.6 percent as at the reporting date (FY 2022: 98.5 percent).

Corporates sub-portfolio

Once again, calendar year 2023 was full of significant challenges for the Corporates sub-portfolio, which partly manifested themselves in the form of a moderate recession and negative GDP growth of 0.3 percent⁶⁰ in Germany in the reporting period. Although the situation normalised to some degree on the energy market and with regard to supply bottlenecks, the recession, persistently high inflation and tougher financing conditions owing to a global rise in interest rates created a challenging environment for many companies. However, the sub-portfolio's risk profile was still good, which was due in large measure to the very selective and risk-oriented management of new business, focusing on existing investment-grade customers in the target sectors. The business volume in the Corporates sub-portfolio grew to EUR 78.4 billion (FY 2022: EUR 76.4 billion) through expansion of business, particularly in the target sector of energy.

⁶⁰ See German Federal Statistical Office 2024, https://www.destatis.de/DE/Presse/Pressemitteilungen/2024/01/PD24_019_811.html.

Sector breakdown within the Corporates sub-portfolio



The following four sectors, which are examined in more detail below, accounted for the majority of the changes in business volume.

Gross credit volume in energy, the largest and most important sector strategically, jumped by EUR 2.8 billion or 8.3 percent to EUR 36.8 billion. Financing for grid operators and utilities (EUR 0.6 billion) and for renewable energy (EUR 2.3 billion) contributed to the growth of the sector. In line with strategy, renewable energies, such as solar and wind farms, continue to form the main focus of the portfolio, accounting for a proportion of 55.6 percent (FY 2022: 53.6 percent). At 60.5 percent (FY 2022: 58.9 percent), DKB's share of the energy sector remained above average, especially due to a high share of German wind and PV financing in the renewable energy sub-sector. The majority of these transactions are structured as project financings that benefit to a large degree from long-term, legally guaranteed feed-in tariffs under German law.

In addition to renewable energy, traditional corporate financing for grid operators and utilities remains a key component within the sector. The portfolio is distributed in a granular fashion across customers from all stages of the sector's value chain, from the generation, transmission and distribution of electricity to integrated energy utilities and municipal utilities, with DKB accounting for a significant share.

At 87.4 percent (FY 2022: 89.6 percent), the majority of the financing volume in the energy sector was still in Western Europe, with Germany accounting for 75.2 percent (FY 2022: 76.6 percent). The shares contracted slightly in each case, as significant growth was achieved in the North America (EUR 0.8 billion) and Eastern Europe (EUR 0.4 billion) regions in the reporting period. The investment-grade share fell slightly to 77.4 percent in the reporting year (FY 2022: 78.6 percent). This was driven in particular by disproportionately high growth in the renewable energy sector with a focus on project financing in which the average credit ratings of the financings were lower than those of corporate financing in the grid operators & utilities sector.

A drop in gross credit volume took place in the target sector of mobility, which in the rail & bus, aviation & space, ships and automotive & logistics sub-sectors covers the full value chain, including vehicle manufacturers, suppliers, transportation companies and leasing companies. Business volumes fell by EUR 0.8 billion to EUR 16.9 billion due to selective new business management in

the sector, which is highly sensitive to the state of the economy, with the decline attributable to BayernLB, which continues to account for the lion's share of the portfolio at 92.5 percent (FY 2022: 93.1 percent). All sub-sectors contributed to the decline in gross credit volume with aviation & space, ships at EUR 0.4 billion, automotive & logistics at EUR 0.2 billion and rail & bus at EUR 0.2 billion. The total volume was still divided almost equally between three sub-sectors: rail & bus (34.8 percent), automotive & logistics (33.2 percent) and aviation & space, ships (32.0 percent).

In the innovation-driven technology sector with its electric technology, IT and telecommunications sub-sectors, gross business volume went down by EUR 0.2 billion to EUR 5.7 billion in the reporting year. As the gross credit volume at both institutions shrunk slightly, BayernLB's share of the technology sector was almost unchanged at 95.1 percent (FY 2022: 94.9 percent).

In the other industries sector, selective business expansion took place in the reporting period with existing solid investment-grade customers, particularly in the chemicals sub-sector, so that the gross credit volume in the other industries sector increased marginally overall by EUR 0.2 billion to EUR 2.1 billion. The investment-grade share rose significantly to 86.9 percent in the reporting year (FY 2022: 80.9 percent). The other industries sector was almost wholly accounted for by BayernLB, with DKB's share remaining at a very low 1.1 percent (FY 2022: 1.9 percent).

Due to the challenging macroeconomic situation, the investment-grade share in the Corporates sub-portfolio went down slightly to 76.1 percent (FY 2022: 77.4 percent). The German domestic market, which is key for the BayernLB Group, continued to drive the Corporates sub-portfolio, with a high share of 74.5 percent (FY 2022: 74.7 percent).

The high granularity of the sub-portfolio was largely maintained. The proportion of customers with a gross credit volume of less than EUR 50 million edged back down to 48.0 percent (FY 2022: 48.9 percent).

When the ESG risks associated with new and existing corporate customers were evaluated using the ESG assessment tool developed in house, a very large increase in the coverage ratio was achieved. Most customers had low ESG risks. Material ESG risks were mainly identified in the manufacturing & engineering, mobility, and consumer goods & retail sectors of the Corporates sub-portfolio; but they were at a low level overall.

Commercial Real Estate sub-portfolio

Overall, the situation on the real estate markets continued to deteriorate to a marked degree in the reporting period. But not all regions and asset classes were equally affected, so it is necessary here to differentiate. Whereas the coronavirus crisis took a heavy toll on retail and the hotel sector, office real estate and commercial project development in the residential sector were now being the hardest hit. Besides the impact of the interest rate pivot – which had affected all real estate asset classes – there was a high level of uncertainty about basic levels of demand for office space, particularly in the office property sector given the trend towards remote working, which cannot be fully assessed yet, and the continuing gloomy economic situation. The very scarce supply of new office space, especially in the major urban areas in Germany, counteracted the fall in demand and prevented prices from falling even further. In addition, the crisis affecting the US office property market was much deeper and far-reaching than in Germany. However, office property prices are anticipated to fall further in Germany too in 2024.

Owing to the surge in interest rates since mid-2022, the transaction market almost ground to a halt. In this environment, sales prices and general demand in the commercial project development area and in the residential property development area also imploded, already leading to a number of insolvencies in the reporting period. Because the market environment remains challenging, falling prices are initially a realistic possibility in 2024 too.

At the same time, the environment for bricks-and-mortar retail worsened. According to the German Federal Statistical Office, sales in the German bricks-and-mortar retail sector were 3.3 percent lower in real terms than in 2022.⁶¹ Besides the long-term trend towards online retail, the consequences of the decline in sales in the pandemic years, along with a slump in consumer sentiment, are having a lasting negative impact on bricks-and-mortar retail, with the result that prices for retail properties are expected to fall further in 2024.

The high levels of uncertainty concerning the future outlook for the German property market led to a sharp fall overall in the activity on the real estate investment market. For example, transaction volumes on the German commercial real estate market plunged by 54 percent to just under EUR 28 billion in 2023, according to Real Capital Analytics (RCA).⁶² In light of these market conditions, the gross credit volume in the Commercial Real Estate sub-portfolio confounded predictions by falling back slightly by EUR 0.6 billion or 0.9 percent. As a result business volume as at the end of the year was EUR 66.4 billion (FY 2022: EUR 67.0 billion). The decline in the Group was driven by BayernLB (EUR 0.9 billion), while DKB slightly expanded business volumes (EUR 0.3 billion), so that the gross credit volume as at the reporting date was EUR 32.1 billion at BayernLB (FY 2022: EUR 33.0 billion) and EUR 34.3 billion at DKB (FY 2022: EUR 34.0 billion).

61 https://www.destatis.de/DE/Presse/Pressemitteilungen/2024/01/PD24_041_45212.html.

62 <https://www.msci.com/our-solutions/real-assets/real-capital-analytics>.

The following table shows the gross credit volumes for the Commercial Real Estate sub-portfolio broken down by sector and asset class.

Gross credit volume in the Commercial Real Estate sub-portfolio by sector and asset class⁶³

EUR billion	BayernLB Group		BayernLB		DKB	
	31 Dec 2023	31 Dec 2022	31 Dec 2023	31 Dec 2022	31 Dec 2023	31 Dec 2022
Residential	40.0	40.7	9.2	10.3	30.8	30.5
Of which residential property developers	2.3	3.4	1.4	2.4	0.9	1.0
Of which residential	29.9	29.4	–	–	29.9	29.4
Commercial	26.4	26.3	22.9	22.7	3.5	3.6
Of which office	12.3	12.2	12.3	12.2	–	–
Of which retail	4.2	4.3	4.2	4.3	–	–
Of which managed real estate	8.5	8.1	5.3	4.9	3.2	3.2
Of which other	1.4	1.7	1.0	1.4	0.3	0.3
Total	66.4	67.0	32.1	33.0	34.3	34.0

EUR 22.9 billion (FY 2022: EUR 22.7 billion) of the gross credit volume at BayernLB was accounted for by the commercial sector, while EUR 9.2 billion (FY 2022: EUR 10.3 billion) was attributable to the residential sector. The modest increase in the commercial sector was principally due to the managed real estate (EUR 0.4 billion) and office (EUR 0.1 billion) asset classes; this was offset by a decline in the other commercial (EUR 0.3 billion) asset class, which was largely the result of the fall in working capital loans not collateralised by real estate. The substantial fall in the residential sector (EUR 1.1 billion) was mainly due to the significant winding down of the portfolio with residential property developers, whose gross credit volume stood at EUR 1.4 billion as at the reporting date (FY 2022: EUR 2.4 billion). The combination of rising construction and refinancing costs in conjunction with falling property prices in the sales market made many construction projects appear increasingly uneconomical, especially in residential construction.

At DKB, the residential sector achieved a business volume of EUR 30.8 billion (FY 2022: EUR 30.5 billion), while the commercial sector recorded a volume of EUR 3.5 billion (FY 2022: EUR 3.6 billion). The impact of the situation on the property market on credit risk in DKB's portfolio was of minor significance, with the portfolio structure having a high share of low-risk business due to local authority/government ownership or guarantees and housing associations helping to mitigate risk. The increase in DKB's gross credit volume in the reporting period was mainly the result of its owned residential asset class (EUR 0.4 billion). Like BayernLB, the comparatively small portfolio of property development business was facing challenges as a result of the decline in demand on the real estate market and rise in construction costs. The gross credit volume with residential property developers declined slightly and stood at EUR 0.9 billion as at the reporting date (FY 2022: EUR 1.0 billion).

⁶³ The asset classes illustrated here are "of which" positions. As not all asset classes have a limit, they cannot be fully aggregated to the overall result illustrated.

The following table shows the gross credit volumes for the Commercial Real Estate sub-portfolio broken down by region and risk country.

Gross credit volume in the Commercial Real Estate sub-portfolio by region and risk country

EUR million	31 Dec 2023	31 Dec 2022
Western Europe	63,186	63,553
Germany	56,553	56,844
France	2,718	2,882
Italy	1,339	1,183
UK	949	912
Netherlands	819	814
Other	807	917
North America	2,416	2,610
Eastern Europe	772	797
Asia/Australia/Oceania	–	32
Total	66,374	66,992

Most of the reduction in gross credit volume occurred in Germany (EUR 0.3 billion), the US (EUR 0.2 billion) and France (EUR 0.2 billion); there was a small expansion of business in Italy (EUR 0.2 billion). The proportion accounted for by Germany remained high at 85.2 percent (FY 2022: 84.9 percent). The granularity of the sub-portfolio stayed largely constant during the reporting period: the proportion of customers with a gross credit volume of less than EUR 50 million was 49.8 percent as at the reporting date (FY 2022: 49.7 percent).

The difficult situation on the US real estate market had become a particular public concern. However, gross credit volumes of US real estate of EUR 2.4 billion accounted for only 3.6 percent of the real estate portfolio or 0.7 percent of the BayernLB Group's entire portfolio. The trend in the US differed from that in Germany and Europe in some key respects. For example, the US economy was much more robust compared with that of the eurozone, especially Germany. Nevertheless, the huge rise in interest rates also weighed on the US real estate market. While nationwide real estate prices – with the exception of multi-family properties, which declined by 8.4 percent between the fourth quarter of 2022 and the fourth quarter of 2023 – ticked up further, prices were heavily discounted on office property, especially in central locations in major cities.

For example, in the fourth quarter of 2023 prices of US commercial real estate were 5.9 percent lower on average compared with the same month of the previous quarter, according to RCA. Behind what seems, at first glance, to be comparatively modest falls across all asset classes, there was a clear bifurcation of the market. While logistics real estate even experienced a rise of 0.5 percent in the final quarter of 2023 compared with the same quarter of the previous year and bricks-and-mortar retail recovered from a negative 5.5 percent, office property and commercial residential real estate posted much heavier falls.

For example, prices of US office properties in the fourth quarter of 2023 were down by 16.1 percent compared with the fourth quarter of 2022, according to RCA. Most of the price declines were of office properties in central locations, plunging 29.2 percent. By contrast, prices of office properties in suburban locations slipped back by a less steep 13.2 percent. However, it is still difficult to determine the current sustainable price level due to the dearth of transaction data. For example, the transaction volume in US commercial property in 2023 was at around USD 374 billion 51 percent lower than the previous year's figure, while with US office property the drop was 56 percent, according to RCA.

The particularly pronounced price slump, especially for office properties, was due to the high level of uncertainty among market participants on future demand for office space. As office leases in the US are mainly for shorter terms than in countries like Germany, requirements for space are being adjusted more quickly owing to the trend towards remote working, which is becoming a permanent feature with occupancy rates of around 50 percent in US offices, according to a survey by Kastle.⁶⁴ As a result, demand for space from many companies is fundamentally lower. Aggravating the situation further is the fact the US property market traditionally has a high supply of office space and generally higher vacancy rates. As a result, more new space for potential lettings is available on the market. While smaller and modern office spaces remain in demand, large and outdated office complexes are increasingly being vacated, even in very good locations. BayernLB Research is anticipating a further fall in US commercial property prices of 7.5 percent in 2024.

Within the Group, only BayernLB conducts business in the US real estate market. The gross credit volume totalled EUR 2.4 billion as at the reporting date (FY 2022: EUR 2.6 billion), with the share of commercial real estate financing amounting to EUR 1.3 billion (FY 2022: EUR 1.4 billion) and residential real estate financing at EUR 1.1 billion (FY 2022: EUR 1.2 billion).

Residential real estate financing in the US exclusively comprises multi-family properties/apartment buildings. Of the financing in the commercial portfolio as at the reporting date EUR 1.0 billion related to the office asset class (FY 2022: EUR 1.0 billion), EUR 0.3 billion to retail (FY 2022: EUR 0.3 billion) and EUR 0.1 billion to logistics properties (FY 2022: EUR 0.1 billion). The focus for office properties is central locations like New York, Chicago or Washington, DC/Arlington, Virginia.

The situation on the real estate market deteriorated substantially overall in 2023, and this was reflected in the Group portfolio in the form of rating downgrades and credit defaults. Sufficient risk provisions were set aside to cover this. However, as explained earlier, not all regions and assets were equally affected, so that a noticeable impact has so far mainly been observed in office properties in general (especially US office properties and in Germany, if not ESG-compliant and/or outside core locations) and with residential and commercial project developers and individual retail segments. The appraisals carried out by the Bank in 2023 showed that real estate collateral had experienced a similar fall in value.

⁶⁴ <https://www.kastle.com/safety-wellness/getting-america-back-to-work/#workplace-barometer>.

The downgrades in the ratings were reflected in a moderate decline in the investment-grade portfolio in the Commercial Real Estate sub-portfolio as a whole to a still-good level of 86.9 percent (FY 2022: 88.5 percent). However, the non-performing ratio in the Commercial Real Estate sub-portfolio jumped from 0.4 percent to 2.2 percent in the reporting period, which was mainly the result of new defaults of US offices, bricks-and-mortar retail and residential property developers. Despite the decline in the gross credit volume, the collateral volume increased by around EUR 1.7 billion to EUR 52.1 billion, while the collateralisation ratio climbed to 78.5 percent (FY 2022: 75.3 percent).

Financial Institutions sub-portfolio

Gross credit volume in the Financial Institutions sub-portfolio rose by EUR 1.6 billion to EUR 55.9 billion (FY 2019: EUR 54.3 billion), an increase of 3.0 percent.

Within the Group, the sub-portfolio's gross credit volume was split as follows: EUR 53.6 billion with BayernLB (FY 2022: EUR 52.4 billion) and around EUR 2.3 billion with DKB (FY 2022: EUR 1.9 billion).

Gross credit volume in the savings banks sector, the largest sector by volume, increased by EUR 1.5 billion to EUR 29.3 billion. The banking sector also posted an increase in business, with gross credit volume rising by EUR 0.5 billion to EUR 20.5 billion, split between BayernLB (EUR 0.1 billion) and DKB (EUR 0.4 billion). At BayernLB, the increase in gross credit volume was principally due to leasing companies (EUR 0.3 billion) and fund companies (EUR 0.2 billion); in contrast, there was a big fall with investment banks (EUR 0.4 billion). The changes in the banking and savings banks sectors were largely due to reporting date-related fluctuations within the scope of liquidity management.

Business volume in the insurance sector contracted by around EUR 0.4 billion and amounted to EUR 6.0 billion as at the reporting date. The decrease was largely due to (life and property) insurers (EUR 0.1 billion), pure life insurance companies (EUR 0.1 billion) and reinsurers (EUR 0.1 billion).

The quality of the sub-portfolio therefore remained almost unchanged and very high, with an investment-grade share of 99.3 percent (FY 2022: 99.4 percent). The Germany share increased slightly and stood at 72.0 percent as at the reporting date (FY 2022: 70.5 percent).

Retail/Other sub-portfolio

Gross credit volume in the Retail/Other sub-portfolio jumped by around EUR 1.3 billion to EUR 38.6 billion.

At BayernLB the volume of business remained virtually constant during the reporting period, both at BayernLB core Bank and BayernLabo. The retail customer business ceased to be part of the core business of BayernLB core Bank (i.e. excluding BayernLabo) several years ago and is therefore being wound down as planned. Its volume stood at EUR 0.2 billion as at the reporting date. Within the BayernLB Group, the retail business is operated by the Group subsidiary DKB.

At DKB, the gross credit volume increased markedly by EUR 1.3 billion to EUR 35.4 billion owing to a rise in residential construction financing (by EUR 0.9 billion to EUR 17.0 billion) in particular, but also due to the credit card segment (by EUR 0.3 billion to EUR 6.4 billion).

Germany's share of the sub-portfolio remained unchanged at nearly 100 percent throughout the Group.

Summary

BayernLB posted a good performance in what was a challenging overall economic environment, marked by a moderate recession, persistently high inflation, tougher financing conditions for the economy and a crisis in the real estate market.

Despite these difficult circumstances, the BayernLB Group largely kept the quality of its portfolio stable, due not least to selective and risk-oriented management of new business. In the Commercial Real Estate sub-portfolio, however, the jump in interest rates, coupled with falling market values, which in some cases was significant, led to a major deterioration in credit quality.

Owing to the uncertainties regarding the future direction of the risk factors described above, there was still an elevated risk of a deterioration in the economic situation with potential negative effects on creditworthiness and portfolio quality.

Risk associated with equity interests

Definition

Risk associated with equity interests at the BayernLB Group is defined as the risk incurred through acquiring equity interests.

These risks can result in potential financial losses, for example from the provision of equity or equity-like financing (as with silent partner contributions); the suspension of dividends; partial writedowns; losses on disposals or reductions in hidden reserves; liability risks (i.e. profit and loss transfer agreements, for example for assumption of losses (under letters of comfort or company agreements); or contribution commitments.

Risk associated with equity interests may impact other risk types and therefore affect the BayernLB Group's risk profile.

Strategy

The Group strategy for risks associated with equity interests, derived from the overarching BayernLB Group Risk Strategy, forms the framework for dealing with this type of risk.

BayernLB has classified its investment portfolio into equity interests relevant to the business model, equity interests under public mandate and equity interests not relevant to the business model (with/without exit status). DKB, BayernInvest and Real I.S. are the equity interests that form an integral part of the Group business model. The BayernLB Group would like to dispose of the equity interests that have been assigned specific exit status.

Organisation

Group Risk Control is responsible for setting standards and for internal risk reporting at portfolio level. The BayernLB Group has an independent central unit with the authority to issue guidelines for all methods relating to monitoring risk associated with equity interests. Operational implementation of the risk management instruments is the responsibility of the business units concerned.

Measuring, managing and monitoring

A classification procedure for identifying and measuring risk with clear guidelines on the early detection of risks has been implemented for all direct equity interests held by BayernLB. Key factors in this regard are risk-based early warning indicators and the assessment of the maximum potential loss. Where BayernLB also provides debt capital, it examines any additional risks, particularly those arising from its status as a lender.

Risk capital requirements for risk associated with equity interests are measured in ICAAP using the PD/LGD method in accordance with CRR/CRD IV. For CRR/CRD IV reporting, risks associated with equity interests are measured using the simple risk weighting method.

The risks from direct equity interests are identified using the relevant procedures (classification and early warning) and reported to the Board of Management as part of the risk reporting process.

Similar processes apply to DKB. These are closely integrated into the entire Group strategy, planning, management and monitoring process.

ESG risks

ESG risks are becoming increasingly important in risk management and can potentially have an impact on risk associated with equity interests. In 2022 all major equity interests were therefore already examined for any systemic impact of climate and environmental risks on risk associated with equity interests and the potential effects on risk-bearing capacity. It was found that no significant negative effects from ESG risks on risk capital requirements from equity interests are to be expected. This situation did not change in 2023.

Current situation

As at 31 December 2023, the economic risk capital requirement for risks associated with equity interests had decreased for the BayernLB Group to EUR 106 million (FY 2022: EUR 121 million). The economic risk capital requirement at BayernLB had fallen to EUR 54 million (FY 2022: EUR 77 million).

The main reason for the changes in the Group came from DKB, namely from the changes in the carrying amount of DKB's equity interest in VISA Inc. The risk capital requirement at BayernLB went down due to the fall in the carrying amount of equity interests.

Summary

Risks associated with equity interests in the BayernLB Group remained stable overall in financial year 2023 and within the economic capital provided for this during the reporting period (risk appetite).

Business and strategic risk

Definition

Business and strategic risk (or simply “business risk”) is defined as the risk of an unexpected change in the economic, political, social, ecological, legal, technical or regulatory business environment that has not already been taken account of, either explicitly or implicitly, by other risk types covered by the risk-bearing capacity calculation.

Organisation

Group Risk Control estimates the business risk for the purposes of the risk bearing capacity calculation and analyses changes to those risks.

Strategy

The management of business risk is defined in the strategy for non-financial risks as part of BayernLB's Risk Strategy. The management and monitoring of the relevant parameters for business risk forms part of the BayernLB Group's management cycle.

Measuring and monitoring

Business risk is estimated based on target/actual historical deviations in the income statement items identified as pertinent to business risk using an analytical value-at-risk approach. The utilisation of the limits for business risk is subject to a monthly Group-wide monitoring process. Through Group risk reporting the Board of Management is informed monthly, and the Risk Committee of the Supervisory Board quarterly, about the risk situation.

ESG risks

In the case of business and strategic risk, the Bank considers mainly medium-term transitory risks (political measures and investor and consumer sentiment) which could push down interest and commission income and push up administrative expenses and capital requirements in the medium and long term. This is taken account of in the overarching stress testing.

Current situation

As at 31 December 2023, the BayernLB Group's risk capital requirement stood at EUR 93 million (FY 2022: EUR 108 million) while BayernLB Bank's was at 375 million (FY 2022: EUR 368 million). The Group figure reflects the diversification effects from the different business strategies of BayernLB Bank and DKB. Therefore, the figure for the Group is lower than the one for BayernLB Bank.

Summary

The risk capital requirement for business risk remained within the defined limits during the reporting period.

Market risk

Definition

Market risk is the risk of financial losses due to changes in prices on money, currency, capital or commodity markets. The potential losses arise through the financial transactions conducted in the course of the Bank's business activities (in both the trading and banking books) and whose performance changes according to changes in market risk factors/market prices. Accordingly, the BayernLB Group breaks down its market risks into interest rate risks (further broken down into present-value general, present-value specific and earnings-related interest rate risks), currency risks, equity price risks, commodity risks and volatility risks. The market risk factors also include the valuation interest rate for pension obligations.

Organisation

Group institutions are responsible for the operational monitoring of their market risks; this is performed internally by their own risk-monitoring units. The market risks at BayernLB and DKB are included in a daily Group-wide risk report. Group Risk Control is responsible for setting Group-wide methodological standards and for the overall, Group-wide monitoring of market risk.

Strategy

The Risk Strategy sets out the strategic principles for handling market risks and prescribes the amount of economic capital to be made available for them. Market risks are measured and monitored, and may be assumed only within approved limits.

The amount of economic capital provided as backing for market risks is broken down by risk unit and in some cases market risk type, and is implemented in the form of value-at-risk (VaR) limits. In accordance with the current Business Strategy and Risk Strategy, market risks are assumed primarily for the purposes of liquidity and asset/liability management. In addition, market risks arise from customer-driven trading positions, which are managed based on the portfolio situation, and from non-core business. The building up of plan assets via a contractual trust arrangement (CTA) reduced the impact of interest rate risks arising from BayernLB's pension obligations.

Measurement

For operational monitoring and management, the calculation of market risk normally uses a VaR procedure based on a one-day holding period and a confidence level of 99 percent. BayernLB and DKB both use the historical simulation approach.

Customer deposits at DKB are modelled using the dynamic replication method.

Both contractual and legal termination rights on loan transactions are represented as options and incorporated into the risk calculation. When considering the interest rate risk from external credit margins, BayernLB takes a premium in the risk capital requirement into account. The interest rate risk in external credit margins is shown in the daily VaR at DKB. Market risks that cannot be covered by the VaR limit calculation are taken into account in the risk capital requirements through the use of alternative risk assessment methods (e.g. stress test estimates). Market risk measurement methods are continuously checked for the quality of their forecasting. In the backtesting process, the risk forecasts are compared with actual outcomes (gains or losses). The backtesting results at BayernLB fell just within the amber zone under the Basel traffic light approach, owing in particular to historical market volatility, as at 31 December 2023. Therefore, a corresponding premium is included at BayernLB when reporting the risk capital requirement. At DKB, the relevant backtesting outliers went down during the first half of 2023, so it has not been necessary to include an appropriate premium since June 2023.

For reporting the risk capital requirement as part of the economic risk-bearing capacity, one-day VaR is scaled to a one-year horizon, i.e. it is assumed risk positions are closed or hedged over a one-year time horizon. This takes particular account of market liquidity risk – the risk of having to close out risk positions on financial terms that are less favourable than had been expected.

Valuation discounts for market liquidity-relevant factors (e.g. bid-ask spreads) which are relevant for accounting and reporting are also modelled.

The outcomes of risk measurement for market risks must always be looked at in the context of the assumptions used in the model (primarily the confidence level selected, the holding period, and the use of historical data over a period of around one year to forecast future events). For this reason, stress tests simulating extraordinary changes in market prices are conducted monthly on the risk positions and the potential risks are analysed accordingly. Additional stress tests are carried out for each institution separately. Stress tests take into account all relevant types of market risk and are regularly reviewed; their parameters are modified where necessary.

Besides the present value risk measurement methods, the Bank calculates the potential negative impact on the income statement and balance sheet capital in the banking book from changes in the general interest rate level and margins as part of earnings-oriented interest rate risk. The components of earnings-oriented interest rate risk are net interest income risk (risk in terms of net interest income in the period) and fair value risk (risk in terms of the fair values of instruments recognised at fair value in the period).

The standard approach is used at BayernLB and DKB to calculate the regulatory capital backing for market risks.

Monitoring

At the BayernLB Group, several tools are used to monitor and limit market risks. In addition to the institution-specific risk capital requirement limits, these include in particular VaR and corresponding VaR limits, risk sensitivities (including related sensitivity limits for trading units engaged in a high number of transactions and high-risk transactions) and stress tests, each contributing in their own way to the risk-bearing capacity assessment. The individual limit units monitor the market risk separately for the trading and the banking books. In this way, both underlying discretionary purposes are served while achieving a close interlinking of economic and supervisory capital adequacy. DKB does not execute any trading book transactions.

Market risks are monitored, agreed with officers responsible for the trading position and reported daily at BayernLB independently of Trading. At DKB the A custody account is monitored daily and the other banking book monitored weekly. If a VaR limit is breached, appropriate measures are initiated as part of an escalation procedure.

Interest rate risk in the banking book forms part of the risk calculation and monitoring processes in the risk-controlling units. The fall in the present value in respect of the pre-defined interest rate scenarios is monitored monthly at institution level and across the Group, and referenced against the corresponding supervisory thresholds or warning thresholds (threshold for the +/- 200 basis point scenario: 20 percent of own funds; warning threshold for the additional interest rate scenarios (parallel scenarios, pivot scenarios or a short-term interest rate increase/decrease): 15 percent of Tier 1 capital). Due to the delay in the planned reporting of the regulatory outlier test for net interest income risk, the Group and institution-specific requirements continued to apply to earnings-oriented interest rate scenarios in 2023.

As part of Group risk reporting the Board of Management is informed monthly, and the Risk Committee of the Supervisory Board quarterly, about the market risk situation.

ESG risks

Climate and environmental risks can arise in market risks, especially indirectly through second-round effects (e.g. if the credit spreads of certain types of issuers widen). For market risk, a comprehensive analysis was carried out to investigate the chain of effects through which ESG risks could be transferred to the risk parameters in the portfolios. Most were assessed as having low or no risks. Medium risk was detected for a small share of the sub-portfolio with higher CO₂ intensities. Within transitory risks, most risks were associated with political measures (CO₂ targets and CO₂ prices) and with investor and consumer sentiment. Physical risks due to natural catastrophes were relevant for market price risk with minor effects.

Financing and capital market transactions within the BayernLB Group are always executed in compliance with the Sustainability Strategy and with environmental, social and ethical criteria.

Current situation

Given BayernLB's and DKB's business models and the importance of pension obligations, the BayernLB Group's market risks were mainly concentrated on general and specific interest rate risks. The extent of the loan termination options at DKB permitted by the German Civil Code means that volatility risk at Group level plays a significant role. Equity risks at BayernLB mainly arose in connection with the plan assets associated with the CTA. All other types of risk play a much less significant role by comparison. The risks in the banking book are of considerably greater significance than those in the trading book.

Overall VaR at Group level did not materially change compared with the previous year (31 December 2022: EUR 81.9 million; 31 December 2023: EUR 82.5 million), although significant shifts were observed between BayernLB (31 December 2022: EUR 39.9 million; 31 December 2023: EUR 21.5 million) and DKB (31 December 2022: EUR 42.0 million; 31 December 2023: EUR 61.0 million).

Following the decline in risk in the first half of 2023 due to lower market volatility, general interest rate risk and therefore also overall risk at DKB significantly increased as a result of the strong deposit inflows caused by the 3.5 percent overnight deposit interest rate promotion. As the year progressed, risk levels were reduced again through appropriate measures. Volatility risk was reduced by removing relevant scenario days from DKB's risk history. However, overall risk levels at DKB were much higher at the end of 2023 than at the end of 2022.

At BayernLB, on the other hand, market risk went down during 2023, which, besides lower market volatility, was due to an improved hedging effect from the multi-employer trust/CTA plan assets against the pension obligations.

It should be noted when analysing risks that both BayernLB and DKB are risk-sensitive to interest-rate reduction scenarios.

VaR contribution of market risks by risk type and banking/trading book in the BayernLB Group (confidence level 99 percent, holding period 1 day)

EUR million	31 Dec 2023	31 Dec 2022	31 Dec 2023		1 Jan – 31 Dec 2023		
			Of which banking book	Of which trading book	Average	Maximum	Minimum
General interest rate VaR	90.5	79.6	90.1	2.1	81.6	140.0	57.8
Specific interest rate VaR (credit spreads)	19.7	21.2	19.1	1.0	18.9	22.4	16.1
Currency VaR	1.8	2.5	1.9	0.2	2.4	4.4	1.3
Equities VaR	14.4	18.9	14.4	–	20.5	24.4	13.0
Commodities VaR	2.1	3.3	–	2.1	2.4	3.5	0.3
Volatility VaR	16.0	25.0	16.2	0.5	20.9	28.1	11.2
Total VaR¹	82.5	81.9	82.1	3.1	81.7	132.6	60.5

VaR contribution of market risks by risk type and banking/trading book at BayernLB (confidence level 99 percent, holding period 1 day)

EUR million	31 Dec 2023	31 Dec 2022	31 Dec 2023		1 Jan – 31 Dec 2023		
			Of which banking book	Of which trading book	Average	Maximum	Minimum
General interest rate VaR	20.6	46.7	20.1	2.1	35.7	56.8	15.6
Specific interest rate VaR (credit spreads)	17.4	18.0	16.8	1.0	16.5	18.9	14.4
Currency VaR	1.1	1.6	1.1	0.2	1.6	3.6	0.6
Equities VaR	10.9	13.4	10.9	–	15.7	19.2	9.7
Commodities VaR	2.1	3.3	–	2.1	2.4	3.5	0.3
Volatility VaR	1.3	0.7	1.5	0.5	0.7	1.7	0.4
Total VaR¹	21.5	39.9	21.0	3.1	34.0	53.4	20.2

¹ When calculating the risk capital requirement for BayernLB, in addition to showing the VaR contributions, risk-bearing capacity takes into account monthly VaR premiums for risks on external credit margins and credit risks on money market transactions and a risk premium for some downstream risk aspects in the case of XVA risk and for backtesting findings.

As at 31 December 2023, the calculated change in present value in the supervisory interest rate scenarios in the banking book was below the thresholds and warning thresholds both at the BayernLB Group and at BayernLB. The interest rate risk coefficient for the +/- 200 basis point scenario was 5.4 percent of own funds at the BayernLB Group and 1.0 percent of own funds at BayernLB; the maximum scenario losses regarding the supervisory warning thresholds for the additional interest rate scenarios were 6.6 percent of Tier 1 capital in the BayernLB Group and 2.3 percent at BayernLB.

Internal, earnings-oriented monitoring of interest rate risk revealed sporadic limit breaches from August 2023 onward, which were due to changes in deposit levels at DKB, with regard to net interest income risk in the short-term interest rate reduction scenario at Group level.

Summary

The decline in risk over the course of 2023 owing to a slightly calmer market situation and the improved hedging effect of the CTA against the pension obligations at BayernLB was offset by the higher risk resulting from the strong inflows of deposits at DKB following the 3.5 percent overnight deposit interest rate promotion from August. Owing to the persistently challenging macroeconomic environment and potential fluctuations on the fixed-income market, the Bank is anticipating changes in the indicators for measuring market risk figures also in 2024.

Pension basis risk

Definition

Pension basis risk is defined as loss potential with an immediate impact on core capital, resulting from an adverse impact on the present values of the pension obligations for BayernLB arising from changes in trend factors, mortality tables or other factors (except for risks from the discount rate – see market risk). There are pension obligations for those entitled to and those who are recipients of benefits of BayernLB's civil service-style pension (direct and indirect).

Organisation

Group Risk Control monitors pension basis risk for the BayernLB Group. DKB's pension basis risk is classified as non-material from a stand-alone perspective in the risk inventory, but is also taken into account in order to ensure the consistency of the Group-level analysis.

Strategy

The risk capital requirement for pension basis risk is limited and monitored separately.

Measurement

The risk capital requirements for pension basis risk are calculated using a scenario-based approach. The parameters for the recognition of changes in adverse trend factors are derived from a historical time series and past experience. A maximum stress is also calculated from the trend factors.

Monitoring

The risk capital limits of the pension basis risk are monitored monthly on a Group-wide basis. As part of Group risk reporting, the Board of Management is informed monthly, and the Risk Committee of the Supervisory Board quarterly, about the pension basis risk situation.

ESG risks

Pension basis risk considers climate and environmental risks, which can result in changes to trend factors, mortality tables and other factors (e.g. healthcare costs).

Current situation

In the reporting period, inflation remained elevated. Due to the relatively steep increase in the payscale trend, the Bank adjusted the risk parametrisation for the model in October, leading to a major jump in risk capital requirements.

As at 31 December 2023, the risk capital requirements were around EUR 278 million (FY 2022: EUR 140 million) in the BayernLB Group and about EUR 276 million (FY 2022: EUR 139 million) at BayernLB.

Summary

As a result of the adjustment in risk parameters, the risk capital requirements for pension basis risk rose markedly, particularly during the last quarter of 2023.

Liquidity risk

Definition

Liquidity risk is defined as the risk that payment obligations falling due cannot be met in full or as due (insolvency risk) or that funding is only procurable at above-market rates (liquidity cost risk) in the event of a liquidity crunch. This section looks first at insolvency risk. The liquidity cost risk, which is also taken into account in the risk-bearing capacity calculation, is dependent in part on the refinancing structure (funding mix), which is subsequently presented.

Organisation

As at 31 December 2023, responsibility for strategic and operational liquidity management in the BayernLB Group was vested in the Group Treasury Central Area. Liquidity management ensures adequate liquidity reserves at all times and the management of operational liquidity on the market. Group-wide risk controlling of liquidity risks is conducted by the Group Risk Control Division. This Division also prepares liquidity overviews, such as liquidity gap analyses and limiting ratios, as the basis for controlling and monitoring liquidity risks. The Board of Management decides on the necessary liquidity management and funding measures and lays these down in the respective strategies. The Board of Management has delegated liquidity risk management tasks and competencies to Group Treasury and Group Risk Control.

Strategy

The strategic principles for dealing with liquidity risk within the BayernLB Group are set out in the Group Risk Strategy. The objective of liquidity risk management and monitoring is to ensure that the BayernLB Group can meet its payment obligations and obtain funding at all times. In addition to stringently maintaining solvency, the primary goal of BayernLB's liquidity management is to ensure long-term access to the market.

These strategic targets are detailed in the Group-wide guidelines, framework instructions and instruments. There is a business continuity plan to safeguard liquidity in emergencies. This sets out the processes, management tools and hedging instruments needed to avert potential or address acute crises. It also contains an escalation mechanism, which comes into operation when early warning signals are triggered.

In the BayernLB Group, daily limits are placed on liquidity risks at the operating unit level based on defined scenarios. This ensures that liquidity risks taken are managed and escalated in a consistent and effective manner at all times.

The BayernLB Group actively manages its liquidity reserves in accordance with the regulatory requirements of pillars 1 and 2 (Basel III). The active management of liquidity reserves also includes complying with the net stable funding ratio (NSFR) and the liquidity coverage ratio (LCR) requirements contained in the CRR and its subsequent regulations pursuant to the Delegated Regulation (DelReg). In line with regulatory requirements, the BayernLB Group's figures for these ratios are regularly reported.

The additional liquidity monitoring metrics (ALMM) for the BayernLB Group were also reported regularly to the supervisory authorities in the year under review. Changes to regulatory requirements that have an impact on liquidity risk, such as from CRR amendments or new implementing regulations, are continuously monitored in order to ensure they are implemented as scheduled in close cooperation with all units affected. This ensures reporting requirements can be met and liquidity efficiently managed in the future.

Measurement

The BayernLB Group prepares daily liquidity overviews to measure, analyse, monitor and report on liquidity risk. These project and compare the liquidity gaps, i.e. the net deterministic and non-

deterministic future payment inflows and outflows, and the realisable liquidity counterbalancing capacity on a daily basis.

In terms of volumes and timing, the liquidity counterbalancing capacity quantifies the ability of the Group to obtain cash at the earliest opportunity at market rates and in accordance with supervisory restrictions. It indicates the ability to cover liquidity gaps and therefore all cash flow-based liquidity risks. The most important components of liquidity counterbalancing capacity are deposits with central banks, holdings of highly liquid securities eligible as collateral at the central banks and other collateral eligible for discounting at the central banks.

Liquidity risks from an off-balance sheet conduit (Corelux S.A.) are fully incorporated. Model assumptions are regularly validated using backtesting and adjusted.

To be adequately prepared for various risk situations, the BayernLB Group also calculates and limits its liquidity on the basis of its management scenario and several different stress scenarios (systemic and idiosyncratic stress scenarios, and a combination of both).

BayernLB regularly analyses the sensitivity of the liquidity risk profile in a series of extreme hypothetical stress scenarios. A check is also carried out to identify conditions that represent inverse scenarios which could jeopardise normal operations at the BayernLB Group.

Potential concentrations in the liquidity situation and funding structure are constantly analysed and monitored. There were no significant concentrations during the year under review.

At BayernLB level, a net cash flow figure for the next 180 days is calculated daily for the public Pfandbrief register and the mortgage register. In accordance with Section 27 of the Pfandbrief Act (Pfandbriefgesetz), the results and other indicators with respect to the register of cover are reported internally every quarter to the Board of Management. The balance of cumulative cash flows and available liquidity indicated there was surplus liquidity throughout 2023.

Management

To safeguard solvency even in times of crisis, the BayernLB Group has a suitable portfolio of liquidity reserves comprising highly liquid securities, central bank facilities and available assets in the registers of cover. The liquid funds that these can generate serve to cover unplanned cash outflows, even in a stress scenario.

The medium to long-term structure of the liquidity is managed over all maturities, while limits are placed only on terms of up to five years. To safeguard the solvency of the BayernLB Group and its funding capacity, suitable instruments are used to create a funding structure that is balanced in terms of maturity, instruments and currencies. The key management tool is the Group-wide funding planning, which is regularly adjusted in line with the current liquidity situation.

The liquidity transfer price system set up in BayernLB is another instrument to efficiently manage liquidity risks. This ensures that all relevant liquidity risks, costs and benefits are matched up internally to avoid misallocations in liquidity management.

The quality of assets in the register of cover for Pfandbriefs is set by law. This, combined with matching currencies and maturities, ensures that Pfandbriefs are of a high standard and broadly accepted on the market. BayernLB's register of cover is currently over-collateralised in various maturities and therefore has issuance potential. This ensures that BayernLB has an ongoing ability to issue bonds in the Pfandbrief segment.

The Bank also met the minimum supervisory liquidity coverage ratio (LCR) of 100.0 percent at all times in the reporting year through its integrated management of operational liquidity. The LCR amounted to 241.4 percent at Group level as at 31 December 2023 (FY 2022: 175.4 percent) and 219.7 percent at BayernLB (FY 2022: 144.3 percent). The LCR is calculated by comparing the available highly liquid assets with the net cash outflows for the following 30 days.

The net stable funding ratio (NSFR) for the BayernLB Group, which is published in accordance with CRR II, was 139.0 percent as at 31 December 2023 (FY 2022: 127.3 percent), far higher than the minimum ratio of 100.0 percent required under regulatory law.

DKB has its own measures in place to ensure it complies with its specific liquidity requirements. The relevant requirements were complied with during the period under review.

Monitoring

Group Risk Control monitors liquidity risks independently of Trading; it calculates ratios derived from the daily scenario-based liquidity overviews and sets limits on them.

The risk appetite set by the BayernLB Group limits operational and structural liquidity surpluses separately by currency and across all currencies combined. The available liquidity thus calculated is a key parameter for the amount the managing units can use each day. To support the limiting of liquidity risks, BayernLB has established uniform escalation thresholds in the Group which are likewise monitored daily.

In addition to observing the maximum utilisation of available liquidity, ensuring that the time-to-wall figures in the defined stress scenarios are sufficient is key to complying with the liquidity risk limits. Time-to-wall shows the earliest point in time at which the forecast liquidity needs cease to be met by the liquidity counterbalancing capacity. The time-to-wall figures to be observed every day, and the scenario-dependent minimum liquidity surplus limits to be observed in euros and other currencies, are set out in the BayernLB Group's strategy for liquidity risks.

In 2023, limiting liquidity risks once again ensured that the BayernLB Group was solvent and able to fund itself at all times and made a valuable contribution to optimising the management of short-term and structural liquidity.

BayernLB's intraday liquidity risks were appropriately managed, monitored and reported in 2023. Its intraday liquidity risk management takes intraday cash flows in US dollars, the only material foreign currency for BayernLB in this area, into account along with euro cash flows.

The BayernLB Group will continue to adapt its monitoring of liquidity risk as market circumstances and regulatory requirements change so as to optimise liquidity management. To this end, BayernLB has set up an early warning system for risks and regularly conducts backtesting and validation processes within the Group.

The liquidity overviews, minimum available unutilised limits and other relevant ratios are included in the risk reports submitted regularly to the Board of Management and the responsible managing units.

ESG risks

In the case of liquidity risk, the transmission channels of physical and transitory risks were mainly based on liquidity outflows from deposits (natural persons and institutional investors) and commitments. Relevant sectors were identified and the potential volume determined. This indicated that each individual climate and environmental risk has a characteristic impact on the liquidity risk. Transitory risks prevail here at both BayernLB and DKB.

Current situation

The liquidity situation as at 31 December 2023 is shown based on the maturity structures in accordance with IFRS 7.39 and IFRS 16.58 on the one hand and an economic approach on the other.

In accordance with IFRS 7.39, the breakdown of financial liabilities by contractual maturity structure is shown below.

Contractual maturities of financial liabilities at the BayernLB Group¹

31 Dec 2023 EUR million	Up to 1 month	Up to 3 months	Up to 1 year	Up to 5 years
Financial liabilities	123,380	137,772	156,636	195,231
Liabilities from derivatives	(1,160)	(1,713)	(1,777)	(586)
Total	122,220	136,059	154,859	194,645

31 Dec 2022 EUR million	Up to 1 month	Up to 3 months	Up to 1 year	Up to 5 years
Financial liabilities	105,947	117,814	136,707	181,746
Liabilities from derivatives	(413)	(3,217)	(3,239)	(1,110)
Total	105,534	114,597	133,468	180,636

¹ The contractual cash flows reported are not discounted and include interest payments. Thus they may differ from the carrying amounts on the balance sheet.

The BayernLB Group's open irrevocable commitments fell to EUR 25.9 billion (FY 2022: EUR 27.5 billion). The volume of contingent liabilities from guarantees and indemnity agreements rose slightly to EUR 13.3 billion (FY 2022: EUR 12.9 billion). In contrast to the economic liquidity situation shown below, call probabilities have not been factored into these volumes.

The maturities of lease liabilities in accordance with IFRS 16.58 were structured as follows as at 31 December 2023:

Contractual maturities of financial lease liabilities

31 Dec 2023 EUR million	Up to 1 month	Up to 3 months	Up to 1 year	Up to 5 years
Lease liabilities	31.5	3.9	18.8	55.1

31 Dec 2022 EUR million	Up to 1 month	Up to 3 months	Up to 1 year	Up to 5 years
Lease liabilities	25.3	4.2	19.3	68.7

Liquidity overviews are compiled for the purpose of managing and monitoring liquidity risks. This involves calculating the liquidity surplus by subtracting the cumulative liquidity gaps from the realisable liquidity counterbalancing capacity in each maturity band. Expected economic cash flows from non-deterministic products are based partly on modelling assumptions.

The BayernLB Group management scenario showed the following results as at 31 December 2023 compared with 31 December 2022:

Economic liquidity situation at the BayernLB Group and at BayernLB

31 Dec 2023	Up to	Up to	Up to	Up to
Cumulative figures in EUR million	1 month	3 months	1 year	5 years
BayernLB Group				
Liquidity counterbalancing capacity	83,902	83,112	75,716	60,405
Liquidity gap	23,708	43,738	43,149	31,272
Total liquidity surplus	60,195	39,374	32,567	29,134
BayernLB				
Liquidity counterbalancing capacity	32,652	32,011	29,024	16,594
Liquidity gap	12,193	24,306	23,013	9,151
Total liquidity surplus	20,460	7,705	6,011	7,443

31 Dec 2022	Up to	Up to	Up to	Up to
Cumulative figures in EUR million	1 month	3 months	1 year	5 years
BayernLB Group				
Liquidity counterbalancing capacity	68,198	68,506	61,388	53,246
Liquidity gap	24,462	32,619	35,236	22,995
Total liquidity surplus	43,736	35,887	26,152	30,251
BayernLB				
Liquidity counterbalancing capacity	28,236	29,395	26,582	15,688
Liquidity gap	13,472	18,449	24,584	8,032
Total liquidity surplus	14,763	10,945	1,998	7,655

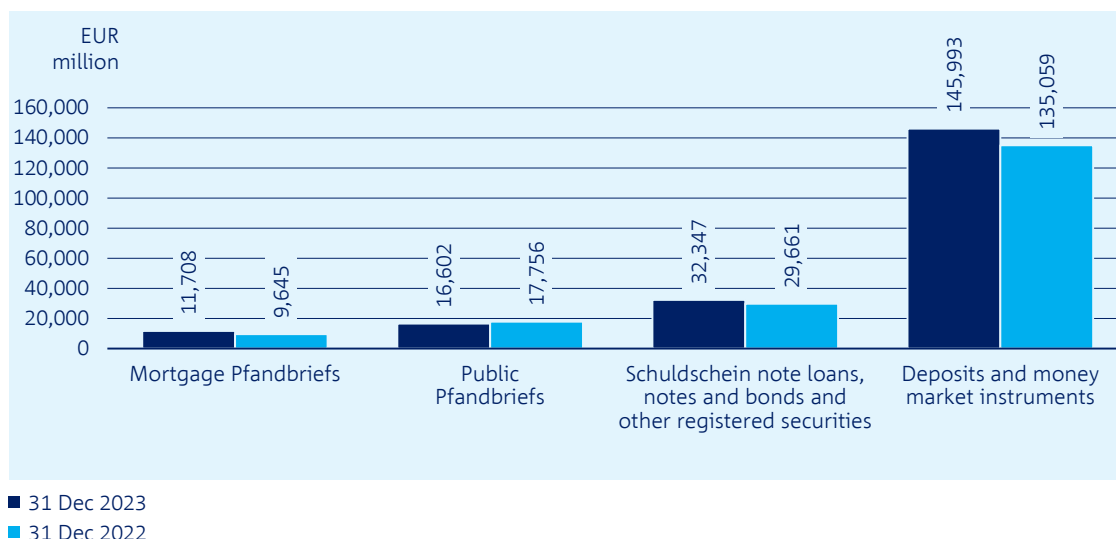
During the reporting period, the BayernLB Group and BayernLB had consistently good liquidity despite the temporary restraint of investors in the first half of the year due to conditions specific to the banking sector.

BayernLB's good liquidity situation was partly due to big central bank deposits resulting from customer deposits and regular issuance activity across all funding classes, including sustainable bonds. In 2023, DKB cemented once again its strong position in the market through growth in customer deposits (+17.1 billion) and lending activities. The total volume of customer deposits stood at EUR 102.3 billion (FY 2022: EUR 85.2 billion).

The liquidity surpluses as at 31 December 2023 indicate that the BayernLB Group's and BayernLB's liquidity was good.

The funding structure of the BayernLB Group for 2023 compared with the previous year was as follows:

Funding structure



The primary market for BayernLB's issues was receptive throughout the year. There was unrestricted access to all funding sources in spite of the tough geopolitical and macroeconomic conditions. Due to the sharp increase in interest rates and inversion of the yield curve, demand was heavily concentrated in short to medium maturities at the start of the year. In spite of this situation, BayernLB successfully sold longer maturities, especially in Pfandbrief format.

In addition to equity, BayernLB's structural funding derives mainly from capital market issues, deposits and operational funding in the money market. The BayernLB Group drew on the ECB's longer-term refinancing facilities (TLTRO III) from 2020, and this was fully repaid in 2023.

TLTRO III drawings at the BayernLB Group

EUR billion	31 Dec 2023	31 Dec 2022
BayernLB	–	–
DKB	–	8.5
BayernLB Group	–	8.5

The volume of structural issues increased slightly in 2023. EUR 3.1 billion (gross⁶⁵) was placed in secured issues. Overall, BayernLB issued three Pfandbriefs and three senior non-preferred bonds in benchmark format, as well as a Tier 2 bond in sub-benchmark format. BayernLB has continued to significantly exceed the regulatory MREL requirements through issues of non-preferred bonds. In 2023, the (gross⁶⁶) funding volume of structural unsecured liquidity realised at BayernLB amounted to around EUR 5.2 billion (of which around EUR 4.4 billion was in non-preferred format). Deposits rose slightly.

As the municipal and development bank of the Free State of Bavaria, BayernLabo's liabilities are covered by a 100 percent state guarantee. In line with its mandate, BayernLabo is publicly funded

⁶⁵ Gross sales with no reduction for repurchases; excluding intra-Group transactions.

⁶⁶ Gross sales with no reduction for repurchases; excluding intra-Group transactions.

via KfW and Landwirtschaftliche Rentenbank. The capital market is a further source of funding. BayernLabo meets operational liquidity requirements by drawing time deposits at BayernLB. In 2023, BayernLabo placed new issues worth around EUR 680 million net.

Customer deposits represented the largest source of funds in the DKB funding mix. In addition, much of the lending business is funded in the form of on-lending loans from development banks. The bank's funding activities also include capital market issues. In 2023 DKB posted strong growth in deposits of EUR 17.1 billion, so that the overall volume was significantly higher than in 2022.

BayernLB's issuer rating, which is good compared with European benchmarks, was Aa3 (Moody's) and A- (Fitch). The outlook from rating agencies Fitch and Moody's was respectively stable and positive.

Economic and regulatory ratios and management limits, such as the internal limits, LCR and NSFR, were comfortably complied with throughout the reporting period.

In the coming financial years, liquidity management and monitoring at the BayernLB Group will continue to revolve around the funding options available. The focus will continue to be on ensuring liquidity reserves at the BayernLB Group and at BayernLB are always adequate, even in stress situations.

As well as actively managing liquidity reserves, the management of supervisory and economic liquidity risk will continue to be built around a broadly diversified funding structure. This is supported by a reliable base of investors and retail customer deposits at the subsidiary DKB.

Summary

Thanks to a forward-looking liquidity management, the BayernLB Group and BayernLB had good liquidity throughout the period under review.

Reporting of products as defined in Section 46f paras. 6 and 7 KWG

The following tables show the debt instruments and structured financial products as defined in Section 46f KWG, i.e. according to their seniority of payment under bankruptcy law:

Debt instruments as defined in Section 46f para. 6 KWG (non-preferred senior) at the BayernLB Group

EUR million	31 Dec 2023	31 Dec 2022
Liabilities to banks	3,508	3,674
Of which Schuldschein note loans	2,085	2,143
Of which other registered securities	1,424	1,531
Liabilities to customers	5,552	5,552
Of which Schuldschein note loans	798	856
Of which other registered securities	4,754	4,696
Securitised liabilities ¹	17,170	15,531
Liabilities held for trading	245	333
Total	26,475	25,090

¹ Securitised liabilities reallocated from paragraph 6 to paragraphs 5 and 7 for 2022.

Debt instruments as defined in Section 46f paras. 5 and 7 KWG (preferred senior) at the BayernLB Group

EUR million	31 Dec 2023	31 Dec 2022
Liabilities to banks	336	184
Of which Schuldschein note loans	125	124
Of which other registered securities	210	59
Liabilities to customers	836	612
Of which Schuldschein note loans	242	129
Of which other registered securities	594	484
Securitised liabilities ¹	12,717	10,948
Of which bonds and notes ¹	4,945	4,108
Of which money market instruments	7,772	6,840
Liabilities held for trading	117	404
Total	14,006	12,148

¹ Securitised liabilities reallocated from paragraph 6 to paragraphs 5 and 7 for 2022.

Operational risk

Definition

In line with the regulatory definition pursuant to the CRR, the BayernLB Group defines operational risk as the risk of loss resulting from inadequate or failed internal processes or systems, human error or external events. This includes legal risks.

In 2023, the following non-financial risks were identified as significant operational risks during the risk inventory carried out pursuant to MaRisk: general legal risk, compliance risk and tax law risk, fraud risk, information security risk (including cyber risk), HR risk, project risk, outsourcing risk, model risk and other operational risks.

General legal risk is the risk that the Bank will incur losses as a result of (actual or alleged) non-compliance with applicable legal regulations. This includes breaches of contractual arrangements and erroneous contractual provisions. Legal risk arises from errors in the application of the law, amongst other things, especially when entering into contracts.

Compliance risk is a component of legal risk and includes the risk that the Bank will incur losses as a result of non-compliance with applicable legal regulations.

Tax law risk, part of legal risk, is the risk arising from BayernLB breaching applicable tax law.

Fraud risk covers the risk of a loss being incurred for the BayernLB Group due to punishable actions, whether carried out internally or externally.

Information security risk describes the risk relating to the availability, integrity (including the authenticity) or confidentiality of information. It is derived from the individual data protection requirements.

HR risk includes unforeseeable costs arising from the acquisition and employment, training and retraining and permanent retention of employees who are critical to the success of the business and for compliance with legal and regulatory requirements at all times.

Project risk is the risk of additional costs being incurred under a project without an increase in the countervalue. A distinction is made between project risk associated with inadequate project structures, poor performance of employees, risk arising from contracts with external service providers – all of which fall under operational risk – and risk arising from planning uncertainties (such as those created by strategic decisions taken erroneously or late). These risks form part of business and strategic risk.

Outsourcing risk arises when performance is poor or the outsourcing company defaults.

Model risk is the risk of loss that may arise when using results or basing decisions on results from models that are inaccurate or incorrectly used.

OpRisk events that cannot be allocated to other OpRisk sub-types due to their nature, particularly those caused by external events or actions of employees (e.g. processing errors), are allocated to other operational risks. This risk sub-type acts as a “miscellaneous” category of OpRisk sub-types.

Organisation

Operational risks are managed and monitored both centrally in the Group Risk Control Division and, for non-financial risks, decentrally in the responsible divisions (e.g. the Legal Services & BoM Support Division for general legal risks).

The Group Risk Control Division has the authority to establish guidelines for all methods, processes and systems used to estimate operational risks. DKB is included in the BayernLB Group's loss event reporting procedure.

Strategy

The treatment of operational risks is set out in the Risk Strategy and related sub-risk strategies and guidelines for non-financial risks. The strategic objective is to minimise or avoid risk based on a cost-benefit analysis. This requires operational risks to be identified and assessed as completely as possible.

Moreover, as part of ensuring risk-bearing capacity, the risk appetite and limits are set for operational risks, and compliance with these is monitored on an ongoing basis.

Measurement

Operational risks are estimated for the calculation of risk-bearing capacity using the operational value-at-risk (OpVaR) calculation. The calculation is based on the losses incurred at BayernLB and DKB, the external losses collected via a data consortium and the potential losses identified as part of the operational risk self-assessment (OSA) and scenario analyses at BayernLB and DKB. The calculation applies a loss distribution approach, using a confidence level of 99.90 percent. The key model assumptions and parameters used in the model are reviewed once a year.

In addition to recording losses, OSA (OpRisk self-assessment), which was repeated in 2023, serves as an important database for OpRisk management activities. In particular, this assessed the risks already identified and updated them where necessary. The assessment also took into consideration the results of Group-internal risk analyses (e.g. project analysis). The OSA also specifically addressed and dealt with current issues (e.g. effects of the Fokus 2024 transformation project relevant to OpRisk and sustainability risks with an OpRisk background).

The standard regulatory approach is used to calculate the regulatory capital backing for operational risks.

Management and monitoring

Operational risks at the BayernLB Group are reported to the Board of Management monthly as part of the regular reporting on risk and on an ad hoc basis if material loss events occur. Transpired loss events, changes in the risk profile (risks and scenarios) and the resulting capital charges form a major part of the regular reporting.

Operational risks are included in stress analyses and the monitoring of risk-bearing capacity across all types of risk, and integrated into the overall management of risk and the Risk Strategy.

ESG risks

An analysis of actual historical loss events found the potential for losses when it comes to operational risk was almost negligible in the case of physical risks. In addition, the recorded loss events could not be clearly linked to climate change. In respect of potential risks, however, the Bank analysed the BayernLB Group's locations for physical risks (e.g. flooding, storms, hail, tornadoes, etc.) and the locations for critical outsourcing (e.g. data centres). Even if the BayernLB Group is not aware of any transitory loss events, the second line (e.g. the Legal Services & BoM Support Division) monitors legal and potential liability risks. This includes in particular the monitoring of case law.

Business continuity management

Business continuity management (BCM) is used at the BayernLB Group to manage risks to the continuation of business operations and deal with crisis situations. BCM establishes core procedures for continuing/restoring operations and has an integrated emergency/crisis management procedure for handling events that could have a sustained impact on activities and resources.

In financial year 2023, the effectiveness of the process-specific business continuity plans was also verified through emergency exercises in the departments. By creating a Bank-wide alert tool, it is possible to respond promptly to potential disruptions which could put the Bank's ability to continue as a going concern at risk, and to implement appropriate emergency and crisis-management measures. Despite the incidents that occurred in the financial year, it was able to continue as a going concern.

BCM is anchored in the framework instruction on BCM for BayernLB and the BayernLB Group and in the BCM strategy and Group management directive. The requirements include identifying

time-critical activities and processes and specifying business continuity plans and restarting procedures to protect these. They also cover regular testing of the effectiveness and suitability of the emergency measures defined. Care is taken to ensure that the interfaces between disruption, emergency and crisis management are clearly defined and that clear escalation and de-escalation processes are in place. As part of the NFR reporting (fourth quarter), compliance with standards by Group companies is regularly reported to the member of the Board of Management responsible for BCM.

Current situation

Owing to the reassessment of risk scenarios, the BayernLB Group's risk capital requirements increased on the comparison date of 31 December 2023 to EUR 480 million (FY 2022: EUR 438 million) and in BayernLB to EUR 302 million (FY 2022: EUR 295 million).

Compared with the previous year, the losses incurred at the BayernLB Group resulting from operational risks following the implementation of loss minimisation measures increased to EUR 37.6 million (restated FY 2022: EUR 10.4 million).

Losses reported at BayernLB increased year on year to EUR 7.5 million (FY 2022: EUR 0.6 million). The majority of the losses were accounted for by the event category "execution, delivery and process management".

At DKB, the total losses resulting from operational risks following the implementation of loss minimisation measures rose year on year to EUR 30.1 million (restated FY 2022: EUR 9.8 million). The majority of the losses were accounted for by the event category "external fraud". There were no loss events associated with climate and environmental risks during the reporting period.

Owing to its business model, the Bank is also exposed to information security risks, including cyber risks. The Bank is closely monitoring the global geopolitical situation for any emerging threats to the security of banking transactions and databases. The Bank's security data protection function is also keeping an eye on relevant trends and developments in the sector.

Summary

In the reporting year, the total losses resulting from operational risks incurred at the BayernLB Group following the implementation of loss minimisation measures increased.

General overview

The risk situation remained stable overall, despite the challenging geopolitical and macroeconomic environment in 2023. The BayernLB Group expects the high level of uncertainty and volatility on the markets to persist in 2024, but considers itself to be well equipped to deal with these challenges, thanks to its proven, active risk management.

The BayernLB Group had adequate risk-bearing capacity at all times during the reporting period. The stress scenarios conducted also confirmed that adequate capital is held. The liquidity situation remained good. Where necessary, due account was taken of the risks in the credit business through risk provisions.

Regulatory solvency requirements were met. Own funds amounted to EUR 15.1 billion at the BayernLB Group and EUR 11.5 billion at BayernLB (figures as per the financial statements as at 31 December 2023; further details are reported in the notes under capital management).

The risk management and controlling system at the BayernLB Group had appropriate processes to ensure compliance with regulatory requirements while managing risks from an economic viewpoint.

Report on expected developments and opportunities

The following outlook is for a horizon of one year, which corresponds to the management timeframe used in the Group. The report on expected developments and opportunities is based on the expectations and estimates of the BayernLB Group and may be affected by unforeseeable events. This means that the actual business performance may deviate either positively or negatively from the expectations described below due to political or economic conditions or other factors.

The Bank conducts its planning on a rolling basis, which also allows it to seize opportunities that temporarily arise both swiftly and systematically and to duly respond to unexpected risks. Its significant risks are described in the risk report.

Macroeconomic forecast

Economy, inflation and monetary policy

The risks to the global economy remain elevated in what is still a volatile geopolitical environment.⁶⁷ In particular, there is uncertainty about the extent to which the huge interest rate hikes by central banks in the West in 2022 and 2023 will cool down the economy and rein in inflation. However, BayernLB believes the economy will slowly revive after a weak start to 2024 and that the rate of inflation, which stayed stubbornly high at the beginning of the year, will head towards the targets set by the central banks. Starting with the Fed in the middle of the year, other key Western central banks will begin winding down rates, with the ECB will holding back from doing so until the end of summer 2024. If another negative economic shock arises, it could have serious consequences, as the room for manoeuvre for monetary and fiscal policy is severely constrained.

2024 will likely fall into two parts from an economic perspective. Although the wars in Ukraine and Israel are not expected to escalate further, it is probable that in the first half of the year markets' attention will once again be focused on the conflict in the Middle East, which will temporarily lead to rising oil prices and financial markets switching to risk-off mode. Consumer confidence could also be weighed down by this. Consumers in the US are increasingly feeling the impact of higher interest rates and a cooling labour market. In Europe, a moderate rise in unemployment will also erode consumers' purchasing power and initially offset the diminishing pressure from falling inflation. At the same time, the increased pain from higher interest rates is proving problematic for businesses on both sides of the Atlantic, which will respond by cutting back on capital expenditure. In China, the economic recovery will not be enough to keep pace with previous cycles owing to persistently high youth unemployment, which is weighing on consumer sentiment, and the ongoing consolidation in the real estate sector, which is not yet over. The same will apply to the second half of the year there. By contrast, a slight recovery in the economy is expected in the US and Europe. The tailwind for this will come from rising real wages, the end of the monetary tightening from 2023 and forthcoming interest rate cuts by the Fed.

⁶⁷ See BayernLB Research, *Perspektiven 10/2023*, updated in *Perspektiven 2/2024*.

In Germany, the bout of stagflation that has persisted for more than a year is likely to continue in early 2024, against the backdrop of temporarily higher inflation readings (CPI annual average forecast: 2.7 percent compared with the previous year) and a brittle consumer climate. The government's fiscal austerity measures needed to meet the debt brake, a cocktail of tax increases and withdrawals of subsidies, will put a damper on the economy. However, a recovery in the second half of the year is a possibility if inflation sinks further below nominal wage rises, consumption picks up and the ECB cuts its key rates. Capital spending by companies will benefit strongly from the more favourable refinancing conditions. Housing prices are likely to continue to slide in 2024, with construction falling further. Consumer-related sectors are expected to recover slightly. Germany's real gross domestic product should register modest year-on-year growth of 0.3 percent, according to BayernLB Research.

As a whole, this gloomy short-term outlook also applies to Bavaria: the economy is likely to stagnate in the first half of the year before picking up pace in the second half. As the wave of inflation recedes, real wage increases should support private consumption and companies will likely regain confidence and invest more heavily in light of rising demand from abroad and falling interest rates. For the Bavarian construction industry, the weak economic environment coupled with lower demand means it will have to face major challenges for the long term, especially in residential construction. A decline in new construction starts is anticipated for 2024 due to a rise in order cancellations in the residential segment. Mirroring the trend in Germany, prices for residential property in Bavaria will continue to slide in 2024, while rents will probably jump due to the ongoing housing shortage.

On the exchange-rate front, BayernLB is expecting the dollar to lose some value overall in 2024. This is due to the fact that US growth is likely to go on hold in the first half of the year before (only) recovering its previous strength, while the eurozone economy should improve over the course of the year after a long period of weakness. The Bank also believes the Fed will commence cutting base rates in June, which is later than markets have been expecting, but before the ECB does the same (in September). In light of this situation and based on a further tightening of the currently still-wide transatlantic spreads, BayernLB expects the dollar to depreciate to EUR-USD 1.12 by the end of 2024.

Financial and real estate markets

The bond markets in the eurozone and the US will probably be taken aback when inflated expectations of interest rate cuts are modified at the start of 2024, as the ECB and the Fed will ease monetary policy more cautiously than priced in by financial markets at the turn of the year. Therefore, BayernLB's opinion is that yields on German Bunds and US Treasuries will correct upwards for a limited period in the first quarter from their position at the beginning of the year. For short-dated debt especially, the impending rate cuts by the Fed and ECB point to a further fall in Bund and Treasury yields in the period to the end of 2024. Yields on longer maturities, on the other hand, should be buoyed by the persistently high supply of bonds due to big budget deficits and falling demand from the Fed and ECB as they reduce their holdings of bonds. At the end of 2024, the Bank forecasts the 10-year Bund will be yielding 2.2 percent, with 10-year US Treasuries yielding 3.8 percent. Given central banks' data-dependent approach, surprises in inflationary trends in particular could once again result in high volatility in the bond markets in 2024.

Covered bond investors can also expect a high positive net new supply in 2024. With probably EUR 100.0 billion of fixed income due to mature, it is anticipated gross issues of new debt will exceed EUR 177.5 billion. Demand by banks for cheap refinancing on capital markets will remain high. Two factors here will be maturing funds from long-term refinancing facilities (TLTRO III; outstanding volumes of EUR 392.3 billion⁶⁸) provided by the ECB, which expire this year and will have to be replaced, and higher interest rates leading to fiercer competition for deposits. Spreads are initially likely to widen somewhat, as changes in the ECB's monetary policy and high volumes of new issues will keep spread volatility elevated. However, spreads will continue to be supported by the banks' being in fundamentally good shape, the improved attractiveness of the asset class for investors due to the higher returns and the consolidation in interest rates expected for the second half of the year.

The first half of the year will be a challenging situation for the corporate bond markets, with volatile spreads potentially moving above their current levels. The main risks include, besides a possible escalation in the Middle East, the corporate reporting season and changes in market expectations of interest rate cuts. As the macro-environment brightens and the Fed and ECB begin to cut interest rates in the second half of the year, spreads should tighten (to 70 basis points, by the end of 2024, as measured on the iBoxx Non-Financials). Further spread tightening is unlikely to be lasting with inflation rates and interest rates above pre-crisis levels and growth down. The ECB's announcement that it will gradually stop reinvesting under the PEPP will not have any impact on the corporate bond sector.

For 2024, the Bank is expecting global volumes of new issues of ESG-themed bonds of EUR 983 billion, corresponding to growth of around 5 percent. BayernLB forecasts that the proportion of green bonds to the total volume will increase again following the decline in recent years, as the possibilities this asset class provides for investing directly in clearly defined environmental projects are increasingly finding favour among investors. Growth will probably be strongly driven by non-financial companies, which will continue to invest in modernising their energy infrastructure in order to deal with rising CO₂ prices. Supranational issuers, especially from the EU, will also probably make greater use of the markets if government investment programmes are utilised more heavily again. In contrast, BayernLB anticipates less from financial companies, as high interest rates are having a chilling effect on the construction sector and fewer projects that could be eligible for banks for refinancing are being carried out. BayernLB Research is expecting sustainability-linked bond volumes to partially recover in 2024 following a marked drop in 2023, although it is no way certain that this asset class can regain momentum after two years of steep falls. Some investors are still convinced that further reforms to these bonds' regulatory structure are needed.

Concerning the stock markets, the Bank believes prices will rise slightly overall for 2024 as a whole. The principal supporting factors are the interest rate cuts by the Fed, which are expected to begin in the middle of the year, with the ECB following suit shortly thereafter, and the economy picking up steam again as the year rolls on. For the first half of 2024, following a dazzling

⁶⁸ See ECB 2024, downloaded on 11 March 2024, <https://www.ecb.europa.eu/mopo/implement/omo/html/index.en.html>.

two final months of 2023 and a good start to the new year, the Bank is predicting there will initially be some consolidation with short-lived corrections. Equities will be knocked back by a reset of the interest-rate optimism evident at the start of the year. Temporary headwinds are also likely from a cooling US economy and its negative impact on corporate earnings. On top of this, the US election will increasingly come onto the radar and trigger uncertainty. We predict that the German DAX stock market index will close the year at 17,500. Risks to the stock market lie mainly in an unexpectedly stubborn inflationary trend resulting in persistently higher interest rates, a more pronounced economic slowdown with a slide in corporate earnings and an escalation in geopolitical conflicts.

The situation on the German real estate market is also likely to remain fragile in 2024. While residential property prices will probably experience moderate falls of 4.5 percent, commercial property prices are expected to plunge by a further 13.0 percent. The supply of residential property in particular will remain tight, especially in the top seven cities. This shortage will become even more evident in 2024 due to the observed slump in construction activity over the two previous years, which will shield the residential real estate market from more pronounced price falls. Owing to the high level of uncertainty concerning future demand for office space as a result of the trend towards remote working and the persistently weak growth of the economy, office property prices are predicted to fall in 2024 too. For bricks-and-mortar retail, the picture is similarly gloomy. Bricks-and-mortar non-food retail will remain in crisis in 2024, particularly in the clothing sector due to the ongoing trend towards online retail and weak consumer sentiment. Despite a big jump in revenue in the previous two years and a generally more bullish mood in the hotel industry, the Bank is not expecting to observe travel activity in 2024, particularly business trips, fully recovering to the record levels of 2019.

The US commercial real estate market is in a serious crisis. Even price reductions of 29 percent for US office properties have not increased transaction activity. Therefore, the process of prices on the office real estate market finding their true levels does not yet appear to be fully complete. Further, above-average falls in prices are looming in 2024. The Bank is therefore predicting another 7.5 percent drop in prices for the commercial real estate market as a whole in 2024. Consequently, corrections on the US commercial real estate market will continue despite the expected interest rate cuts over the course of the year. The Bank is not anticipating transaction levels to intensify until mid-2024 at the earliest.

Sector forecasts

For the banking sector, the tailwind of the past few quarters, which was driven by central banks' rate hiking, is beginning to turn. Based on consensus expectations of falling (key) rates in 2024, interest margins will depart from their recent upwards trend. A high priority will be given to managing deposit terms and conditions. The flattening of the yield curve after its strong inversion in the medium maturity range will make asset/liability management an easier task at least. At the same time, compared with the decade of low/negative interest rates, the conditions are much more favourable for optimising business models and increasing profits in the sector.

The economic brake from hawkish monetary policy will initially intensify and only start to ease when the central banks starting rowing back with caution. The risks for banks here are an increase in risk costs, which could be most pronounced in the case of unsecured consumer loans, lending to small and medium-sized enterprises and commercial real estate loans. At the same time, credit growth may remain muted. Inflation will also remain an issue, pushing up administrative costs. Overall, the expectation is of a decline in earnings from a high level, but there are no concerns they may implode.

But if geopolitical tensions escalate, especially with Russia or China or in the Middle East, this could have an adverse impact on banks and capital markets at any time. Were this to happen, it would take a direct toll on refinancing, which has become harder with the loss of the ECB's long-term refinancing transactions. Given robust liquidity ratios and high-volume new issues on the capital market at the start of 2024, banks should be able to achieve their refinancing plans. The remaining balance of TLTRO loans is low compared with the peak levels of utilisation and the liquidity buffer, although differences between countries can be seen. Potential outflows of deposits caused by the reduction of surplus liquidity on the market will be viewed in a critical light at any rate and will have to be prudently managed by the banks.

On the regulatory requirements front, banks will have to start paying attention to two specific issues. The first is implementing the specific requirements of the banking package (CRR/CRD), which finalised Basel III in European legislation. The second is the increase in requirements concerning the identification and management of climate risks in the financial system.

Regulatory environment

In the future, as has unerringly been the case in previous years, the banking supervisory authorities will continue to account for a large proportion of new regulatory requirements issued.

Capital Requirements Regulation (CRR)

Looking ahead to the next few years, the implementation in Europe of the finalised Basel III regulations in particular will move more sharply into focus. The final compromise text of the Permanent Representatives Committee of the EU Member States for the next CRR version (CRR III), which will be binding from 1 January 2025, has been available since December 2023.

The main revisions to the regulations concern the credit risk standardised approach (CRSA) and the internal ratings-based approach (IRBA) for measuring credit risks. An output floor of 72.5 percent is also being introduced, which will limit the advantages of using the IRBA and link it to the results of the CRSA.

The banks will therefore be confronted with an extensive array of IT requirements which they will have only a short amount of time to implement. Furthermore, not only the reporting process but also the capital planning and capital management processes, e.g. relating to the output floor, will need to be modified to bring them into line with the new rules.

The European Banking Authority (EBA) is currently reviewing Common Equity Tier 1 capital instruments issued prior to the entry into force of the CRR. The capital contribution with a nominal value of EUR 612 million and share of CET1 capital of around EUR 1.7 billion made by the Free State of Bavaria is therefore also being looked at. From the supervisory authority's perspective, this capital contribution may not be CRR-compliant enough and would therefore no longer be classed in this form as CET1 capital in the future. The ECB is expecting a solution will be agreed between the Free State of Bavaria, the Association of Bavarian Savings and BayernLB in the near future. The parties involved are currently discussing how to proceed in order to prevent a reduction in CET1 capital.

Digital transformation

As one of its supervisory priorities, the ECB announced it would continue devoting more attention to the risks posed by the digital transformation of banks. Among its objectives, it will drive forward the digital transformation of the banks to strengthen their business models and competitiveness against other actors outside the banking sector.

It will also pay special attention to banks' operational resilience to IT security risks and cyber attacks, in particular in the light of the geopolitical situation. In connection with this, the ECB is planning to carry out further on-site inspections and follow-ups. For the start of 2024, the ECB has announced the first thematic stress test on cyber resilience, which will determine the impact of a major technical disruption on the banks concerned.

At European level, a financial sector-wide regulation – known as DORA (Digital Operational Resilience Act) – will be drawn up by 2025 to make the European financial market more robust against cyber risks and information and communication technology (ICT) incidents. In 2023, BayernLB conducted an analysis on this issue and will launch a project in 2024 to implement specific measures.

Sustainability reporting and climate stress tests

The topic of sustainability will remain a focus of banking regulators in the upcoming years. Under the EU taxonomy regime, a new indicator will come into the foreground: the green asset ratio (GAR), which banks must report as of 2024. In addition, the scope of sustainability reporting will be extended in stages over the next few years. The requirements on companies in respect of sustainability reporting are undergoing far-reaching changes as a result of the EU's Corporate Sustainability Reporting Directive (CSRD). CSRD reporting will become significantly more important for BayernLB as well from 2024 and will be implemented within the scope of Project SUSTAINABILITY.

Supervisory activities are also expected to increase in respect of the management of climate and environmental risks and their integration into the business models and strategies. The ECB is expecting climate and environmental risks to be considered in the future as internal ratings procedures are updated.

Internal models

In 2020 the ECB, in cooperation with the national supervisory authorities, completed its “TRIM” project (Targeted Review of Internal Models), the purpose of which was to review, on an EU-wide basis, the models used in the banking sector. Based on the findings and the resulting additional supervisory requirements of the EBA, which are currently being looked at by the banks as part of the “EBA repair programme”, various banking requirements are being drawn up and will have to be complied with over the coming years.

The ECB is also encouraging banks to reduce the number of internal models they use and has laid down criteria for relinquishing approved internal models.

Geopolitical and macroeconomic situation

The ongoing macroeconomic risks and geopolitical uncertainties have prompted the ECB to continue giving high priority to the resilience of the European banking sector. It is anticipated that the usual supervisory activities concerning lending and monitoring processes, model checks and on-site inspections will increasingly focus on the portfolios potentially affected by the crisis. In addition, the ECB has cited banks’ asset/liability management as a supervisory priority to ensure that funding, interest rate and credit spread risks are adequately managed, and that banks have sufficient sources of funding even during a crisis and are resilient to rises in funding costs.

Bank levy

The building-up phase to reach the target volume for the bank levy was initially completed when the volume was reached on 31 December 2023. Under normal circumstances, a review of the target level is carried out every year to confirm that the financial means available to the SRF are at least 1 percent of the amount of the covered deposits of all authorised banks held in the participating member states. If the findings of such a review confirm this, the SRB will resume the regular collection of contributions to the SRF. BayernLB expects to pay much lower contributions to the bank levy in the future.

Deposit protection

A key provision of the regulatory requirements implemented by the guarantee scheme of the Savings Banks Finance Group is the establishment of an additional guarantee fund to provide banks with support (on top of the guarantee fund already required under the law). This additional fund will be filled from 2025 to 2032. The annual contributions for this additional fund are anticipated to cost BayernLB a figure in the mid double-digit millions per year over this period.

Company forecasts

Expectations regarding the BayernLB Group

Key forecast assumptions

In its forecast for financial year 2024, the BayernLB Group has made the following key assumptions:

- Continued high levels of uncertainty on markets; macroeconomic environment dominated by a fall in inflation rates; cuts in interest rates in response to this not expected until the second half of 2024
- Significant reluctance to invest on the real estate markets due to higher financing costs continues; however, labour market remains robust with wages tending to increase
- Competition remains fierce with financial sector under heavy pressure to digitalise and cut costs
- Continued systematic implementation of target strategic investments at BayernLB and DKB while maintaining strict cost discipline

In a macroeconomic environment that continues to be highly volatile, the following key indicators are expected for the BayernLB Group:

	Results for 2023	Outlook for 2024
Profit/loss before taxes	EUR 1,441 m	EUR 1,000 - 1,200 m
Return on equity (RoE)	12.7%	>8.0 %
Cost/income ratio (CIR)	46.8%	<55.0 %
Common Equity Tier 1 (CET1) capital ratio	19.3%	>17.0 %
Leverage ratio	4.7%	>4.0 %

BayernLB anticipates that the Group's risk-bearing capacity will remain comfortable, and its capital base very solid, in 2024.

For 2024, BayernLB expects the increased negative impact from risk provisions to continue and predicts a significant rise in the non-performing loan ratio for the BayernLB Group.

Under supervisory rules, a liquidity coverage ratio (LCR) of at least 100 percent is mandatory. For 2024, the BayernLB Group anticipates that it will continue to easily exceed the minimum ratio and will stay at a high level, though with a slight downward trend compared with the end of 2023. For the end of 2024, the BayernLB Group is forecasting an LCR in the region of around 178 percent.

For 2024, the BayernLB Group is forecasting an NSRF in the region of 120.0-135.0 percent.

In 2024, BayernLB's net profit for the year after taxes (HGB) is expected to be slightly higher than in financial year 2023.

The outlook for 2024 is still fraught with significant uncertainty due to the ongoing war between Russia and Ukraine, other geopolitical risks such as the Middle East conflict, the accompanying supply bottlenecks, and a sluggish recovery in the global economy. BayernLB expects economic and financial consequences which will impact economic activity and therefore the business performance and financial targets/management ratios of the BayernLB Group.

Expectations regarding the operating business segments

Real Estate & Savings Banks/Financial Institutions segment

For the Real Estate & Savings Banks/Financial Institutions segment, BayernLB expects good growth in business in 2024 as well. In anticipation of a still-challenging market environment, the Bank foresees that the real estate financing business will be noticeably subdued but that this will be mitigated by additional earnings potential in the deposit business and from capital investments given the higher interest rates. The additions to risk provisions are likely to be lower than in 2023 due to the fact that post-model adjustments have already been made to the commercial real estate portfolio. At the same time, the Bank is not expecting recoveries on written down receivables to be as high as they were in 2023. BayernLB believes earnings and the return on equity (RoE) will be lower overall than in the previous year, with administrative expenses undergoing only a moderate rise. The CIR is expected to stay at the same level it was at in 2023.

Corporates & Markets segment

After a better-than-expected increase in earnings in 2023, BayernLB is forecasting the Corporates & Markets segment will post good earnings growth in 2024 as the streamlining strategy continues to be systematically implemented. Risk provisions are predicted to be significantly higher than the very small amount in 2023, reflecting the expected structural risk levels of the credit portfolio in the corporates business. Overall, the Bank is anticipating lower earnings and return on equity (RoE) than in 2023. The CIR should fall further due to a slight decline in administrative expenses amid rising earnings.

DKB segment

With earnings having soared in 2023, largely driven by the interest rate trend and positive effects on earnings in the deposit business, BayernLB expects the DKB segment to continue to post very good but significantly lower earnings following the expected decline in interest rates, increasing competition for customer deposits and customers' greater sensitivity to interest rates. Furthermore, in light of the persistingly uncertain market environment, a moderate increase in net risk provisions is forecast. In the wake of this, the return on equity (RoE) is still expected to be at a very pleasing level, but markedly lower than in the previous year. The cost-income ratio (CIR) will stay at a good level, but will probably be higher than in 2023 owing to a smaller earnings base despite the expectation of stable administrative expenses.

Strategic course of the BayernLB Group

Readopted in 2023, the envisioned strategy will continue to form the strategic framework within which the BayernLB Group operates. In view of this, in 2024 the Bank will continue to pursue its goals and objectives outlined in the section on the business model and Group strategy in the combined management report for financial year 2023.

BayernLB's objective for the upcoming years is to continuously adjust its envisioned strategy to take account of technological progress, market developments and the competition at large.

The fundamental indicators for the successful implementation of the BayernLB Group's business strategy are a solid capital base, a stable core business, and continued progress on BayernLB's IT transformation as planned, with the cost targets being met. The Group will also continue transforming DKB into a modern tech bank. The goal is to continue along the growth path, with more focus placed on maintaining cost discipline in the company through specific and appropriate measures.

The financial thresholds for the Group were adjusted in particular due to increasing profitability requirements resulting from higher interest rates in 2023. The financial targets for 2026 include an RWA volume of around EUR 75 billion. The BayernLB Group also plans to achieve a return on equity (RoE) before taxes of around 11 percent and a CIR of about 50 percent. On top of this, it is still aiming for a Common Equity Tier 1 ratio (on a consolidated basis) of more than 14 percent.

Based on this systematic and sustainable strategy, the Bank will be working over the next few years to further increase the share of its portfolio that is ESG-compliant and impactful. To this end, BayernLB has systematically driven forward all relevant topics as part of its Sustainability Strategy. Among other things, the Bank aims to significantly increase once again the share of ESG-compliant financing in its portfolio and make the portfolio climate-neutral before 2050.

Our expectations for the operating business segments and the strategic course of the BayernLB Group are dependent on various external and internal factors. The timely and complete implementation of the strategic objectives may be adversely affected by the reduced earnings capacity of some core business areas, especially given the challenging geopolitical and macroeconomic environment (in particular higher interest rates, inflation and weak economic growth, notably in

the core market of Germany), and by changes in the Group's regulatory requirements. The BayernLB Group could be adversely affected by a prolonged downturn in local, regional or global economic conditions.

Opportunities and risks

The section below focuses on future trends or events which may create downside or upside potential compared with what the BayernLB Group expects for its financial indicators and strategic course.

Macroeconomic opportunities and risks

The most important downside risks will arise from the ongoing impact of rising interest rates and persistently elevated inflation, a potential further tightening of lending standards, a further deterioration in the macroeconomic environment, including a softer economy and corrections on financial markets, and heightened geopolitical risks.

The global economic environment in 2024 will be largely defined by the pivoting of the major central banks, limp growth in Europe and the risk of a recession in the US. Towards the middle of the year, inflation rates will gradually fall and economic growth will accelerate. Year-on-year growth of 2.3 percent is expected for the global economy.

As before, the biggest economic risks in 2024 will come from foreign policy issues. The power struggle between the US and China will be a risk to the international order and global trade. The presidential elections in the US will be an additional source of uncertainty. Regional conflicts and the struggle for access to raw materials (notably energy) and intermediate products could be a new challenge for the strongly export-oriented German economy. Russia's war in Ukraine and the war in Israel will remain trouble hotspots in our immediate neighbourhood. The German government's fiscal austerity measures could slow down the transformation of the economy and deepen the recession. Ultimately, the high interest rates could lead to further setbacks on financial markets or the real estate market, especially in the US and with commercial property. This could produce a negative outcome for certain banks which are highly exposed. An aggressive or resistant strain of the coronavirus, lockdowns and supply problems are now less likely but cannot be ruled out.

The opportunities in the economic forecast are a recovery in private consumption due to higher real wages and increased investment activity given falling interest rates.

Opportunities could arise if macroeconomic conditions improve beyond what is currently being predicted, which could lead to higher earnings and enable the BayernLB Group to achieve its financial goals.

At the same time, higher inflation, higher interest rates and market volatility could produce higher earnings in the trading business and higher net interest income and credit margins.

Company-specific opportunities and risks

Overall, the BayernLB Group is still committed to the strategic path it has taken, even in light of the geopolitical and economic challenges. Given its balanced positioning in its various areas of business, BayernLB considers itself to be resilient in the face of a crisis. Consequently, it can be innovative and forward-looking, particularly in the context of its strategic transformation.

Although BayernLB plans continuously and adapts to changing situations, there is the risk of a significant deterioration in the business environment leading to an adverse change in confidence in the banking sector or customer behaviour, preventing the targets from being met. For the BayernLB Group, this could result in unexpected losses, a rise in impairments and provisions or a need to increase investment (possibly amid inflation-related rises in costs). This scenario could also negatively impact profitability or the capital base.

As part of the transformation measures (especially IT), the BayernLB Group is involved in project activities under long-term contracts which are awarded in highly competitive tender processes. The contracts generally come with risk, as they may involve taking on virtually all risks associated with the completion of the project, including warranty obligations after accepting the project.

Also, while the targeted efficiency improvement and digitalisation measures have the potential to generate earnings and cut down on costs, it will be some time before this bears fruit with a better bottom line.

Owing to its business model, the Bank is also exposed to information security risks, including cyber risks. The Bank is closely monitoring the global geopolitical situation for any emerging threats to the security of banking transactions and databases. The Bank's security data protection function is also keeping an eye on relevant trends and developments in the sector.

Although the ongoing process of digitalisation and supervisory authorities' increased focus on sustainability pose potential risks (as they would result in changes to market and customer requirements), they also offer the BayernLB Group opportunities to modify and refine its business model.

Factoring in the war between Russia and Ukraine and the conflict in the Middle East, there is also huge uncertainty about the future direction of the economy. It is anticipated the economy and therefore Germany will be negatively impacted by the sanctions on Russia that have already been agreed and those that are still expected, along with that country's potential response to them. The strength of the impact is, however, very difficult to ascertain and will depend on how the

war progresses and the associated sanctions. BayernLB is continuously evaluating these developments and their impact on BayernLB's risk situation as part of its risk management and monitoring.

New opportunities could come from the implementation of the strategy if this happens on a larger scale or under more favourable conditions than currently anticipated.

Regulatory opportunities and risks

Regulatory reforms, coupled with increased supervisory controls, have had and will have an impact on the operating environment and the business model, as well as the BayernLB Group's strategic course. For instance, the banking supervisory authorities may stipulate higher regulatory capital and liquidity ratios and restrict the payment of distributable dividends.

Measures taken by the ECB through new and amended monetary policy instruments could also have a negative impact on the BayernLB Group. Furthermore, a macroeconomic downturn might trigger a fall in deposit and credit volumes.

There are further risks, not just from the growing number of requirements in the regulatory environment but also from the Group's commitment to its own sustainability and climate-protection goals. Additional costs could come from ever more ESG requirements by governments, investors and customers, as well as from restrictions on financing greenhouse gas-intensive technology. The scarcity of ESG assets (i.e. taxonomy-eligible ones) could restrict the BayernLB Group's ability to issue ESG financing instruments.

But a favourable political and regulatory environment, including the transition to a low-carbon economy, could build more positive sentiment for investing in industry, which would support the growth of our markets. Furthermore, government initiatives and subsidies (including tax reforms, green and digital promotion programmes, research and development and similar measures) could mean more government spending, for example, on infrastructure, health, mobility and digitalisation investments, and ultimately provide opportunities to participate in them.

In addition, because of its membership in the institutional guarantee scheme of the Landesbanks, and due to the European bank levy, BayernLB may be called upon to make special payments if conditions deteriorate to the extent that a package of compensation and support measures is required, and this could have unforeseeable effects on the BayernLB Group's financial position and financial performance.

Furthermore, a shadow could also be cast if stricter than currently anticipated regulatory requirements are introduced.

On the other hand, the BayernLB Group may also find opportunities in the aforementioned scenarios over the forecast period if the outcome for the factors is more positive than expected.

**The BayernLB Group's
consolidated
financial statements**

160	Statement of comprehensive income
162	Balance sheet
163	Statement of changes in equity
165	Cash flow statement
166	Notes
303	Independent Auditor's Report
313	Responsibility statement by the Board of Management

Statement of comprehensive income

Income statement

EUR million	Notes	2023	2022
Interest income		10,674	5,120
Interest income from financial instruments determined using the effective interest method		7,115	3,750
Interest income – other		3,559	1,370
Interest expenses		(7,755)	(2,983)
Interest expenses from financial instruments determined using the effective interest method		(4,491)	(1,606)
Interest expenses – other		(3,264)	(1,377)
Net interest income	(26)	2,919	2,137
Risk provisions	(27)	(180)	(70)
Net interest income after risk provisions		2,740	2,067
Commission income		933	912
Commission expenses		(461)	(489)
Net commission income	(28)	473	424
Gains or losses on fair value measurement	(29)	226	67
Gains or losses on hedge accounting	(30)	(46)	(177)
Gains or losses on derecognised financial assets	(31)	(102)	(3)
Gains or losses on financial investments	(32)	(71)	(11)
Administrative expenses	(33)	(1,617)	(1,569)
Expenses for the bank levy and deposit guarantee scheme	(34)	(128)	(140)
Other income and expenses	(35)	59	356
Gains or losses on restructuring	(36)	(92)	108
Profit/loss before taxes		1,441	1,122
Income taxes	(37)	(271)	(64)
Profit/loss after taxes		1,170	1,058
Profit/loss attributable to non-controlling interests		(4)	(3)
Consolidated profit/loss		1,165	1,055

Rounding differences may occur in the tables.

Statement of comprehensive income

EUR million	Notes	2023	2022
Profit/loss after taxes as per the income statement		1,170	1,058
Components of other comprehensive income temporarily not recognised in profit or loss			
Changes in the revaluation surplus containing gains or losses on fair value measurement of financial assets in the "financial assets mandatorily measured at fair value through other comprehensive income" category	(59)	260	(555)
Change not including deferred taxes		337	(718)
Change in measurement		577	(1,551)
Reclassification adjustment due to realised gains and losses		(240)	833
Change in deferred taxes		(77)	164
Changes in the revaluation surplus containing changes in the fair value of currency swaps arising from currency basis spread fluctuations	(59)	1	9
Change not including deferred taxes		1	9
Change in measurement		(4)	9
Reclassification adjustment due to realised gains and losses		5	—
Change in deferred taxes		—	—
Currency-related change	(59)	1	—
Change not including deferred taxes		1	—
Change in measurement		1	—
Reclassification adjustment due to realised gains and losses		—	—
Change in deferred taxes		—	—
Components of other comprehensive income permanently not recognised in profit or loss			
Rating-related changes in the fair value of financial liabilities from the "fair value option" category recognised through other comprehensive income	(59)	15	77
Change not including deferred taxes		22	116
Change in the revaluation surplus for rating-related changes in the fair value of financial liabilities from the "fair value option" category		21	115
Change in retained earnings for realised rating-related changes in the fair value of financial liabilities from the "fair value option" category		1	1
Change in deferred taxes		(7)	(39)
Change due to remeasurement of defined benefit plans	(59)	(121)	726
Change not including deferred taxes		(169)	790
Change in measurement		(169)	790
Change in deferred taxes		48	(65)
Other comprehensive income after taxes		156	256
Total reported comprehensive income recognised and not recognised in profit or loss		1,326	1,314
Attributable:			
To BayernLB shareholders		1,322	1,311
To non-controlling interests		4	3

Rounding differences may occur in the tables.

Balance sheet

Assets

EUR million	Notes	31 Dec 2023	31 Dec 2022
Cash reserves	(7, 38)	1,858	2,151
Loans and advances to banks	(8, 39)	69,312	61,438
Loans and advances to customers	(8, 40)	171,069	165,939
Risk provisions	(9, 41)	(1,262)	(1,201)
Portfolio hedge adjustment assets	(10)	(3,216)	(4,651)
Assets held for trading	(11, 42)	12,261	11,495
Positive fair values from derivative financial instruments (hedge accounting)	(12, 43)	168	256
Financial investments	(13, 44)	18,065	18,035
Investment property	(14, 45)	20	21
Property, plant and equipment	(14, 46)	351	415
Intangible assets	(15, 47)	266	214
Current tax assets	(24, 48)	135	64
Deferred tax assets	(24, 48)	705	714
Non-current assets or disposal groups classified as held for sale	(16)	32	–
Other assets	(17, 49)	3,600	4,453
Total assets		273,364	259,343

Rounding differences may occur in the tables.

Liabilities

EUR million	Notes	31 Dec 2023	31 Dec 2022
Liabilities to banks	(18, 50)	51,925	60,964
Liabilities to customers	(18, 51)	143,309	123,304
Securitised liabilities	(18, 52)	50,195	45,771
Liabilities held for trading	(19, 53)	8,156	10,931
Negative fair values from derivative financial instruments (hedge accounting)	(20, 54)	202	512
Provisions	(21, 55)	1,162	1,104
Current tax liabilities	(24, 56)	203	118
Other liabilities	(22, 57)	767	647
Subordinated capital	(58)	2,812	2,451
Equity	(59)	14,633	13,540
Equity excluding non-controlling interests		14,621	13,529
Subscribed capital		3,412	3,412
Capital surplus		2,182	2,182
Retained earnings		8,792	8,101
Revaluation surplus		(117)	(392)
Foreign currency translation reserve		2	1
Distributable profit		350	225
Non-controlling interests		12	11
Total liabilities		273,364	259,343

Rounding differences may occur in the tables.

Statement of changes in equity

	Parent							Non- control- ling interests	
	Subscribed capital	Capital surplus	Retained earnings	Revaluation surplus	Currency translation reserve	Consolidated profit/loss	Equity before non-controlling interests		Consolidated equity
EUR million									
As at 31 Dec 2021	3,412	2,182	6,548	78	2	75	12,297	11	12,307
Adjusted as per IAS 8 ¹	–	–	(5)	–	–	–	(5)	–	(5)
As at 1 Jan 2022	3,412	2,182	6,543	78	2	75	12,291	11	12,302
Changes in the revaluation surplus									
Changes in the fair value of debt instruments – FVOCIM ²	–	–	–	(555)	–	–	(555)	–	(555)
Rating-related changes in the fair value of financial liabilities – FVPLD (FVO) ³	–	–	1	76	–	–	77	–	77
Changes in the fair value of currency swaps from currency basis spread fluctuations	–	–	–	9	–	–	9	–	9
Currency-related changes	–	–	–	–	–	–	–	–	–
Changes due to remeasurement of defined benefit plans	–	–	726	–	–	–	726	–	726
Other comprehensive income	–	–	727	(470)	–	–	256	–	256
Consolidated profit/loss	–	–	–	–	–	1,055	1,055	3	1,058
Total comprehensive income	–	–	727	(470)	–	1,055	1,311	3	1,314
Capital increase/ capital decrease	–	–	–	–	–	–	–	–	–
Changes in the scope of consolidation and other	–	–	2	–	–	–	2	–	2
Allocations to/withdrawals from reserves	–	–	830	–	–	(830)	–	–	–
Distribution of profits	–	–	–	–	–	(75)	(75)	(3)	(78)
As at 31 Dec 2022	3,412	2,182	8,101	(392)	1	225	13,529	11	13,540

	Parent						Non-control- ling interests	
EUR million	Subscribed capital	Capital surplus	Retained earnings	Revaluation surplus	Currency translation reserve	Consolidated profit/loss	Equity before non-controlling interests	Consolidated equity
As at 31 Dec 2022	3,412	2,182	8,101	(392)	1	225	13,529	11
Adjusted as per IAS 8								
As at 1 Jan 2023	3,412	2,182	8,101	(392)	1	225	13,529	11
Changes in the revaluation surplus								
Changes in the fair value of debt instruments – FVOCIM ²	–	–	–	260	–	–	260	–
Rating-related changes in the fair value of financial liabilities – FVPLD (FVO) ³	–	–	1	14	–	–	15	–
Changes in the fair value of currency swaps from currency basis spread fluctuations	–	–	–	1	–	–	1	–
Currency-related changes	–	–	–	–	1	–	1	–
Changes due to remeasurement of defined benefit plans	–	–	(121)	–	–	–	(121)	–
Other comprehensive income	–	–	(120)	275	1	–	156	–
Consolidated profit/loss	–	–	–	–	–	1,165	1,165	4
Total comprehensive income	–	–	(120)	275	1	1,165	1,322	4
Capital increase/ capital decrease	–	–	–	–	–	–	–	–
Changes in the scope of consolidation and other	–	–	(5)	–	–	–	(5)	–
Allocations to/withdrawals from reserves	–	–	815	–	–	(815)	–	–
Distribution of profits	–	–	–	–	–	(225)	(225)	(3)
As at 31 Dec 2023	3,412	2,182	8,792	(117)	2	350	14,621	12

Rounding differences may occur in the tables.

Details on equity can be found in note 59.

1 Adjusted as per IAS 8 following the modified retrospective application of the changes to IAS 37 (see 2022 Annual Report, note 1).

2 Revaluation surplus – gains or losses on fair value measurement of financial assets in the "financial assets mandatorily measured at fair value through other comprehensive income" category.

3 Revaluation surplus – rating-related changes in the fair value of financial liabilities from the "fair value option" category recognised through other comprehensive income, and reclassification of the rating-related changes in the fair value of these financial liabilities to retained earnings.

Cash flow statement

EUR million	1 Jan – 31 Dec 2023	1 Jan – 31 Dec 2022
Profit/loss after taxes	1,170	1,058
Items in consolidated profit/loss not affecting the cash flow and carryforwards to cash flow from operating activities		
Amortisation, depreciation, writedowns, loss allowances and writeups on receivables and fixed assets	405	266
Changes to provisions	183	(541)
Changes to other items not affecting cash flow	(266)	1,691
Gains or losses on the sale of assets	3	(290)
Other adjustments (net)	(2,834)	(2,103)
Sub-total	(1,339)	80
Changes to assets and liabilities from operating activities		
Loans and advances		
To banks	(7,942)	(5,171)
To customers	(6,688)	(1,840)
Risk provisions	(270)	(79)
Securities (unless financial investments) and derivatives	(3,102)	757
Other assets from operating activities	852	(679)
Liabilities		
To banks	(9,029)	(15,531)
To customers	20,045	3,915
Securitised liabilities	4,645	1,608
Other liabilities from operating activities	(1)	(106)
Cash flows from hedging derivatives	(264)	(486)
Interest and dividends received	19,681	7,900
Interest paid	(16,849)	(5,812)
Income tax payments	2	29
Cash flow from operating activities	(259)	(15,417)
Proceeds from the sale of		
Financial investments	3	10
Investment property	–	88
Property, plant and equipment	5	272
Intangible assets	–	–
Payments for the acquisition of		
Financial investments	(6)	(7)
Investment property	–	(8)
Property, plant and equipment	(18)	(68)
Intangible assets	(110)	(90)
Cash flow from investing activities	(126)	196
Disbursements to company owners and minority shareholders	(228)	(78)
Inflows from the issue of subordinated capital	819	
Outflows from the repayment of subordinated capital	(481)	(144)
Cash outflow/inflow from changes to non-controlling interests	–	–
Cash flow from financing activities	110	(222)
Cash and cash equivalents at end of previous period	2,151	17,542
+/- cash flow from operating activities	(259)	(15,417)
+/- cash flow from investing activities	(126)	196
+/- cash flow from financing activities	110	(222)
+/- exchange-rate, scope of consolidation and measurement-related changes in cash and cash equivalents	(18)	52
Cash and cash equivalents at end of period	1,858	2,151

Rounding differences may occur in the tables.

Details on the cash flow statement can be found in note 74.

Notes

Notes to the consolidated financial statements	168	
Accounting policies	169	
(1) Principles		(34) Expenses for the bank levy and deposit guarantee scheme
(2) Changes on the previous year		(35) Other income and expenses
(3) Scope of consolidation		(36) Gains or losses on restructuring
(4) Consolidation principles		(37) Income taxes
(5) Currency translation		
(6) Financial instruments		Notes to the balance sheet
(7) Cash reserves		208
(8) Loans and advances		(38) Cash reserves
(9) Risk provisions		(39) Loans and advances to banks
(10) Portfolio hedge adjustment assets		(40) Loans and advances to customers
(11) Assets held for trading		(41) Risk provisions
(12) Positive fair values from derivative financial instruments (hedge accounting)		(42) Assets held for trading
(13) Financial investments		(43) Positive fair values from derivative financial instruments (hedge accounting)
(14) Investment property and property, plant and equipment		(44) Financial investments
(15) Intangible assets		(45) Investment property
(16) Non-current assets or disposal groups classified as held for sale		(46) Property, plant and equipment
(17) Other assets		(47) Intangible assets
(18) Liabilities		(48) Current and deferred tax assets
(19) Liabilities held for trading		(49) Other assets
(20) Negative fair values from derivative financial instruments (hedge accounting)		(50) Liabilities to banks
(21) Provisions		(51) Liabilities to customers
(22) Other liabilities		(52) Securitised liabilities
(23) Leasing		(53) Liabilities held for trading
(24) Tax		(54) Negative fair values from derivative financial instruments (hedge accounting)
		(55) Provisions
		(56) Current and deferred tax liabilities
		(57) Other liabilities
		(58) Subordinated capital
		(59) Equity
Segment reporting	193	
(25) Notes to the segment report		
Notes to the statement of comprehensive income	199	
(26) Net interest income		Notes to financial instruments
(27) Risk provisions		238
(28) Net commission income		(60) Fair value of financial instruments
(29) Gains or losses on fair value measurement		(61) Financial instrument measurement categories
(30) Gains or losses on hedge accounting		(62) Fair value hierarchy of financial instruments
(31) Gains or losses on derecognised financial assets		(63) Financial instruments designated at fair value through profit or loss
(32) Gains or losses on financial investments		(64) Hedging relationships (hedge accounting)
(33) Administrative expenses		(65) Net profit or loss from financial instruments
		(66) Offsetting of financial instruments
		(67) Derivatives transactions
		(68) Transfer of financial assets

(69) IBOR reform

Notes to the cash flow statement 261

(70) Notes on items in the cash flow statement

Supplementary disclosures 262

(71) Subordinated assets

(72) Assets and liabilities in foreign currency

(73) Default risk

(74) Collateral received

(75) Revenue from contracts with customers

(76) Leasing

(77) Trust transactions

(78) Contingent assets, contingent liabilities and other commitments

(79) Other financial obligations

(80) Letters of comfort

(81) Shareholdings

(82) Unconsolidated structured entities

(83) Capital management

(84) Administrative bodies of BayernLB

(85) Related party disclosures

(86) External auditor's fees

(87) Human resources

Notes to the consolidated financial statements

The consolidated financial statements for Bayerische Landesbank, an institution established under public law, Munich, Germany (BayernLB), entered in the Commercial Register at Munich District Court (HRA 76030), for financial year 2023 were prepared in accordance with International Financial Reporting Standards (IFRS) pursuant to Commission Regulation 1606/2002 of the European Parliament and Council of 19 July 2002 (including all addenda), as well as supplementary provisions applicable under Section 315e para. 1 of the German Commercial Code (HGB). In addition to the IFRS standards, IFRSs also comprise the International Accounting Standards (IAS) and the interpretations of the IFRS Interpretations Committee (IFRIC) and the Standing Interpretations Committee (SIC). All standards and interpretations that are mandatory within the EU for financial year 2023 have been applied.

The consolidated financial statements contain the statement of comprehensive income including the income statement, the balance sheet, the statement of changes in equity, the cash flow statement and the notes, including the segment report. The reporting currency is the euro.

Unless otherwise stated, all amounts are given in EUR million and rounded up or down to the nearest whole figure. Rounding differences may occur in the tables.

The information on the nature and extent of risks arising from financial instruments (IFRS 7.31 to IFRS 7.42) is provided in the combined management report (see the credit risk, risk associated with equity interests, market risk and liquidity risk sections of the risk report), with the exception of the information on default risk as per IFRS 7.35A to IFRS 7.38, which is disclosed in the notes.

Accounting policies

(1) Principles

Pursuant to IFRS 10.19, the BayernLB Group's accounts are prepared in accordance with Group-wide accounting and valuation policies. Items are recognised and measured on the assumption of a going concern.

Income and expenses are treated on an accruals basis and recognised through profit or loss in the period to which they are economically attributable.

Estimates and assessments required for recognition and measurement pursuant to IFRS are made in accordance with the respective standards. They are regularly checked and are based on past experience and other factors such as expectations of future events. No assurance as to the reliability of estimates can be given, particularly when calculating the value of risk provisions, other types of provisions, deferred taxes or the fair value of financial instruments.

An asset is recognised when it is probable that the economic benefits will flow to the BayernLB Group in the future and its cost can be measured reliably.

A liability is recognised when it is probable that an outflow of resources embodying economic benefits will result from its settlement and the settlement amount can be measured reliably.

Impact of amended and new International Financial Reporting Standards

In the reporting year the following amended or newly issued standards were to be applied for the first time:

- **IFRS 17**

The new standard IFRS 17 Insurance Contracts replaces the standard IFRS 4 Insurance Contracts and contains new rules on accounting for insurance contracts. Accounting must be carried out in accordance with the provisions of IFRS 17 whenever the definition of an insurance contract is met. A contract meets this definition if one party accepts a significant insurance risk from another party by agreeing to compensate the policyholder if an unspecified uncertain future event adversely affects the policyholder. When issuing a guarantee agreement, BayernLB has the immediate right to the repayment of the guaranteed amount by the holder of the guarantee. A guarantee is not issued until a credit assessment of the holder of the guarantee is carried out. BayernLB is therefore not exposed to any significant insurance risk. The first-time application of the new standard (including the amendments) had no effect on BayernLB's consolidated financial statements as at 31 December 2023.

- **IAS 1**

The amendments to IAS 1 Presentation of Financial Statements specify the content of the disclosures on the accounting policies in the notes. There was no impact on BayernLB's consolidated financial statements as at 31 December 2023.

- **IAS 8**

The amendments to IAS Accounting Policies, Changes in Accounting Estimates and Errors introduced a definition for accounting estimates. The changes had no impact on BayernLB's consolidated financial statements as at 31 December 2023.

- **IAS 12**

The amendments to IAS 12 Income Taxes stipulate that deferred taxes must be recognised for transactions that, upon first-time recognition of an asset and a liability, give rise to temporary differences of the same amount that are taxable and eligible for a deduction. For BayernLB the amendments had no material impact on the consolidated financial statements as at 31 December 2023.

Further amendments to IAS 12 Income Taxes, resulting from the international corporate tax reform, will bring about a mandatory exception on recognising deferred taxes due to the implementation of the Pillar 2 model requirements. This did not have an impact on BayernLB's consolidated financial statements as at 31 December 2023. The increased disclosure obligations under the revised standard have been satisfied in note 37.

As permitted in the reporting year, BayernLB elected not to engage in voluntary, early application of the following amended standards incorporated into European law by the European Commission, whose application becomes mandatory in financial year 2024:

- **IFRS 16**

In September 2022, the International Accounting Standards Board (IASB) published amendments to IFRS 16 Leases, which contain rules for the subsequent measurement of a lease liability in the case of a sale and leaseback transaction. The amendments were incorporated into European law in November 2023 and take effect in the financial year beginning on or after 1 January 2024. BayernLB does not expect any material impact on its consolidated financial statements as a result.

- **IAS 1**

In January 2020 and October 2022, the IASB issued amendments to IAS 1 Presentation of Financial Statements that alter the criteria for classifying liabilities as current or non-current. The amendments were incorporated into European law in December 2023 and take effect in financial years beginning on or after 1 January 2024. No impact on BayernLB's consolidated financial statements is expected from these amendments.

The IASB has also issued the following amended standards in particular which have not yet been incorporated into European law:

- **IAS 7 and IFRS 7**

In May 2023, the IASB issued amendments to IAS 7 Statement of Cash Flows and IFRS 7 Financial Instruments: Disclosures which extend the content of the disclosures in the notes on supplier financing arrangements. The amendments take effect for the financial years beginning on or after 1 January 2024. No impact on BayernLB's consolidated financial statements is expected from these amendments.

- **IAS 21**

In August 2023 the IASB published amendments to IAS 21 The Effects of Changes in Foreign Exchange Rates, adding guidance to specify when a currency is not exchangeable. The amendments take effect for the financial years beginning on or after 1 January 2025. No impact on BayernLB's consolidated financial statements is expected from these amendments.

(2) Changes on the previous year

Adjustments in accordance with IAS 8.32 et seq.

The decision was taken during the reporting year to skip the review step if there is a “special constellation” when determining the expected credit losses (ECL) on financial instruments in Stage 1 and Stage 2, i.e. the adjustment to the ECL is reflected regardless of statistical significance (see note 73). This resulted in a non-significant increase in risk provisions in Stages 1 and 2 in the reporting year. The modifications to the accounting-related estimate will also have an impact on future periods which currently cannot be reliably estimated.

In the first half of 2023 changes were already made to the rating systems for international real estate and project financing to comply with the “Guidelines on PD estimation, LGD estimation and the treatment of defaulted exposures” (EBA/GL/2017/16). These centre on the rules for calculating default rates and the best estimate of the probability of default (PD). The impact of the modifications to the accounting-related estimates of the reporting period do not need to be systematically calculated. Following some test calculations, the Bank anticipates only a moderate rise in risk provisions in Stage 1 and Stage 2 overall. The modifications to the accounting-related estimate will also have an impact on future periods which currently cannot be reliably estimated.

Also in the reporting period, the amortisation period for selected intangible assets was shortened based on new findings. In the reporting period, this resulted in a one-off non-significant rise in administrative expenses and “expenses from the amortisation, depreciation, loss allowances and writedowns of property, plant and equipment and intangible assets”. This was offset by correspondingly lower writedowns in the following financial years.

Adjustments in accordance with IAS 8.41 et seq.

In the note on related party disclosures, the information on relationships with investees as at 31 December 2022 was incomplete. Following the necessary adjustments to the previous year's figures, loans and advances to customers went up by EUR 14 million, risk provisions by EUR 13 million, financial investments by EUR 176 million, other assets by EUR 1 million, liabilities to customers by EUR 45 million and provisions by EUR 1 million.

(3) Scope of consolidation

Besides the parent company, the group of companies consolidated within BayernLB comprises 15 (FY 2022: 15) subsidiaries that are consolidated in accordance with IFRS 10.

As before, it does not include any companies within the scope of consolidation that are measured at equity.

Determining the scope of consolidation

BayernLB's scope of consolidation is determined by materiality criteria. Ninety-five (FY 2022: 96) companies were not consolidated or measured at equity due to their negligible importance individually or collectively to the financial position and financial performance of the Group. The impact on the balance sheet of the contractual relationships between Group entities and these unconsolidated entities is recognised in the consolidated financial statements.

The list of shareholdings shows all the subsidiaries included in the consolidated financial statements (see note 81).

(4) Consolidation principles

BayernLB, the parent company, and the subsidiaries within the scope of consolidation are presented in the consolidated financial statements as an economic unit. The subsidiaries comprise all entities controlled by the BayernLB Group, regardless of their legal structure. These also include structured entities where voting or similar rights are not the dominant factor in deciding who controls the entity. This includes entities whose relevant activities are predetermined by a narrowly defined purpose in the articles of association or in other contractual arrangements or where the decision-making power of the governing body is permanently limited.

A subsidiary is controlled if the BayernLB Group is exposed to variable returns as a result of its involvement with this entity or has rights to them and the ability to influence these returns through its power over decisions affecting the entity. The BayernLB Group has control over an entity if it has rights that give it the current ability to direct the relevant activities of the entity. Relevant activities are those that, depending on the nature and the purpose of the entity, significantly affect its returns. Variable returns are all returns that have the potential to vary as a result of the entity's performance. Returns from involvement with an entity may therefore be positive or negative. Variable returns include dividends, fixed and variable interest, remuneration and fees, changes in the value of the investment and other economic benefits.

When assessing whether control exists, all facts and circumstances must be considered. These include voting rights and other contractual rights to direct relevant activities if no economic or other obstacles to the exercise of existing rights exist. Power of decision is exercised on the basis of voting rights if the BayernLB Group holds more than 50 percent of the voting rights based on equity instruments or contractual arrangements and its share of these voting rights gives it substantive power over the relevant activities. Other contractual rights that may give it controlling influence are primarily rights of appointment to or removal from corporate bodies, and rights of liquidation and other decision-making rights. Contractual arrangements designed to protect only

the interests of the BayernLB Group as creditor or minority shareholder (protective rights) do not constitute control.

The BayernLB Group also controls a subsidiary if control is exercised by a third party in the interest of and for the benefit of the BayernLB Group (principal-agent relationship). In such cases, if another party with decision-making rights acts as an agent for the BayernLB Group, it does not control the subsidiary as it is only exercising decision-making rights delegated by the BayernLB Group (the principal). To determine whether such delegated decision-making powers exist, an assessment is carried out based on the scope of its decision-making authority, the rights of other parties, the remuneration and the agent's exposure to risk.

In some cases, due to ongoing insolvency proceedings, the BayernLB Group holds more than 50 percent of the voting rights, but without the corresponding controlling influence. Conversely, in certain other cases, the BayernLB Group has contractual rights giving it controlling influence, but holds less than 50 percent of the voting rights.

Subsidiaries are included in the consolidated financial statements of the BayernLB Group through full consolidation. A subsidiary is consolidated from the date on which the BayernLB Group gains control over it.

When consolidating an acquisition, the cost of acquiring the subsidiary is eliminated against the Group's share of the equity on the date of acquisition. Where there is an acquisition within the definition of IFRS 3, this equity is the balance of the assets and liabilities of the acquired company measured at their fair value at initial consolidation, adjusted for deferred taxes. If any differences between the higher cost of acquisition and the Group's share of the remeasured equity remain on the assets side, they are recognised in the consolidated balance sheet as goodwill under intangible assets.

Equity interests in subsidiaries not owned by the parent company are disclosed under the equity item as non-controlling interests. If an entity deemed to be controlled under IFRS 10 is incorporated as a subsidiary into the consolidated financial statements and the interests in it are not considered equity pursuant to IAS 32, as is the case with an investment fund for example, the interests in the net assets of this debt instrument not belonging to the parent company are recognised under other liabilities and not in equity.

If further equity interests are acquired in a company that is already fully consolidated, the transaction is not classified as a corporate acquisition as defined in IFRS 3, as a controlling relationship was already in existence. The acquisition of an interest is reported instead as a transaction with the minority shareholders. The positive or negative differences remaining after eliminating the additional interests acquired against equity are therefore offset against retained earnings within other comprehensive income.

If first-time consolidation takes place at a later date on materiality grounds, it is not classified as an acquisition as defined in IFRS 3 if control already existed. Where this is the case, the positive or negative differences remaining after eliminating against equity are offset against retained earnings within other comprehensive income.

In the event of a restructuring within the Group, the BayernLB Group uses predecessor accounting if the criteria set out in IFRS 3 are met. In such cases, the acquiring subsidiary carries forward the carrying amounts of the parent company.

Joint arrangements are based on contractual arrangements on the basis of which two or more partners have joint control. Joint control exists if the partners must cooperate to direct the relevant activities of the joint arrangement and decisions require the unanimous consent of the partners sharing control. A joint venture is a joint arrangement whereby the partners that have joint control have rights to the net assets of the arrangement. If, however, the partners have direct rights to the assets and obligations for the liabilities relating to the joint arrangement, then the arrangement is a joint operation. A joint venture in principle exists if a joint arrangement is embodied in the form of a legally independent partnership or a corporation with its own assets, so that the BayernLB Group, based on its share of interests in the entity, only has a proportional claim to the net assets of the entity. If a joint arrangement is conducted in the form of a civil law partnership (e.g. a consortium) whose legal form does not confer separation of the vehicle's assets and financial structure from the partners, an assessment must be carried out to determine whether it is a joint venture or a joint operation based on the contractual arrangements and the purpose of the joint arrangement. If neither the legal form nor the contractual provisions or other facts and circumstances give any indication as to whether the BayernLB Group has direct rights to the assets or obligations for the liabilities of the joint arrangement, it is deemed to be a joint venture.

Associates are entities over which the BayernLB Group exercises significant but not controlling influence either directly or indirectly through subsidiaries. Significant influence is the power to participate in the financial and operating policy decisions of another entity without exercising control. Significant influence exists if the BayernLB Group holds, as an investor, 20 percent or more of the voting rights either directly or indirectly through subsidiaries. An entity can also be an associate if the BayernLB Group holds less than 20 percent of the voting rights, but, on the basis of other factors, has the power to participate in the financial and operating policy decisions of the entity. This particularly applies to cases where the BayernLB Group is represented on the entity's governing body and has contractual rights to manage or realise assets, including making investment decisions.

In certain cases, the BayernLB Group holds at least 20 percent of the voting rights in the entity, but cannot exercise significant influence due to contractual or legal restrictions.

Subsidiaries cease to be consolidated on the date the BayernLB Group loses control over the subsidiary.

The financial statements of the entities included in the consolidated financial statements are prepared as at the parent company's reporting date. If the financial year differs in a specific case, the respective subsidiary will prepare for consolidation purposes additional financial disclosures with the same reporting date used by the parent company.

When consolidating debt and earnings and eliminating intra-Group earnings from subsidiaries, all receivables and liabilities, income and expenses and intra-Group earnings from transactions within the Group are eliminated provided their importance is not negligible.

Interests in subsidiaries, joint ventures and associates not consolidated or measured at equity due to their negligible importance and other ownership interests are reported in the balance sheet under financial investments and measured at fair value.

(5) Currency translation

Upon first-time recognition, assets and liabilities denominated in a foreign currency are translated into the functional currency at the spot rate applicable on the date of the business transaction. When translating currency in subsequent periods, a distinction is made between monetary and non-monetary items. Monetary assets and liabilities denominated in a foreign currency are translated at the exchange rate at the end of the reporting period. Non-monetary items measured at historical cost are translated using the exchange rate on the date of the transaction. Non-monetary items measured at fair value are translated at the exchange rate on the date the fair value was calculated. Income and expenses in a foreign currency are translated into the functional currency at the end of the month using the ECB average exchange rate. Gains or losses on currency translation are recognised through profit or loss in gains or losses on fair value measurement.

The balance sheet items of the subsidiaries and foreign branches included in the consolidated financial statements are, if their functional currency is not the euro, translated into euros at the exchange rate of the respective currency on the reporting date and the expenses and income translated into euros at the ECB's annual average rate. Currency exchange rate differences arising from this translation are reported in the foreign currency translation reserve within equity.

(6) Financial instruments

Recognition and measurement

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity. Financial instruments are recognised in the balance sheet from the date on which the entity drawing up the balance sheet becomes a contractual party and entitled to receive or obliged to make the agreed payments. Purchases or sales of financial assets (regular-way contracts) are normally recognised on the date of the trade.

All financial instruments, including derivative financial instruments as defined under IFRS 9, are recognised in the balance sheet and assigned to measurement categories. Financial instruments are initially recognised at fair value, which, as a rule, is the cost of acquisition.

The classification of financial instruments is dependent on the business model in which the financial asset is held (business model criterion) and on the contractually agreed cash flow characteristics of the respective financial asset (cash flow criterion).

The business model is determined on the basis of the objective set by management for how groups of financial assets are managed together:

- Financial assets held to collect contractually agreed cash flows are assigned to the “hold to collect” business model.

- Financial assets held to collect contractually agreed cash flows and with a view to being sold are assigned to the “hold to collect and sell” business model.
- Financial assets held for trading or that do not meet the criteria of the “hold to collect” or “hold to collect and sell” business model are assigned to the “other” business model.

When analysing the cash flow criterion, the Bank must examine each financial asset to determine if the contractually agreed cash flows are solely payments of principal and interest. Contractually agreed cash flows that are solely payments of principal and interest have the characteristics of a typical credit agreement. Interest is normally compensation for the time value of money and default risk, but can also incorporate compensation for other underlying credit risks (e.g. liquidity risk), costs (e.g. administrative costs) in connection with the holding of a financial asset over a certain period of time, and a profit margin. Repayments are repayments of the outstanding capital amount. In the BayernLB Group, the analysis of the cash flow criterion includes in particular an evaluation of the following contractual features: repayment, termination, interest rate, currency, renewal agreement, credit agreement clause and quasi-equity. If an investment is made in certain assets (principally in non-recourse financing), the Bank checks compliance with internal ratios (e.g. loan to value) relating to these financing transactions in addition to the general cash flow criterion. If the internal indicators are not complied with, the cash flow criterion is not met.

Financial assets are measured in accordance with the measurement category to which they have been assigned. These categories are defined as follows:

Financial assets measured at fair value through profit or loss

These include financial assets mandatorily measured at fair value through profit or loss (including derivatives in accordance with IFRS 9) and financial assets for which the fair value option was applied (financial assets designated at fair value through profit or loss). Derivative financial instruments which are used as hedges and meet hedge accounting criteria do not come under this category.

- Financial assets mandatorily measured at fair value through profit or loss:

These include debt instruments that are assigned to the “other” business model, derivative financial instruments with positive fair values that are recognised in accordance with IFRS 9 and are not designated as hedging instruments as part of hedge accounting, and equity instruments that are held for trading or are not classified as “investments in equity instruments designated at fair value through other comprehensive income”. In addition, the “financial assets mandatorily measured at fair value through profit or loss” category also includes debt instruments that are assigned to the “hold to collect” or “hold to collect and sell” business models but do not meet the cash flow criterion.

These instruments are measured at fair value. The measurement gains or losses are booked to gains or losses on fair value measurement unless they are measurement gains or losses from equity instruments not held for trading and which are measured at fair value through profit or loss; in this case they are shown in gains or losses on financial investments. Gains or losses on fair value measurement also includes realised and current income. Current income from financial instruments not held for trading or from derivatives in economic hedges is recognised in net interest income (see the section on hedge accounting).

If debt instruments are allocated to the “other” business model, they are reported in the balance sheet line item assets held for trading in the same way as derivatives and equity instruments held for trading. Debt instruments that must be measured at fair value through profit or loss based on the analysis of the cash flow criterion must be shown under the balance sheet line items cash reserves, loans and advances to banks, loans and advances to customers and financial investments. Equity instruments not held for trading and which are measured at fair value through profit or loss are reported under financial investments. As at the reporting date, the holdings of the BayernLB Group for the most part consisted of assets held for trading and financial investments.

- Financial assets designated at fair value through profit or loss (fair value option):

The fair value option is applied to reduce or eliminate measurement or recognition inconsistencies. These designated fair assets are measured at fair value. Measurement gains or losses are recognised under gains or losses on fair value measurement. Current income is reported under net interest income.

The financial assets designated to the fair value option must be shown in the balance sheet line items of cash reserves, loans and advances to banks, loans and advances to customers and financial investments. As at the reporting date, the BayernLB Group only had financial investments (fixed-income securities).

Financial assets measured at amortised cost

These include debt instruments that are assigned to the “hold to collect” business model and meet the cash flow criterion and for which the fair value option is not applied. For the most part, these comprise loans and deposits with central banks.

These instruments are measured at amortised cost. Current income is recognised in net interest income. Realised gains or losses are reported in gains or losses on derecognised financial assets. For the reporting of gains or losses in connection with modifications, refer to the Modifications section, and for the specific details regarding the measurement of hedged items qualifying for hedge accounting, see the section on hedge accounting.

The financial assets falling within this category must be shown in the balance sheet line items cash reserves, loans and advances to banks, loans and advances to customers and financial investments. The BayernLB Group had holdings in all these balance sheet line items as at the reporting date.

Loss allowances for the financial assets reported in the balance sheet items cash reserves, loans and advances to banks, loans and advances to customers and other assets are shown separately in the asset item risk provisions. In the case of securities included in the balance sheet item financial investments, any necessary loss allowances are deducted from the carrying amount of the financial asset. As at the reporting date, the BayernLB Group only had loss allowances for loans and advances to banks and loans and advances to customers. Income and expenses from the release or addition to risk provisions are taken to the income statement in the line item risk provisions. Income above the original cost of acquisition from the writeup of the carrying amount of

purchased or originated credit-impaired financial assets is also shown here. The method for determining loss allowances is described in note 73.

Financial assets measured at fair value through other comprehensive income

This includes the financial assets mandatorily measured at fair value through other comprehensive income and equity instruments designated at fair value through other comprehensive income.

- Financial assets mandatorily measured at fair value through other comprehensive income:

These include debt instruments that are assigned to the “hold to collect and sell” business model and meet the cash flow criterion and for which the fair value option is not applied. For the most part, these comprise fixed-income securities.

These instruments are measured at fair value. Measurement gains and losses are reported in the revaluation surplus within other comprehensive income. Current income is reported under net interest income. If financial assets in the “financial assets mandatorily measured at fair value through other comprehensive income” category are derecognised, the amounts booked in the revaluation surplus are reclassified to the income statement. These released gains or losses are shown in gains or losses on financial investments or other income and expenses. For the reporting of gains or losses in connection with modifications, refer to the Modifications section, and for the specific details regarding the measurement of hedged items qualifying for hedge accounting, see the section on hedge accounting.

The financial assets falling within this category must be shown in the balance sheet line items cash reserves, loans and advances to banks, loans and advances to customers and financial investments. As at the reporting date, the BayernLB Group had holdings mostly in cash reserves and financial investments.

Loss allowances are shown in the revaluation surplus within other comprehensive income. Income and expenses from the release or addition to risk provisions are taken to the income statement in the line item risk provisions. Income above the original cost of acquisition from the writeup of the carrying amount of purchased or originated credit-impaired financial assets is also shown here. The method for determining loss allowances is described in note 73.

- Investments in equity instruments designated at fair value through other comprehensive income:

This includes equity instruments not held for trading and for which the option has been used to assign them to the “investments in equity instruments designated at fair value through other comprehensive income” category.

This category has not been used in the BayernLB Group to date.

Financial liabilities are also measured according to the related measurement category. The categories are differentiated as follows:

Financial liabilities measured at fair value through profit or loss

These include financial liabilities held for trading (including derivatives in accordance with IFRS 9) and financial liabilities for which the fair value option is applied (financial liabilities designated at fair value through profit or loss). Derivative financial instruments which are used as hedges and meet hedge accounting criteria do not come under this category.

- Held-for-trading financial liabilities:

Besides financial liabilities used for trading purposes, this category includes derivative financial instruments with negative fair values reported on the balance sheet in accordance with IFRS 9 and not designated as hedging instruments in accordance with hedge accounting criteria.

These instruments are measured at fair value. Measurement gains or losses are reported under gains or losses on fair value measurement. Realised and current income is also normally reported under this item. Current income from derivatives in economic hedges is recognised in net interest income (see the section on hedge accounting).

Financial liabilities in the “held-for-trading” category (including derivatives) are shown in the balance sheet line item liabilities held for trading.

- Fair value option:

The fair value option is applied to reduce or eliminate measurement or recognition inconsistencies or to avoid bifurcating embedded derivatives which must be separated, or if a group of financial assets or financial liabilities is managed in accordance with a documented risk management or investment strategy and the change in value is assessed through the fair value and the information on this group calculated on this basis is forwarded to the management in key positions. These designated financial liabilities are measured at fair value. Measurement gains or losses must be recognised under gains or losses on fair value measurement. Current income is reported under net interest income. Changes in value resulting from the Bank’s own default risk (rating-related changes in the fair value) are not recognised through profit or loss but are recognised in the revaluation surplus within other comprehensive income, unless this would lead to or exacerbate a mismatch in recognition or measurement. There are no such recognition or measurement inconsistencies in the BayernLB Group at present. When financial liabilities in the “fair value option” category are derecognised, the amounts derecognised in the revaluation surplus are reclassified to retained earnings within equity.

Financial liabilities (mainly structured issues and liabilities with embedded derivatives) designated to the fair value option must be reported in the balance sheet line items liabilities to banks, liabilities to customers, securitised liabilities and subordinated capital. In the BayernLB Group, primarily liabilities to customers and securitised liabilities were held as at the reporting date.

Financial liabilities measured at amortised cost

These include financial liabilities not used for trading purposes and for which the fair value option is not applied.

These instruments are measured at amortised cost. Current income is recognised in net interest income. Realised gains or losses are reported in net interest income or other income and expenses. For the reporting of gains or losses in connection with modifications, refer to the Modifications section, and for the specific details regarding the measurement of hedged items qualifying for hedge accounting, see the section on hedge accounting.

The financial liabilities falling within this category must be shown in the balance sheet line items liabilities to banks, liabilities to customers, securitised liabilities and subordinated capital. The BayernLB Group had holdings in all these balance sheet line items as at the reporting date.

Derecognition

Financial assets are derecognised if the contractual rights to cash flows from the assets have lapsed or the BayernLB Group has for the most part transferred all risks and rewards of ownership. Financial liabilities are derecognised if the contractual liabilities are discharged, cancelled or have expired.

Modification

In the case of contractual amendments to financial assets and financial liabilities that lead to a change in contractual cash flows but are not so significant that they result in derecognition, the gross carrying amount of the financial instrument is remeasured by discounting the modified contractual payments at the original or credit risk-adjusted effective interest rate (non-significant modification). Any resulting modification gain or loss is recognised through profit or loss. In subsequent accounting, the amortised cost of non-significantly modified financial instruments is amortised over their remaining term.

If the contractual rights to cash flows are modified so that they are deemed de facto to have been extinguished or expired, the financial instrument is derecognised and the modified financial instrument booked (significant modification). Any resulting income or expense is recognised through profit or loss. Subsequent accounting is based on the category to which the modified financial instrument is assigned.

Gains or losses on non-significant modifications of contractually agreed cash flows of financial assets whose loss allowances are measured in the amount of the 12-month expected credit loss are recognised in net interest income, while those of financial assets whose loss allowances are measured in the amount of the lifetime expected credit loss are reported in the risk provisions. Gains or losses on non-significant modifications of contractually agreed cash flows of financial liabilities are shown in net interest income. Gains or losses on significant modifications of financial assets in the “financial assets measured at amortised cost” category are booked to the “gains or losses on derecognised financial assets” category, while financial assets in the “financial assets mandatorily measured at fair value through other comprehensive income” category are carried to gains or losses on financial investments or other income and expenses; in the case of financial liabilities, the gains or losses are reported in net interest income or other income and expenses. Income and expenses from the amortisation of the amortised costs of significantly and non-significantly modified financial assets are presented under net interest income.

When distinguishing between significant and non-significant modifications, the BayernLB Group applies both qualitative criteria (e.g. changes in borrower, currency or type of financial instrument) and quantitative criteria (e.g. adjustment of interest rates or maturities).

Offsetting

Financial assets and financial liabilities are offset against each other in accordance with IAS 32.42 if a legally enforceable right to set off the recognised amounts currently exists and an intention exists to settle on a net basis or to realise the asset and settle the liability simultaneously.

Fair value

The fair value of a financial instrument is the price that would be received for the sale of an asset or paid for the transfer of a liability in an orderly transaction between market participants at the measurement date. Market participants are knowledgeable, willing partners that are independent of each other and able to enter into a transaction for the asset or liability. The relevant market for measuring fair value is the most active market that the BayernLB Group has access to (principal market). If no principal market exists, the most advantageous market is used.

Fair value is calculated where possible by reference to a quoted (unadjusted) price on an active market for an identical financial instrument. A market is considered active for a financial instrument if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis. This means that pricing is regular, bid-ask spreads are small and several price contributors exist with only slightly different prices.

If no active market exists, fair value is calculated using a range of measurement methods including valuation models based on discounted cash flow methods and indicative valuation prices. The objective is to estimate the price at which an orderly transaction to sell the asset or transfer the liability would take place between market participants at the measurement date under current market conditions. The valuation techniques applied maximise the use of relevant observable inputs and minimise the use of non-observable inputs.

In the case of financial instruments, differences may arise between the transaction price and the fair value upon recognition determined through a valuation model (day one profit or loss). If the market used to determine the fair value differs from the market in which the transaction was concluded and the valuation model uses unobservable inputs to a significant extent, this difference must be recognised uniformly as a day one profit or loss reserve in the assets held for trading and reversed through profit or loss over the term.

Valuation models

The methods used to calculate fair values include recognised valuation models based mainly on observable market data. The discounted cash flow method and option pricing models are among the valuation models used.

If a quoted price is not available for an identical financial instrument, the discounted cash flow method is used for interest-bearing financial instruments. This method calculates the instru-

ment's value based on its cash flow structure, taking account of its nominal value, residual maturity and the agreed day-count convention. If the financial instrument has a contractually agreed cash flow, the cash flow structure is calculated using the agreed cash flow. In the case of variable rate instruments, cash flows are determined using forward curves. Cash flows are discounted using matching currency and maturity, secured and unsecured yield curves, and a risk-adjusted spread. Market data is used where spreads are publicly available. Bid-ask valuations are used for fair value measurement.

To determine the fair values of loans and advances whose loss allowances are measured in the amount of the 12-month expected credit losses (Stage 1 of the general approach for determining loss allowances), in the amount of the lifetime expected credit losses (Stage 2 of the general approach for determining loss allowances) or in the amount of the lifetime expected credit losses and that are credit-impaired (Stage 3 of the general approach for determining loss allowances and purchased or originated credit-impaired financial assets (POCI)) for which, however, the creation of a risk provision was not necessary despite credit impairment, the contractually agreed cash flows are discounted using the cost curve plus transaction-specific measurement spreads. This also applies to POCI that were no longer credit-impaired on the reporting date. The cost curve corresponds to the risk-free yield curve and a liquidity spread curve, which differs depending on the currency and cover status of the transaction. In addition to a constant margin over the term of the transaction, which is determined at the time the transaction is concluded, the transaction-specific valuation spread includes an updated risk component that reflects the creditworthiness of the business partner over time. Optional components included in credit agreements (e.g. termination options) are measured using common assessment methods. When determining the fair values of credit transactions whose loss allowances are measured in the amount of the lifetime expected credit losses and that are credit-impaired (Stage 3 of the general approach for determining loss allowances and POCI), and for which a risk provision was necessary due to the credit impairment, the expected losses are taken into account by adjusting the cash flows for the risk costs and consequently not including them in the discounting in the form of a credit spread. The fair values of credit transactions measured at fair value through profit or loss are determined using the same approach on the basis of credit spreads observable on the market.

In the case of liabilities, cash flows are discounted using the risk-free yield curve plus a liquidity spread curve which reflects BayernLB's current credit rating and differs depending on the currency and the cover status (secured, unsecured, subordinated etc.) of the transaction.

The liquidity spreads are based on the internal pricing curves of Asset Liability Management and tested for plausibility independently of Trading using the external market interest rate.

As mid-rate inputs are usually used when theoretically measuring fair values of derivatives, an accounting fair-value discount is determined on the basis of bid-ask spreads. In the case of OTC derivatives, discounting takes account of the collateral status and currency. In addition, the Bank takes account of counterparty risk and own default risk using credit valuation adjustments (CVAs) and debit valuation adjustments (DVAs). These values are calculated by conducting a Monte Carlo simulation of future fair values, taking account of any netting or collateral agreements and weighting default probabilities based on credit spreads. The Bank also factors in bank-specific financing conditions using a funding valuation adjustment (FVA). Any allocations to individual transactions are made on the basis of the relative credit adjustment approach.

Options and other derivative financial instruments with option characteristics are measured largely using the Black-Scholes option pricing model. The Bachelier model has been used since financial year 2022 to measure interest rate options at negative interest rates. This is an analytical model based on the assumption of normally distributed interest rates. The following inputs are used when measuring: cumulative probability distribution function for standard normal distribution, option strike prices, continuously compounding risk-free interest rates (for different currencies and maturities), volatility, time to option expiry, estimated dividends, interest rate and pricing barriers, discounts, increments and probability of occurrence.

For interest rate options with multiple exercise dates, the one-factor Hull-White model is used. Publicly accessible market data is also used in the measurement.

Credit derivatives are measured using the hazard rate model based on the latest credit spreads.

Summary of the principal valuation models by derivative product group

Product group	Principal valuation model
Interest rate swaps	Discounted cash flow method
Forward rate agreements	Discounted cash flow method
Interest rate options	Bachelier model
Forward exchange deals	Discounted cash flow method
Currency swaps/cross-currency swaps	Discounted cash flow method
Foreign exchange options	Black 76
Equity/index options	Black-Scholes, Roll-Geske-Whaley
Credit derivatives	Hazard rate model

Structured products are concluded within structured issues. These structures are each hedged with mirror swaps. Besides using the above methods, these structures are measured largely using short and BGM models (Libor market model) and Monte Carlo simulations.

In the case of equity instruments not traded on an active market, fair value is calculated using recognised valuation methods, particularly the German income method (Ertragswertverfahren), in which the expected and valuation-relevant cash flows are based on budgeted values of the companies in question, which are discounted to the valuation date using a risk-adjusted capitalisation rate based on a capital asset pricing model.

The valuation models presented above are therefore used to calculate the fair values of financial instruments in the “financial assets measured at fair value through profit or loss”, “financial assets measured at amortised cost”, “financial assets measured at fair value through other comprehensive income”, “financial liabilities measured at fair value through profit or loss” and “financial liabilities measured at amortised cost” categories. The balance sheet items most affected are cash reserves, loans and advances to banks, loans and advances to customers, assets held for trading, positive fair values from derivative financial instruments (hedge accounting), financial investments, liabilities to banks, liabilities to customers, securitised liabilities, liabilities held for trading, negative fair values from derivative financial instruments (hedge accounting) and subordinated capital.

Embedded derivatives

Derivative financial instruments embedded in financial liabilities are recognised as independent derivatives and measured at fair value if they have to be separated from the host contract. If this is the case, the host contract is recognised and measured according to its measurement category. In the case of compound (structured) products, no separation is made if the fair value option has been applied.

Hedge accounting

For risk management purposes, derivative financial instruments are used to hedge recognised financial assets and recognised financial liabilities. These hedged items are accounted for and measured on the basis of whether they meet hedge accounting criteria or are economic hedges.

The BayernLB Group conducts hedge accounting in the form of micro fair value hedges in accordance with IFRS 9 and portfolio fair value hedges in accordance with IAS 39 to hedge interest-rate risk, and in the form of group fair value hedges in accordance with IFRS 9 to hedge currency risks (see note 64).

Derivatives used to hedge the fluctuations in the fair value of financial assets and financial liabilities in the balance sheet are measured at fair value and changes in their value are recognised through profit or loss. If the currency basis spread of a financial instrument is separate from a financial instrument and exempt from being designated as a hedging instrument, fair value changes arising from currency basis spread fluctuations are booked as hedging costs to other comprehensive income. The carrying amounts of hedged items in a micro hedge are adjusted in line with gains or losses on measurements attributable to the hedged risk and are recognised in the income statement. Where the fluctuations in the fair value are hedged in a portfolio hedge, the cumulative gains or losses on measurement attributable to the hedged risk for financial assets are recognised under portfolio hedge adjustment assets, and the carrying amounts of the hedged items are left at amortised cost.

Changes in the fair value of hedging instruments carried to profit or loss and changes in the fair value of hedged items arising from the hedged risk are reported under gains or losses on hedge accounting. Changes in the fair value from currency basis spread fluctuations are shown in the revaluation surplus in other comprehensive income. Interest income and expenses from hedging derivatives are recognised as net interest income. Derivative financial instruments (hedge accounting) are reported under positive fair values from derivative financial instruments (hedge accounting) or negative fair values from derivative financial instruments (hedge accounting).

Derivative financial instruments in economic hedges (derivatives for hedging fair value option transactions and derivatives in other economic hedges) that do not meet hedge accounting criteria are recognised and measured in accordance with their categorisation as financial assets measured at fair value through profit or loss or financial liabilities measured at fair value through profit or loss. The amounts are reported under assets held for trading or liabilities held for trading. Measurement gains or losses are reported under gains or losses on fair value measurement. Unlike current income and expenses of held-for-trading derivative financial instruments, the current income and expenses arising from these derivatives are reported under net interest income.

(7) Cash reserves

Cash reserves comprise cash, demand deposits at central banks, debt certificates issued by public entities and bills of exchange eligible for refinancing with central banks. Cash and balances at central banks are recognised at nominal value. Debt certificates issued by public entities and bills of exchange eligible for refinancing with central banks are financial assets assigned to the “hold to collect and sell” business model. These are measured at fair value and not carried to the income statement (see the comments on financial assets mandatorily measured at fair value through other comprehensive income in note 6).

(8) Loans and advances

Loans and advances to banks and to customers are non-derivative financial assets, which are allocated to the “hold to collect” or “hold to collect and sell” business models, regardless of whether they meet the cash flow criterion. These items are measured according to the related measurement category (refer to note 6).

If the criteria for offsetting financial assets and financial liabilities are met, receivables and liabilities from repurchase agreements with central and bilateral counterparties are shown netted.

(9) Risk provisions

Risk provisions comprise loss allowances for financial assets in the “financial assets measured at amortised cost” category which are recognised in the balance sheet line items cash reserves, loans and advances to banks, loans and advances to customers and other assets. For the calculation of loss allowances, including a breakdown of loss allowances and adjustments as a result of post-model adjustments, refer to note 73.

Income and expenses from the release or addition to risk provisions are taken to the income statement in the line item risk provisions.

(10) Portfolio hedge adjustment assets

This balance sheet item shows the changes in value of the hedged items for which fair value hedge accounting in the form of portfolio hedges was used.

(11) Assets held for trading

Assets held for trading include debt instruments that are assigned to the “other” business model, derivative financial instruments with positive fair values that are recognised in accordance with IFRS 9 and are not designated as hedging instruments as part of hedge accounting, and equity instruments that are held for trading. Refer to note 6 for information on financial assets mandatorily measured at fair value through profit or loss (including derivatives).

If the requirements for netting financial assets against financial liabilities are met, derivative financial instruments are recognised at the net value of their market price and any variation margin paid or received.

(12) Positive fair values from derivative financial instruments (hedge accounting)

This item on the balance sheet includes derivative financial instruments with positive fair values which are used as hedges and meet hedge accounting criteria. The derivative instruments are measured at fair value. Changes in the fair value of hedging instruments recognised through profit or loss and changes in the fair value of hedged items arising from the hedged risk are reported under gains or losses on hedge accounting. Changes in the fair value from currency basis spread fluctuations are shown in the revaluation surplus in other comprehensive income. Interest income and expenses from hedging derivatives are recognised as net interest income.

If the requirements for netting financial assets against financial liabilities are met, derivative financial instruments are recognised at the net value of their market price and any variation margin paid or received.

(13) Financial investments

Financial investments comprise bonds, notes and other fixed-income securities, equities and other non-fixed income securities, equity interests and other financial investments. Debt instruments allocated to the “hold to collect” or “hold to collect and sell” business models, regardless of whether they meet the cash flow criterion, and equity instruments not held for trading are recorded. These items are measured according to the related measurement category (refer to note 6).

(14) Investment property and property, plant and equipment

Land or buildings held for the purposes of earning rental income or capital appreciation is reported on the balance sheet under investment property.

Property, plant and equipment comprises owner-occupied property, furniture and office equipment (including equipment leased under operating leases). These balance sheet line items comprise, besides own assets, capitalised rights as a lessee to use the underlying assets.

Mixed-use property that can be disposed of separately is allocated proportionately to the investment property and the property, plant and equipment items. If a theoretical division of the property is impossible, the entire property is reported as an investment asset if only a non-material proportion (less than 10 percent) is held for internal operations.

Upon first-time recognition, property, plant and equipment is recognised at cost. Subsequent costs are capitalised if they lead to a significant improvement in the asset and thus add to the future economic benefit of the asset. Depreciable property, plant and equipment is subsequently reported on the balance sheet after deducting for straight-line depreciation corresponding to the useful life. BayernLB applies the option under IAS 40 to measure investment property at amortised cost.

Useful life is determined by considering the expected physical wear and tear, technical obsolescence and legal and contractual restrictions. In the case of buildings, the components are depreciated over their specific useful life (component approach).

All property, plant and equipment and investment property is depreciated on a straight-line basis over the following periods:

- Buildings 5-93 years
- Furniture and office equipment 1-60 years

Impairments are recognised in the amount by which the carrying amount exceeds the greater of the fair value less cost to sell and the value in use (impairment test). If the reasons for impairment cease to apply, an impairment reversal (writeup) is made up to no more than the value of the amortised cost.

Depreciation and impairment of investment property is reported under other income and expenses, while depreciation and impairment of property, plant and equipment is shown under administrative expenses. Writeups are reported in other income and expenses.

For materiality reasons acquisitions of low-value property, plant and equipment are recognised directly in administrative expenses. Profits and losses from the sale of property, plant and equipment and investment property are reported under other income and expenses.

(15) Intangible assets

Intangible assets comprise internally generated intangible assets and other intangible assets (purchased software).

The development costs of internally generated intangible assets are capitalised where their production is likely to result in an inflow of economic benefits and costs can be determined reliably. Expenditure on research is not capitalised but recognised through profit or loss.

Intangible assets are reported on the balance sheet at amortised cost. They are amortised on a straight-line basis over an expected useful life of usually four or five years or up to ten years in certain cases. Useful life is determined by considering the expected technical obsolescence and legal and contractual restrictions.

Impairments are recognised in the amount by which the carrying amount exceeds the greater of the fair value less cost to sell and of the value in use (impairment test). If the reasons for impairment cease to apply, an impairment reversal (writeup) is made up to no more than the value of the amortised cost.

Amortisation and impairment of intangible assets is reported under administrative expenses. Writeups are reported in other income and expenses.

(16) Non-current assets or disposal groups classified as held for sale

This item comprises both non-current assets in the held-for-sale category and the assets of disposal groups in the held-for-sale category.

The conditions for designation as held for sale are met if their carrying amount is to be recovered principally through a sale transaction rather than through continuing use and the non-current asset or disposal group can be sold immediately in its present condition and the sale is

highly probable. For this, a decision must be taken by management to carry out the sale, with the expectation it will be completed within the next 12 months.

Non-current assets or disposal groups classified as held for sale are recognised at the end of the reporting period at the lower of carrying amount or fair value less costs of sale if there are no measurement exceptions in accordance with IFRS 5. Depreciation ceases from the time they are classified as being for disposal.

(17) Other assets

Other assets comprise assets not allocated to one of the other items on the assets side. This item includes emissions certificates, precious metals and claims from reinsurance. The measurement depends on the regulations for the respective asset.

(18) Liabilities

Liabilities to banks and customers and securitised liabilities are non-derivative financial liabilities not used for trading purposes. These items are measured according to the related measurement category (refer to note 6).

If the criteria for offsetting financial assets and financial liabilities are met, receivables and liabilities from repurchase agreements with central and bilateral counterparties are shown netted.

(19) Liabilities held for trading

Liabilities held for trading includes, besides financial liabilities used for trading purposes, derivative financial instruments with negative fair values reported on the balance sheet in accordance with IFRS 9 and not designated as hedging instruments in accordance with hedge accounting criteria. For measurement of financial liabilities in the “held for trading” category (including derivatives), refer to note 6.

If the requirements for netting financial assets against financial liabilities are met, derivative financial instruments are recognised at the net value of their market price and any variation margin paid or received.

(20) Negative fair values from derivative financial instruments (hedge accounting)

This item on the balance sheet includes derivative financial instruments with negative fair values which are used as hedges and meet hedge accounting criteria. The derivative instruments are measured at fair value. Changes in the fair value of hedging instruments recognised through profit or loss and changes in the fair value of hedged items arising from the hedged risk are reported under gains or losses on hedge accounting. Changes in the fair value from currency basis spread fluctuations are shown in the revaluation surplus in other comprehensive income. Interest income and expenses from hedging derivatives are recognised as net interest income.

If the requirements for netting financial assets against financial liabilities are met, derivative financial instruments are recognised at the net value of their market price and any variation margin paid or received.

(21) Provisions

Provisions for pensions and similar obligations and other provisions are recognised under this item.

Provisions for pensions and similar obligations

Provisions are made for pensions and similar obligations as a result of pension plans covering commitments regarding retirement pensions and disability and surviving dependants' benefits. The benefits provided by the BayernLB Group vary according to the legal and economic circumstances prevailing in the country concerned and generally depend on the length of service and salary of the individual employee. For a description of the defined benefit plans in the BayernLB Group, refer to the explanations in note 55.

Some of the defined benefit plans are financed by asset contributions in the form of a Contractual Trust Arrangement (CTA) and by qualifying insurance policies.

The defined benefit obligations are measured by independent actuaries using the projected unit credit method. This takes into account the current pension payments and vested retirement benefits as at the reporting date and also the expected changes in certain parameters such as salary and pension trends. The discount rates used to calculate the present value of pension obligations are based on yields on high-quality, fixed-rate corporate bonds – at maturities and currencies that match the pension payments – on the respective markets as at the reporting date. No high-quality, fixed-rate corporate bonds are available as a benchmark for very long terms. The relevant discount rates are determined by extrapolation from the observable market yields along the yield curve.

The following actuarial assumptions are used for the main pension plans:

In %	2023	2022
Discount rate for retirement benefits	3.2	3.7
Discount rate for medical costs and death benefits	3.1	3.7
Changes in salaries ¹	2.7	2.3
Changes in benefits ²	2.5	2.0
Changes in medical costs	5.8	5.5

¹ In the case of non-payscale employees, a different assumption of a 3.0 percent (FY 2022: 2.5 percent) change in estimated future salaries was used as a basis.

² Eligible social insurance pensions at BayernLB in Germany were dynamised at a rate of 2.5 percent (FY 2022: 2.5 percent).

The rates are measured in Germany on the basis of the biometric probabilities according to the "Heubeck Richttafeln 2018G" actuarial tables and in other countries on the basis of country-specific mortality tables.

The plan assets used to cover pension obligations are measured at fair value as at the reporting date and set off against the corresponding commitments. If plan assets exceed pension obligations, the resulting asset is reported under other assets. The asset is recognised mainly on the basis of the future economic benefits it will provide, taking account of future charges from a reduction in contributions due to existing minimum funding requirements. Depending on the regulatory or contractual provisions, the plan assets are accounted for under the asset ceiling rules.

The service cost is classified as staff costs. Past service cost arises when a defined benefit plan is introduced or changes are made to the benefits payable under an existing defined benefit plan. It is recognised immediately as an expense.

The impact from the remeasurement of defined benefit plans, such as actuarial gains and losses arising from the difference between expected and actual values or changed assumptions, is recognised in retained earnings directly in the period it arises.

Expected income from plan assets and interest expenses from the compounding of pension obligations are reported under net interest income.

In addition, some Group companies provide their employees with defined contribution plans due to statutory or contractual provisions. These defined contribution plans involve no commitments on the part of the company beyond paying contributions to an external pension provider. The payments are recognised as an expense and reported under administrative expenses at the time of the payment obligation. No pension provisions need to be made.

Other provisions

Other provisions include provisions for off-balance sheet transactions, restructuring provisions and miscellaneous provisions.

Provisions for off-balance sheet transactions are made for contingent liabilities and other liabilities where there is a risk of default. They include loss allowances for financial guarantees, irrevocable and revocable credit commitments and other contingent liabilities to which the impairment rules in accordance with IFRS 9 are applied (for calculation of loss allowances, including a breakdown of loss allowances, refer to note 73).

Restructuring provisions are recognised for termination benefits in accordance with IAS 19 and obligations under contracts in accordance with IAS 37. These are recognised if the BayernLB Group has a detailed formal plan for the restructuring measures and has already begun to carry it out, or if the major details of the restructuring have been announced.

Miscellaneous provisions are made in accordance with IAS 37 for present legal or de facto obligations if it is probable that an outflow of resources embodying economic benefits will be required to settle the obligations.

The size of the provision corresponds to the best estimate of the amount that would be required to settle the liability as at the reporting date. The risks and uncertainties associated with the liability are factored into the calculation.

Where the effect of the time value of money is material, provisions are discounted and the present value of the expenditures required to settle the liability is reported. To this end a pre-tax discount rate is used that reflects the current market assessments of the time value of money and the risks specific to the liability.

(22) Other liabilities

Other liabilities comprise liabilities not allocated to one of the other items on the liabilities side. This item includes deferred income and accruals. The measurement depends on the regulations for the respective liability.

The line item also includes financial liabilities to non-controlling interests holding shares in DKB sustainability funds that are part of the DKB sub-group and to which the fair value option is applied.

(23) Leasing

Leases are agreements whereby the lessor conveys to the lessee the right to use an asset for an agreed period of time in return for a fee. They are recognised and measured on the basis of whether the BayernLB Group acts as a lessee or lessor.

The BayernLB Group as lessee

As at the date of preparation, lease liabilities are recognised at the net present value of the lease payments not yet made at the time. At the same time, the Bank capitalises a right to use the underlying asset that corresponds to the net present value of future lease payments plus initial direct costs, upfront payments and dismantling costs, less any incentive payments received. The BayernLB Group elects to use the option under IFRS 16 to apply the exemption from recognising in the balance sheet short-term leases or leases where the underlying asset is of low value. The rules in IFRS 16 do not apply to leases of intangible assets. Except for real estate leases, the BayernLB Group does not separate non-lease and lease components from each other.

Right-of-use assets are capitalised in subsequent measurements less straight-line depreciation or amortisation based on the useful life of the underlying assets or the term of the lease. In doing so the Bank also takes account of any impairments or remeasurements of lease liabilities. The carrying amount of the lease liability is adjusted for the accrued interest, the lease payments made and any remeasurements. The right-of-use asset is recognised under property, plant and equipment. Lease liabilities are shown under other liabilities.

Depreciation and impairments of right-of-use assets are reported in administrative expenses. Interest expenses for lease liabilities are reported under net interest income. Lease payments associated with short-term leases and leases where the underlying asset is of low value are recognised in administrative expenses or in other income and expenses.

The BayernLB Group as lessor

Leases are recognised and measured on the basis of whether they are classified as finance or operating leases. Since effectively all risks and rewards associated with ownership of the underlying assets remain with the BayernLB Group as lessor, all leases are operating leases.

In the case of operating leases, the leased asset is recognised at amortised cost (see note 14). The lease payments received by the lessee are recognised in other income and expenses. Depreciation and impairments are reported in administrative expenses and other income and expenses.

(24) Tax

Current tax assets and liabilities are measured by applying the currently applicable tax rates and netting against expected tax refunds or tax liabilities.

Deferred tax assets and liabilities result from the temporary differences between the carrying amount of an asset or a liability and the tax base and from unused loss carryforwards and tax credits. This creates tax liabilities or assets expected in the future. Deferred taxes are recognised where permitted. They are measured for each of the companies consolidated within the Group, at the specific relevant income tax rate expected to be applicable for the period of the reversal of the temporary differences based on tax laws that have been enacted or passed by the end of the reporting period.

Deferred tax assets are only reported if it is probable that taxable profit in future periods will be sufficiently high to offset the as yet unused tax losses carried forward and deductible temporary differences. The amount of deferred tax assets recognised is calculated on the basis of the tax planning for the company in question or – if a tax group exists – for the consolidated tax group in question. When recognising deferred tax assets from interest carryforwards, the same accounting policies as used for deferred tax assets from tax loss carryforwards are applied.

Deferred taxes are not discounted. Deferred tax assets and liabilities are created and carried through profit or loss if the underlying item is recognised in the income statement, or are created and carried in other comprehensive income if the underlying item is recognised through other comprehensive income.

Income tax expenses and income calculated on profit before taxes are reported in the consolidated income statement as income taxes. Other taxes not based on income are reported under other income and expenses.

Segment reporting

(25) Notes to the segment report

The segment report reflects the business structure of the BayernLB Group. A total of four segments are shown in the report, which, as in the previous year, comprise the three business segments Real Estate & Savings Banks/Financial Institutions, Corporates & Markets and Deutsche Kreditbank (DKB), supplemented by the Central Areas & Others (including Consolidation) segment. The earnings of the consolidated subsidiaries and units are also allocated to the segment to which they have been assigned. For segment reporting purposes, the Central Areas & Others (including Consolidation) segment is not aggregated but is instead split into the Central Areas & Others and the Consolidation columns, the latter of which containing entries not allocated to any segment.

Segment reporting is based on IFRS 8 and thus on the monthly management reports submitted to the Board of Management, which serves as the chief operating decision maker as defined in IFRS 8.7. The management reports – and hence the segmentation – are based on the accounting policies used in the consolidated financial statements under IFRS. Segment reporting does not therefore need to be reconciled with the IFRS accounting policies used in the consolidated financial statements. The earnings contributions reported under the segments are generated largely from banking transactions and financial services. Net interest income and net commission income are shown respectively as net figures comprising interest income and interest expenses and commission income and commission expenses. The additional information about products and services required under IFRS 8.32 is not available because the cost of producing the information would be excessively high.

The risk-weighted assets (RWAs) shown include the figures as at the reporting date for credit risk, market risk, credit value adjustments and operational risk arising from the business activities. For the Group, the average regulatory capital available over the reporting period is reported as equity. For this, Common Equity Tier 1 (CET1) capital is calculated using the supervisory regulations in force at the time. For the purposes of internal management, economic capital is allocated to the segments in the amount of 14 percent of their average risk-weighted assets. Economic capital is reconciled to regulatory capital in the column headed “Consolidation”.

The return on equity (RoE) shown is calculated on the basis of internal management information from the ratio of annualised profit before taxes to the average regulatory capital (Group)/the average allocated economic capital (at segment level). The cost/income ratio (CIR) is the ratio of administrative expenses to gross profit comprising net interest income, net commission income, gains or losses on fair value measurement, gains or losses on hedge accounting, gains or losses on derecognised financial assets, gains or losses on financial investments and other income and expenses.

Notes on delimitation of segments

The Real Estate & Savings Banks/Financial Institutions segment incorporates business with commercial and residential real estate customers, the savings banks, the public sector, insurers,

credit institutions and institutional customers. In addition, the legally dependent institution Bayerische Landesbodenkreditanstalt, Munich (BayernLabo), consolidated subsidiary Real I.S. AG Gesellschaft für Immobilien Assetmanagement, Munich, and BayernInvest Kapitalverwaltungsgesellschaft mbH, Munich, are allocated to this segment. The Real Estate Division focuses on long-term commercial real estate financing in Germany and selected foreign markets and business with residential construction companies and residential property developers. BayernLB offers commercial real estate customers a comprehensive range of services related to real estate financing. The Savings Banks & Financial Institutions Division functions as the central hub for the Bank's working relationship with the savings banks and public sector in Germany and the services it provides to insurers, credit institutions, pension funds and asset managers at national and international level. Its activities include BayernLB's business with savings banks in Germany, particularly Bavaria, and the state-subsidised loan business. The savings banks are a fundamental part of BayernLB's business model as both customers and sales partners. The Division also serves state and municipal customers and public agencies in Germany, as well as credit institutions, insurers and institutional customers worldwide, which BayernLB, as a partner, provides with a wide range of products and tailor-made solutions. In addition, an extensive network of institutional customers provides BayernLB with a broad investor pool. The Savings Banks & Financial Institutions Division also offers a broad range of products and services in an expanding foreign notes and coins and precious metals business as a market leader in the Savings Banks Finance Group. BayernLabo is responsible for the non-competitive residential construction and urban development business under public mandate on behalf of BayernLB. It also provides financing for local authorities in Bavaria, special-purpose associations, school associations and the Free State of Bavaria.

The Corporates & Markets segment comprises the business area of the same name in which BayernLB's financing and capital market activities for corporate customers and institutional investors are bundled. In the Corporates business, BayernLB serves Mittelstand and large corporate customers focused on forward-looking sectors (energy, mobility, technology, manufacturing & engineering, and construction & basic resources), with the sector team taking an integrative approach. Besides DAX, MDAX, family and international companies in selected markets worldwide, it also has on its books corporate customers of the Bavarian savings banks, which are supported in the syndicated loan business. The products and services on offer in the Corporates business are varied and include traditional loan financing, structured financial products for project finance, leasing, asset financing, securitisations, and export and trade financing for customers active outside of Germany. The Markets Division is a central provider of financial market products for all of BayernLB's customers. Its strategic activities include a focused range of securities, issuance rights and interest-rate and currency products. The Division also provides market access for BayernLB's own treasury activities.

The DKB segment comprises the business of the Deutsche Kreditbank Aktiengesellschaft (DKB), Berlin, sub-group within the BayernLB Group, which encompasses business with retail customers and corporate customers. DKB serves as an online bank for retail customers. It also specialises in financial and investment solutions for corporate customers in selected sectors with long-term growth potential, such as housing, communal infrastructure, renewable energy, agriculture and nutrition.

The Central Areas & Others segment incorporates the earnings contributions from the central areas Group Treasury, Corporate Center, Financial Office, Operating Office, Risk Office (including Credit Risk Management) and Others. The activities of the Group Treasury Division include asset/liability management and the related money market activities, liquidity management and central investing of own funds. Earnings contributions from money market transactions for customers are shown in the respective customer segment. The segment includes transactions that cannot be allocated to either a business area or a central area. The Consolidation column, disclosed with the segment on an aggregate basis, includes consolidation entries not allocated to any segment. These mainly arise from differences in the way intra-Group transactions are measured and the application of hedge accounting to cross-segment derivatives transactions.

The two non-core units of BayernLB – the Non-Core Corporates & Markets Division, which was previously part of the Corporates & Markets segment, and the Non-Core Unit, which was previously part of the Central Areas & Others segment – were dissolved on 30 September 2023. The activities still taking place in these units at the start of 2023 were gradually transferred over the course of the year to the core business units now responsible for them. The S-Plafond portfolio and client relationships with selected equity interests assigned to the Non-Core Corporates & Markets Division were assigned to the Savings Banks & Financial Institutions Division within the Real Estate & Savings Banks/Financial Institutions segment at the start of 2023. As part of the dissolution of the Non-Core Corporates & Markets Division, with the exception of the legacy portfolio of interest-rate derivatives, the remaining legacy portfolios were allocated to the Group Treasury Division in the Central Areas & Others segment. The legacy interest rate derivatives portfolio was allocated to the Markets Business Area and so remained with the other activities that have not been wound down in the Non-Core Corporates & Markets Division in the Corporates & Markets segment. The comparative figures for the previous-year period were not adjusted retrospectively, as the transfer of the portfolios mentioned between the segments concerned did not have any material impact on the relevant earnings and volume figures or the key management indicators RoE and CIR, and therefore did not affect the informative value of the 2022 consolidated financial statements. Analogous to the procedure in the Non-Core Corporates & Markets Division, in the Non-Core unit, HETA Asset Resolution AG was transferred from the Central Areas & Others segment to the Savings Banks & Financial Institutions Division within the Real Estate & Savings Banks/Financial Institutions segment on 30 June 2023. As there were no transactions or business activities attributable to HETA Asset Resolution AG in financial year 2022, the comparative figures for the previous-year period did not need to be adjusted for the segments affected by the reclassification. All other portfolios and activities allocated to the Non-Core unit until 30 September 2023 and that had not been wound down by the date of dissolution were kept in the Central Areas & Others segment.

Segment reporting as at 31 December 2023

EUR million	Real Estate & Savings Banks/Financial Institutions	Corporates & Markets	DKB	Central Areas & Others	Consolidation	Group
Net interest income	488	303	1,937	196	(4)	2,919
Risk provisions	(126)	(1)	(59)	6	–	(180)
Net commission income	253	106	130	(16)	–	473
Gains or losses on fair value measurement	33	84	31	73	4	226
Gains or losses on hedge accounting	1	1	(54)	6	–	(46)
Gains or losses on derecognised financial assets	1	(1)	(4)	(97)	–	(102)
Gains or losses on financial investments	–	(1)	(18)	(53)	1	(71)
Administrative expenses	(399)	(252)	(802)	(165)	1	(1,617)
Expenses for the bank levy and deposit guarantee scheme	–	–	(93)	(35)	–	(128)
Other income and expenses	(9)	(3)	1	73	(2)	59
Gains or losses on restructuring	–	–	(66)	(26)	–	(92)
Profit/loss before taxes	242	236	1,003	(39)	–	1,441
Risk-weighted assets (RWAs)	13,879	19,893	25,659	5,100	–	64,532
Average economic/regulatory capital	1,948	2,750	3,583	796	2,312	11,389
Return on equity (RoE) (%)	12.4	8.6	28.0			12.7
Cost/income ratio (CIR) (%)	52.1	51.6	39.6			46.8

Segment reporting as at 31 December 2022

EUR million	Real Estate & Savings Banks/Financial Institutions	Corporates & Markets	DKB	Central Areas & Others	Consolidation	Group
Net interest income	396	292	1,310	133	7	2,137
Risk provisions	(35)	(17)	(13)	(6)	–	(70)
Net commission income	272	87	80	(17)	–	424
Gains or losses on fair value measurement	71	41	(44)	5	(7)	67
Gains or losses on hedge accounting	–	–	(175)	(1)	–	(177)
Gains or losses on derecognised financial assets	–	–	(3)	–	–	(3)
Gains or losses on financial investments	3	(3)	3	(17)	3	(11)
Administrative expenses	(396)	(250)	(740)	(183)	1	(1,569)
Expenses for the bank levy and deposit guarantee scheme	–	–	(79)	(61)	–	(140)
Other income and expenses	(24)	3	13	370	(6)	356
Gains or losses on restructuring	–	–	1	104	3	108
Profit/loss before taxes	287	154	354	328	–	1,122
Risk-weighted assets (RWAs)	13,678	20,583	25,623	5,428	–	65,311
Average economic/regulatory capital	1,907	2,941	3,568	781	1,463	10,660
Return on equity (RoE) (%)	15.0	5.2	9.9			10.5
Cost/income ratio (CIR) (%)	55.2	59.5	62.5			56.2

A breakdown of BayernLB's earnings from typical banking operations after risk provisions (net interest income, net commission income, gains or losses on fair value measurement, gains or losses on hedge accounting, gains or losses on derecognised financial assets, and gains or losses on financial investments) and RWAs by geographical region is provided as follows:

Information by geographical region as at 31 December 2023¹

EUR million	Germany	Europe (ex Germany)	America	Group
Banking operations after risk provisions	3,178	16	25	3,219
Risk-weighted assets (RWAs)	61,880	4	2,648	64,532

¹ The regional allocation is based on how the transactions were grouped together for booking purposes.

Information by geographical region as at 31 December 2022¹

EUR million	Germany	Europe (ex Germany)	America	Group
Banking operations after risk provisions	2,255	16	96	2,367
Risk-weighted assets (RWAs)	63,057	6	2,248	65,311

¹ The regional allocation is based on how the transactions were grouped together for booking purposes.

Notes to the statement of comprehensive income

(26) Net interest income

EUR million	2023	2022
Interest income	10,674	5,120
Interest income from financial instruments determined using the effective interest method	7,115	3,750
From lending and money market transactions	6,911	3,384
From financial investments	197	82
Modification gains from non-significant modifications of financial assets ¹	–	1
From the amortisation of significant and non-significant modifications of financial assets	2	2
From negative interest	5	282
Interest income – other	3,559	1,370
From lending and money market transactions	72	76
From financial investments	25	23
From hedge accounting derivatives	1,595	422
From derivatives in economic hedges	1,822	666
From negative interest	25	170
Other interest income	18	14
Interest expenses	(7,755)	(2,983)
Interest expenses from financial instruments determined using the effective interest method	(4,491)	(1,606)
For liabilities to banks and customers	(3,219)	(918)
For securitised liabilities	(1,032)	(403)
For subordinated capital	(82)	(82)
From the amortisation of significant and non-significant modifications of financial assets	(2)	(3)
From negative interest	(6)	(175)
Other interest expenses	(149)	(25)
Interest expenses – other	(3,264)	(1,377)
For liabilities to banks and customers	(77)	(90)
For securitised liabilities	(74)	(28)
For hedge accounting derivatives	(1,270)	(531)
For derivatives in economic hedges	(1,809)	(514)
From negative interest	(14)	(199)
Other interest expenses	(20)	(15)
Total	2,919	2,137

¹ Modification gains or losses from modifications of contractually agreed cash flows of financial assets, the loss allowances for which are measured in the amount of the 12-month expected credit losses.

Total interest income amounted to EUR 6,874 million (FY 2022: EUR 3,204 million) for financial assets measured at amortised cost and EUR 228 million (FY 2022: EUR 86 million) for financial assets mandatorily measured at fair value through other comprehensive income. Total interest expenses for financial liabilities not measured at fair value through profit or loss were EUR 4,477 million (FY 2022: EUR 1,145 million).

(27) Risk provisions

EUR million	2023	2022
Income from risk provisions	1,319	1,121
From the release of risk provisions for on and off-balance sheet transactions	1,207	1,089
Income from the writeup of purchased or originated credit-impaired financial assets	11	6
From recoveries on written down receivables	102	26
Expenses for risk provisions	(1,499)	(1,192)
From additions to risk provisions for on and off-balance sheet transactions	(1,498)	(1,191)
Total	(180)	(70)

Refer to note 73 for details about the post-model adjustment shown as at 31 December 2023.

(28) Net commission income

EUR million	2023	2022
Commission income	933	912
Securities business	86	106
Credit business	212	205
Payments	99	64
Documentary business	6	7
Credit card business	275	253
Fund business	225	225
Trust transactions	18	17
Other	11	35
Commission expenses	(461)	(489)
Securities business	(55)	(63)
Broker fees	(5)	(11)
Credit business	(89)	(88)
Payments	(53)	(55)
Documentary business	–	(1)
Credit card business	(162)	(171)
Fund business	(94)	(95)
Other	(2)	(4)
Total	473	424

In addition to revenue from contracts with customers (see note 75), net commission income also included fee income of EUR 4 million (FY 2022: EUR 4 million) and fee expenses of EUR 69 million (FY 2022: EUR 68 million) directly related to issuing or acquiring financial instruments and which form an integral part of the effective interest rate (e.g. certain processing or arrangement fees in the lending business).

Fees on financial instruments not measured at fair value through profit or loss recognised as expenses in net commission income came to a total of EUR -76 million (FY 2022: EUR -79 million).

(29) Gains or losses on fair value measurement

EUR million	2023	2022
Net trading income	161	109
Interest-related transactions	55	(37)
Currency-related transactions	49	57
Equity-related and index-related transactions and transactions with other risks	(61)	(1)
Credit derivatives	(9)	2
Other financial transactions	142	92
Trading-related commission	(16)	(6)
Fair value gains or losses on debt instruments in the “financial assets mandatorily measured at fair value through profit or loss” category that are not held for trading	124	(92)
Fair value gains or losses on financial instruments in the “fair value option” category	(60)	50
Total	226	67

Net trading income includes realised and unrealised gains or losses attributable to these trading activities, the interest and dividend income related to these transactions, and gains or losses on foreign currency translation.

Current income and expenses from derivatives in economic hedges, from debt instruments in the “financial assets mandatorily measured at fair value through profit or loss” category that are not held for trading, and from financial instruments in the “fair value option” category are reported under net interest income.

(30) Gains or losses on hedge accounting

EUR million	2023	2022
Gains or losses on micro fair value hedges	8	(1)
Gains or losses on the measurement of hedged items	(175)	(10)
Gains or losses on the measurement of hedging instruments	183	9
Gains or losses on portfolio fair value hedges	(49)	(177)
Gains or losses on the measurement of hedged items	1,120	(5,005)
Gains or losses on the measurement of hedging instruments	(1,169)	4,829
Gains or losses on group fair value hedges	(5)	1
Gains or losses on the measurement of hedged items	7	(22)
Gains or losses on the measurement of hedging instruments	(12)	23
Total	(46)	(177)

(31) Gains or losses on derecognised financial assets

EUR million	2023	2022
Gains on derecognised financial assets	169	7
Gains on disposals	167	2
Gains on significant modifications	2	5
Losses on derecognised financial assets	(271)	(9)
Losses on disposals	(263)	–
Losses on significant modifications	(8)	(10)
Total	(102)	(3)

The amounts relate to financial assets in the “financial assets measured at amortised cost” category.

The gains and losses mainly arose due to the early derecognition of hedged items from hedge accounting.

(32) Gains or losses on financial investments

EUR million	2023	2022
Gains or losses on financial investments in the “financial assets mandatorily measured at fair value through other comprehensive income” category	(69)	(2)
Income from financial investments	8	1
Gains on disposals	8	1
Expenses from financial investments	(76)	(2)
Losses on disposals	(76)	(2)
Fair value gains or losses on equity instruments in the “financial assets mandatorily measured at fair value through profit or loss” category that are not held for trading	(2)	(9)
Total	(71)	(11)

(33) Administrative expenses

EUR million	2023	2022
Staff costs	(845)	(837)
Salaries and wages	(696)	(659)
Social security contributions	(99)	(94)
Of which:		
Employer contributions to statutory pension scheme	(52)	(50)
Expenses for pensions and other employee benefits	(50)	(84)
Of which:		
Expenses for defined contribution plans	(12)	(12)
Other administrative expenses	(663)	(636)
Expenses for real estate ¹	(36)	(38)
Data processing costs	(318)	(305)
Office costs	(1)	(6)
Advertising	(37)	(39)
Communication and other selling costs	(81)	(82)
Membership, legal and consulting fees	(131)	(122)
Miscellaneous administrative costs	(59)	(45)
Expenses from the amortisation, depreciation, loss allowances and writedowns of property, plant and equipment and intangible assets	(109)	(95)
Total	(1,617)	(1,569)

¹ Not including investment property.

(34) Expenses for the bank levy and deposit guarantee scheme

EUR million	2023	2022
Expenses for the bank levy	(70)	(104)
Expenses for the deposit guarantee scheme	(58)	(37)
Total	(128)	(140)

(35) Other income and expenses

EUR million	2023	2022
Other income	149	455
Rental income from investment property	2	2
Gains on the sale of investment property	–	76
Gains on the sale of property, plant and equipment and intangible assets	–	223
Gains on the sale of property held as inventory	20	–
Gains on repurchases of own issues	52	44
Income from the release of provisions	10	49
Interest income from tax refunds due	30	18
Sundry other income	35	43
Other expenses	(90)	(99)
Current expenses from leased investment property	(6)	(2)
Expenses from the depreciation of investment property	(1)	(1)
Expenses from establishing provisions	(16)	(37)
Expenses from losses	(23)	(13)
Losses on repurchases of own issues	(3)	(4)
Expenses from loss transfers	(2)	(2)
Other taxes	(2)	(5)
Interest expenses from tax arrears	(7)	(6)
Sundry other expenses	(31)	(29)
Total	59	356

Sundry other income and sundry other expenses principally includes income and expenses that are not typical for banks.

(36) Gains or losses on restructuring

EUR million	2023	2022
Income from restructuring measures	26	146
Expenses for restructuring measures	(118)	(38)
Total	(92)	108

Gains or losses on restructuring should not be regarded as gains or losses from extraordinary items.

Income from restructuring measures during the year under review mainly included positive effects from the release of restructuring provisions no longer required at BayernLB and Deutsche Kreditbank Aktiengesellschaft (DKB).

EUR 85 million of expenditure for restructuring measures is attributable to DKB and were to do with the Fit4Growth efficiency programme launched during the reporting year. This programme will involve measures to downsize the workforce. The expenses included EUR 74 million added to provisions and consultancy costs incurred in the programme.

The other EUR 33 million of expenditure related to BayernLB and included EUR 12 million of newly recognised restructuring provisions for IT transformation measures addressed under Focus 2024 and EUR 21 million from changes to the measurement parameters for restructuring provisions already recognised.

(37) Income taxes

EUR million	2023	2022
Current income taxes	(301)	(128)
Domestic and foreign corporation tax including solidarity surcharge	(156)	(38)
Municipal trade tax/foreign local taxes	(144)	(89)
Deferred taxes	29	64
Domestic and foreign corporation tax including solidarity surcharge	15	27
Municipal trade tax/foreign local taxes	14	37
Total	(271)	(64)

Tax expenses totalled EUR 271 million in the reporting year (FY 2022: EUR 64 million).

Current tax expenses of EUR 301 million (FY 2022: EUR 128 million) arose largely from the current income taxes in the reporting year of the consolidated tax group of Deutsche Kreditbank Aktiengesellschaft (DKB) in the amount of EUR 299 million. The current tax expenses line item included current tax income of EUR 2 million for previous years (FY 2022: EUR 80 million).

Deferred tax income of EUR 29 million (FY 2022: EUR 64 million) was primarily caused by the change in the value of temporary differences within the consolidated tax group of BayernLB.

The effective tax expenses recognised in the reporting year were EUR 200 million lower (FY 2022: EUR 303 million) than the estimated tax expenses. The factors responsible for this difference are shown in the table below.

EUR million	2023	2022
Profit/loss before taxes	1,441	1,122
Group tax rate (in %)	32.7	32.7
Estimated tax expenses (-)/income (+)	(471)	(367)
Effects from differing local tax rates	58	(10)
Effects from taxes from previous years recognised in the reporting year	(4)	80
Effects from changes in tax rates	(1)	(2)
Effects from other non-deductible operating expenses	(28)	(39)
Effects from tax-free income	5	11
Effects from permanent accounting differences	(27)	12
Effects from revaluations and corrections	211	256
Other	(14)	(5)
Effective tax expenses (-)/income (+)	(271)	(64)
Effective tax rate (in %)	18.8	5.7

In the reporting year, based on the applicable tax rates for corporate income tax, the solidarity surcharge and municipal trade tax, the Group tax rate was 32.7 percent as at the reporting date (FY 2022: 32.7 percent).

The impact from differing local tax rates of EUR 58 million (FY 2022: EUR -10 million) was largely related to the tax-exempted foreign funds of DKB and BayernLabo's tax exemption. The effects of changes in tax rates were attributable to the New York branch.

The taxes recognised for previous years were largely due to BayernLB's tax assets for previous years.

The tax effect from non-deductible operating expenses primarily arose from the non-deductible bank levy in the consolidated tax group of BayernLB and with respect to DKB. Offsetting tax-free income arose primarily from tax-exempt dividends.

Tax effects of impairments and recognition corrections amounting to EUR 211 million (FY 2022: EUR 256 million) were generated largely from the increase in the value of deductible temporary differences arising from the consolidated tax group of BayernLB compared with the previous year.

Impact of Pillar Two

In December 2021 the Organisation for Economic Co-operation and Development (OECD) published its Global Anti-Base Erosion, or GloBE, proposal for model rules (Pillar Two) to reform international corporate taxation. After implementation in the EU, the German legislative process ended with the promulgation of the Minimum Tax Act (MinStG) in the Federal Law Gazette on 27 December 2023. As MinStG only applies from 1 January 2024, there was no impact on the current tax expense of the reporting year.

BayernLB applies the mandatory exception on recognising deferred taxes in conjunction with the introduction of global minimum taxation.

As a result of the introduction of MinStG, BayernLB is required to review whether it meets a minimum tax rate of at least 15 percent under the new rules in each of the eleven tax jurisdictions in

which it is domiciled. Any supplementary tax which may be due for a jurisdiction can be avoided by applying temporary transitional rules, provided one of three safe harbour tests (also known as a de minimis test, ETR test or routine profits test) is positive for the financial year in question. To carry out these tests an analysis was conducted for the financial year 2022 based on qualified country by country reporting.

On current data, BayernLB assumes that if MinStG were already applicable in the reporting year, as a consequence of the safe harbour rules there would be no material charge due to Pillar Two income tax.

Notes to the balance sheet

(38) Cash reserves

EUR million	2023	2022
Cash	34	50
Deposits with central banks	1,150	1,511
Debt instruments issued by public entities and bills of exchange eligible for refinancing with central banks	674	590
Total	1,858	2,151

(39) Loans and advances to banks

EUR million	2023	2022
Loans and advances to domestic banks	65,746	56,218
Loans and advances to foreign banks	3,566	5,220
Total	69,312	61,438

Loans and advances to banks by maturity

EUR million	2023	2022
Payable on demand	46,858	37,645
With residual maturity of	22,454	23,793
Up to 3 months	1,948	3,271
Between 3 months and 1 year	3,966	3,261
Between 1 year and 5 years	6,606	7,516
More than 5 years	9,933	9,746
Total	69,312	61,438

(40) Loans and advances to customers

EUR million	2023	2022
Loans and advances to domestic customers	142,700	137,222
Government entities/companies under public law	23,498	23,155
Private companies/private individuals	119,202	114,066
Loans and advances to foreign customers	28,369	28,717
Government entities/companies under public law	861	1,444
Private companies/private individuals	27,508	27,273
Total	171,069	165,939

Loans and advances to customers by maturity

EUR million	2023	2022
With residual maturity of	169,981	164,763
Up to 3 months	12,548	13,011
Between 3 months and 1 year	16,860	15,601
Between 1 year and 5 years	56,657	54,706
More than 5 years	83,916	81,445
Perpetual maturities	1,088	1,176
Total	171,069	165,939

(41) Risk provisions

EUR million	2023	2022
Loss allowances – Stage 1	177	229
Loss allowances – Stage 2	308	255
Loss allowances – Stage 3	739	657
Loss allowances – POCI	38	60
Total	1,262	1,201

Loss allowances for financial assets measured at amortised cost recognised in the balance sheet items cash reserves, loans and advances to banks, loans and advances to customers and other assets are shown separately in the balance sheet item risk provisions. In the case of securities in the “financial assets measured at amortised cost” category included in the balance sheet item financial investments, any necessary loss allowances are deducted from the carrying amount of the financial asset. As at the reporting date and that of the previous year, the BayernLB Group only had loss allowances for loans and advances to banks and loans and advances to customers (see note 44).

The loss allowances are broken down in the BayernLB Group as follows:

- Loss allowances measured in the amount of the expected 12-month credit loss for financial assets whose credit risk has not significantly increased since first-time recognition and are not in default (Stage 1)
- Loss allowances measured in the amount of the lifetime expected credit losses for financial assets for which the default risk has increased significantly since first-time recognition but which are not credit-impaired financial assets (Stage 2)
- Loss allowances measured in the amount of the lifetime expected credit losses for financial assets that were credit-impaired as at the reporting date but which were not at the time of purchase or origination (Stage 3)
- Loss allowances for purchased or originated credit-impaired financial assets (POCI)
- Loss allowances for trade receivables where the loss allowances are always measured in the amount of the lifetime expected credit losses (simplified approach)

Whereas reclassifications to Stage 3 from Stage 1 or Stage 2 are shown separately in the changes in loss allowances, reclassifications from Stage 3 to Stage 1 or Stage 2 result in the release of loss allowances at Stage 3 and additions to loss allowances at Stage 1 or Stage 2.

Changes in loss allowances – Stage 1

EUR million	Loans and advances to banks		Loans and advances to customers		Total	
	2023	2022	2023	2022	2023	2022
As at 1 Jan	9	4	220	176	229	180
Changes in the expected credit loss due to changes in the risk parameters	–	3	(47)	31	(48)	35
Additions due to lending/purchases	2	2	66	63	69	65
Releases due to disposals/redemptions/sales	(2)	(2)	(47)	(32)	(49)	(34)
Reclassifications to Stage 1 from Stage 2	1	8	37	29	37	37
Reclassifications from Stage 1 to Stage 2	(6)	(7)	(45)	(41)	(52)	(48)
Reclassifications from Stage 1 to Stage 3	–	–	(10)	(6)	(10)	(6)
As at 31 Dec	3	9	174	220	177	229

Changes in loss allowances – Stage 2

EUR million	Loans and advances to banks		Loans and advances to customers		Total	
	2023	2022	2023	2022	2023	2022
As at 1 Jan	19	5	236	262	255	267
Currency-related changes	–	–	(4)	2	(4)	2
Changes in the expected credit loss due to changes in the risk parameters	(11)	24	213	111	202	135
Additions due to lending/purchases	1	2	46	25	47	27
Releases due to disposals/redemptions/sales	(1)	(2)	(121)	(122)	(121)	(123)
Reclassifications to Stage 2 from Stage 1	6	7	45	41	52	48
Reclassifications from Stage 2 to Stage 1	(1)	(8)	(37)	(29)	(37)	(37)
Reclassifications from Stage 2 to Stage 3	(12)	(9)	(73)	(54)	(85)	(63)
As at 31 Dec	2	19	306	236	308	255

Changes in loss allowances – Stage 3

EUR million	Loans and advances to banks		Loans and advances to customers		Total	
	2023	2022	2023	2022	2023	2022
As at 1 Jan	28	6	628	605	657	612
Currency-related changes	–	–	(1)	(1)	(1)	(1)
Changes in the expected credit loss due to changes in the risk parameters	(19)	13	293	75	274	88
Additions due to lending/purchases	–	–	36	25	36	25
Releases due to disposals/redemptions/sales	–	–	(44)	(52)	(44)	(52)
Utilisations/writedowns	(9)	–	(239)	(77)	(248)	(77)
Unwinding	–	–	(32)	(15)	(32)	(15)
Reclassifications to Stage 3 from Stage 1	–	–	10	6	10	6
Reclassifications to Stage 3 from Stage 2	12	9	73	54	85	63
Transfers/other changes	–	–	3	9	3	9
As at 31 Dec	12	28	727	628	739	657

Changes in loss allowances – POCI

EUR million	Loans and advances to customers	
	2023	2022
As at 1 Jan	60	58
Currency-related changes	(4)	(1)
Changes in the expected credit loss due to changes in the risk parameters	6	7
Additions due to lending/purchases	1	1
Releases due to disposals/redemptions/sales	(1)	(3)
Utilisations/writedowns	(22)	(2)
Transfers/other changes	(1)	1
As at 31 Dec	38	60

The total volume of non-discounted expected credit losses as at first-time recognition of financial assets whose creditworthiness was impaired when they were acquired or issued was EUR 48 million in the reporting year (FY 2022: EUR 11 million). All of these related to loans and advances to customers.

The gross carrying amount of financial assets in the “financial assets measured at amortised cost” category which are recognised in the balance sheet line items cash reserves, loans and advances to banks, loans and advances to customers and other assets stood at EUR 241,855 million (FY 2022: EUR 229,491 million) as at the reporting date and was as follows:

EUR million	2023	2022
Financial assets – Stage 1	216,367	209,320
Financial assets – Stage 2	22,517	18,333
Financial assets – Stage 3	2,802	1,641
Financial assets – POCI	121	151
Trade receivables – simplified approach	48	45
Total	241,855	229,491

The table below shows the extent to which changes in the gross carrying amount of financial assets contributed to changes in the loss allowance.

Changes in gross carrying amounts – Stage 1

EUR million	Cash reserves		Loans and advances to banks		Loans and advances to customers		Other assets		Total	
	2023	2022	2023	2022	2023	2022	2023	2022	2023	2022
As at 1 Jan	1,561	17,100	57,796	51,133	149,927	145,574	36	22	209,320	213,829
Currency-related changes	(1)	53	(55)	55	(54)	134	–	–	(110)	242
Changes in the scope of consolidation	–	–	–	–	–	10	–	1	–	11
Lending/purchases	6,962	33,875	287,719	307,356	55,109	68,654	34	33	349,824	409,917
Disposals/redemptions/sales	(4,308)	(49,468)	(277,890)	(301,045)	(49,705)	(61,712)	(32)	(19)	(331,934)	(412,244)
Non-significant modifications	–	–	–	–	(4)	(2)	–	–	(4)	(2)
Reclassifications to Stage 1 from Stage 2	–	–	932	4,504	8,245	8,350	–	–	9,177	12,854
Reclassifications to Stage 1 from Stage 3	–	–	–	–	39	46	–	–	39	46
Reclassifications from Stage 1 to Stage 2	(3,082)	–	(1,292)	(3,977)	(15,385)	(11,057)	–	–	(19,759)	(15,034)
Reclassifications from Stage 1 to Stage 3	–	–	–	–	(280)	(110)	–	–	(280)	(110)
Transfers/other changes	–	–	54	(230)	40	41	–	–	94	(189)
As at 31 Dec	1,132	1,561	67,264	57,796	147,933	149,927	38	36	216,367	209,320

Changes in gross carrying amounts – Stage 2

EUR million	Cash reserves		Loans and advances to banks		Loans and advances to customers		Total	
	2023	2022	2023	2022	2023	2022	2023	2022
As at 1 Jan	–	–	3,619	5,129	14,715	11,348	18,333	16,478
Currency-related changes	–	–	28	66	11	42	39	108
Lending/purchases	4,542	–	9,445	14,840	10,922	7,015	24,909	21,856
Disposals/redemptions/sales	(7,572)	–	(11,390)	(15,873)	(10,709)	(6,087)	(29,671)	(21,961)
Reclassifications to Stage 2 from Stage 1	3,082	–	1,292	3,977	15,385	11,057	19,759	15,034
Reclassifications to Stage 2 from Stage 3	–	–	–	–	76	39	76	39
Reclassifications from Stage 2 to Stage 1	–	–	(932)	(4,504)	(8,245)	(8,350)	(9,177)	(12,854)
Reclassifications from Stage 2 to Stage 3	–	–	(15)	(34)	(1,497)	(350)	(1,512)	(385)
Transfers/other changes	–	–	(3)	18	(236)	–	(239)	18
As at 31 Dec	52	–	2,044	3,619	20,420	14,715	22,517	18,333

Changes in gross carrying amounts – Stage 3

EUR million	Loans and advances to banks		Loans and advances to customers		Total	
	2023	2022	2023	2022	2023	2022
As at 1 Jan	39	7	1,603	1,492	1,641	1,499
Currency-related changes	–	–	(5)	10	(5)	10
Lending/purchases	–	–	369	319	369	319
Disposals/redemptions/sales	(40)	(2)	(853)	(608)	(893)	(610)
Utilisations/writedowns	–	–	(7)	(11)	(7)	(11)
Reclassifications to Stage 3 from Stage 1	–	–	280	110	280	110
Reclassifications to Stage 3 from Stage 2	15	34	1,497	350	1,512	385
Reclassifications from Stage 3 to Stage 1	–	–	(39)	(46)	(39)	(46)
Reclassifications from Stage 3 to Stage 2	–	–	(76)	(39)	(76)	(39)
Transfers/other changes	–	–	19	25	19	25
As at 31 Dec	13	39	2,789	1,603	2,802	1,641

Changes in gross carrying amounts – POCI

EUR million	Loans and advances to customers	
	2023	2022
As at 1 Jan	151	155
Lending/purchases	118	58
Disposals/redemptions/sales	(108)	(58)
Utilisations/writedowns	(1)	(2)
Non-significant modifications	(1)	(3)
Transfers/other changes	(39)	1
As at 31 Dec	121	151

Changes in gross carrying amounts – simplified approach

EUR million	Other assets	
	2023	2022
As at 1 Jan	45	44
Lending/purchases	17	21
Disposals/redemptions/sales	(14)	(21)
As at 31 Dec	48	45

(42) Assets held for trading

EUR million	2023	2022
Bonds, notes and other fixed-income securities	1,943	1,614
Money market instruments	627	842
Bonds and notes	1,316	772
Equities and other non-fixed income securities	16	12
Equities	16	12
Loans and advances	3,466	1,688
Schuldschein note loans	346	282
Loan syndications	170	126
Securities repurchase transactions	2,949	1,275
Other receivables	–	5
Positive fair values from derivative financial instruments (not hedge accounting)	6,837	8,181
Total	12,261	11,495

Assets held for trading by maturity

EUR million	2023	2022
With residual maturity of	12,246	11,479
Up to 3 months	3,316	2,302
Between 3 months and 1 year	2,217	1,664
Between 1 year and 5 years	3,227	3,138
More than 5 years	3,486	4,374
Perpetual maturities	16	17
Total	12,261	11,495

(43) Positive fair values from derivative financial instruments (hedge accounting)

EUR million	2023	2022
Positive fair values from micro fair value hedges	118	122
Positive fair values from portfolio fair value hedges	25	11
Positive fair values from group fair value hedges	25	123
Total	168	256

**Positive fair values from derivative financial instruments (hedge accounting)
by maturity**

EUR million	2023	2022
With residual maturity of		
Up to 3 months	1	–
Between 3 months and 1 year	13	–
Between 1 year and 5 years	44	148
More than 5 years	110	108
Total	168	256

(44) Financial investments

EUR million	2023	2022
Bonds, notes and other fixed-income securities	17,018	17,115
Bonds and notes	17,018	17,115
Equities and other non-fixed income securities	466	389
Equities	351	281
Investment units	108	101
Other non-fixed income securities	7	7
Equity interests	559	510
Interests in unconsolidated subsidiaries	151	159
Interests in joint ventures not measured at equity	1	1
Interests in associates not measured at equity	3	3
Other equity interests	405	347
Other financial investments	21	21
Total	18,065	18,035

Financial investments by maturity

EUR million	2023	2022
With residual maturity of	17,039	17,136
Up to 3 months	1,014	1,399
Between 3 months and 1 year	2,294	1,503
Between 1 year and 5 years	8,795	9,320
More than 5 years	4,937	4,914
Perpetual maturities	1,025	899
Total	18,065	18,035

For the presentation of the loss allowances for financial investments in the “financial assets mandatorily measured at fair value through other comprehensive income” category refer to note 59.

As at the reporting date, the gross carrying amount of the financial investments in the “financial assets measured at amortised cost” category was EUR 8 million (FY 2022: EUR 9 million), all of which comprised bonds and notes in Stage 1.

Changes in gross carrying amounts

EUR million	Stage 1	
	2023	2022
As at 1 Jan	9	11
Disposals/redemptions/sales	(2)	(2)
As at 31 Dec	8	9

(45) Investment property

EUR million	2023	2022
Leased property	20	21
Total	20	21

Changes in investment property

EUR million	2023	2022
Cost		
As at 1 Jan	48	52
Additions	–	8
Transfers	–	(13)
Disposals	–	–
As at 31 Dec	47	48
Depreciation, writedowns and writeups		
As at 1 Jan	(27)	(27)
Depreciation	(1)	(1)
Transfers	–	2
Disposals	–	–
As at 31 Dec	(27)	(27)
Carrying amount		
As at 1 Jan	21	25
As at 31 Dec	20	21

During the reporting year no investment property was reallocated to the non-current assets or disposal groups held for sale line item of the balance sheet (FY 2022: EUR 11 million).

As at the reporting date, the fair value of investment property was EUR 21 million (FY 2022: EUR 16 million). The fair value was calculated by independent experts and based on the German income method (Ertragswertverfahren) using market and geodata. The main inputs are unobservable (Level 3 in the fair value hierarchy).

As at the reporting date, there was a restriction on the realisability of an investment property in the amount of EUR 20 million (FY 2022: EUR 21 million).

(46) Property, plant and equipment

EUR million	2023	2022
Property	193	230
Owner-occupied property	189	225
Assets leased under operating leases	5	5
Furniture and office equipment	39	47
Right-of-use assets from leases	119	139
Total	351	415

Changes in property, plant and equipment

EUR million	Property ¹		Furniture and office equipment		Right-of-use assets from leases		Total	
	2023	2022	2023	2022	2023	2022	2023	2022
Cost								
As at 1 Jan	325	377	146	137	224	192	696	706
Currency-related changes	–	–	–	–	(1)	2	(1)	2
Additions	–	11	10	17	10	41	18	68
Transfers	(37)	(62)	1	–	–	–	(37)	(62)
Disposals	(2)	–	(13)	(8)	(8)	(10)	(22)	(18)
As at 31 Dec	286	325	143	146	225	224	654	696
Depreciation, writedowns and writeups								
As at 1 Jan	(96)	(103)	(99)	(91)	(85)	(68)	(280)	(261)
Currency-related changes	–	–	–	–	–	–	1	(1)
Depreciation	(8)	(8)	(15)	(15)	(27)	(26)	(49)	(49)
Impairment	–	–	(2)	–	–	–	(2)	–
Transfers	11	15	–	–	–	–	11	15
Disposals	–	–	11	7	6	8	17	16
As at 31 Dec	(92)	(96)	(105)	(99)	(106)	(85)	(303)	(280)
Carrying amount								
As at 1 Jan	230	275	47	46	139	124	415	445
As at 31 Dec	193	230	39	47	119	139	350	415

¹ Including assets leased under operating leases.

In the second half of the year, owner-occupied property with a carrying amount of EUR 26 million (FY 2022: EUR 0 million) was reallocated to the non-current assets or disposal groups classified as held for sale line item of the balance sheet.

Expenditure on construction in progress of EUR 0 million (FY 2022: EUR 12 million) was capitalised in the reporting year.

(47) Intangible assets

EUR million	2023	2022
Internally generated intangible assets	111	93
Other intangible assets	155	121
Total	266	214

Intangible assets largely comprise internally generated and purchased software.

Changes in intangible assets

EUR million	Internally generated intangible assets		Other intangible assets		Total	
	2023	2022	2023	2022	2023	2022
Cost						
As at 1 Jan	205	166	358	313	562	479
Additions	48	39	62	51	110	90
Disposals	–	(1)	(5)	(6)	(5)	(7)
As at 31 Dec	253	205	415	358	668	562
Depreciation, writedowns and writeups						
As at 1 Jan	(112)	(90)	(237)	(219)	(349)	(309)
Depreciation	(28)	(22)	(27)	(24)	(56)	(46)
Impairments	(1)	(1)	(1)	–	(2)	(1)
Disposals	–	1	5	6	5	7
As at 31 Dec	(142)	(112)	(260)	(237)	(402)	(349)
Carrying amount						
As at 1 Jan	93	77	121	94	214	170
As at 31 Dec	111	93	155	121	266	214

(48) Current and deferred tax assets

EUR million	2023	2022
Current tax assets	135	64
Germany	135	64
Abroad	–	1
Deferred tax assets	705	714
Germany	633	630
Abroad	72	84
Total	840	778

Current tax assets arose predominantly from reimbursement claims in the consolidated tax group of BayernLB and amounted to EUR 126 million (FY 2022: EUR 56 million). This included income tax receivables of EUR 22 million (FY 2022: EUR 38 million), which were capitalised in accordance with IFRIC 23.

The following deferred taxes under assets and liabilities relate to recognition and measurement differences in individual balance sheet items, and to tax loss carryforwards:

	Deferred tax assets	Deferred tax liabilities	Deferred tax assets	Deferred tax liabilities
EUR million	2023	2023	2022	2022
Loans and advances to banks and customers including risk provisions	521	173	686	325
Assets held for trading	–	411	–	629
Positive fair values from derivative financial instruments (hedge accounting) and portfolio hedge adjustment assets	930	856	1,332	1,192
Financial investments	117	3	423	7
Property, plant and equipment	1	45	15	29
Other assets	4	239	6	249
Liabilities to banks and customers	5	398	737	1,269
Securitised liabilities	8	70	4	196
Liabilities held for trading	519	–	892	–
Negative fair values from derivative financial instruments (hedge accounting)	90	–	154	2
Provisions	322	–	162	–
Other liabilities	124	13	6	62
Subordinated capital	3	28	–	37
Loss carryforwards and other	307	10	294	–
Sub-total	2,951	2,246	4,711	3,997
Less netting	2,246	2,246	3,997	3,997
Total deferred taxes less loss allowances and netting	705		714	–

The deferred tax assets and liabilities of each reporting unit subject to taxation and of the consolidated tax group of BayernLB were fully netted, as the applicable tax laws permit current tax liabilities to be offset against current tax assets.

The change in net deferred income tax assets and liabilities (reduction in surplus assets) of EUR 9 million (FY 2022: increase in surplus assets of EUR 127 million) did not match the deferred tax income of EUR 29 million (FY 2022: deferred tax income of EUR 64 million).

The change was due to the EUR 36 million reduction in deferred taxes recognised in other income and expenses (FY 2022: increase of EUR 60 million). The reduction comprises the increase in deferred taxes not taken to income relating to the revaluation of defined benefit pension plans, amounting to EUR 48 million (FY 2022: EUR -65 million), the reduction in deferred taxes not taken to income relating to the change in the measurement of the revaluation surplus for gains or losses on fair value measurement of financial assets in the “financial assets mandatorily measured at fair value through other comprehensive income” category, amounting to EUR 84 million (FY 2022: increase of EUR 125 million), and rating-related changes in the fair value of financial liabilities from the “fair value option” category recognised through other comprehensive income. The remaining amount of EUR -2 million (FY 2022: EUR 3 million) related to currency translation differences.

Tax loss carryforwards and instalments for which a deferred tax asset has been recognised or not recognised are listed separately in the table below for all types of loss relevant to the BayernLB Group. The tax loss carryforwards for the consolidated tax group of BayernLB were calculated

based on the findings of the tax audit of the units. The period of time in which unrecognised loss carryforwards may still be used according to the tax law applicable in each case is also shown. Tax loss carryforwards of companies subject to taxation in Germany may be used indefinitely.

EUR million	2023	2022
Corporation tax		
Loss carryforwards	3,347	3,223
Loss carryforwards for which a deferred tax asset has been recognised	978	949
Loss carryforwards for which no deferred tax asset has been recognised	2,369	2,274
Expire within 10 years	605	–
Expire after 10 years	1,091	1,765
May be used indefinitely	673	509
Municipal trade tax		
Loss carryforwards	1,648	1,474
Loss carryforwards for which a deferred tax asset has been recognised	1,024	1,082
Loss carryforwards for which no deferred tax asset has been recognised	624	392
Expire after 10 years	330	214
May be used indefinitely	294	178

The deferred tax assets recognised on loss carryforwards related to the tax planning for the relevant company/consolidated tax group of BayernLB.

No deferred tax assets were recognised for deductible temporary differences of EUR 1,404 million (FY 2022: EUR 2,153 million).

The sum of the temporary differences associated with equity interests in subsidiaries, branches, joint ventures and associates for which no deferred tax liability is recognised under IAS 12.39 amounted to EUR 134 million (FY 2022: EUR 116 million).

Due to tax losses not previously recognised at BayernLB level, BayernLB's deferred tax expense was reduced by EUR 33 million (FY 2022: EUR 115 million).

(49) Other assets

EUR million	2023	2022
Emissions certificates	2,113	2,916
Precious metals	524	495
Assets from defined benefit plans	289	426
Claims from reinsurance	234	233
Other assets	439	383
Total	3,600	4,453

EUR 593 million (FY 2022: EUR 540 million) of other assets were due after more than 12 months.

The fair value of emissions certificates was calculated using prices quoted on active markets for similar financial instruments (Level 2 of the fair value hierarchy) and was EUR 2,113 million (FY 2022: EUR 2,916 million) as at the reporting date.

(50) Liabilities to banks

EUR million	2023	2022
Liabilities to domestic banks	48,901	58,087
Liabilities to foreign banks	3,024	2,877
Total	51,925	60,964

Liabilities to banks by maturity

EUR million	2023	2022
Payable on demand	4,833	4,663
With residual maturity of	47,092	56,301
Up to 3 months	2,543	2,762
Between 3 months and 1 year	4,178	4,907
Between 1 year and 5 years	14,765	24,484
More than 5 years	25,606	24,148
Total	51,925	60,964

Liabilities to banks by product

EUR million	2023	2022
Schuldschein note loans/issues	4,667	4,919
Schuldschein note loans	2,210	2,267
Registered public Pfandbriefs issued	446	565
Mortgage Pfandbriefs issued	377	496
Other registered securities	1,634	1,590
Book-entry liabilities	47,258	56,045
On-lending business/subsidised loans	38,780	37,917
Overnight and time deposits	3,350	13,076
Current account liabilities	4,023	3,917
Securities repurchase transactions	–	248
Other liabilities	1,104	886
Total	51,925	60,964

The BayernLB Group repaid the ECB's longer-term refinancing facilities (TLTRO III) in full (FY 2022: EUR 8,418 million) during the year under review.

(51) Liabilities to customers

EUR million	2023	2022
Liabilities to domestic customers	136,431	115,365
Government entities/companies under public law	16,371	14,383
Private companies/private individuals	120,060	100,982
Liabilities to foreign customers	6,878	7,938
Government entities/companies under public law	1,469	1,792
Private companies/private individuals	5,409	6,147
Total	143,309	123,304

Liabilities to customers by maturity

EUR million	2023	2022
With residual maturity of		
Up to 3 months ¹	121,010	101,369
Between 3 months and 1 year	7,747	7,503
Between 1 year and 5 years	5,535	5,190
More than 5 years	9,017	9,241
Total	143,309	123,304

¹ Including liabilities to customers due on demand in the amount of EUR 103,895 million (FY 2022: EUR 89,751 million).

Liabilities to customers by product

EUR million	2023	2022
Schuldschein note loans/issues	13,566	14,029
Schuldschein note loans	1,040	985
Registered public Pfandbriefs issued	5,513	6,058
Mortgage Pfandbriefs issued	1,665	1,806
Other registered securities	5,348	5,180
Book-entry liabilities	129,743	109,274
Overnight and time deposits	76,546	29,908
Current account liabilities	52,554	78,779
Other liabilities	643	587
Total	143,309	123,304

(52) Securitised liabilities

EUR million	2023	2022
Bonds and notes issued	42,423	38,114
Mortgage Pfandbriefs	9,665	7,343
Public Pfandbriefs	10,643	11,132
Other bonds and notes	22,115	19,639
Other securitised liabilities	7,772	7,657
Money market instruments	7,640	7,070
Miscellaneous securitised liabilities	132	587
Total	50,195	45,771

Securitised liabilities by maturity

EUR million	2023	2022
With residual maturity of		
Up to 3 months	7,380	8,453
Between 3 months and 1 year	7,837	3,902
Between 1 year and 5 years	21,825	21,546
More than 5 years	13,154	11,871
Total	50,195	45,771

(53) Liabilities held for trading

EUR million	2023	2022
Liabilities	699	1,165
Liabilities from short sales	201	207
Securities repurchase transactions	137	221
Other liabilities	361	736
Negative fair values from derivative financial instruments (not hedge accounting)	7,457	9,766
Total	8,156	10,931

Liabilities held for trading by maturity

EUR million	2023	2022
With residual maturity of		
Up to 3 months	1,043	1,260
Between 3 months and 1 year	1,019	1,357
Between 1 year and 5 years	2,135	3,083
More than 5 years	3,958	5,231
Total	8,156	10,931

(54) Negative fair values from derivative financial instruments (hedge accounting)

EUR million	2023	2022
Negative fair values from micro fair value hedges	161	353
Negative fair values from portfolio fair value hedges	3	1
Negative fair values from group fair value hedges	38	158
Total	202	512

Negative fair values from derivative financial instruments (hedge accounting) by maturity

EUR million	2023	2022
With residual maturity of		
Up to 3 months	19	38
Between 3 months and 1 year	11	49
Between 1 year and 5 years	68	178
More than 5 years	103	248
Total	202	512

(55) Provisions

EUR million	2023	2022
Provisions for pensions and similar obligations	506	477
Other provisions	656	627
Provisions for off-balance sheet transactions	109	112
Restructuring provisions	361	357
Miscellaneous provisions	186	158
Total	1,162	1,104

EUR 389 million (FY 2022: EUR 373 million) of other provisions are due after more than 12 months.

Provisions for pensions and similar obligations

The majority of the pension obligations in the BayernLB Group relate to direct or indirect pension commitments at BayernLB and are explained below in more detail.

BayernLB has both employer and employee-funded pension plans. In addition to retirement pensions, the pension benefits include disability and surviving dependants' benefits. The current pension payments are adjusted for inflation in accordance with the payscale-based increases for employees of public-sector banks, with any other relevant pension payments also factored in. For some recipients this adjustment is carried out in accordance with Section 16 of the Occupational Pensions Act (Betriebsrentengesetz).

At BayernLB, the core element of the promised defined benefit obligations provided directly by the employer to employees in Germany is the full benefits package (Gesamtversorgungszusage), modelled on the pension system for civil servants ("pension eligibility"). No more employees are being added to the number of employees eligible for civil-servant style pension benefits as BayernLB closed the scheme to new entrants at the end of the first quarter of 2009. The size of the

pension commitments for defined benefit plans is based largely on each employee's salary and length of service. Civil-servant style pension benefits are agreed in individual employment contracts. Only employees with at least 20 years of eligible service who also meet other criteria such as positive performance evaluations and no negative health issues were eligible for these pension benefits. The full benefits package also includes entitlements to allowances in the event of illness and an entitlement to payments of death benefits. Both the benefit payments and death benefits are recognised in accordance with the rules for defined benefit plans.

Pension, allowance and death benefit obligations under retirement provision law for active and former employees and their surviving dependants who fall under the guarantee obligation are covered by assets via a contractual trust arrangement (CTA). During the period under review the funds previously managed by the Bank's own CTA (BayernLB Treuhand e.V., Munich) were transferred to the CTA of Allianz Treuhand GmbH, Stuttgart (a multi-employer trust). The assets held by the multi-employer trust qualify as plan assets. The contractual trust agreement concluded between BayernLB and the multi-employer trust also establishes insolvency protection for the immediate commitments of the company retirement fund based on the underlying plan assets. The trust association agreements place no funding obligations on the trustor. The Board of Management of BayernLB is responsible for the investment strategy for the trust's assets, decides on the investment guidelines and monitors their implementation.

BayernLB has two legally independent support funds, Versorgungskasse I BayernLB Gesellschaft mit beschränkter Haftung, Munich (Versorgungskasse I) and Versorgungskasse II BayernLB Gesellschaft mit beschränkter Haftung, Munich (Versorgungskasse II). Versorgungskasse I is a lump-sum endowed provident fund that manages defined benefit obligations to former employees entitled to or in receipt of vested benefits. Versorgungskasse II is likewise a lump-sum endowed provident fund that manages the portion of the benefits package that had already been earned when the arrangements were changed in respect of some occupational retirement benefits in financial year 2010. BayernLB made an individually determined one-off contribution in the form of a capital component for those employees who agreed to switch their occupational retirement benefits to the new pension system. This contribution was converted into benefit credits and took the form of a one-off payment when the life insurance contract was concluded. Versorgungskasse II is responsible for paying the pension benefits and has reinsurance cover from Allianz Lebensversicherungs AG, Stuttgart (Allianz Leben), with BayernLB as the beneficiary of the life insurance contracts. A contractual trust agreement was concluded between BayernLB (trustor) and Willis Towers Watson Gruppen-CTA (WTW; trustee) to safeguard the entitlements from the life insurance policies. As assets held in trust, BayernLB incorporated the reinsurance policies covering its pension commitments into the WTW CTA. The assets managed under the WTW CTA do not qualify as offsettable plan assets. As the beneficial owner, BayernLB reports the reimbursement rights from reinsurance as an asset on the balance sheet under other assets. Their amounts and maturities correspond to the pension benefits. BayernLB makes regular contributions to Versorgungskassen I and II in accordance with thresholds defined by fiscal law.

Under the 2005 and 2010 pension schemes, BayernLB employees in Germany acquire rights to benefit entitlements based on indirect pension commitments. To fund these pension commitments, BayernLB and current employees pay defined contributions to two external benefit pro-

viders not part of the Group (ÖBAV Unterstützungskasse e. V., Munich, and BVV Versorgungskasse des Bankgewerbes e. V., Berlin). These providers conclude reinsurance contracts to fund occupational retirement benefits. As far as the basic provision is concerned, the contributions to the pension institutions comprise employer-funded (and where relevant employee-funded) allowances based on a defined percentage of annual remuneration. In addition to the basic provision, employees can also pay supplementary contributions into the pension institution through deferred compensation via the employer. The benefits promised by BayernLB are essentially the same as the ones the external benefit providers have agreed to provide. However, the external benefit providers are not under an explicit obligation to provide annual pension rises. As an annual pension rise is not explicitly ruled out in the contract, BayernLB still has a de facto obligation to provide the benefits. Consequently these indirect pension obligations are treated formally in the net amount like defined benefit plans in accordance with IAS 19, but accounted for under the accounting regulations as defined contribution plans due to their economic substance. This means that the contribution payments made to the external benefit providers are recognised as pension costs and therefore in administrative expenses, while the present value of the pension obligations and the plan assets used to cover them are of the same size so that no pension provisions for these pension schemes are reported on the BayernLB Group's balance sheet. Based on the current outlook, it is unlikely that the annual pension rise guarantee will be utilised in a financially significant amount.

The branch office in London (Bayerische Landesbank, London branch) has commitments under a pension fund financed by the employer and a separate, independent contribution plan. The pension fund consists of a defined benefit section and a defined contribution section and has been closed to new contributions since 2011. The risks from the defined benefit section are borne by the Bank. These are mainly investment risk and biometric risk.

Pension entitlements accrued in the fund up to the date of closure are retained. All active employees at the time of the switch were transferred to a new (solely defined contribution) plan for their retirement contributions. People joining the company can only join the new plan.

The trustees are responsible for implementing, adapting and complying with the regulations and the fund investment strategy. The Trustee Board consists of a member-nominated trustee and two trustees appointed by BayernLB.

UK law requires the Bank and the trustees to review the fund every three years and adapt if it necessary. The Bank is obliged under UK legislation to draw up a recovery plan for the pension fund to make up the deficit. In legal terms, both a one-off payment into the fund and a series of payments over several years are possible.

Risks from defined benefit plans and plan assets

Both the defined benefit obligations and the plan assets are subject to fluctuations over the course of time, which can have a negative or positive impact on the financing status.

Risks arise from defined benefit obligations in the BayernLB Group in particular from changes in discount rates (affected by the change in underlying interest rates), changes in expected collective wage agreements and increases in life expectancy. The significant influence of the discount

rates on the amount of pension obligations is primarily due to the long-term nature of the obligations. Significant risks in connection with commitments to provide benefits are related to rising healthcare costs.

The fair value of the plan assets is materially affected by the performance of the capital markets. The main driver of results is the level of interest rates. Unfavourable trends can not only place a burden on pension obligations, they can also affect the market value of plan assets. In terms of size, the tied equity and bond funds in the BayernLB CTA were among the most significant assets held by the BayernLB Group as at the reporting date. The investment strategy of the CTA is set, reviewed and, if necessary, adjusted by the BayernLB Investment Committee at regular intervals. Among those sitting on the Investment Committee are members of the Board of Management of BayernLB and representatives of Group Treasury, Group Risk Control, Human Resources, Research and BayernLabo. As part of the investment strategy, the maturity structure of the assets (especially the bond funds) is defined to match the future cash flows of the pension obligations. There is broad diversification across sectors and countries, with corresponding limits, to avoid any concentration of risk within the equity and bond funds. The majority of the assets are invested in the currency of the respective plan to reduce the currency risk. The performance of assets, income and risk are monitored on an ongoing basis. The investment strategies are reviewed regularly and adjusted if required. Where necessary, additional capital can be injected into the plan assets to cover future obligations from defined benefit pension plans.

The risks arising from pension plan obligations and plan assets form part of the Bank's Group-wide risk strategy.

Provisions for pensions and similar obligations recognised in the balance sheet

The figure shown in the balance sheet for pension provisions is derived as follows from the options the individual pension plans have to offset the present value of pension obligations against the fair value of plan assets and the rules governing the asset ceiling:

EUR million	2023	2022
Present value of pension obligations	3,553	3,097
Fair value of plan assets	(3,350)	(3,065)
Effects of the asset ceiling	14	19
Assets from defined benefit plans	289	426
Pension provisions recognised	506	477

Reimbursement rights of EUR 234 million (FY 2022: EUR 233 million) were furthermore recognised in the BayernLB Group as assets and reported under other assets. These are rights from insurance contracts (reinsurance) which correspond in terms of their size and maturity to the benefits from the related pension obligations to be paid.

Changes in provisions for pensions

EUR million	Present value of pension obligations		Fair value of plan assets		Effects of the asset ceiling		Assets from defined benefit plans		Pension provisions recognised	
	2023	2022	2023	2022	2023	2022	2023	2022	2023	2022
As at 1 Jan	3,097	4,315	(3,065)	(3,435)	19	23	426	21	477	924
Currency-related changes	1	(6)	(1)	7	–	(1)	–	–	–	–
Current service cost	27	47	–	–	–	–	(16)	(13)	11	34
Past service cost	–	14	–	–	–	–	–	(11)	–	3
Interest income/expenses	109	50	(114)	(39)	1	–	17	(1)	14	10
Changes due to remeasurement	438	(1,205)	(263)	417	(6)	(2)	(139)	398	30	(393)
Employer contributions	–	–	(12)	(113)	–	–	1	11	(11)	(102)
Employee contributions	–	1	–	(1)	–	–	–	–	–	–
Benefits paid	(120)	(120)	105	99	–	–	–	–	(15)	(21)
Transfers/other changes	–	–	–	–	–	–	(1)	21	(1)	21
As at 31 Dec	3,553	3,097	(3,350)	(3,065)	14	19	289	426	506	477

Present value of pension obligations

As at the reporting date, the present value of the BayernLB Group's pension obligations was EUR 3,553 million (FY 2022: EUR 3,097 million). Of this, EUR 2,395 million (FY 2022: EUR 2,071 million) related to salary-related direct entitlements, EUR 641 million (FY 2022: EUR 537 million) to allowances in the event of illness, and EUR 517 million (FY 2022: EUR 490 million) to other defined benefit plans, which are determined largely on the basis of contributions to legally independent benefits providers.

The current pension obligations had an average duration (capital tie-up period) of 16 years (FY 2022: 15 years).

The changes arising from the remeasurement of the present value of pension obligations are due to changes in actuarial assumptions. Of this, EUR 462 million (FY 2022: EUR -1,315 million) related to changes in financial assumptions and EUR -23 million (FY 2022: EUR 109 million) to experience-based changes (including salary and pension trends).

To calculate the impact of changes in assumptions on the present value of pension obligations, a sensitivity analysis is conducted by the external actuaries for each major measurement parameter in the same way as for the original measurement of the present value of pension obligations using the projected unit credit method. Potential correlations between the individual assumptions were not taken into account here.

A change in the assumptions used to calculate the present value of pension obligations (see note 21) of 0.5 percentage points in each case would, as at the reporting date, impact the present value of the pension obligations as follows:

EUR million	0.5 percentage point increase		0.5 percentage point decrease	
	2023	2022	2023	2022
Discount rate	(413)	(183)	472	204
Changes in salaries and benefits ¹	169	148	(153)	(135)
Changes in medical costs	111	48	(96)	(43)

¹ In the sensitivity calculations, changes in estimated future salaries and benefits are shown together. These incorporate the offsetting effect from a change in the social insurance pension trend by +/-0.25 percentage points.

An increase in life expectancy (biometrics) by one year increases the pension provisions by EUR 338 million (FY 2022: EUR 136 million).

Fair value of plan assets

The BayernLB Group's plan assets broke down as follows:

EUR million	Prices quoted on active markets		Prices not quoted on active markets	
	2023	2022	2023	2022
Cash and cash equivalents	–	–	7	1,281
Equity instruments	–	–	470	532
Fund units	–	–	470	532
Debt instruments	–	93	2,873	1,159
Corporate bonds	–	65	9	531
Government bonds	–	18	58	216
Fund units	–	–	2,448	–
Reinsurance	–	–	174	158
Other debt instruments	–	10	186	254
Total	–	93	3,350	2,972

The plan assets may only be used to fulfil the pension, allowance and death benefit obligations and cover the expenses incurred in the administration of the assets. Through the CTA at Allianz Treuhand GmbH, BayernLB had the highest amount of plan assets available for offsetting, namely EUR 3.1 billion (FY 2022: 2.8 billion). This was used to fully fund all BayernLB's earmarked pension, allowance and death benefit obligations as at 31 December 2023. In the year under review BayernLB decided to fully transfer the funds previously managed by the Bank's own CTA (BayernLB Treuhand e.V., Munich (the former trustee)) to the CTA of Allianz Treuhand GmbH, Stuttgart (the new trustee). Since a multi-employer trust is based on the management of fund assets, the former trustee made some initial changes to the asset structure in preparation for the legal transfer of the trust assets. First the bonds in the CTA were placed in a newly established bond fund by way of a contribution in kind. The new trustee then invested the cash available as a result of the transfer in further fund units.

Effects of the asset ceiling

As at 31 December 2023, the pension plan of the London branch reported pension assets in excess of pension obligations.

Change in the fair value of the reimbursement rights reported as an asset

EUR million	2023	2022
As at 1 Jan	233	232
Interest income	5	5
Benefits paid	(4)	(3)
As at 31 Dec	234	233

In the BayernLB Group, rights from insurance contracts were capitalised as reimbursement claims. These were acquired by BayernLB in Germany in its role as an employer to provide funding that matches employees' entitlements in Versorgungskasse II.

The pension expenses recognised in the income statement broke down as follows:

EUR million	2023	2022
Current service cost	(27)	(47)
Past service cost	–	(14)
Interest income/expenses	9	(6)
Total	(18)	(67)

The total pension expenses in the reporting year of EUR -18 million (FY 2022: EUR -67 million) were recognised under net interest income as an amount of EUR 9 million (FY 2022: EUR -6 million) and under administrative expenses in the amount of EUR -27 million (FY 2022: EUR -61 million).

Expected contribution payments for the pension plans in the BayernLB Group for financial year 2024 are estimated to be EUR 129 million.

The defined contribution plans involve defined contributions made to external insurers or funds. These pension plans involve no benefits obligations or risks for the BayernLB Group beyond payment of the defined contributions.

Other provisions

Provisions as per IAS 37

Changes in provisions

EUR million	Restructuring provisions		Other provisions		Total	
	2023	2022	2023	2022	2023	2022
As at 1 Jan	357	535	158	167	515	703
Utilisation	(75)	(67)	(31)	(37)	(106)	(103)
Releases	(26)	(100)	(8)	(42)	(34)	(142)
Additions	104	35	62	72	166	107
Interest	–	–	2	–	2	–
Changes in discount rate	3	(45)	2	(14)	6	(59)
Transfers/other changes	(2)	(1)	–	11	(2)	10
As at 31 Dec	361	357	186	158	547	515

The restructuring provisions recognised mainly related to BayernLB (EUR 284 million) and Deutsche Kreditbank Aktiengesellschaft (DKB) (EUR 74 million). The BayernLB restructuring provisions include contractually fixed obligations related to downsizing measures under the completed Fokus 2024 transformation programme (EUR 264 million) and further obligations under onerous contracts as part of the IT transformation (EUR 20 million). Due to the measures launched as part of the Fit4Growth efficiency programme in the reporting year, DKB added EUR 74 million to restructuring provisions for the resulting downsizing measures.

Other provisions include personnel-related provisions. This line item also includes provisions in connection with loss events, the costs of storing business documents, litigation costs, data archiving and equity interests.

The size of each provision corresponds to the best, i.e. uncertain, estimate of the amount of the liability which is likely to be utilised. In the case of litigation, neither the length of the proceedings nor the amount can be reliably predicted when the provision is created.

Loss allowances for off-balance sheet transactions

The loss allowances for financial guarantees and for revocable and irrevocable credit commitments and other contingent liabilities to which the impairment rules under IFRS 9 apply amounted to EUR 109 million (FY 2022: EUR 90 million) as at the reporting date and were as follows (for the breakdown of the loss allowances see note 41):

EUR million	2023	2022
Loss allowances – Stage 1	22	36
Loss allowances – Stage 2	37	30
Loss allowances – Stage 3	42	24
Loss allowances – POCI	8	1
Total	109	90

Changes in loss allowances

EUR million	Stage 1		Stage 2		Stage 3		POCI		Total	
	2023	2022	2023	2022	2023	2022	2023	2022	2023	2022
As at 1 Jan	36	29	30	63	24	24	1	2	90	119
Currency-related changes	–	–	–	2	(1)	–	1	–	–	3
Changes in the expected credit loss due to changes in the risk parameters	(6)	13	17	7	(7)	(4)	6	(1)	9	15
Additions due to lending/purchases	24	24	15	16	2	7	–	–	41	47
Releases due to disposals/redemptions/sales	(21)	(22)	(32)	(63)	(4)	(6)	–	–	(57)	(91)
Unwinding	–	–	–	–	1	(1)	(1)	–	–	(1)
Reclassifications to Stage 1 from Stage 2	6	8	(6)	(8)	–	–	–	–	–	–
Reclassifications to Stage 2 from Stage 1	(17)	(16)	17	16	–	–	–	–	–	–
Reclassifications to Stage 3 from Stage 1	(1)	–	–	–	1	–	–	–	–	–
Reclassifications to Stage 3 from Stage 2	–	–	(4)	(4)	4	4	–	–	–	–
Transfers/other changes	1	–	2	–	22	(1)	1	(1)	25	(2)
As at 31 Dec	22	36	37	30	42	24	8	1	109	90

The total volume of non-discounted expected credit losses as at first-time recognition of purchased or originated credit-impaired financial assets in the reporting year was EUR 5 million (FY 2022: EUR 3 million). BayernLB does not apply the rules for purchased or originated credit-impaired assets to financial guarantees or other contingent liabilities.

The exposure to financial guarantees, revocable and irrevocable credit commitments and other contingent liabilities stood at EUR 60,897 million as at the reporting date (FY 2022: EUR 55,785 million) and was as follows:

EUR million	2023	2022
Off-balance sheet transactions – Stage 1	48,773	50,865
Off-balance sheet transactions – Stage 2	11,850	4,816
Off-balance sheet transactions – Stage 3	258	100
Off-balance sheet transactions – POCI	15	4
Total	60,897	55,785

The table below shows the extent to which changes in the exposure to financial guarantees, credit commitments and other contingent liabilities contributed to changes in the loss allowance.

Change in exposure as at 31 December 2023

	Stage 1	Stage 2	Stage 3	POCI	Total
EUR million	2023	2023	2023	2023	2023
As at 1 Jan	50,865	4,816	100	4	55,785
Currency-related changes	(207)	(52)	(1)	-	(260)
Lending/purchases	35,588	8,186	124	30	43,928
Disposals/redemptions/sales	(38,702)	(5,897)	(218)	(19)	(44,836)
Reclassifications to Stage 1 from Stage 2	4,960	(4,960)	-	-	-
Reclassifications to Stage 1 from Stage 3	3	-	(3)	-	-
Reclassifications to Stage 2 from Stage 1	(7,649)	7,649	-	-	-
Reclassifications to Stage 3 from Stage 1	(99)	-	99	-	-
Reclassifications to Stage 3 from Stage 2	-	(44)	44	-	-
Transfers/other changes	4,012	2,153	114	-	6,279
As at 31 Dec	48,773	11,850	258	15	60,897

Change in exposure as at 31 December 2022

	Stage 1	Stage 2	Stage 3	POCI	Total
EUR million	2022	2022	2022	2022	2022
As at 1 Jan	50,641	8,561	365	2	59,569
Currency-related changes	65	310	1	-	377
Lending/purchases	38,187	7,555	104	7	45,854
Disposals/redemptions/sales	(41,206)	(8,374)	(430)	(5)	(50,016)
Reclassifications to Stage 1 from Stage 2	6,406	(6,406)	-	-	-
Reclassifications to Stage 1 from Stage 3	3	-	(3)	-	-
Reclassifications to Stage 2 from Stage 1	(3,211)	3,211	-	-	-
Reclassifications to Stage 2 from Stage 3	-	7	(7)	-	-
Reclassifications to Stage 3 from Stage 1	(21)	-	21	-	-
Reclassifications to Stage 3 from Stage 2	-	(49)	49	-	-
Transfers/other changes	-	-	1	-	1
As at 31 Dec	50,865	4,816	100	4	55,785

Refer to note 73 for details about the post-model adjustment shown as at 31 December 2023.

(56) Current and deferred tax liabilities

EUR million	2023	2022
Current tax liabilities	203	118
Germany	203	118
Total	203	118

The current income tax liabilities largely resulted from the consolidated tax group of Deutsche Kreditbank Aktiengesellschaft (DKB) (EUR 158 million) and the consolidated tax group of BayernLB (EUR 45 million).

A breakdown of deferred income tax liabilities is given in note 48, alongside the breakdown for deferred tax assets.

(57) Other liabilities

EUR million	2023	2022
Accruals	358	236
Non-controlling interests (debt instruments)	160	126
Lease liability from right-of-use assets	122	141
Other liabilities	127	144
Total	767	647

EUR 116 million (FY 2022: EUR 133 million) of other liabilities are due after more than 12 months.

(58) Subordinated capital

EUR million	2023	2022
Subordinated liabilities	2,812	2,421
Profit participation certificates (debt component)	–	29
Dated silent partner contributions (debt component)	–	1
Total	2,812	2,451

Subordinated capital by maturity

EUR million	2023	2022
With residual maturity of	2,812	2,422
Up to 3 months	33	26
Between 3 months and 1 year	–	107
Between 1 year and 5 years	335	312
More than 5 years	2,444	1,978
Perpetual maturities	–	29
Total	2,812	2,451

(59) Equity

EUR million	2023	2022
Equity excluding non-controlling interests	14,621	13,529
Subscribed capital	3,412	3,412
Statutory nominal capital	2,800	2,800
Capital contribution	612	612
Capital surplus	2,182	2,182
Retained earnings	8,792	8,101
Statutory reserve	1,268	1,268
Other retained earnings	7,524	6,834
Revaluation surplus	(117)	(392)
Foreign currency translation reserve	2	1
Distributable profit	350	225
Non-controlling interests	12	11
Total	14,633	13,540

Subscribed capital

BayernLB Holding AG, Munich, holds 100 percent of BayernLB's nominal capital. As at 31 December 2023, the Free State of Bavaria's equity interest in BayernLB Holding AG was about 75 percent and the equity interest of the Association of Bavarian Savings Banks, Munich, was around 25 percent.

The capital contribution, reported as specific-purpose capital up to 31 December 2012, was created by a contribution in kind by the Free State of Bavaria in the form of subsidised loans in 1994/1995. Its basis was the law on the formation of special-purpose assets through the transfer of receivables held in trust belonging to the Free State of Bavaria to the liable equity capital of Bayerische Landesbank Girozentrale of 23 July 1994, as most recently amended by the law of 9 May 2006, and the contribution agreements of 15 December 1994 and 28 December 1995, each as most recently amended by agreement of 23 December 2005. The special-purpose assets transferred are used to construct social housing. To ensure various equity components are recognised as Common Equity Tier 1 capital under the CRR/CRD IV requirements applicable since 1 January 2014, specific-purpose capital was modified and transferred to the capital contribution reported in subscribed capital with effect from 1 January 2013.

Capital surplus

The capital surplus is derived mainly from additional contributions to the parent company's equity.

Retained earnings

Allocations to the reserves from earnings generated in previous years and the reporting year are reported in retained earnings.

In addition, retained earnings included the effects from the remeasurement of defined benefit pension plans of EUR 736 million (FY 2022: EUR 615 million).

Revaluation surplus

EUR million	2023	2022
Gains or losses on fair value measurement of financial assets in the “financial assets mandatorily measured at fair value through other comprehensive income” category	(273)	(613)
Loss allowances for financial assets in the “financial assets mandatorily measured at fair value through other comprehensive income” category	6	8
Rating-related changes in the fair value of financial liabilities from the “fair value option” category recognised through other comprehensive income	147	125
Gains or losses on changes in the fair value of currency swaps arising from currency basis spread fluctuations	(7)	(8)
Deferred taxes recognised through other comprehensive income	11	96
Total	(117)	(392)

The loss allowances for financial assets in the “financial assets mandatorily measured at fair value through other comprehensive income” category were as follows (for the breakdown of the loss allowances see note 41):

EUR million	2023	2022
Loss allowances – Stage 1	2	3
Loss allowances – Stage 2	3	5
Loss allowances – POCI	1	1
Total	6	8

Changes in loss allowances – Stage 1

EUR million	Financial investments	
	2023	2022
As at 1 Jan	3	2
Changes in the expected credit loss due to changes in the risk parameters	(1)	–
Additions due to lending/purchases	–	1
Reclassifications to Stage 1 from Stage 2	2	3
Reclassifications from Stage 1 to Stage 2	(2)	(2)
As at 31 Dec	2	3

Changes in loss allowances – Stage 2

EUR million	Financial investments	
	2023	2022
As at 1 Jan	5	1
Changes in the expected credit loss due to changes in the risk parameters	(2)	4
Additions due to lending/purchases	–	1
Reclassifications to Stage 2 from Stage 1	2	2
Reclassifications from Stage 2 to Stage 1	(2)	(3)
As at 31 Dec	3	5

Loss allowances for purchased or originated credit-impaired financial assets (POCI) remained unchanged at EUR 1 million as at the reporting date (FY 2022: EUR 1 million) and, as in the previous year, all of them related to loans and advances to customers.

The gross carrying amount of financial assets in the “financial assets mandatorily measured at fair value through other comprehensive income” category was EUR 18,284 million (FY 2022: EUR 18,990 million) and broke down as follows:

EUR million	2023	2022
Financial assets – Stage 1	12,396	16,818
Financial assets – Stage 2	5,887	2,171
Financial assets – POCI	2	1
Total	18,284	18,990

The table below shows the extent to which changes in the gross carrying amount of financial assets contributed to changes in the loss allowance.

Changes in gross carrying amounts – Stage 1

EUR million	Cash reserves		Financial investments		Total	
	2023	2022	2023	2022	2023	2022
As at 1 Jan	590	441	16,228	17,726	16,818	18,168
Currency-related changes	(30)	23	(79)	211	(109)	234
Lending/purchases	683	594	2,511	2,566	3,194	3,160
Disposals/redemptions/sales	(569)	(469)	(3,552)	(4,295)	(4,122)	(4,763)
Reclassifications to Stage 1 from Stage 2	–	–	1,650	2,705	1,650	2,705
Reclassifications from Stage 1 to Stage 2	–	–	(5,000)	(2,596)	(5,000)	(2,596)
Transfers/other changes	–	–	(36)	(89)	(36)	(89)
As at 31 Dec	674	590	11,722	16,228	12,396	16,818

Changes in gross carrying amounts – Stage 2

EUR million	Financial investments	
	2023	2022
As at 1 Jan	2,171	1,094
Lending/purchases	516	1,357
Disposals/redemptions/sales	(161)	(175)
Reclassifications to Stage 2 from Stage 1	5,000	2,596
Reclassifications from Stage 2 to Stage 1	(1,650)	(2,705)
Transfers/other changes	11	4
As at 31 Dec	5,887	2,171

The gross carrying amount for purchased or originated credit-impaired financial assets (POCI) was EUR 2 million as at the reporting date (FY 2022: EUR 1 million) and, as in the previous year, related exclusively to loans and advances to customers.

Distributable profits

The distributable profits of the BayernLB Group correspond to the consolidated profit after changes in reserves.

Notes to financial instruments

(60) Fair value of financial instruments

	Fair value ¹	Carrying amount	Fair value ¹	Carrying amount
EUR million	2023	2023	2022	2022
Assets				
Cash reserves	1,858	1,858	2,151	2,151
Loans and advances to banks ^{2,3}	69,262	69,312	61,283	61,438
Loans and advances to customers ^{2,3}	160,739	171,069	150,887	165,939
Assets held for trading	12,291	12,261	11,515	11,495
Positive fair values from derivative financial instruments (hedge accounting)	168	168	256	256
Financial investments	18,065	18,065	18,035	18,035
Non-current assets or disposal groups classified as held for sale	6	6	–	–
Liabilities				
Liabilities to banks	50,926	51,925	59,245	60,964
Liabilities to customers	142,645	143,309	119,726	123,304
Securitised liabilities	48,584	50,195	43,203	45,771
Liabilities held for trading	8,156	8,156	10,931	10,931
Negative fair values from derivative financial instruments (hedge accounting)	202	202	512	512
Other liabilities	160	160	126	126
Subordinated capital	2,507	2,812	2,029	2,451

1 The carrying amounts for each current financial instrument of other assets and liabilities are a reasonable approximation of fair value. In accordance with IFRS 7.29 (a), these are therefore not disclosed. Furthermore, in accordance with IFRS 7.29 (d), no disclosure is made on these lease liabilities.

2 Carrying amounts not including a deduction of loss allowances for loans and advances to banks in the amount of EUR 17 million (FY 2022: EUR 56 million) and loans and advances to customers in the amount of EUR 1,245 million (FY 2022: EUR 1,145 million) in the “financial liabilities measured at amortised cost” category.

3 Carrying amounts not including a portfolio hedge adjustment asset of a negative EUR 3,216 million (31 December 2022: negative EUR 4,651 million) for hedged items recognised in loans and advances to banks and loans and advances to customers for which fair value hedge accounting in the form of portfolio hedges was used.

For details on the fair value calculation, refer to note 6.

Day one profit or loss

Changes in the day one profit or loss reserve

	Assets held for trading	
EUR million	2023	2022
As at 1 Jan	19	3
Allocations through other comprehensive income	19	18
Releases through profit and loss	(8)	(3)
As at 31 Dec	29	19

The day one profit or loss reserve comprises solely derivative financial instruments.

(61) Financial instrument measurement categories

Assets

EUR million	2023	2022
Financial assets measured at fair value through profit or loss	13,402	12,514
Financial assets mandatorily measured at fair value through profit or loss	13,327	12,436
Loans and advances to customers	11	12
Assets held for trading	12,261	11,495
Financial investments	1,055	929
Fair value option	75	78
Financial investments	75	78
Financial assets measured at amortised cost	241,652	229,015
Cash reserves	1,184	1,561
Loans and advances to banks ¹	69,312	61,438
Loans and advances to customers ¹	171,056	165,926
Financial investments	8	9
Non-current assets or disposal groups classified as held for sale	6	–
Other assets	86	81
Financial assets measured at fair value through other comprehensive income	17,603	17,610
Financial assets mandatorily measured at fair value through other comprehensive income	17,603	17,610
Cash reserves	674	590
Loans and advances to customers	2	1
Financial investments	16,927	17,019
Derivative financial instruments in hedges (hedge accounting)	168	256
Positive fair values from derivative financial instruments (hedge accounting)	168	256

1 Not including deduction of loss allowances.

Liabilities

EUR million	2023	2022
Financial liabilities measured at fair value through profit or loss	14,856	16,050
Held-for-trading financial liabilities	8,156	10,931
Liabilities held for trading	8,156	10,931
Fair value option	6,700	5,118
Liabilities to banks	164	180
Liabilities to customers	2,391	2,327
Securitised liabilities	3,985	2,485
Other liabilities	160	126
Financial liabilities measured at amortised cost	241,753	227,551
Liabilities to banks	51,761	60,783
Liabilities to customers	140,918	120,976
Securitised liabilities	46,210	43,286
Other liabilities	52	54
Subordinated capital	2,812	2,451
Derivative financial instruments in hedges (hedge accounting)	202	512
Negative fair values from derivative financial instruments (hedge accounting)	202	512
Lease liabilities	122	141

In addition, as at the reporting date there was a portfolio hedge adjustment asset of EUR - 3,216 million for hedged items for which fair value hedge accounting in the form of portfolio hedges was used (FY 2022: EUR -4,651 million). This is assigned to the “financial assets measured at amortised cost” category.

(62) Fair value hierarchy of financial instruments

The fair value hierarchy divides the inputs used to measure the fair value of financial instruments into three levels:

- Level 1: Unadjusted quoted prices for identical financial instruments in active markets that the BayernLB Group can access at the measurement date
- Level 2: Inputs not included within Level 1 that are observable either directly or indirectly, i.e. quoted prices for similar financial instruments in active markets, quoted prices in markets that are not active, other observable inputs that are not quoted prices, and market-corroborated inputs
- Level 3: Unobservable inputs

Financial instruments measured at fair value

In the overviews below, financial instruments recognised at fair value in the balance sheet are classified as: being measured with prices quoted on active markets (Level 1); having their fair value calculated using measurement methods whose key inputs can be directly or indirectly observed (Level 2); or not being based on observable market data (Level 3).

EUR million	Level 1		Level 2		Level 3		Total	
	2023	2022	2023	2022	2023	2022	2023	2022
Assets								
Cash reserves	674	590	–	–	–	–	674	590
Loans and advances to customers	–	–	–	–	13	13	13	13
Assets held for trading	380	160	11,712	11,200	199	156	12,291	11,515
Positive fair values from derivative financial instruments (hedge accounting)	–	–	159	256	8	–	168	256
Financial investments	11,299	8,855	6,454	8,855	304	316	18,057	18,026
Total	12,353	9,605	18,326	20,311	524	484	31,202	30,400
Liabilities								
Liabilities to banks	–	–	164	180	–	–	164	180
Liabilities to customers	–	–	2,391	2,327	–	–	2,391	2,327
Securitised liabilities	1,556	–	2,429	2,485	–	–	3,985	2,485
Liabilities held for trading	65	51	8,044	10,856	47	24	8,156	10,931
Negative fair values from derivative financial instruments (hedge accounting)	–	–	202	512	–	–	202	512
Other liabilities	–	–	160	126	–	–	160	126
Total	1,621	51	13,390	16,487	47	24	15,058	16,562

Fair values calculated on the basis of unobservable market data (Level 3) by risk type

EUR million	Interest rate risks		Currency risks		Equity and other price risks		Total	
	2023	2022	2023	2022	2023	2022	2023	2022
Assets								
Loans and advances to customers	13	13	–	–	–	–	13	13
Assets held for trading	197	135	2	21	–	–	199	156
Positive fair values from derivative financial instruments (hedge accounting)	8	–	–	–	–	–	8	–
Financial investments	21	21	–	–	283	294	304	316
Total	239	169	2	21	283	294	524	484
Liabilities								
Liabilities held for trading	45	9	2	15	–	–	47	24
Total	45	9	2	15	–	–	47	24

Reclassifications between Level 1 and 2

EUR million	Reclassifications			
	to Level 1 from Level 2		to Level 2 from Level 1	
	1 Jan – 31 Dec 2023	1 Jan – 31 Dec 2022	1 Jan – 31 Dec 2023	1 Jan – 31 Dec 2022
Assets				
Assets held for trading	106	–	–	12
Financial investments	2,531	655	872	4,246
Total	2,637	655	872	4,258
Liabilities				
Liabilities held for trading	10	7	–	3
Total	522	7	–	3

In the reporting year, financial instruments were reclassified between Level 1 and Level 2, as they again or no longer met the respective cumulative criteria for the definition of active markets (see the comments in note 6). The level transfers mainly related to bonds and notes. The amounts reclassified were calculated on the basis of the fair value as at the end of the reporting year.

Changes in fair values calculated on the basis of unobservable market data (Level 3) – assets

EUR million	Positive fair values from derivative financial instruments (hedge accounting)									
	Loans and advances to customers		Assets held for trading		Financial investments		Total			
	2023	2022	2023	2022	2023	2022	2023	2022	2023	2022
As at 1 Jan	13	132	156	86	–	–	316	366	484	584
Currency-related changes	–	6	(2)	(12)	–	–	(1)	3	(3)	(4)
Income and expenses recognised in the income statement	(1)	2	1	(3)	8	–	(11)	(8)	(2)	(9)
Purchases	1	117	166	122	–	–	6	15	173	254
Sales	–	–	(70)	(24)	–	–	(6)	(57)	(76)	(82)
Settlements (repayments/redemptions)	–	(244)	(48)	–	–	–	–	–	(48)	(244)
Reclassifications to Level 3 from Levels 1 and 2	–	–	1	6	–	–	–	–	1	6
Reclassifications from Level 3 to Levels 1 and 2	–	–	(14)	(131)	–	–	–	–	(14)	(131)
Transfers/other changes	–	–	9	112	–	–	–	(3)	9	109
As at 31 Dec	13	13	199	156	8	–	304	316	524	484
Income and expenses recognised in the income statement during the financial year for financial instruments held at 31 Dec	(1)	(1)	23	4	8	–	(11)	(5)	19	(1)

Changes in fair values calculated on the basis of unobservable market data (Level 3) – liabilities

EUR million	Liabilities held for trading	
	2023	2022
As at 1 Jan	15	13
Currency-related changes	(3)	(2)
Income and expenses recognised in the income statement	(2)	185
Purchases	43	1
Sales	–	(3)
Reclassifications to Level 3 from Levels 1 and 2	–	1
Reclassifications from Level 3 to Levels 1 and 2	(16)	(282)
Transfers/other changes	9	112
As at 31 Dec	47	24
Income and expenses recognised in the income statement during the financial year for financial instruments held at 31 Dec	2	177

The income and expenses recognised in the income statement are shown under net interest income, risk provisions, gains or losses on fair value measurement, gains or losses on hedge accounting and gains or losses on financial investments.

Non-observable inputs were assessed for materiality at the end of the reporting year based on their fair value. As a result, financial instruments were reclassified to Level 3 from Levels 1 and 2

and from Level 3 to Levels 1 and 2, as counterparty and own default risk continued to have or no longer had a significant influence on the fair value measurement as at the reporting date.

The models used to calculate fair value must conform with accepted financial valuation methods and take account of all factors market participants would consider reasonable when setting a price. Within the BayernLB Group, the models used, including any major changes, are reported to the Board of Management for approval mainly by Group Risk Control and Group Development in the form of a separate resolution or as part of their regular reporting. All calculated fair values are subject to internal controls and are independently checked or validated by a second officer from the risk-control units and the divisions with responsibility for equity interests (dual control principle). The procedures used for this are contained in the guidelines approved by the Board of Management for the BayernLB Group. Significant changes in fair values calculated on the basis of unobservable market data (Level 3) are communicated to the respective division managers and Board of Management separately as at the reporting dates.

Significant unobservable parameters and their sensitivities

Product	Significant, non-observable parameters	Range (average)		Change in parameter	Potential fair value change recognised through profit or loss in EUR million	
		31 Dec 2023	31 Dec 2022		31 Dec 2023	31 Dec 2022
Credit transactions	Measurement spread	-2.5% to 10.77% (1.66%)	-2.19% to 10.60% (1.63%)	+10 basis points	-2.0	-0.8
				-10 basis points	+2.0	+0.8
Derivative financial instruments	Loss given default	12.2% to 77.4% (57.2%)	11.8% to 72.1% (54.9%)	+10 percentage points	-1.0	-2.5
				-10 percentage points	+1.0	+2.5
	Rating	0 to 16 (5)	0 to 13 (8)	+1 notch	-0.6	+0.3
				-1 notch	+0.4	2.7
Preferred stock in Visa Inc., San Francisco	Conversion ratios for Visa Inc. common stock	N/A	N/A	+10 percentage points	+3.5	+3.0
				-10 percentage points	-3.5	-3.0
Equity interests ¹	Base interest rate ²	2.25% to 2.75% (2.5%)	1.75% to 2.25% (2.0%)	+50 basis points	-3.9	-4.1
				-50 basis points	+4.3	+4.3
	Market risk premium ²	6.75% to 7.25% (7.0%)	6.75% to 7.25% (7.0%)	+50 basis points	-3.5	-3.6
				-50 basis points	+3.9	+3.8

¹ Calculation of the fair value of equity interests based on the German income method.

² The change in the base interest rate and market risk premium underlying the calculation of sensitivities was moved from 25 to 50 basis points with effect from 31 December 2023 following the rise in yields observed in the capital market.

Financial instruments measured at amortised cost

In the overview below, the fair values of the financial instruments recognised at amortised cost in the balance sheet are classified as: being measured with prices quoted on active markets (Level 1); having their fair value calculated using measurement methods whose key inputs can be directly or indirectly observed (Level 2); or not being based on observable market data (Level 3).

EUR million	Level 1		Level 2		Level 3		Total	
	2023	2022	2023	2022	2023	2022	2023	2022
Assets								
Cash reserves	–	–	–	–	1,184	1,561	1,184	1,561
Loans and advances to banks	–	–	16,062	16,836	53,200	44,447	69,262	61,283
Loans and advances to customers	–	–	3,806	3,748	156,920	147,126	160,726	150,874
Financial investments	–	–	–	–	8	9	8	9
Non-current assets or disposal groups classified as held for sale	–	–	–	–	6	–	6	–
Total	–	–	19,868	20,584	211,317	193,142	231,185	213,726
Liabilities								
Liabilities to banks	–	–	6,918	8,371	43,843	50,694	50,762	59,065
Liabilities to customers	–	–	31,610	27,808	108,644	89,590	140,254	117,398
Securitised liabilities	6,958	4,427	37,641	36,291	–	–	44,599	40,718
Subordinated capital	–	–	2,507	1,999	–	30	2,507	2,029
Total	6,958	4,427	78,676	74,469	152,487	140,314	238,122	219,210

(63) Financial instruments designated at fair value through profit or loss

The maximum default risk for loans and receivables in the “fair value option” category was EUR 90 million as at the reporting date (FY 2022: EUR 94 million). The rating-related change in the fair value of these financial assets was EUR 1 million in the reporting year (FY 2022: EUR - 5 million), and EUR 1 million (FY 2022: EUR 0 million) since designation.

The rating-related changes in fair value are calculated as the difference between the changes in the fair value of financial assets and the changes in the fair value of financial instruments measured on the basis of a risk-free yield curve. Only parameters observable on the market (prices of high-quality bonds) are used when determining rating-related changes in the fair value.

For financial liabilities in the “fair value option” category, there has been EUR 147 million (FY 2022: EUR 125 million) in rating-related changes in fair value booked to the revaluation surplus within other comprehensive income since designation. Due to the derecognition of financial liabilities in the reporting year, a reclassification was made within equity from the revaluation surplus to retained earnings in the amount of EUR 1 million (FY 2022: EUR 1 million). The difference between the carrying amount of the financial liabilities in the “fair value option” category and the redemption amount at maturity was EUR -294 million as at the reporting date (FY 2022: EUR -584 million).

The rating-related changes in the fair value of the financial liabilities are calculated as the sum of the monthly changes in the fair value in the reporting period or from designation, taking into account the residual maturities of the liabilities and adjusted for portfolio changes. The monthly changes are calculated as the difference between the fair values, which – while retaining all other market parameters – are calculated on the one hand with the credit spread at the end of

each month and on the other with the credit spread at the end of the previous month. Only parameters observable on the market are used when calculating rating-related changes in the fair value; estimates are not employed.

The BayernLB Group held financial liabilities designated to the "fair value option" category primarily in connection with structured issues and liabilities with embedded derivatives. The BayernLB Group recognises credit rating-driven fair value changes in other comprehensive income rather than through profit or loss, as there are currently no reporting or measurement inconsistencies (see note 6 for more details). The determination as to whether this would give rise to or exacerbate a reporting or measurement inconsistency is to be made in the new product process, i.e. upon initial recognition of the financial instrument, and the choice maintained in subsequent periods. The determination is based on an analysis of whether the change in the fair value of a financial liability resulting from a change in its credit risk will be offset by the change in the fair value of another financial instrument (based on the change in its default risk). Such offsetting must be based on an economic relationship between the two financial instruments, including but not limited to contractual linkage.

(64) Hedging relationships (hedge accounting)

Derivative financial instruments are used for risk management purposes to hedge recognised financial assets and recognised financial liabilities to which hedge accounting can be applied under certain circumstances. Hedge accounting in the BayernLB Group is based on the decisions by Risk Management in Trading. Further information on the risk strategy and the management and monitoring of risks can be found in the risk report (see the credit risk and market risk sections) in the combined management report.

At present, only fair value hedges come under hedge accounting. This involves financial assets or financial liabilities (or a portion of them) recognised on the balance sheet, or a portfolio or group of financial instruments, being hedged against changes in fair value resulting from interest rate or currency risk, which could affect the earnings for the period. Hedges must be proven to have a high prospective and, in the case of a portfolio fair value hedge in accordance with IAS 39, a high retrospective effectiveness. If this is not the case, the hedge must be terminated. The BayernLB Group measures effectiveness largely using a regression analysis and the critical term match method.

Hedging interest rate risks

Hedge accounting for interest rate risks is conducted in the BayernLB Group in the form of micro fair value hedges in accordance with IFRS 9 and portfolio fair value hedges in accordance with IAS 39. In its portfolio hedge accounting, BayernLB uses the percentage method and the bottom-layer method.

This involves the use of hedged items subject to interest rate risk. The entire interest rate risk is generally hedged. This means that most of the changes in fair value are covered by hedges. Interest rate derivatives are used as hedging instruments.

The changes in the value of the hedged items and the hedging instruments cancel each other out. Possible reasons for ineffective hedges during the term of the hedge include:

All the factors determining the value between a hedged item and a hedging instrument not being perfectly matched, or a multi-curve effect arising from measuring a hedged item and hedging instrument with different yield curves.

As part of a portfolio fair value hedge based on the percentage method, interest rate risk is managed using interest rate swaps and a dynamic hedging strategy is employed. The pre-defined hedging period is one month. After this period ends, the respective hedges are recombined or adjusted, which in the latter case is primarily based on the variations on the hedged-items side. To determine the hedge ratio, the terms of the hedged items and hedging instruments are taken into account so that interest rate sensitivities are calculated for both sides and placed in relation to each other. The interest rate swaps are designated in full as hedging instruments.

Under the bottom-layer method, a portfolio fair value hedge is a dynamic hedging strategy in which a bottom layer is determined as a hedged item for each portfolio, corresponding to the amount to be hedged. Interest rate swaps are used as hedging instruments. The pre-defined hedging period is one month. An adjustment is made when the bottom layer has to be adjusted.

Hedging instruments for foreign currency risks

The BayernLB Group hedges currency risks using group fair value hedges in accordance with IFRS 9, where the bottom layer of a whole population of hedged items is designated. Currency swaps are used as hedging instruments. They are designated as group hedges per currency. The currency basis spread is separated from the currency swap and exempted from being designated as a hedging instrument. The entire spot rate-related change in the value of the bottom layer is hedged per currency.

The changes in the value of the hedged items and the hedging instruments cancel each other out. A hedge can become ineffective during its term if the gains or losses from the measurement of the rate from both variable legs of the currency swap do not offset the corresponding measurement gains or losses on the hedged items measured only at the spot rate.

Hedging instruments

	Nominal value		Carrying amount			
			Assets		Liabilities	
EUR million	2023	2022	2023	2022	2023	2022
Interest rate risks	44,478	42,091	143	133	164	354
Currency risks	2,324	3,312	25	123	38	158
Total	46,802	45,404	168	256	202	512

The hedging instruments are shown in the balance sheet under positive fair values of derivative financial instruments (hedge accounting) and negative fair values of derivative financial instruments (hedge accounting).

Hedging instruments by maturity

EUR million	Nominal value			
	Interest rate risks		Currency risks	
	2023	2022	2023	2022
Residual maturities				
Up to 3 months	1,759	518	91	89
Between 3 months and 1 year	2,006	1,439	175	513
Between 1 year and 5 years	13,545	13,416	1,592	1,717
More than 5 years	27,169	26,718	466	994
Total	44,478	42,091	2,324	3,312

The average price or rate of the instruments used to hedge interest rate risks was 1.50 percent (FY 2022: 1.45 percent). This does not include hedging instruments in dynamic hedges. The average price of instruments used to hedge GBP currency risks was EUR/GBP 0.85 (FY 2022: EUR/GBP 0.86) and for USD currency risks it was EUR/USD 1.14 (FY 2022: EUR/USD 1.17).

Hedged items

EUR million	Fair value hedge adjustments in the carrying amount ²			
	Carrying amount ¹			
	2023	2022	2023	2022
Assets				
Interest rate risks	33,867	34,268	(625)	(1,252)
Loans and advances to banks	95	91	(10)	(15)
Loans and advances to customers	21,144	21,223	(207)	(470)
Financial investments	7,118	8,003	(409)	(767)
Various ³	5,511	4,951	–	–
Total	33,867	34,268	(625)	(1,252)
Liabilities				
Interest rate risks	17,422	12,555	(728)	(1,339)
Liabilities to banks	1,018	764	(9)	(67)
Liabilities to customers	2,891	2,550	(403)	(527)
Securitised liabilities	12,922	8,556	(216)	(618)
Subordinated capital	591	685	(100)	(127)
Total	17,422	12,555	(728)	(1,339)

¹ Not including deductions of loss allowances for loans and advances to banks and/or loans and advances to customers in the "financial assets measured at amortised cost" category.

² Not including fair value hedge adjustments for hedged items for which fair value hedge accounting in the form of portfolio hedges was used.

³ Bottom layer designated in the portfolio fair value hedge (bottom layer method) which covers the financial instruments in the loans and advances to banks and loans and advances to customers line items in the balance sheet.

Currency risks are also hedged using group fair value hedges, where the bottom layer of a population of hedged items recognised in loans and advances to banks, loans and advances to customers and financial investments is designated. Their nominal value was EUR 2,324 million as at the reporting date (FY 2022: EUR 3,312 million).

The fair value hedge adjustment¹ remaining on the balance sheet from terminated hedges broke down as follows:

EUR million	2023	2022
Assets		
Interest rate risks	2	4
Loans and advances to customers	2	4
Financial investments	–	(1)
Total	2	4
Liabilities		
Interest rate risks	92	113
Liabilities to banks	22	29
Liabilities to customers	65	75
Securitised liabilities	4	9
Total	92	113

1 Not including fair value hedge adjustments for hedged items for which fair value hedge accounting in the form of portfolio hedges was used.

In addition, as at the reporting date there was a portfolio hedge adjustment asset of EUR -3,216 million for hedged items for which fair value hedge accounting in the form of portfolio hedges was used (FY 2022: EUR -4,651 million). Of this, EUR -2,827 million (FY 2022: EUR -4,386 million) related to hedges still existing as at the reporting date and EUR -389 million (FY 2022: EUR -265 million) to hedges that had been terminated.

Hedge ineffectiveness

EUR million	Change in value of hedging instruments		Change in value of hedged items		Hedge ineffectiveness	
	2023	2022	2023	2022	2023	2022
Interest rate risks	(986)	4,838	945	(5,015)	(41)	(178)
Gains or losses on hedge accounting	(986)	4,838	945	(5,015)	(41)	(178)
Micro fair value hedges	183	9	(175)	(10)	8	(1)
Portfolio fair value hedges	(1,169)	4,829	1,120	(5,005)	(49)	(177)
Currency risks	(12)	23	7	(22)	(5)	1
Gains or losses on hedge accounting	(12)	23	7	(22)	(5)	1
Group fair value hedges	(12)	23	7	(22)	(5)	1
Total	(998)	4,860	952	(5,037)	(46)	(177)

The EUR 5 million hedging loss arising in the reporting year on group fair value hedges to hedge currency risk was chiefly due to terminating currency swaps early. The cumulative changes in the fair value from currency basis spread fluctuations recognised in other comprehensive income were therefore reclassified as gains or losses on hedge accounting (see “Hedging costs”).

Hedging costs

The following table shows the changes in the fair value of currency swaps arising from currency basis spread fluctuations booked as hedging costs in the revaluation surplus. In the case of these group fair value hedges only period-related hedged items are hedged against changes in fair value arising from currency risk.

EUR million	2023	2022
As at 1 Jan	(8)	(17)
Hedging costs recognised through other comprehensive income	(4)	9
Reclassifications of hedging costs recognised through profit or loss	5	–
As at 31 Dec	(7)	(8)

Refer to the statement of comprehensive income for a breakdown of other comprehensive income in accordance with IAS 1.

(65) Net profit or loss from financial instruments

The net profit or loss on financial instruments in each category incorporates the gains or losses from measurement and realisation.

EUR million	2023	2022
Financial assets and financial liabilities measured at fair value through profit or loss	246	173
Financial assets mandatorily measured at fair value through profit or loss/held-for-trading financial liabilities ¹	283	7
Gains or losses on fair value measurement	285	17
Gains or losses on financial investments	(2)	(9)
Fair value option	(38)	166
Gains or losses on fair value measurement	(60)	50
Change in the revaluation surplus ²	22	116
Financial assets measured at amortised cost	908	(5,876)
Risk provisions	(184)	(99)
Gains or losses on hedge accounting ³	1,194	(5,774)
Gains or losses on derecognised financial assets	(102)	(3)
Financial assets measured at fair value through other comprehensive income	855	(2,339)
Financial assets mandatorily measured at fair value through other comprehensive income	855	(2,339)
Risk provisions	3	(5)
Gains or losses on hedge accounting ³	347	(779)
Gains or losses on financial investments	(69)	(2)
Change in the revaluation surplus ⁴	574	(1,553)
Financial liabilities measured at amortised cost	(546)	1,578
Gains or losses on hedge accounting ³	(596)	1,537
Other income and expenses	51	40
Derivative financial instruments in hedges (hedge accounting)	(986)	4,838
Gains or losses on hedge accounting ³	(986)	4,838

1 Includes current income from financial instruments held for trading purposes (except for derivatives in economic hedges) and gains or losses on foreign currency translation.

2 Rating-related changes in the fair value of financial liabilities recognised through other comprehensive income.

3 Not including group fair value hedges.

4 Gains or losses on fair value measurement recognised through other comprehensive income.

The net gains or losses on financial liabilities in the "fair value option" category stood at EUR -297 million in the reporting year (FY 2022: EUR 1,100 million). They included rating-related changes in fair value of EUR 22 million (FY 2022: EUR 116 million) that were booked to the revaluation surplus within other comprehensive income and gains or losses on fair value measurement booked through profit or loss in the amount of EUR -319 million (FY 2022: EUR 984 million).

In the reporting year fair value changes and loss allowances of EUR 577 million (FY 2022: EUR -1,559 million) relating to financial assets in the "financial assets mandatorily measured at fair value through other comprehensive income" category were booked to the revaluation surplus in other comprehensive income. Due to the derecognition of financial assets in the reporting year, a reclassification was made from the revaluation surplus through profit or loss in the amount of EUR 83 million (FY 2022: EUR 3 million).

The BayernLB Group also hedges currency risks using group fair value hedges, where the bottom layer of a whole population of hedged items in the “financial assets measured at amortised cost” and “financial assets mandatorily measured at fair value through other comprehensive income” categories is designated. The measurement gains or losses on these hedged items recognised in gains or losses on hedge accounting stood at EUR 7 million in the reporting year (FY 2022: EUR -22 million).

The measurement gains or losses on hedging instruments in group fair value hedges that are shown in gains or losses on hedge accounting stood at EUR -12 million in the reporting year (FY 2022: EUR 23 million). Refer to note 64 for information on the fair value changes from currency basis spread fluctuations recognised in the revaluation surplus.

(66) Offsetting of financial instruments

When conducting derivatives transactions and securities repurchase transactions, the BayernLB Group regularly concludes bilateral netting agreements in the form of master agreements with business partners. Among the standard master agreements used are the ISDA Master Agreement for Financial Derivatives, the German Master Agreement for Financial Derivatives Transactions and the Global Master Repurchase Agreement for securities repurchase transactions. Agreements granting rights of set-off include the clearing conditions of Eurex Clearing AG, LCH.Clearnet Limited, European Commodity Clearing AG, and the client clearing agreements for indirect clearing. The netting agreements provide for conditional rights of set-off in the form of close-out netting for receivables and liabilities covered by these agreements, i.e. only if previously defined conditions (e.g. cancellation of the master agreement, default or insolvency) occur can the legal right of set-off be enforced.

Besides the master agreements for financial derivatives, collateral agreements are concluded with business partners to safeguard the net claim or liability left after offsetting. The main ones used are the Credit Support Annex to the ISDA Master Agreement and the collateral addendum to the German Master Agreement for Financial Derivatives Transactions. The master agreements for securities repurchase transactions and the derivatives clearing agreements contain similar collateral rules. Collateral agreements usually grant the protection buyer a position of ownership in the form of a title transfer collateral arrangement with an unrestricted right of disposal over the collateral, which is normally cash or securities collateral. Collateral agreements with no or a limited right of disposal are rare. Bilateral master agreements therefore largely provide for the realisation of collateral through offsetting, in that the fair value of the transferred security takes account of the calculation of the settlement payments at the termination of the contract.

The tables below give information on recognised financial instruments offset in accordance with IAS 32.42 and recognised financial instruments with a legally enforceable right of set-off or which are subject to a similar agreement. The Set-off amount column shows the amounts offset in accordance with IAS 32.42. These relate to transactions with central counterparties and bilateral repurchase agreements. The Effect of netting agreements column shows the amounts relating to financial instruments subject to a netting agreement, but not offset on the balance sheet as the criteria under IAS 32.42 were not met. The Collateral column shows the fair value of received or pledged financial collateral.

Offsetting of financial assets and financial liabilities as at 31 December 2023 – assets

EUR million	Gross carrying amount	Set-off amount	Net carrying amount recognised	Effect of netting agreements	Collateral	Net amount
Derivatives transactions	22,046	(15,020)	7,025	(4,352)	(1,746)	928
Assets held for trading/positive fair values from derivative financial instruments (hedge accounting)	22,046	(15,020)	7,025	(4,352)	(1,746)	928
Securities repurchase transactions	3,389	(440)	2,949	(137)	(2,800)	13
Assets held for trading	3,389	(440)	2,949	(137)	(2,800)	13
Total	25,435	(15,460)	9,975	(4,489)	(4,545)	941

Offsetting of financial assets and financial liabilities as at 31 December 2023 – liabilities

EUR million	Gross carrying amount	Set-off amount	Net carrying amount recognised	Effect of netting agreements	Collateral	Net amount
Derivatives transactions	18,462	(10,794)	7,668	(4,352)	(846)	2,470
Liabilities held for trading/negative fair values from derivative financial instruments (hedge accounting)	18,462	(10,794)	7,668	(4,352)	(846)	2,470
Securities repurchase transactions	577	(440)	137	(137)	–	–
Liabilities held for trading	577	(440)	137	(137)	–	–
Total	19,039	(11,234)	7,805	(4,489)	(846)	2,470

Offsetting of financial assets and financial liabilities as at 31 December 2022 – assets

EUR million	Gross carrying amount	Set-off amount	Net carrying amount recognised	Effect of netting agreements	Collateral	Net amount
Derivatives transactions	30,722	(22,266)	8,456	(5,118)	(2,328)	1,011
Assets held for trading/positive fair values from derivative financial instruments (hedge accounting)	30,722	(22,266)	8,456	(5,118)	(2,328)	1,011
Securities repurchase transactions	3,982	(405)	3,577	(202)	(2,955)	420
Loans and advances to banks/assets held for trading	3,982	(405)	3,577	(202)	(2,955)	420
Total	34,704	(22,671)	12,033	(5,320)	(5,283)	1,431

Offsetting of financial assets and financial liabilities as at 31 December 2022 – liabilities

EUR million	Gross carrying amount	Set-off amount	Net carrying amount recognised	Effect of netting agreements	Collateral	Net amount
Derivatives transactions	26,638	(16,361)	10,277	(5,118)	(1,221)	3,938
Liabilities held for trading/negative fair values from derivative financial instruments (hedge accounting)	26,638	(16,361)	10,277	(5,118)	(1,221)	3,938
Securities repurchase transactions	874	(405)	469	(202)	(262)	5
Liabilities to banks/liabilities held for trading	874	(405)	469	(202)	(262)	5
Total	27,512	(16,766)	10,746	(5,320)	(1,483)	3,943

(67) Derivatives transactions

The tables below show interest rate and foreign currency-related derivatives still open at the end of the reporting period and other forward transactions and credit derivatives. Most were concluded to hedge fluctuations in interest rates, exchange rates or market prices or were trades for the account of customers.

EUR million	Nominal value		Positive fair value		Negative fair value	
	2023	2022	2023	2022	2023	2022
Interest rate risks	547,673	557,704	19,320	27,205	15,802	22,901
Interest rate swaps	458,466	471,457	18,762	26,498	15,139	22,073
Forward rate agreements	53,993	46,098	39	77	41	88
Interest rate options	18,901	18,705	411	430	520	611
Purchases	8,471	7,575	281	320	91	65
Sales	10,430	11,130	130	110	428	546
Caps, floors	10,752	13,610	93	133	92	130
Exchange-traded contracts	5,337	7,404	–	–	–	–
Other interest-based forward transactions	224	431	16	68	10	–
Currency risks	123,854	140,616	2,504	3,378	2,498	3,404
Forward exchange deals	106,454	119,844	1,862	2,439	1,812	2,434
Currency swaps/cross-currency swaps	13,894	15,969	607	892	639	922
Foreign exchange options	414	503	12	3	11	1
Purchases	212	309	12	3	–	–
Sales	202	194	–	–	11	1
Other currency-based forward transactions	3,092	4,300	22	45	36	46
Equity and other price risks	4,294	5,060	203	107	64	291
Equity forward transactions	–	–	–	–	–	–
Equity/index options	134	134	5	4	–	–
Purchases	134	134	5	4	–	–
Exchange-traded contracts	1,452	635	–	–	–	–
Other forward transactions	2,708	4,291	198	103	64	291
Credit derivative risks	230	374	–	–	2	2
Protection buyer	230	374	–	–	2	2
Total	676,052	703,754	22,027	30,690	18,366	26,598

Derivatives transactions by maturity

EUR million	Nominal value							
	Interest rate risks		Currency risks		Equity and other price risks		Credit derivative risks	
	2023	2022	2023	2022	2023	2022	2023	2022
Residual maturities								
Up to 3 months	39,475	28,987	39,861	46,734	2,120	2,925	–	–
Between 3 months and 1 year	110,851	103,729	36,399	32,827	1,741	799	–	–
Between 1 year and 5 years	190,476	189,668	39,489	51,121	433	1,336	–	324
More than 5 years	206,872	235,321	8,105	9,934	–	–	230	50
Total	547,673	557,704	123,854	140,616	4,294	5,060	230	374

Derivatives transactions by counterparty

EUR million	Nominal value		Positive fair value		Negative fair value	
	2023	2022	2023	2022	2023	2022
OECD banks	484,051	547,601	18,295	25,839	14,368	21,493
Non-OECD banks	9	16	–	–	–	–
Public-sector entities within the OECD	4,978	4,475	172	229	168	182
Other counterparties ¹	187,014	151,662	3,559	4,622	3,831	4,923
Total	676,052	703,754	22,027	30,690	18,366	26,598

¹ Includes exchange-traded contracts.

Derivatives for trading purposes

EUR million	Nominal value		Positive fair value		Negative fair value	
	2023	2022	2023	2022	2023	2022
Interest rate derivatives	434,637	446,495	12,524	18,531	12,249	18,441
Currency derivatives	117,218	131,290	2,144	2,844	2,432	3,204
Credit derivatives	230	370	–	–	2	2
Total	552,085	578,155	14,667	21,375	14,684	21,647

(68) Transfer of financial assets

The following transactions were executed at standard market terms and conditions.

Transferred financial assets that are not derecognised in their entirety

As at the reporting date the volume of financial assets transferred as collateral that are not derecognised was EUR 65,005 million (FY 2022: EUR 67,078 million).

These include genuine securities repurchase agreements where the BayernLB Group sold securities with a repurchase obligation. As the risks (interest rate, currency, equity and other price risks and credit risks) and rewards (particularly capital gains and current income) are largely retained by the BayernLB Group, the financial assets are not derecognised. The obligation of the lender to return the payment received as collateral for the transferred security is recognised as a financial liability. The lender has an unrestricted right of disposal over the securities once they are delivered.

The BayernLB Group also lends on funds received from development institutions for specific purposes on their own terms through savings banks or directly to end-borrowers. The loans and advances to savings banks and end-borrowers are recognised as assets and the liabilities to development institutions as liabilities. The loans and advances to savings banks and end-borrowers and any pledged collateral are assigned as collateral to the development institutions and may be realised by them in the event of loss. The BayernLB Group retains default risk in respect of the loans and advances to the savings banks and end-borrowers.

The BayernLB Group has also pledged collateral for funding, mainly for tender operations with the European Central Bank. Collateral has also been pledged to the European Investment Bank and for transactions on other exchanges and clearing systems. The financial assets transferred as collateral for the corresponding (contingent) liabilities are not derecognised, as the risks and rewards are largely retained by the BayernLB Group.

The carrying amount of transferred financial collateral related to the following items:

EUR million	2023	2022
Loans and advances to banks	18,001	18,791
Loans and advances to customers	33,220	33,907
Of which:		
Collateral received which may be sold or pledged on	129	441
Assets held for trading	888	635
Of which:		
Collateral received which may be sold or pledged on	888	635
Financial investments	12,896	13,745
Of which:		
Collateral received which may be sold or pledged on	7,782	8,742
Total	65,005	67,078

The transferred financial assets were matched against liabilities of EUR 21,373 million (FY 2022: EUR 30,883 million).

The assets in the cover pool are managed in accordance with the German Pfandbrief Act (Pfandbriefgesetz). As at the reporting date, the volume of the cover funds was EUR 49,797 million (FY 2022: EUR 48,615 million) for an outstanding volume of mortgage-backed Pfandbriefs and public Pfandbriefs of EUR 28,438 million (FY 2022: EUR 32,852 million).

The BayernLB Group also pledged collateral of EUR 327 million (FY 2022: EUR 288 million) for the utilisation of irrevocable payment obligations in connection with the bank levy and deposit guarantee scheme. Of this amount, cash collateral of EUR 118 million (FY 2022: EUR 97 million) was deposited for the bank levy and EUR 91 million (FY 2022: EUR 72 million) for the deposit guarantee scheme which Deutsche Kreditbank Aktiengesellschaft (DKB), Berlin, belongs to. These are shown under other assets. Securities collateral of EUR 118 million (FY 2022: EUR 118 million) was transferred for the bank-specific guarantee scheme which BayernLB belongs to (see note 79).

Transferred financial assets that are derecognised in their entirety

As at the reporting date there was no material continuing involvement in transferred financial assets that are derecognised in their entirety.

(69) IBOR reform

The BayernLB Group had largely implemented the IBOR transition by 31 December 2023. A small number of individual loan agreements are still being continued on the basis of synthetic USD LIBOR. The switches of agreements using CAD CDOR are outstanding/being worked through.

Interbank offered rates (IBORs) were used as benchmarks to price and determine the cash flows of a variety of financial instruments. As part of the IBOR reform (IBOR transition), IBOR reference rates and euro overnight index average (EONIA) have been replaced by other, risk-neutral reference interest rates known as risk-free rates (RFRs).

Overview of variable reference rates in selected currencies

Currency	Previous reference rate	New alternative reference interest rate	Status
EUR	EONIA	Overnight rate: Euro Short-Term Rate (€STR)	Publication from 2 October 2019; final transition as at 3 January 2022
	EURIBOR	EURIBOR	A change was made to the accounting policy that henceforth ensures compliance with the benchmark.
CHF	CHF LIBOR	Overnight rate: Swiss Average Rate Overnight (SARON) Term structure: Compounded in arrears	Final transition as at 31 December 2021
GBP	GBP LIBOR	Overnight rate: Sterling Overnight Index Average (SONIA) Term structure: Compounded in arrears	Final transition as at 31 December 2021
JPY	JPY LIBOR	Overnight rate: Tokyo Overnight Average Rate (TONAR) Term structure: Compounded in arrears	Final transition as at 31 December 2021
USD	USD LIBOR	Overnight rate: Secured Overnight Financing Rate (SOFR) Term structure: CME Term SOFR introduced	Final transition as at 30 June 2023
CAD	CAD CDOR	Overnight rate: Canadian Overnight Repo Rate Average (CORRA) Term structure: Term CORRA introduced	Final transition as at 30 June 2024 being implemented

In the BayernLB Group, the IBOR transition has affected a number of products and contracts whose interest rates and/or interest payments were/are based on an IBOR. These include interest rate swaps, interest rate options, securities, issues and loans. In addition, numerous valuation models use or used IBOR-based yield curves for discounting and for determining forward rates.

No risks have emerged as a result of the switchovers made in the period ending 31 December 2023 in connection with the IBOR transition. The transition to date has been implemented without disruption or negative consequences for the financial performance and financial position. The transition for the currencies CHF, GBP, JPY and USD has been concluded. With regard to the EURIBOR, following the reforms that have taken place no specific transition to a potential successor rate is currently foreseeable. The consequences for the CAD cannot be fully predicted.

To mitigate the risks from the switchover of interest rates at the BayernLB Group, which include process, accounting, tax and operational risks, a dedicated IBOR project was launched to manage the process of switching over to the RFR benchmark interest rates and ensure as smooth a transition as possible in the interests of the customers and the Bank. This involved identifying the main risks and determining suitable measures for replacing the IBORs by RFRs with minimal disruption. For example, the Bank centrally managed via the IBOR project the work to coordinate external customer communications on the changes to the reference rate and to issue instructions on how to use and structure the relevant contractual documentation. The CAD switch was carried out at front office level because of the small volumes concerned.

As at 31 December 2023, the following financial instruments with nominal volumes listed below which are affected by the IBOR reform had not yet been switched over to an alternative reference interest rate.

Financial instruments which as at 31 December 2023 had not yet been switched over to an alternative reference interest rate

EUR million	Non-derivative financial assets		Non-derivative financial liabilities	Derivatives
	Receivables/loans	Debt securities		
USD LIBOR	56	–	–	–
CAD CDOR	211	–	–	1,118

Financial instruments which as at 31 December 2022 had not yet been switched over to an alternative reference interest rate

EUR million	Non-derivative financial assets		Non-derivative financial liabilities	Derivatives
	Receivables/loans	Debt securities		
USD LIBOR	2,744	–	165	24,070
CAD CDOR	250	–	–	1,087

Notes to the cash flow statement

(70) Notes on items in the cash flow statement

The cash flow statement shows the cash flows of the financial year classified into operating activities, investing activities and financing activities.

The reported financial resources balance corresponds to the cash reserves item in the balance sheet and comprises the cash balance, deposits with central banks, debt instruments issued by public-sector entities and bills of exchange eligible for refinancing with central banks, including corresponding exchange-rate changes of EUR 20 million (FY 2022: EUR -63 million). Cash and cash equivalents are not subject to any drawing restrictions.

Cash flows from operating activities comprise payments from loans and advances to banks and to customers, from securities (not including financial investments), derivatives and other assets. Payments from liabilities to banks and customers, securitised liabilities and from other liabilities also fall under this category. Likewise included are interest and dividend payments from operating activities.

Cash flows from investing activities include payments for: financial investments; investment property; property, plant and equipment; and intangible assets. The impact from changes to the scope of consolidation is also reported under this line item.

Distributions to company owners and minority shareholders, changes in non-controlling interests and changes in subordinated capital are part of cash flow from financing activities.

Changes in subordinated capital

EUR million	2023	2022
As at 1 Jan	2,451	2,689
Changes in cash flow from financing activities	338	(144)
Non-cash changes:		
Currency-related changes	–	7
Fair value changes	22	(149)
Other changes	1	47
As at 31 Dec	2,812	2,451

For the changes in equity due to payments to company owners and minority shareholders, refer to the statement of changes in equity.

Supplementary disclosures

(71) Subordinated assets

Subordinated assets are recognised in the following line items on the balance sheet:

EUR million	2023	2022
Loans and advances to customers	27	30
Financial investments	5	5
Total	32	35

(72) Assets and liabilities in foreign currency

EUR million	2023	2022
Foreign currency assets	17,622	19,278
CAD	379	345
CHF	700	817
GBP	2,305	2,847
HKD	1	5
JPY	9	12
USD	12,897	14,217
Other currencies	1,330	1,035
Foreign currency liabilities	13,409	14,521
CAD	43	74
CHF	533	316
GBP	1,607	1,618
HKD	1	10
JPY	31	30
USD	10,898	12,050
Other currencies	297	422

(73) Default risk

The impairment provisions of IFRS 9 follow an approach in which not just incurred losses but also expected losses must be accounted for using the expected credit loss model.

The impairment rules apply to all debt instruments in the “financial assets measured at amortised cost” and “financial assets mandatorily measured at fair value through other comprehensive income” categories and to financial guarantees and irrevocable and revocable credit commitments where the committor cannot unilaterally and unconditionally withdraw from its commitment at any time and which are not measured at fair value through profit or loss, and to other contingent liabilities.

The following approaches are used to determine the loss allowances:

- General approach
- Approach for purchased or originated credit-impaired financial assets
- Simplified approach

General approach

Under the general approach, loss allowances are determined by deterioration in creditworthiness under the stage model. In essence, this is a relative credit risk model according to which a significant increase in the default risk as at the reporting date compared with first-time recognition requires higher risk provisions to be made. The loss allowances are broken down accordingly as follows:

- Loss allowances measured in the amount of the expected 12-month credit loss for financial instruments whose credit risk has not significantly increased since first-time recognition and which are not in default (Stage 1)
- Loss allowances measured in the amount of the lifetime expected credit losses for financial instruments for which the default risk has increased significantly since first-time recognition on the balance sheet but which are not credit-impaired financial assets as defined by the default criteria (Stage 2)
- Loss allowances measured in the amount of the lifetime expected credit losses for financial assets that were credit-impaired as defined by default criteria as at the reporting date, but not at the time of purchase or origination (Stage 3)

Determining a significant increase in the default risk

On initial recognition, the respective financial instrument is assigned to Stage 1. A significant increase in default risk in the BayernLB Group is determined on the basis of qualitative criteria and the change in the rating, which is calculated based on the Bank's credit risk processes. The rating takes account of the creditworthiness-relevant information both for the next 12 months and for the full remaining term of the financial instrument. As at the respective reporting date, the financial instrument's rating is compared with the rating expected for the current reporting date upon first-time recognition. If the (negative) deviation exceeds the statistically expected value of the change in default risk determined for the respective reporting date at the time of addition, the change in default risk is classified as significant (expected downgrade). The statistically expected change in default risk (rating significance threshold) is calculated as a function of the current term of the financial instrument.

The main inputs for determining a significant increase in default risk are the customer-specific expected change in default risk (probability of default profile (PD profile) per rating module), calculated using the rating, and the associated rating migration matrix. The rating migration matrix indicates the probability of a change in the rating. The PD profile gives information on the probability that a business partner will not meet its financial obligations at a specific point in the future, and on the probability of a financial instrument defaulting, over the course of the entire term. Various forward-looking information, including in particular macroeconomic developments, is considered when determining the rating (see the Determining the loss allowance section).

Similarly, environmental, social and governance risks (ESG risks) can be implicitly considered via the qualitative and quantitative factors stored in the rating systems. ESG risk drivers are also analysed using a separate tool called ESG Assessment for new lending and when monitoring existing lending business. If this provides additional indications of risk-increasing (ESG) issues, e.g. from

climate and environmental risks, these can also be considered in the rating preparation process and in the assessment of a significant increase in credit risk.

In addition to the relative criterion for determining a significant increase in the default risk, the BayernLB Group also applies the qualitative criteria of: 30-day payment arrears; and a deterioration in the form of support, since first-time recognition, of up to the support form “restructuring and workout”. The BayernLB Group does not apply the rebuttal of the assumption that there is a significant increase in the default risk in the event of 30-day payment arrears.

The option of always assigning a financial instrument with a low default risk to Stage 1 applies in the BayernLB Group for a selected securities portfolio. The default risk of a financial instrument is considered low if it has an investment-grade rating.

A financial instrument is reclassified from Stage 2 to Stage 1 if the default risk as at the reporting date is no longer significantly higher than on initial recognition. The procedure for a stage transfer is the same for a non-significantly modified financial instrument.

If a financial asset is credit-impaired as defined by the default criteria as at the reporting date, it is reclassified to Stage 3. To determine whether a financial asset is credit-impaired, the BayernLB Group implemented the following quantitative and qualitative default criteria in particular:

- Payment arrears/overdraft of >90 days: 90-day payment arrears by the borrower in respect of a substantial amount of the contractually agreed payments
- Improbable repayment: significant doubt as to the creditworthiness of the borrower
- Retail banking: improbable repayment from a transfer
- Restructuring: inevitable restructuring as a result of a crisis resulting in losses
- Loss allowance: a loss allowance or partial writedown due to a significant deterioration in credit quality
- (Full) writedown: direct writedown for rating reasons and utilisation of a loss allowance on irrecoverable receivables
- Sale of receivables: sale of receivables at a considerable, credit-related economic loss
- Insolvency: application for the insolvency of the borrower or comparable protective measures
- Termination/maturity: termination of the credit agreement or settlement of a maturing loan due to creditworthiness
- Default due to a transfer event

If at least one criterion is met, the credit analysts determine if there is an adverse effect on expected future cash flows by assessing the documents evidencing the credit quality of the respective financial instrument or business partner.

These criteria apply to all transactions in the BayernLB Group and are also used for internal credit risk management. They correspond to the supervisory definition of a loan default according to Article 178 para. 1 of the Capital Requirements Regulation (CRR).

As soon as none of the default criteria are met, the financial instrument is no longer classified under Stage 3, taking into account a good conduct period. The minimum term for a good conduct period is based on the default criterion. It is namely 366 days if the reason for default is a restructuring and 92 days in the case of all other default criteria.

Determining the loss allowance

When determining the expected credit losses of a financial instrument in Stage 1 or Stage 2, the following parameters are multiplicatively linked:

- Probability of default (PD): This represents the probability that a business partner can no longer meet its financial obligations, either with respect to the next 12 months (12-month PD) or over the contractual term of the obligation (lifetime PD). Multi-year PD is determined on the basis of historical observations, which are based on cross-institutional data histories of the rating procedures used, and forward-looking information. In particular, macroeconomic developments based on BayernLB's economic forecasts are also included.
- Exposure at default (EAD): This estimates the outstanding exposure at the time of default and is modelled on the basis of product-specific ancillary agreements (e.g. rights of termination and their probability of exercise, which is determined on the basis of historical practice). In addition to the current drawings, expected future drawings are also taken into account for commitments. The drawings in the year prior to default are recognised via the credit conversion factor (CCF) calculated on the basis of historical drawings and the remaining open line. Forward-looking information is also considered here.
- Loss given default (LGD): This shows the expected loss in the event of default, distinguishing between an LGD for the secured and for the unsecured parts of the EAD. In the case of the secured part of the EAD, the maturity component is modelled on the basis of the forecast change in the collateral's fair value (collateral value over time). The estimate is based on observed historical values over time and forward-looking information (especially economic forecasts).

The expected credit loss is discounted using the effective interest rate at the time of first-time recognition or an approximation thereof.

To calculate the expected credit loss, forward-looking information over a two-stage process is taken into account. In a first step, provided that it has a relevant influence on the associated business partner or the respective financial instrument, forward-looking information for each individual financial instrument is used to determine the various credit risk parameters (in particular probability of default, collateral values and recovery rates). This applies to both relevant macroeconomic variables and potential ESG risks (e.g. implicitly, via the probability of default (see above) or the corresponding valuation of collateral). In a second step, the credit risk parameters calculated at the level of the financial instruments and aggregated at (sub-)portfolio level with corresponding credit risk parameters, which can be expected largely on the basis of various macroeconomic scenarios for the following years, are compared in a quantitative and qualitative expert-based analysis prior to the reporting date. The effects of deviations in parameters on the expected credit loss are approximated and reflected in a post-model adjustment. This allows forward-looking information on the individual characteristics of a particular financial instrument and enhanced forecasting quality at a higher aggregation level to be incorporated in the best possible way in a combined form.

In the case of Stage 3 financial instruments, the loss allowance is recognised as the difference between amortised cost and the present value of expected cash flows. When determining expected cash flows, various scenarios (i.e. at least two) normally need to be defined and weighted with

the expected probability of occurrence (always totalling 100 percent). The expected cash flow is discounted using the effective interest rate at the time of first-time recognition or an approximation thereof.

For financial instruments still allocated to Stage 3 due to a regulatory recovery/good conduct period but for which individual case-based Stage 3 risk provisions are no longer being recognised, a parameter-based Stage 3 risk provision is calculated based on lifetime expected losses (minimum risk provisioning).

Utilisations/writedowns

A financial instrument is derecognised if, based on current information, the Bank is confident that all economically reasonable measures to limit losses have been exhausted. This must be assumed if all measured collateral is realised and there is no prospect of other payments (e.g. concluded insolvency proceedings, insolvency rejected for lack of assets). When an instrument is derecognised, a loss allowance that has already been recognised is utilised or a direct writedown is booked as a utilisation with a concomitant addition to the loss allowance, provided that no or insufficient loss allowances were recognised.

The Bank will also continue its efforts to recover derecognised financial instruments for which an external claim still exists.

Procedure for purchased or originated credit-impaired financial assets

This method is used for purchased or originated credit-impaired financial assets (POCI) (exclusively financial guarantees and other contingent liabilities). The BayernLB Group assumes that creditworthiness is impaired if the counterparty is assigned to a default category (non-performing). In these cases, the cumulative changes in the lifetime expected credit losses since first-time recognition must be recorded. To determine the expected credit losses, the risk-adjusted effective interest rate is used as the discount rate for calculating present value.

Simplified approach

The simplified approach is used in the BayernLB Group for trade receivables, regardless of whether they contain a significant financing component. The loss allowances are always measured in the amount of the lifetime expected credit losses.

Loss allowances and gross carrying amounts/exposure

The following tables show the loss allowances and gross carrying amounts/exposure of financial instruments and other contingent liabilities.

Loss allowances as at 31 December 2023

	Stage 1	Stage 2	Stage 3	POCI	Simplified approach	Total
EUR million	2023	2023	2023	2023	2023	2023
Loans and advances to banks	3	2	12	–	–	17
Loans and advances to customers	174	306	727	39	–	1,246
Financial investments	2	3	–	–	–	5
Off-balance sheet transactions	22	37	42	8	–	109
Total	201	349	781	47	–	1,377

Loss allowances as at 31 December 2022

	Stage 1	Stage 2	Stage 3	POCI	Simplified approach	Total
EUR million	2022	2022	2022	2022	2022	2022
Loans and advances to banks	9	19	28	–	–	56
Loans and advances to customers	220	236	628	61	–	1,146
Financial investments	3	5	–	–	–	8
Off-balance sheet transactions	36	30	24	1	–	90
Total	268	290	680	62	–	1,299

The total volume of non-discounted expected credit losses as at first-time recognition of purchased or originated credit-impaired financial instruments was EUR 53 million in the reporting year (FY 2022: EUR 14 million).

For information on the changes in loss allowances, refer to notes 41, 55 and 59.

Gross carrying amount/exposure as at 31 December 2023

	Stage 1	Stage 2	Stage 3	POCI	Simplified approach	Total
EUR million	2023	2023	2023	2023	2023	2023
Cash reserves	1,806	52	–	–	–	1,858
Loans and advances to banks	67,264	2,044	13	–	–	69,321
Loans and advances to customers	147,933	20,420	2,789	123	–	171,265
Financial investments	11,729	5,887	–	–	–	17,617
Non-current assets or disposal groups classified as held for sale	–	6	–	–	–	6
Other assets	38	–	–	–	48	86
Off-balance sheet transactions	48,773	11,850	258	15	–	60,897
Total	277,543	40,260	3,060	138	48	321,050

Gross carrying amount/exposure as at 31 December 2022

	Stage 1	Stage 2	Stage 3	POCI	Simplified approach	Total
EUR million	2022	2022	2022	2022	2022	2022
Cash reserves	2,151	–	–	–	–	2,151
Loans and advances to banks	57,796	3,619	39	–	–	61,453
Loans and advances to customers	149,927	14,715	1,603	152	–	166,396
Financial investments	16,238	2,171	–	–	–	18,408
Non-current assets or disposal groups classified as held for sale	–	–	–	–	–	–
Other assets	36	–	–	–	45	81
Off-balance sheet transactions	50,865	4,816	100	4	–	55,785
Total	277,013	25,320	1,741	156	45	304,275

For information on the changes in the gross carrying amounts and exposure, refer to notes 41, 44, 55 and 59.

Gross carrying amount/exposure by rating category as at 31 December 2023

	Stage 1	Stage 2	Stage 3	POCI	Simplified approach	Total
EUR million	2023	2023	2023	2023	2023	2023
Rating categories 0–7	192,468	19,703	–	16	–	212,187
Rating categories 8–11	63,990	9,468	–	7	–	73,466
Rating categories 12–17	17,597	9,234	9	6	–	26,846
Rating categories 18–21	266	1,849	–	4	–	2,120
Rating categories 22–24	–	–	3,051	104	–	3,156
Unrated	3,223	6	–	–	48	3,277
Total	277,543	40,260	3,060	138	48	321,050

Gross carrying amount/exposure by rating category as at 31 December 2022

	Stage 1	Stage 2	Stage 3	POCI	Simplified approach	Total
EUR million	2022	2022	2022	2022	2022	2022
Rating categories 0–7	187,649	10,518	–	20	–	198,187
Rating categories 8–11	68,351	7,581	–	1	–	75,934
Rating categories 12–17	17,591	5,575	–	6	–	23,172
Rating categories 18–21	223	1,637	–	5	–	1,865
Rating categories 22–24	–	–	1,741	124	–	1,865
Unrated	3,198	9	–	–	45	3,252
Total	277,013	25,320	1,741	156	45	304,275

Change to the post-model adjustment

Due to the changes in the macroeconomic environment in the interim, the regular review of the macroeconomic scenarios for the next few years showed that it was necessary to make changes to the post-model adjustment to determine the risk provisions which had been considered in the previous financial statements. This was based on the baseline scenario and global economic crisis scenarios used for the 2022 consolidated financial statements and the 2023 consolidated half-yearly financial statements, with updated economic forecasts, and on the real estate crisis scenario applied for the first time in the 2023 consolidated half-yearly financial statements. These scenarios were then updated for the consolidated financial statements as at 31 December 2023 (see tables below).

In the baseline scenario the focus is on the effects of inflation and monetary policy, plus geopolitics, over the planning horizon to 2028. The start of the forecast period is significantly impacted by the effects of tighter monetary policy serving to combat inflation. The steep hikes in interest rates are now slowing the economy down. However, the central banks will be in no hurry to cut rates as inflationary expectations remain high and there is the risk of a wage-price spiral. The move down from peak interest rates will be gradual and will not bring us back to where we started before inflation rose.

Over the medium term there will be increased pressure on prices due to changes made to supply chains for geopolitical reasons and rising commodity prices. The “four Ds” of digitalisation, decarbonisation, deglobalisation and demographic change are becoming increasingly important, especially for Germany.

The real estate sector remains under pressure as a result of the new environment for interest rates. Prices are falling because of higher financing costs and reduced attractiveness for investors; the office segment stands out as a loser, but residential property is less affected.

The global economic crisis scenario depicts a weak economic starting point deteriorating into a major recession. The scenario assumes that the geopolitical situation will escalate following a confrontation between the US and China and that hostile blocs will be formed. An acute risk of cyber attacks on critical infrastructure and utilities is also modelled. Potential (cyber) attacks on energy/gas supplies prove challenging for energy suppliers and energy-intensive industries.

The prolonged economic slump triggered by the shock lasts more than two years and results in heavy losses in gross domestic product (GDP) that are only slowly made good in subsequent years. Unemployment shoots up and stays high over the entire forecast horizon. Due to the very limited scope for monetary and fiscal policy measures in many regions, the crisis will persist for an unusually long time. Taken together with a steep decline in business and consumer confidence, the result is turmoil on the financial markets.

As the crisis starts, central banks take less supportive action than has historically been the case because of the high inflation and new inflationary pressure; rates are cut but do not turn negative. There is a moderate amount of resumed, additional quantitative easing. Fiscal policy is expansive, contributing to an increase in deficits and debt ratios.

The real estate crisis scenario models a crumbling property market and hits to the office segment leading to a general decline in prices that results in a global economic crisis on the scale described in the previous scenario. Because property prices are sharply lower, this scenario has a stronger impact overall than the global economic crisis one, especially on the real estate portfolio. The scenario assumes a 30 percent fall in demand for office space because many companies find themselves squeezed and more people are working from home. Leases are not renewed and tenants move into smaller, more modern premises. The direct result is a huge collapse in real estate valuations that takes commercial property prices down 30 percent in 2024 – and by as much as 40 percent in the UK and US.

Residential property offers greater planning security for employees, who have set amounts of time they are allowed to work from home. People therefore move to the outlying areas around major cities and into the countryside. As a consequence, the high rent increases that had been expected are no longer plausible, with a negative effect on valuations being felt as early as 2024. Residential property prices then fall 20 percent in 2024.

The following significant parameters were used for the baseline, global economic crisis, and real estate crisis scenarios as at 31 December 2023: the changes in GDP, consumer prices, the unemployment rate and the leading stock market indices in Germany, Europe and the US. A time horizon of five years (2024 to 2028) was observed. It was found that, based on the above assumptions, the largest impact for the calculation of the post-model adjustment will be on the first two

years. This is mainly due to the BayernLB Group's portfolio structure and the increasing difficulty attached to forecasting future years with certainty.

Assumptions used in the consolidated financial statements for 2023

Annual average (baseline scenario/ global economic crisis)		2024	2025	2026	2027	2028
Real GDP growth (%)	Germany	0.3/−3.7	1.3/−1.2	0.8/−0.2	0.8/0.3	1/1
Price rise (consumer prices) (%)		2.7/1.5	2.2/0.2	2.1/0.6	2.1/0.8	2.3/1.6
Unemployment rate (%)		5.6/6.5	5.2/6.7	4.8/6.8	4.7/6.8	4.6/6.7
Leading stock market index (%) – year-end price index		6.4/−28.5	3.8/−4.2	2.2/10.6	5/8.2	3.4/2.9
Real GDP growth (%)	Eurozone	0.6/−3.5	1.4/−1.1	1/0	1/0.5	1.1/1.1
Price rise (consumer prices) (%)		2.9/1.8	2.3/0.3	2.2/0.7	2.2/0.9	2.3/1.6
Unemployment rate (%)		6.6/8.2	6.5/9	6.4/9.2	6.3/9.3	6.2/9.2
Leading stock market index (%) – year-end price index		5.9/−28	4/−3.5	2.4/10	5.2/7.7	3.6/3
Real GDP growth (%)	USA	1.2/−3.6	2.2/−0.3	2/1	1.8/1.3	1.8/1.8
Price rise (consumer prices) (%)		2.8/1.5	2.5/0.5	2.3/0.8	2.2/0.9	2.1/1.4
Unemployment rate (%)		4.6/7.2	4.2/8.2	3.8/8.4	3.6/8.4	3.6/8.4
Leading stock market index (%) – year-end price index		7.9/−27.5	4.9/−3	2.4/10	5.3/8	3.6/3.2
Capital market interest rates (as at year end)						
Capital market interest rates (as at year end) – yields on government bonds (10Y) (%)	Germany/ Eurozone	2.5/−0.2	2.5/0.15	2.6/0.4	2.7/0.6	2.7/0.8

Assumptions used in the consolidated half-yearly financial statements for 2023

Annual average (baseline scenario/ global economic crisis)		2023	2024	2025	2026	2027
Real GDP growth (%)	Germany	-0.4/-5.4	1.7/-0.5	1.5/0.5	0.9/0.4	0.9/0.9
Price rise (consumer prices) (%)		6.8/5.3	3.3/1.3	2.2/0.7	2.1/0.8	2.1/1.4
Unemployment rate (%)		5.5/6.5	5.2/6.9	4.8/6.8	4.7/6.8	4.6/6.7
Leading stock market index (%) – year-end price index		7.9/-32.0	2.4/22.0	3.3/12.0	-0.5/7.0	9.6/8.0
Real GDP growth (%)	Eurozone	-0.1/-4.9	1.3/-0.9	1.2/0.2	1/0.5	1.0/1.0
Price rise (consumer prices) (%)		6.5/5.0	3.6/1.6	2.3/0.8	2.2/0.9	2.1/1.4
Unemployment rate (%)		6.7/8.4	6.7/9.2	6.6/9.4	6.5/9.5	6.5/9.5
Leading stock market index (%) – year-end price index		11.1/-30.0	2.4/20.0	3.6/10.0	2.3/7.0	7.0/8.0
Real GDP growth (%)	USA	1.1/-3.8	1.3/-0.3	2.0/1.0	1.9/1.4	1.8/1.8
Price rise (consumer prices) (%)		4.3/3.0	3.2/0.8	2.3/0.8	2.1/0.8	2.1/1.4
Unemployment rate (%)		4.0/6.8	4.4/8.4	4/8.6	3.8/8.6	3.6/8.4
Leading stock market index (%) – year-end price index		4.8/-26.0	4.9/18.0	4.7/10.0	2.2/5.0	7.0/8.0
Capital market interest rates (as at year end)						
Capital market interest rates (as at year end) – yields on government bonds (10Y) (%)	Germany/ Eurozone	2.4/0.3	2.4/-0.1	2.2/0.2	2.4/0.5	2.4/0.8

Assumptions used in the consolidated financial statements for 2022

Annual average (baseline scenario/ global economic crisis)		2023	2024	2025	2026	2027
Real GDP growth (%)	Germany	-1.9/-3.9	2/-1.5	0.9/-0.1	0.9/0.4	0.9/0.9
Price rise (consumer prices) (%)		8.6/2.8	3.3/0.7	2.2/0.7	2.1/0.8	2.1/1.4
Unemployment rate (%)		5.4/6.2	5.1/6.8	4.8/6.8	4.7/6.8	4.6/6.7
Leading stock market index (%) – year-end price index		6/-29	0.4/10	2.8/15	3/10	2.6/5
Real GDP growth (%)	Eurozone	-0.9/-4.1	1.6/-1.4	0.9/-0.1	1/0.5	1/1
Price rise (consumer prices) (%)		8.1/3	3.6/0.9	2.3/0.8	2.2/0.9	2.1/1.4
Unemployment rate (%)		7/8.6	6.9/9.3	6.7/9.5	6.6/9.6	6.5/9.5
Leading stock market index (%) – year-end price index		6/-30	0/10	2.3/15	2.8/10	2.5/5
Real GDP growth (%)	USA	0/-4	2.2/-0.3	1.7/0.7	1.7/1.2	1.7/1.7
Price rise (consumer prices) (%)		5.1/3.6	3.2/0.5	2.3/0.8	2.1/0.8	2.1/1.4
Unemployment rate (%)		4.5/7.1	4.1/7.8	3.8/8.4	3.7/8.5	3.7/8.5
Leading stock market index (%) – year-end price index		6/-26	4.4/15	6.4/13	5/10	4.8/8
Capital market interest rates (as at year end)						
Capital market interest rates (as at year end) – yields on government bonds (10Y) (%)	Germany/ Eurozone	2.1/-0.2	2.5/-0.1	2.3/0.1	2.4/0.3	2.4/0.5

The real estate crisis scenario used the above-mentioned parameters from the global economic crisis scenario and also applied market price discounts of 20 percent for residential real estate (UK 25 percent, US 27.5 percent) and 30 percent for commercial real estate (UK/US 40 percent) for 2024.

Changes in the value of real estate Consolidated financial statements 2023

Baseline scenario/global economic crisis/real estate crisis		2024	2025	2026	2027	2028
Residential real estate (%)	Germany	-3.5/-6/-20	-1.5/-1.5/2.5	0/1/2.5	0/1.5/5	0/1.5/5
Commercial real estate (%)		-9/-13/-30	0.5/-1.5/1.5	0/1/2.5	0.5/1.5/5	0.5/1.5/5
Commercial real estate (%)	UK	-5/-9.5/-40	0/-2/0	0.5/1/3.5	0.5/2/4	1/3/4
Commercial real estate (%)	USA	-7.5/-13/-40	2/-1/0	1.5/2.5/5	0.5/4/6	0/4/7
Residential real estate (%)	World	-3.5/-6/-20	-1.5/-1.5/2.5	0/1/2.5	0/1.5/5	0/1.5/5
Commercial real estate (%)		-7.5/-12.7/-38.7	1.5/-1/0.2	1/2/4.5	0.5/3/5.7	0/3.5/6.5

Changes in the value of real estate Consolidated half-yearly financial statements 2023

Baseline scenario/global economic crisis/real estate crisis		2023	2024	2025	2026	2027
Residential real estate (%)	Germany	-5/-7.5/-30	-2.5/-1.5/2.5	-1.5/-0.5/2.5	0/0/5	0/0/5
Commercial real estate (%)		-7.5/-10/-40	-1.5/-2.5/1.5	0.5/0.5/2.5	0/0/5	0/0/5
Commercial real estate (%)	UK	-10/-12.5/-40	0.5/-3.5/0	0/2/3.5	0.5/1/4	0.5/0.5/4
Commercial real estate (%)	USA	-15/-9/-40	2/-3.5/0	1.5/1.5/5	0.5/0.5/6	0/0/7
Residential real estate (%)	World	-5/-10/-30	-2.5/-2.5/2.5	-1.5/0.5/2.5	0/0/5	0/0/5
Commercial real estate (%)		-11/-10/-40	1/-3.5/0	1/1.5/4.5	0.5/0.5/5.5	0/0/6.5

Changes in the value of real estate Consolidated financial statements 2022

Baseline scenario/global economic crisis		2023	2024	2025	2026	2027
Residential real estate (%)	Germany	-2.5/2	-2/1.5	-1.5/2.5	-0.5/3.5	0/4
Commercial real estate (%)		-3.5/-3.5	-1.5/2	1.5/2.5	1.5/1.5	1.5/1.5
Commercial real estate (%)	UK	-2/-5	1/2	2/2.5	1.5/3	1.5/3.5
Commercial real estate (%)	USA	-6.5/-7.5	0.5/2.5	1.5/3.5	1.5/3	1.5/3
Residential real estate (%)	World	-2.5/2	-2/1.5	-1.5/2.5	-0.5/3.5	0/4
Commercial real estate (%)		-1.5/-1.5	0/1	0.5/1	0.5/1	0.5/1

Depending on the scenario and sub-portfolio and based on the assumptions shown, it is anticipated that the impacts on the key parameters, such as rating, loss ratio/loss given default (LGD) and collateral values, will vary in strength. The effects are initially calculated largely in the form of a model and then subjected to a qualitative review. In individual cases, particularly for the automotive and logistics; basic resources; and construction and infrastructure sub-portfolios, and for the energy portfolio, expert-based adjustments were made to the probability of default (PD) in the global economic crisis and real estate crisis scenarios.

Portfolio	Average rating deterioration in the crisis scenarios
Automotive and logistics	6 notches
Grid operators and utilities	4 notches
Renewable energy	2 notches
Construction and infrastructure	5 notches
Basic resources	5 notches

The average rating adjustment was four notches for domestic real estate and up to six notches for international real estate. In addition, the LGD figures were doubled for the international real

estate portfolio in both stress scenarios, to allow for the higher expected losses in the event of a crisis.

Compared with the 2022 consolidated financial statements the pharmaceuticals, chemicals and shopping centre portfolios are no longer subject to expert-based adjustment. However, the construction and infrastructure portfolio is included in the expert-based adjustments, as it was in the 2023 consolidated half-yearly financial statements.

Consequently, the BayernLB Group took account as at 31 December 2023 of the impact of the expected credit losses by setting up risk provisions of EUR 337 million (31 December 2022: EUR 362 million) in the form of a post-model adjustment. As at 31 December 2023, around 32 percent of this risk provision related to the Corporates & Markets segment (31 December 2022: around 35 percent), 21 percent to the Real Estate & Savings Banks/Financial Institutions segment (31 December 2022: 25 percent) and around 46 percent to the DKB segment (31 December 2022: around 38 percent). The risk provisioning recognised as at 31 December 2023 no longer included any expert-based management adjustment (31 December 2022: EUR 106 million), as methodologically this is now taken into account via the PD and LGD discounts.

Assuming a 100 percent probability of default, as at 31 December 2023 this would result in a post-model adjustment of around EUR 95 million under the baseline scenario, around EUR 577 million under the global economic crisis scenario and around EUR 744 million under the real estate crisis scenario. The greater impact from the real estate crisis compared with the global economic crisis is due to the scenario described above.

The baseline scenario was given a weighting of 55 percent as at 31 December 2023 (31 December 2022: 60 percent), the global economic crisis scenario 30 percent (31 December 2022: 40 percent) and the new real estate crisis scenario 15 percent.

A ten percentage point change to these weightings either way in these scenarios would have the following impact on the portfolio in EUR millions:

Group			
	+10%	-10%	
	Baseline scenario	Global economic crisis	Real estate crisis
Baseline scenario		(48.2)	(64.8)
Global economic crisis	48.2		(16.7)
Real estate crisis	64.8	16.7	

Non-significant modifications

For financial instruments for which the contractually agreed cash flows were modified in the reporting year and whose loss allowance was measured in the amount of the lifetime expected credit losses, the amortised cost before modification amounted to EUR 455 million (FY 2022: EUR 171 million).

The gross carrying amount of financial instruments that were modified when the loss allowance was measured in the amount of the lifetime expected credit losses, and for which the loss allowance was adjusted in the amount of the 12-month expected credit losses in the reporting year, was EUR 41 million (FY 2022: EUR 41 million) as at the reporting date..

The calculation methods for certain benchmark interest rates were also adjusted in the reporting year, under the IBOR reform (see note 69). These adjustments did not produce any modification gain or loss.

Maximum default risk

The following table shows the maximum default risk as at the reporting date for all financial instruments to which the impairment rules pursuant to IFRS 9 are applied. Collateral received or other loan collateral is not taken into account.

EUR million	2023	2022
Cash reserves	1,858	2,151
Loans and advances to banks	69,312	61,382
Loans and advances to customers	171,059	164,782
Financial investments	16,934	17,028
Non-current assets or disposal groups classified as held for sale	6	–
Other assets	86	81
Off-balance sheet transactions	60,897	55,785
Total	320,152	301,209

The BayernLB Group holds collateral to mitigate default risks. The principles for accepting and valuing collateral are embedded in the Bank's collateral policy.

The main forms of collateral are real estate liens and guarantees. Real estate liens are taken on both domestic and foreign properties, but mainly domestic ones; outside Germany the focus is on real estate lending in western Europe, especially France, Italy, the Netherlands, the United Kingdom of Great Britain and Northern Ireland and North America (the United States). Guarantees include in particular standby letters of credit, directly enforceable guarantees and export guarantees and liability waivers. The main guarantors are monolines, the public sector and financial institutions, most of which have an investment-grade credit rating. Other types of lien are also accepted as collateral, in particular financial collateral and mortgages on aircraft, but also transfers of title for collateral purposes and assignments. Financial collateral is valued daily; for aircraft the quality of the collateral assets is updated every six months. Assignments and transfers of title are generally not valued.

Collateral is recognised on the basis of the liquidation value, which corresponds to the expected proceeds of collateral within an orderly realisation. The liquidation value is calculated by taking into account the fair value of the collateral and an expected recovery rate specific to each type of collateral. For guarantees, the liquidation value is calculated on the basis of the recovery rate derived from the credit rating of the respective collateral provider and the size of the guaranteed loan amount.

In addition, the BayernLB Group holds securities as collateral in genuine repurchase agreements (reverse repo transactions). Only liquid marketable securities in commonly traded currencies are accepted. The securities are measured at their fair value. Discounts for potential fluctuations in value are taken into account. Both concentration and correlation risk limits have been put in place and are regularly monitored.

In the case of credit-impaired financial assets, the default risk was reduced by collateral received and other loan collateral amounting to EUR 1,356 million (FY 2022: EUR 707 million). The collateral is broken down as follows:

EUR million	2023	2022
Loans and advances to customers	1,288	681
Off-balance sheet transactions	68	26
Total	1,356	707

As at the reporting date, BayernLB had financial instruments for which no loss allowances were made, as they were covered by collateral. Their gross carrying amount related to the following balance sheet line items:

EUR million	2023	2022
Loans and advances to banks	24	498
Loans and advances to customers	41,742	38,700
Off-balance sheet transactions	1,882	1,191
Total	43,637	40,388

The following table shows the maximum default risk as at the reporting date for all financial instruments to which the impairment rules pursuant to IFRS 9 are not applied. Collateral received or other loan collateral is not taken into account.

EUR million	2023	2022
Loans and advances to customers	11	12
Assets held for trading	12,246	11,483
Positive fair values from derivative financial instruments (hedge accounting)	168	256
Financial investments	539	484
Total	12,963	12,235

Derivatives transactions are often hedged. Collateral is principally in the form of cash in euros. In the case of cash collateral in foreign currencies and collateral in the form of securities, discounts are made to take account of fluctuations in value.

Foreclosure proceedings on written down financial instruments

In the case of financial instruments that were written down in the reporting year but still were subject to foreclosure proceedings, the contractual amount outstanding stood at EUR 1 million as at the reporting date (FY 2022: 5 million).

(74) Collateral received

Certain assets that have been pledged as collateral through securities repurchase transactions may be sold on or repledged even if the collateral provider has not defaulted. As at the reporting date their fair value was EUR 6,865 million (FY 2022: EUR 8,803 million).

EUR 5,055 million (FY 2022: EUR 6,845 million) of this collateral was either sold on or repledged. An obligation to return this collateral exists.

These transactions were executed at standard market terms and conditions.

As part of its Pfandbrief business, BayernLB purchases municipal claims that are legally eligible as cover funds from the Savings Banks Association. In accordance with the terms, the economic ownership remains with the transferring bank, which continues to recognise the receivable from the respective municipalities in its balance sheet. BayernLB had no obligations to be recognised in the balance sheet as at the reporting date.

(75) Revenue from contracts with customers

The BayernLB Group recognises revenue from contracts with customers in the form of commissions and fees from a wide range of services. As a rule, commissions and fees from one-off services are collected at specific points in time and, from recurring services, over time. Revenue from performance obligations fulfilled at specific points in time is recognised at the time of the transfer of control over the asset (essentially when the service is rendered), and revenue from performance obligations settled over time is recognised in accordance with the progress made. This is determined on the basis of the contract, according to which progress is generally even throughout the performance period. The amount of revenue recognised corresponds to the promised consideration contractually agreed by the customer for the transfer of the services. As a rule, the promised consideration can be clearly allocated to the individual performance obligations contained in the contract.

Depending on the contract, payment in advance or in arrears for the services is agreed with the customer.

In the BayernLB Group, commissions and fees are mainly recognised for the following services:

- *Securities business*

In the securities business, revenue is generated in particular from securities custody and custody management, execution and settlement of spot and forward transactions, and the placement of Schuldschein note loans. As a rule, revenue from one-off services, such as the settlement of securities transactions, is recognised at a point in time and, from recurring services, such as securities custody, over time.

- *Credit business*

In the credit business, revenue is primarily received from the processing and administration of (syndicated) loans and the provision of guarantee loans. As a rule, one-off processing and syndicate fees are booked at a specific point in time, while revenues from recurring services, such as acting as an agent in a banking syndicate (e.g. as a collateral manager) and the provision of

guarantee facilities, are booked over time. The BayernLB Group primarily acts as an agent for subsidised loans.

- *Payments*

In the case of payments, revenue is mainly produced from account management, the processing of transfers, and the collection and redemption of direct debits. As a rule, one-off revenue, such as fees for bank transfers and direct debits, is booked at a point in time, while revenue from recurring services, such as account management, is booked over time.

- *Documentary business*

In the documentary business, revenue is primarily generated from the settlement of payments in international trade using letters of credit. As a rule, revenue from one-off services, such as the opening and processing of letters of credit, is recognised at a point in time, while revenue from recurring services, such as credit confirmations, is recognised over time.

- *Credit card business*

In the credit card business, income is mainly generated from the issue of credit cards and services associated with credit cards, in particular settlement. As a rule, one-off fees, such as foreign usage fees and cash service fees, are booked at a point in time, while recurring charges, such as cardholder fees, are booked over time. The BayernLB Group primarily acts as an agent when brokering insurance services and other ancillary services, and revenue is recognised on a net basis in such cases.

- *Fund business*

In the fund business, proceeds are primarily received from fund structuring and management, portfolio and asset management, and investor support. As a rule, one-off revenue, such as transaction fees, is recognised at a point in time, while revenue from recurring services, such as fund management, is recognised over time.

- *Trust transactions*

In the trust transactions business, revenue is mainly generated from the granting and administration of trust loans. As a rule, revenue from one-off administrative cost contributions is recognised at a point in time and, from recurring administrative cost contributions, over time. In the trust transactions business, the BayernLB Group primarily acts as an agent, and revenue is recognised on a net basis in such cases.

The BayernLB Group makes use of the practical expedient under IFRS 15.63 and refrains from adjusting the promised amount of consideration for the effects of a significant financing component if it expects, at contract inception, that the period between when the entity transfers a promised service to the customer and when the customer pays for that service will be one year or less.

Breakdown of revenues

Revenue from contracts with customers booked to net commission income is broken down as follows:

EUR million	2023	2022
Securities business	86	106
Credit business	207	200
Payments	99	64
Documentary business	6	7
Credit card business	275	253
Fund business	225	225
Trust transactions	18	17
Other	11	34
Total	927	907

The segment report (see note 25) shows net commission income and other income and expenses for each business segment of the BayernLB Group. This is presented in each case as a net figure consisting of commission income, commission expenses, other income and other expenses, and includes the revenue recognised from contracts with customers in accordance with IFRS 15.

Contract balances

The following table shows the opening and closing balances of receivables and contract liabilities from contracts with customers.

EUR million	31 Dec 2023	31 Dec 2022	1 Jan 2022
Loans and advances	59	54	56
Contract liabilities	2	2	2

A receivable is recognised when invoiced by the BayernLB Group. Contract liabilities are shown in the case of payments received in advance and recognised in instalments over the period during which the service is rendered.

In the reporting year revenue of EUR 2 million (FY 2022: EUR 2 million) which was included in the contract liability balance at the beginning of the period was recognised.

Transaction price allocated to remaining performance obligations

The BayernLB Group makes use of the practical expedient under IFRS 15.121 and refrains from disclosing the transaction price allocated to the remaining performance obligations for contracts with an original expected duration of no more than one year and for contracts from which revenue can be recognised for simplification purposes in accordance with IFRS 15.B16 in the amount to which the entity has a right to invoice.

Capitalised costs

The BayernLB Group makes use of the practical expedient under IFRS 15.94 and recognises the incremental costs of obtaining a contract with a customer as an expense when incurred if the amortisation period will be one year or less.

(76) Leasing

The BayernLB Group as lessee

The BayernLB Group's existing leasing activities mainly involve the leasing of office and parking spaces, vehicles, IT devices and other assets. The leases provide the Bank with flexibility it would not have if it had purchased the underlying assets, including the option to extend or terminate and, where applicable, to replace leased assets on a regular basis.

In financial year 2021, one Group company concluded a lease of over 15 years for an office building complex in Berlin. This company will set up its future head office there. The lease is expected to begin in 2025. Future lease payments from this non-cancellable lease will amount to EUR 4 million in 2025 and then EUR 15 million for each of the following years.

Right-of-use assets

EUR million	2023	2022
Property, plant and equipment	119	139
Total	119	139

Breakdown of the carrying amount of the right-of-use assets recognised under property, plant and equipment by class of underlying assets

EUR million	2023	2022
Property	116	136
Furniture and office equipment	2	2
Other assets	1	1
Total	119	139

Additions to right-of-use assets stood at EUR 10 million in the reporting year (FY 2022: 41 million).

Breakdown of the depreciation amount of the right-of-use assets by class of underlying assets

EUR million	2023	2022
Property ¹	(25)	(24)
Furniture and office equipment	(1)	(1)
Other assets	(1)	(1)
Total	(27)	(26)

¹ Not including investment property.

Lease liabilities

EUR million	2023	2022
Other liabilities	122	141
Total	122	141

Interest expenses for lease liabilities amounted to EUR 1 million in the reporting year (FY 2022: EUR 0 million).

No lease liabilities were recognised for short-term leases or for leases where the underlying asset is of low value. Instead, lease payments associated with these leases were recognised as expenses. In the reporting year, the costs for short-term leases stood at EUR 2 million (FY 2022: EUR 1 million), while for leases where the underlying asset is of low value the costs were EUR 2 million (FY 2022: EUR 2 million).

The total cash outflow for leases amounted to EUR 30 million in the reporting year (FY 2022: EUR 27 million).

The BayernLB Group as lessor

The BayernLB Group is a lessor in respect of operating leases. The leased property is real estate.

Breakdown of lease payments by maturity

EUR million	2023	2022
Residual maturities		
Up to 1 year	1	1
Between 1 year and 2 years	1	1
Between 2 years and 3 years	1	1
Between 3 years and 4 years	1	2
Between 4 years and 5 years	1	1
More than 5 years	1	2
Total	6	8

Income from operating leases in the reporting year was EUR 1 million (FY 2022: EUR 3 million).

(77) Trust transactions

EUR million	2023	2022
Assets held in trust	6,351	6,029
Loans and advances to banks	336	416
Loans and advances to customers	6,015	5,613
Liabilities held in trust	6,351	6,029
Liabilities to banks	353	437
Liabilities to customers	5,998	5,592

(78) Contingent assets, contingent liabilities and other commitments

EUR million	2023	2022
Contingent liabilities	13,276	12,936
Liabilities from guarantees and indemnity agreements	13,275	12,935
Contingent liabilities from litigation	2	1
Other commitments	25,948	27,517
Irrevocable credit commitments	25,948	27,517
Total	39,224	40,453

Liabilities from guarantees and indemnity agreements include financial guarantees and other contingent liabilities to which the impairment rules under IFRS 9 apply (see note 55).

Contingent liabilities and other commitments are for the most part potential liabilities arising from the occurrence of an uncertain future event whose settlement amount and date cannot be reliably estimated.

EUR 9,341 million (FY 2022: EUR 9,561 million) of contingent liabilities and EUR 12,663 million (FY 2022: EUR 12,138 million) of other commitments are due after more than 12 months.

In December 2021, the resolution of HETA Asset Resolution AG (HETA) was finalised under the Austrian Federal Act on the Resolution and Recovery of Banks (BaSAG) and a process to liquidate HETA under the Austrian Stock Corporation Act initiated. BayernLB is expecting liquidation proceeds up to 2027 from this process based on the planned winding up of HETA.

(79) Other financial obligations

Other financial obligations arise principally from agency, rental, leasing, usage, service, maintenance, consulting and marketing agreements.

As at the end of the reporting period, there were call commitments for capital not fully paid up of EUR 5 million (FY 2022: EUR 6 million) and uncalled liabilities from German limited partnership (Kommanditgesellschaft) interests of EUR 15 million (FY 2022: EUR 15 million). Amounts due to subsidiaries not included in the consolidated financial statements totalled EUR 20 million (FY 2022: EUR 20 million).

As at the reporting date, the BayernLB Group had a total of EUR 327 million (FY 2022: EUR 288 million) of irrevocable payment obligations in connection with the bank levy and deposit guarantee scheme that have not yet been taken to income. Of this amount, EUR 118 million (FY 2022: EUR 97 million) related to the bank levy and EUR 209 million (FY 2022: EUR 190 million) to deposit protection. Cash collateral of EUR 118 million (FY 2022: EUR 97 million) was provided for the bank levy and in the amount of EUR 91 million (FY 2022: EUR 72 million) for deposit protection. Securities collateral of EUR 118 million (FY 2022: EUR 118 million) was transferred for the bank-specific guarantee scheme (see note 68).

The annually calculated target volume of funds for the deposit guarantee scheme must be achieved by 3 July 2024 in accordance with the German Deposit Guarantee Act. But due to BayernLB's decoupling from Deutsche Kreditbank Aktiengesellschaft (DKB) with respect to contributions in financial year 2021 (rescission of letter of comfort, termination of control and profit and loss transfer agreement), BayernLB already achieved its target volume. It is therefore currently expected that BayernLB will not need to make any further contributions up to 2024.

BayernLB had indicated that it would reimburse the deposit insurance fund run by the Association of German Public Banks, VÖB, e. V., for all payments made pursuant to the statutes on behalf of DKB to cover proven defaults, as the fund is unable to enforce its rights of recourse against DKB. As a result of the aforementioned decoupling, this declaration was revoked with immediate effect in financial year 2021, resulting in the extinguishing of the associated obligations.

(80) Letters of comfort

Expiry of the letter of comfort for Deutsche Kreditbank Aktiengesellschaft on 30 November 2021 and 19 August 2021

There was formerly a letter of comfort issued by BayernLB in favour of Deutsche Kreditbank Aktiengesellschaft, Berlin (DKB). BayernLB rescinded and cancelled this letter of comfort in full with effect from 1 December 2021. BayernLB rescinded the letter of comfort to the creditors of DKB with whom no contractual relationship with DKB had yet existed as at the end of 19 August 2021, with effect from 20 August 2021. As of 20 August 2021, new customers of DKB are unable to call on the letter of comfort. BayernLB also accordingly rescinded and cancelled all letters of comfort in favour of DKB that were published in the past in its annual reports or communicated through a different channel.

Expiry of the letter of comfort for Banque LBLux S.A. (since renamed Banque LBLux S.A. in Liquidation), Luxembourg, on 30 April 2015

BayernLB previously issued a letter of comfort for Banque LBLux S.A. (since renamed Banque LBLux S.A. in Liquidation), Luxembourg. This letter of comfort was rescinded with effect from 1 May 2015. As a result, the letter of comfort will in particular no longer cover liabilities of Banque LBLux S.A. (since renamed Banque LBLux S.A. in Liquidation) that were created after 30 April 2015. All previously issued letters were also rescinded accordingly.

(81) Shareholdings

Name and location of the investee	Equity interest	Percentage held	Equity/fund assets in EUR k	Earnings in EUR k
Consolidated subsidiaries				
BayernInvest Kapitalverwaltungsgesellschaft mbH, Munich ¹	Direct	100.0	20,754	–
Deutsche Kreditbank Aktiengesellschaft, Berlin	Direct	100.0	4,033,571	197,658
Subsidiaries included in the Deutsche Kreditbank Aktiengesellschaft sub-group:				
Bayern Card-Services GmbH - S-Finanzgruppe, Munich	Indirect	50.1	19,123	6,892
DKB Finance GmbH, Berlin ¹	Indirect	100.0	17,500	–
DKB Grund GmbH, Berlin ¹	Indirect	100.0	100	–
DKB Immobilien GmbH, Berlin ¹	Indirect	100.0	3,728	–
DKB Service GmbH, Potsdam ¹	Indirect	100.0	7,100	–
FMP Forderungsmanagement Potsdam GmbH, Potsdam ¹	Indirect	100.0	12,150	–
MVC Unternehmensbeteiligungsgesellschaft mbH, Berlin	Indirect	100.0	8,990	(62)
PROGES EINS GmbH, Berlin	Indirect	100.0	(2,426)	(3,906)
Real I.S. AG Gesellschaft für Immobilien Assetmanagement, Munich ¹	Direct	100.0	45,455	–
Subsidiaries included in the Real I.S. AG Gesellschaft für Immobilien Assetmanagement sub-group:				
Real I.S. Investment GmbH, Munich ¹	Indirect	100.0	4,500	–

Name and location of the investee	Equity interest	Percentage held	Equity/fund assets in EUR k	Earnings in EUR k
Consolidated structured entities				
DKB Nachhaltigkeitsfonds European Green Deal, L-Luxembourg	Indirect	72.7	112,585	(3,292)
DKB Nachhaltigkeitsfonds Klimaschutz, L-Luxembourg ²	Indirect	41.8	139,938	(11,502)
DKB Nachhaltigkeitsfonds SDG, L-Luxembourg	Indirect	59.1	70,311	(3,618)
Unconsolidated subsidiaries				
Banque LBLux S.A. i.L., L - Luxembourg	Direct	100.0	35,845	(538)
Bauland GmbH, Baulandbeschaffungs-, Erschließungs- und Wohnbaugesellschaft, Munich	Indirect	94.5	25	2,712
Bavaria Immobilien-Beteiligungs-Gesellschaft mbH & Co. Objekt Fürth KG, Munich	Indirect	100.0	–	–
Bavaria Immobilien-Beteiligungs-Gesellschaft mbH, Munich	Indirect	100.0	26	4
Bayerische Landesbank Europa-Immobilien-Beteiligungs-GmbH, Munich	Indirect	100.0	109	–
Bayerische Landesbank Immobilien-Beteiligungs-Gesellschaft mbH & Co. KG, Munich	Direct	100.0	49,786	1,089
Bayerische Landesbank Immobilien-Beteiligungs-Verwaltungsgesellschaft mbH, Munich	Direct	100.0	76	4
Bayern Bankett Gastronomie GmbH, Munich ¹	Direct	100.0	514	–
Bayern Corporate Services GmbH, Munich	Indirect	100.0	205	–
Bayern Facility Management GmbH, Munich ¹	Direct	100.0	2,560	–
BayernFM Objektmanagementgesellschaft mbH, Munich	Indirect	100.0	27	(3)
Bayernfonds Immobiliengesellschaft mbH, Munich	Direct + indirect	100.0	7,582	810
Bayernfonds Kampera GmbH, Munich	Indirect	100.0	25	–
Bayernfonds Opalus GmbH, Munich	Indirect	100.0	25	–
BayernImmo 2019 Joint Venture Verwaltungs GmbH, Munich	Indirect	100.0	23	(2)
BayernImmo 2. Joint Venture Verwaltungs GmbH, Munich	Indirect	100.0	9	(1)
BayernInvest Luxembourg S.A., L - Munsbach	Indirect	100.0	(1,712)	(6,050)
BayernLB Capital Partner GmbH, Munich	Direct	100.0	1,456	25
BayernLB Capital Partner Verwaltungs-GmbH, Munich	Direct	100.0	52	1
BayernLB DP GmbH i.L., Munich	Direct	100.0	47	(1)
BayernLB Mittelstandsfonds GmbH & Co. Unternehmensbeteiligungs KG i.L., Munich	Direct + indirect	100.0	6,477	1,926
BayernLB Private Equity GmbH i.L., Munich	Direct	100.0	18,806	17,046
Berchtesgaden International Resort Betriebs GmbH, Munich ¹	Direct	100.0	9,368	–
BGV IV Verwaltungs GmbH, Munich	Indirect	100.0	42	2
BGV V Verwaltungs GmbH, Munich	Indirect	100.0	58	6
BGV VI Verwaltungs GmbH, Munich	Indirect	100.0	63	9
BGV VII Europa Verwaltungs GmbH, Munich	Indirect	100.0	46	5
BLB-Beteiligungsgesellschaft Sigma mbH, Munich	Direct	100.0	971	–
BLB-VG22-Beteiligungsgesellschaft mbH, Munich	Direct	100.0	530	(2)
DKB BayernImmo Beteiligungs GmbH & Co. KG, Munich	Indirect	100.0	45	(10)
DKB Campus GmbH, Berlin	Indirect	100.0	450	–
DKB Code Factory GmbH, Berlin	Indirect	100.0	800	–

Name and location of the investee	Equity interest	Percentage held	Equity/fund assets in EUR k	Earnings in EUR k
DKB Immobilien Beteiligungs GmbH, Potsdam	Indirect	100.0	2,194	186
DKB STIFTUNG Jugenddörfer gemeinnützige GmbH, Fürth ³		100.0	502	170
DKB Stiftung Liebenberg gGmbH, Löwenberger Land OT Liebenberg ³		100.0	206	(237)
DKB Wohnen GmbH, Berlin	Indirect	100.0	25	–
GbR Olympisches Dorf, Potsdam	Indirect	100.0	(2)	(2)
German Centre for Industry and Trade Shanghai Co. Ltd., PRC - Shanghai	Indirect	100.0	38,114	1,534
German Centre for Industry and Trade Taicang Co. Ltd., PRC - Taicang	Indirect	100.0	2,506	(16)
German Centre Limited, BVI - Tortola	Direct	100.0	29,700	3,313
gewerbegründ Bauträger GmbH & Co. Objekt IGG KG, Munich	Indirect	100.0	52	51
gewerbegründ Projektentwicklungsgesellschaft (gpe) mbH, Munich	Direct	100.0	3,455	(576)
Global Format GmbH & Co. KG, Munich	Direct	52.4	1,987	(225)
Global Format Verwaltungsgesellschaft mbH, Munich	Indirect	100.0	35	1
LB Immobilienbewertungsgesellschaft mbH, Munich ¹	Direct	100.0	827	–
Oberhachinger Bauland GmbH, Wohnbau- und Erschließungsgesellschaft, Munich	Indirect	100.0	(5)	(2)
Potsdamer Immobiliengesellschaft mbH, Potsdam	Indirect	100.0	95	(49)
PROGES ENERGY GmbH, Berlin	Indirect	100.0	1,193	90
PROGES Sparingberg GmbH, Berlin	Indirect	100.0	561	(27)
PROGES VIER GmbH, Berlin	Indirect	100.0	223	(24)
PROGES ZWEI GmbH, Berlin	Indirect	100.0	4,490	87
Real I.S. Australia Pty. Ltd., AUS - Sydney	Indirect	100.0	1,278	502
Real I.S. Beteiligungs GmbH, Munich	Indirect	100.0	112	4
Real I.S. Finanz GmbH i.L., Munich ¹	Direct	100.0	25	–
Real I.S. Fonds Service GmbH i.L., Munich ¹	Direct	100.0	158	–
Real I.S. France SAS, F - Paris	Indirect	100.0	5,234	1,509
Real I.S. Fund Management GmbH, Munich	Indirect	100.0	86	3
Real I.S. Gesellschaft für Immobilienmanagement mbH & Co. KG, Munich	Indirect	100.0	5,962	(22)
Real I.S. Gesellschaft für Immobilienmanagement und Verwaltung mbH, Munich	Indirect	100.0	202	110
Real I.S. GREF Verwaltungs GmbH, Munich	Indirect	100.0	22	2
Real I.S. Management Hamburg GmbH, Munich	Indirect	100.0	23	–
Real I.S. Managemet SA, L - Munsbach	Indirect	100.0	498	73
Real I.S. Property Management GmbH, Munich	Indirect	100.0	1,625	(416)
Real I.S. SMART Verwaltungs GmbH, Munich	Indirect	100.0	15	(1)
TEGES Grundstücks-Vermietungsgesellschaft mbH, Berlin	Indirect	100.0	22	(1)
TEGES Grundstücks-Vermietungsgesellschaft mbH & Co. Objekt Berlin KG, Berlin	Indirect	94.0	(5,397)	326
TFD und BGV VI Verwaltungs GmbH, Munich	Indirect	100.0	13	2
TFD und RFS Verwaltungs GmbH, Munich	Indirect	100.0	14	1
TFD Verwaltungs GmbH, Munich	Indirect	100.0	17	1
Joint ventures not measured at equity				

Name and location of the investee	Equity interest	Percentage held	Equity/fund assets in EUR k	Earnings in EUR k
AKG ImmoPlus GmbH, Berlin	Indirect	50.0	1,524	380
BayernImmo 1. Joint Venture Verwaltungs GmbH i.L., Munich	Indirect	50.0	5	(4)
BayernImmo 2019 Joint Venture GmbH & Co. KG, Munich	Indirect	50.0	8,543	3,011
CommuniGate Kommunikationsservice GmbH, Passau	Indirect	50.0	3,773	1,070
DKB Stiftung Schloss Liebenberg GmbH, Fürth	Indirect	97.0	128	105
Einkaufs-Center Győr Verwaltungs G.m.b.H., Hamburg	Indirect	50.0	33	2
German Centre for Industry and Trade India Holding-GmbH i.L., Munich	Direct	50.0	422	411
GHM MPP Reserve GmbH, Regensburg	Indirect	50.0	983	620
GHM MPP Verwaltungs GmbH, Regensburg	Indirect	50.0	263	(19)
MTI Main-Taunus Immobilien GmbH i.L., Bad Homburg v.d.H.	Indirect	50.0	42	(8)
S-Karten-Service-Management GmbH - Saarbrücken - München, Munich	Indirect	50.0	98	–
Associates not measured at equity				
Bayerngrund Grundstücksbeschaffungs- und -erschließungs-Gesellschaft mit beschränkter Haftung, Munich	Direct	50.0	7,166	61
Bayern Mezzaninekapital Fonds II GmbH & Co. KG Unternehmensbeteiligungsgesellschaft, Munich	Direct	40.0	3,104	260
Bayern Mezzaninekapital Verwaltungs GmbH, Munich	Direct	49.0	52	(1)
GbR VÖB-ImmobilienAnalyse, Bonn ⁴	Indirect	20.0		
RSU GmbH & Co. KG, Munich	Direct	20.0	10,920	241
Versorgungskasse I BayernLB Gesellschaft mit beschränkter Haftung, Munich	Direct	100.0	8,288	(1,311)
Versorgungskasse II BayernLB Gesellschaft mit beschränkter Haftung, Munich	Direct	100.0	31,832	1,320
Unconsolidated structured entities				
Baserepo No. 1 S.A., L - Luxembourg ⁵		–	31	–
BayernInvest ESG Corporate Bond Klimaschutz Fonds, Munich	Direct	34.4	40,529	717
BayernInvest ESG Global Bond Opportunities, Munich	Direct	55.6	30,547	–
BayernInvest Euro Corporates Non-Fin Fonds, Munich	Direct	73.3	33,367	(6,180)
BayernInvest Real I.S. 3-Fonds, Munich	Indirect	26.9	64,421	2,473
DKB Stiftung für gesellschaftliches Engagement, Löwenberger Land OT Liebenberg ⁵		–	16,441	(92)
EK-Fonds der BayernInvest, Munich	Indirect	100.0	18,880	41
Rosata GmbH & Co. Objekt Hammergarten KG, Bad Homburg ⁵		–	–	(943)
Other investees				
AKA Ausfuhrkredit-Gesellschaft mbH, Frankfurt am Main	Direct	7.2	283,796	10,195
BayBG Bayerische Beteiligungsgesellschaft mbH, Munich	Direct	12.9	264,128	5,263
Bayerische Garantiegesellschaft mbH für mittelständische Beteiligungen, Munich	Direct	8.2	62,542	883
Bayernfonds Asia-Pacific Growth GmbH & Co. KG, Munich	Indirect	0.1	2,440	53
Bayernfonds Immobilien City-Investitionen Objekte Erfurt und Jena KG, Munich	Indirect	5.2	18,735	981

Name and location of the investee	Equity interest	Percentage held	Equity/fund assets in EUR k	Earnings in EUR k
Bayernfonds Immobilien Dresden Bürozentrum Falkenbrunnen KG, Munich	Indirect	0.1	17,617	965
Bayernfonds Immobilien Fachmarktzentrum Erfurt, Leipziger Straße KG, Munich	Indirect	0.8	2,347	(388)
Bayernfonds Immobilien Jena Gewerbepark KG i.L., Munich	Indirect	0.2	1,094	11,239
Bayernfonds Immobilienverwaltung GmbH & Co. Australien 8 KG, Munich	Indirect	<0.1	85,146	2,554
Bayernfonds Immobilienverwaltung GmbH & Co. Australien 9 KG, Munich	Indirect	<0.1	70,475	1,950
Bayernfonds Immobilienverwaltung GmbH & Co. Hamburg Steindamm KG, Munich	Indirect	0.4	15,101	868
Bayernfonds Immobilienverwaltung GmbH & Co. Kamberra KG, Munich	Indirect	<0.1	152,191	9,320
Bayernfonds Immobilienverwaltung GmbH & Co. Objekt Hamburg 3 KG, Munich	Indirect	0.3	19,656	1,559
Bayernfonds Immobilienverwaltung GmbH & Co. Objekt Hamburg I KG i.L., Munich	Indirect	0.3	–	14,341
Bayernfonds Immobilienverwaltung GmbH & Co. Objekt München KG, Munich	Indirect	0.3	10,008	1,027
Bayernfonds Immobilienverwaltung GmbH & Co. Objekt München Landsberger Straße KG, Munich	Indirect	0.3	22,749	1,754
Bayernfonds Immobilienverwaltung GmbH & Co. Objekt München Ungerer Straße KG, Munich	Indirect	0.3	12,297	547
Bayernfonds Immobilienverwaltung GmbH & Co. Opalus KG, Munich	Indirect	<0.1	112,150	9,490
Bayernfonds Immobilienverwaltung GmbH & Co. Regensburg KG, Munich	Indirect	0.3	28,848	3,047
Bayernfonds Immobilienverwaltung GmbH & Co. Ungarn Objekt Győr KG, Munich	Indirect	0.2	11,450	2,570
Bayernfonds Immobilienverwaltung Objekt Berlin Schönhauser Allee Arcaden KG, Munich	Indirect	5.7	1,525	1,840
Bayernfonds Immobilienverwaltung Objekt Düsseldorf Bonneshof GmbH & Co. KG, Munich	Indirect	0.4	22,620	113
Bayernfonds Immobilienverwaltung Objekte München, Berlin, Wiesbaden KG, Munich	Indirect	0.3	12,719	(77)
Bayernfonds Immobilienverwaltung Objekt Wiesbaden, Hagenauer Straße 42, 44 und 46 KG, Munich	Indirect	5.1	11,670	521
Bayernfonds Pacific Growth GmbH & Co. KG, Munich	Indirect	<0.1	2,440	53
BGV Bayerische Grundvermögen III SICAV-FIS i.L., L - Luxembourg	Indirect	<0.1	96,373	9,953
BGV III Feeder 1 S.C.S. SICAV-FIS i.L., L - Luxembourg	Indirect	0.1	60,736	6,616
BGV IV PARIS 1 SCI, F - Paris	Indirect	<0.1	5,789	145
BGV V LYON 1 SCI, F - Paris	Indirect	<0.1	8,466	(3,999)
BGV V Paris 1 SCI, F - Paris	Indirect	<0.1	1,604	(153)
BGV V PARIS 2 SCI, F - Paris	Indirect	<0.1	16,600	(1,084)
BGV V ST GENEVIEVE 1 SCI, F - Paris	Indirect	<0.1	1,420	(1,299)
BGV VI FAUBOURG SCI, F - Paris	Indirect	<0.1	20,388	(1,134)
BGV VI Servon SCI, F - Paris	Indirect	<0.1	19,496	(712)
CLS Group Holdings AG, CH - Zurich	Direct	0.7	578,405	(1,753)

Name and location of the investee	Equity interest	Percentage held	Equity/fund assets in EUR k	Earnings in EUR k
Deutsche WertpapierService Bank AG, Frankfurt am Main	Direct	3.7	284,886	1,478
DKB Wohnimmobilien Beteiligungs GmbH & Co. KG, Potsdam	Indirect	5.1	36,746	2,469
Fondsbörse Deutschland Beteiligungsmakler AG, Hamburg	Indirect	6.2	6,162	1,124
Galintis GmbH & Co. KG, Frankfurt am Main	Direct	15.9	534,115	15,008
GbR Datenkonsortium OpRisk, Bonn ^{4,6}	Direct	–		
GESO Gesellschaft für Sensorik, geotechnischen Umweltschutz und mathematische Modellierung mbH i.L., Jena	Indirect	43.1	(353)	–
GLB GmbH & Co. OHG, Frankfurt am Main	Direct	6.3	2,847	(59)
GLB-Verwaltungs-GmbH, Frankfurt am Main	Direct	6.2	62	2
JFA Verwaltung GmbH, Leipzig	Indirect	10.7	(13,852)	305
Kreditgarantiegemeinschaft des bayerischen Gartenbaus GmbH, Munich	Direct	6.1	649	–
Kreditgarantiegemeinschaft des bayerischen Handwerks GmbH, Munich	Direct	9.9	4,846	–
Kreditgarantiegemeinschaft des Hotel- und Gaststättengewerbes in Bayern GmbH, Munich	Direct	6.9	4,359	–
Kreditgarantiegemeinschaft für den Handel in Bayern GmbH, Munich	Direct	5.8	6,317	–
MVP Fund II GmbH & Co. KG, Munich	Direct	10.0	26,357	(18,991)
Neue Novel Ferm Verwaltungs GmbH, Berlin	Indirect	49.0	10	2
Novel Ferm Brennerei Dettmannsdorf GmbH & Co. KG, Berlin	Indirect	49.0	3,959	(29)
PARIS EDEN MONCEAU SCI, F - Paris	Indirect	<0.1	43,444	(462)
RAC 2 N.V., B - Woluwe-Saint-Pierre	Indirect	<0.1	3,392	(10)
Real I.S. Australien 10 GmbH & Co. KG, Munich	Indirect	<0.1	23,121	537
Real I.S. AV Direkt GmbH & Co. geschlossene Investment-KG, Munich ⁴	Indirect	<0.1		
Real I.S. Grundvermögen GmbH & Co. geschlossene Investment-KG, Munich	Indirect	5.4	94,875	1,355
Real I.S. Hotel Stuttgart GmbH & Co. geschlossene Investment-KG, Munich	Indirect	<0.1	33,442	53
Real I.S. Institutional Real Estate 1 GmbH & Co. geschlossene Investment-KG, Munich	Indirect	<0.1	68,239	2,332
Real I.S. Westbahnhof Wien GmbH & Co. geschlossene Investment-KG, Munich	Indirect	<0.1	69,922	2,565
S CountryDesk GmbH, Cologne ⁷	Direct	2.5	841	139
SIZ GmbH, Bonn	Direct	5.0	6,511	576
Sophia Euro Lab S.A.S. i.L., F - Sophia Antipolis Cedex	Indirect	32.3	99	(33)
SOUTH CITY OFFICE FONSNY S.A., B - Watermael-Boitsfort	Indirect	<0.1	25,636	943
Swiss Fintech AG, CH - Zurich	Indirect	11.9	4,787	(3,877)
TAG Wohnungsgesellschaft Berlin-Brandenburg mbH, Potsdam	Indirect	5.2	26,482	279
THE GREEN CORNER S.A., B - Woluwe-Saint-Pierre	Indirect	<0.1	6,731	68
True Sale International GmbH, Frankfurt am Main	Direct	7.7	4,536	136
vc trade GmbH, Frankfurt am Main	Direct	9.5	4,880	(1,241)
Visa Inc., USA - San Francisco	Direct +	<0.1	36,561,261	16,304,512

Name and location of the investee	Equity interest	Percentage held	Equity/fund assets in EUR k	Earnings in EUR k
	indirect			

The information is based on the most recent annual accounts of the investees.

Foreign currency amounts were converted into euros at the respective spot exchange rate at the end of the year.

Unless otherwise stated, the BayernLB Group's share of the voting rights corresponds to the share of equity. Unless otherwise stated, third parties hold a share of the voting rights in the amount not held by the BayernLB Group.

- 1 A profit and loss transfer agreement has been concluded with the company (or with the parent company of the sub-group in which equity interests are indirectly held).
- 2 The company is managed by BayernInvest Luxembourg S.A. (an unconsolidated subsidiary) and is therefore controlled by the BayernLB Group.
- 3 Control through a structured entity of the BayernLB Group.
- 4 Approved annual accounts are not available yet.
- 5 Structured entity under IFRS 10 with no equity interests held by the BayernLB Group.
- 6 Share of voting rights: BayernLB Group: 10.0 percent; third parties: 90.0 percent.
- 7 Share of voting rights: BayernLB Group: 2.9 percent; third parties: 97.1 percent.

Equity interests in large limited companies (including credit institutions and investment companies) exceeding 5 percent of the voting rights

Name and location of the investee
AKA Ausfuhrkredit Gesellschaft mbH, Frankfurt am Main
BayBG Bayerische Beteiligungsgesellschaft mbH, Munich
Bayerische Garantiegesellschaft mbH für mittelständische Beteiligungen, Munich
Bayern Card-Services GmbH - S-Finanzgruppe, Munich
Bayern Facility Management GmbH, Munich
Bayerngrund Grundstücksbeschaffungs- und -erschließungs-Gesellschaft mit beschränkter Haftung, Munich
BayernInvest Kapitalverwaltungsgesellschaft mbH, Munich
BayernInvest Luxembourg S.A., L - Munsbach
Deutsche Kreditbank Aktiengesellschaft, Berlin
DKB Service GmbH, Potsdam
Real I.S. AG Gesellschaft für Immobilien Assetmanagement, Munich
Real I.S. Investment GmbH, Munich

Companies for which BayernLB or a consolidated subsidiary acts as a partner with unlimited liability

Name and domicile of the company
Bankenkooperation, Hanover
GbR Datenkonsortium OpRisk, Bonn
GLB GmbH & Co. OHG, Frankfurt am Main

(82) Unconsolidated structured entities

IFRS 12 stipulates that an entity must be treated as structured if it has been designed in such a way that the voting rights or similar rights are not the dominant factor in deciding who controls the entity.

The BayernLB Group has business relations with structured entities in the normal course of business. Structured entities tend to have limited activities and a narrowly drawn and precisely defined business purpose. One potentially identifying feature for them is that they hold insufficient capital to finance their own activities without subordinated financial support.

If a BayernLB Group company is exposed to variable returns from the activity of a structured entity due to contractual and non-contractual relationships, and according to IFRS 10 the structured entity does not have to be consolidated, this counts as an interest in an unconsolidated structured entity. The interest may consist of debt and equity instruments, liquidity facilities, guarantees or various financial derivatives with which the BayernLB Group absorbs fluctuations from structured entities. If the relationship between the BayernLB Group company and a structured entity is purely that between a buyer and provider of services, this is not normally an interest in an unconsolidated structured entity for the purposes of IFRS 12.

Within the BayernLB Group there are relationships with entities which have been classified as unconsolidated structured entities based on the definition in IFRS 12 and internal criteria. Unconsolidated structured entities engaged in the following business activities have been identified:

Securitisation vehicles

The BayernLB Group's business activities with securitisation vehicles is mainly in the form of securitisations structured for customers (customer transactions) with the ABCP programme Corelux S.A., Luxembourg, that was set up exclusively for this purpose. The securitisation vehicle Corelux S.A. purchases trade and leasing receivables from the BayernLB Group's core customers and funds them by issuing asset-backed securities and through credit facilities from BayernLB. The value of the unconsolidated securitisation vehicles with which the BayernLB Group has business relationships is based on the sum of their assets and was 1,655 million (FY 2022: EUR 1,760 million).

Investment funds

Investment funds count as structured entities if they are not managed by voting or similar rights. They invest in a range of assets and may finance themselves with debt according to their investment principles, as well as with the money provided by investors. Investment funds are intended to achieve particular investment objectives. The BayernLB Group offers its customers own and third-party investment funds and also itself invests in funds. The BayernLB Group also holds investment fund units in custody on behalf and for the account of customers.

Interests in the BayernLB Group's own investment funds mainly comprise special funds issued and managed by its in-house investment companies Real I.S. and BayernInvest as part of their normal operations. The investment companies also perform functions all along the standard value chain for the funds business. Investment funds finance themselves by issuing units (equity). To a limited extent they can also take on borrowings (debt); these are generally secured by assets held by the investment funds. The investment funds generate income (commissions) in the form of management fees and performance fees based on assets under management. The assets under management represent the size of an investment fund. The assets managed by the Group's own investment management companies totalled EUR 79,887 million (FY 2022: EUR 83,366 million), which broke down into EUR 3,212 million in retail funds (FY 2022: EUR 4,044 million) and EUR 76,675 million in special funds (FY 2022: EUR 79,322 million).

Interests in investment funds managed by other companies principally include special funds and/or parts of special funds launched by companies outside the Group, the volume of which

was EUR 274,358 million (FY 2022: EUR 249,433 million). The BayernLB Group also extends loans to special funds to generate interest income.

Other financing

By definition, the BayernLB Group has a structured entity when a company is founded specifically to finance or operate an asset and is designed in such a way that it is not controlled through voting or similar rights. Rights under a credit agreement that convert into rights to have a say in the business if the credit rating is downgraded may also count as an interest in a structured entity. For example, an operating company may become a structured entity because relevant business activities are now controlled under the provisions of a credit agreement. Under the IFRS 12 classification, structured entities were identified predominantly in the transport (aviation and shipping) and real estate risk segments. The loans in questions are essentially secured by the underlying assets. The size of the structured entities in the form of other financing is based on the sum of their assets and was EUR 8,660 million (FY 2022: EUR 10,446 million).

Assets and liabilities from interests in unconsolidated structured entities recognised on the balance sheet

EUR million	Securitisation vehicles		Investment funds		Other financing		Total	
	2023	2022	2023	2022	2023	2022	2023	2022
Assets								
Loans and advances to customers	509	994	4,148	3,826	1,989	2,183	6,645	7,002
Risk provisions	–	–	9	9	5	20	14	30
Assets held for trading	42	21	97	7	1	1	140	29
Financial investments	8	9	108	44	300	238	415	292
Other assets	–	–	39	40	–	–	39	40
Liabilities								
Liabilities to customers	19	20	2,895	3,780	75	125	2,988	3,925
Liabilities held for trading	9	24	34	55	18	26	61	104

Contingent liabilities and other liabilities from interests in unconsolidated structured entities

EUR million	Securitisation vehicles		Investment funds		Other financing		Total	
	2023	2022	2023	2022	2023	2022	2023	2022
Contingent liabilities	–	–	67	128	–	–	67	128
Other commitments	1,290	944	67	207	77	201	1,435	1,352

The maximum risk of loss the BayernLB Group is exposed to from its business activities with structured entities depends on the carrying amount of receivables from the credit business, assets held for trading and financial investments on their balance sheets. These carrying amounts

do not reflect the BayernLB Group's economic risk as they do not take account of collateral or hedges.

The maximum risk of loss of off-balance sheet transactions is reflected by their nominal value. The nominal values do not represent the economic risk as they do not take account of the impact of collateralisation or securitisation, or the probability of losses that could arise.

Gains or losses on interests in unconsolidated structured entities

EUR million	Securitisation vehicles		Investment funds		Other financing		Total	
	2023	2022	2023	2022	2023	2022	2023	2022
Net interest income	48	23	2	63	74	53	123	139
Risk provisions		–		(4)	26	38	26	33
Net commission income	4	5	219	225	2	2	225	232
Gains or losses on fair value measurement	2	(29)	35	(57)	65	(47)	102	(134)
Gains or losses on hedge accounting	–	–	21	(48)	–	–	21	(48)
Gains or losses on financial investments	–	–	1	(1)	–	–	1	(1)

(83) Capital management

The aim of capital management is to preserve capital over the long term.

Capital management is based on a Group-wide planning process that incorporates strategic, risk-based and regulatory factors into a multi-year operational plan (economic and normative perspective of the ICAAP). In the Group planning process, regulatory capital is distributed to each planning unit based on the risk-weighted assets (RWAs) component. The planning units (Group units) are the defined business areas and divisions of BayernLB, as well as BayernLabo and Deutsche Kreditbank Aktiengesellschaft (DKB). RWAs are allocated to the Group units through a top-down distribution approved by the Board of Management of BayernLB, combined with an internally assumed capital ratio.

Capital management deals with, among other things, the planning and development of regulatory capital ratios, the type and amount of the capital base and the allocation of RWAs, and entails ongoing monitoring of changes.

In addition to the Capital Requirements Regulation (CRR), BayernLB is subject to the European Central Bank's Supervisory Review and Evaluation Process (SREP). Due to the SREP findings, BayernLB was assigned a total capital ratio of 10.0 percent on a consolidated basis.

The SREP capital ratio is used in BayernLB's capital management. It is used to determine the target capital ratio set in the planning process. Its adherence is monitored on an ongoing basis and regularly reported to management.

Management structure

The Board of Management of BayernLB is updated monthly in a Group management report covering a range of issues. This report includes information on performance, capital, liquidity and risk trends. As a component of the integrated reporting, the Group management report provides an initial impression of the current situation with key figures and ratios. Additional detailed information focused on the four key areas is then presented and commented on. Decisions and recommended capital management actions are also prepared for approval by the Board of Management taking account of framework conditions such as directives from the Bank's owners and regulatory requirements.

The Capital Board also provides detailed information on the performance of RWAs. The Capital Board comprises senior management from the risk control, financial controlling and Group strategy units as well as key business areas. It monitors and manages RWA trends across the Group, particularly RWA plan utilisation at segment level.

Key banking regulatory data

The BayernLB Group's supervisory capital is calculated on the basis of the CRR and CRD in their current versions.

Pursuant to Article 72 of the CRR, own funds comprise Common Equity Tier 1 and Tier 2 capital. BayernLB currently does not have any additional Tier 1 capital. Common Equity Tier 1 capital comprises subscribed capital plus reserves, the capital contribution of BayernLabo and various supervisory adjustments and deductions. The T2 capital consists primarily of subordinated liabilities and IRB provisions in excess of the expected losses.

Banking supervisory capital of the BayernLB Group (as per consolidated financial statements)

EUR million	2023	2022
Total RWAs	64,532	65,311
Own funds	15,124	13,919
Of which:		
Tier 1 capital	12,424	11,357
Common Equity Tier 1 capital (CET1 capital)	12,424	11,357

Banking supervisory ratios of the BayernLB Group (as per consolidated financial statements)

In %	2023	2022
Total capital ratio	23.4	21.3
Common Equity Tier 1 (CET1) capital ratio	19.3	17.4

The BayernLB Group complied at all times with the external capital requirements under Article 92 para. 1 CRR, sections 10c to 10i KWG and the minimum requirements under SREP in the reporting year.

(84) Administrative bodies of BayernLB

Supervisory Board

Dr Wolf Schumacher

Chairman of the BayernLB Supervisory Board
Munich

Walter Strohmaier

Deputy Chairman of the BayernLB
Supervisory Board
Chairman of the Board of Directors
Sparkasse Niederbayern-Mitte
Straubing

Jan-Christian Dreesen

Chairman of the Board of Directors
FC Bayern München AG
Munich

Prof. Dr Roland Fleck

CEO NürnbergMesse Group, ret.
Nuremberg

Harald Hübner

Deputy Secretary
Bavarian State Ministry of Finance
and Regional Identity
Munich

Dr Klaus-Peter Potthast

since 1 February 2024
Member of the BayernLB Supervisory Board
Under Secretary
Bavarian State Ministry of Economic Affairs,
Regional Development and Energy

Erwin Schneider

Chief District Administrator
Altötting

Dr Jörg Schneider

Lawyer
Munich

Henning Sohn

Chairman of the General Staff Council
BayernLB
Munich

Judith Steiner

Under Secretary
Bavarian State Ministry of Finance
and Regional Identity
Munich

Sylvia Steinmann

since 19 April 2023
Member of the BayernLB Supervisory Board
Meilen (Switzerland)

Dr Ute Geipel-Faber

until 19 April 2023
Member of the BayernLB Supervisory Board

Dr Ulrike Wolf-Prexler

until 31 January 2024
Member of the BayernLB Supervisory Board

Board of Management (including allocation of responsibilities as from 1 May 2023)

Stephan Winkelmeier

CEO

Corporate Center

Group Treasury

Deutsche Kreditbank Aktiengesellschaft

BayernInvest Kapitalverwaltungs-
gesellschaft mbH

Marcus Kramer

CRO

Risk Office

Dr Markus Wiegelmann

CFO/COO

Financial Office

Operating Office

Gero Bergmann

Real Estate & Savings Banks/

Financial Institutions

Bayerische Landesbodenkreditanstalt⁶⁹

Real I.S. AG Gesellschaft für Immobilien

Assetmanagement

Johannes Anschott

Corporates & Markets

⁶⁹ *Dependent institution of the Bank.*

(85) Related party disclosures

The BayernLB Group maintains business relationships with related parties. These include the Free State of Bavaria and the Association of Bavarian Savings Banks, Munich (SVB) (indirect stakes in BayernLB of roughly 75 percent and 25 percent, respectively), plus subsidiaries, joint ventures and associates, Versorgungskasse I BayernLB Gesellschaft mit beschränkter Haftung, Munich, Versorgungskasse II BayernLB Gesellschaft mit beschränkter Haftung, Munich, and the Contractual Trust Arrangement (CTA) with Allianz Treuhand GmbH, Stuttgart. The members of BayernLB's Board of Management and Supervisory Board and their close family members, and companies controlled by these parties or jointly controlled if these parties are members of their management bodies, are also deemed related parties.

The list of shareholdings gives an overview of BayernLB's investees (see note 81).

Relationships with the Free State of Bavaria

EUR million	2023	2022
Loans and advances	558	1,101
Assets held for trading	83	23
Financial investments	28	167
Liabilities	269	618
Securitised liabilities	33	33
Liabilities held in trust	5,830	5,416
Contingent liabilities	6	6
Other commitments	1,066	1,065

The following were material relationships with companies controlled by the Free State of Bavaria, or which it jointly controls or has significant influence over:

EUR million	2023	2022
Loans and advances to customers	638	612
Assets held for trading	25	2
Financial investments	10	10
Liabilities to banks	3,902	3,807
Liabilities to customers	498	385
Securitised liabilities	34	63
Liabilities held for trading	3	22
Assets held in trust	634	543
Contingent liabilities	6	8
Other commitments	166	149

Relationships with the Association of Bavarian Savings Banks

EUR million	2023	2022
Commitments	76	37
Other liabilities	7	7

Relationships with investees

EUR million	2023	2022 ¹
Loans and advances to customers	99	106
Unconsolidated subsidiaries	69	73
Joint ventures	6	7
Associates	24	26
Risk provisions	(11)	(13)
Unconsolidated subsidiaries	(11)	(13)
Financial investments	219	201
Unconsolidated subsidiaries	216	200
Joint ventures	1	–
Associates	3	–
Other assets	4	6
Unconsolidated subsidiaries	4	6
Liabilities to customers	239	220
Unconsolidated subsidiaries	170	156
Joint ventures	6	4
Associates	63	61
Provisions	2	4
Unconsolidated subsidiaries	1	3
Associates	1	1
Other liabilities	–	1
Unconsolidated subsidiaries	–	–
Contingent liabilities	2	4
Unconsolidated subsidiaries	1	1
Joint ventures	1	–
Associates	–	3
Other commitments	1	–
Joint ventures	1	–

¹ Adjusted as per IAS 8.42 (see note 2).

An expense of EUR 0 million (FY 2022: EUR 1 million) was recognised for non-recoverable or doubtful receivables in the reporting year.

In the reporting year, capital contributions were made to unconsolidated subsidiaries, joint ventures and associates in the amount of EUR 6 million (FY 2022: EUR 0 million). These investees repaid capital in the amount of EUR 161 million (FY 2022: EUR 2 million).

Relationships with other related parties

Post-employment benefit plans count as related parties. The BayernLB Group has business relations with Versorgungskasse I BayernLB Gesellschaft mit beschränkter Haftung, Munich, Versorgungskasse II BayernLB Gesellschaft mit beschränkter Haftung, Munich, and the Contractual Trust Arrangement (CTA) with Allianz Treuhand GmbH, Stuttgart. The CTA is managed as a trust and qualifies as plan assets; to that extent there was an offsetting against the earmarked pension obligations.

Relationships with related pension institutions

EUR million	2023	2022
Reimbursement of pension payments made to the CTA	101	91
Contribution to plan assets of the CTA	–	100
Contribution to plan assets of Versorgungskasse I BayernLB Gesellschaft mit beschränkter Haftung	1	2
Contribution to plan assets of Versorgungskasse II BayernLB Gesellschaft mit beschränkter Haftung	–	5

Relationships with members of the BayernLB Board of Management and Supervisory Board and their close family members

EUR million	2023	2022
Members of the BayernLB Board of Management		
Deposits	2	1
Securities	2	1
Loans	1	1

The loans were granted at interest rates of between 0.50 percent and 0.85 percent.

Remuneration of members of the BayernLB Board of Management and Supervisory Board

EUR k	2023	2022
Members of the BayernLB Board of Management	6,506	6,027
Short-term benefits ¹	5,211	4,904
Post-employment benefits	1,295	1,122
Defined benefit plan costs	518	807
Defined contribution plan costs	777	315
Members of the BayernLB Supervisory Board	982	979
Short-term benefits	982	979
Former members of the BayernLB Board of Management and their surviving dependants	5,941	5,840
Pension provisions established for members of the BayernLB Board of Management²	11,541	8,627
Pension provisions established for former members of the BayernLB Board of Management and their surviving dependants³	105,050	97,643

¹ Short-term benefits of EUR 1,094,000 (FY 2022: EUR 745,000) will be disbursed in the subsequent year, subject to a corresponding resolution by the Supervisory Board and commensurate with individual performance.

² Pension obligations of EUR 11,478,000 (FY 2022: EUR 8,575,000) were offset in the balance sheet against claims from reinsurance (EUR 10,241,000 (FY 2022: EUR 8,555,000)).

³ Pension obligations of EUR 21,658,000 (FY 2022: EUR 18,065,000) were offset in the balance sheet against claims from reinsurance (EUR 20,746,000 (FY 2022: EUR 19,057,000)).

The short-term benefits due to the members of the Board of Management include the annual base salary (fixed remuneration), performance-based (variable) remuneration geared towards the BayernLB Group's Business Strategy and Risk Strategy and the respective multi-year planning and ancillary benefits (mainly non-cash benefits from use of a company car).

The remuneration of the Board of Management also includes expenses for defined benefit and defined contribution plans. For details, refer to note 56.

Employee representatives appointed to the Supervisory Board are also entitled to a regular salary in line with their employment contract.

(86) External auditor's fees

The external auditor's fees recognised as an expense in the year under review broke down as follows:

EUR k	2023	2022
Financial statements audit services	(8,421)	(7,831)
Other assurance services	(915)	(947)
Other services	(608)	(344)
Total	(9,944)	(9,122)

PricewaterhouseCoopers GmbH Wirtschaftsprüfungsgesellschaft (PwC) audited BayernLB's consolidated financial statements as at 31 December 2023 and also audited its consolidated subsidiaries' annual financial statements.

The audit services included in particular the auditing of BayernLB's annual financial statements and consolidated financial statements and the annual financial statements of the consolidated

Group companies, including statutory amendments and key audit areas agreed with the Supervisory Board. The review of the half-yearly financial statements was also included in the auditing mandate. Other assurance services included the auditing process pursuant to Section 89 of the German Securities Trading Act (WpHG), issuing the comfort letter pursuant to IDW PS 910 and other audits of certifications as required under supervisory law. Other services included in particular audit support for the Kopernikus IT project, other projects to implement statutory and regulatory requirements, and the performance of agreed audit procedures.

An expense of EUR 45,000 for audit services for consolidated subsidiaries and EUR 50,000 for other services was recognised for German companies affiliated with PwC and other PwC network companies in the reporting year.

(87) Human resources

Average headcounts for the reporting year were:

	2023	2022
Full-time employees (not including trainees)	6,110	6,207
Female	2,569	2,590
Male	3,541	3,617
Part-time employees (not including trainees)¹	2,109	2,144
Female	1,609	1,644
Male	500	500
Trainees²	55	58
Female	19	26
Male	35	32
Total	8,274	8,409

¹ Part-time headcount equated to 1,456 full-time employees (FY 2022: 1,471).

² Includes students on a work/study programme.

Munich, 26 March 2024

Bayerische Landesbank
Board of Management

Stephan Winkelmeier

Marcus Kramer

Dr Markus Wiegelmann

Gero Bergmann

Johannes Anschott

INDEPENDENT AUDITOR'S REPORT

To Bayerische Landesbank Anstalt des öffentlichen Rechts, Munich

REPORT ON THE AUDIT OF THE CONSOLIDATED FINANCIAL STATEMENTS AND OF THE GROUP MANAGEMENT REPORT

Audit Opinions

We have audited the consolidated financial statements of Bayerische Landesbank Anstalt des öffentlichen Rechts, Munich, and its subsidiaries (the Group), which comprise the consolidated statement of financial position as at 31 December 2023, and the consolidated statement of comprehensive income, consolidated statement of changes in equity and consolidated statement of cash flows for the financial year from 1 January to 31 December 2023, and notes to the consolidated financial statements, including material accounting policy information. In addition, we have audited the group management report of Bayerische Landesbank Anstalt des öffentlichen Rechts, which is combined with the Company's management report, for the financial year from 1 January to 31 December 2023.

In our opinion, on the basis of the knowledge obtained in the audit,

- the accompanying consolidated financial statements comply, in all material respects, with the IFRSs as adopted by the EU and the additional requirements of German commercial law pursuant to § [Article] 315e Abs. [paragraph] 1 HGB [Handelsgesetzbuch: German Commercial Code] and, in compliance with these requirements, give a true and fair view of the assets, liabilities, and financial position of the Group as at 31 December 2023, and of its financial performance for the financial year from 1 January to 31 December 2023, and
- the accompanying group management report as a whole provides an appropriate view of the Group's position. In all material respects, this group management report is consistent with the consolidated financial statements, complies with German legal requirements and appropriately presents the opportunities and risks of future development.

Pursuant to § 322 Abs. 3 Satz [sentence] 1 HGB, we declare that our audit has not led to any reservations relating to the legal compliance of the consolidated financial statements and of the group management report.

Basis for the Audit Opinions

We conducted our audit of the consolidated financial statements and of the group management report in accordance with § 317 HGB and the EU Audit Regulation (No. 537/2014, referred to subsequently as "EU Audit Regulation") in compliance with German Generally Accepted Standards for Financial Statement Audits promulgated by the Institut der Wirtschaftsprüfer [Institute of Public Auditors in Germany] (IDW). Our responsibilities under those requirements and principles are further described in the "Auditor's Responsibilities for the Audit of the Consolidated Financial Statements and of the Group Management Report" section of our auditor's report. We are independent of the group entities in accordance with the requirements of European law and German

commercial and professional law, and we have fulfilled our other German professional responsibilities in accordance with these requirements. In addition, in accordance with Article 10 (2) point (f) of the EU Audit Regulation, we declare that we have not provided non-audit services prohibited under Article 5 (1) of the EU Audit Regulation. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions on the consolidated financial statements and on the group management report.

Key Audit Matters in the Audit of the Consolidated Financial Statements

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements for the financial year from 1 January to 31 December 2023. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our audit opinion thereon; we do not provide a separate audit opinion on these matters.

In our view, the matters of most significance in our audit were as follows:

- ❶ Risk provisions in the lending business
- ❷ Pension provisions

Our presentation of these key audit matters has been structured in each case as follows:

- ❶ Matter and issue
- ❷ Audit approach and findings
- ❸ Reference to further information

Hereinafter we present the key audit matters:

❶ Risk provisions in the lending business

- ❶ Loans and advances to customers totalling € 171.1 billion and loans and advances to banks totalling € 69.3 billion are reported in the company's consolidated financial statements. The risk provisions for loans and advances are reported in a separate balance sheet line item and amount to € 1,262 million. In addition, financial guarantees and loan commitments exist in the amount of € 56.1 billion for which risk provisions amounting to € 109 million are reported. The Group calculates risk provisions in accordance with the applicable provisions of IFRS 9 using a three-stage model based on the expected credit loss system. For financial instruments in stages 1 and 2, mathematical-statistical methods are used; for financial instruments in stage 3, the expected credit losses are generally determined on the basis of estimates of future cash flows at the level of the individual financial instrument. The measurement of the expected credit loss is determined in particular by the estimates of the executive directors with regard to the stage allocation and certain parameters, such as the probability of default and the loss ratio at the time of default, and - in the case of stage 3 - by estimates of future cash flows, taking into account existing collateral. When calculating the risk provisions, risk factors were taken into account within the framework of so-called post-model adjustments, insofar as they were not already included in the calculation parameters of the models. These exist for non-impaired loans and advances as well as financial guarantees and loan commitments, primarily to borrowers in certain industry sectors, and

serve to take into account the currently existing increased uncertainties as a result of the current macroeconomic conditions. The risk provisions in the lending business are, on the one hand, of great importance for the Company's assets, liabilities and financial performance in terms of amount and, on the other hand, are associated with considerable judgment of the executive directors. Furthermore the valuation parameters used, that are subject to significant uncertainties, have a significant influence on the recognition and amount of the potentially required risk provisions. Against this background, this matter was of particular significance during our audit.

- ② As part of our audit, taking into account our understanding of the business organisation, the IT systems in place and the valuation models used, we first assessed the appropriateness of the design of the controls in the relevant internal control system of the Group and tested the operating effectiveness of the controls. In addition, we assessed the calculation methods applied by the Group as well as the underlying assumptions and parameters in order to evaluate the risk provisions recognised. Furthermore, we assessed the valuation of loans and advances, including the appropriateness of estimated values, on the basis of samples of credit exposures. In doing so, we focused in particular on commercial real estate financing. For this purpose, we assessed, among other things, the Group's available documentation regarding the economic circumstances and the recoverability of the corresponding collateral. In the case of property collateral for which the Group provided us with valuation reports, we obtained an understanding of the underlying initial data, the valuation parameters applied and the assumptions made, critically assessed these and evaluated whether they were within a reasonable range. We examined the valuation models used to determine the risk provisions for suitability and functionality and assessed the underlying assumptions and parameters. We questioned the necessity of recognising post-model adjustments, assessed the consideration of uncertainties resulting from the macroeconomic conditions in the recognition of post-model adjustments and assessed the determination of these amounts. On the basis of the audit procedures we performed, we were able to satisfy ourselves overall of the justifiability of the assumptions made by the executive directors when testing the recoverability of the loan portfolio and the appropriateness and operating effectiveness of the controls implemented by the Group.
- ③ The disclosures of the company's executive directors on the risk provisions recognised are contained in the consolidated financial statements, in particular in sections (6), (9), (27), (41), (55) and (73) of the notes.

② Pension provisions

- ① There are various pension plans with active, vested and retired employees of the Group, which are reported under the balance sheet item provisions at an amount of € 0.5 billion as of the balance sheet date. The pension provisions consist of the obligations from defined benefit plans amounting to € 3.6 billion and the plan assets amounting to € 3.4 billion. In addition, an asset from defined benefit plans amounting to € 0.3 billion is reported. The obligations from defined benefit plans are measured on the basis of actuarial reports commissioned by the Group using the projected unit credit method. In doing so, assumptions are made in particular about long-term salary and pension trends, staff turnover, the develop-

ment of pensions in the statutory pension insurance scheme, inflation and biometric probability. The discount rate is derived from the yield on high-quality corporate bonds in matching currencies with comparable maturities. Extrapolations have to be made regularly, as there are no sufficient long-term corporate bonds. The plan assets are measured at fair value, which in turn is associated with estimation uncertainties. The respective assumptions are determined by the executive directors. The funds managed by BayernLB Treuhand e.V., Munich, to hedge pension and similar obligations were transferred to an intercompany trustee, Allianz Treuhand GmbH, Stuttgart, in the reporting year.

In our view, these matters were of particular significance in the context of our audit, as the recognition and measurement of this item, which is significant in terms of its amount, are based to a large extent on estimates and assumptions made by the company's executive directors.

- ② As part of our audit, we assessed, among other things, the actuarial reports obtained and the professional qualifications of the external experts. We also examined the specific features of the actuarial calculations and assessed the quantity structure, the actuarial parameters and the valuation method underlying the valuations for appropriateness. We assessed the interest derivation method and the methods used to derive the rate trend, the career trend and the pension trend. We also examined whether the assumption for the social security pension is derived from the pension insurance report of the Federal Ministry of Labour and Social Affairs. In addition, we analysed the development of the obligation and the expense components in accordance with the actuarial report against the background of the changes that have occurred in the measurement parameters and in the quantity structure and checked their plausibility. We assessed whether the assets held by Allianz Treuhand GmbH, Stuttgart, fulfil the requirements for consideration as plan assets. In particular, we assessed whether this constitutes equivalent security within the meaning of the previous trust agreement. For the purposes of our audit of the fair value of the plan assets, we inspected and assessed the evidence of assets. In particular, we verified the existence of the special funds in the plan assets by obtaining the securities account statements directly from the system platform of Deutsche WertpapierService Bank AG, Frankfurt am Main, for the purposes of securities accounting and securities settlement and reconciling the holdings. Based on this, we verified, among other things, the calculation of provisions and the presentation in the balance sheet and notes.

On the basis of our audit procedures, we were able to satisfy ourselves that the estimates and assumptions made by the executive directors are substantiated and sufficiently documented.

- ③ The disclosures of the company's executive directors on the pension provisions recognised are contained in the consolidated financial statements, in particular in sections (21) and (55) of the notes..

Other information

The executive directors are responsible for the other information.

The other information comprises

- the separate non-financial report to comply with §§ 289b to 289e HGB and §§ 315b to 315c HGB
- the annual report, – excluding cross-references to external information – with the exception of the audited consolidated financial statements, the audited group management report and our auditor's report

Our audit opinions on the consolidated financial statements and on the group management report do not cover the other information, and consequently we do not express an audit opinion or any other form of assurance conclusion thereon.

In connection with our audit, our responsibility is to read the other information mentioned above and, in so doing, to consider whether the other information

- is materially inconsistent with the consolidated financial statements, with the group management report disclosures audited in terms of content or with our knowledge obtained in the audit, or
- otherwise appears to be materially misstated.

Responsibilities of the Executive Directors and the Supervisory Board for the Consolidated Financial Statements and the Group Management Report

The executive directors are responsible for the preparation of the consolidated financial statements that comply, in all material respects, with IFRSs as adopted by the EU and the additional requirements of German commercial law pursuant to § 315e Abs. 1 HGB and that the consolidated financial statements, in compliance with these requirements, give a true and fair view of the assets, liabilities, financial position, and financial performance of the Group. In addition, the executive directors are responsible for such internal control as they have determined necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud (i.e., fraudulent financial reporting and misappropriation of assets) or error.

In preparing the consolidated financial statements, the executive directors are responsible for assessing the Group's ability to continue as a going concern. They also have the responsibility for disclosing, as applicable, matters related to going concern. In addition, they are responsible for financial reporting based on the going concern basis of accounting unless there is an intention to liquidate the Group or to cease operations, or there is no realistic alternative but to do so.

Furthermore, the executive directors are responsible for the preparation of the group management report that, as a whole, provides an appropriate view of the Group's position and is, in all material respects, consistent with the consolidated financial statements, complies with German legal requirements, and appropriately presents the opportunities and risks of future development. In addition, the executive directors are responsible for such arrangements and measures (systems) as they have considered necessary to enable the preparation of a group management report that is in accordance with the applicable German legal requirements, and to be able to provide sufficient appropriate evidence for the assertions in the group management report.

The supervisory board is responsible for overseeing the Group's financial reporting process for the preparation of the consolidated financial statements and of the group management report.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements and of the Group Management Report

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and whether the group management report as a whole provides an appropriate view of the Group's position and, in all material respects, is consistent with the consolidated financial statements and the knowledge obtained in the audit, complies with the German legal requirements and appropriately presents the opportunities and risks of future development, as well as to issue an auditor's report that includes our audit opinions on the consolidated financial statements and on the group management report.

Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with § 317 HGB and the EU Audit Regulation and in compliance with German Generally Accepted Standards for Financial Statement Audits promulgated by the Institut der Wirtschaftsprüfer (IDW) will always detect a material misstatement. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements and this group management report.

We exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements and of the group management report, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our audit opinions. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls.
- Obtain an understanding of internal control relevant to the audit of the consolidated financial statements and of arrangements and measures (systems) relevant to the audit of the group management report in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an audit opinion on the effectiveness of these systems.
- Evaluate the appropriateness of accounting policies used by the executive directors and the reasonableness of estimates made by the executive directors and related disclosures.
- Conclude on the appropriateness of the executive directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in the auditor's report to the related

disclosures in the consolidated financial statements and in the group management report or, if such disclosures are inadequate, to modify our respective audit opinions. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to be able to continue as a going concern.

- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements present the underlying transactions and events in a manner that the consolidated financial statements give a true and fair view of the assets, liabilities, financial position and financial performance of the Group in compliance with IFRSs as adopted by the EU and the additional requirements of German commercial law pursuant to § 315e Abs. 1 HGB.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express audit opinions on the consolidated financial statements and on the group management report. We are responsible for the direction, supervision, and performance of the group audit. We remain solely responsible for our audit opinions.
- Evaluate the consistency of the group management report with the consolidated financial statements, its conformity with German law, and the view of the Group's position it provides.
- Perform audit procedures on the prospective information presented by the executive directors in the group management report. On the basis of sufficient appropriate audit evidence we evaluate, in particular, the significant assumptions used by the executive directors as a basis for the prospective information, and evaluate the proper derivation of the prospective information from these assumptions. We do not express a separate audit opinion on the prospective information and on the assumptions used as a basis. There is a substantial unavoidable risk that future events will differ materially from the prospective information.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with the relevant independence requirements, and communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter.

OTHER LEGAL AND REGULATORY REQUIREMENTS

Report on the Assurance on the Electronic Rendering of the Consolidated Financial Statements and the Group Management Report Prepared for Publication Purposes in Accordance with § 317 Abs. 3a HGB

Assurance Opinion

We have performed assurance work in accordance with § 317 Abs. 3a HGB to obtain reasonable assurance as to whether the rendering of the consolidated financial statements and the group management report (hereinafter the "ESEF documents") contained in the electronic file BayernLB_KA+LB_ESEF-2023-12-31.zip and prepared for publication purposes complies in all material respects with the requirements of § 328 Abs. 1 HGB for the electronic reporting format ("ESEF format"). In accordance with German legal requirements, this assurance work extends only to the conversion of the information contained in the consolidated financial statements and the group management report into the ESEF format and therefore relates neither to the information contained within these renderings nor to any other information contained in the electronic file identified above.

In our opinion, the rendering of the consolidated financial statements and the group management report contained in the electronic file identified above and prepared for publication purposes complies in all material respects with the requirements of § 328 Abs. 1 HGB for the electronic reporting format. Beyond this assurance opinion and our audit opinion on the accompanying consolidated financial statements and the accompanying group management report for the financial year from 1 January to 31 December 2023 contained in the "Report on the Audit of the Consolidated Financial Statements and on the Group Management Report" above, we do not express any assurance opinion on the information contained within these renderings or on the other information contained in the electronic file identified above.

Basis for the Assurance Opinion

We conducted our assurance work on the rendering of the consolidated financial statements and the group management report contained in the electronic file identified above in accordance with § 317 Abs. 3a HGB and the IDW Assurance Standard: Assurance Work on the Electronic Rendering, of Financial Statements and Management Reports, Prepared for Publication Purposes in Accordance with § 317 Abs. 3a HGB (IDW AsS 410 (06.2022)) and the International Standard on Assurance Engagements 3000 (Revised). Our responsibility in accordance therewith is further described in the "Group Auditor's Responsibilities for the Assurance Work on the ESEF Documents" section. Our audit firm applies the IDW Standard on Quality Management: Requirements for Quality Management in the Audit Firm (IDW QMS 1 (09.2022)).

Responsibilities of the Executive Directors and the Supervisory Board for the ESEF Documents

The executive directors of the Company are responsible for the preparation of the ESEF documents including the electronic rendering of the consolidated financial statements and the group

management report in accordance with § 328 Abs. 1 Satz 4 Nr. [number] 1 HGB and for the tagging of the consolidated financial statements in accordance with § 328 Abs. 1 Satz 4 Nr. 2 HGB.

In addition, the executive directors of the Company are responsible for such internal control as they have considered necessary to enable the preparation of ESEF documents that are free from material non-compliance with the requirements of § 328 Abs. 1 HGB for the electronic reporting format, whether due to fraud or error.

The supervisory board is responsible for overseeing the process for preparing the ESEF documents as part of the financial reporting process.

Group Auditor's Responsibilities for the Assurance Work on the ESEF Documents

Our objective is to obtain reasonable assurance about whether the ESEF documents are free from material non-compliance with the requirements of § 328 Abs. 1 HGB, whether due to fraud or error. We exercise professional judgment and maintain professional skepticism throughout the assurance work. We also:

- Identify and assess the risks of material non-compliance with the requirements of § 328 Abs. 1 HGB, whether due to fraud or error, design and perform assurance procedures responsive to those risks, and obtain assurance evidence that is sufficient and appropriate to provide a basis for our assurance opinion.
- Obtain an understanding of internal control relevant to the assurance work on the ESEF documents in order to design assurance procedures that are appropriate in the circumstances, but not for the purpose of expressing an assurance opinion on the effectiveness of these controls.
- Evaluate the technical validity of the ESEF documents, i.e., whether the electronic file containing the ESEF documents meets the requirements of the Delegated Regulation (EU) 2019/815 in the version in force at the date of the consolidated financial statements on the technical specification for this electronic file.
- Evaluate whether the ESEF documents provide an XHTML rendering with content equivalent to the audited consolidated financial statements and to the audited group management report.
- Evaluate whether the tagging of ESEF documents with Inline XBRL technology (iXBRL) in accordance with the requirements of Articles 4 and 6 of the Delegated Regulation (EU) 2019/815, in the version in force at the date of the consolidated financial statements, enables an appropriate and complete machine-readable XBRL copy of the XHTML rendering.

Further Information pursuant to Article 10 of the EU Audit Regulation

We were elected as group auditor by the annual general meeting on 19 April 2023. We were engaged by the supervisory board on 8 May 2023. We have been the group auditor of the Bayerische Landesbank Anstalt des öffentlichen Rechts, Munich, without interruption since the financial year 2019.

We declare that the audit opinions expressed in this auditor's report are consistent with the additional report to the audit committee pursuant to Article 11 of the EU Audit Regulation (long-form audit report).

REFERENCE TO AN OTHER MATTER – USE OF THE AUDITOR'S REPORT

Our auditor's report must always be read together with the audited consolidated financial statements and the audited group management report as well as the assured ESEF documents. The consolidated financial statements and the group management report converted to the ESEF format – including the versions to be filed in the company register – are merely electronic renderings of the audited consolidated financial statements and the audited group management report and do not take their place. In particular, the "Report on the Assurance on the Electronic Rendering of the Consolidated Financial Statements and the Group Management Report Prepared for Publication Purposes in Accordance with § 317 Abs. 3a HGB" and our assurance opinion contained therein are to be used solely together with the assured ESEF documents made available in electronic form.

GERMAN PUBLIC AUDITOR RESPONSIBLE FOR THE ENGAGEMENT

The German Public Auditor responsible for the engagement is Sven Hauke.

Munich, 26 March 2024

PricewaterhouseCoopers GmbH
Wirtschaftsprüfungsgesellschaft

Sven Hauke
Wirtschaftsprüfer
[German Public Auditor]

Daniel Benzing
Wirtschaftsprüfer
[German Public Auditor]

Responsibility statement by the Board of Management

To the best of our knowledge and in accordance with the applicable reporting principles for financial reporting and generally accepted accounting standards, the consolidated financial statements give a true and fair view of the financial performance and financial position of the Group, and the management report of the Group, which is combined with the management report of Bayerische Landesbank, Munich, includes a fair review of the development and performance of the business and the position of the Group, together with a description of the principal opportunities and risks associated with the expected development of the Group.

Munich, 26 March 2024

Bayerische Landesbank
The Board of Management

Stephan Winkelmeier

Marcus Kramer

Dr Markus Wiegelmann

Gero Bergmann

Johannes Anschott

**Further
information**

- 316 Country by country reporting
- 317 Supplementary information
- 321 Combined separate non-financial report for 2023
- 432 Independent Practitioner's Report on a Limited Assurance
Engagement on Non-financial Reporting

Country by country reporting pursuant to Section 26a para. 1 sentence 2 of the German Banking Act (KWG) as at 31 Dec 2023

This report shows revenues, number of employees, profit/loss before taxes, taxes on profit/loss and state aid received for the reporting year by country on an unconsolidated basis. It covers the companies fully included in the IFRS consolidated financial statements.

The revenue shown is profit/loss before taxes, without accounting for risk provisions, administrative expenses, expenses for the bank levy and deposit guarantee scheme and gains or losses on restructuring as reported in the consolidated financial statements. Taxes on profit/loss include current income taxes reported in the consolidated financial statements. The number of employees is shown in full-time equivalent positions.

Country	Revenue EUR million	Number of employees	Profit/loss before taxes EUR million	Taxes on profit or loss EUR million	State aid received EUR million
Germany	3,235	7,434	1,325	(301)	0
United Kingdom	16	43	2	0	0
Italy	0	15	1	0	0
France	0	14	2	0	0
Spain	0	2	0	0	0
Netherlands	1	7	0	0	0
Ireland	0	2	0	0	0
USA	81	77	(15)	0	0

Name of foreign branch/investee	Type of business	Location	Country
Foreign branch offices of Bayerische Landesbank			
BayernLB London	Financial institution	London	United Kingdom
BayernLB Milan	Financial institution	Milan	Italy
BayernLB Paris	Financial institution	Paris	France
BayernLB Amsterdam	Financial institution	Amsterdam	Netherlands
BayernLB New York	Financial institution	New York	USA
Foreign branches of Real I.S. AG			
Real I.S. France	Asset management company	Paris	France
Real I.S. Spain	Asset management company	Madrid	Spain
Real I.S. Netherlands	Asset management company	Amsterdam	Netherlands
Real I.S. Ireland	Asset management company	Dublin	Ireland

Supplementary information

Financial measures not calculated in accordance with IFRS

For its entire financial reporting and other published documents, the BayernLB Group uses financial measures not calculated in accordance with IFRS. These measures indicate historical or future financial performance, financial position and cash flows derived from the financial statements, which are prepared in accordance with the relevant accounting framework, or from internal management information, and then adjusted.

They should be seen as a supplement to and not a replacement of the figures calculated in accordance with IFRS. Readers of the financial reports and other documents containing these measures should be aware that similarly named financial measures published by other companies may have been calculated differently.

The BayernLB Group uses the following financial measures not calculated in accordance with IFRS:

- Return on equity (RoE)
- Cost/income ratio (CIR)
- Other earnings components

The RoE and CIR are important financial performance indicators. They provide information about profitability and are used by BayernLB to manage it.

Return on equity (RoE)

The RoE is calculated on the basis of internal management information from the ratio of annualised profit before taxes to the average regulatory capital (Group)/the average allocated economic capital (at segment level). At Group level, the average Common Equity Tier 1/CET1 capital available over the financial year has been used for this purpose. For all management levels below this, the average economic capital employed in the financial year is derived from the average risk-weighted assets (RWAs) of the underlying individual transactions as specified by the regulatory authorities. The allocated amount corresponds to 14.0 percent (31 December 2022: 14.0 percent) of the average risk-weighted assets specified by the regulatory authorities arising from the individual transactions entered into by the respective segment in the reporting period concerned. Economic capital is reconciled to regulatory capital in the column headed Consolidation.

RoE reconciliation calculation (as at 31 December 2023)

EUR million	Real Estate & Savings Banks/ Financial Institutions	Corporates & Markets	DKB	Central Areas & Others	Consolidation	Group
Profit/loss before taxes	242	236	1,003	(39.0)	–	1,441
Average risk-weighted assets (RWAs)	13,913	19,640	25,594	5,683.0	–	64,830
Target CET1 ratio (%)	14.0	14.0	14.0	14.0	–	
Average economic/regulatory capital	1,948	2,750	3,583	796	2,312	11,389
Return on equity (RoE) (%)	12.4	8.6	28.0	–	–	12.7

RoE reconciliation calculation (as at 31 December 2022)

EUR million	Real Estate & Savings Banks/ Financial Institutions	Corporates & Markets	DKB	Central Areas & Others	Consolidation	Group
Profit/loss before taxes	287	154	354	328	–	1,122
Average risk-weighted assets (RWAs)	13,623	21,007	25,482	5,581	–	65,693
Target CET1 ratio (%)	14.0	14.0	14.0	14.0	–	
Average economic/regulatory capital	1,907	2,941	3,568	781	1,463	10,660
Return on equity (RoE) (%)	15.0	5.2	9.9	–	–	10.5

Cost/income ratio (CIR)

The CIR is the ratio of administrative expenses and gross profit comprising net interest income, net commission income, gains or losses on fair value measurement, gains or losses on hedge accounting, gains or losses on derecognised financial assets, gains or losses on financial investments and other income and expenses. The CIR is calculated using the figures reported in the respective consolidated financial statements.

CIR reconciliation calculation (as at 31 December 2023)

EUR million	Real Estate & Savings Banks/ Financial Institutions	Corporates & Markets	DKB	Central Areas & Others	Consolidation	Group
Administrative expenses	(399)	(252)	(802)	(165)	1	(1,617)
Net interest income	488	303	1,937	196	(4)	2,919
Net commission income	253	106	130	(16)	–	473
Gains or losses on fair value measurement	33	84	31	73	4	226
Gains or losses on hedge accounting	1	1	(54)	6	–	(46)
Gains or losses on derecognised financial assets	1	(1)	(4)	(97)	–	(102)
Gains or losses on financial investments	0	(1)	(18)	(53)	1	(71)
Other income and expenses	(9)	(3)	1	73	(2)	59
Gross earnings	767	488	2,022	181	(1)	3,458
Cost/income ratio (CIR) (%)	52.1	51.6	39.6	–	–	46.8

CIR reconciliation calculation (as at 31 December 2022)

EUR million	Real Estate & Savings Banks/ Financial Institutions	Corporates & Markets	DKB	Central Areas & Others	Consolidation	Group
Administrative expenses	(396)	(250)	(740)	(183)	1	(1,569)
Net interest income	396	292	1,310	133	7	2,137
Net commission income	272	87	80	(17)	–	424
Gains or losses on fair value measurement	71	41	(44)	5	(7)	67
Gains or losses on hedge accounting	–	–	(175)	(1)	–	(177)
Gains or losses on derecognised financial assets	–	–	(3)	–	–	(3)
Gains or losses on financial investments	3	(3)	3	(17)	3	(11)
Other income and expenses	(24)	3	13	370	(6)	356
Gross earnings	718	421	1,184	474	(3)	2,793
Cost/income ratio (CIR) (%)	55.2	59.5	62.5	–	–	56.2

Other earnings components

Other earnings components comprise the total of gains or losses on hedge accounting, gains or losses on derecognised financial assets, gains or losses on financial investments and other income and expenses.

Other earnings components reconciliation calculation (as at 31 December 2023)

EUR million	Real Estate & Savings Banks/ Financial Institutions	Corporates & Markets	DKB	Central Areas & Others	Consolidatio n	Group
Gains or losses on hedge accounting	1	1	(54)	6	–	(46)
Gains or losses on derecognised financial assets	1	(1)	(4)	(97)	–	(102)
Gains or losses on financial investments	0	(1)	(18)	(53)	1	(71)
Other income and expenses	(9)	(3)	1	73	(2)	59
Other earnings components	(7)	(4)	(76)	(72)	(1)	(159)

Other earnings components reconciliation calculation (as at 31 December 2022)

EUR million	Real Estate & Savings Banks/ Financial Institutions	Corporates & Markets	DKB	Central Areas & Others	Consolidatio n	Group
Gains or losses on hedge accounting	–	–	(175)	(1)	–	(177)
Gains or losses on derecognised financial assets	–	–	(3)	–	–	(3)
Gains or losses on financial investments	3	(3)	3	(17)	3	(11)
Other income and expenses	(24)	3	13	370	(6)	356
Other earnings components	(21)	–	(162)	352	(3)	166

Combined separate non-financial report of the BayernLB Group for 2023

Preliminary note

For information on regulatory developments with respect to climate and environmental risks and their implementation, refer to the section entitled “Regulatory environment” (Report on the economic position) and the identically worded section “Regulatory environment” (Report on expected developments and opportunities) in the combined management report of the BayernLB Group.

The following content (insofar as it relates to BayernLB Bank) is set out in further detail in the Sustainability Report (according to GRI). This report, and other publications referred to below, can be viewed on BayernLB’s website under [Publications](#). Similarly, information from the main subsidiaries [DKB](#), [BayernInvest](#) and [Real I.S.](#) is also available.

To meet the requirements of Sections 315b and 315c in conjunction with Sections 289b to 289e of the German Commercial Code (HGB) and the EU Taxonomy Regulation (Regulation (EU) 2020/852), the separate non-financial report of the parent company Bayerische Landesbank, Munich (BayernLB or Bank⁷⁰) is presented below with the separate non-financial report of the BayernLB Group (NFR). The information in the report relates to both BayernLB and the BayernLB Group, unless expressly stated otherwise.

The NFR deals with the following topics:

- Description of the business model⁷¹
- A description of the material content of BayernLB’s NFR
- BayernLB’s various systems to manage non-financial aspects:
 - Reputational risk, sustainability and environmental management system and internal guidelines/solutions for a sustainable banking business
 - Human resources management system
 - Compliance management system
- The disclosure of relevant figures pursuant to the EU Taxonomy Regulation

The NFR’s content is based on the specific materiality approach taken under Section 289c (3) of the German Commercial Code (HGB), which is not equivalent to the understanding of materiality under the Global Reporting Initiative (GRI) or other frameworks.⁷² For this reason, only certain GRI standards were referred to when preparing the BayernLB Group’s NFR, for example with respect to the materiality analysis, and therefore full use has not been made of any framework.

⁷⁰ BayernLB Bank comprises BayernLB core Bank and BayernLabo.

⁷¹ The description of the business model here is identical to the “Foundations of the BayernLB Group – Business model and Group strategy” section as far as the “Sustainability and combined separate non-financial report” sub-section in the combined management report of the BayernLB Group.

⁷² BayernLB reports in detail on all topics identified as material for the Bank under GRI in its Sustainability Report (www.bayernlb.com/csr), while DKB provides this information in its sustainability report pursuant to the German Sustainability Code (DNK) (www.dkb.de/nachhaltigkeit/nachhaltigkeitsberichte-en). DKB also collects non-notifiable information and data (among other things) on equality and employee health, and voluntarily reports on this in its annual report. All references to information not in the combined management report do not form part of the non-financial report.

HGB Section 289c (3) requires information to be provided which is necessary to gain an understanding of a company's business development, performance and position and the impact of its activities, especially on non-financial aspects, i.e. environmental matters, employee-related matters and social matters, respect for human rights and combating corruption and bribery.

BayernLB uses the net method (residual risk after measures) when calculating risks that must be reported under HGB. Having considered mitigation measures, the Bank did not from its findings identify any risks that are highly likely to cause, now or in the future, seriously adverse impacts on the aspects that must be reported. The respective risks of the individual aspects are addressed, where relevant, in the separate sections of the report. References to related figures in the annual financial statements of the BayernLB Group are stated in the text of the non-financial report under the relevant issue.

This report marks the third time that information on reporting pursuant to Article 8 of the EU Taxonomy Regulation has been disclosed and included in the external audit. More changes to (voluntary and mandatory) sustainability reporting will be made in the coming years, not least because of rapidly changing regulatory and market requirements, especially the Corporate Social Responsibility Directive (CSRD) 2022/2464/EU. To implement these changes, the interdisciplinary ESG project Sustainability was launched at BayernLB Bank back in 2021.

Business model and Group strategy

As a streamlined specialised bank, BayernLB is a major investment lender to the Bavarian and German economy. In its role as a commercial bank, central bank to the regional savings banks, principal bank for the Free State of Bavaria and development bank, it is a reliable partner to its customers – companies, savings banks, financial institutions, retail customers, institutional investors and the public sector.

Strategic focus and objectives

By the end of 2023, the BayernLB Group had mostly completed its realignment and transformation process, initiated at the end of 2019, as planned. The overriding aim of the BayernLB Group's strategic realignment was to achieve consistently profitable growth by building on its own strengths while focusing on customers it could create real added value for, mainly through financing and advisory services. The strategic objectives for the Bank's Sales units were twofold. Firstly, to reduce dependence on the traditional lending business by expanding specific advisory expertise, increasing customer benefits and maintaining and (further) developing long-term customer relationships. And secondly to increase regional earnings and risk diversification, and capitalise on growth opportunities in the sectors of the future in high-margin and growth (foreign) markets.

As part of the BayernLB Group's regular strategy process and given the current challenges, especially the changed geopolitical and macroeconomic environment (with emphasis here on the higher interest rates), BayernLB subjected its strategic vision to a regular review in the first half of 2023. In July 2023, the Board of Management and Supervisory Board again confirmed the BayernLB Group's business strategy and its segments with only a few selective adjustments in some segments, including shifting weightings between individual business activities. Growth in the

commercial real estate business has been temporarily reduced due to the present market environment. At the same time DKB is adhering to its growth strategy, with more focus placed on maintaining cost discipline in the company by fleshing out and implementing appropriate measures.

The Bank-wide Fokus 2024 transformation programme implemented key parts of the strategic realignment in a multi-year process involving many different, intertwined individual projects. It was completed on schedule at the end of 2023, except for certain ongoing IT transformation projects. The consolidation of the trading application landscape will conclude when the hypercare phase of the system migration initiated in the first quarter of 2023 is completed in the first quarter of 2024. The project to modernise bank management will still run after the Fokus 2024 transformation programme comes to an end. For details, refer to the section on the BayernLB Group's business performance in the report on the economic position in the management report.

The following strategic goals were pursued once again in 2023 without any changes:

- Clearly focusing business activities on the challenges of tomorrow and optimising the customer experience by building up product and advisory expertise along the value chains
- Achieving target growth in the high-margin core business within the existing risk guidelines, especially in the asset-based, structured financing and real estate businesses
- Improving profitability by systematically leveraging efficiencies in the operating model, sustainably reducing the cost basis, and making targeted investments in the Bank's infrastructure
- Promoting and improving cooperative and collaborative working and selectively digitalising distribution channels, the range of services offered and the operating model

The BayernLB Group, furthermore, is focusing actively on sustainability and has defined a clear vision for the Bank and its subsidiaries for this purpose. To operationalise its Sustainability and Environmental Policy and its Sustainability Strategy, BayernLB has implemented a Sustainability Programme published in its Sustainability Report according to GRI that entails goals and measures for each relevant issue. It is a key tool for making further improvements to the Bank's sustainability performance.

Over the past four years, BayernLB has successfully positioned itself on the market as a "financier of progress" and steadily transformed its business model from universal bank to streamlined, specialised lender. At the same time, BayernLB achieved its goals to improve profitability and strengthen the Group's capital base.

BayernLB's goal for the next few years will be to continue realising its current strategic vision, taking account of technological progress, market developments and the competitive environment.

The BayernLB Group's operating business segments

The BayernLB Group comprises BayernLB and the subsidiaries over which BayernLB can directly or indirectly exercise a controlling influence. BayernLB is in charge of managing the Group, which comprises the following operating business segments:

- Real Estate & Savings Banks/Financial Institutions, including BayernLabo and the subsidiaries Real I.S. and BayernInvest

- Corporates & Markets
- DKB – comprising the DKB sub-portfolio

Real Estate & Savings Banks/Financial Institutions segment

In the real estate business, BayernLB prioritises commercial real estate financing and services, focusing on Germany and established and stable international markets, with branches in Paris, London, Milan and New York and, from 2023, Amsterdam. In commercial real estate, products include financing for existing real estate assets, project development, housing developers and real estate portfolios. In terms of asset classes, the focus is on offices, residential property, logistics, retail and managed real estate in the areas of hotels and social care.

To serve customers more comprehensively under one roof, the Bank makes extensive use of its close working relationship with subsidiaries and equity interests, such as Real I.S., Bayerische Landesbank Immobilien-Beteiligungs-Gesellschaft mbH & Co. KG, Munich (BayernImmo), LB Immobilienbewertungsgesellschaft mbH, Munich (LBImmoWert), Bayerngrund Grundstückbeschaffungs- und -erschließungs GmbH (BayernGrund) and Bayern Facility Management GmbH, Munich (BayernFM). Real I.S.-Gruppe is an asset manager that handles real estate investments for retail and institutional investors, with its focus on Germany, Europe and Australia. Along with its real estate services companies, BayernLB offers a coordinated range of products from advising on energy-efficient upgrades, sustainable valuations, green financing products, including the use of subsidies, right through to institutional investments in green assets.

The Bank is a dependable partner to the savings banks and the central bank to the S-Finanzgruppe (Savings Bank Finance Group) in Bavaria. BayernLB performs key tasks in its Association business for the savings banks (especially those from Bavaria), which are an important group of customers and sales partners. In these times of necessary structural change, the Bank helps the savings banks and their customers become more sustainable by offering them a needs-oriented and growing selection of products and services. This working relationship is centred around complementary products and services for the savings banks' own and end-customer business. These include payment services, capital markets business, international business, syndicated business, subsidised loan business, and foreign notes and coins/precious metals activities. Through its broad range of precious metal products and by expanding the foreign notes and coins and precious metals centre of expertise in Nuremberg, BayernLB evolved in this segment into one of Germany's market-leading providers. In addition, funding from the savings banks is an important source of refinancing for BayernLB, while also strengthening the common liquidity pool.

BayernLB also acts as a lender and service provider to the public sector, especially in its role as principal bank for the Free State of Bavaria, as well as to public-law and non-profit institutions.

BayernLB's subsidised loan business for the Free State of Bavaria is assigned to BayernLabo. BayernLabo has a public mandate to provide financial support, as part of government housing policy and in conformity with the state aid provisions of the European Community, for measures aimed at improving and strengthening Bavaria's housing and settlement structure. As a municipal bank of the Free State of Bavaria, it also provides financing to Bavarian local authorities and public-sector special-purpose associations.

Another focus is on providing services to insurers, (correspondent) banks, building societies and asset managers around the globe. In the business with European insurers, BayernLB has a significant volume of letters of credit business. An extensive network of institutional customers provides BayernLB with a broad investor pool. The Bank also supports the development and sales of sustainable financial products and services, and thereby assists customers further in their own sustainable alignment or transformation.

Securities asset management for BayernLB is handled by the subsidiary BayernInvest. This asset management company focuses mainly on advisory services and managing securities investment funds for institutional and private investors.

Corporates & Markets segment

Corporates handles business with large German and selected international companies and the Mittelstand corporate customer business. BayernLB focuses here in particular on providing financing to corporate customers in the growth sectors of the future – mobility, energy, technology, manufacturing & engineering, and construction & basic resources. The Bank's core competencies include traditional and structured credit financing. The product range includes working capital, CapEx and trade financing, project and export financing, lease financing and asset finance. It also offers a well-developed ESG advisory service, which actively supports sustainable financial solutions.

The range offered by Markets largely comprises money market, interest, foreign currency and CO₂ trading product groups, and assistance for customers in tapping capital markets for their financing needs, especially through bonds or Schuldschein note loans. Its main customers include German and international corporate and Mittelstand customers, real estate customers, savings banks and financial institutions, which are served in the respective business areas. On the sustainability front, BayernLB offers the full range of products in debt capital markets with green, social and sustainable bonds and Schuldschein note loans. It also assists customers with structuring, creating a framework, commissioning a second party opinion and placement.

DKB segment

DKB is an integral part of the BayernLB Group and complements the Group's business model. Its business activities are focused primarily on Germany, with certain activities in Austria, Switzerland and France.

In retail banking, DKB operates as an online bank with a steadily growing customer base. Its chief products include account packages, construction financing, private loans and investment products. By making targeted investments in digitalisation, DKB is laying the foundation for significant growth in its retail customer business.

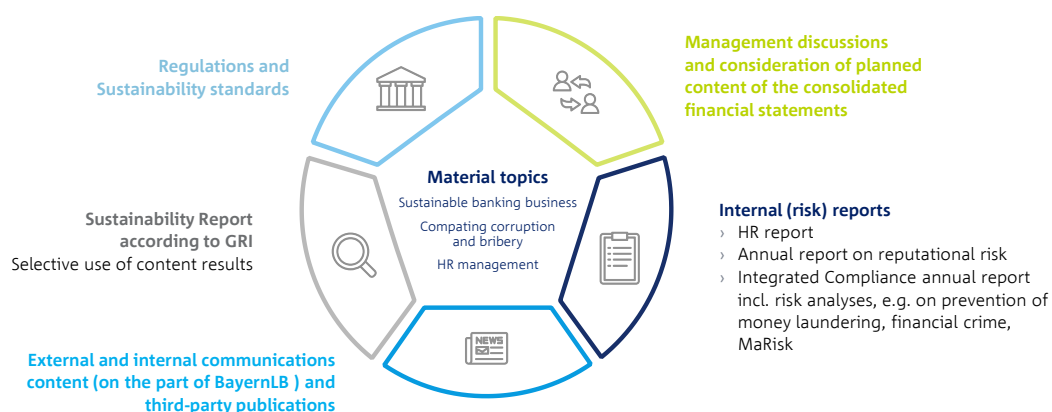
It is also a corporate banking specialist in business with corporate and infrastructure customers, which mainly includes doing business with clients in local authorities, social infrastructure, energy and utilities, residential property and property administration. DKB's expertise includes in particular financing and investment products in selected and, for the most part, sustainable sectors in Germany: renewable energy, health, social care, education, agriculture and residential property.

In 2023, DKB initiated a Group-wide efficiency programme called Fit4Growth. The goal of the transformation programme, which is set to run until the end of 2025, is to sustainably optimise DKB's operating model, create a basis for further growth and therefore secure its profitability for the long term.

Materiality analysis

In a materiality analysis in accordance with HGB, BayernLB determined material content relevant for its NFR for the first time in 2017, and has reviewed and updated this as necessary for every reporting year since. As part of this process, it has especially considered current regulations, planned content in the management report/annual financial statements, internal management interviews and reviews that have been conducted, the analysis of internal (risk) reports, internal and external communications content from BayernLB and publications of third parties. The Bank has also used content from the results of the Sustainability Report according to GRI on a selective basis.

Materiality analysis for 2023 under HGB



This analysis found that the topics that were material for BayernLB in 2023 (as in 2022) were “sustainable banking business”, “combating corruption and bribery” and “human resources management”. The following graphic assigns these topics to each of the non-financial aspects.

Mapping HGB minimum aspects to material BayernLB topics



The following overview lists the topics which are assigned to the non-financial aspects and described in greater detail later on in this report (material for BayernLB under HGB). It also indicates which topics are not material under HGB from BayernLB's perspective, although they are dealt with by BayernLB's sustainability management and reporting in other contexts. BayernLB thus reports transparently on these matters in other publications.

Assignment of topics and their concepts that are (not) material for BayernLB under HGB to non-financial aspects

	Topics relating to the aspect: Environmental matters	Further information and explanations can be found in:
Material for BayernLB pursuant to Section 289c HGB	Correlation to impact of products and services Avoidance of (reputational) risks and negative impact on the environment, through compliance with all the ESG standards cited in the "Guiding Principles for Transformation"	Section on "Sustainable banking business", Guiding Principles for Transformation, Investment and financing principles (DKB)
Non-material for BayernLB pursuant to Section 289c HGB	Impact of a company's activities on the environment (e.g. through water & energy consumption) Guarantee of high (environmental) standards on the part of suppliers and external service providers by focusing on regional purchasing wherever possible and concluding sustainability agreements	Environmental Statements of BayernLB (integrated into its Sustainability Report according to GRI) and DKB BayernLB's Sustainability Report according to GRI, DKB's Sustainability Report

	Topics relating to the aspect: Employee-related matters	Further information and explanations can be found in:
Material for BayernLB pursuant to Section 289c HGB	Qualitative and quantitative development of human resources	Section on “Human resources management”, BayernLB’s Sustainability Report according to GRI, DKB’s Sustainability Report
	Attracting and retaining qualified personnel	
	Providing staff with the necessary skills and qualifications	
	Equal opportunities	
	Health management	
	Occupational health and safety on the Bank premises	
	Granting of employees’ right of assembly	
Non-material for BayernLB pursuant to Section 289c HGB	Protection of fundamental labour rights in financing through compliance with all the ESG standards mentioned in the “Guiding Principles for Transformation” and ILO core labour standards	Section on “Sustainable banking business”, Guiding Principles for Transformation, Investment and financing principles (DKB)
	Guarantee of high (labour) standards on the part of suppliers and external service providers by focusing on regional purchasing wherever possible and concluding sustainability agreements	BayernLB’s Sustainability Report according to GRI, DKB’s Sustainability Report
	Topics relating to the aspect: Social matters	Further information and explanations can be found in:
Material for BayernLB pursuant to Section 289c HGB	Protection of local communities/indigenous peoples in financing, through compliance with all the ESG standards cited in the “Guiding Principles for Transformation”	Section on “Sustainable banking business”, Guiding Principles for Transformation, Investment and financing principles (DKB), Annual Report of BayernLabo
	Contribution to safeguarding and improving living conditions, including at municipal and regional levels, through financing, particularly in the areas of municipal housing and development; social affairs and health; and the energy supply	
Non-material for BayernLB pursuant to Section 289c HGB	Social commitment and corporate citizenship	BayernLB’s Sustainability Report according to GRI, homepage of BayernLB and DKB
	Guarantee of high (social) standards on the part of suppliers and external service providers by focusing on regional purchasing wherever possible and concluding sustainability agreements	BayernLB’s Sustainability Report according to GRI, DKB’s Sustainability Report
	Topics relating to the aspect: Respect for human rights	Further information and explanations can be found in:
Material for BayernLB pursuant to Section 289c HGB	Protection of local communities/indigenous peoples in financing (in emerging and developing countries in particular), through compliance with all the ESG standards cited in the “Guiding Principles for Transformation”	Section on “Sustainable banking business”, Guiding Principles for Transformation
Non-material for BayernLB pursuant to Section 289c HGB	Guarantee of high (human rights) standards on the part of suppliers and external service providers by focusing on regional purchasing wherever possible and concluding sustainability agreements	BayernLB’s Sustainability Report according to GRI, DKB’s Sustainability Report

	Topics relating to the aspect: Combating corruption and bribery	Further information and explanations can be found in:
Material for BayernLB pursuant to Section 289c HGB	Compliance with legal and supervisory requirements with regard to the combating of corruption and bribery to avoid sanctions and loss of reputation	Section on "Compliance management system", especially on corruption and bribery
Non-material for BayernLB pursuant to Section 289c HGB	N/A	N/A

The BayernLB Group's ratings

The success of efforts to achieve sustainable banking activities and the corresponding range of financial solutions is regularly analysed and evaluated by independent sustainability rating agencies. These sustainability ratings are based on comprehensive lists of criteria relating to environmental, social and governance – i.e. responsible corporate management – (ESG) aspects, which largely cover the aspects referred to in HGB.

As at 31 December 2023, both the BayernLB Group and DKB continued to hold the Prime rating from ISS ESG. DKB's B-rating in the "Financials/Public & Regional Banks" sector corresponds to the top decile ranking and a classification as an "Industry Leader". All (other) sustainability ratings are published and constantly updated on the homepages of BayernLB, BayernLabo and DKB. All three of them were rated by Sustainable Fitch for the first time in the reporting period.

Managing non-financial aspects

Within the BayernLB Group, various units manage the above-mentioned aspects in accordance with HGB. The main units in charge of these matters, such as Reputational Risk Management, Sustainability Management, Human Resources and Compliance, are shown here, along with the requirements for the banking business.

The various management components are intertwined. For example, Sustainability Management coordinates the Sustainability Report (according to GRI), which reports on a number of areas including compliance, reputational risk and human resources. Sustainability Management also uses Reputational Risk and Compliance Management policies.

The Group is managed using sets of indicators based on IFRS accounting (see "Foundations of the BayernLB Group – Group management" in the combined management report of the BayernLB Group). The Bank is currently preparing a management approach based on non-financial performance indicators, which it will implement in stages.

A Sustainability Board was set up as at 1 January 2024 (Rules of Procedure published externally), whose task is to provide strategic support for, monitor and continually refine the Bank's focus on sustainability.

Sustainable banking business

A sustainable banking business and the corresponding financial solutions at BayernLB cover the following areas:

- Financing companies and projects to address societal challenges such as climate change and the energy transition
- Offering sustainable investment products for retail and institutional investors
- Complying with environmental, social and ethical standards in financing and capital market transactions

The goal of creating sustainable banking products has been defined in both BayernLB's Code of Conduct and in the Sustainability and Environmental Policy adopted by the Board of Management. It is also set out in BayernLB's Mission Statement and in the Group Sustainability Strategy (see the "Sustainable products and services" section).

Code of Conduct

"We are actively and thoroughly committed to the challenges of sustainable development and heed our responsibility by taking ecological, economical and social aspects into account along the entire value chain. [...]"

We also consider sustainability issues when looking at (business) transactions. Our actions, as well as our business relationships and transactions, are always guided by ethical principles and sustainability aspects. We ensure that these are compatible with the relevant international environmental, ethical and social standards we have signed up to."

Sustainability and Environmental Policy

"We actively align our business model with sustainability and support our customers in achieving their goals. The integration of ESG requirements into our products and services offers our customers and us the opportunity to comprehensively consider the risks and opportunities of global challenges and thus make an active contribution to sustainable development. We cultivate fair dealings with our customers. In doing so, we conscientiously implement consumer protection regulations and responsible sales practices."

In 2021, BayernLB comprehensively revised its Sustainability Strategy, with which it continues to systematically drive forward its sustainable topics, and last updated it in detail in 2022. In its Sustainability Strategy, the Bank pursues a number of goals, including a climate-neutral portfolio, improving its taxonomy alignment and implementing the decarbonisation paths specified in the Climate Protection Act. For this purpose, specific targets and measures, including those pertaining to the individual business areas, are presented in the Sustainability Strategy. Where these goals are relevant for the NFR, they are mentioned in the respective sections.

BayernLB also published its Group-wide Guiding Principles for Transformation externally. These set out its position on important current challenges and formulate its corporate values, overarching ethics, environmental and social standards and its stance on controversial issues and sectors (including armaments, coal, nuclear power, oil & gas, forest, foodstuffs and gambling). DKB also revised the key strategic pillars of its Sustainability Strategy in 2021, published them at the start

of 2022 and issued Investment and financing principles to take account of these changes. BayernInvest also has publicly available Guidelines on sustainable and responsible investing.

These aforementioned guidelines ensure that BayernLB takes sufficient account of the non-financial aspects that are material for it in its banking products and services.

The risks related to non-financial aspects material for BayernLB that mainly arise in the business relationships, products and services are thus minimised by the full range of measures described in this section. This functioning risk management system covers risks related to all HGB aspects material for BayernLB.

Sustainable products and services

BayernLB seizes opportunities for actively promoting environmentally responsible developments such as the climate-friendly restructuring of the energy supply or social projects by means of suitable products and services, thereby opening up business potential. Each Group company's specific contribution in this regard is based on its own business model.

The following overview shows BayernLB's Mission Statement and the goals derived from it pursued by the units at BayernLB Bank, DKB, BayernInvest and Real I.S., as well as selected initiatives and examples of products from the reporting year.

BayernLB Bank – “Financing progress”***Committed to sustainability***

Goals	• Significantly increase portfolio share of ESG-compliant financing by 2023¹ • Further pursue the climate protection strategy and long-term climate neutralisation in business operations (by purchasing compensation certificates) • Climate-neutral portfolio by 2050
Initiatives (2023)	• Organise and carry out the ESG Deep Dive hybrid customer event for the second time for Corporates customers, with content added for real estate customers for the first time • Update the training course on ESG sales pitches and sustainable finance regulation for relationship managers • Continue certification of Corporates & Markets employees by the Frankfurt School of Finance as “Certified Expert in Sustainable Finance” • Have Real Estate employees take part in the “Sustainable Real Estate Management” module by the International Real Estate Business School of the University of Regensburg (certification as “Sustainable Real Estate Manager”) • New product – voluntary carbon market: Offer market access for customers and thereby help them to voluntarily offset unavoidable CO₂ emissions • Employ a taxonomy tool to check the EU taxonomy alignment of initial earmarked finance from the Real Estate and Corporates & Markets Divisions • Continue the interdisciplinary ESG project Sustainability to implement the regulatory and market requirements in the Group • Expand sales of ESG products in the Sales units by means of the Sustainable Finance Initiative - support (potential) customers by providing funding for the transformation of their business models, processes and products within the framework of decarbonisation - refine the sustainable product and service range across the entire value chain, including under the 360° Real Estate approach - expand BayernLB’s positioning as a centre of expertise for sustainable finance • Conduct a customer survey on the customer perception of BayernLB in the field of ESG services and ESG expertise, in part to derive new product approaches • Collaborate further in various working groups and initiatives, such as vdp Green Finance • BayernLabo²: Collaborate in the VÖB’s Sustainability (development banks) working group and initiatives such as the “Climate Neutral Buildings and Sustainable Real Estate Finance CREATE” research project

Examples of products (from 2023)	• Corporate Schuldschein note loans (SSD), e.g.: - Sole lead arranger and ESG advisor for ESG-linked SSD by HAWE Hydraulik SE (EUR 75 million, tenor: 3, 5, 7 years) - Joint lead arranger and ESG advisor for a taxonomy-linked private placement by Vossloh AG (EUR 60 million, tenor: 5, 7 years) • Corporate loans, e.g.: - ESG coordinator and bookrunner for the syndicated loan with a rendezvous clause (implementation of the ESG link concept) to FUNKE Mediengruppe GmbH & Co. KGaA • Real estate green loans, e.g.: - Sole lead arranger and lender for a green loan of EUR 125 million to the Hausinvest open-ended real estate fund of Commerz Real AG for the “2 Amsterdam” high-rise ensemble in the city’s Zuid district - Mandated lead arranger and original lender for a green loan of EUR 29 million with a 4-year tenor to Cicerone RE Holding B.V. to fund an office building in Paris ...- Mandated lead arranger and original lender in a club deal for a green loan of EUR 137 million (BayernLB share EUR 34.25 million) to Coima SGR Fondo Porta Nuova Bonnet to fund an office complex in Milan - Mandated lead arranger and original lender for a green loan to Kryalos SGR Fondo Whitemoon to fund an office building in Milan • Green & social bonds, e.g.: - Green bond senior preferred issue by HYPO NOE Landesbank für Niederösterreich und Wien AG (EUR 500 million, tenor: 4 years) - Green bond senior non-preferred issue by Bayerische Landesbank (EUR 500 million, tenor: 16 years) - Green bond senior non-preferred issue by Bayerische Landesbank (EUR 500 million, tenor: 4 years) - Green bond Tier 2 issue by Bayerische Landesbank (EUR 300 million, tenor: 10.25 years) - Green bond senior non-preferred issue by Bayerische Landesbank (EUR 500 million, tenor: 4.83 years) - Green bond covered issue by Credit Agricole SA (EUR 1.25 billion, tenor: 7.5 years) - Social bond covered issue by DKB (EUR 500 million, tenor: 12 years) - Social bond covered issue by Cie de Financement Foncier SA (EUR 500 million, tenor: 5.25 years) • BayernLabo: Subsidised housing in the Free State of Bavaria also using subsidy modules focused on environmental sustainability; municipal loans and own development programmes in areas such as barrier-free access and energy-efficiency improvements for buildings • BayernLabo: Refinement of existing products in the municipal loan business by enhancing them with environmental aspects and consolidating already updated, efficient housing creation schemes
----------------------------------	--

1 This goal is formulated in BayernLB's Sustainability Strategy and set out in the Sustainability Programme (integrated into the Sustainability Report according to GRI). Achievement is published in the 2023 Sustainability Report according to GRI.

2 Body charged with implementing government housing policy, a municipal and development bank for the Free State of Bavaria (see “Foundations of the BayernLB Group - Business model and Group strategy” section in the combined management report)

DKB – “Das kann Bank” – #geldverbesserer <i>“Blue sustainability” for financial strength and ethical conduct</i>	
Goals	• By 2030 grow the share of the portfolio that contributes to SDGs to 85% • Continue to expand its position as one of the most sustainable banks among the top 20 banks in Germany • By 2040 bring the entire portfolio into line with the 1.5 degree goal of the Paris Agreement • By 2027 significantly grow the proportion of women in the first two management levels
Initiatives (2023)	• Publish the Sustainable Lending Framework • Create the role of Chief Sustainability Officer • Publish a Group-wide Diversity-Strategy • Join the Task Force on Climate-related Financial Disclosures (TCFD)
Examples of products (from 2023)	• Launch of “green construction financing” for retail customers

BayernInvest – “We make sustainability profitable. And profitability sustainable.” <i>ESG integration in the investment process and gradual development of the product and reporting landscape for asset management and investment company services</i>	
Goals	• Achieve operational climate neutrality by offsetting unavoidable emissions • Bring all retail funds under management in line with the environmental goals of the Paris Agreement by 2025 • Prepare annual reporting in accordance with UN GC, TCFD and as part of PRI membership • Improve data quality and quantity for sustainability-related publications • Continuously refine the ESG investment strategy • Sustainability regulations (Disclosure Regulation, SFDR, MIFID II) play a key role in the product development, customer communications and reporting • Be actively involved in investments in listed companies • Take account of the principal adverse indicators (PAI) for sustainability factors
Initiatives (2023)	• Renew CDP membership • Member of UN GC
Examples of products (from 2023)	• Sustainability advisory services aimed at improving the portfolio quality and aligning it with regulatory requirements • Several funds awarded the Forum for Sustainable Investments (FNG) label • Range of sustainable products in the field of alternative investments (e.g. renewable energy)

Real I.S. – “Where real estate meets the future”***We want to create added value for society and the environment***

Goals	• Achieve climate neutrality at Real I.S. (as a company, excluding the real estate portfolio) by 2030 by offsetting unavoidable emissions • Achieve a climate-neutral real estate portfolio by 2050 (in accordance with the Paris climate pathway)
Initiatives (2023)	• Publish the first statement on the principal adverse indicators (PAI) pursuant to the SFDR at company level • Undergo first UN PRI assessment • Expand the central platform to record and analyse consumption data • Analyse the photovoltaic and electric mobility potential of the entire real estate portfolio • Use innovative technology (e.g. artificial intelligence) to reduce greenhouse gas emissions from real estate in the Real I.S. portfolio • Offer company-wide ESG-specific and general training courses
Examples of products (from 2023)	• Transition of most of the existing portfolio to Art. 8 in accordance with the SFDR • Introduction of investment ratios within the meaning of the SFDR and the Taxonomy Regulation in the open-ended retail fund REALISINVEST EUROPA • Application of the GRESB external scoring system for the ESG assessment of selected properties

Reputational risk, sustainability and environmental management

BayernLB has assigned the topics of reputational risk management (including the functions of Central Reputational Risk Management (CRRM)) and sustainability/environmental management organisationally to the Sustainability Department under direct responsibility of the CEO. The Chief Sustainability Officer reports directly to him.

The topic of sustainability has an important place in the transformation of the BayernLB Group’s business model. In 2020, the Bank’s committees and boards adopted a Mission Statement and Group Strategy and also issued a new set of sustainability guidelines which, in accordance with the uniform Group management requirements, govern the collaboration between the sustainability units in the institutions within the Group (and form part of the Group-wide internal control system).

Reputational risk within the BayernLB Group is managed through a dedicated management system comprising, among other things, a (Group and Bank) strategy, processes, various topic-specific policies (see Guiding Principles for Transformation), and the definition of tasks and competencies for employees and other reputational risk-specific roles.

Definition of reputational risk within the BayernLB Group

“Protecting BayernLB’s good reputation and thus its management is a joint responsibility of all BayernLB Group employees. BayernLB’s reputation can be affected and possibly impaired by almost everything we do, whether by concluding a transaction or signing an agreement on behalf of BayernLB or by making an ill-considered comment in the social networks.”

“Active reputational risk management covers all processes relating to the identification, assessment/classification, reporting and management of reputational risks, and, if necessary, initiating or supporting any measures or legally required actions aimed at eliminating or reducing the causes of reputational risks, the monitoring of the implementation of measures and reporting.”

The Sustainability Department is involved in assessing and managing event and transaction-based matters so as to manage any given situation under sustainability and reputational risk aspects. Transactions include all types of business activities and relationships along the Group's value chain (set out in an internal Group-wide framework instruction). This department must be consulted in matters that potentially fall within the scope of current ESG standards and policies related to environmental and social topics and/or which potentially could give rise to social or environmental risks, as well as all operations that pose a medium or high reputational risk. To carry out its duties, the Board of Management has delegated the department the right to prohibit activities or to grant approval but subject to defined conditions.

The ESG assessment has been developed at BayernLB Bank as a tool for assessing sustainability risks and benefits for customers and transactions. This IT-supported tool forms the basis for portfolio management from a sustainability perspective and is being successively expanded, partly on the basis of current regulatory requirements (including the EU Taxonomy Regulation) and business strategy aspects.

It consists of three modules with different underlying questions:

- ESG risk: do environmental, social or governance issues arise that have a negative impact on a customer's ability to service its debts, probability of default or creditworthiness?
- ESG impact: what are the demonstrable sustainability benefits of the financing transaction?
- RepRisk: does the transaction give rise to a potential reputational risk in terms of ESG risks?

The Sustainability Guidelines outline the following ecological, social and governance-related (ESG) topics, which pertain to both business operations and business activities that could give rise to sustainability and reputational risks:

Sustainability Guidelines

- Environment, e.g.
 - climate and environmental protection, e.g. protection of human habitats and the habitats of plants and animals
 - protection of species and ecosystems such as designated nature conservation areas
 - conservation of natural resources
 - sustainable use of land
 - transition to a circular economy aided by waste prevention and recycling, and to energy-saving production
 - Social, e.g.
 - protection of human rights/non-discrimination
 - protection of civil rights, e.g. freedom of speech and the press
 - protection of labour rights and the upholding of fair terms and conditions of employment at organisations and their suppliers and service providers, e.g. with regard to health, job security, diversity and opportunities for career growth and training
 - prohibition of forced labour and exploitative child labour
 - protection of indigenous peoples, e.g. prevention of displacement, forced resettlement and land grab
 - fair treatment of customers, responsibility for products and consumer protection
 - sufficient product safety and health protection
 - reinforcement of the social infrastructure
 - Governance (transparent & correct organisational leadership), e.g.
 - legal compliance & observance of internal rules regarding organisational leadership and control
 - heeding of embargoes and sanctions
 - heeding of payment transaction restrictions
 - prevention of white-collar crime, corruption and the financing of terrorism
 - combating money laundering
 - tax compliance
 - facilitation of whistle-blowing
 - data protection and IT security (cyber security)
 - promotion of sustainable and foresighted company models and customer groups
-

The aforementioned Guidelines thus also cover the aspects that are material for BayernLB under HGB. The implementation of these requirements is set out in detail in BayernLB's Sustainability Report according to GRI.

The CRRM also conducts a reputational risk inventory every year, both at BayernLB and the relevant Group companies. This means that CRRM's findings relating to the estimation of risks pursuant to HGB can be incorporated into the non-financial report.

CRRM gave its approval to the aforementioned matters and transactions, in some instances subject to certain conditions. Furthermore, CRRM, Sustainability Management, the Compliance function or the functional unit itself declined to approve certain matters, e.g. due to governance requirements, such as the aforementioned Guiding Principles for Transformation in particular.

In addition to the Guiding Principles for Transformation, other documents and concepts are also of key importance for Sustainability Management: first and foremost the Sustainability and Environmental Policy, applicable throughout the Group, which the Group units DKB, BayernInvest and Real I.S. have each adopted and/or published themselves. All documentation is published on their respective websites. To operationalise its Sustainability and Environmental Policy and Sustainability Strategy, BayernLB Bank has implemented a Sustainability Programme which details all goals and measures (including goal attainment deadlines) for each relevant topic area and is a key tool for making further improvements to BayernLB's sustainability performance. Ongoing reporting on this area is provided in the Sustainability Report according to GRI.

The Sustainability Department is responsible for the design of the environmental management system validated in line with the Eco Management and Audit Scheme (EMAS) and certified to international standard ISO 14001, which covers large parts of the Group.

These sustainability activities help reduce the relevant risks, which are classed as low in the case of social and environmental issues with a bearing on the BayernLB Group's business operations.

HR management

Human resources development and policy

The BayernLB Group's employees play a key role in BayernLB's strategic direction. The foundations of human resources (HR) policy and employee management are defined in various principles and guidelines:

Principles/guidelines	Content
Chapter in the Code of Conduct	• "Individual rights and protection from discrimination" • "Responsibility for employees"
Policy on cooperative conduct, protection against sexual harassment, bullying and discrimination	• Principles governing interaction between women and men
German General Act on Equal Treatment (Allgemeines Gleichbehandlungsgesetz (AGG))	• Transposition of EU directives on the implementation of the principle of equal treatment (no discrimination on the grounds of race or ethnic origin, gender, religion or belief, disability, age or sexual orientation)

The BayernLB Group's headcount changed over the year as follows:

Workforce

	BayernLB Group	Of which BayernLB	Of which DKB	BayernLB Group	Of which BayernLB	Of which DKB
	2023	2023	2023	2022	2022	2022
Headcount						
Number of active employees	8,241	2,632	5,163	8,491	2,904	5,134
Of which women	4,161	1,223	2,747	4,285	1,355	2,751
Of which men	4,080	1,409	2,416	4,214	1,549	2,383
Of which in Germany	8,080	2,481	5,163	8,344	2,756	5,134
Of which abroad	161	151	–	155	148	–
Of which full-time	6,155	1,897	3,918	6,335	2,086	3,908
Of which part-time	2,086	735	1,245	2,164	818	1,226
Average age (in years)	43.68	45.13	43.1	43.8	45.9	42.8

Although the workforce contains almost equal numbers of men and women, the same is not yet true of management roles (see table below). BayernLB has set itself a target to increase the number of women in management positions to 30 percent by 2024 (see Sustainability Programme). For the Board of Management a target of at least one female member by the middle of 2025 has been defined. To promote a more balanced management structure, BayernLB has initiated a

number of targeted measures that are reported on in detail in the Sustainability Report according to GRI. This includes regular participation in the cross-mentoring programme, helping balance a management career with personal life (e.g. by filling management positions with tandems with individual rates of employment), the #Fortschrittsfrauen network with a variety of formats (e.g. dialogue with the Board of Management, professional exchange and role model formats, and mentoring within the network) and balanced representation in the talent generations. For the 2024/2025 talent generation, ten female and eleven male talents were identified and confirmed in assessment rounds at the end of 2023.

DKB is also taking steps to further equalise the ratio of women and men in its management positions. DKB's Diversity Strategy published in the reporting year includes a range of measures: For example, the intra-company network "TogetHER", that offers women in management a platform for networking, new incentives and greater visibility, was strengthened. As part of a company-wide mentoring programme ("MentorMe"), female employees also received targeted support with their professional positioning and career planning within the company. A systematic approach to talent management also helps identify and encourage potential candidates for management positions in a more equitable ratio of women to men. At the same time, the measures stated contribute to one of the core goals of the Diversity Strategy: to reduce and –in the long term – eliminate the gender pay gap. The goal is to cut both the adjusted and the unadjusted gender pay gap further. Progress will be monitored by regularly analysing the remuneration structure and additional measures will be developed if necessary. DKB will continue to specifically modify and expand its structures in terms of diversity, equal opportunities and freedom from prejudice. Detailed information on this can be found in DKB's Sustainability Strategy and Diversity Strategy.

Management positions

Management positions: female headcount	BayernLB Group	Of which BayernLB	Of which DKB	BayernLB Group	Of which BayernLB	Of which DKB
In percent	2023	2023	2023	2022	2022	2022
1 st management level ¹	17.2%	–	21.1%	15.4%	–	18.8%
All other management levels	33.9%	27.5%	37.9%	34.7%	29.0%	38.7%

¹ First management level = Board of Management/company management; the "BayernLB Group" and "DKB" columns generally contain disclosures relating to the total of all Group companies.

BayernLB's Supervisory Board comprises eleven members (DKB: 16), three of whom are women (DKB: three). This means that women account for a 27.3 percent share (DKB: 18.8 percent).

A key tool of staff management and development is the development and performance dialogue. This approach promotes an open and constructive development dialogue between managers and employees and ensures they have a common focus. It governs the systematic transformation of the objectives derived from the Bank's business strategy and risk culture to employee level. Based on their objectives agreements reached at the beginning of the year, all employees are given annual feedback in their appraisal on the degree to which they achieved their objectives as well as guidance to enable them to determine where they currently stand in terms of reaching

their career and personal development objectives. Individual development planning highlights prospects and areas for development.

With the help of a budget set aside for professional development, BayernLB offers a range of training and qualification programmes for this purpose. This helps employees achieve and implement the individually tailored objectives agreed in the development and performance dialogue. When it comes to employee training and gaining qualifications, the Bank focuses on needs-based planning of internal and external seminars in person, virtual formats and platform offerings (e.g. Bookboon and udemy).

Professional development budget

Professional development	BayernLB Group	Of which BayernLB	Of which DKB	BayernLB Group	Of which BayernLB	Of which DKB
EUR million	2023	2023	2023	2022	2022	2022
Training budget ¹	5.8	1.1	4.5	5.7	1.4	3.8

¹ BayernLB's budget for professional development also includes the budget for the foreign branches. DKB's budget for professional development also includes the budget for DKB Service GmbH and Bayern Card Service GmbH.

Health management

As in previous years, the BayernLB Group continues to strive to successfully maintain and promote its employees' health.

Code of Conduct

"It is essential that occupational health and safety regulations are observed by all employees. It is one of the management duties of BayernLB to provide a healthy and hazard-free working environment. [...] In turn, we expect that our employees take a responsible approach to their health and fitness."

The Bank has an integrated health management system. This includes company doctors, nurses and human resources managers specialised in health management. They work closely with the Staff Council, the occupational health and safety expert, BayernLB's sports club and the nutritional specialists of the company canteen. There is also an Occupational Safety Committee in accordance with occupational safety law, which supports the monitoring of occupational health and safety programmes and also has an advisory role. Representatives from the Staff Council and therefore the workforce sit on the committee. There are no indications of relevant (mainly health-related) risks in the area of occupational health and safety.

Health rates

Health	BayernLB Group	Of which BayernLB	Of which DKB	BayernLB Group	Of which BayernLB	Of which DKB
In percent	2023	2023	2023	2022	2022	2022
Health rate ¹	95.6%	96.0%	95.2%	95.3%	95.3%	95.1%

¹ 100% less ratio of absences due to illness (with and without continued payment of salary, regardless of insurance status) to planned working days.

To prevent “typical” health problems associated with activities performed mainly while sitting at computer workstations, the health and safety officers pay attention to the ergonomic design of workstations. As part of its healthcare management the Bank also offers its employees opportunities for sports activities and holds regular Health Days, focusing on topics such as exercise and a healthy diet.

Given the challenges of a hybrid working day where the place of work shifts between the office and the home, employees’ mental health is becoming increasingly important. The results of a survey conducted in 2023 confirm that training on coping with stress, relaxation and prevention of psychological stress are particularly relevant for employees. These topics were therefore addressed more intensively in seminars, microlearning modules and a digital action day. To better accommodate the wish for individual advice, the offering of a telephone consultation with the in-house Medical Section was expanded.

In addition, BayernLB has implemented an operational integration management programme (Betriebliches Eingliederungsmanagement (BEM)) pursuant to Section 84 (2) of the Social Security Code (Sozialgesetzbuch (SGB)) IX, in which its employees can request professional support when reintegrating after a long illness.

DKB also takes preventative healthcare and health promotion for its employees seriously. DKB’s health management has been externally audited and highly rated on multiple occasions. In its Corporate Health Audit in November 2022, DKB was once again granted the “Excellence” rating for a period of 12 months and was also awarded first place in the Finance sector.

BayernInvest and Real I.S. give their staff the opportunity to take part in BayernLB’s preventative health measures such as the Health Days. In addition, BayernInvest implements targeted health-promoting measures, such as conducting eye tests and flu vaccinations.

Challenges and opportunities

For more information on the conclusion of the Fokus 2024 transformation programme and the headcount consolidation, refer to the Foundations of the BayernLB Group – Business Model and Group strategy section in the combined management report of the BayernLB Group.

The notes to the BayernLB Group’s 2023 consolidated financial statements also provide information (including figures) on gains or losses on restructuring and restructuring provisions. In other words, the information here relates to the consolidated financial statements.

For more information on transformation and restructuring provisions at DKB, refer to DKB’s 2023 annual report.

Under its strategic realignment, BayernLB Bank decided at the end of 2019 to substantially reduce the size of its workforce. The reduction of FTEs was reported on in detail in the previous years. Under the familiar framework conditions (no dismissals on operational grounds until autumn 2022, and the use of human resources tools (including severance, pre-retirement, partial retirement, early retirement and training to take on other types of tasks and new placements)), the Bank was able to successfully conclude the staff reductions under Fokus 2024 on 30 September 2022 when the contractually agreed human resources instruments came to an end. A total reduction of around 750 FTE was contractually fixed, making full use of the potential lead time

and a termination date that was as late as possible in autumn 2023. Apart from a small number of departures, the entire workforce reduction programme was completed using natural turnover.

As reported several times in the past, the Fokus 2024 programme was a matter of concern to employees, i.e. a significant number were at risk of losing their job. By agreeing the aforementioned wide-ranging provisions with the staff representative bodies this risk has, however, been mitigated. In particular, all downsizing measures were made subject to bilateral consent (of the employee and the Bank). Since this programme has now ended, there are now no serious risks for employees of BayernLB from this perspective.

In summer 2023, DKB launched its group-wide efficiency programme Fit4Growth. The goal of the transformation programme set to run until the end of 2025 is to sustainably optimise DKB's operating model, create a basis for further growth and therefore secure its profitability for the long term. The areas of action identified are the basis for cross-company module teams, which are working on measures to remodel DKB long term into a simpler and more scalable operating model. Following the measures launched by Fit4Growth to increase the effectiveness of, specifically optimise, simplify and digitalise, numerous processes, products and services, the company expects lower staffing requirements by 2025. As a result, the programme will include a reduction in workforce and related downsizing measures. The expenses for this led to a restructuring and transformation provision as at 31 December 2023.

The Fokus 2024 transformation programme was implemented hand in hand with robust change measures, in particular to safeguard operational stability and keep BayernLB's remaining employees motivated. With the workforce reductions having been carried out, the challenge was to prevent staff from overworking or being overwhelmed. The Bank therefore encouraged a targeted transfer of knowledge to the remaining employees, to which end it has made extensive checklists, aids and instructions for the handover process available on the intranet. Knowledge transfer was clearly defined as a performance objective within the career development and performance dialogue. In addition, it is examining in depth how to optimise tasks and processes. The whole workforce is involved through regular "pulse checks" (the most recent of which was carried out in January 2024) to evaluate and assess the individual steps in the transformation process. The findings from this were used to draw up measures to make improvements. The divisions are provided with extensive support in the form of change workshops to help them make changes to their operations as part of the strategy to create a streamlined specialised bank. The Bank is systematically working on and implementing topics with importance for the future, such as expanding digital and agile expertise. Employees and management receive ongoing training to build up this expertise, which will be critical for the Bank's success.

BayernLB also launched other initiatives in 2023 to boost its attractiveness as an employer and improve work-life balance. This included firmly establishing the Workation scheme in selected countries for an unlimited period, extending the service agreement for remote working and desk-sharing for an unlimited period, enabling co-leadership (filling leadership roles in tandems with individual rates of employment), and expanding BayernLB's internal leadership development programme (Leadership Academy) to include new learning strategies (e.g. hybrid leadership, leadership in times of change and transformation, feedback culture, empowerment of teams and integration, as well as employee retention and development).

As the legal provisions for special operational protective measures for Covid-19 ceased to apply, the Bank rescinded its infection prevention measures as at 1 March 2023.

Human resources management therefore helps reduce HGB-related risks in the area of employee-related matters primarily by introducing measures to improve the balance between family and work life, to further equality, and to promote the health, skills and professional and personal development of the employees. At the same time it is responsible for structuring the salary, bonus and pension systems.

Another risk is that the remuneration system might encourage inappropriate risk conduct in certain circumstances. To manage this particular risk, the BayernLB (Bank/Group) Remuneration Strategy and Guidelines specify in detail the requirements under the Remuneration Regulation for Institutions (Institutsvergütungsverordnung) stipulating appropriate remuneration and defining them for BayernLB. BayernLB and DKB provide detailed information on this matter in their respective remuneration reports (at DKB as part of the disclosure report). During the course of the year, at both DKB and BayernLB the relevant documentation demonstrating the suitability of the remuneration system is presented to a Compensation Committee that meets on several occasions.

The requirements of the Code of Conduct and the works and staff councils in many organisational units and levels are just some of the systems in place to counter the risk of employees' fundamental human rights such as the right of assembly being infringed. Other risks arise from the national specifics of employment law. These are specifically monitored by the above-mentioned risk instruments.

Compliance management system

Compliance with rules, regulations and standards is standard practice for BayernLB and taken very seriously. In order to stay up to date with the constantly evolving requirements and any changes in the risk situation, BayernLB continuously reviews its risk and compliance management system. The Compliance Division has the key tasks of preventing, monitoring and penalising breaches of the rules and promoting a uniform understanding of values and integrity. The goal of the compliance management system is to safeguard and ensure the reliability of BayernLB's market presence, which is based on compliance with statutory and regulatory requirements, and to protect it against illegal activities. Besides fighting money laundering, white-collar crime and the financing of terrorism, its remit also includes combating corruption and bribery. It also regularly reports to the Board of Management and the Audit Committee of the Supervisory Board on the relevant issues by means of the annual integrated compliance report. The independent Compliance function is considered to be a trustworthy and fair point of contact, both inside and outside the Bank. A whistleblowing system has also been instituted.

Group companies and foreign branch offices each have their own compliance units. The Compliance function for the Amsterdam sales office is carried out from Munich.

Code of Conduct

BayernLB and its employees regard acting lawfully, ethically and responsibly as an elementary and indispensable part of their personal, corporate and social responsibilities.

BayernLB's Code of Conduct is a key component of its compliance culture. It serves as a set of standards for day-to-day activities and lists the most important legal and social requirements, e.g. in relation to inside knowledge, competition law, intellectual property protection, data protection, confidentiality and information security, responsibility for employees, individual rights and protection from discrimination, transparent (internal and external) communication, managing conflicts of interest, sustainability and ethics, social responsibility and a risk and compliance culture. The rules formulated in the Code of Conduct are necessary minimum standards in the BayernLB Group. They apply to internal relationships and to dealing with all stakeholder groups relevant for BayernLB. All BayernLB's business areas, all employees and the members of the Board of Management and Supervisory Board must observe the Code of Conduct. New members of staff are given the Code of Conduct when they take up their position. It is also published on BayernLB's website and serves as a template for the codes of conduct of the Group units.

The Code of Conduct is supplemented by guidelines such as the leadership compass, the Sustainability and Environmental Policy, which are also for the most part publicly available, and by internal regulations, for issues such as equal treatment and managing conflicts of interest (outside of the German Securities Trading Act), including the "Regulations on accepting and granting benefits (particularly gifts and invitations)". These are implemented in the respective Group units in line with their business model and local needs. DKB, BayernInvest and Real I.S. also publish relevant sustainability-related guidelines on their websites.

The Code of Conduct is also an important component of BayernLB's "risk culture" principles. The risk culture has equal standing with BayernLB's business and corporate values and describes how risk awareness and conduct are put into practice at BayernLB.

Managing conflicts of interest

For managing conflicts of interest (that are not regulated under the German Securities Trading Act (WpHG)), a Group guideline is in place specifically for this purpose and is implemented in each of the relevant subsidiaries with their own rules and regulations. At BayernLB Bank, an internal instruction "Managing conflicts of interest (that are not regulated under the German Securities Trading Act (WpHG))" governs the identification and handling of conflicts of interest and measures to avoid them where possible. To appropriately deal with (potential) conflicts of interest, a multi-stage procedure is followed that may ultimately mean the Bank not conducting particular transactions or business.

An office of evidence has been set up to identify and manage conflicts of interest (that are not regulated under the German Securities Trading Act (WpHG)). It investigates and evaluates conflicts of interest and decides, together with the units concerned, on necessary measures and any consequences. The office also documents key circumstances that can cause a conflict of interest in a conflicts of interest catalogue. A conflict of interest arises when there is a risk that the capacity for professional judgement or action could be compromised by one or more interests.

BayernLB's Corporate Governance Principles and the Statutes of Bayerische Landesbank also provide for the abstention of Board of Management members in respect of decisions affecting them or related parties.

Furthermore, at BayernLB all secondary professional activities must be approved in writing by the employer based on specific assessment criteria.

In accordance with the "Guidelines for personal transactions" which are embedded in all relevant Group units, employees may not, for example, buy or sell securities they deal with professionally, in line with the prohibitions and rules contained therein. Furthermore, employees' personal transactions may not be in conflict with the interests of customers or the Bank. In addition to requirements under criminal and tax law that must be observed, the internal instruction "Regulations on accepting and granting benefits (particularly gifts and invitations)" provides employees with a code of conduct and support for dealing with the acceptance and granting of gifts and invitations (see also "Combating corruption and bribery").

Combating corruption and bribery

One of the key objectives of BayernLB's compliance management system is combating corruption, bribery and other criminal offences in all locations and subsidiaries. Compliance with the relevant standards ensures legal or regulatory sanctions and loss of reputation can be avoided. At the BayernLB Group, various measures related to this issue have been implemented.

For example, the written organisational rules enshrine the principle that the Group may not enter into any business relationship with persons who have been legally convicted of corruption or with companies managed by such persons.

The "Regulations on accepting and granting benefits (particularly gifts and invitations)" make it clear that any gifts, invitations or benefits which could limit the personal independence of the recipient or raise doubts among the public about the integrity of BayernLB or the recipient are not permitted. Donations and sponsorships are also subject to clear rules and must be strictly separated from each other. Appropriate measures are set out in the rules for pricing and new lending.

Mandatory, regular training courses for all employee (in accordance with the risk-oriented cycle) deal with the relevant regulations and conduct in the fight against corruption. Examples are used to illustrate how to recognise corruption and conduct/events that are out of the ordinary. The options available under the existing whistleblowing system are also discussed.

New employees and temporary staff are also subjected to an intensive screening process, including submission of a police clearance certificate. All employees are reviewed annually with regard to unethical conduct and breach of duty.

The Group-wide review and monitoring of all compliance risks is carried out by the respective compliance units. Based on regular risk analyses, these draw up appropriate precautionary measures to combat white-collar crime, corruption and bribery and report on their effectiveness and any events on an ad hoc basis and annually to the Audit Committee of BayernLB's Supervisory Board.

All-in-all, so far as the aspect “corruption and bribery” is concerned, no risks were identified in the business activities of the BayernLB Group that are notifiable under HGB. During the reporting period no violations of the law relating to corruption at or by BayernLB were identified by the courts.

MaRisk compliance risk identification

Pursuant to MaRisk, the MaRisk compliance function is responsible for identifying and analysing material legal rules and requirements (standards) pertaining to risk where a breach would put the institution’s assets in jeopardy. BayernLB defines compliance risk as follows:

Definition of compliance risk within the BayernLB Group

“Pursuant to AT 4.4.2 MaRisk, Compliance includes the risk that the Bank will incur losses as a result of non-compliance with applicable legal rules and regulations (standards). This does not include breaches of contractual arrangements or internal rules. Legal risk, tax law risk and conduct risk do not fall under compliance risk.”

BayernLB’s MaRisk compliance function conducts a risk analysis at regular intervals (usually once a year) to determine the legal rules and regulations that are material to the institution. The materiality of these standards is based on whether non-compliance with them could put BayernLB’s assets at risk. In the annual compliance report, the MaRisk compliance function goes into more detail about the respective appropriateness and effectiveness.

To identify risks both to BayernLB itself and to “third parties” such as the environment, employees or other persons, the risk survey by Group Compliance and the annual risk inventory by Reputational Risk Management mentioned above are therefore used as a basis for the NFR. To classify the size of the loss for “third parties”, the Bank developed its own criteria, which take into account the special intention of HGB that the company reflects the extent to which it creates potential risks on non-financial aspects. These aspects include the number of people affected and the reversibility of potential losses.

Overarching control mechanisms

Besides the usual control mechanisms for financial institutions (Supervisory Board, Board of Management decisions based on the dual control principle, etc.), BayernLB as a public-sector institution is subject to the legal supervision of the Bavarian Ministry of Finance and Regional Identity (supervisory authority). The supervisory authority has extensive rights to information and regularly participates in General Meetings and Supervisory Board meetings. It can lay down all necessary regulations to ensure that BayernLB’s business operations meet the laws, articles of incorporation and other statutory requirements.

By law, BayernLB is subject to ad hoc auditing by the Bavarian High Court of Auditors. Such audits may cover compliance with the regulations and principles governing business management, i.e. amongst other things whether management has acted economically and frugally.

All monitoring functions mentioned in the report ensure overall that HGB-relevant aspects are given special consideration.

Disclosures pursuant to Article 8 of the EU Taxonomy Regulation as at 31 December 2023

Preliminary note

As part of the EU action plan for a sustainable financial system, the European Commission has laid out a classification system for assessing environmentally sustainable economic activities in the form of the EU taxonomy. The Delegated Regulation (EU) 2020/852 (EU Taxonomy Regulation) sets the framework for the EU taxonomy. The classification criteria to identify environmentally sustainable economic activities are described in greater detail in the Delegated Regulation on climate taxonomy (Delegated Regulation (EU) 2021/2139). In this, the classification of environmentally sustainable economic activities is largely based on the statistical classification of economic activities in the EU (NACE; Statistical Classification of Economic Activities in the European Community).

Article 8 of the EU Taxonomy Regulation sets out the reporting obligations and affects undertakings which fall under the Non-Financial Reporting Directive (NFRD) (Directive 2014/95/EU). This means that these companies must address the manner and extent to which their activities are consistent with economic activities that can be classified as ecologically sustainable in their non-financial reporting disclosures. If certain criteria are cumulatively met, financial undertakings and non-financial undertakings must disclose non-financial information as part of non-financial reporting in accordance with Articles 19a and 29a of Directive 2013/34/EU. BayernLB meets the requirements of the NFRD and is therefore subject to reporting obligations under the EU Taxonomy Regulation.

While there was relief for banks in EU taxonomy reporting in financial years 2021 and 2022, starting with the reporting date of 31 December 2023, full reporting in accordance with Article 8 of the EU Taxonomy Regulation is required. The content and presentation of the quantitative and qualitative information to be disclosed from 31 December 2023 under EU taxonomy reporting are specified by the Delegated Act (Delegated Regulation (EU) 2021/2178 of the Commission). In addition, all changes to Delegated Regulation (EU) 2021/2178 resulting from Delegated Regulations published by the European Commission in the meantime must be taken into account. As at the reporting date of 31 December 2023, this impacted in particular reporting obligations under the “Nuclear/Fossil Gas” Delegated Regulation (Delegated Regulation (EU) 2022/1214), the “Environmental Goals 3 to 6” Delegated Regulation (Delegated Regulation (EU) 2023/3851) and the “Adaptation to the Climate Goals” Delegated Regulation (Delegated Regulation (EU) 2023/3850). Due to time constraints, ongoing analysis and, in some cases, major implementation efforts, BayernLB will not take into account the draft interpretative questions on the implementation of the EU Taxonomy Regulation (FAQs) published by the EU in December 2023 until the reporting date of 31 December 2024.

The taxonomy-eligible economic activities for the six environmental goals currently laid out in the EU Taxonomy Regulation are defined in several delegated regulations, which are regularly reviewed and adapted to reflect new developments and technical advances. Economic activities are taxonomy-eligible if they can be attributed to a taxonomy-eligible economic activity as described in the delegated regulations, regardless of whether the activity meets all the technical assessment criteria for the economic activity concerned set out in the respective delegated regulation. As a general rule: If a company that generates revenue or engages in capital expenditure

(CapEx) which is related to one of the economic activities described in the delegated regulations, this activity is considered taxonomy-eligible for disclosure purposes. By contrast, if an activity cannot be attributed to one of the economic activities described in the delegated regulations, it cannot be considered taxonomy-eligible. Taxonomy-eligible economic activities form the population of all activities that may potentially meet the technical assessment criteria.

Economic activities are taxonomy-aligned if they can be attributed to a taxonomy-eligible economic activity as described in the delegated regulations and furthermore meet all the technical screening criteria for the economic activity concerned set out in the respective delegated regulation. This means that the economic activity has to be instrumental in achieving one or more environmental objectives and must not do any significant harm in accordance with the relevant criteria set (DNSH criteria), and thus it avoids considerably compromising other environmental goals. For exposures to counterparties subject to the NFRD, the counterparty must continue to demonstrate compliance with minimum safeguards as a prerequisite for the exposures to be recognised as taxonomy-eligible. These are procedures carried out by undertakings that perform an economic activity, to ensure that they comply with certain international guidelines and principles in relation to corporate social responsibility and human rights.

Reporting obligations under Article 8 of the Taxonomy Regulation are based on the regulatory scope of consolidation of the BayernLB Group. This comprises BayernLB and its branches, as well as BayernLabo, DKB, BayernInvest, and Real I.S..

Sustainability within the meaning of the EU taxonomy is defined predominantly via the green asset ratio (GAR) as the core key performance indicator (KPI). The GAR is calculated by dividing all taxonomy-aligned transactions by the total of all balance sheet assets that are not explicitly excluded from the GAR calculation. When calculating the GAR the following must be observed: The accounting figures calculated are based on the ECB regulations on reporting of supervisory financial information (FinRep). The population must consider all assets as per FinRep (EUR 274,485 million) in accordance with IFRS accounting. When calculating the GAR, the numerator includes loans and advances, debt securities and equity instruments in the banking book to counterparties subject to the NFRD and to households and local governments. By contrast the denominator incorporates all loans and advances, debt securities and equity instruments of the banking book to counterparties not subject to the NFRD and derivatives not held for trading, short-term inter-bank loans, cash and cash equivalents and other asset categories. Loans and advances to central governments and supranational issuers and to central banks, as well as financial assets that fall under the “Financial assets held for trading” and “Assets held for sale” IFRS accounting categories, are not to be included in the GAR calculation, i.e. they are excluded from the numerator and the denominator. In addition, financial guarantees (EUR 6,826 million) and assets under management (EUR 109,024 million) are taken into account separately for certain disclosures. The individual reporting templates generally require gross carrying amounts broken down by financial undertakings, non-financial undertakings, households and local (and regional) governments.

As at 31 December 2023, BayernLB reported a total GAR by turnover of 0.12 percent and a GAR for CapEx of 0.32 percent. By turnover, 0.08 percent of the overall population to be considered under FinRep (EUR 274,485 million) is taxonomy-aligned. These ratios do not reflect the actual efforts BayernLB is making with regard to granting sustainable financing. There are two main

causes for this discrepancy. One reason is that BayernLB has a large portfolio of products to finance renewable energy, which is not included in the calculation of the taxonomy ratio because most of the business partners are not subject to the NFRD. That means that none of BayernLB's sustainable loans or investments with counterparties which do not meet the requirements to be subject to the NFRD may be classed as taxonomy-eligible or taxonomy-aligned. Another major reason for the low attribution to taxonomy-aligned transactions is the very extensive data required to demonstrate taxonomy alignment, which is mostly not available at all or fails to meet sufficient quality standards, as will be discussed in more detail later in this report.

For exposures to undertakings, it is crucial to check whether they are subject to the NFRD when applying the EU taxonomy criteria. In other words, transactions with financial and non-financial undertakings may only be rated as taxonomy-eligible and taxonomy-aligned if the counterparty is subject to the NFRD within the meaning of Art. 19a and/or 29a of the EU Accounting Directive (2013/34/EU and 2014/95/EU). As a rule, several size criteria have to be met for this to happen. In particular, it has to be a large undertaking with its head office in the EU, it must be the subject of public interest and have an average number of employees over the year of at least 500. If it is part of a group in which the parent company is subject to the NFRD, an undertaking can claim exemption from its NFRD obligations provided the parent company produces a relevant report.

The identified volume of financial and non-financial undertakings with a gross carrying amount of EUR 23,917 million only makes up approximately 16 percent of the entire volume of the BayernLB Group's transactions with financial undertakings and non-financial undertakings of around EUR 151,384 million. This NFRD classification as at 31 December 2023 was carried out for customers in the BayernLB Group's portfolio and the taxonomy-relevant information was researched from publicly accessible sources of the companies in question, including drawing on external data providers. It must be noted here that full reporting obligations applied for the first time for financial undertakings subject to the NFRD as at 31 December 2023, which means only limited data was available. To determine whether an undertaking is subject to the NFRD, the BayernLB Group always recognises the above criteria in relation to the direct counterparty. The BayernLB Group did not scrutinise the counterparty with respect to group structures or sponsors. Earmarked financing in the BayernLB Group was weighted with the KPIs published by the company concerned and researched (turnover KPI and CapEx KPI). Earmarked financing is present at BayernLB if the use of proceeds is known. If there is no clear use of proceeds, these exposures are treated as use of proceeds unknown. BayernLB provides earmarked financing to counterparties subject to the NFRD in the form of corporate and real estate finance in particular. BayernLB uses a tool developed by the Association of German Public Banks (VÖB) to verify and check taxonomy alignment for individual earmarked financing (VÖB TAXO TOOL). Verifying taxonomy alignment for earmarked financing with counterparties subject to the NFRD currently still poses a challenge, as many undertakings cannot provide some or any of the information required to check the do no significant harm criteria. This also applies for financial undertakings, as they are fully subject to the NFRD for the first time as at 31 December 2023. In the case of individual earmarked financing in real estate, taxonomy alignment is attributed in particular to the environmental goal of CCM (climate change mitigation), as it makes a substantial contribution to mitigating the consequences of climate change.

BayernLB finances sustainable projects, however many of the counterparties are not subject to the NFRD, as they are property companies/project companies which have no NFRD reporting obligations. This means that the exposures cannot be classified as taxonomy-aligned despite them having a known, sustainable use of proceeds, as the condition of being subject to the NFRD is not met. This is also the case, for example, for financing of renewable energy projects. Financing to undertakings subject to the NFRD currently only makes up a very small proportion of DKB's credit portfolio. Earmarked financing is analysed and valued in line with a specific evaluation logic according to the EU Taxonomy Regulation. This takes into account the DKB portfolio with its focus on selected economic activities and the related specific processes and data.

The households portfolio currently only makes a marginal contribution to the GAR calculation, although the BayernLB Group recognised financing with households as the counterparty at a gross carrying amount of EUR 26,125 million as at 31 December 2023. It should be noted here that the criterion of whether the counterparty is subject to the NFRD does not have to be checked for households. These exposures to households are part of the population of transactions to be included in the taxonomy test, even without checking whether they are subject to the NFRD. For the sake of completeness, loans for modernising buildings (EUR 334 million) and auto loans (EUR 108 million) must be noted here. The exposure to households mainly consists of loans secured by residential property (EUR 19,385 million). In the BayernLB Group, most of these exposures are at DKB and BayernLabo. To assess the taxonomy alignment of its residential real estate credit portfolio, DKB and BayernLabo are dependent on a significant number of energy certificates being submitted and processed. A team was set up for this purpose early on at DKB level as part of the ESG project, which – with the aid of several customer campaigns and measures – obtained around 10,000 energy certificates from DKB's borrowers by the end of 2023. The processes required to process these energy certificates automatically and include them in future reporting are currently being implemented. As at 31 December 2023, this was not yet technically possible for DKB, meaning that no definite allocation was possible. Accordingly, this was not taken into account for taxonomy alignment. To further increase the existing data base, options should be utilised in future to source qualified energy certificate data from external service providers, in addition to the energy certificates provided in physical form.

As a development bank for subsidised residential construction in Bavaria, BayernLabo is subject to special conditions, especially compared to commercial banks with regular customer contact, which precluded the decision to actively follow up on energy certificates in 2023. This was due in particular to the prevailing structures in the subsidised loan business via public awarding authorities and its fundamental development mandate as a body charged with implementing government housing policy on the basis of government subsidy directives. As such, only taxonomy-eligible exposure for 2023 can be reported. All the necessary measures are currently being taken to request that energy certificates be provided for new applications.

The contribution of the households portfolio for the eligible asset ratio (EAR) is a significant 8.25 percent. The EAR is calculated by dividing the share of taxonomy-eligible exposures by total GAR assets. Exposure to households' high contribution to the EAR stems from the fact that to be classed as taxonomy-eligible it is sufficient to identify the economic activity and be able to attribute it to an environmental goal, and this is generally the case for households. However, it is not

currently possible to prove whether an exposure is taxonomy-aligned for the reasons mentioned above.

The financial guarantees reported (EUR 6,826 million) mainly come from BayernLB. Currently exposures cannot be classified as taxonomy-eligible and therefore not as taxonomy-aligned either, as the requisite data is not available.

Assets under management in the BayernLB Group, which amount to EUR 109,024 million are managed almost exclusively by subsidiaries BayernInvest and Real I.S. The funds under management were not subject to the NFRD as at 31 December 2023. Moreover, there was not sufficient information available regarding the fund units and shares, on the basis of which taxonomy alignment could have been verified. BayernLB therefore reported a GAR of 0 percent with regard to assets under management. In financial year 2024, BayernInvest and Real I.S. will continue to review the classification data provided by data providers in particular, to assess whether there is evidence of taxonomy-alignment.

The BayernLB Group is also publishing all the templates for the extended taxonomy reporting of economic activities in relation to nuclear power and fossil gas for the first time as at 31 December 2023. In this area the BayernLB Group reported a low total exposure of EUR 18 million in relation to fossil gas. The BayernLB Group has no exposure in the economic activity of nuclear energy.

In the BayernLB Group, the implementation of the EU Taxonomy Regulation is interpreted primarily in regulatory terms. The individual units of the BayernLB Group have each drawn up their own Sustainability Strategy. These strategies are regularly reviewed and refined as events demand.

Additional details on specific templates

Since EU taxonomy reporting of counterparties is highly detailed (allocation to the environmental goals), it is not yet fully ensured that the eligible asset ratios broken down by the environmental goals are available from the latest non-financial reports of the counterparties for all taxonomy-eligible exposures to financial undertakings or non-financial undertakings subject to the NFRD with unknown use of proceeds as at 31 December 2023. In cases where it is not possible to split or attribute the taxonomy-eligible IFRS gross carrying amounts to the environmental goals, in Template 1 “Assets for the calculation of GAR” the taxonomy-eligible exposures are only reported in the “Total (CCM + CCA + WTR + CE + PPC + BIO)”⁷³ column under “of which towards taxonomy relevant sectors (Taxonomy-eligible)”. It may therefore arise that in certain rows the sum of the taxonomy-eligible exposures from the individual environmental goals is less than the total stated. This applies similarly to disclosure of the respective KPIs in Template 3.

Since the term “Total applicable KPI” is not currently sufficiently defined in the Nuclear/Fossil Gas Delegated Regulation or the Disclosures Delegated Regulation, the requirements of Template 2 “Taxonomy-aligned economic activities (denominator)” were implemented as follows: Based on the name of Template 2 “Taxonomy-aligned economic activities (denominator)”, the term in row

⁷³ CCM = Climate Change Mitigation / CCA = Climate Change Adaptation / WTR = Water / CE = Circular Economy / PPC = Pollution Prevention and Control / BIO = Biodiversity and Ecosystems

8 of the template, “Total applicable KPI”, must include exposures that are taxonomy-aligned in both the numerator and denominator. As a result, the term also incorporates exposures that are excluded from the numerator for the GAR calculation, e.g. because they are not subject to the NFRD, and can only be included in the denominator. Since there is no requirement to split the gross carrying amounts of exposures only disclosed in the denominator among the various environmental goals, the gross carrying amount calculated in Template 1 “Total GAR assets” is used for the total (CCM+CCA) as well as separately for CCM and CCA. As a result, the amount and the percentages for (CCM+CCA) as well as for CCM and CCA are identical.

For the sake of completeness, all the templates of the EU Taxonomy Regulation, including Nuclear/Fossil Gas, are disclosed below. The templates that refer to figures from the previous year (Disclosure reference date T-1) do not contain any figures, as these disclosures only have to be made for the first time as at 31 December 2023 so no figures for the previous year are available.

In the presentation and calculation of Template 3 “GAR KPI Stock”, the GAR for the individual counterparties is calculated by dividing the respective disclosures on taxonomy-eligibility (numerator) by the overall sum of Total GAR assets (denominator).

In the subsequent disclosures, the cells not to be disclosed as at 31 December 2023 are greyed out accordingly.

EU taxonomy templates⁷⁴

Template 0 – Summary of KPIs to be disclosed by credit institutions under Article 8 Taxonomy Regulation

		Total environmentally sustainable assets	KPI ⁴	KPI ⁵	% coverage (over total assets) ³	% of assets excluded from the numerator of the GAR (Article 7 (2) and (3) and Section 1.1.2. of Annex V)	% of assets excluded from the denominator of the GAR (Article 7 (1)) and Section 1.2.4 of Annex V)
Main KPI	Green asset ratio (GAR) stock	233	0.12%	0.32%	0.08%	74.81%	26.86%

		Total environmentally sustainable activities	KPI	KPI	% coverage (over total assets)	% of assets excluded from the numerator of the GAR (Article 7 (2) and (3) and Section 1.1.2. of Annex V)	% of assets excluded from the denominator of the GAR (Article 7 (1)) and Section 1.2.4 of Annex V)
Additional KPIs	GAR (flow)	N/A	N/A	N/A	N/A	N/A	N/A
	Trading book ¹						
	Financial guarantees	–	–	–			
	Assets under management	–	–	–			
	Fees and commissions income ²						

¹ For credit institutions that do not meet the conditions of Article 94(1) of the CRR or the conditions set out in Article 325a(1) of the CRR

² Fees and commissions income from services other than lending and AuM

Institutions shall disclose forwardlooking information for this KPIs, including information in terms of targets, together with relevant explanations on the methodology applied.

³ % of assets covered by the KPI over banks' total assets

⁴ based on the Turnover KPI of the counterparty

⁵ based on the CapEx KPI of the counterparty, except for lending activities where for general lending Turnover KPI is used

Note 1: Across the reporting templates: cells shaded in black should not be reported.

Note 1: Fees and Commissions (sheet 6) and Trading Book (sheet 7) KPIs shall only apply starting 2026. SMEs' inclusion in these KPI will only applysubject to a positive result of an impact assessment.

⁷⁴ N/A = There is no disclosure because the year-before figures concerned were not reported.

Template 1.1 – Assets for the calculation of GAR – Turnover-based

	a	b	c	d	e	f	g	h	i	j
	Disclosure reference date T									
	Total [gross] carrying amount	Climate change mitigation (CCM) of which towards taxonomy relevant sectors (Taxonomy-eligible)					Climate Change Adaptation (CCA) of which towards taxonomy relevant sectors (Taxonomy-eligible)			
		of which environmentally sustainable (Taxonomy-aligned)			of which environmentally sustainable (Taxonomy-aligned)					
		of which Use of Pro- ceeds	of which transi- tional	of which enab- ling	of which Use of Pro- ceeds	of which enab- ling				
EUR million										
GAR - Covered assets in both numerator and denominator										
Loans and advances, debt securities and equity instruments not HFT eligible for GAR calculation	69,144	20,006	233	32	–	–	–	–	–	–
1 Financial undertakings	18,450	377	–	–	–	–	–	–	–	–
3 Credit institutions	18,278	377	–	–	–	–	–	–	–	–
4 Loans and advances	14,556	1								
5 Debt securities, including UoP	3,711	376								
6 Equity instruments	12									
7 Other financial corporations	172	–								
8 of which investment firms	17	–	–	–	–	–	–	–	–	–
9 Loans and advances										
10 Debt securities, including UoP										
11 Equity instruments	17									
12 of which management companies	–	–	–	–	–	–	–	–	–	–
13 Loans and advances										
14 Debt securities, including UoP										
15 Equity instruments										
16 of which insurance undertakings	82	–	–	–	–	–	–	–	–	–
17 Loans and advances	77	–								
18 Debt securities, including UoP	5									
19 Equity instruments										
20 Non-financial undertakings	5,467	669	233	32	–	–	–	–	–	–
21 Loans and advances	5,432	669	233	32			–	–		
22 Debt securities, including UoP	35									
23 Equity instruments										
24 Households	26,125	16,580								
25 of which loans collateralised by residential immovable property	19,385	16,138								
26 of which building renovation loans	334	334								
27 of which motor vehicle loans	108	108								
28 Local governments financing	19,101	2,380	–	–	–	–	–	–	–	–
29 Housing financing	1,512	1,064								
30 Other local government financing	17,589	1,316								
31 Collateral obtained by taking possession: residential and commercial immovable properties										
Assets excluded from the numerator for GAR calculation (covered in the denominator)										
32	131,609	–	–	–	–	–	–	–	–	–

Template 1.2 – Assets for the calculation of GAR – Turnover-based

		a	b	c	d	e	f	g	h	i	j
		Disclosure reference date T									
		Total [gross] carrying amount	Climate change mitigation (CCM) of which towards taxonomy relevant sectors (Taxonomy-eligible)					Climate Change Adaptation (CCA) of which towards taxonomy relevant sectors (Taxonomy-eligible)			
			of which environmentally sustainable (Taxonomy-aligned)						of which environmentally sustainable (Taxonomy- aligned)		
			of which Use of Pro- ceeds	of which transi- tional	of which enab- ling				of which Use of Pro- ceeds	of which enab- ling	
EUR million											
33	Financial and Non-financial undertakings	127,467									
34	SMEs and NFCs (other than SMEs) not subject to NFRD disclosure obligations	114,841									
35	Loans and advances	111,931									
36	g loans collateralised by commercial immovable property	33,426									
37	of which building renovation loans	5,370									
38	Debt securities	2,602									
39	Equity instruments	307									
40	Non-EU country counterparties not subject to NFRD disclosure obligations	12,626									
41	Loans and advances	10,756									
42	Debt securities	1,819									
43	Equity instruments	51									
44	Derivatives	168									
45	On demand interbank loans	2,338									
46	Cash and cash-related assets	34									
47	Other categories of assets (e.g. Goodwill, commodities etc.)	1,601									
48	Total GAR assets	200,753	20,006	233	32	–	–	–	–	–	–
49	Assets not covered for GAR calculation	73,733									
50	Central governments and Supranational issuers	15,795									
51	Central banks exposure	45,676									
52	Trading book	12,261									
53	Total assets	274,485	20,006	233	32	–	–	–	–	–	–
Off-balance sheet exposures – Corporates subject to NFRD disclosure obligations											
54	Financial guarantees	6,826									
55	Assets under management	109,024									
56	Of which debt securities	96,618									
57	Of which equity instruments	1,591									

Template 1.3 – Assets for the calculation of GAR – Turnover-based

		k	l	m	n	o	p	q	r
		Disclosure reference date T							
		Water and marine resources (WTR)				Circular economy (CE)			
		of which towards taxonomy relevant sectors (Taxonomy-eligible)				of which towards taxonomy relevant sectors (Taxonomy-eligible)			
		of which environmentally sustainable (Taxonomy-aligned)				of which environmentally sustainable (Taxonomy-aligned)			
		of which Use of Pro-ceeds		of which enab-ling		of which Use of Pro-ceeds		of which enab-ling	
EUR million									
	GAR - Covered assets in both numerator and denominator								
1	Loans and advances, debt securities and equity instruments not HFT eligible for GAR calculation	–				–			
2	Financial undertakings	–				–			
3	Credit institutions	–				–			
4	Loans and advances								
5	Debt securities, including UoP								
6	Equity instruments								
7	Other financial corporations								
8	of which investment firms	–				–			
9	Loans and advances								
10	Debt securities, including UoP								
11	Equity instruments								
12	of which management companies	–				–			
13	Loans and advances								
14	Debt securities, including UoP								
15	Equity instruments								
16	of which insurance undertakings	–				–			
17	Loans and advances								
18	Debt securities, including UoP								
19	Equity instruments								
20	Non-financial undertakings	–				–			
21	Loans and advances								
22	Debt securities, including UoP								
23	Equity instruments								
24	Households								
25	of which loans collateralised by residential immovable property								
26	of which building renovation loans								
27	of which motor vehicle loans								
28	Local governments financing	–				–			
29	Housing financing								
30	Other local government financing								
31	Collateral obtained by taking possession: residential and commercial immovable properties								
32	Assets excluded from the numerator for GAR calculation (covered in the denominator)	–				–			

Template 1.4 – Assets for the calculation of GAR – Turnover-based

		k	l	m	n	o	p	q	r
		Disclosure reference date T							
		Water and marine resources (WTR)				Circular economy (CE)			
		of which towards taxonomy relevant sectors (Taxonomy-eligible)				of which towards taxonomy relevant sectors (Taxonomy-eligible)			
		of which environmentally sustainable (Taxonomy-aligned)				of which environmentally sustainable (Taxonomy-aligned)			
			of which Use of Proceeds	of which enabling			of which Use of Proceeds	of which enabling	
EUR million									
33	Financial and Non-financial undertakings								
34	SMEs and NFCs (other than SMEs) not subject to NFRD disclosure obligations								
35	Loans and advances								
36	of which loans collateralised by commercial immovable property								
37	of which building renovation loans								
38	Debt securities, including UoP								
39	Equity instruments								
40	Non-EU country counterparties not subject to NFRD disclosure obligations								
41	Loans and advances								
42	Debt securities, including UoP								
43	Equity instruments								
44	Derivatives								
45	On demand interbank loans								
46	Cash and cash-related assets								
47	Other categories of assets (e.g. Goodwill, commodities etc.)								
48	Total GAR assets	–				–			
49	Assets not covered for GAR calculation								
50	Central governments and Supranational issuers								
51	Central banks exposure								
52	Trading book								
53	Total assets	–				–			
Off-balance sheet exposures – Corporates subject to NFRD disclosure obligations									
54	Financial guarantees								
55	Assets under management								
56	Of which debt securities								
57	Of which equity instruments								

Template 1.5 – Assets for the calculation of GAR – Turnover-based

		s	t	u	v	w	x	z	aa
		Disclosure reference date T							
		Pollution (PPC)				Biodiversity and Ecosystems (BIO)			
		of which towards taxonomy relevant sectors (Taxonomy-eligible)				of which towards taxonomy relevant sectors (Taxonomy-eligible)			
		of which environmentally sustainable (Taxonomy-aligned)				of which environmentally sustainable (Taxonomy-aligned)			
		of which Use of Proceeds		of which enabling		of which Use of Proceeds		of which enabling	
EUR million									
	GAR - Covered assets in both numerator and denominator								
1	Loans and advances, debt securities and equity instruments not HFT eligible for GAR calculation	–				–			
2	Financial undertakings	–				–			
3	Credit institutions	–				–			
4	Loans and advances								
5	Debt securities, including UoP								
6	Equity instruments								
7	Other financial corporations								
8	of which investment firms	–				–			
9	Loans and advances								
10	Debt securities, including UoP								
11	Equity instruments								
12	of which management companies	–				–			
13	Loans and advances								
14	Debt securities, including UoP								
15	Equity instruments								
16	of which insurance undertakings	–				–			
17	Loans and advances								
18	Debt securities, including UoP								
19	Equity instruments								
20	Non-financial undertakings	–				–			
21	Loans and advances								
22	Debt securities, including UoP								
23	Equity instruments								
24	Households								
25	of which loans collateralised by residential immovable property								
26	of which building renovation loans								
27	of which motor vehicle loans								
28	Local governments financing	–				–			
29	Housing financing								
30	Other local government financing								
31	Collateral obtained by taking possession: residential and commercial immovable properties								
32	Assets excluded from the numerator for GAR calculation (covered in the denominator)	–				–			

Template 1.6 – Assets for the calculation of GAR – Turnover-based

		s	t	u	v	w	x	z	aa
		Disclosure reference date T							
		Pollution (PPC)				Biodiversity and Ecosystems (BIO)			
		of which towards taxonomy relevant sectors (Taxonomy-eligible)				of which towards taxonomy relevant sectors (Taxonomy-eligible)			
		of which environmentally sustainable (Taxonomy-aligned)				of which environmentally sustainable (Taxonomy-aligned)			
		of which Use of Proceeds		of which enabling		of which Use of Proceeds		of which enabling	
EUR million									
33	Financial and Non-financial undertakings								
34	SMEs and NFCs (other than SMEs) not subject to NFRD disclosure obligations								
35	Loans and advances								
36	of which loans collateralised by commercial immovable property								
37	of which building renovation loans								
38	Debt securities, including UoP								
39	Equity instruments								
40	Non-EU country counterparties not subject to NFRD disclosure obligations								
41	Loans and advances								
42	Debt securities, including UoP								
43	Equity instruments								
44	Derivatives								
45	On demand interbank loans								
46	Cash and cash-related assets								
47	Other categories of assets (e.g. Goodwill, commodities etc.)								
48	Total GAR assets	–				–			
49	Assets not covered for GAR calculation								
50	Central governments and Supranational issuers								
51	Central banks exposure								
52	Trading book								
53	Total assets	–				–			
Off-balance sheet exposures – Corporates subject to NFRD disclosure obligations									
54	Financial guarantees								
55	Assets under management								
56	Of which debt securities								
57	Of which equity instruments								

Template 1.7 – Assets for the calculation of GAR – Turnover-based

		ab	ac	ad	ae	af
		Disclosure reference date T				
		TOTAL (CCM + CCA + WTR + CE + PPC + BIO)				
		of which towards taxonomy relevant sectors (Taxonomy-eligible)				
		of which environmentally sustainable (Taxonomy-aligned)				
				of which Use of Proceeds	of which transi- tional	of which enabling
EUR million						
	GAR - Covered assets in both numerator and denominator					
1	Loans and advances, debt securities and equity instruments not HFT eligible for GAR calculation	23,670	233	32	–	–
2	Financial undertakings	3,362	–	–	–	–
3	Credit institutions	3,362	–	–	–	–
4	Loans and advances	2,986	–	–	–	–
5	Debt securities, including UoP	376	–	–	–	–
6	Equity instruments	–	–		–	–
7	Other financial corporations	–	–	–	–	–
8	of which investment firms	–	–	–	–	–
9	Loans and advances	–	–	–	–	–
10	Debt securities, including UoP	–	–	–	–	–
11	Equity instruments	–	–		–	–
12	of which management companies	–	–	–	–	–
13	Loans and advances	–	–	–	–	–
14	Debt securities, including UoP	–	–	–	–	–
15	Equity instruments	–	–		–	–
16	of which insurance undertakings	–	–	–	–	–
17	Loans and advances	–	–	–	–	–
18	Debt securities, including UoP	–	–	–	–	–
19	Equity instruments	–	–		–	–
20	Non-financial undertakings	1,348	233	32	–	–
21	Loans and advances	1,348	233	32	–	–
22	Debt securities, including UoP	–	–	–	–	–
23	Equity instruments	–	–		–	–
24	Households	16,580	–	–	–	–
25	of which loans collateralised by residential immovable property	16,138	–	–	–	–
26	of which building renovation loans	334	–	–	–	–
27	of which motor vehicle loans	108	–	–	–	–
28	Local governments financing	2,380	–	–	–	–
29	Housing financing	1,064	–	–	–	–
30	Other local government financing	1,316	–	–	–	–
31	Collateral obtained by taking possession: residential and commercial immovable properties	–	–	–	–	–
32	Assets excluded from the numerator for GAR calculation (covered in the denominator)	–	–	–	–	–

Template 1.8 – Assets for the calculation of GAR – Turnover-based

		ab	ac	ad	ae	af
		Disclosure reference date T				
		TOTAL (CCM + CCA + WTR + CE + PPC + BIO)				
		of which towards taxonomy relevant sectors (Taxonomy-eligible)				
		of which environmentally sustainable (Taxonomy-aligned)				
				of which Use of Proceeds	of which transi- tional	of which enabling
	EUR million					
33	Financial and Non-financial undertakings					
34	SMEs and NFCs (other than SMEs) not subject to NFRD disclosure obligations					
35	Loans and advances					
36	of which loans collateralised by commercial immovable property					
37	of which building renovation loans					
38	Debt securities, including UoP					
39	Equity instruments					
40	Non-EU country counterparties not subject to NFRD disclosure obligations					
41	Loans and advances					
42	Debt securities, including UoP					
43	Equity instruments					
44	Derivatives					
45	On demand interbank loans					
46	Cash and cash-related assets					
47	Other categories of assets (e.g. Goodwill, commodities etc.)					
48	Total GAR assets	23,670	233	32	–	–
49	Assets not covered for GAR calculation					
50	Central governments and Supranational issuers					
51	Central banks exposure					
52	Trading book					
53	Total assets	23,670	233	32	–	–
Off-balance sheet exposures – Corporates subject to NFRD disclosure obligations						
54	Financial guarantees	–	–	–	–	–
55	Assets under management	–	–	–	–	–
56	Of which debt securities	–	–	–	–	–
57	Of which equity instruments	–	–	–	–	–

Template 1.9 – Assets for the calculation of GAR – Turnover-based

		ag	ah	ai	aj	ak	al	am	an	ao	ap
		Disclosure reference date T-1									
	Total [gross] carrying amount	Climate change mitigation (CCM) of which towards taxonomy relevant sectors (Taxonomy-eligible)					Climate Change Adaptation (CCA) of which towards taxonomy relevant sectors (Taxonomy-eligible)				
		of which environmentally sustainable (Taxonomy-aligned)			of which environmentally sustainable (Taxonomy-aligned)			of which environmentally sustainable (Taxonomy-aligned)			
		of which Use of Pro- ceeds	of which transi- tional	of which enab- ling	of which Use of Pro- ceeds	of which transi- tional	of which enab- ling	of which Use of Pro- ceeds	of which transi- tional	of which enab- ling	
EUR million											
GAR - Covered assets in both numerator and denominator											
1	Loans and advances, debt securities and equity instruments not HFT eligible for GAR calculation	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
2	Financial undertakings	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
3	Credit institutions	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
4	Loans and advances	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
5	Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
6	Equity instruments	N/A	N/A	N/A		N/A	N/A	N/A	N/A		N/A
7	Other financial corporations	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
8	of which investment firms	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
9	Loans and advances	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
10	Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
11	Equity instruments	N/A	N/A	N/A		N/A	N/A	N/A	N/A		N/A
12	of which management companies	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
13	Loans and advances	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
14	Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
15	Equity instruments	N/A	N/A	N/A		N/A	N/A	N/A	N/A		N/A
16	of which insurance undertakings	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
17	Loans and advances	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
18	Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
19	Equity instruments	N/A	N/A	N/A		N/A	N/A	N/A	N/A		N/A
20	Non-financial undertakings	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
21	Loans and advances	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
22	Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
23	Equity instruments	N/A	N/A	N/A		N/A	N/A	N/A	N/A		N/A
24	Households	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
25	of which loans collateralised by residential immovable property	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
26	of which building renovation loans	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
27	of which motor vehicle loans	N/A	N/A	N/A	N/A	N/A	N/A				
28	Local governments financing	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
29	Housing financing	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
30	Other local government financing	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
31	Collateral obtained by taking possession: residential and commercial immovable properties	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
32	Assets excluded from the numerator for GAR calculation (covered in the denominator)	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A

Template 1.10 – Assets for the calculation of GAR – Turnover-based

		ag	ah	ai	aj	ak	al	am	an	ao	ap
		Disclosure reference date T-1									
		Total [gross] carrying amount	Climate change mitigation (CCM)					Climate Change Adaptation (CCA)			
			of which towards taxonomy relevant sectors (Taxonomy-eligible)					of which towards taxonomy relevant sectors (Taxonomy-eligible)			
			of which environmentally sustainable (Taxonomy-aligned)					of which environmentally sustainable (Taxonomy- aligned)			
			of which Use of Pro- ceeds			of which transi- tional	of which enab- ling	of which Use of Pro- ceeds			of which enab- ling
EUR million											
33	Financial and Non-financial undertakings										
34	SMEs and NFCs (other than SMEs) not subject to NFRD disclosure obligations										
35	Loans and advances										
36	of which loans collateralised by commercial immovable property										
37	of which building renovation loans										
38	Debt securities, including UoP										
39	Equity instruments										
40	Non-EU country counterparties not subject to NFRD disclosure obligations										
41	Loans and advances										
42	Debt securities, including UoP										
43	Equity instruments										
44	Derivatives										
45	On demand interbank loans										
46	Cash and cash-related assets										
47	Other categories of assets (e.g. Goodwill, commodities etc.)										
48	Total GAR assets	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
49	Assets not covered for GAR calculation										
50	Central governments and Supranational issuers										
51	Central banks exposure										
52	Trading book										
53	Total assets	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Off-balance sheet exposures – Corporates subject to NFRD disclosure obligations											
54	Financial guarantees	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
55	Assets under management	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
56	Of which debt securities	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
57	Of which equity instruments	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A

Template 1.11 – Assets for the calculation of GAR – Turnover-based

		aq	ar	as	at	au	av	aw	ax
		Disclosure reference date T-1							
		Water and marine resources (WTR)				Circular economy (CE)			
		of which towards taxonomy relevant sectors (Taxonomy-eligible)				of which towards taxonomy relevant sectors (Taxonomy-eligible)			
		of which environmentally sustainable (Taxonomy-aligned)				of which environmentally sustainable (Taxonomy-aligned)			
		of which Use of Proceeds		of which enabling		of which Use of Proceeds		of which enabling	
EUR million									
GAR - Covered assets in both numerator and denominator									
1	Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	N/A				N/A			
2	Financial undertakings	N/A				N/A			
3	Credit institutions	N/A				N/A			
4	Loans and advances	N/A				N/A			
5	Debt securities, including UoP	N/A				N/A			
6	Equity instruments	N/A				N/A			
7	Other financial corporations	N/A				N/A			
8	of which investment firms	N/A				N/A			
9	Loans and advances	N/A				N/A			
10	Debt securities, including UoP	N/A				N/A			
11	Equity instruments	N/A				N/A			
12	of which management companies	N/A				N/A			
13	Loans and advances	N/A				N/A			
14	Debt securities, including UoP	N/A				N/A			
15	Equity instruments	N/A				N/A			
16	of which insurance undertakings	N/A				N/A			
17	Loans and advances	N/A				N/A			
18	Debt securities, including UoP	N/A				N/A			
19	Equity instruments	N/A				N/A			
20	Non-financial undertakings	N/A				N/A			
21	Loans and advances	N/A				N/A			
22	Debt securities, including UoP	N/A				N/A			
23	Equity instruments	N/A				N/A			
24	Households					N/A			
25	of which loans collateralised by residential immovable property					N/A			
26	of which building renovation loans					N/A			
27	of which motor vehicle loans								
28	Local governments financing	N/A				N/A			
29	Housing financing	N/A				N/A			
30	Other local government financing	N/A				N/A			
31	Collateral obtained by taking possession: residential and commercial immovable properties	N/A				N/A			
32	Assets excluded from the numerator for GAR calculation (covered in the denominator)	N/A				N/A			

Template 1.12 – Assets for the calculation of GAR – Turnover-based

		aq	ar	as	at	au	av	aw	ax
		Disclosure reference date T-1							
		Water and marine resources (WTR)				Circular economy (CE)			
		of which towards taxonomy relevant sectors (Taxonomy-eligible)				of which towards taxonomy relevant sectors (Taxonomy-eligible)			
		of which environmentally sustainable (Taxonomy-aligned)				of which environmentally sustainable (Taxonomy-aligned)			
		of which Use of Proceeds		of which enabling		of which Use of Proceeds		of which enabling	
EUR million									
33	Financial and Non-financial undertakings								
34	SMEs and NFCs (other than SMEs) not subject to NFRD disclosure obligations								
35	Loans and advances								
36	of which loans collateralised by commercial immovable property								
37	of which building renovation loans								
38	Debt securities, including UoP								
39	Equity instruments								
40	Non-EU country counterparties not subject to NFRD disclosure obligations								
41	Loans and advances								
42	Debt securities, including UoP								
43	Equity instruments								
44	Derivatives								
45	On demand interbank loans								
46	Cash and cash-related assets								
47	Other categories of assets (e.g. Goodwill, commodities etc.)								
48	Total GAR assets	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
49	Assets not covered for GAR calculation								
50	Central governments and Supranational issuers								
51	Central banks exposure								
52	Trading book								
53	Total assets	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Off-balance sheet exposures – Corporates subject to NFRD disclosure obligations									
54	Financial guarantees	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
55	Assets under management	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
56	Of which debt securities	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
57	Of which equity instruments	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A

Template 1.13 – Assets for the calculation of GAR – Turnover-based

		ay	az	ba	bb	bc	bd	be	bf
		Disclosure reference date T-1							
		Pollution (PPC)				Biodiversity and Ecosystems (BIO)			
		of which towards taxonomy relevant sectors (Taxonomy-eligible)				of which towards taxonomy relevant sectors (Taxonomy-eligible)			
		of which environmentally sustainable (Taxonomy-aligned)				of which environmentally sustainable (Taxonomy-aligned)			
				of which Use of Proceeds	of which enabling			of which Use of Proceeds	of which enabling
	EUR million								
	GAR - Covered assets in both numerator and denominator								
1	Loans and advances, debt securities and equity instruments not HFT eligible for GAR calculation	N/A				N/A			
2	Financial undertakings	N/A				N/A			
3	Credit institutions	N/A				N/A			
4	Loans and advances	N/A				N/A			
5	Debt securities, including UoP	N/A				N/A			
6	Equity instruments	N/A				N/A			
7	Other financial corporations	N/A				N/A			
8	of which investment firms	N/A				N/A			
9	Loans and advances	N/A				N/A			
10	Debt securities, including UoP	N/A				N/A			
11	Equity instruments	N/A				N/A			
12	of which management companies	N/A				N/A			
13	Loans and advances	N/A				N/A			
14	Debt securities, including UoP	N/A				N/A			
15	Equity instruments	N/A				N/A			
16	of which insurance undertakings	N/A				N/A			
17	Loans and advances	N/A				N/A			
18	Debt securities, including UoP	N/A				N/A			
19	Equity instruments	N/A				N/A			
20	Non-financial undertakings	N/A				N/A			
21	Loans and advances	N/A				N/A			
22	Debt securities, including UoP	N/A				N/A			
23	Equity instruments	N/A				N/A			
24	Households								
25	of which loans collateralised by residential immovable property								
26	of which building renovation loans								
27	of which motor vehicle loans								
28	Local governments financing	N/A				N/A			
29	Housing financing	N/A				N/A			
30	Other local government financing	N/A				N/A			
31	Collateral obtained by taking possession: residential and commercial immovable properties	N/A				N/A			
32	Assets excluded from the numerator for GAR calculation (covered in the denominator)	N/A				N/A			

Template 1.14 – Assets for the calculation of GAR – Turnover-based

		ay	az	ba	bb	bc	bd	be	bf
		Disclosure reference date T-1							
		Pollution (PPC)				Biodiversity and Ecosystems (BIO)			
		of which towards taxonomy relevant sectors (Taxonomy-eligible)				of which towards taxonomy relevant sectors (Taxonomy-eligible)			
		of which environmentally sustainable (Taxonomy-aligned)				of which environmentally sustainable (Taxonomy-aligned)			
				of which Use of Proceeds	of which enabling			of which Use of Proceeds	of which enabling
EUR million									
33	Financial and Non-financial undertakings								
34	SMEs and NFCs (other than SMEs) not subject to NFRD disclosure obligations								
35	Loans and advances								
36	of which loans collateralised by commercial immovable property								
37	of which building renovation loans								
38	Debt securities, including UoP								
39	Equity instruments								
40	Non-EU country counterparties not subject to NFRD disclosure obligations								
41	Loans and advances								
42	Debt securities, including UoP								
43	Equity instruments								
44	Derivatives								
45	On demand interbank loans								
46	Cash and cash-related assets								
47	Other categories of assets (e.g. Goodwill, commodities etc.)								
48	Total GAR assets	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
49	Assets not covered for GAR calculation								
50	Central governments and Supranational issuers								
51	Central banks exposure								
52	Trading book								
53	Total assets	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Off-balance sheet exposures – Corporates subject to NFRD disclosure obligations									
54	Financial guarantees	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
55	Assets under management	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
56	Of which debt securities	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
57	Of which equity instruments	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A

Template 1.15 – Assets for the calculation of GAR – Turnover-based

		bg	bh	bi	bj	bk
		Disclosure reference date T-1				
		TOTAL (CCM + CCA + WTR + CE + PPC + BIO)				
		of which towards taxonomy relevant sectors (Taxonomy-eligible)				
		of which environmentally sustainable (Taxonomy-aligned)				
EUR million				of which Use of Proceeds	of which transitional	of which enabling
GAR - Covered assets in both numerator and denominator						
1	Loans and advances, debt securities and equity instruments not HFT eligible for GAR calculation	N/A	N/A	N/A	N/A	N/A
2	Financial undertakings	N/A	N/A	N/A	N/A	N/A
3	Credit institutions	N/A	N/A	N/A	N/A	N/A
4	Loans and advances	N/A	N/A	N/A	N/A	N/A
5	Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A
6	Equity instruments	N/A	N/A		N/A	N/A
7	Other financial corporations	N/A	N/A	N/A	N/A	N/A
8	of which investment firms	N/A	N/A	N/A	N/A	N/A
9	Loans and advances	N/A	N/A	N/A	N/A	N/A
10	Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A
11	Equity instruments	N/A	N/A		N/A	N/A
12	of which management companies	N/A	N/A	N/A	N/A	N/A
13	Loans and advances	N/A	N/A	N/A	N/A	N/A
14	Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A
15	Equity instruments	N/A	N/A		N/A	N/A
16	of which insurance undertakings	N/A	N/A	N/A	N/A	N/A
17	Loans and advances	N/A	N/A	N/A	N/A	N/A
18	Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A
19	Equity instruments	N/A	N/A		N/A	N/A
20	Non-financial undertakings	N/A	N/A	N/A	N/A	N/A
21	Loans and advances	N/A	N/A	N/A	N/A	N/A
22	Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A
23	Equity instruments	N/A	N/A		N/A	N/A
24	Households	N/A	N/A	N/A	N/A	N/A
25	of which loans collateralised by residential immovable property	N/A	N/A	N/A	N/A	N/A
26	of which building renovation loans	N/A	N/A	N/A	N/A	N/A
27	of which motor vehicle loans	N/A	N/A	N/A	N/A	N/A
28	Local governments financing	N/A	N/A	N/A	N/A	N/A
29	Housing financing	N/A	N/A	N/A	N/A	N/A
30	Other local government financing	N/A	N/A	N/A	N/A	N/A
31	Collateral obtained by taking possession: residential and commercial immovable properties	N/A	N/A	N/A	N/A	N/A
32	Assets excluded from the numerator for GAR calculation (covered in the denominator)	N/A	N/A	N/A	N/A	N/A

Template 1.16 – Assets for the calculation of GAR – Turnover-based

		bg	bh	bi	bj	bk
		Disclosure reference date T-1				
		TOTAL (CCM + CCA + WTR + CE + PPC + BIO)				
		of which towards taxonomy relevant sectors (Taxonomy-eligible)				
		of which environmentally sustainable (Taxonomy-aligned)				
				of which Use of Proceeds	of which transitional	of which enabling
EUR million						
33	Financial and Non-financial undertakings					
34	SMEs and NFCs (other than SMEs) not subject to NFRD disclosure obligations					
35	Loans and advances					
36	of which loans collateralised by commercial immovable property					
37	of which building renovation loans					
38	Debt securities, including UoP					
39	Equity instruments					
40	Non-EU country counterparties not subject to NFRD disclosure obligations					
41	Loans and advances					
42	Debt securities, including UoP					
43	Equity instruments					
44	Derivatives					
45	On demand interbank loans					
46	Cash and cash-related assets					
47	Other categories of assets (e.g. Goodwill, commodities etc.)					
48	Total GAR assets	N/A	N/A	N/A	N/A	N/A
49	Assets not covered for GAR calculation					
50	Central governments and Supranational issuers					
51	Central banks exposure					
52	Trading book					
53	Total assets	N/A	N/A	N/A	N/A	N/A
Off-balance sheet exposures – Corporates subject to NFRD disclosure obligations						
54	Financial guarantees	N/A	N/A	N/A	N/A	N/A
55	Assets under management	N/A	N/A	N/A	N/A	N/A
56	Of which debt securities	N/A	N/A	N/A	N/A	N/A
57	Of which equity instruments	N/A	N/A	N/A	N/A	N/A

- 1 This template shall include information for loans and advances, debt securities and equity instruments in the banking book, towards financial corporates, non-financial corporates (NFC), including SMEs, households (including residential real estate, house renovation loans and motor vehicle loans only) and local governments/municipalities (house financing).
- 2 The following accounting categories of financial assets should be considered: Financial assets at amortised cost, financial asset at fair value through other comprehensive income, investments in subsidiaries, joint ventures and associates, financial assets designated at fair value through profit or loss and non-trading financial assets mandatorily at fair value through profit or loss, and real estate collaterals obtained by credit institutions by taking possession in exchange in of cancellation of debts.
- 3 Banks with non-EU subsidiary should provide this information separately for exposures towards non-EU counterparties. For non-EU exposures, while there are additional challenges in terms of absence of common disclosure requirements and methodology, as the EU taxonomy and the NFRD apply only at EU level, given the relevance of these exposures for those credit institutions with non-EU subsidiaries, these institutions should disclose a separate GAR for non-EU exposures, on a best effort basis, in the form of estimates and ranges, using proxies, and explaining the assumptions, caveats and limitations.
- 4 For motor vehicle loans, institutions shall only include those exposures generated after the date of application of the disclosure.

Template 1.1 – Assets for the calculation of GAR – CapEx-based

		a	b	c	d	e	f	g	h	i	j
		Disclosure reference date T									
	Total [gross] carrying amount	Climate change mitigation (CCM) of which towards taxonomy relevant sectors (Taxonomy-eligible)					Climate Change Adaptation (CCA) of which towards taxonomy relevant sectors (Taxonomy-eligible)				
		of which environmentally sustainable (Taxonomy-aligned)			of which environmentally sustainable (Taxonomy-aligned)			of which environmentally sustainable (Taxonomy-aligned)			
		of which Use of Pro- ceeds	of which transi- tional	of which enab- ling	of which Use of Pro- ceeds	of which transi- tional	of which enab- ling	of which Use of Pro- ceeds	of which transi- tional	of which enab- ling	
EUR million											
GAR - Covered assets in both numerator and denominator											
1	Loans and advances, debt securities and equity instruments not HFT eligible for GAR calculation	69,144	20,438	647	32	–	–	–	–	–	–
2	Financial undertakings	18,450	377	–	–	–	–	–	–	–	–
3	Credit institutions	18,278	377	–	–	–	–	–	–	–	–
4	Loans and advances	14,556	1								
5	Debt securities, including UoP	3,711	376								
6	Equity instruments	12									
7	Other financial corporations	172									
8	of which investment firms	17	–	–	–	–	–	–	–	–	–
9	Loans and advances										
10	Debt securities, including UoP										
11	Equity instruments	17									
12	of which management companies	–	–	–	–	–	–	–	–	–	–
13	Loans and advances										
14	Debt securities, including UoP										
15	Equity instruments										
16	of which insurance undertakings	82	–	–	–	–	–	–	–	–	–
17	Loans and advances	77									
18	Debt securities, including UoP	5									
19	Equity instruments										
20	Non-financial undertakings	5,467	1,101	647	32	–	–	–	–	–	–
21	Loans and advances	5,432	1,101	647	32						
22	Debt securities, including UoP	35									
23	Equity instruments										
24	Households	26,125	16,580								
25	of which loans collateralised by residential immovable property	19,385	16,138								
26	of which building renovation loans	334	334								
27	of which motor vehicle loans	108	108								
28	Local governments financing	19,101	2,380	–	–	–	–	–	–	–	–
29	Housing financing	1,512	1,064								
30	Other local government financing	17,589	1,316								
31	Collateral obtained by taking possession: residential and commercial immovable properties										
32	Assets excluded from the numerator for GAR calculation (covered in the denominator)	131,609	–	–	–	–	–	–	–	–	–

Template 1.2 – Assets for the calculation of GAR – CapEx-based

		a	b	c	d	e	f	g	h	i	j
		Disclosure reference date T									
		Total [gross] carrying amount	Climate change mitigation (CCM) of which towards taxonomy relevant sectors (Taxonomy-eligible)					Climate Change Adaptation (CCA) of which towards taxonomy relevant sectors (Taxonomy-eligible)			
			of which environmentally sustainable (Taxonomy-aligned)						of which environmentally sustainable (Taxonomy- aligned)		
			of which Use of Pro- ceeds	of which transi- tional	of which enab- ling				of which Use of Pro- ceeds	of which enab- ling	
EUR million											
33	Financial and Non-financial undertakings	127,467									
34	SMEs and NFCs (other than SMEs) not subject to NFRD disclosure obligations	114,841									
35	Loans and advances	111,931									
36	of which loans collateralised by commercial immovable property	33,426									
37	of which building renovation loans	5,370									
38	Debt securities	2,602									
39	Equity instruments	307									
40	Non-EU country counterparties not subject to NFRD disclosure obligations	12,626									
41	Loans and advances	10,756									
42	Debt securities	1,819									
43	Equity instruments	51									
44	Derivatives	168									
45	On demand interbank loans	2,338									
46	Cash and cash-related assets	34									
47	Other categories of assets (e.g. Goodwill, commodities etc.)	1,601									
48	Total GAR assets	200,752	20,438	647	32	–	–	–	–	–	–
49	Assets not covered for GAR calculation	73,733									
50	Central governments and Supranational issuers	15,795									
51	Central banks exposure	45,676									
52	Trading book	12,261									
53	Total assets	274,485	20,438	647	32	–	–	–	–	–	–
Off-balance sheet exposures – Corporates subject to NFRD disclosure obligations											
54	Financial guarantees	6,826									
55	Assets under management	109,024									
56	Of which debt securities	96,618									
57	Of which equity instruments	1,591									

Template 1.3 – Assets for the calculation of GAR – CapEx-based

		k	l	m	n	o	p	q	r
		Disclosure reference date T							
		Water and marine resources (WTR)				Circular economy (CE)			
		of which towards taxonomy relevant sectors (Taxonomy-eligible)				of which towards taxonomy relevant sectors (Taxonomy-eligible)			
		of which environmentally sustainable (Taxonomy-aligned)				of which environmentally sustainable (Taxonomy-aligned)			
		of which Use of Pro-ceeds		of which enab-ling		of which Use of Pro-ceeds		of which enab-ling	
EUR million									
GAR - Covered assets in both numerator and denominator									
1	Loans and advances, debt securities and equity instruments not HFT eligible for GAR calculation	–				–			
2	Financial undertakings	–				–			
3	Credit institutions	–				–			
4	Loans and advances								
5	Debt securities, including UoP								
6	Equity instruments								
7	Other financial corporations								
8	of which investment firms	–				–			
9	Loans and advances								
10	Debt securities, including UoP								
11	Equity instruments								
12	of which management companies	–				–			
13	Loans and advances								
14	Debt securities, including UoP								
15	Equity instruments								
16	of which insurance undertakings	–				–			
17	Loans and advances								
18	Debt securities, including UoP								
19	Equity instruments								
20	Non-financial undertakings	–				–			
21	Loans and advances								
22	Debt securities, including UoP								
23	Equity instruments								
24	Households								
25	of which loans collateralised by residential immovable property								
26	of which building renovation loans								
27	of which motor vehicle loans								
28	Local governments financing	–				–			
29	Housing financing								
30	Other local government financing								
31	Collateral obtained by taking possession: residential and commercial immovable properties								
32	Assets excluded from the numerator for GAR calculation (covered in the denominator)	–				–			

Template 1.4 – Assets for the calculation of GAR – CapEx-based

		k	l	m	n	o	p	q	r
		Disclosure reference date T							
		Water and marine resources (WTR)				Circular economy (CE)			
		of which towards taxonomy relevant sectors (Taxonomy-eligible)				of which towards taxonomy relevant sectors (Taxonomy-eligible)			
		of which environmentally sustainable (Taxonomy-aligned)				of which environmentally sustainable (Taxonomy-aligned)			
			of which Use of Proceeds	of which enabling			of which Use of Proceeds	of which enabling	
EUR million									
33	Financial and Non-financial undertakings								
34	SMEs and NFCs (other than SMEs) not subject to NFRD disclosure obligations								
35	Loans and advances								
36	of which loans collateralised by commercial immovable property								
37	of which building renovation loans								
38	Debt securities, including UoP								
39	Equity instruments								
40	Non-EU country counterparties not subject to NFRD disclosure obligations								
41	Loans and advances								
42	Debt securities, including UoP								
43	Equity instruments								
44	Derivatives								
45	On demand interbank loans								
46	Cash and cash-related assets								
47	Other categories of assets (e.g. Goodwill, commodities etc.)								
48	Total GAR assets	–				–			
49	Assets not covered for GAR calculation								
50	Central governments and Supranational issuers								
51	Central banks exposure								
52	Trading book								
53	Total assets	–				–			
Off-balance sheet exposures – Corporates subject to NFRD disclosure obligations									
54	Financial guarantees								
55	Assets under management								
56	Of which debt securities								
57	Of which equity instruments								

Template 1.5 – Assets for the calculation of GAR – CapEx-based

		s	t	u	v	w	x	z	aa
		Disclosure reference date T							
		Pollution (PPC)				Biodiversity and Ecosystems (BIO)			
		of which towards taxonomy relevant sectors (Taxonomy-eligible)				of which towards taxonomy relevant sectors (Taxonomy-eligible)			
		of which environmentally sustainable (Taxonomy-aligned)				of which environmentally sustainable (Taxonomy-aligned)			
		of which Use of Proceeds		of which enabling		of which Use of Proceeds		of which enabling	
	EUR million								
	GAR - Covered assets in both numerator and denominator								
1	Loans and advances, debt securities and equity instruments not HFT eligible for GAR calculation	–				–			
2	Financial undertakings	–				–			
3	Credit institutions	–				–			
4	Loans and advances								
5	Debt securities, including UoP								
6	Equity instruments								
7	Other financial corporations								
8	of which investment firms	–				–			
9	Loans and advances								
10	Debt securities, including UoP								
11	Equity instruments								
12	of which management companies	–				–			
13	Loans and advances								
14	Debt securities, including UoP								
15	Equity instruments								
16	of which insurance undertakings	–				–			
17	Loans and advances								
18	Debt securities, including UoP								
19	Equity instruments								
20	Non-financial undertakings	–				–			
21	Loans and advances								
22	Debt securities, including UoP								
23	Equity instruments								
24	Households								
25	of which loans collateralised by residential immovable property								
26	of which building renovation loans								
27	of which motor vehicle loans								
28	Local governments financing	–				–			
29	Housing financing								
30	Other local government financing								
31	Collateral obtained by taking possession: residential and commercial immovable properties								
32	Assets excluded from the numerator for GAR calculation (covered in the denominator)	–				–			

Template 1.6 – Assets for the calculation of GAR – CapEx-based

		s	t	u	v	w	x	z	aa
		Disclosure reference date T							
		Pollution (PPC)				Biodiversity and Ecosystems (BIO)			
		of which towards taxonomy relevant sectors (Taxonomy-eligible)				of which towards taxonomy relevant sectors (Taxonomy-eligible)			
		of which environmentally sustainable (Taxonomy-aligned)				of which environmentally sustainable (Taxonomy-aligned)			
			of which Use of Proceeds	of which enabling			of which Use of Proceeds	of which enabling	
EUR million									
33	Financial and Non-financial undertakings								
34	SMEs and NFCs (other than SMEs) not subject to NFRD disclosure obligations								
35	Loans and advances								
36	of which loans collateralised by commercial immovable property								
37	of which building renovation loans								
38	Debt securities, including UoP								
39	Equity instruments								
40	Non-EU country counterparties not subject to NFRD disclosure obligations								
41	Loans and advances								
42	Debt securities, including UoP								
43	Equity instruments								
44	Derivatives								
45	On demand interbank loans								
46	Cash and cash-related assets								
47	Other categories of assets (e.g. Goodwill, commodities etc.)								
48	Total GAR assets	–				–			
49	Assets not covered for GAR calculation								
50	Central governments and Supranational issuers								
51	Central banks exposure								
52	Trading book								
53	Total assets	–				–			
Off-balance sheet exposures – Corporates subject to NFRD disclosure obligations									
54	Financial guarantees								
55	Assets under management								
56	Of which debt securities								
57	Of which equity instruments								

Template 1.7 – Assets for the calculation of GAR – CapEx-based

		ab	ac	ad	ae	af
		Disclosure reference date T				
		TOTAL (CCM + CCA + WTR + CE + PPC + BIO)				
		of which towards taxonomy relevant sectors (Taxonomy-eligible)				
		of which environmentally sustainable (Taxonomy-aligned)				
				of which Use of Proceeds	of which transitional	of which enabling
	EUR million					
	GAR - Covered assets in both numerator and denominator					
1	Loans and advances, debt securities and equity instruments not HFT eligible for GAR calculation	24,314	648	32	–	–
2	Financial undertakings	3,362	–	–	–	–
3	Credit institutions	3,362	–	–	–	–
4	Loans and advances	2,986	–	–	–	–
5	Debt securities, including UoP	376	–	–	–	–
6	Equity instruments	–	–		–	–
7	Other financial corporations	–	–	–	–	–
8	of which investment firms	–	–	–	–	–
9	Loans and advances	–	–	–	–	–
10	Debt securities, including UoP	–	–	–	–	–
11	Equity instruments	–	–		–	–
12	of which management companies	–	–	–	–	–
13	Loans and advances	–	–	–	–	–
14	Debt securities, including UoP	–	–	–	–	–
15	Equity instruments	–	–		–	–
16	of which insurance undertakings	–	–	–	–	–
17	Loans and advances	–	–	–	–	–
18	Debt securities, including UoP	–	–	–	–	–
19	Equity instruments	–	–		–	–
20	Non-financial undertakings	1,992	648	32	–	–
21	Loans and advances	1,992	648	32	–	–
22	Debt securities, including UoP	–	–	–	–	–
23	Equity instruments	–	–		–	–
24	Households	16,580	–	–	–	–
25	of which loans collateralised by residential immovable property	16,138	–	–	–	–
26	of which building renovation loans	334	–	–	–	–
27	of which motor vehicle loans	108	–	–	–	–
28	Local governments financing	2,380	–	–	–	–
29	Housing financing	1,064	–	–	–	–
30	Other local government financing	1,316	–	–	–	–
31	Collateral obtained by taking possession: residential and commercial immovable properties	–	–	–	–	–
32	Assets excluded from the numerator for GAR calculation (covered in the denominator)	–	–	–	–	–

Template 1.8 – Assets for the calculation of GAR – CapEx-based

		ab	ac	ad	ae	af
		Disclosure reference date T				
		TOTAL (CCM + CCA + WTR + CE + PPC + BIO)				
		of which towards taxonomy relevant sectors (Taxonomy-eligible)				
		of which environmentally sustainable (Taxonomy-aligned)				
				of which Use of Proceeds	of which transi- tional	of which enabling
	EUR million					
33	Financial and Non-financial undertakings					
34	SMEs and NFCs (other than SMEs) not subject to NFRD disclosure obligations					
35	Loans and advances					
36	of which loans collateralised by commercial immovable property					
37	of which building renovation loans					
38	Debt securities, including UoP					
39	Equity instruments					
40	Non-EU country counterparties not subject to NFRD disclosure obligations					
41	Loans and advances					
42	Debt securities, including UoP					
43	Equity instruments					
44	Derivatives					
45	On demand interbank loans					
46	Cash and cash-related assets					
47	Other categories of assets (e.g. Goodwill, commodities etc.)					
48	Total GAR assets	24,314	648	32	–	–
49	Assets not covered for GAR calculation					
50	Central governments and Supranational issuers					
51	Central banks exposure					
52	Trading book					
53	Total assets	24,314	648	32	–	–
Off-balance sheet exposures – Corporates subject to NFRD disclosure obligations						
54	Financial guarantees	–	–	–	–	–
55	Assets under management	–	–	–	–	–
56	Of which debt securities	–	–	–	–	–
57	Of which equity instruments	–	–	–	–	–

Template 1.9 – Assets for the calculation of GAR – CapEx-based

		ag	ah	ai	aj	ak	al	am	an	ao	ap
		Disclosure reference date T-1									
		Total [gross] carrying amount	Climate change mitigation (CCM)						Climate Change Adaptation (CCA)		
			of which towards taxonomy relevant sectors (Taxonomy-eligible)						of which towards taxonomy relevant sectors (Taxonomy-eligible)		
			of which environmentally sustainable (Taxonomy-aligned)						of which environmentally sustainable (Taxonomy- aligned)		
		of which Use of Pro- ceeds			of which transi- tional	of which enab- ling			of which Use of Pro- ceeds	of which enab- ling	
EUR million											
GAR - Covered assets in both numerator and denominator											
1	Loans and advances, debt securities and equity instruments not HFT eligible for GAR calculation	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
2	Financial undertakings	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
3	Credit institutions	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
4	Loans and advances	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
5	Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
6	Equity instruments	N/A	N/A	N/A		N/A	N/A	N/A	N/A		N/A
7	Other financial corporations	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
8	of which investment firms	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
9	Loans and advances	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
10	Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
11	Equity instruments	N/A	N/A	N/A		N/A	N/A	N/A	N/A		N/A
12	of which management companies	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
13	Loans and advances	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
14	Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
15	Equity instruments	N/A	N/A	N/A		N/A	N/A	N/A	N/A		N/A
16	of which insurance undertakings	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
17	Loans and advances	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
18	Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
19	Equity instruments	N/A	N/A	N/A		N/A	N/A	N/A	N/A		N/A
20	Non-financial undertakings	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
21	Loans and advances	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
22	Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
23	Equity instruments	N/A	N/A	N/A		N/A	N/A	N/A	N/A		N/A
24	Households	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
25	of which loans collateralised by residential immovable property	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
26	of which building renovation loans	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
27	of which motor vehicle loans	N/A	N/A	N/A	N/A	N/A	N/A				
28	Local governments financing	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
29	Housing financing	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
30	Other local government financing	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
31	Collateral obtained by taking possession: residential and commercial immovable properties	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
32	Assets excluded from the numerator for GAR calculation (covered in the denominator)	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A

Template 1.10 – Assets for the calculation of GAR – CapEx-based

		ag	ah	ai	aj	ak	al	am	an	ao	ap
		Disclosure reference date T-1									
	Total [gross] carrying amount	Climate change mitigation (CCM) of which towards taxonomy relevant sectors (Taxonomy-eligible)					Climate Change Adaptation (CCA) of which towards taxonomy relevant sectors (Taxonomy-eligible)				
		of which environmentally sustainable (Taxonomy-aligned)			of which environmentally sustainable (Taxonomy-aligned)			of which environmentally sustainable (Taxonomy-aligned)			
		of which Use of Pro- ceeds	of which transi- tional	of which enab- ling	of which Use of Pro- ceeds	of which transi- tional	of which enab- ling	of which Use of Pro- ceeds	of which transi- tional	of which enab- ling	
EUR million											
33	Financial and Non-financial undertakings										
34	SMEs and NFCs (other than SMEs) not subject to NFRD disclosure obligations										
35	Loans and advances										
36	of which loans collateralised by commercial immovable property										
37	of which building renovation loans										
38	Debt securities, including UoP										
39	Equity instruments										
40	Non-EU country counterparties not subject to NFRD disclosure obligations										
41	Loans and advances										
42	Debt securities, including UoP										
43	Equity instruments										
44	Derivatives										
45	On demand interbank loans										
46	Cash and cash-related assets										
47	Other categories of assets (e.g. Goodwill, commodities etc.)										
48	Total GAR assets	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
49	Assets not covered for GAR calculation										
50	Central governments and Supranational issuers										
51	Central banks exposure										
52	Trading book										
53	Total assets	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Off-balance sheet exposures – Corporates subject to NFRD disclosure obligations											
54	Financial guarantees	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
55	Assets under management	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
56	Of which debt securities	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
57	Of which equity instruments	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A

Template 1.11 – Assets for the calculation of GAR – CapEx-based

		aq	ar	as	at	au	av	aw	ax
		Disclosure reference date T-1							
		Water and marine resources (WTR)				Circular economy (CE)			
		of which towards taxonomy relevant sectors (Taxonomy-eligible)				of which towards taxonomy relevant sectors (Taxonomy-eligible)			
		of which environmentally sustainable (Taxonomy-aligned)				of which environmentally sustainable (Taxonomy-aligned)			
		of which Use of Proceeds		of which enabling		of which Use of Proceeds		of which enabling	
EUR million									
GAR - Covered assets in both numerator and denominator									
1	Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	N/A				N/A			
2	Financial undertakings	N/A				N/A			
3	Credit institutions	N/A				N/A			
4	Loans and advances	N/A				N/A			
5	Debt securities, including UoP	N/A				N/A			
6	Equity instruments	N/A				N/A			
7	Other financial corporations	N/A				N/A			
8	of which investment firms	N/A				N/A			
9	Loans and advances	N/A				N/A			
10	Debt securities, including UoP	N/A				N/A			
11	Equity instruments	N/A				N/A			
12	of which management companies	N/A				N/A			
13	Loans and advances	N/A				N/A			
14	Debt securities, including UoP	N/A				N/A			
15	Equity instruments	N/A				N/A			
16	of which insurance undertakings	N/A				N/A			
17	Loans and advances	N/A				N/A			
18	Debt securities, including UoP	N/A				N/A			
19	Equity instruments	N/A				N/A			
20	Non-financial undertakings	N/A				N/A			
21	Loans and advances	N/A				N/A			
22	Debt securities, including UoP	N/A				N/A			
23	Equity instruments	N/A				N/A			
24	Households					N/A			
25	of which loans collateralised by residential immovable property					N/A			
26	of which building renovation loans					N/A			
27	of which motor vehicle loans								
28	Local governments financing	N/A				N/A			
29	Housing financing	N/A				N/A			
30	Other local government financing	N/A				N/A			
31	Collateral obtained by taking possession: residential and commercial immovable properties	N/A				N/A			
32	Assets excluded from the numerator for GAR calculation (covered in the denominator)	N/A				N/A			

Template 1.12 – Assets for the calculation of GAR – CapEx-based

		aq	ar	as	at	au	av	aw	ax
		Disclosure reference date T-1							
		Water and marine resources (WTR)				Circular economy (CE)			
		of which towards taxonomy relevant sectors (Taxonomy-eligible)				of which towards taxonomy relevant sectors (Taxonomy-eligible)			
		of which environmentally sustainable (Taxonomy-aligned)				of which environmentally sustainable (Taxonomy-aligned)			
		of which Use of Proceeds		of which enabling		of which Use of Proceeds		of which enabling	
EUR million									
33	Financial and Non-financial undertakings								
34	SMEs and NFCs (other than SMEs) not subject to NFRD disclosure obligations								
35	Loans and advances								
36	of which loans collateralised by commercial immovable property								
37	of which building renovation loans								
38	Debt securities, including UoP								
39	Equity instruments								
40	Non-EU country counterparties not subject to NFRD disclosure obligations								
41	Loans and advances								
42	Debt securities, including UoP								
43	Equity instruments								
44	Derivatives								
45	On demand interbank loans								
46	Cash and cash-related assets								
47	Other categories of assets (e.g. Goodwill, commodities etc.)								
48	Total GAR assets	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
49	Assets not covered for GAR calculation								
50	Central governments and Supranational issuers								
51	Central banks exposure								
52	Trading book								
53	Total assets	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Off-balance sheet exposures – Corporates subject to NFRD disclosure obligations									
54	Financial guarantees	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
55	Assets under management	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
56	Of which debt securities	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
57	Of which equity instruments	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A

Template 1.13 – Assets for the calculation of GAR – CapEx-based

		ay	az	ba	bb	bc	bd	be	bf
		Disclosure reference date T-1							
		Pollution (PPC)				Biodiversity and Ecosystems (BIO)			
		of which towards taxonomy relevant sectors (Taxonomy-eligible)				of which towards taxonomy relevant sectors (Taxonomy-eligible)			
		of which environmentally sustainable (Taxonomy-aligned)				of which environmentally sustainable (Taxonomy-aligned)			
EUR million				of which Use of Proceeds	of which enabling			of which Use of Proceeds	of which enabling
GAR - Covered assets in both numerator and denominator									
1	Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	N/A				N/A			
2	Financial undertakings	N/A				N/A			
3	Credit institutions	N/A				N/A			
4	Loans and advances	N/A				N/A			
5	Debt securities, including UoP	N/A				N/A			
6	Equity instruments	N/A				N/A			
7	Other financial corporations	N/A				N/A			
8	of which investment firms	N/A				N/A			
9	Loans and advances	N/A				N/A			
10	Debt securities, including UoP	N/A				N/A			
11	Equity instruments	N/A				N/A			
12	of which management companies	N/A				N/A			
13	Loans and advances	N/A				N/A			
14	Debt securities, including UoP	N/A				N/A			
15	Equity instruments	N/A				N/A			
16	of which insurance undertakings	N/A				N/A			
17	Loans and advances	N/A				N/A			
18	Debt securities, including UoP	N/A				N/A			
19	Equity instruments	N/A				N/A			
20	Non-financial undertakings	N/A				N/A			
21	Loans and advances	N/A				N/A			
22	Debt securities, including UoP	N/A				N/A			
23	Equity instruments	N/A				N/A			
24	Households								
25	of which loans collateralised by residential immovable property								
26	of which building renovation loans								
27	of which motor vehicle loans								
28	Local governments financing	N/A				N/A			
29	Housing financing	N/A				N/A			
30	Other local government financing	N/A				N/A			
31	Collateral obtained by taking possession: residential and commercial immovable properties	N/A				N/A			
32	Assets excluded from the numerator for GAR calculation (covered in the denominator)	N/A				N/A			

Template 1.14 – Assets for the calculation of GAR – CapEx-based

		ay	az	ba	bb	bc	bd	be	bf
		Disclosure reference date T-1							
		Pollution (PPC)				Biodiversity and Ecosystems (BIO)			
		of which towards taxonomy relevant sectors (Taxonomy-eligible)				of which towards taxonomy relevant sectors (Taxonomy-eligible)			
		of which environmentally sustainable (Taxonomy-aligned)				of which environmentally sustainable (Taxonomy-aligned)			
				of which Use of Proceeds	of which enabling			of which Use of Proceeds	of which enabling
EUR million									
33	Financial and Non-financial undertakings								
34	SMEs and NFCs (other than SMEs) not subject to NFRD disclosure obligations								
35	Loans and advances								
36	of which loans collateralised by commercial immovable property								
37	of which building renovation loans								
38	Debt securities, including UoP								
39	Equity instruments								
40	Non-EU country counterparties not subject to NFRD disclosure obligations								
41	Loans and advances								
42	Debt securities, including UoP								
43	Equity instruments								
44	Derivatives								
45	On demand interbank loans								
46	Cash and cash-related assets								
47	Other categories of assets (e.g. Goodwill, commodities etc.)								
48	Total GAR assets	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
49	Assets not covered for GAR calculation								
50	Central governments and Supranational issuers								
51	Central banks exposure								
52	Trading book								
53	Total assets	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Off-balance sheet exposures – Corporates subject to NFRD disclosure obligations									
54	Financial guarantees	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
55	Assets under management	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
56	Of which debt securities	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
57	Of which equity instruments	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A

Template 1.15 – Assets for the calculation of GAR – CapEx-based

		bg	bh	bi	bj	bk
		Disclosure reference date T-1				
		TOTAL (CCM + CCA + WTR + CE + PPC + BIO)				
		of which towards taxonomy relevant sectors (Taxonomy-eligible)				
		of which environmentally sustainable (Taxonomy-aligned)				
	EUR million			of which Use of Proceeds	of which transitional	of which enabling
	GAR - Covered assets in both numerator and denominator					
1	Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	N/A	N/A	N/A	N/A	N/A
2	Financial undertakings	N/A	N/A	N/A	N/A	N/A
3	Credit institutions	N/A	N/A	N/A	N/A	N/A
4	Loans and advances	N/A	N/A	N/A	N/A	N/A
5	Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A
6	Equity instruments	N/A	N/A		N/A	N/A
7	Other financial corporations	N/A	N/A	N/A	N/A	N/A
8	of which investment firms	N/A	N/A	N/A	N/A	N/A
9	Loans and advances	N/A	N/A	N/A	N/A	N/A
10	Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A
11	Equity instruments	N/A	N/A		N/A	N/A
12	of which management companies	N/A	N/A	N/A	N/A	N/A
13	Loans and advances	N/A	N/A	N/A	N/A	N/A
14	Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A
15	Equity instruments	N/A	N/A		N/A	N/A
16	of which insurance undertakings	N/A	N/A	N/A	N/A	N/A
17	Loans and advances	N/A	N/A	N/A	N/A	N/A
18	Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A
19	Equity instruments	N/A	N/A		N/A	N/A
20	Non-financial undertakings	N/A	N/A	N/A	N/A	N/A
21	Loans and advances	N/A	N/A	N/A	N/A	N/A
22	Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A
23	Equity instruments	N/A	N/A		N/A	N/A
24	Households	N/A	N/A	N/A	N/A	N/A
25	of which loans collateralised by residential immovable property	N/A	N/A	N/A	N/A	N/A
26	of which building renovation loans	N/A	N/A	N/A	N/A	N/A
27	of which motor vehicle loans	N/A	N/A	N/A	N/A	N/A
28	Local governments financing	N/A	N/A	N/A	N/A	N/A
29	Housing financing	N/A	N/A	N/A	N/A	N/A
30	Other local government financing	N/A	N/A	N/A	N/A	N/A
	Collateral obtained by taking possession: residential and commercial immovable properties					
31	Assets excluded from the numerator for GAR calculation (covered in the denominator)	N/A	N/A	N/A	N/A	N/A
32	Assets excluded from the numerator for GAR calculation (covered in the denominator)	N/A	N/A	N/A	N/A	N/A

Template 1.16 – Assets for the calculation of GAR – CapEx-based

		bg	bh	bi	bj	bk
		Disclosure reference date T-1				
		TOTAL (CCM + CCA + WTR + CE + PPC + BIO)				
		of which towards taxonomy relevant sectors (Taxonomy-eligible)				
		of which environmentally sustainable (Taxonomy-aligned)				
				of which Use of Proceeds	of which transitional	of which enabling
EUR million						
33	Financial and Non-financial undertakings					
34	SMEs and NFCs (other than SMEs) not subject to NFRD disclosure obligations					
35	Loans and advances					
36	of which loans collateralised by commercial immovable property					
37	of which building renovation loans					
38	Debt securities, including UoP					
39	Equity instruments					
40	Non-EU country counterparties not subject to NFRD disclosure obligations					
41	Loans and advances					
42	Debt securities, including UoP					
43	Equity instruments					
44	Derivatives					
45	On demand interbank loans					
46	Cash and cash-related assets					
47	Other categories of assets (e.g. Goodwill, commodities etc.)					
48	Total GAR assets	N/A	N/A	N/A	N/A	N/A
49	Assets not covered for GAR calculation					
50	Central governments and Supranational issuers					
51	Central banks exposure					
52	Trading book					
53	Total assets	N/A	N/A	N/A	N/A	N/A
Off-balance sheet exposures – Corporates subject to NFRD disclosure obligations						
54	Financial guarantees	N/A	N/A	N/A	N/A	N/A
55	Assets under management	N/A	N/A	N/A	N/A	N/A
56	Of which debt securities	N/A	N/A	N/A	N/A	N/A
57	Of which equity instruments	N/A	N/A	N/A	N/A	N/A

- 1 This template shall include information for loans and advances, debt securities and equity instruments in the banking book, towards financial corporates, non-financial corporates (NFC), including SMEs, households (including residential real estate, house renovation loans and motor vehicle loans only) and local governments/municipalities (house financing).
- 2 The following accounting categories of financial assets should be considered: Financial assets at amortised cost, financial asset at fair value through other comprehensive income, investments in subsidiaries, joint ventures and associates, financial assets designated at fair value through profit or loss and non-trading financial assets mandatorily at fair value through profit or loss, and real estate collateral obtained by credit institutions by taking possession in exchange in of cancellation of debts.
- 3 Banks with non-EU subsidiary should provide this information separately for exposures towards non-EU counterparties. For non-EU exposures, while there are additional challenges in terms of absence of common disclosure requirements and methodology, as the EU taxonomy and the NFRD apply only at EU level, given the relevance of these exposures for those credit institutions with non-EU subsidiaries, these institutions should disclose a separate GAR for non-EU exposures, on a best effort basis, in the form of estimates and ranges, using proxies, and explaining the assumptions, caveats and limitations.
- 4 For motor vehicle loans, institutions shall only include those exposures generated after the date of application of the disclosure.

Template 2.1 – GAR sector information – Turnover-based

	Breakdown by sector - NACE 4 digits level (code and label)	a	b	c	d	e	f	g	h
		Climate change mitigation (CCM)				Climate Change Adaptation (CCA)			
		Non-Financial corporates (Subject to NFRD)		SMEs and other NFC not subject to NFRD		Non-Financial corporates (Subject to NFRD)		SMEs and other NFC not subject to NFRD	
		[Gross] carrying amount		[Gross] carrying amount		[Gross] carrying amount		[Gross] carrying amount	
		EUR million	of which environmentally sustainable (CCA)	EUR million	of which environmentally sustainable (CCA)	EUR million	of which environmentally sustainable (CCA)	EUR million	of which environmentally sustainable (CCA)
1	B - Mining and Quarrying	15	1						
2	B.06 - Extraction of crude petroleum and natural gas	15	1						
3	B.06.2 - Extraction of natural gas	15	1						
4	B.06.20 - Extraction of natural gas	15	1						
5	C - Manufacturing	79	79						
6	C.10 - Manufacture of food products	–	–						
7	C.10.3 - Processing and preserving of fruit and vegetables	–	–						
8	C.10.39 - Other processing and preserving of fruit and vegetables	–	–						
9	C.20 - Manufacture of chemicals and chemical products	–	–						
10	C.20.5 - Manufacture of other chemical products	–	–						
11	C.20.59 - Manufacture of other chemical products n.e.c.	–	–						
12	C.23 - Manufacture of other non-metallic mineral products	1	1						
13	C.23.5 - Manufacture of cement, lime and plaster	1	1						
14	C.23.51 - Manufacture of cement	1	1						
15	C.24 - Manufacture of basic metals	4	4						
16	C.24.1 - Manufacture of basic iron and steel and of ferro-alloys	–	–						
17	C.24.10 - Manufacture of basic iron and steel and of ferro-alloys	–	–						
18	C.24.2 - Manufacture of tubes, pipes, hollow profiles and related fittings, of steel	4	4						
19	C.24.20 - Manufacture of tubes, pipes, hollow profiles and related fittings, of steel	4	4						
20	C.24.4 - Manufacture of basic precious and other non-ferrous metals	–	–						
21	C.24.45 - Other non-ferrous metal production	–	–						
22	C.27 - Manufacture of electrical equipment	–	–						
23	C.27.9 - Manufacture of other electrical equipment	–	–						
24	C.27.90 - Manufacture of other electrical equipment	–	–						
25	C.28 - Manufacture of machinery and equipment n.e.c.	10	10						
26	C.28.2 - Manufacture of other general-purpose machinery	9	9						

	Breakdown by sector - NACE 4 digits level (code and label)	a	b	c	d	e	f	g	h
		Climate change mitigation (CCM)				Climate Change Adaptation (CCA)			
		Non-Financial corporates (Subject to NFRD)		SMEs and other NFC not subject to NFRD		Non-Financial corporates (Subject to NFRD)		SMEs and other NFC not subject to NFRD	
		[Gross] carrying amount		[Gross] carrying amount		[Gross] carrying amount		[Gross] carrying amount	
		EUR million	of which environmentally sustainable (CCA)	EUR million	of which environmentally sustainable (CCA)	EUR million	of which environmentally sustainable (CCA)	EUR million	of which environmentally sustainable (CCA)
27	C.28.29 - Manufacture of other general-purpose machinery n.e.c.	9	9						
28	C.28.9 - Manufacture of other special-purpose machinery	1	1						
29	C.28.99 - Manufacture of other special-purpose machinery n.e.c.	1	1						
30	C.29 - Manufacture of motor vehicles, trailers and semi-trailers	40	40						
31	C.29.3 - Manufacture of parts and accessories for motor vehicles	40	40						
32	C.29.32 - Manufacture of other parts and accessories for motor vehicles	40	40						
33	C.30 - Manufacture of other transport equipment	22	22						
34	C.30.2 - Manufacture of railway locomotives and rolling stock	22	22						
35	C.30.20 - Manufacture of railway locomotives and rolling stock	22	22						
36	D - Electricity, Gas, Steam and Air Conditioning supply	25	1						
37	D. 35 - Electricity, gas, steam and air conditioning supply	25	1						
38	D.35.1 - Electric power generation, transmission and distribution	25	1						
39	D.35.11 - Production of electricity	3	1						
40	D.35.13 - Distribution of electricity	22	–						
41	F - Construction	9	9						
42	F.41 - Construction of buildings	9	9						
43	F.41.1 - Development of building projects	9	9						
44	F.41.10 - Development of building projects	9	9						
45	G - Wholesale and retail trade; repair of motor vehicles and motorcycles	7							
46	G.46 - Wholesale trade, except of motor vehicles and motorcycles	7							
47	G.46.4 - Wholesale of household goods	7							
48	G.46.49 - Wholesale of other household goods	7							
49	H - Transport and storage	85	9						
50	H.49 - Land transport and transport via pipelines	76							
51	H.49.5 - Transport via pipeline	76							
52	H.49.50 - Transport via pipeline	76							
53	H.52 - Warehousing and support activities for transportation	10	9						
54	H.52.2 - Support activities for transportation	10	9						

	Breakdown by sector - NACE 4 digits level (code and label)	a	b	c	d	e	f	g	h
		Climate change mitigation (CCM)				Climate Change Adaptation (CCA)			
		Non-Financial corporates (Subject to NFRD)		SMEs and other NFC not subject to NFRD		Non-Financial corporates (Subject to NFRD)		SMEs and other NFC not subject to NFRD	
		[Gross] carrying amount		[Gross] carrying amount		[Gross] carrying amount		[Gross] carrying amount	
		EUR million	of which environmentally sustainable (CCA)	EUR million	of which environmentally sustainable (CCA)	EUR million	of which environmentally sustainable (CCA)	EUR million	of which environmentally sustainable (CCA)
55	H.52.22 - Service activities incidental to water transportation	5	4						
56	H.52.29 - Other transportation support activities	5	5						
57	J - Information and communication	–	–						
58	J.61 - Telecommunications	–	–						
59	J.61.3 - Satellite telecommunications activities	–	–						
60	J.61.30 - Satellite telecommunications activities	–	–						
61	L - Real estate activities	387	82						
62	L.68 - Real estate activities	387	82						
63	L.68.2 - Rental and operating of own or leased real estate	241	51						
64	L.68.20 - Rental and operating of own or leased real estate	241	51						
65	L.68.3 - Real estate activities on a fee or contract basis	146	32						
66	L.68.32 - Management of real estate on a fee or contract basis	146	32						
67	M - Professional, scientific and technical activities	59	50			–	–		
68	M.70 - Activities of head offices; management consultancy activities	59	50			–	–		
69	M.70.1 - Activities of head offices	59	50			–	–		
70	M.70.10 - Activities of head offices	59	50			–	–		
71	N - Administrative and support service activities	1	1			–	–		
72	N.82 - Office administrative, office support and other business support activities	1	1			–	–		
73	N.82.9 - Business support service activities n.e.c.	1	1			–	–		
74	N.82.99 - Other business support service activities n.e.c.	1	1			–	–		

Template 2.2 – GAR sector information – Turnover-based

		i	j	k	l	m	n	o	p
		Water and marine resources (WTR)				Circular economy (CE)			
		Non-Financial corporates (Subject to NFRD)		SMEs and other NFC not subject to NFRD		Non-Financial corporates (Subject to NFRD)		SMEs and other NFC not subject to NFRD	
		[Gross] carrying amount		[Gross] carrying amount		[Gross] carrying amount		[Gross] carrying amount	
		EUR million	of which environme ntally sustainabl e (WTR)	EUR million	of which environme ntally sustainabl e (WTR)	EUR million	of which environme ntally sustainabl e (CE)	EUR million	of which environme ntally sustainable (CE)
	Breakdown by sector - NACE 4 digits level (code and label)								
1	B - Mining and Quarrying								
2	B.06 - Extraction of crude petroleum and natural gas								
3	B.06.2 - Extraction of natural gas								
4	B.06.20 - Extraction of natural gas								
5	C - Manufacturing								
6	C.10 - Manufacture of food products								
7	C.10.3 - Processing and preserving of fruit and vegetables								
8	C.10.39 - Other processing and preserving of fruit and vegetables								
9	C.20 - Manufacture of chemicals and chemical products								
10	C.20.5 - Manufacture of other chemical products								
11	C.20.59 - Manufacture of other chemical products n.e.c.								
12	C.23 - Manufacture of other non-metallic mineral products								
13	C.23.5 - Manufacture of cement, lime and plaster								
14	C.23.51 - Manufacture of cement								
15	C.24 - Manufacture of basic metals								
16	C.24.1 - Manufacture of basic iron and steel and of ferro- alloys								
17	C.24.10 - Manufacture of basic iron and steel and of ferro- alloys								
18	C.24.2 - Manufacture of tubes, pipes, hollow profiles and related fittings, of steel								
19	C.24.20 - Manufacture of tubes, pipes, hollow profiles and related fittings, of steel								
20	C.24.4 - Manufacture of basic precious and other non-ferrous metals								
21	C.24.45 - Other non-ferrous metal production								
22	C.27 - Manufacture of electrical equipment								
23	C.27.9 - Manufacture of other electrical equipment								
24	C.27.90 - Manufacture of other electrical equipment								
25	C.28 - Manufacture of machinery and equipment n.e.c.								
26	C.28.2 - Manufacture of other general-purpose machinery								

	Breakdown by sector - NACE 4 digits level (code and label)	i	j	k	l	m	n	o	p
		Water and marine resources (WTR)				Circular economy (CE)			
		Non-Financial corporates (Subject to NFRD)		SMEs and other NFC not subject to NFRD		Non-Financial corporates (Subject to NFRD)		SMEs and other NFC not subject to NFRD	
		[Gross] carrying amount		[Gross] carrying amount		[Gross] carrying amount		[Gross] carrying amount	
		EUR million	of which environmentally sustainable (WTR)	EUR million	of which environmentally sustainable (WTR)	EUR million	of which environmentally sustainable (CE)	EUR million	of which environmentally sustainable (CE)
27	C.28.29 - Manufacture of other general-purpose machinery n.e.c.								
28	C.28.9 - Manufacture of other special-purpose machinery								
29	C.28.99 - Manufacture of other special-purpose machinery n.e.c.								
30	C.29 - Manufacture of motor vehicles, trailers and semi-trailers								
31	C.29.3 - Manufacture of parts and accessories for motor vehicles								
32	C.29.32 - Manufacture of other parts and accessories for motor vehicles								
33	C.30 - Manufacture of other transport equipment								
34	C.30.2 - Manufacture of railway locomotives and rolling stock								
35	C.30.20 - Manufacture of railway locomotives and rolling stock								
36	D - Electricity, Gas, Steam and Air Conditioning supply								
37	D. 35 - Electricity, gas, steam and air conditioning supply								
38	D.35.1 - Electric power generation, transmission and distribution								
39	D.35.11 - Production of electricity								
40	D.35.13 - Distribution of electricity								
41	F - Construction								
42	F.41 - Construction of buildings								
43	F.41.1 - Development of building projects								
44	F.41.10 - Development of building projects								
45	G - Wholesale and retail trade; repair of motor vehicles and motorcycles								
46	G.46 - Wholesale trade, except of motor vehicles and motorcycles								
47	G.46.4 - Wholesale of household goods								
48	G.46.49 - Wholesale of other household goods								
49	H - Transport and storage								
50	H.49 - Land transport and transport via pipelines								
51	H.49.5 - Transport via pipeline								
52	H.49.50 - Transport via pipeline								
53	H.52 - Warehousing and support activities for transportation								
54	H.52.2 - Support activities for transportation								

		i	j	k	l	m	n	o	p
		Water and marine resources (WTR)				Circular economy (CE)			
		Non-Financial corporates (Subject to NFRD)		SMEs and other NFC not subject to NFRD		Non-Financial corporates (Subject to NFRD)		SMEs and other NFC not subject to NFRD	
		[Gross] carrying amount		[Gross] carrying amount		[Gross] carrying amount		[Gross] carrying amount	
		of which environme ntally sustainabl e (WTR)		of which environme ntally sustainabl e (WTR)		of which environme ntally sustainabl e (CE)		of which environme ntally sustainable (CE)	
Breakdown by sector - NACE 4 digits level (code and label)		EUR million		EUR million		EUR million		EUR million	
55	H.52.22 - Service activities incidental to water transportation								
56	H.52.29 - Other transportation support activities								
57	J - Information and communication								
58	J.61 - Telecommunications								
59	J.61.3 - Satellite telecommunications activities								
60	J.61.30 - Satellite telecommunications activities								
61	L - Real estate activities								
62	L.68 - Real estate activities								
63	L.68.2 - Rental and operating of own or leased real estate								
64	L.68.20 - Rental and operating of own or leased real estate								
65	L.68.3 - Real estate activities on a fee or contract basis								
66	L.68.32 - Management of real estate on a fee or contract basis								
67	M - Professional, scientific and technical activities								
68	M.70 - Activities of head offices; management consultancy activities								
69	M.70.1 - Activities of head offices								
70	M.70.10 - Activities of head offices								
71	N - Administrative and support service activities								
72	N.82 - Office administrative, office support and other business support activities								
73	N.82.9 - Business support service activities n.e.c.								
74	N.82.99 - Other business support service activities n.e.c.								

Template 2.3 – GAR sector information – Turnover-based

	Breakdown by sector - NACE 4 digits level (code and label)	q	r	s	t	u	v	w	x
		Pollution (PPC)				Biodiversity and Ecosystems (BIO)			
		Non-Financial corporates (Subject to NFRD)		SMEs and other NFC not subject to NFRD		Non-Financial corporates (Subject to NFRD)		SMEs and other NFC not subject to NFRD	
		[Gross] carrying amount		[Gross] carrying amount		[Gross] carrying amount		[Gross] carrying amount	
		EUR million	of which environmentally sustainable (PPC)	EUR million	of which environmentally sustainable (PPC)	EUR million	of which environmentally sustainable (BIO)	EUR million	of which environmentally sustainable (BIO)
1	B - Mining and Quarrying								
2	B.06 - Extraction of crude petroleum and natural gas								
3	B.06.2 - Extraction of natural gas								
4	B.06.20 - Extraction of natural gas								
5	C - Manufacturing								
6	C.10 - Manufacture of food products								
7	C.10.3 - Processing and preserving of fruit and vegetables								
8	C.10.39 - Other processing and preserving of fruit and vegetables								
9	C.20 - Manufacture of chemicals and chemical products								
10	C.20.5 - Manufacture of other chemical products								
11	C.20.59 - Manufacture of other chemical products n.e.c.								
12	C.23 - Manufacture of other non-metallic mineral products								
13	C.23.5 - Manufacture of cement, lime and plaster								
14	C.23.51 - Manufacture of cement								
15	C.24 - Manufacture of basic metals								
16	C.24.1 - Manufacture of basic iron and steel and of ferro-alloys								
17	C.24.10 - Manufacture of basic iron and steel and of ferro-alloys								
18	C.24.2 - Manufacture of tubes, pipes, hollow profiles and related fittings, of steel								
19	C.24.20 - Manufacture of tubes, pipes, hollow profiles and related fittings, of steel								
20	C.24.4 - Manufacture of basic precious and other non-ferrous metals								
21	C.24.45 - Other non-ferrous metal production								
22	C.27 - Manufacture of electrical equipment								
23	C.27.9 - Manufacture of other electrical equipment								
24	C.27.90 - Manufacture of other electrical equipment								
25	C.28 - Manufacture of machinery and equipment n.e.c.								
26	C.28.2 - Manufacture of other general-purpose machinery								

		q	r	s	t	u	v	w	x
		Pollution (PPC)				Biodiversity and Ecosystems (BIO)			
		Non-Financial corporates (Subject to NFRD)		SMEs and other NFC not subject to NFRD		Non-Financial corporates (Subject to NFRD)		SMEs and other NFC not subject to NFRD	
		[Gross] carrying amount		[Gross] carrying amount		[Gross] carrying amount		[Gross] carrying amount	
		of which environme ntally sustainabl e (PPC)		of which environme ntally sustainabl e (PPC)		of which environme ntally sustainabl e (BIO)		of which environme ntally sustainable (BIO)	
	Breakdown by sector - NACE 4 digits level (code and label)	EUR million		EUR million		EUR million		EUR million	
27	C.28.29 - Manufacture of other general-purpose machinery n.e.c.								
28	C.28.9 - Manufacture of other special-purpose machinery								
29	C.28.99 - Manufacture of other special-purpose machinery n.e.c.								
30	C.29 - Manufacture of motor vehicles, trailers and semi- trailers								
31	C.29.3 - Manufacture of parts and accessories for motor vehicles								
32	C.29.32 - Manufacture of other parts and accessories for motor vehicles								
33	C.30 - Manufacture of other transport equipment								
34	C.30.2 - Manufacture of railway locomotives and rolling stock								
35	C.30.20 - Manufacture of railway locomotives and rolling stock								
36	D - Electricity, Gas, Steam and Air Conditioning supply								
37	D. 35 - Electricity, gas, steam and air conditioning supply								
38	D.35.1 - Electric power generation, transmission and distribution								
39	D.35.11 - Production of electricity								
40	D.35.13 - Distribution of electricity								
41	F- Construction								
42	F.41 - Construction of buildings								
43	F.41.1 - Development of building projects								
44	F.41.10 - Development of building projects								
45	G - Wholesale and retail trade; repair of motor vehicles and motorcycles								
46	G.46 - Wholesale trade, except of motor vehicles and motorcycles								
47	G.46.4 - Wholesale of household goods								
48	G.46.49 - Wholesale of other household goods								
49	H - Transport and storage								
50	H.49 - Land transport and transport via pipelines								
51	H.49.5 - Transport via pipeline								
52	H.49.50 - Transport via pipeline								
53	H.52 - Warehousing and support activities for transportation								
54	H.52.2 - Support activities for transportation								

		q	r	s	t	u	v	w	x
		Pollution (PPC)				Biodiversity and Ecosystems (BIO)			
		Non-Financial corporates (Subject to NFRD)		SMEs and other NFC not subject to NFRD		Non-Financial corporates (Subject to NFRD)		SMEs and other NFC not subject to NFRD	
		[Gross] carrying amount		[Gross] carrying amount		[Gross] carrying amount		[Gross] carrying amount	
		of which environme ntally sustainabl e (PPC)		of which environme ntally sustainabl e (PPC)		of which environme ntally sustainabl e (BIO)		of which environme ntally sustainable (BIO)	
Breakdown by sector - NACE 4 digits level (code and label)		EUR million		EUR million		EUR million		EUR million	
55	H.52.22 - Service activities incidental to water transportation								
56	H.52.29 - Other transportation support activities								
57	J - Information and communication								
58	J.61 - Telecommunications								
59	J.61.3 - Satellite telecommunications activities								
60	J.61.30 - Satellite telecommunications activities								
61	L - Real estate activities								
62	L.68 - Real estate activities								
63	L.68.2 - Rental and operating of own or leased real estate								
64	L.68.20 - Rental and operating of own or leased real estate								
65	L.68.3 - Real estate activities on a fee or contract basis								
66	L.68.32 - Management of real estate on a fee or contract basis								
67	M - Professional, scientific and technical activities								
68	M.70 - Activities of head offices; management consultancy activities								
69	M.70.1 - Activities of head offices								
70	M.70.10 - Activities of head offices								
71	N - Administrative and support service activities								
72	N.82 - Office administrative, office support and other business support activities								
73	N.82.9 - Business support service activities n.e.c.								
74	N.82.99 - Other business support service activities n.e.c.								

Template 2.4 – GAR sector information – Turnover-based

		y	z	aa	ab
		TOTAL (CCM + CCA + WTR + CE + PPC + BIO)			
		Non-Financial corporates (Subject to NFRD)		SMEs and other NFC not subject to NFRD	
		[Gross] carrying amount		[Gross] carrying amount	
Breakdown by sector - NACE 4 digits level (code and label)		EUR million	of which environmentally sustainable (CCM + CCA + WTR + CE + PPC + BIO)	EUR million	of which environmentally sustainable (CCM + CCA + WTR + CE + PPC + BIO)
1	B - Mining and Quarrying	15	1		
2	B.06 - Extraction of crude petroleum and natural gas	15	1		
3	B.06.2 - Extraction of natural gas	15	1		
4	B.06.20 - Extraction of natural gas	15	1		
5	C - Manufacturing	79	79		
6	C.10 - Manufacture of food products	–	–		
7	C.10.3 - Processing and preserving of fruit and vegetables	–	–		
8	C.10.39 - Other processing and preserving of fruit and vegetables	–	–		
9	C.20 - Manufacture of chemicals and chemical products	–	–		
10	C.20.5 - Manufacture of other chemical products	–	–		
11	C.20.59 - Manufacture of other chemical products n.e.c.	–	–		
12	C.23 - Manufacture of other non-metallic mineral products	1	1		
13	C.23.5 - Manufacture of cement, lime and plaster	1	1		
14	C.23.51 - Manufacture of cement	1	1		
15	C.24 - Manufacture of basic metals	4	4		
16	C.24.1 - Manufacture of basic iron and steel and of ferro-alloys	–	–		
17	C.24.10 - Manufacture of basic iron and steel and of ferro-alloys	–	–		
18	C.24.2 - Manufacture of tubes, pipes, hollow profiles and related fittings, of steel	4	4		
19	C.24.20 - Manufacture of tubes, pipes, hollow profiles and related fittings, of steel	4	4		
20	C.24.4 - Manufacture of basic precious and other non-ferrous metals	–	–		
21	C.24.45 - Other non-ferrous metal production	–	–		
22	C.27 - Manufacture of electrical equipment	–	–		
23	C.27.9 - Manufacture of other electrical equipment	–	–		
24	C.27.90 - Manufacture of other electrical equipment	–	–		
25	C.28 - Manufacture of machinery and equipment n.e.c.	10	10		
26	C.28.2 - Manufacture of other general-purpose machinery	9	9		
27	C.28.29 - Manufacture of other general-purpose machinery n.e.c.	9	9		

		y	z	aa	ab
		TOTAL (CCM + CCA + WTR + CE + PPC + BIO)			
		Non-Financial corporates (Subject to NFRD)		SMEs and other NFC not subject to NFRD	
		[Gross] carrying amount		[Gross] carrying amount	
Breakdown by sector - NACE 4 digits level (code and label)		EUR million	of which environmentally sustainable (CCM + CCA + WTR + CE + PPC + BIO)	EUR million	of which environmentally sustainable (CCM + CCA + WTR + CE + PPC + BIO)
28	C.28.9 - Manufacture of other special-purpose machinery	1	1		
29	C.28.99 - Manufacture of other special-purpose machinery n.e.c.	1	1		
30	C.29 - Manufacture of motor vehicles, trailers and semi-trailers	40	40		
31	C.29.3 - Manufacture of parts and accessories for motor vehicles	40	40		
32	C.29.32 - Manufacture of other parts and accessories for motor vehicles	40	40		
33	C.30 - Manufacture of other transport equipment	22	22		
34	C.30.2 - Manufacture of railway locomotives and rolling stock	22	22		
35	C.30.20 - Manufacture of railway locomotives and rolling stock	22	22		
36	D - Electricity, Gas, Steam and Air Conditioning supply	25	1		
37	D.35 - Electricity, gas, steam and air conditioning supply	25	1		
38	D.35.1 - Electric power generation, transmission and distribution	25	1		
39	D.35.11 - Production of electricity	3	1		
40	D.35.13 - Distribution of electricity	22	–		
41	F - Construction	9	9		
42	F.41 - Construction of buildings	9	9		
43	F.41.1 - Development of building projects	9	9		
44	F.41.10 - Development of building projects	9	9		
45	G - Wholesale and retail trade; repair of motor vehicles and motorcycles	7	–		
46	G.46 - Wholesale trade, except of motor vehicles and motorcycles	7	–		
47	G.46.4 - Wholesale of household goods	7	–		
48	G.46.49 - Wholesale of other household goods	7	–		
49	H - Transport and storage	85	9		
50	H.49 - Land transport and transport via pipelines	76	–		
51	H.49.5 - Transport via pipeline	76	–		
52	H.49.50 - Transport via pipeline	76	–		
53	H.52 - Warehousing and support activities for transportation	10	9		
54	H.52.2 - Support activities for transportation	10	9		
55	H.52.22 - Service activities incidental to water transportation	5	4		

	y	z	aa	ab
	TOTAL (CCM + CCA + WTR + CE + PPC + BIO)			
	Non-Financial corporates (Subject to NFRD)		SMEs and other NFC not subject to NFRD	
	[Gross] carrying amount		[Gross] carrying amount	
Breakdown by sector - NACE 4 digits level (code and label)	EUR million	of which environmentally sustainable (CCM + CCA + WTR + CE + PPC + BIO)	EUR million	of which environmentally sustainable (CCM + CCA + WTR + CE + PPC + BIO)
56 H.52.29 - Other transportation support activities	5	5		
57 J - Information and communication	–	–		
58 J.61 - Telecommunications	–	–		
59 J.61.3 - Satellite telecommunications activities	–	–		
60 J.61.30 - Satellite telecommunications activities	–	–		
61 L - Real estate activities	387	82		
62 L.68 - Real estate activities	387	82		
63 L.68.2 - Rental and operating of own or leased real estate	241	51		
64 L.68.20 - Rental and operating of own or leased real estate	241	51		
65 L.68.3 - Real estate activities on a fee or contract basis	146	32		
66 L.68.32 - Management of real estate on a fee or contract basis	146	32		
67 M - Professional, scientific and technical activities	59	51		
68 M.70 - Activities of head offices; management consultancy activities	59	51		
69 M.70.1 - Activities of head offices	59	51		
70 M.70.10 - Activities of head offices	59	51		
71 N - Administrative and support service activities	1	1		
72 N.82 - Office administrative, office support and other business support activities	1	1		
73 N.82.9 - Business support service activities n.e.c.	1	1		
74 N.82.99 - Other business support service activities n.e.c.	1	1		

1 Credit institutions shall disclose in this template information on exposures in the banking book towards those sectors covered by the Taxonomy (NACE sectors 4 levels of detail), using the relevant NACE Codes on the basis of the principal activity of the counterparty.

2 The counterparty NACE sector allocation shall be based exclusively on the nature of the immediate counterparty. The classification of the exposures incurred jointly by more than one obligor shall be done on the basis of the characteristics of the obligor that was the most relevant, or determinant, for the institution to grant the exposure. The distribution of jointly incurred exposures by NACE codes shall be driven by the characteristics of the more relevant or determinant obligor. Institutions shall disclose information by NACE codes with the level of disaggregation required in the template.

Template 3.1 – GAR KPI stock – Turnover-based

	a	b	c	d	e	f	g	h	i
	Disclosure reference date T								
	Climate change mitigation (CCM)					Climate Change Adaptation (CCA)			
	Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)					Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)			
	Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)					Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)			
			of which Use of Proceeds	of which transitional	of which enabling			of which Use of Proceeds	of which enabling
% (compared to total covered assets in the denominator)									
GAR - Covered assets in both numerator and denominator									
1 Loans and advances, debt securities and equity instruments not HFT eligible for GAR calculation	9.97%	0.12%	0.02%	–	–	–	–	–	–
2 Financial undertakings	0.19%	–	–	–	–	–	–	–	–
3 Credit institutions	0.19%	–	–	–	–	–	–	–	–
4 Loans and advances	–								
5 Debt securities, including UoP	0.19%								
6 Equity instruments									
7 Other financial corporations	–								
8 of which investment firms	–	–	–	–	–	–	–	–	–
9 Loans and advances									
10 Debt securities, including UoP									
11 Equity instruments									
12 of which management companies	–	–	–	–	–	–	–	–	–
13 Loans and advances									
14 Debt securities, including UoP									
15 Equity instruments									
16 of which insurance undertakings	–	–	–	–	–	–	–	–	–
17 Loans and advances	–								
18 Debt securities, including UoP									
19 Equity instruments									
20 Non-financial undertakings	0.33%	0.12%	0.02%	–	–	–	–	–	–
21 Loans and advances	0.33%	0.12%	0.02%			–	–		
22 Debt securities, including UoP									
23 Equity instruments									
24 Households	8.26%								
25 of which loans collateralised by residential immovable property	8.04%								
26 of which building renovation loans	0.17%								
27 of which motor vehicle loans	0.05%								
28 Local governments financing	1.19%	–	–	–	–	–	–	–	–
29 Housing financing	0.53%								
30 Other local government financing	0.66%								
31 Collateral obtained by taking possession: residential and commercial immovable properties									
32 Total GAR assets	9.97%	0.12%	0.02%	–	–	–	–	–	–

Template 3.2 – GAR KPI stock – Turnover-based

		j	k	l	m	n	o	p	q
		Disclosure reference date T							
		Water and marine resources (WTR)				Circular economy (CE)			
		Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)			
		Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)			
		of which Use of Proceeds		of which enabling		of which Use of Proceeds		of which enabling	
	% (compared to total covered assets in the denominator)								
	GAR - Covered assets in both numerator and denominator								
1	Loans and advances, debt securities and equity instruments not HFT eligible for GAR calculation	–				–			
2	Financial undertakings	–				–			
3	Credit institutions	–				–			
4	Loans and advances								
5	Debt securities, including UoP								
6	Equity instruments								
7	Other financial corporations								
8	of which investment firms	–				–			
9	Loans and advances								
10	Debt securities, including UoP								
11	Equity instruments								
12	of which management companies	–				–			
13	Loans and advances								
14	Debt securities, including UoP								
15	Equity instruments								
16	of which insurance undertakings	–				–			
17	Loans and advances								
18	Debt securities, including UoP								
19	Equity instruments								
20	Non-financial undertakings	–				–			
21	Loans and advances								
22	Debt securities, including UoP								
23	Equity instruments								
24	Households								
25	of which loans collateralised by residential immovable property								
26	of which building renovation loans								
27	of which motor vehicle loans								
28	Local governments financing	–				–			
29	Housing financing								
30	Other local government financing								
31	Collateral obtained by taking possession: residential and commercial immovable properties								
32	Total GAR assets	–				–			

Template 3.3 – GAR KPI stock – Turnover-based

		r	s	t	u	v	w	x	z
		Disclosure reference date T							
		Pollution (PPC)				Biodiversity and Ecosystems (BIO)			
		Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)			
		Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)			
		of which Use of Proceeds		of which enabling		of which Use of Proceeds		of which enabling	
	% (compared to total covered assets in the denominator)								
	GAR - Covered assets in both numerator and denominator								
1	Loans and advances, debt securities and equity instruments not HFT eligible for GAR calculation	–				–			
2	Financial undertakings	–				–			
3	Credit institutions	–				–			
4	Loans and advances								
5	Debt securities, including UoP								
6	Equity instruments								
7	Other financial corporations								
8	of which investment firms	–				–			
9	Loans and advances								
10	Debt securities, including UoP								
11	Equity instruments								
12	of which management companies	–				–			
13	Loans and advances								
14	Debt securities, including UoP								
15	Equity instruments								
16	of which insurance undertakings	–				–			
17	Loans and advances								
18	Debt securities, including UoP								
19	Equity instruments								
20	Non-financial undertakings	–				–			
21	Loans and advances								
22	Debt securities, including UoP								
23	Equity instruments								
24	Households								
25	of which loans collateralised by residential immovable property								
26	of which building renovation loans								
27	of which motor vehicle loans								
28	Local governments financing	–				–			
29	Housing financing								
30	Other local government financing								
31	Collateral obtained by taking possession: residential and commercial immovable properties								
32	Total GAR assets	–				–			

Template 3.4 – GAR KPI stock – Turnover-based

	aa	ab	ac	ad	ae	af
	Disclosure reference date T					
	TOTAL (CCM + CCA + WTR + CE + PPC + BIO)					
	Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)					Proportion of total assets covered - on Stock
	Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)					
			of which Use of Proceeds	of which transitional	of which enabling	
% (compared to total covered assets in the denominator)						
GAR - Covered assets in both numerator and denominator						
1 Loans and advances, debt securities and equity instruments not HFT eligible for GAR calculation	11.79%	0.12%	0.02%	–	–	25.19%
2 Financial undertakings	1.67%	–	–	–	–	6.72%
3 Credit institutions	1.67%	–	–	–	–	6.66%
4 Loans and advances	1.49%	–	–	–	–	5.30%
5 Debt securities, including UoP	0.19%	–	–	–	–	1.35%
6 Equity instruments	–	–		–	–	–
7 Other financial corporations	–	–	–	–	–	0.06%
8 of which investment firms	–	–	–	–	–	0.01%
9 Loans and advances	–	–	–	–	–	
10 Debt securities, including UoP	–	–	–	–	–	
11 Equity instruments	–	–		–	–	0.01%
12 of which management companies	–	–	–	–	–	–
13 Loans and advances	–	–	–	–	–	
14 Debt securities, including UoP	–	–	–	–	–	
15 Equity instruments	–	–		–	–	
16 of which insurance undertakings	–	–	–	–	–	0.03%
17 Loans and advances	–	–	–	–	–	0.03%
18 Debt securities, including UoP	–	–	–	–	–	–
19 Equity instruments	–	–		–	–	
20 Non-financial undertakings	0.67%	0.12%	0.02%	–	–	1.99%
21 Loans and advances	0.67%	0.12%	0.02%	–	–	1.98%
22 Debt securities, including UoP	–	–	–	–	–	0.01%
23 Equity instruments	–	–		–	–	
24 Households	8.26%	–	–	–	–	9.52%
25 of which loans collateralised by residential immovable property	8.04%	–	–	–	–	7.06%
26 of which building renovation loans	0.17%	–	–	–	–	0.12%
27 of which motor vehicle loans						
28 Local governments financing	1.19%	–	–	–	–	6.96%
29 Housing financing	0.53%	–	–	–	–	0.55%
30 Other local government financing	0.66%	–	–	–	–	6.41%
31 Collateral obtained by taking possession: residential and commercial immovable properties	–	–	–	–	–	
32 Total GAR assets	11.79%	0.12%	0.02%	–	–	73.14%

Template 3.5 – GAR KPI stock – Turnover-based

	ag	ah	ai	aj	ak	al	am	an	ao
	Disclosure reference date T-1								
	Climate change mitigation (CCM)					Climate Change Adaptation (CCA)			
	Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)					Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)			
	Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)					Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)			
			of which Use of Proceeds	of which transitional	of which enabling			of which specialised lending	of which enabling
% (compared to total covered assets in the denominator)								5	
GAR - Covered assets in both numerator and denominator									
1 Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
2 Financial undertakings	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
3 Credit institutions	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
4 Loans and advances	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
5 Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
6 Equity instruments	N/A	N/A		N/A	N/A	N/A	N/A		N/A
7 Other financial corporations	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
8 of which investment firms	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
9 Loans and advances	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
10 Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
11 Equity instruments	N/A	N/A		N/A	N/A	N/A	N/A		N/A
12 of which management companies	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
13 Loans and advances	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
14 Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
15 Equity instruments	N/A	N/A		N/A	N/A	N/A	N/A		N/A
16 of which insurance undertakings	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
17 Loans and advances	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
18 Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
19 Equity instruments	N/A	N/A		N/A	N/A	N/A	N/A		N/A
20 Non-financial undertakings	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
21 Loans and advances	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
22 Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
23 Equity instruments	N/A	N/A		N/A	N/A	N/A	N/A		N/A
24 Households	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
25 of which loans collateralised by residential immovable property	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
26 of which building renovation loans	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
27 of which motor vehicle loans									
28 Local governments financing	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
29 Housing financing	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
30 Other local government financing	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Collateral obtained by taking possession: residential and commercial immovable properties									
31	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
32 Total GAR assets	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A

Template 3.6 – GAR KPI stock – Turnover-based

		ap	aq	ar	as	at	au	av	aw
		Disclosure reference date T-1							
		Water and marine resources (WTR)				Circular economy (CE)			
		Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)			
		Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)			
% (compared to total covered assets in the denominator)				of which Use of Proceeds	of which enabling			of which Use of Proceeds	of which enabling
GAR - Covered assets in both numerator and denominator									
1	Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	N/A				N/A			
2	Financial undertakings	N/A				N/A			
3	Credit institutions	N/A				N/A			
4	Loans and advances	N/A				N/A			
5	Debt securities, including UoP	N/A				N/A			
6	Equity instruments	N/A				N/A			
7	Other financial corporations	N/A				N/A			
8	of which investment firms	N/A				N/A			
9	Loans and advances	N/A				N/A			
10	Debt securities, including UoP	N/A				N/A			
11	Equity instruments	N/A				N/A			
12	of which management companies	N/A				N/A			
13	Loans and advances	N/A				N/A			
14	Debt securities, including UoP	N/A				N/A			
15	Equity instruments	N/A				N/A			
16	of which insurance undertakings	N/A				N/A			
17	Loans and advances	N/A				N/A			
18	Debt securities, including UoP	N/A				N/A			
19	Equity instruments	N/A				N/A			
20	Non-financial undertakings	N/A				N/A			
21	Loans and advances	N/A				N/A			
22	Debt securities, including UoP	N/A				N/A			
23	Equity instruments	N/A				N/A			
24	Households					N/A			
25	of which loans collateralised by residential immovable property					N/A			
26	of which building renovation loans					N/A			
27	of which motor vehicle loans								
28	Local governments financing	N/A				N/A			
29	Housing financing	N/A				N/A			
30	Other local government financing	N/A				N/A			
31	Collateral obtained by taking possession: residential and commercial immovable properties	N/A				N/A			
32	Total GAR assets	N/A				N/A			

Template 3.7 – GAR KPI stock – Turnover-based

		ax	ay	az	ba	bb	bc	bd	be
		Disclosure reference date T-1							
		Pollution (PPC)			Biodiversity and Ecosystems (BIO)				
		Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)			Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				
		Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)			Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				
		of which Use of Proceeds			of which Use of Proceeds				
		of which enabling			of which enabling				
	% (compared to total covered assets in the denominator)								
	GAR - Covered assets in both numerator and denominator								
1	Loans and advances, debt securities and equity instruments not HFT eligible for GAR calculation	N/A				N/A			
2	Financial undertakings	N/A				N/A			
3	Credit institutions	N/A				N/A			
4	Loans and advances	N/A				N/A			
5	Debt securities, including UoP	N/A				N/A			
6	Equity instruments	N/A				N/A			
7	Other financial corporations	N/A				N/A			
8	of which investment firms	N/A				N/A			
9	Loans and advances	N/A				N/A			
10	Debt securities, including UoP	N/A				N/A			
11	Equity instruments	N/A				N/A			
12	of which management companies	N/A				N/A			
13	Loans and advances	N/A				N/A			
14	Debt securities, including UoP	N/A				N/A			
15	Equity instruments	N/A				N/A			
16	of which insurance undertakings	N/A				N/A			
17	Loans and advances	N/A				N/A			
18	Debt securities, including UoP	N/A				N/A			
19	Equity instruments	N/A				N/A			
20	Non-financial undertakings	N/A				N/A			
21	Loans and advances	N/A				N/A			
22	Debt securities, including UoP	N/A				N/A			
23	Equity instruments	N/A				N/A			
24	Households								
25	of which loans collateralised by residential immovable property								
26	of which building renovation loans								
27	of which motor vehicle loans								
28	Local governments financing	N/A				N/A			
29	Housing financing	N/A				N/A			
30	Other local government financing	N/A				N/A			
31	Collateral obtained by taking possession: residential and commercial immovable properties	N/A				N/A			
32	Total GAR assets	N/A				N/A			

Template 3.8 – GAR KPI stock – Turnover-based

	bf	bg	bh	bi	bj	bk
	Disclosure reference date T-1					
	TOTAL (CCM + CCA + WTR + CE + PPC + BIO)					
	Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)					Proportion of total assets covered - on Stock
	Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)					
			of which Use of Proceeds	of which transitional	of which enabling	
% (compared to total covered assets in the denominator)						
GAR - Covered assets in both numerator and denominator						
1 Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	N/A	N/A	N/A	N/A	N/A	N/A
2 Financial undertakings	N/A	N/A	N/A	N/A	N/A	N/A
3 Credit institutions	N/A	N/A	N/A	N/A	N/A	N/A
4 Loans and advances	N/A	N/A	N/A	N/A	N/A	N/A
5 Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A	N/A
6 Equity instruments	N/A	N/A		N/A	N/A	N/A
7 Other financial corporations	N/A	N/A	N/A	N/A	N/A	N/A
8 of which investment firms	N/A	N/A	N/A	N/A	N/A	N/A
9 Loans and advances	N/A	N/A	N/A	N/A	N/A	N/A
10 Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A	N/A
11 Equity instruments	N/A	N/A		N/A	N/A	N/A
12 of which management companies	N/A	N/A	N/A	N/A	N/A	N/A
13 Loans and advances	N/A	N/A	N/A	N/A	N/A	N/A
14 Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A	N/A
15 Equity instruments	N/A	N/A		N/A	N/A	N/A
16 of which insurance undertakings	N/A	N/A	N/A	N/A	N/A	N/A
17 Loans and advances	N/A	N/A	N/A	N/A	N/A	N/A
18 Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A	N/A
19 Equity instruments	N/A	N/A		N/A	N/A	N/A
20 Non-financial undertakings	N/A	N/A	N/A	N/A	N/A	N/A
21 Loans and advances	N/A	N/A	N/A	N/A	N/A	N/A
22 Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A	N/A
23 Equity instruments	N/A	N/A		N/A	N/A	N/A
24 Households	N/A	N/A	N/A	N/A	N/A	N/A
25 of which loans collateralised by residential immovable property	N/A	N/A	N/A	N/A	N/A	N/A
26 of which building renovation loans	N/A	N/A	N/A	N/A	N/A	N/A
27 of which motor vehicle loans	N/A	N/A	N/A	N/A	N/A	N/A
28 Local governments financing	N/A	N/A	N/A	N/A	N/A	N/A
29 Housing financing	N/A	N/A	N/A	N/A	N/A	N/A
30 Other local government financing	N/A	N/A	N/A	N/A	N/A	N/A
Collateral obtained by taking possession: residential and commercial immovable properties						
31	N/A	N/A	N/A	N/A	N/A	N/A
32 Total GAR assets	N/A	N/A	N/A	N/A	N/A	N/A

- 1 Institutions shall disclose in this template the GAR KPIs on stock of loans calculated based on the data disclosed in template 1, on covered assets, and by applying the formulae proposed in this template.
- 2 Information on the GAR (green asset ratio of 'eligible' activities) shall be accompanied with information on the proportion of total assets covered by the GAR.
- 3 Credit institutions can, in addition to the information included in this template, show the proportion of assets funding taxonomy relevant sectors that are environmentally sustainable (Taxonomy-aligned). This information would enrich the information on the KPI on environmentally sustainable assets compared to total covered assets.
- 4 Credit institutions shall duplicate this template for revenue-based and CapEx based disclosures.
- 5 At BayernLB, the term "specialised lending" is interpreted analogously to "Use of proceeds".

Template 3.1 – GAR KPI stock – CapEx-based

		a	b	c	d	e	f	g	h	i
		Disclosure reference date T								
		Climate change mitigation (CCM)					Climate Change Adaptation (CCA)			
		Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)					Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)			
		Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)					Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)			
% (compared to total covered assets in the denominator)				of which Use of Proceeds	of which transitional	of which enabling			of which Use of Proceeds	of which enabling
GAR - Covered assets in both numerator and denominator										
1	Loans and advances, debt securities and equity instruments not HFT eligible for GAR calculation	10.18%	0.32%	0.02%	–	–	–	–	–	–
2	Financial undertakings	0.19%	–	–	–	–	–	–	–	–
3	Credit institutions	0.19%	–	–	–	–	–	–	–	–
4	Loans and advances	–								
5	Debt securities, including UoP	0.19%								
6	Equity instruments									
7	Other financial corporations									
8	of which investment firms	–	–	–	–	–	–	–	–	–
9	Loans and advances									
10	Debt securities, including UoP									
11	Equity instruments									
12	of which management companies	–	–	–	–	–	–	–	–	–
13	Loans and advances									
14	Debt securities, including UoP									
15	Equity instruments									
16	of which insurance undertakings	–	–	–	–	–	–	–	–	–
17	Loans and advances									
18	Debt securities, including UoP									
19	Equity instruments									
20	Non-financial undertakings	0.55%	0.32%	0.02%	–	–	–	–	–	–
21	Loans and advances	0.55%	0.32%	0.02%			–	–		
22	Debt securities, including UoP									
23	Equity instruments									
24	Households	8.26%								
25	of which loans collateralised by residential immovable property	8.04%								
26	of which building renovation loans	0.17%								
27	of which motor vehicle loans	0.05%								
28	Local governments financing	1.19%	–	–	–	–	–	–	–	–
29	Housing financing	0.53%								
30	Other local government financing	0.66%								
Collateral obtained by taking possession: residential and commercial immovable properties										
31										
32	Total GAR assets	10.18%	0.32%	0.02%	–	–	–	–	–	–

Template 3.2 – GAR KPI stock – CapEx-based

	j	k	l	m	n	o	p	q
	Disclosure reference date T							
	Water and marine resources (WTR)				Circular economy (CE)			
	Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)			
	Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)			
		of which Use of Proceeds	of which enabling			of which Use of Proceeds	of which enabling	
% (compared to total covered assets in the denominator)								
GAR - Covered assets in both numerator and denominator								
1 Loans and advances, debt securities and equity instruments not HFT eligible for GAR calculation	–				–			
2 Financial undertakings	–				–			
3 Credit institutions	–				–			
4 Loans and advances								
5 Debt securities, including UoP								
6 Equity instruments								
7 Other financial corporations								
8 of which investment firms	–				–			
9 Loans and advances								
10 Debt securities, including UoP								
11 Equity instruments								
12 of which management companies	–				–			
13 Loans and advances								
14 Debt securities, including UoP								
15 Equity instruments								
16 of which insurance undertakings	–				–			
17 Loans and advances								
18 Debt securities, including UoP								
19 Equity instruments								
20 Non-financial undertakings	–				–			
21 Loans and advances								
22 Debt securities, including UoP								
23 Equity instruments								
24 Households								
25 of which loans collateralised by residential immovable property								
26 of which building renovation loans								
27 of which motor vehicle loans								
28 Local governments financing	–				–			
29 Housing financing								
30 Other local government financing								
31 Collateral obtained by taking possession: residential and commercial immovable properties								
32 Total GAR assets	–				–			

Template 3.3 – GAR KPI stock – CapEx-based

		r	s	t	u	v	w	x	z
		Disclosure reference date T							
		Pollution (PPC)				Biodiversity and Ecosystems (BIO)			
		Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)			
		Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)			
		of which Use of Proceeds		of which enabling		of which Use of Proceeds		of which enabling	
	% (compared to total covered assets in the denominator)								
	GAR - Covered assets in both numerator and denominator								
1	Loans and advances, debt securities and equity instruments not HFT eligible for GAR calculation	–				–			
2	Financial undertakings	–				–			
3	Credit institutions	–				–			
4	Loans and advances								
5	Debt securities, including UoP								
6	Equity instruments								
7	Other financial corporations								
8	of which investment firms	–				–			
9	Loans and advances								
10	Debt securities, including UoP								
11	Equity instruments								
12	of which management companies	–				–			
13	Loans and advances								
14	Debt securities, including UoP								
15	Equity instruments								
16	of which insurance undertakings	–				–			
17	Loans and advances								
18	Debt securities, including UoP								
19	Equity instruments								
20	Non-financial undertakings	–				–			
21	Loans and advances								
22	Debt securities, including UoP								
23	Equity instruments								
24	Households								
25	of which loans collateralised by residential immovable property								
26	of which building renovation loans								
27	of which motor vehicle loans								
28	Local governments financing	–				–			
29	Housing financing								
30	Other local government financing								
31	Collateral obtained by taking possession: residential and commercial immovable properties								
32	Total GAR assets	–				–			

Template 3.4 – GAR KPI stock – CapEx-based

	aa	ab	ac	ad	ae	af
	Disclosure reference date T					
	TOTAL (CCM + CCA + WTR + CE + PPC + BIO)					
	Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)					Proportion of total assets covered - on Stock
	Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)					
			of which Use of Proceeds	of which transitional	of which enabling	
% (compared to total covered assets in the denominator)						
GAR - Covered assets in both numerator and denominator						
1 Loans and advances, debt securities and equity instruments not HFT eligible for GAR calculation	12.11%	0.32%	0.02%	–	–	25.19%
2 Financial undertakings	1.67%	–	–	–	–	6.72%
3 Credit institutions	1.67%	–	–	–	–	6.66%
4 Loans and advances	1.49%	–	–	–	–	5.30%
5 Debt securities, including UoP	0.19%	–	–	–	–	1.35%
6 Equity instruments	–	–		–	–	–
7 Other financial corporations	–	–	–	–	–	0.06%
8 of which investment firms	–	–	–	–	–	0.01%
9 Loans and advances	–	–	–	–	–	
10 Debt securities, including UoP	–	–	–	–	–	
11 Equity instruments	–	–		–	–	0.01%
12 of which management companies	–	–	–	–	–	–
13 Loans and advances	–	–	–	–	–	
14 Debt securities, including UoP	–	–	–	–	–	
15 Equity instruments	–	–		–	–	
16 of which insurance undertakings	–	–	–	–	–	0.03%
17 Loans and advances	–	–	–	–	–	0.03%
18 Debt securities, including UoP	–	–	–	–	–	–
19 Equity instruments	–	–		–	–	
20 Non-financial undertakings	0.99%	0.32%	0.02%	–	–	1.99%
21 Loans and advances	0.99%	0.32%	0.02%	–	–	1.98%
22 Debt securities, including UoP	–	–	–	–	–	0.01%
23 Equity instruments	–	–		–	–	
24 Households	8.26%	–	–	–	–	9.52%
25 of which loans collateralised by residential immovable property	8.04%	–	–	–	–	7.06%
26 of which building renovation loans	0.17%	–	–	–	–	0.12%
27 of which motor vehicle loans						
28 Local governments financing	1.19%	–	–	–	–	6.96%
29 Housing financing	0.53%	–	–	–	–	0.55%
30 Other local government financing	0.66%	–	–	–	–	6.41%
31 Collateral obtained by taking possession: residential and commercial immovable properties	–	–	–	–	–	
32 Total GAR assets	12.11%	0.32%	0.02%	–	–	73.14%

Template 3.5 – GAR KPI stock – CapEx-based

	ag	ah	ai	aj	ak	al	am	an	ao
	Disclosure reference date T-1								
	Climate change mitigation (CCM)					Climate Change Adaptation (CCA)			
	Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)					Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)			
	Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)					Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)			
			of which Use of Proceeds	of which transitional	of which enabling			of which specialised lending	of which enabling
% (compared to total covered assets in the denominator)									
GAR - Covered assets in both numerator and denominator									
1 Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
2 Financial undertakings	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
3 Credit institutions	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
4 Loans and advances	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
5 Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
6 Equity instruments	N/A	N/A		N/A	N/A	N/A	N/A		N/A
7 Other financial corporations	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
8 of which investment firms	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
9 Loans and advances	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
10 Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
11 Equity instruments	N/A	N/A		N/A	N/A	N/A	N/A		N/A
12 of which management companies	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
13 Loans and advances	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
14 Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
15 Equity instruments	N/A	N/A		N/A	N/A	N/A	N/A		N/A
16 of which insurance undertakings	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
17 Loans and advances	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
18 Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
19 Equity instruments	N/A	N/A		N/A	N/A	N/A	N/A		N/A
20 Non-financial undertakings	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
21 Loans and advances	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
22 Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
23 Equity instruments	N/A	N/A		N/A	N/A	N/A	N/A		N/A
24 Households	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
25 of which loans collateralised by residential immovable property	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
26 of which building renovation loans	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
27 of which motor vehicle loans									
28 Local governments financing	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
29 Housing financing	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
30 Other local government financing	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Collateral obtained by taking possession: residential and commercial immovable properties									
31	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
32 Total GAR assets	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A

Template 3.6 – GAR KPI stock – CapEx-based

		ap	aq	ar	as	at	au	av	aw
		Disclosure reference date T-1							
		Water and marine resources (WTR)				Circular economy (CE)			
		Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)			
		Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)			
				of which Use of Proceeds	of which enabling			of which Use of Proceeds	of which enabling
	% (compared to total covered assets in the denominator)								
	GAR - Covered assets in both numerator and denominator								
1	Loans and advances, debt securities and equity instruments not HFT eligible for GAR calculation	N/A				N/A			
2	Financial undertakings	N/A				N/A			
3	Credit institutions	N/A				N/A			
4	Loans and advances	N/A				N/A			
5	Debt securities, including UoP	N/A				N/A			
6	Equity instruments	N/A				N/A			
7	Other financial corporations	N/A				N/A			
8	of which investment firms	N/A				N/A			
9	Loans and advances	N/A				N/A			
10	Debt securities, including UoP	N/A				N/A			
11	Equity instruments	N/A				N/A			
12	of which management companies	N/A				N/A			
13	Loans and advances	N/A				N/A			
14	Debt securities, including UoP	N/A				N/A			
15	Equity instruments	N/A				N/A			
16	of which insurance undertakings	N/A				N/A			
17	Loans and advances	N/A				N/A			
18	Debt securities, including UoP	N/A				N/A			
19	Equity instruments	N/A				N/A			
20	Non-financial undertakings	N/A				N/A			
21	Loans and advances	N/A				N/A			
22	Debt securities, including UoP	N/A				N/A			
23	Equity instruments	N/A				N/A			
24	Households					N/A			
25	of which loans collateralised by residential immovable property					N/A			
26	of which building renovation loans					N/A			
27	of which motor vehicle loans								
28	Local governments financing	N/A				N/A			
29	Housing financing	N/A				N/A			
30	Other local government financing	N/A				N/A			
31	Collateral obtained by taking possession: residential and commercial immovable properties	N/A				N/A			
32	Total GAR assets	N/A				N/A			

Template 3.7 – GAR KPI stock – CapEx-based

		ax	ay	az	ba	bb	bc	bd	be
		Disclosure reference date T-1							
		Pollution (PPC)			Biodiversity and Ecosystems (BIO)				
		Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)			Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				
		Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)			Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				
		of which Use of Proceeds			of which Use of Proceeds				
		of which enabling			of which enabling				
	% (compared to total covered assets in the denominator)								
	GAR - Covered assets in both numerator and denominator								
1	Loans and advances, debt securities and equity instruments not HFT eligible for GAR calculation	N/A				N/A			
2	Financial undertakings	N/A				N/A			
3	Credit institutions	N/A				N/A			
4	Loans and advances	N/A				N/A			
5	Debt securities, including UoP	N/A				N/A			
6	Equity instruments	N/A				N/A			
7	Other financial corporations	N/A				N/A			
8	of which investment firms	N/A				N/A			
9	Loans and advances	N/A				N/A			
10	Debt securities, including UoP	N/A				N/A			
11	Equity instruments	N/A				N/A			
12	of which management companies	N/A				N/A			
13	Loans and advances	N/A				N/A			
14	Debt securities, including UoP	N/A				N/A			
15	Equity instruments	N/A				N/A			
16	of which insurance undertakings	N/A				N/A			
17	Loans and advances	N/A				N/A			
18	Debt securities, including UoP	N/A				N/A			
19	Equity instruments	N/A				N/A			
20	Non-financial undertakings	N/A				N/A			
21	Loans and advances	N/A				N/A			
22	Debt securities, including UoP	N/A				N/A			
23	Equity instruments	N/A				N/A			
24	Households								
25	of which loans collateralised by residential immovable property								
26	of which building renovation loans								
27	of which motor vehicle loans								
28	Local governments financing	N/A				N/A			
29	Housing financing	N/A				N/A			
30	Other local government financing	N/A				N/A			
31	Collateral obtained by taking possession: residential and commercial immovable properties	N/A				N/A			
32	Total GAR assets	N/A				N/A			

Template 3.8 – GAR KPI stock – CapEx-based

	bf	bg	bh	bi	bj	bk
	Disclosure reference date T-1					
	TOTAL (CCM + CCA + WTR + CE + PPC + BIO)					
	Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)					Proportion of total assets covered - on Stock
	Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)					
			of which Use of Proceeds	of which transi- tional	of which enabling	
% (compared to total covered assets in the denominator)						
GAR - Covered assets in both numerator and denominator						
1 Loans and advances, debt securities and equity instruments not HFT eligible for GAR calculation	N/A	N/A	N/A	N/A	N/A	N/A
2 Financial undertakings	N/A	N/A	N/A	N/A	N/A	N/A
3 Credit institutions	N/A	N/A	N/A	N/A	N/A	N/A
4 Loans and advances	N/A	N/A	N/A	N/A	N/A	N/A
5 Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A	N/A
6 Equity instruments	N/A	N/A		N/A	N/A	N/A
7 Other financial corporations	N/A	N/A	N/A	N/A	N/A	N/A
8 of which investment firms	N/A	N/A	N/A	N/A	N/A	N/A
9 Loans and advances	N/A	N/A	N/A	N/A	N/A	N/A
10 Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A	N/A
11 Equity instruments	N/A	N/A		N/A	N/A	N/A
12 of which management companies	N/A	N/A	N/A	N/A	N/A	N/A
13 Loans and advances	N/A	N/A	N/A	N/A	N/A	N/A
14 Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A	N/A
15 Equity instruments	N/A	N/A		N/A	N/A	N/A
16 of which insurance undertakings	N/A	N/A	N/A	N/A	N/A	N/A
17 Loans and advances	N/A	N/A	N/A	N/A	N/A	N/A
18 Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A	N/A
19 Equity instruments	N/A	N/A		N/A	N/A	N/A
20 Non-financial undertakings	N/A	N/A	N/A	N/A	N/A	N/A
21 Loans and advances	N/A	N/A	N/A	N/A	N/A	N/A
22 Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A	N/A
23 Equity instruments	N/A	N/A		N/A	N/A	N/A
24 Households	N/A	N/A	N/A	N/A	N/A	N/A
25 of which loans collateralised by residential immovable property	N/A	N/A	N/A	N/A	N/A	N/A
26 of which building renovation loans	N/A	N/A	N/A	N/A	N/A	N/A
27 of which motor vehicle loans	N/A	N/A	N/A	N/A	N/A	N/A
28 Local governments financing	N/A	N/A	N/A	N/A	N/A	N/A
29 Housing financing	N/A	N/A	N/A	N/A	N/A	N/A
30 Other local government financing	N/A	N/A	N/A	N/A	N/A	N/A
Collateral obtained by taking possession: residential and commercial immovable properties						
31	N/A	N/A	N/A	N/A	N/A	N/A
32 Total GAR assets	N/A	N/A	N/A	N/A	N/A	N/A

- 1 Institutions shall disclose in this template the GAR KPIs on stock of loans calculated based on the data disclosed in template 1, on covered assests, and by applying the formuals proposed in this template.
- 2 Information on the GAR (green asset ratio of 'eligible' activities) shall be accompanied with information on the proportion of total assets covered by the GAR.
- 3 Credit institutions can, in addition to the information included in this template, show the proportion of assets funding taxonomy relevant sectors that are environmentally sustainable (Taxonomy-aligned). This information would enrich the information on the KPI on environmentally sustainable assets compared to total covered assets.
- 4 Credit institutions shall duplicate this template for revenue-based and CapEx based disclosures.
- 5 At BayernLB, the term "specialised lending" is interpreted analogously to "Use of proceeds".

Template 4.1 – GAR KPI flow – Turnover-based

	a	b	c	d	e	f	g	h	i
	Disclosure reference date T								
	Climate change mitigation (CCM)					Climate Change Adaptation (CCA)			
	Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)					Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)			
	Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)					Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)			
			of which Use of Proceeds	of which transitional	of which enabling			of which Use of Proceeds	of which enabling
% (compared to flow of total eligible assets)									
GAR - Covered assets in both numerator and denominator									
1 Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
2 Financial undertakings	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
3 Credit institutions	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
4 Loans and advances	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
5 Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
6 Equity instruments	N/A	N/A		N/A	N/A	N/A	N/A		N/A
7 Other financial corporations	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
8 of which investment firms	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
9 Loans and advances	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
10 Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
11 Equity instruments	N/A	N/A		N/A	N/A	N/A	N/A		N/A
12 of which management companies	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
13 Loans and advances	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
14 Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
15 Equity instruments	N/A	N/A		N/A	N/A	N/A	N/A		N/A
16 of which insurance undertakings	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
17 Loans and advances	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
18 Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
19 Equity instruments	N/A	N/A		N/A	N/A	N/A	N/A		N/A
20 Non-financial undertakings	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
21 Loans and advances	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
22 Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
23 Equity instruments	N/A	N/A		N/A	N/A	N/A	N/A		N/A
24 Households	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
25 of which loans collateralised by residential immovable property	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
26 of which building renovation loans	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
27 of which motor vehicle loans	N/A	N/A	N/A	N/A	N/A				
28 Local governments financing	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
29 Housing financing	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
30 Other local government financing	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
31 Collateral obtained by taking possession: residential and commercial immovable properties	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
32 Total GAR assets	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A

Template 4.2 – GAR KPI flow – Turnover-based

		j	k	l	m	n	o	p	q
		Disclosure reference date T							
		Water and marine resources (WTR)				Circular economy (CE)			
		Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)			
		Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)			
				of which Use of Proceeds	of which enabling			of which Use of Proceeds	of which enabling
% (compared to flow of total eligible assets)									
GAR - Covered assets in both numerator and denominator									
1	Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	N/A				N/A			
2	Financial undertakings	N/A				N/A			
3	Credit institutions	N/A				N/A			
4	Loans and advances	N/A				N/A			
5	Debt securities, including UoP	N/A				N/A			
6	Equity instruments	N/A				N/A			
7	Other financial corporations	N/A				N/A			
8	of which investment firms	N/A				N/A			
9	Loans and advances	N/A				N/A			
10	Debt securities, including UoP	N/A				N/A			
11	Equity instruments	N/A				N/A			
12	of which management companies	N/A				N/A			
13	Loans and advances	N/A				N/A			
14	Debt securities, including UoP	N/A				N/A			
15	Equity instruments	N/A				N/A			
16	of which insurance undertakings	N/A				N/A			
17	Loans and advances	N/A				N/A			
18	Debt securities, including UoP	N/A				N/A			
19	Equity instruments	N/A				N/A			
20	Non-financial undertakings	N/A				N/A			
21	Loans and advances	N/A				N/A			
22	Debt securities, including UoP	N/A				N/A			
23	Equity instruments	N/A				N/A			
24	Households					N/A			
	of which loans collateralised by residential immovable property					N/A			
25						N/A			
26	of which building renovation loans					N/A			
27	of which motor vehicle loans								
28	Local governments financing	N/A				N/A			
29	Housing financing	N/A				N/A			
30	Other local government financing	N/A				N/A			
	Collateral obtained by taking possession: residential and commercial immovable properties								
31		N/A				N/A			
32	Total GAR assets	N/A				N/A			

Template 4.3 – GAR KPI flow – Turnover-based

		r	s	t	u	v	w	x	z
		Disclosure reference date T							
		Pollution (PPC)				Biodiversity and Ecosystems (BIO)			
		Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)			
		Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)			
				of which Use of Proceeds	of which enabling			of which Use of Proceeds	of which enabling
% (compared to flow of total eligible assets)									
GAR - Covered assets in both numerator and denominator									
1	Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	N/A				N/A			
2	Financial undertakings	N/A				N/A			
3	Credit institutions	N/A				N/A			
4	Loans and advances	N/A				N/A			
5	Debt securities, including UoP	N/A				N/A			
6	Equity instruments	N/A				N/A			
7	Other financial corporations	N/A				N/A			
8	of which investment firms	N/A				N/A			
9	Loans and advances	N/A				N/A			
10	Debt securities, including UoP	N/A				N/A			
11	Equity instruments	N/A				N/A			
12	of which management companies	N/A				N/A			
13	Loans and advances	N/A				N/A			
14	Debt securities, including UoP	N/A				N/A			
15	Equity instruments	N/A				N/A			
16	of which insurance undertakings	N/A				N/A			
17	Loans and advances	N/A				N/A			
18	Debt securities, including UoP	N/A				N/A			
19	Equity instruments	N/A				N/A			
20	Non-financial undertakings	N/A				N/A			
21	Loans and advances	N/A				N/A			
22	Debt securities, including UoP	N/A				N/A			
23	Equity instruments	N/A				N/A			
24	Households								
	of which loans collateralised by residential immovable property								
25									
26	of which building renovation loans								
27	of which motor vehicle loans								
28	Local governments financing	N/A				N/A			
29	Housing financing	N/A				N/A			
30	Other local government financing	N/A				N/A			
	Collateral obtained by taking possession: residential and commercial immovable properties								
31		N/A				N/A			
32	Total GAR assets	N/A				N/A			

Template 4.4 – GAR KPI flow – Turnover-based

		aa	ab	ac	ad	ae	af
		Disclosure reference date T					
		TOTAL (CCM + CCA + WTR + CE + PPC + BIO)					
		Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)					Proportion of total new assets covered
		Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)					
				of which Use of Proceeds	of which transitional	of which enabling	
	% (compared to flow of total eligible assets)						
	GAR - Covered assets in both numerator and denominator						
1	Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	N/A	N/A	N/A	N/A	N/A	N/A
2	Financial undertakings	N/A	N/A	N/A	N/A	N/A	N/A
3	Credit institutions	N/A	N/A	N/A	N/A	N/A	N/A
4	Loans and advances	N/A	N/A	N/A	N/A	N/A	N/A
5	Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A	N/A
6	Equity instruments	N/A	N/A		N/A	N/A	N/A
7	Other financial corporations	N/A	N/A	N/A	N/A	N/A	N/A
8	of which investment firms	N/A	N/A	N/A	N/A	N/A	N/A
9	Loans and advances	N/A	N/A	N/A	N/A	N/A	N/A
10	Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A	N/A
11	Equity instruments	N/A	N/A		N/A	N/A	N/A
12	of which management companies	N/A	N/A	N/A	N/A	N/A	N/A
13	Loans and advances	N/A	N/A	N/A	N/A	N/A	N/A
14	Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A	N/A
15	Equity instruments	N/A	N/A		N/A	N/A	N/A
16	of which insurance undertakings	N/A	N/A	N/A	N/A	N/A	N/A
17	Loans and advances	N/A	N/A	N/A	N/A	N/A	N/A
18	Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A	N/A
19	Equity instruments	N/A	N/A		N/A	N/A	N/A
20	Non-financial undertakings	N/A	N/A	N/A	N/A	N/A	N/A
21	Loans and advances	N/A	N/A	N/A	N/A	N/A	N/A
22	Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A	N/A
23	Equity instruments	N/A	N/A		N/A	N/A	N/A
24	Households	N/A	N/A	N/A	N/A	N/A	N/A
25	of which loans collateralised by residential immovable property	N/A	N/A	N/A	N/A	N/A	N/A
26	of which building renovation loans	N/A	N/A	N/A	N/A	N/A	N/A
27	of which motor vehicle loans	N/A	N/A	N/A	N/A	N/A	N/A
28	Local governments financing	N/A	N/A	N/A	N/A	N/A	N/A
29	Housing financing	N/A	N/A	N/A	N/A	N/A	N/A
30	Other local government financing	N/A	N/A	N/A	N/A	N/A	N/A
	Collateral obtained by taking possession: residential and commercial immovable properties						
31		N/A	N/A	N/A	N/A	N/A	N/A
32	Total GAR assets	N/A	N/A	N/A	N/A	N/A	N/A

1 Institutions shall disclose in this template the GAR KPIs on flow of loans calculated (new loans on a net basis) based on the data disclosed in template 1, on covered assets, and by applying the formulas proposed in this template.

2 Credit institutions shall duplicate this template for revenue-based and CapEx-based disclosures.

Template 4.1 – GAR KPI flow – CapEx-based

	a	b	c	d	e	f	g	h	i
	Disclosure reference date T								
	Climate change mitigation (CCM)					Climate Change Adaptation (CCA)			
	Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)					Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)			
	Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)					Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)			
			of which Use of Proceeds	of which transitional	of which enabling			of which Use of Proceeds	of which enabling
% (compared to flow of total eligible assets)									
GAR - Covered assets in both numerator and denominator									
1 Loans and advances, debt securities and equity instruments not HFT eligible for GAR calculation	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
2 Financial undertakings	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
3 Credit institutions	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
4 Loans and advances	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
5 Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
6 Equity instruments	N/A	N/A		N/A	N/A	N/A	N/A		N/A
7 Other financial corporations	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
8 of which investment firms	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
9 Loans and advances	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
10 Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
11 Equity instruments	N/A	N/A		N/A	N/A	N/A	N/A		N/A
12 of which management companies	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
13 Loans and advances	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
14 Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
15 Equity instruments	N/A	N/A		N/A	N/A	N/A	N/A		N/A
16 of which insurance undertakings	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
17 Loans and advances	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
18 Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
19 Equity instruments	N/A	N/A		N/A	N/A	N/A	N/A		N/A
20 Non-financial undertakings	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
21 Loans and advances	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
22 Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
23 Equity instruments	N/A	N/A		N/A	N/A	N/A	N/A		N/A
24 Households	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
25 of which loans collateralised by residential immovable property	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
26 of which building renovation loans	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
27 of which motor vehicle loans	N/A	N/A	N/A	N/A	N/A				
28 Local governments financing	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
29 Housing financing	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
30 Other local government financing	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
31 Collateral obtained by taking possession: residential and commercial immovable properties	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
32 Total GAR assets	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A

Template 4.2 – GAR KPI flow – CapEx-based

		j	k	l	m	n	o	p	q
		Disclosure reference date T							
		Water and marine resources (WTR)				Circular economy (CE)			
		Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)			
		Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)			
				of which Use of Proceeds	of which enabling			of which Use of Proceeds	of which enabling
% (compared to flow of total eligible assets)									
GAR - Covered assets in both numerator and denominator									
1	Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	N/A				N/A			
2	Financial undertakings	N/A				N/A			
3	Credit institutions	N/A				N/A			
4	Loans and advances	N/A				N/A			
5	Debt securities, including UoP	N/A				N/A			
6	Equity instruments	N/A				N/A			
7	Other financial corporations	N/A				N/A			
8	of which investment firms	N/A				N/A			
9	Loans and advances	N/A				N/A			
10	Debt securities, including UoP	N/A				N/A			
11	Equity instruments	N/A				N/A			
12	of which management companies	N/A				N/A			
13	Loans and advances	N/A				N/A			
14	Debt securities, including UoP	N/A				N/A			
15	Equity instruments	N/A				N/A			
16	of which insurance undertakings	N/A				N/A			
17	Loans and advances	N/A				N/A			
18	Debt securities, including UoP	N/A				N/A			
19	Equity instruments	N/A				N/A			
20	Non-financial undertakings	N/A				N/A			
21	Loans and advances	N/A				N/A			
22	Debt securities, including UoP	N/A				N/A			
23	Equity instruments	N/A				N/A			
24	Households					N/A			
	of which loans collateralised by residential immovable property					N/A			
25						N/A			
26	of which building renovation loans					N/A			
27	of which motor vehicle loans								
28	Local governments financing	N/A				N/A			
29	Housing financing	N/A				N/A			
30	Other local government financing	N/A				N/A			
	Collateral obtained by taking possession: residential and commercial immovable properties								
31		N/A				N/A			
32	Total GAR assets	N/A				N/A			

Template 4.3 – GAR KPI flow – CapEx-based

		r	s	t	u	v	w	x	z
		Disclosure reference date T							
		Pollution (PPC)				Biodiversity and Ecosystems (BIO)			
		Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)			
		Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)			
		of which Use of Proceeds		of which enabling		of which Use of Proceeds		of which enabling	
	% (compared to flow of total eligible assets)								
	GAR - Covered assets in both numerator and denominator								
1	Loans and advances, debt securities and equity instruments not HFT eligible for GAR calculation	N/A				N/A			
2	Financial undertakings	N/A				N/A			
3	Credit institutions	N/A				N/A			
4	Loans and advances	N/A				N/A			
5	Debt securities, including UoP	N/A				N/A			
6	Equity instruments	N/A				N/A			
7	Other financial corporations	N/A				N/A			
8	of which investment firms	N/A				N/A			
9	Loans and advances	N/A				N/A			
10	Debt securities, including UoP	N/A				N/A			
11	Equity instruments	N/A				N/A			
12	of which management companies	N/A				N/A			
13	Loans and advances	N/A				N/A			
14	Debt securities, including UoP	N/A				N/A			
15	Equity instruments	N/A				N/A			
16	of which insurance undertakings	N/A				N/A			
17	Loans and advances	N/A				N/A			
18	Debt securities, including UoP	N/A				N/A			
19	Equity instruments	N/A				N/A			
20	Non-financial undertakings	N/A				N/A			
21	Loans and advances	N/A				N/A			
22	Debt securities, including UoP	N/A				N/A			
23	Equity instruments	N/A				N/A			
24	Households								
25	of which loans collateralised by residential immovable property								
26	of which building renovation loans								
27	of which motor vehicle loans								
28	Local governments financing	N/A				N/A			
29	Housing financing	N/A				N/A			
30	Other local government financing	N/A				N/A			
31	Collateral obtained by taking possession: residential and commercial immovable properties	N/A				N/A			
32	Total GAR assets	N/A				N/A			

Template 4.4 – GAR KPI flow – CapEx-based

	aa	ab	ac	ad	ae	af
	Disclosure reference date T					
	TOTAL (CCM + CCA + WTR + CE + PPC + BIO)					
	Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)					Proportion of total new assets covered
	Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)					
			of which Use of Proceeds	of which transi- tional	of which enabling	
% (compared to flow of total eligible assets)						
GAR - Covered assets in both numerator and denominator						
1 Loans and advances, debt securities and equity instruments not HFT eligible for GAR calculation	N/A	N/A	N/A	N/A	N/A	N/A
2 Financial undertakings	N/A	N/A	N/A	N/A	N/A	N/A
3 Credit institutions	N/A	N/A	N/A	N/A	N/A	N/A
4 Loans and advances	N/A	N/A	N/A	N/A	N/A	N/A
5 Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A	N/A
6 Equity instruments	N/A	N/A		N/A	N/A	N/A
7 Other financial corporations	N/A	N/A	N/A	N/A	N/A	N/A
8 of which investment firms	N/A	N/A	N/A	N/A	N/A	N/A
9 Loans and advances	N/A	N/A	N/A	N/A	N/A	N/A
10 Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A	N/A
11 Equity instruments	N/A	N/A		N/A	N/A	N/A
12 of which management companies	N/A	N/A	N/A	N/A	N/A	N/A
13 Loans and advances	N/A	N/A	N/A	N/A	N/A	N/A
14 Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A	N/A
15 Equity instruments	N/A	N/A		N/A	N/A	N/A
16 of which insurance undertakings	N/A	N/A	N/A	N/A	N/A	N/A
17 Loans and advances	N/A	N/A	N/A	N/A	N/A	N/A
18 Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A	N/A
19 Equity instruments	N/A	N/A		N/A	N/A	N/A
20 Non-financial undertakings	N/A	N/A	N/A	N/A	N/A	N/A
21 Loans and advances	N/A	N/A	N/A	N/A	N/A	N/A
22 Debt securities, including UoP	N/A	N/A	N/A	N/A	N/A	N/A
23 Equity instruments	N/A	N/A		N/A	N/A	N/A
24 Households	N/A	N/A	N/A	N/A	N/A	N/A
25 of which loans collateralised by residential immovable property	N/A	N/A	N/A	N/A	N/A	N/A
26 of which building renovation loans	N/A	N/A	N/A	N/A	N/A	N/A
27 of which motor vehicle loans	N/A	N/A	N/A	N/A	N/A	N/A
28 Local governments financing	N/A	N/A	N/A	N/A	N/A	N/A
29 Housing financing	N/A	N/A	N/A	N/A	N/A	N/A
30 Other local government financing	N/A	N/A	N/A	N/A	N/A	N/A
Collateral obtained by taking possession: residential and commercial immovable properties						
31	N/A	N/A	N/A	N/A	N/A	N/A
32 Total GAR assets	N/A	N/A	N/A	N/A	N/A	N/A

1 Institutions shall disclose in this template the GAR KPIs on flow of loans calculated (new loans on a net basis) based on the data disclosed in template 1, on covered assets, and by applying the formulas proposed in this template.

2 Credit institutions shall duplicate this template for revenue-based and CapEx-based disclosures.

Template 5.1 – KPI off-balance sheet exposures – Turnover-based stock

	a	b	c	d	e	f	g	h	i
	Disclosure reference date T								
	Climate change mitigation (CCM)					Climate Change Adaptation (CCA)			
	Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)					Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)			
	Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)					Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)			
	of which Use of Proceeds					of which Use of Proceeds			
	of which transitional					of which enabling			
% (compared to total eligible off-balance sheet assets)									
1 Financial guarantees (FinGuar KPI)	–	–	–	–	–	–	–	–	–
2 Assets under management (AuM KPI)	–	–	–	–	–	–	–	–	–

Template 5.2 – KPI off-balance sheet exposures – Turnover-based stock

	j	k	l	m	n	o	p	q
	Disclosure reference date T							
	Water and marine resources (WTR)				Circular economy (CE)			
	Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)			
	Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)			
	of which Use of Proceeds				of which Use of Proceeds			
	of which enabling				of which enabling			
% (compared to total eligible off-balance sheet assets)								
1 Financial guarantees (FinGuar KPI)	–				–			
2 Assets under management (AuM KPI)	–				–			

Template 5.3 – KPI off-balance sheet exposures – Turnover-based stock

	r	s	t	u	v	w	x	z
	Disclosure reference date T							
	Pollution (PPC)				Biodiversity and Ecosystems (BIO)			
	Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)			
	Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)			
			of which Use of Proceeds	of which enabling			of which Use of Proceeds	of which enabling
% (compared to total eligible off-balance sheet assets)								
1 Financial guarantees (FinGuar KPI)	–				–			
2 Assets under management (AuM KPI)	–				–			

Template 5.4 – KPI off-balance sheet exposures – Turnover-based stock

	aa	ab	ac	ad	ae
	Disclosure reference date T				
	TOTAL (CCM + CCA + WTR + CE + PPC + BIO)				
	Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				
	Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				
		of which Use of Proceeds	of which transitional	of which enabling	
% (compared to total eligible off-balance sheet assets)					
1 Financial guarantees (FinGuar KPI)	–	–	–	–	–
2 Assets under management (AuM KPI)	–	–	–	–	–

- 1 Institutions shall disclose in this template the KPIs for off-balance sheet exposures (financial guarantees and AuM) calculated based on the date disclosed in template 1, on covered assets, and by applying the formulas proposed in this template.
- 2 Institutions shall duplicate this template to disclose stock and flow KPIs for off-balance sheet exposures.

Template 5.1 – KPI off-balance sheet exposures – CapEx-based stock

	a	b	c	d	e	f	g	h	i
	Disclosure reference date T								
	Climate change mitigation (CCM)					Climate Change Adaptation (CCA)			
	Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)					Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)			
	Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)					Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)			
			of which Use of Proceeds	of which transitional	of which enabling			of which Use of Proceeds	of which enabling
% (compared to total eligible off-balance sheet assets)									
1 Financial guarantees (FinGuar KPI)	–	–	–	–	–	–	–	–	–
2 Assets under management (AuM KPI)	–	–	–	–	–	–	–	–	–

Template 5.2 – KPI off-balance sheet exposures – CapEx-based stock

	j	k	l	m	n	o	p	q
	Disclosure reference date T							
	Water and marine resources (WTR)				Circular economy (CE)			
	Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)			
	Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)			
	of which Use of Proceeds		of which enabling		of which Use of Proceeds		of which enabling	
% (compared to total eligible off-balance sheet assets)								
1 Financial guarantees (FinGuar KPI)	–				–			
2 Assets under management (AuM KPI)	–				–			

Template 5.3 – KPI off-balance sheet exposures – CapEx-based stock

	r	s	t	u	v	w	x	z
	Disclosure reference date T							
	Pollution (PPC)				Biodiversity and Ecosystems (BIO)			
	Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)			
	Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)			
	of which Use of Proceeds		of which enabling		of which Use of Proceeds		of which enabling	
% (compared to total eligible off-balance sheet assets)								
1 Financial guarantees (FinGuar KPI)	–				–			
2 Assets under management (AuM KPI)	–				–			

Template 5.4 – KPI off-balance sheet exposures – CapEx-based stock

	aa	ab	ac	ad	ae
	Disclosure reference date T				
	TOTAL (CCM + CCA + WTR + CE + PPC + BIO)				
	Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				
	Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				
	of which Use of Proceeds		of which transitional		of which enabling
% (compared to total eligible off-balance sheet assets)					
1 Financial guarantees (FinGuar KPI)	–	–	–	–	–
2 Assets under management (AuM KPI)	–	–	–	–	–

1 Institutions shall disclose in this template the KPIs for off-balance sheet exposures (financial guarantees and AuM) calculated based on the date disclosed in template 1, on covered assets, and by applying the formulas proposed in this template.

2 Institutions shall duplicate this template to disclose stock and flow KPIs for off-balance sheet exposures.

Template 5.1 – KPI off-balance sheet exposures – Turnover-based flow

	a	b	c	d	e	f	g	h	i
	Disclosure reference date T								
	Climate change mitigation (CCM)					Climate Change Adaptation (CCA)			
	Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)					Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)			
	Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)					Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)			
	of which Use of Proceeds					of which Use of Proceeds			
	of which transitional					of which enabling			
% (compared to total eligible off-balance sheet assets)									
1 Financial guarantees (FinGuar KPI)	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
2 Assets under management (AuM KPI)	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A

Template 5.2 – KPI off-balance sheet exposures – Turnover-based flow

	j	k	l	m	n	o	p	q
	Disclosure reference date T							
	Water and marine resources (WTR)				Circular economy (CE)			
	Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)			
	Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)			
	of which Use of Proceeds				of which Use of Proceeds			
	of which enabling				of which enabling			
% (compared to total eligible off-balance sheet assets)								
1 Financial guarantees (FinGuar KPI)	N/A				N/A			
2 Assets under management (AuM KPI)	N/A				N/A			

Template 5.3 – KPI off-balance sheet exposures – Turnover-based flow

	r	s	t	u	v	w	x	z
	Disclosure reference date T							
	Pollution (PPC)				Biodiversity and Ecosystems (BIO)			
	Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)			
	Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)			
			of which Use of Proceeds	of which enabling			of which Use of Proceeds	of which enabling
% (compared to total eligible off-balance sheet assets)								
1 Financial guarantees (FinGuar KPI)	N/A				N/A			
2 Assets under management (AuM KPI)	N/A				N/A			

Template 5.4 – KPI off-balance sheet exposures – Turnover-based flow

	aa	ab	ac	ad	ae
	Disclosure reference date T				
	TOTAL (CCM + CCA + WTR + CE + PPC + BIO)				
	Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				
	Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				
		of which Use of Proceeds	of which transitional	of which enabling	
% (compared to total eligible off-balance sheet assets)					
1 Financial guarantees (FinGuar KPI)	N/A	N/A	N/A	N/A	N/A
2 Assets under management (AuM KPI)	N/A	N/A	N/A	N/A	N/A

1 Institutions shall disclose in this template the KPIs for off-balance sheet exposures (financial guarantees and AuM) calculated based on the date disclosed in template 1, on covered assets, and by applying the formulas proposed in this template.

2 Institutions shall duplicate this template to disclose stock and flow KPIs for off-balance sheet exposures.

Template 5.1 – KPI off-balance sheet exposures – CapEx-based flow

	a	b	c	d	e	f	g	h	i
	Disclosure reference date T								
	Climate change mitigation (CCM)					Climate Change Adaptation (CCA)			
	Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)					Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)			
	Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)					Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)			
		of which Use of Proceeds	of which transitional	of which enabling			of which Use of Proceeds	of which enabling	
% (compared to total eligible off-balance sheet assets)									
1 Financial guarantees (FinGuar KPI)	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
2 Assets under management (AuM KPI)	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A

Template 5.2 – KPI off-balance sheet exposures – CapEx-based flow

		j	k	l	m	n	o	p	q
		Disclosure reference date T							
		Water and marine resources (WTR)				Circular economy (CE)			
		Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)			
		Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)			
		of which Use of Proceeds		of which enabling		of which Use of Proceeds		of which enabling	
	% (compared to total eligible off-balance sheet assets)								
1	Financial guarantees (FinGuar KPI)	N/A				N/A			
2	Assets under management (AuM KPI)	N/A				N/A			

Template 5.3 – KPI off-balance sheet exposures – CapEx-based flow

		r	s	t	u	v	w	x	z
		Disclosure reference date T							
		Pollution (PPC)				Biodiversity and Ecosystems (BIO)			
		Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)			
		Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)			
		of which Use of Proceeds		of which enabling		of which Use of Proceeds		of which enabling	
	% (compared to total eligible off-balance sheet assets)								
1	Financial guarantees (FinGuar KPI)	N/A				N/A			
2	Assets under management (AuM KPI)	N/A				N/A			

Template 5.4 – KPI off-balance sheet exposures – CapEx-based flow

		aa	ab	ac	ad	ae
		Disclosure reference date T				
		TOTAL (CCM + CCA + WTR + CE + PPC + BIO)				
		Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				
		Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				
		of which Use of Proceeds		of which transitional		of which enabling
	% (compared to total eligible off-balance sheet assets)					
1	Financial guarantees (FinGuar KPI)	N/A	N/A	N/A	N/A	N/A
2	Assets under management (AuM KPI)	N/A	N/A	N/A	N/A	N/A

1 Institutions shall disclose in this template the KPIs for off-balance sheet exposures (financial guarantees and AuM) calculated based on the date disclosed in template 1, on covered assets, and by applying the formulas proposed in this template.

2 Institutions shall duplicate this template to disclose stock and flow KPIs for off-balance sheet exposures.

Environmental templates

Template 1 – Nuclear and fossil gas-related activities

Row	Nuclear energy related activities	
1	The undertaking carries out, funds or has exposures to research, development, demonstration and deployment of innovative electricity generation facilities that produce energy from nuclear processes with minimal waste from the fuel cycle.	No
2	The undertaking carries out, funds or has exposures to construction and safe operation of new nuclear installations to produce electricity or process heat, including for the purposes of district heating or industrial processes such as hydrogen production, as well as their safety upgrades, using best available technologies.	No
3	The undertaking carries out, funds or has exposures to safe operation of existing nuclear installations that produce electricity or process heat, including for the purposes of district heating or industrial processes such as hydrogen production from nuclear energy, as well as their safety upgrades.	Yes
Fossil gas related activities		
4	The undertaking carries out, funds or has exposures to construction or operation of electricity generation facilities that produce electricity using fossil gaseous fuels.	Yes
5	The undertaking carries out, funds or has exposures to construction, refurbishment, and operation of combined heat/cool and power generation facilities using fossil gaseous fuels.	Yes
6	The undertaking carries out, funds or has exposures to construction, refurbishment and operation of heat generation facilities that produce heat/cool using fossil gaseous fuels.	Yes

Template 2 – Taxonomy-aligned economic activities (denominator) – Turnover-based

Row	Economic activities	Amount and proportion (the information is to be presented in monetary amounts and as percentages)					
		CCM + CCA		Climate change mitigation (CCM)		Climate change adaptation (CCA)	
		Amount	%	Amount	%	Amount	%
1	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.26 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI						
2	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.27 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI						
3	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.28 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI						
4	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.29 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI						
5	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.30 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI						
6	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.31 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI						
7	Amount and proportion of other taxonomy-aligned economic activities not referred to in rows 1 to 6 above in the denominator of the applicable KPI	233	0.12%	233	0.12%	–	–
8	Total applicable KPI	200,753	100.00%	200,753	100.00%	200,753	100.00%

Template 2 – Taxonomy-aligned economic activities (denominator) – CapEx-based

Row	Economic activities	Amount and proportion (the information is to be presented in monetary amounts and as percentages)					
		CCM + CCA		Climate change mitigation (CCM)		Climate change adaptation (CCA)	
		Amount	%	Amount	%	Amount	%
1	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.26 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI						
2	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.27 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI						
3	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.28 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI						
4	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.29 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI	3	–	3	–		
5	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.30 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI	3	–	3	–		
6	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.31 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI						
7	Amount and proportion of other taxonomy-aligned economic activities not referred to in rows 1 to 6 above in the denominator of the applicable KPI	642	0.32%	642	0.32%	–	–
8	Total applicable KPI	200,753	100.00%	200,753	100.00%	200,753	100.00%

Template 3 – Taxonomy-aligned economic activities (numerator) – Turnover-based

Row	Economic activities	Amount and proportion (the information is to be presented in monetary amounts and as percentages)					
		CCM + CCA		Climate change mitigation (CCM)		Climate change adaptation (CCA)	
		Amount	%	Amount	%	Amount	%
1	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.26 of Annexes I and II to Delegated Regulation 2021/2139 in the numerator of the applicable KPI						
2	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.27 of Annexes I and II to Delegated Regulation 2021/2139 in the numerator of the applicable KPI						
3	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.28 of Annexes I and II to Delegated Regulation 2021/2139 in the numerator of the applicable KPI						
4	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.29 of Annexes I and II to Delegated Regulation 2021/2139 in the numerator of the applicable KPI						
5	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.30 of Annexes I and II to Delegated Regulation 2021/2139 in the numerator of the applicable KPI						
6	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.31 of Annexes I and II to Delegated Regulation 2021/2139 in the numerator of the applicable KPI						
7	Amount and proportion of other taxonomy-aligned economic activities not referred to in rows 1 to 6 above in the numerator of the applicable KPI	233	100.00%	233	100.00%	–	100.00%
8	Total amount and proportion of taxonomy-aligned economic activities in the numerator of the applicable KPI	233	100.00%	233	100.00%	–	100.00%

Template 3 – Taxonomy-aligned economic activities (numerator) – CapEx-based

Row	Economic activities	Amount and proportion (the information is to be presented in monetary amounts and as percentages)					
		CCM + CCA		Climate change mitigation (CCM)		Climate change adaptation (CCA)	
		Amount	%	Amount	%	Amount	%
1	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.26 of Annexes I and II to Delegated Regulation 2021/2139 in the numerator of the applicable KPI						
2	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.27 of Annexes I and II to Delegated Regulation 2021/2139 in the numerator of the applicable KPI						
3	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.28 of Annexes I and II to Delegated Regulation 2021/2139 in the numerator of the applicable KPI						
4	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.29 of Annexes I and II to Delegated Regulation 2021/2139 in the numerator of the applicable KPI	3	0.46%	3	0.46%		
5	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.30 of Annexes I and II to Delegated Regulation 2021/2139 in the numerator of the applicable KPI	3	0.42%	3	0.42%		
6	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.31 of Annexes I and II to Delegated Regulation 2021/2139 in the numerator of the applicable KPI						
7	Amount and proportion of other taxonomy-aligned economic activities not referred to in rows 1 to 6 above in the numerator of the applicable KPI	642	99.12%	642	99.12%	–	100.00%
8	Total amount and proportion of taxonomy-aligned economic activities in the numerator of the applicable KPI	648	100.00%	647	100.00%	–	100.00%

Template 4 – Taxonomy-eligible but not taxonomy-aligned economic activities – Turnover-based

Row	Economic activities	Amount and proportion (the information is to be presented in monetary amounts and as percentages)					
		CCM + CCA		Climate change mitigation (CCM)		Climate change adaptation (CCA)	
		Amount	%	Amount	%	Amount	%
1	Amount and proportion of taxonomy- eligible but not taxonomy-aligned economic activity referred to in Section 4.26 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI						
2	Amount and proportion of taxonomy- eligible but not taxonomy-aligned economic activity referred to in Section 4.27 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI						
3	Amount and proportion of taxonomy- eligible but not taxonomy-aligned economic activity referred to in Section 4.28 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI	–	–	–	–		
4	Amount and proportion of taxonomy- eligible but not taxonomy-aligned economic activity referred to in Section 4.29 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI	2	0.01%	2	0.01%		
5	Amount and proportion of taxonomy- eligible but not taxonomy-aligned economic activity referred to in Section 4.30 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI	16	0.08%	16	0.08%		
6	Amount and proportion of taxonomy- eligible but not taxonomy-aligned economic activity referred to in Section 4.31 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI	–	–	–	–		
7	Amount and proportion of other taxonomy-eligible but not taxonomy-aligned economic activities not referred to in rows 1 to 6 above in the denominator of the applicable KPI	19,756	99.91%	19,756	99.91%	–	
8	Total amount and proportion of taxonomy eligible but not taxonomy-aligned economic activities in the denominator of the applicable KPI	19,773	100.00%	19,773	100.00%	–	

Template 4 – Taxonomy-eligible but not taxonomy-aligned economic activities – CapEx-based

Row	Economic activities	Amount and proportion (the information is to be presented in monetary amounts and as percentages)					
		CCM + CCA		Climate change mitigation (CCM)		Climate change adaptation (CCA)	
		Amount	%	Amount	%	Amount	%
1	Amount and proportion of taxonomy- eligible but not taxonomy-aligned economic activity referred to in Section 4.26 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI						
2	Amount and proportion of taxonomy- eligible but not taxonomy-aligned economic activity referred to in Section 4.27 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI						
3	Amount and proportion of taxonomy- eligible but not taxonomy-aligned economic activity referred to in Section 4.28 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI	–	–	–	–		
4	Amount and proportion of taxonomy- eligible but not taxonomy-aligned economic activity referred to in Section 4.29 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI	3	0.02%	3	0.02%		
5	Amount and proportion of taxonomy- eligible but not taxonomy-aligned economic activity referred to in Section 4.30 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI	5	0.03%	5	0.03%		
6	Amount and proportion of taxonomy- eligible but not taxonomy-aligned economic activity referred to in Section 4.31 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI						
7	Amount and proportion of other taxonomy-eligible but not taxonomy-aligned economic activities not referred to in rows 1 to 6 above in the denominator of the applicable KPI	19,782	99.96%	19,782	99.96%	–	
8	Total amount and proportion of taxonomy eligible but not taxonomy-aligned economic activities in the denominator of the applicable KPI	19,791	100.00%	19,791	100.00%	–	

Template 5 – Taxonomy non-eligible economic activities – Turnover-based

Row	Economic activities	Amount	Percentage
1	Amount and proportion of economic activity referred to in row 1 of Template 1 that is taxonomy-non-eligible in accordance with Section 4.26 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI		
2	Amount and proportion of economic activity referred to in row 2 of Template 1 that is taxonomy-non-eligible in accordance with Section 4.27 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI		
3	Amount and proportion of economic activity referred to in row 3 of Template 1 that is taxonomy-non-eligible in accordance with Section 4.28 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI	2	–
4	Amount and proportion of economic activity referred to in row 4 of Template 1 that is taxonomy-non-eligible in accordance with Section 4.29 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI		
5	Amount and proportion of economic activity referred to in row 5 of Template 1 that is taxonomy-non-eligible in accordance with Section 4.30 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI		
6	Amount and proportion of economic activity referred to in row 6 of Template 1 that is taxonomy-non-eligible in accordance with Section 4.31 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI		
7	Amount and proportion of other taxonomy-non-eligible economic activities not referred to in rows 1 to 6 above in the denominator of the applicable KPI	177,080	100.00%
8	Total amount and proportion of taxonomy-non-eligible economic activities in the denominator of the applicable KPI'	177,083	100.00%

Template 5 – Taxonomy non-eligible economic activities – CapEx-based

Row	Economic activities	Amount	Percentage
1	Amount and proportion of economic activity referred to in row 1 of Template 1 that is taxonomy-non-eligible in accordance with Section 4.26 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI		
2	Amount and proportion of economic activity referred to in row 2 of Template 1 that is taxonomy-non-eligible in accordance with Section 4.27 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI		
3	Amount and proportion of economic activity referred to in row 3 of Template 1 that is taxonomy-non-eligible in accordance with Section 4.28 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI	2	–
4	Amount and proportion of economic activity referred to in row 4 of Template 1 that is taxonomy-non-eligible in accordance with Section 4.29 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI		
5	Amount and proportion of economic activity referred to in row 5 of Template 1 that is taxonomy-non-eligible in accordance with Section 4.30 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI		
6	Amount and proportion of economic activity referred to in row 6 of Template 1 that is taxonomy-non-eligible in accordance with Section 4.31 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI		
7	Amount and proportion of other taxonomy-non-eligible economic activities not referred to in rows 1 to 6 above in the denominator of the applicable KPI	176,436	100.00%
8	Total amount and proportion of taxonomy-non-eligible economic activities in the denominator of the applicable KPI'	176,438	100.00%

Independent Practitioner's Report on a Limited Assurance Engagement on Non-financial Reporting ⁷⁵

To Bayerische Landesbank, Anstalt des Öffentlichen Rechts, Munich

We have performed a limited assurance engagement on the combined separate non-financial report of Bayerische Landesbank, Anstalt des öffentlichen Rechts, Munich, (hereinafter the "Company") for the period from 1 January 2023 to 31 December 2023 (hereinafter the "Non-financial Report").

Not subject to our assurance engagement are the external sources of documentation or expert opinions mentioned in the Combined Separate Non-financial Report.

Responsibility of the Executive Directors

The executive directors of the Company are responsible for the preparation of the Non-financial Report in accordance with §§ (Articles) 315c in conjunction with 289c to 289e HGB ("Handelsgesetzbuch": "German Commercial Code") and Article 8 of REGULATION (EU) 2020/852 OF THE EUROPEAN PARLIAMENT AND OF THE COUNCIL of 18. June 2020 on establishing a framework to facilitate sustainable investment and amending Regulation (EU) 2019/2088 (hereinafter the "EU Taxonomy Regulation") and the Delegated Acts adopted thereunder, as well as for making their own interpretation of the wording and terms contained in the EU Taxonomy Regulation and the Delegated Acts adopted thereunder, as set out in section "Disclosures pursuant to article 8 of the EU Taxonomy Regulation as at 31 December 2023" of the Non-financial Report.

This responsibility includes the selection and application of appropriate non-financial reporting methods and making assumptions and estimates about individual non-financial disclosures that are reasonable in the circumstances. Furthermore, the executive directors are responsible for such internal control as the executive directors consider necessary to enable the preparation of a Non-financial Report that is free from material misstatement whether due to fraud or error.

The EU Taxonomy Regulation and the Delegated Acts issued thereunder contain wording and terms that are still subject to considerable interpretation uncertainties and for which clarifications have not yet been published in every case. Therefore, the executive directors of the Company have disclosed their interpretation of the EU Taxonomy Regulation and the Delegated Acts adopted thereunder in section "Disclosures pursuant to article 8 of the EU Taxonomy Regulation as at 31 December 2023" of the Non-financial Report. They are responsible for the defensibility of this interpretation. Due to the immanent risk that indeterminate legal terms may be interpreted differently, the legal conformity of the interpretation is subject to uncertainties.

⁷⁵ PricewaterhouseCoopers GmbH has performed a limited assurance engagement on the German version of the Non-financial Report and issued an independent practitioner's report in German language, which is authoritative. The following text is a translation of the independent practitioner's report.

Audit Firm's Independence and Quality Management

We have complied with the German professional provisions regarding independence as well as other ethical requirements.

Our audit firm applies the national legal requirements and professional standards – in particular the Professional Code for German Public Auditors and German Chartered Auditors (“Berufssatzung für Wirtschaftsprüfer und vereidigte Buchprüfer“: “BS WP/vBP”) as well as the Standard on Quality Management 1 published by the Institut der Wirtschaftsprüfer (Institute of Public Auditors in Germany; IDW): Requirements to quality management for audit firms (IDW Qualitätsmanagementstandard 1: Anforderungen an das Qualitätsmanagement in der Wirtschaftsprüferpraxis - IDW QMS 1 (09.2022)), which requires the audit firm to design, implement and operate a system of quality management that complies with the applicable legal requirements and professional standards.

Responsibility of the Assurance Practitioner

Our responsibility is to express a conclusion with limited assurance on the Non-financial Report based on our assurance engagement.

We conducted our assurance engagement in accordance with International Standard on Assurance Engagements (ISAE) 3000 (Revised). This Standard requires that we plan and perform the assurance engagement to obtain limited assurance about whether any matters have come to our attention that cause us to believe that the Company's Non-financial Report, other than the external sources of documentation or expert opinions mentioned in the Non-financial Report, is not prepared, in all material respects, in accordance with §§ 315c in conjunction with 289c to 289e HGB and the EU Taxonomy Regulation and the Delegated Acts issued thereunder as well as the interpretation of the wording and terms contained in the EU Taxonomy Regulation and the Delegated Acts adopted thereunder by the Company's executive directors disclosed in section “Disclosures pursuant to article 8 of the EU Taxonomy Regulation as at 31 December 2023” of the Non-financial Report.

In a limited assurance engagement, the procedures performed are less extensive than in a reasonable assurance engagement, and accordingly a substantially lower level of assurance is obtained. The selection of the assurance procedures is subject to the professional judgement of the assurance practitioner.

In the course of our assurance engagement, we have, amongst other things, performed the following assurance procedures:

- Gain an understanding of the structure of the Group's sustainability organisation and stakeholder engagement.
- Inquiries of the executive directors and relevant employees involved in the preparation of the Non-financial Report about the preparation process, about the internal control system relating to this process and about disclosures in the Non-financial Report.
- Identification of likely risks of material misstatement in the Non-financial Report.
- Analytical procedures on selected disclosures in the Non-financial Report.
- Reconciliation of selected disclosures with the corresponding data in the consolidated financial statements and group management report.

- Evaluation of the presentation of the Non-financial Report.
- Evaluation of the process to identify taxonomy-eligible and taxonomy-aligned economic activities and the corresponding disclosures in the Non-financial Report.

In determining the disclosures in accordance with Article 8 of the EU Taxonomy Regulation, the executive directors are required to interpret undefined legal terms. Due to the immanent risk that undefined legal terms may be interpreted differently, the legal conformity of their interpretation and, accordingly, our assurance engagement thereon are subject to uncertainties.

Assurance Opinion

Based on our limited assurance engagement and the evidence obtained, nothing has come to our attention that causes us to believe that the Non-financial Report of the Company for the period from 1 January 2023 to 31 December 2023 is not prepared, in all material respects, in accordance with §§ 315c in conjunction with 289c to 289e HGB and the EU Taxonomy Regulation and the Delegated Acts issued thereunder as well as the interpretation of the wording and terms contained in the EU Taxonomy Regulation and the Delegated Acts adopted thereunder by the Company's executive directors disclosed in section "Disclosures pursuant to article 8 of the EU Taxonomy Regulation as at 31 December 2023" of the Non-financial Report. We do not express an assurance opinion on the external sources of documentation or expert opinions mentioned in the Non-financial Report.

Restriction of Use

We draw attention to the fact that the assurance engagement was conducted for the Company's purposes and that the report is intended solely to inform the Company about the result of the assurance engagement. Consequently, it may not be suitable for any other purpose than the aforementioned. Accordingly, the report is not intended to be used by third parties for making (financial) decisions based on it. Our responsibility is to the Company. We do not accept any responsibility to third parties. Our assurance opinion is not modified in this respect.

Munich, 26 March 2024

PricewaterhouseCoopers GmbH
Wirtschaftsprüfungsgesellschaft

Sven Hauke
Wirtschaftsprüfer
[German public auditor]

Daniel Benzing
Wirtschaftsprüfer
[German public auditor]

Editorial information

Publisher

Bayerische Landesbank
Institution established under public law
Brienner Strasse 18
D-80333 Munich, Germany
Tel. +49 89 2171-01
Fax +49 89 2171-23579
Reuters Dealing BLAM, BLAS
BIC/SWIFT-Code: BYLADEMMXXX
info@bayernlb.de
www.bayernlb.com

Layout and printing

Produced in-house with firesys

The translation of the annual financial statements, comprising the balance sheet, the income statement and the notes to the financial statements, together with the combined management report and the report by the Supervisory Board of Bayerische Landesbank as well as the auditor's report is for convenience only; the German versions prevail.



Wir finanzieren Fortschritt.

Bayerische Landesbank
Brienner Strasse 18
80333 Munich
[bayernlb.com](https://www.bayernlb.com)

